

Barclays Bank PLC

Annual Report

31 December 2025

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Strategic report

Performance review

The Strategic Report was approved by the Board of Directors on 9 February 2026 and signed on their behalf by the Chairman.

Performance Review

Overview

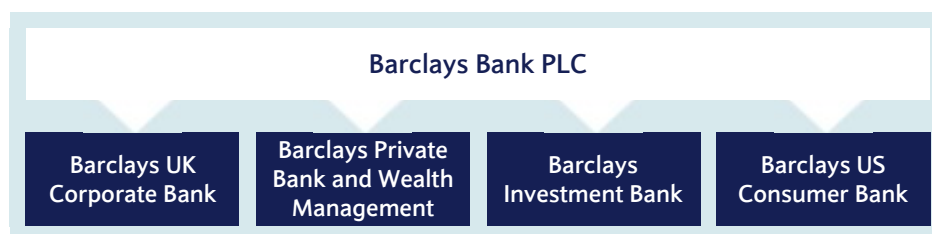
Barclays Bank PLC (BBPLC or the Company) is a wholly-owned subsidiary of Barclays PLC. The consolidation of Barclays Bank PLC and its subsidiaries is referred to as the Barclays Bank Group. The term Barclays refers to either Barclays PLC (BPLC) or, depending on the context, the Barclays Group. The term Barclays Group refers to BPLC together with its subsidiaries.

Barclays Bank PLC is the non ring-fenced bank within the Barclays Group. The Barclays Bank Group contains the Barclays UK Corporate Bank (UKCB), Barclays Private Bank and Wealth Management (PBWM), Barclays Investment Bank (IB) and Barclays US Consumer Bank (USCB) businesses. Barclays Bank PLC offers customers and clients a range of products and services spanning consumer and wholesale banking and is supported by the Barclays Group-wide service company, Barclays Execution Services Limited (BX), which provides technology, operations and functional services to businesses across the Barclays Group.

Barclays Bank PLC is focused on delivering for customers and clients around the world. Our diversified business portfolio provides balance, resilience and exciting opportunities. Barclays Bank PLC has strong global market positions and continues to invest in people and technology with the aim of delivering sustainable returns.

Our structure

Through our four divisions, UKCB, PBWM, IB and USCB in addition to Head Office, we are organised and operate in a simpler way, delivering greater accountability and transparency, supporting synergies and reflecting the way we serve our customers and clients.



UK Corporate Bank [△]

The UK Corporate Bank offers a range of Corporate Lending and Transaction Banking services to clients with an annual revenue of more than £6.5m through to FTSE350 companies.

- Corporate Lending: Offers a range of term, revolving, and overdraft facilities to medium and large sized corporates across the UK, with financing solutions tailored to specific industries and sectors
- Transaction Banking: Provides cash management, trade and working capital solutions, risk management solutions and payment services internationally

Private Bank and Wealth Management [△]

Private Bank and Wealth Management comprises PBWM UK - serving clients across the full wealth continuum in the UK and Crown Dependencies - and PBWM International, serving high- and ultra-high-net-worth clients in selected international markets.

- UK Digital Investing is for UK self directed investors, with investment starting from just £1
- UK Affluent is for UK clients with £250k to £3m of investible assets¹
- Private Banking UK is a full-service proposition for clients with investible assets of £3m+
- Private Banking International is a full-service proposition for clients with investible assets of £5m+ internationally² with a focus on clients in the Europe, Middle East and Asia wealth corridors

Note

1 The lower end threshold is under review

2 For India, the Private Bank proposition is available for clients with wealth of £3m+.

[△] Information subject to limited assurance in accordance with (ISAE) (Ireland) 3000

Strategic report

Performance review

Investment Bank [△]

The Investment Bank provides corporate clients, money managers, financial institutions, governments and supranational organisations with advisory, finance and risk management services.

- Global Markets provides institutional investors, sovereigns and corporates with a full range of execution services, ideas and risk management solutions across asset classes (Equities, Credit, Rates, FX and Securitised Products). The Research team provides institutional investors with data-driven analysis, actionable insights and access to our analysts across global sectors, markets and economies
- Investment Banking works with companies, governments and financial institutions worldwide to provide expert advice, innovative solutions and access to capital. It includes International Corporate Banking, which provides financial institutions and large corporate clients with wholesale lending and treasury solutions - supported by deep industry knowledge and local, on-the-ground specialists

US Consumer Bank [△]

The US Consumer Bank is a leading co-branded credit card issuer and financial services partner in the United States.

- Barclays US Consumer Bank has more than 25 million customers and partnerships with 20 of America's leading brands across the airline, travel, retail and affinity sectors.
- We provide co-branded, small business and private label credit cards, personal loans, online savings accounts and certificates of deposits.

Head Office

Head Office provides centralised services across the Barclays Bank Group.

The world in which we operate

Barclays Bank PLC is driven by a common Purpose: working together for a better financial future. To do so, we must be strong as an institution, prepared for the future, and able to navigate different market conditions and evolving trends.

We regularly review our operating environment and adapt to emerging trends. We've identified three areas relevant to our industry that we need to be aware of in the execution of our strategy, and continue to make good progress in addressing them:

- The impact of technology on banking products and services
- The role of capital markets as the principal driver of global growth
- The transition towards a low-carbon economy

In the development of our strategy and the evolution of our operating model, we regularly review and reflect on the changing environment in which we operate. Our plan is designed to remain resilient amid ongoing volatility and uncertainty, while meeting the needs of our wider stakeholders - including customers, clients, regulators, and shareholders.

We actively navigate risk and uncertainty, and are vigilant to deliver for our stakeholders as the environment evolves.

Focus areas

UKCB

- a. Driving productivity and seamless digital delivery, simplifying and improving client experience
- b. Growing broad-based income through deeper client relationships with products and solutions which address their needs
- c. Growing share of lending and attracting new clients

PBWM

- a. Leveraging our simplified business structure - aligned to market opportunity in the UK and internationally - and reinvesting cost efficiencies to strengthen the business and support growth
- b. Supporting Private Bank clients with their lifestyle, liquidity and legacy, and helping retail investors gain access to transparent, fairly priced investment solutions
- c. Continuing to grow assets under management to increase the relative contribution of non-interest income, to deliver high-quality recurring revenue

[△] Information subject to limited assurance in accordance with (ISAE) (Ireland) 3000

IB

- a. Driving higher RWA productivity across all Investment Bank businesses
- b. Deepening client relationships while maintaining prudent risk management
- c. In Global Markets, sustaining momentum in our businesses with Top 5 market share¹, growing our focus businesses and continuing to scale more stable financing income
- d. In Investment Banking, building share and product penetration across Advisory, Capital Markets and Treasury Coverage, and delivering an expanded reach for our International Corporate Bank

USCB

- a. Scaling and diversifying by growing existing partnerships and winning new partners
- b. Investing in digitisation and AI to deliver enhanced customer experiences and operational efficiencies
- c. Improving net interest margin by optimising pricing and credit mix, while reducing funding costs
- d. Selective risk transfer to optimise use of balance sheet

Year in review

UKCB

Barclays UK Corporate Bank serves over 13,000 businesses across the UK, playing an important role in joining together the different aspects of the organisation to deliver for clients. In 2025, the UK Corporate Bank delivered robust income growth of 14% underpinned by a strong deposit franchise and growing debt balances. Profit before tax was £949m and we maintained a disciplined cost-to-income ratio, ensuring operational efficiency.

Throughout the year, we responded proactively to a competitive market and shifting base rates. By adapting to evolving client needs and maintaining our focus on providing lending to help our clients to invest, we positively repositioned ourselves among peers and grew lending market share by 1%².

In 2025, we attracted over c.580 new to bank clients who drove c.50% of the increase in lending compared to 2024. This focus enabled us to achieve total loan growth of £4.6bn for the year. Despite our growth in lending, our loan loss rate remains well within our stated risk appetite and guidance.

Our willingness to lend plays a crucial role in giving UK businesses the confidence to invest in their workforce and technology helping in turn to unlock economic growth.

We have made strides in enhancing client experience by advancing our digital capabilities and streamlining processes. Clients now have more opportunities to self-serve through digital channels, including our 'Client Chat' capability, which resolves a significant number of queries at first contact. In 2025, c.50% of client interactions were self-served, compared to c.40% in 2024. We have also reduced client onboarding times by around 50% since the start of 2024 and, in response to client feedback, we have improved the speed, ease, and flexibility of our borrowing solutions, with further enhancements planned for 2026.

To strengthen client relationships and support diversified income streams, we've invested significantly in modernising our technology.

Our focus on deepening relationships and our efforts to improve experience have been reflected in improved client satisfaction scores. Measured as an independent benchmarking score by Savanta, our overall client satisfaction score has increased. Satisfaction scores relating to our client-facing colleagues are also strong, placing us second among our peers³.

In April 2025, we announced a long-term strategic partnership with Brookfield to grow and transform our payment acceptance business, which provides critical infrastructure to the UK economy, processing billions of pounds of payments annually for small businesses and corporate clients.

Our extensive client relationships and experience of UK payments will benefit from Brookfield's global private equity expertise in payments, technology, operational transformation and corporate carve-outs, to ensure that the payment acceptance business is strategically positioned for long-term growth. The partnership will drive business growth by broadening the range of services offered and enhancing the experience for both existing and prospective clients.

Note

1 Top 5 market share as defined in the 20 February 2024 Investor Update: 1H23 and FY19 Coalition Greenwich Global Competitor Analytics. Industry wallet is defined as the total revenue of the following banks: BofA, Barclays, BNP Paribas, Citigroup, Credit Suisse, Deutsche Bank, Goldman Sachs, J.P. Morgan, Morgan Stanley and UBS. Analysis is based on Barclays' internal business structure and internal revenues. Market share for purpose of this analysis is calculated as Barclays' internal revenues divided by the aggregate revenue of the banks identified above within the given product set.

2 Bank of England December 2025 market data.

3 SavantaMarket Vue Survey Q4 2025

PBWM

PBWM's vision is to be the investment partner for our clients, their families and the next generation. In 2025, financial markets witnessed trade and geopolitical volatility, and strong tailwinds driven by artificial intelligence (AI) - investors looked to take advantage of volatility spikes while diversifying risk. For PBWM, this led to strong transactional activity supported by increased trading on our digital investing offering, continued inflows into multi-asset portfolios, and alternative strategies such as private markets and hedge funds.

Our ability to support clients in such environments sustained our strong business performance. Assets Under Management (AUM) grew by £5.2bn and PBWM overall achieved a profit before tax of £367m.

At the start of 2025, PBWM simplified its business model to operate through two core areas: PBWM UK and PBWM International. Throughout the year, there were a series of strategic hires to strengthen the business.

In our UK Digital Investing business, we further enhanced client journeys and investment capabilities on our Smart Investor platform¹. In UK Affluent, we launched a pilot of a new digitally enabled mass affluent proposition - focused initially on Barclays UK Premier clients with £250k-£1m in assets to invest. Our ambition is to provide a fair-priced, transparently constructed advice service addressing the needs of this segment.

In our UK Private Bank, we expanded our Private Markets proposition with the launch of a new multi-vintage private equity fund and made it easier for clients to use our securities backed lending capability. In addition, we continued to grow our assets under management in our flagship funds and discretionary managed portfolios, and maintained their strong underlying long-term investment performance.

Internationally, we have been focused on building our presence in the Middle East and Asia. In order to further support our international capabilities, we continue to progress the development of our new Singapore booking centre, which we intend to launch during 2026.

Underpinning all of our strategic ambitions is a continued focus on improving our risk and control resilience, including by increasing our automation levels.

IB

Barclays has a top tier Investment Bank supporting corporate and institutional clients around the world. In 2025, we maintained our rank of sixth across the Investment Bank in both Global Markets² and Investment Banking³. We are a leading non-US-domiciled bank that can consistently compete with its US peers in each of the major capital markets of the US, Europe and Asia. Through our global expertise, scale and reach, we support global clients and help them achieve their commercial goals.

The Investment Bank delivered a profit before tax of £4,629m and remained disciplined on costs with consistent operational progress, following seven quarters of positive jaws.

RWAs remained stable for the fourth consecutive year. We grew income and improved return on RWAs by focusing on more stable income streams and on disciplined client management, capital deployment, and technology enhancements to improve client experience, such as BARXBot, a client-facing GenAI chatbot that automates how colleagues in Global Markets handle Requests for Quotes (RFQs) for clients.

The Investment Bank helped clients navigate a complex, evolving landscape throughout 2025 - one shaped by policy change, geopolitical events and economic conditions - by delivering strategic solutions through our diversified portfolio of products and services.

In Global Markets, we remain focused on executing our key product priorities while delivering our full suite of products and services to our clients. We have made strong progress with improved performance in the three focus businesses in Markets, while sustaining momentum in financing.

Our Research team is central to our Investment Bank franchise and continues to rank highly among our institutional client base.

In Investment Banking, we delivered revenue growth of 3% year on year. We also made good progress in key focus areas, continuing to optimise our loan book which helped to drive improved return on RWAs. This year, we maintained our traditional strength in DCM and saw an increase in both ECM fee share and advisory fee share with financial sponsors⁴.

International Corporate Bank (ICB) was up 10% YoY, reflecting the continued rollout of the Treasury Coverage model - which has doubled the number of focus client with this model since 2024. This has also helped to drive year on year growth in US deposits⁵.

Note:

1 Smart Investor will be known as Barclays Direct Investing

2 Based on external reported revenues. Peer banks include BoA, BNP, CITI, DB, GS, JPM, MS and UBS

3 Dealogic for the period 1 January 2025 to 31 December 2025 (as at 6 January 2026)

4 Dealogic Banking Fee share as at 31 December 2025

5 Reflects month end deposits

USCB

The US is the world's largest credit card market, and growing. With a c.3% share¹ of the total market and partnerships with 20 major brands, we continue to see significant opportunities for growth. In 2025, we delivered profit before tax of £513m, up from £408m in 2024 and £167m in 2023.

We remain focused on building lasting partnerships with top US brands. In 2025, we launched a new co-branded card programme with iconic automaker General Motors (GM) and acquired \$1.6bn in receivables, further diversifying our mix of card partners. We also extended our current partnership agreements with Wyndham Hotels & Resorts, Upromise and our cruise line partners: Carnival, Princess and Holland America.

We added three million new customers organically in 2025. Our average payment rate of 31% in the fourth quarter is higher than pre-pandemic levels, further demonstrating the resilience and quality of our book.

We grew our retail deposit balances by 20% year on year and increased the percentage of core deposit funding for USCB from 64% to 69%. This was driven by demand for the tiered savings product and a new suite of exclusive digital banking products offered through our co-branded banking partnership with AARP.

In 2025, we announced that we had entered into an agreement to acquire Best Egg², a leading US digital direct-to-consumer originator of personal loans.

In 2025, we improved digital onboarding, increased self-service options and developed flexible payment features for our customers. We also expanded our Rewards Hub, an intuitive, one-stop digital shop for cardmembers to more easily manage their benefits. Over the past year, unique visitors to the Rewards Hub increased by 15%, demonstrating stronger brand loyalty and digital connection.

Since 2023, our investments in digitisation have led to an increase in customers using e-statements, and resulted in higher digital engagement with 96.2% of customers who interact with us doing so through digital channels³. The percentage of customers using the Barclays mobile app also increased 5.5 percentage points year on year⁴. Leveraging digital platforms to drive greater efficiency has helped reduce full year 2025 USCB cost to income ratio.

Head Office

From 2003 to late 2019, Clydesdale Financial Services Limited (CFSL), a wholly-owned subsidiary of the Group, provided motor finance to customers in the UK. In 2020, CFSL was transferred from Barclays Bank PLC to Barclays Principal Investments Ltd (BPIL), another subsidiary of Barclays PLC. Barclays Bank PLC has provided an intragroup indemnity to BPIL in respect of historic litigation and conduct matters relating to CFSL.

Following the publication of the UK Financial Conduct Authority's (FCA) consultation paper CP25/27 on a proposed Motor Finance redress scheme on 7 October 2025, Barclays has recognised in CFSL a provision of £325m in respect of this matter as at 31 December 2025 (as at 31 December 2024: £90m). Barclays has engaged with the FCA as part of its consultation process and the FCA's Policy Statement and final redress scheme rules are currently expected to be published in February or March 2026. The ultimate financial impact on Barclays could differ from the recognised provision, which represents Barclays' best estimate of the cost of redress based on the information currently available to Barclays.

In Q125, Barclays Bank Ireland PLC announced the completion of the sale of its German consumer finance business to BAWAG P.S.K., a wholly owned subsidiary of BAWAG Group AG.

Note

1 Source: newyorkfed.org/microeconomics/hhdc

2 The acquisition is expected to close in Q2 2026, subject to regulatory approvals and other closing conditions.

3 Measured at exit at end December 2025. Includes primary consumer card customers. Monthly interactions exclude Interactive Voice Response (IVR).

4 Reflects rate movement from December 2024 to December 2025 for mobile app users divided by open customers.

Strategic report

Performance review

Looking ahead

UKCB

We will continue to deepen client relationships, accelerate digital transformation and improve operational efficiency. We are focused on enhancing our product mix, strengthening income quality and driving technology-led improvements in client experience.

Efforts will be shaped by the evolving market environment, with an emphasis on adapting to client needs, regulatory changes and competitive pressures. We will continue to simplify processes, invest in talent, and leverage data-driven insights to support growth and resilience.

PBWM

Within UK Digital Investing, we're committed to delivering an integrated digital SIPP (self-invested personal pension). Following the completion of our pilot, we're launching our new UK Mass Affluent proposition, starting with Barclays UK Premier clients. We will also focus on supporting retail investing through the launch of Targeted Support following FCA's Advice Guidance Boundary Review.

Within the Private Bank we will continue to enhance our client experience, focusing on our digital capabilities as well as further expanding our credit proposition. We're investing in productivity and generative AI (GenAI) capabilities that support our front-line colleagues so they can spend more time with clients. We plan to expand our international business with further investments in the Middle East and Asia markets, including the launch of our new Singapore booking centre.

IB

Our goal is to strengthen our position as a leading global investment bank by leveraging our advisory expertise, deep sector knowledge, and differentiated client offering.

The Investment Banking business is focused on building share in Advisory and Capital Markets through productivity improvement, Treasury Coverage evolution and the continued investment and growth of our International Corporate Bank. Global Markets continues its focus on strengthening its core capabilities while maintaining a strong baseline of stable revenues in the form of financing.

We aim to be prudent managers of the firm's capital, and to drive consistent returns through client discipline, focused execution, capital nimbleness and operational efficiency. We're also streamlining operations, reducing legacy systems, and leveraging AI to scale and innovate.

We continue to work collaboratively across the Investment Bank towards a core set of cross-business priorities to create outcomes that generate growth. We work as one division to deliver for our clients holistically, reviewing overall relationship economics and cross-sell opportunities that will help shift from optimising to more profitably deploying capital.

We aim to achieve this through low single-digit compound annual income growth combined with disciplined cost management, driving operating leverage.

USCB

We remain committed to executing our strategy and improving returns. We will scale the cards business through organic growth and new partnership acquisitions as appropriate and accelerate USCB's diversification through the Best Egg acquisition.

We are embracing the latest technologies, such as GenAI and agile scalable platforms, to drive greater efficiency and deliver better experiences for our customers.

We continue to enhance our digital capabilities and provide seamless, intuitive experiences across all channels. We will maintain our focus on customer feedback, continually optimise our processes, and invest in tools to reduce friction and drive loyalty and sustainable growth.

Strategic report

Performance measures

Performance measurement

Financial performance measures

The performance of Barclays Bank PLC contributes to the Barclays Group, against which the delivery of strategy is measured.

Income Statement

Barclays Bank Group results For the year ended 31 December	2025 £m	2024 £m	2023 £m
Total income	20,927	19,037	18,268
Operating expenses	(12,593)	(12,245)	(12,270)
UK Regulatory levies	(228)	(242)	(149)
Litigation and conduct	(284)	(186)	(44)
Total operating expenses	(13,105)	(12,673)	(12,463)
Other net expenses	(13)	0	(4)
Profit before impairment	7,809	6,364	5,801
Credit impairment charges	(1,866)	(1,617)	(1,578)
Profit before tax	5,943	4,747	4,223
Taxation	(1,285)	(999)	(662)
Profit after tax	4,658	3,748	3,561
Other equity instrument holders	(783)	(792)	(808)
Attributable profit	3,875	2,956	2,753

Consolidated income statement commentary

The Barclays Bank Group's profit before tax increased 25% to £5,943m mainly driven by strong growth in Global Markets within IB.

The Barclays Bank Group maintains a diverse income profile across businesses and geographies. The appreciation of average GBP against USD negatively impacted income and profits, and positively impacted credit impairment charges and total operating expenses.

Refer to Note 2 Segmental Reporting for the Barclays Bank Group results by reporting segments.

2025 compared to 2024

- Total income increased 10% to £20,927m (FY24: £19,037m)
 - IB income increased 9% to £13,330m (FY24: £12,192m), primarily driven by strong growth in Global Markets across both FICC and Equities, reflecting continued support provided to clients, and was additionally supported by higher income in the International Corporate Bank. This was partially offset by a decrease in Banking fees and underwriting income primarily from a strong prior year comparator in Equity Capital Markets, which included fees booked on a large UK rights issue in Q224. The overall increase includes FX adversity
 - USCB income increased 11% to £3,708m (FY24: £3,351m), driven by organic business growth, the acquisition of the GM portfolio, increased purchase activity, and a c.£40m one-off benefit related to partner rewards in Q425. NII increased 6% to £2,849m, including business growth and repricing initiatives. Net fee, commission and other income increased 29% to £859m driven by purchases and fee growth
 - UKCB income increased 14% to £2,125m (FY24: £1,856m). NII increased 21% to £1,532m, driven by higher average deposit and lending balances, and higher structural hedge income. Net fee, commission, trading and other income was stable at £593m
 - PBWM income increased 6% to £1,418m (FY24: £1,341m), driven by growth in deposit, invested asset and loan balances from net new inflows and market movements
 - Head Office income increased 16% to £346m (FY24: £297m income), mainly driven by the non-recurrence of the prior year loss on sale of the performing Italian retail mortgage portfolio, partially offset by the impact of the disposal of the German consumer finance business in Q125 and a fair value write-down of a legacy portfolio

Strategic report

Performance measures

- Total operating expenses increased 3% to £13,105m (FY24: £12,673m), primarily reflecting investment spend, business growth and inflation, partially offset by efficiency savings and favourable FX movements. Litigation and conduct charges of £284m were mainly related to a charge for motor finance redress in Q325
- Credit impairment charges were £1,866m (FY24: £1,617m), primarily driven by the impact from the acquisition of GM portfolio, an IB single name charge and elevated US macroeconomic uncertainty. US cards 30 and 90 day arrears rates¹ were 3.0% (Q424: 3.0%) and 1.6% (Q424: 1.6%) respectively. The USCB total coverage ratio decreased to 11.1% (December 2024: 11.4%) due to the acquisition of the GM portfolio
- The effective tax rate (ETR) was 21.6% (FY24: 21%). The 2025 ETR includes tax relief on payments made under Additional Tier 1 (AT1) instruments and on holdings of inflation-linked government bonds.

Notes

¹ Including a co-branded cards portfolio classified as assets held for sale

Balance Sheet Information

The following assets and liabilities represent key balance sheet items for the Barclays Bank Group

	2025	2024
As at 31 December	£m	£m
Assets		
Cash and balances at central banks	208,544	180,365
Loans and advances at amortised cost to banks	9,036	8,780
Loans and advances at amortised cost to customers	141,750	136,047
Debt securities at amortised cost	55,153	50,227
Trading portfolio assets	189,743	166,244
Financial assets at fair value through the income statement	185,002	191,845
Derivative financial instruments	252,192	292,356
Liabilities		
Deposits at amortised cost from banks	20,393	13,252
Deposits at amortised cost from customers	324,358	306,124
Financial liabilities designated at fair value	293,527	279,777
Derivative financial instruments	240,757	279,331

Balance Sheet commentary

- Cash and balances at central banks increased £28.2bn to £208.5bn primarily driven by a higher liquidity pool, funded by increased wholesale funding and deposit growth across businesses
- Loans and advances at amortised cost to banks and customers increased £6.0bn to £150.8bn reflecting the strategic focus to grow customer lending in UKCB
- Trading portfolio assets increased £23.5bn to £189.7bn driven by increased trading activity to facilitate client demand in Global Markets, partially offset by the strengthening of spot GBP against USD
- Financial assets at fair value through the income statement decreased £6.8bn to £185.0bn as underlying growth in financing balances were more than offset by increased netting opportunities and the strengthening of spot GBP against USD
- Derivative financial instrument assets and liabilities decreased £40.2bn to £252.2bn and £38.6bn to £240.8bn respectively primarily driven by a reduction in mark-to-market on FX derivatives and strengthening of spot GBP against USD, partially offset by an increase in equity derivatives
- Deposits at amortised cost increased £25.4bn to £344.8bn driven by growth in deposits across International Corporate Bank, treasury and UKCB, partially offset by the strengthening of spot GBP against USD
- Financial liabilities designated at fair value increased £13.8bn to £293.5bn due to increase in client activity and growth in financing balances partially offset by increased netting opportunities and the strengthening of spot GBP against USD

The financial information above is extracted from the financial statements. This information should be read together with the information included in the accompanying consolidated financial statements.

Strategic report

Performance measures

Capital and Other Metrics¹

Barclays Bank PLC capital requirements are set by the Prudential Regulation Authority (PRA) at a solo-consolidated level. Barclays Bank PLC solo-consolidated comprises Barclays Bank PLC, the parent, plus certain additional subsidiaries, whose inclusion within the consolidation is subject to PRA approval.

Leverage minimum requirements are set at the sub-consolidated level for Barclays Bank PLC. The sub-consolidated group represents the Barclays Bank PLC Group on a regulatory scope of consolidation subject to PRA approval. As a result, the Barclays Bank PLC leverage disclosures below are presented at Barclays Bank PLC sub-consolidated level. For further information, refer to Treasury and Capital Risk on page 231.

For the purpose of liquidity management, Barclays Bank PLC and its subsidiary Barclays Capital Securities Limited, a UK broker dealer entity, are monitored on a combined basis by the PRA under a Domestic Liquidity Sub-Group (Barclays Bank PLC DoLSub) arrangement.

	2025	2024
Common equity tier 1 (CET1) ratio	12.7%	12.1%
Total risk weighted assets (RWAs)	£222.2bn	£223.6bn
UK leverage ratio (sub-consolidated)	5.8%	5.8%
Liquidity coverage ratio ^{2,3}	149.7%	147.9%
Net stable funding ratio ⁴	113.3%	112.0%

Notes

- 1 2024 comparatives for Capital, RWAs and Leverage are calculated applying the transitional arrangements in accordance with the CRR. This included IFRS 9 transitional arrangements and the grandfathering of certain capital instruments. Effective from 1 January 2025, these IFRS 9 transitional arrangements no longer applied. Effective from 29 June 2025, the grandfathered instruments no longer qualified as Tier 2 Capital.
- 2 Represents the average of the last 12 spot month end ratios. From June 2025, Barclays implemented a new methodology for calculating net stress outflows related to secured financing transactions in the liquidity coverage ratio.
- 3 Prior period comparators have been re-presented to reflect a change to the calculation of outflows from certain secured financing transactions that was adopted from Q1 2025.
- 4 Represents the average of the last four spot quarter end positions

As at 31 December 2025, Barclays Bank PLC's solo-consolidated CET1 ratio was 12.7%, which exceeded the CET1 minimum regulatory capital requirement of 10.4%.

As a CRR firm, Barclays Bank PLC is required to disclose Return on Assets on a solo-consolidated basis of 0.4% (2024: 0.4%). The Barclays Bank PLC Group Return on Asset is 0.4% (2024: 0.3%).

Non-financial performance measures

Barclays Bank PLC is part of the Barclays Group which uses a variety of quantitative and qualitative measures to track and assess holistic strategic delivery.

Barclays Bank PLC has addressed the Non-Financial Reporting requirements contained in sections 414CA and 414CB of the Companies Act 2006 through the disclosure contained in the Barclays PLC Annual Report 2025 on pages 44 to 47.

Strategic report

Managing risk

The Barclays Bank Group is exposed to internal and external risks as part of its ongoing activities. These risks are managed as part of our business model.

Enterprise Risk Management Framework

At Barclays Bank Group, risks are identified and overseen in accordance with the Enterprise Risk Management Framework (ERMF), which supports the business in its aim to embed effective risk management and a strong risk management culture.

The ERMF governs the way in which the Barclays Group identifies and manages its risks.

The management of risk is then embedded into each level of the business, with all colleagues being responsible for identifying and controlling risk.

Financial crime risk was elevated to a principal risk in the ERMF, effective from 1 January 2025. Previously, financial crime risk was managed as part of compliance risk. Recognising the increased external threat of financial crime, this change will enhance transparency and visibility of financial crime risk within the Barclays Bank Group and reinforce independent assessment, management and oversight of financial crime risk.

Risk appetite

Risk appetite defines the level of risk we are prepared to accept across the different risk types, taking into consideration varying levels of financial and operational stress. Risk appetite is key to our decision-making processes, including ongoing business planning and setting of strategy, new product approvals and business change initiatives.

The Barclays Bank Group may choose to adopt a lower risk appetite than allocated to it by the Barclays Group but cannot approve a higher risk appetite limit than determined by the Barclays PLC Board without its approval.

Three lines of defence

The first line of defence comprises the revenue-generating and client-facing areas, along with all associated support functions, including Finance, Treasury, Human Resources and Operations and Technology. The first line identifies the risks, sets the controls and escalates risk events to the second line of defence. Employees in the first line have primary responsibility for their risks and their activities are subject to oversight from the relevant parts of the second and third lines.

The second line of defence is made up of Risk and Compliance and oversees the first line by setting limits, rules and constraints on their operations, consistent with the risk appetite.

The third line of defence comprises Internal Audit, and provides independent assurance to the Barclays Bank PLC Board and the Barclays Bank PLC Executive Committee on the effectiveness of governance, risk management and control over current, systemic and evolving risks.

The Legal function provides support to all areas of the Barclays Bank Group and is not formally part of any of the three lines of defence. The Legal function is responsible for proactively identifying, communicating and providing legal advice on applicable laws, rules and regulations. Except in relation to the legal advice it provides or procures, it is subject to second line oversight with respect to its own operational and compliance risks, as well as with respect to the legal risk to which the Barclays Bank Group is exposed.

Monitoring the risk profile

Together with a strong governance process, using business and Barclays Group level Risk Committees, as well as Board level forums, the Barclays Bank PLC Board receives regular information in respect of the risk profile of the Barclays Bank Group. Information received includes measures of risk profile against risk appetite as well as the identification of new and emerging risks, which are derived by mapping risk drivers, identified through horizon scanning, to risk themes, and similar analysis. For further details of monitoring risks please refer to page 122.

In 2025, Barclays conducted an internal macroeconomic stress test under a severe 'Global Fragmentation' scenario, reflecting heightened US protectionism, inflationary pressures, and climate-related shocks. The exercise evaluated resilience to a UK recession, US economic contraction, and climate risks, testing vulnerabilities such as credit impairments, net interest income margin compression, and trading losses. The assessment confirmed the Group's resilience across capital, liquidity, and profitability, ensuring continued viability under adverse conditions.

We believe that our structure and governance supports us in managing risk in the changing economic, political and market environments.

For further detailed analysis of our approach to risk management and risk performance see the full Risk review on pages 118 to 261.

The Enterprise Risk Management Framework defines ten Principal Risks ¹			
	Principal Risks	Risks are classified into Principal Risks, as below	How risks are managed
Principal Risk	Climate Risk	The risk of financial losses arising from climate change through, physical risks and risks associated with transitioning to a lower carbon economy.	A risk management framework has been implemented for managing financial and operational risks from climate change across Barclays' first and second line activities. Barclays has enhanced its capabilities for identifying, assessing and quantifying the impact of climate physical and transition risks in the financed portfolios. Climate-related scenario analysis forms a key part of Barclays' approach to assessing and quantifying the impact of both physical and transition risks. In addition, climate-related risk management activities are performed which includes setting risk appetite, monitoring key risk drivers, applying limits and controls to stay within appetite, and undertaking relevant reporting.
	Credit Risk	The risk of loss to the Barclays Bank Group from the failure of clients, customers or counterparties (including sovereigns) to fully honour their obligations to the Barclays Bank Group, including the whole and timely payment of principal, interest, collateral and other receivables.	Credit risk teams identify, evaluate, sanction, limit and monitor various forms of credit exposure, individually and in aggregate. The first line deliver business plans and products within risk appetite and all limits set by the second line, by maintaining detailed financial forecasts, applying controls and managing risks to which they are exposed.
	Market Risk	The risk of loss arising from potential adverse changes in the value of the Barclays Bank Group's assets and liabilities from fluctuation in market variables including, but not limited to, interest rates, foreign exchange, equity prices, commodity prices, credit spreads, implied volatilities and asset correlations.	Market risk teams use a range of complementary approaches to identify and evaluate traded market risk exposures. These risks are measured, limited and monitored by market risk specialists. The first line conduct trading activities within the risk appetite and all mandate & scale limits set by the second line.
	Treasury and Capital Risk	Liquidity Risk: The risk that the Barclays Bank Group is unable to meet its contractual or contingent obligations or that it does not have the appropriate amount, tenor and composition of funding and liquidity to support its assets. Capital Risk: The risk that the Barclays Bank Group has an insufficient level or composition of capital to support its normal business activities and to meet its regulatory capital requirements under normal operating environments and stressed conditions (both actual and as defined for internal planning or regulatory testing purposes). This also includes the risk from the Barclays Bank Group's pension plans. Interest Rate Risk in the banking book (IRRBB): The risk that the Barclays Bank Group is exposed to capital or income volatility because of a mismatch between the interest rate exposures of its (non-traded) assets and liabilities. This also includes credit spread risk in the banking book, the risk that the Barclays Bank Group is exposed to capital or income volatility because of changes in credit spreads on its (non-traded) assets and liabilities.	Treasury and Capital risk is identified and managed by specialists in capital, liquidity and asset and liability management teams. A range of risk management approaches are used such as limits, plan monitoring and stress testing. The assessment of liquidity risk should be comprehensive in assessing all sources of liquidity risk, representing all of the assets and liabilities, on-balance sheet and off-balance sheet items including at the regional and legal entity levels. Capital risk is predominantly assessed and controlled on a forward-looking basis through the means of capital forecasts and capital plans. Key capital risks must be identified well in advance to allow for mitigating actions to be agreed and become effective. Pension risks are monitored regularly and reported to relevant stakeholders and committees to support discussions with the relevant pension fund's actuaries and trustees. IRRBB assessment uses earnings and value type metrics and it takes into account the type of IRRBB, the accounting nature and direct impact to earnings or capital; and, the appropriate holding period of the risk.

Principal Risk	Operational Risk	The risk of loss to the Barclays Bank Group from inadequate or failed processes or systems, human factors or due to external events (for example fraud) where the root cause is not due to credit or market risks.	Operational risks are managed in accordance with the Operational Risk Framework, owned and overseen by the second line. The primary responsibility for the management of operational risk rests within the business and functional units where the risk arises. Management complete Risk and Control Self-Assessments to assess operational risks and the effectiveness of the controls within processes. Identified risks, events and issues are escalated to senior management and the Board to ensure timely notification and to agree the appropriate response.
	Model Risk	The potential for adverse consequences from decisions based on incorrect or misused model outputs and reports.	Model risk is managed in accordance with the Model Risk Management Framework supported by the Model Risk Policy and associated Standards . Model risk management applies a set of controls to identify and mitigate model risk within the Bank's approved risk appetite which are centred around independent model validation. Model risk appetite is managed by residual risk tolerances, where applicable, commensurate with the nature and type of models used.
	Compliance Risk	The risk of poor outcomes for, or harm to, customers, clients and markets, arising from the delivery of the Barclays Bank Group's products and services (also known as 'Conduct Risk') and the risk to Barclays, its clients, customers or markets from a failure to comply with the laws, rules and regulations applicable to the Barclays Bank Group (also known as Laws, Rules and Regulations Risk 'LRR Risk').	The first line is accountable for the overall assessment and management of compliance risks in their business or function and are responsible for implementing the requirements outlined in the Compliance Risk Management Framework (CRMF). Compliance must oversee adherence to the CRMF and the management of compliance risk, and provide independent second line of defence oversight to all Barclays businesses, providing advice and challenge where appropriate.
	Financial Crime Risk	The risk that the Barclays Bank Group and its associated persons (employees or third parties) commit or facilitate financial crime, and/or, the Barclays Bank Group's products and services are used to facilitate financial crime. Financial crime undermines market integrity and may result in: harm to clients, customers, counterparties or employees; diminished confidence in financial products and services; damage to the Barclays Bank Group's reputation; regulatory breaches; and/or financial penalties.	The first line is accountable for the overall assessment and management of financial crime risks in their business or function and are responsible for implementing the requirements outlined in the Financial Crime Risk Management Framework (FCRMF). Financial Crime must oversee adherence to the FCRMF and the management of financial crime risk, and provide independent second line of defence oversight to all Barclays businesses, providing advice and challenge where appropriate.
	Reputation Risk	The risk that an action, transaction, investment, event, decision, or business relationship will reduce trust in the Barclays Bank Group's integrity and/or competence.	Reputation risk is managed in accordance with the Group-wide Reputation Risk Management Framework (RRMF) supported by Reputation Risk Policies and associated Standards. Each business assesses reputation risk using standardised tools and the governance is fulfilled through management committees and forums, with clear escalation and reporting lines to the Group Board.
	Legal Risk	The risk of loss or imposition of penalties, damages or fines from the failure of the Barclays Bank Group to meet applicable laws, rules and regulations or contractual requirements or to assert or defend its intellectual property rights.	Legal risk is managed by the identification and management of legal risks by the Legal function and the escalation of legal risk as necessary. The Barclays Bank Group's businesses and functions have responsibility for engagement of the Legal function in situations that have the potential for legal risk. Legal risk is also mitigated by the requirements of the compliance risk management framework, including the responsibility of the legal professionals to proactively identify, communicate and provide legal advice on applicable laws, rules and regulations.

Note

- 1 The ERMF defines ten Principal risks. For further information on how these Financial and Operational Principal Risks apply specifically to the Barclays Bank Group, please see page 120.

Strategic report

Customer and clients

The following sub-sections include a summary of the Barclays Bank PLC specific items from the Barclays PLC Annual Report 2025, references to 'our' and 'we' refer to Barclays Bank PLC as part of the wider Barclays Group. For full details, refer to the Customer and clients section of the Barclays PLC Annual Report 2025.

Providing an excellent customer and client experience is key to our strategy. We seek to understand our customers' and clients' expectations and aspirations, developing products and services to build their trust and support them to achieve their ambitions.

Engaging with customers and clients

Barclays Bank PLC is committed to serving our customers' and clients' best interests - and improving their experience is a key priority for the bank as we strive to make Barclays Bank PLC better. We frequently engage with customer and clients in a variety of ways - including running regular surveys, analysing customer complaints, direct interaction and drawing on data from millions of individual transactions - building our understanding of their evolving needs and enabling us to adapt to our products and services accordingly.

In UK Corporate Bank

In UK Corporate Bank we are committed to helping clients invest in their future. We measure client feedback across various channels - starting with colleagues, and ensuring feedback from every interaction and conversation with clients is heard, understood and acted upon. We also leverage independent research from external providers throughout the year to assess how well we're meeting client needs, and identify opportunities to continually improve.

Our UK Corporate Bank is focused on delivering against a multi-year plan to provide a more seamless experience for clients. We're doing this with enhanced digital and self-serve capabilities, ensuring client journeys are faster and easier to complete, and delighting them with best-in-class service.

While we recognise there is more to do, the progress we are making on the delivery of our multi-year plan is promising. Our clients continue to value both the expertise of our colleagues and the strength of our relationships with them - citing us as easy to do business with, easy to communicate with, and responsive.

In Private Bank and Wealth Management

In PBWM, our priority is to put clients at the heart of everything we do. We are committed to offering products and services that not only meet, but consistently exceed client expectations. By drawing on the full expertise and resources of the Barclays Bank Group, we ensure our clients benefit from specialist knowledge and strong, trusted relationships with our colleagues.

To better understand and anticipate client needs, we use a variety of channels including direct feedback and satisfaction analysis - and we are expanding these insight capabilities in 2026. This feedback drives continuous improvements to our offering, resulting in meaningful enhancements to the client experience.

Digital capabilities continue to be a key focus, and we're introducing functionality to give Private Bank clients a comprehensive digital view of their full relationship with Barclays Bank PLC. We have also streamlined our onboarding process, making it faster and simpler for new clients to join us. For our digital investing platform, we've made it easier for clients to discover and purchase funds along with a simpler pricing structure.

In Investment Bank

In the Investment Bank, by reflecting on engagement with and feedback from our clients, we continued to build the expertise, knowledge and capabilities they're looking for.

We continue to invest in technology to improve client experience. BARXBot, our newly launched AI-powered assistant, is integrated with internal and external applications. It displays real-time quotes and pricing in the bank's trading platform - ready for the team to review and send to clients.

We're maintaining client centricity through our newly launched Global Treasury Coverage model - creating stronger connectivity between our International Corporate Banking, Debt Capital Markets, Risk Solutions Group, Corporate FX, Sustainable Banking and Policy Advisory teams. Our Lead Treasury Bankers have driven co-ordination across our product and coverage teams to ensure seamless client coverage, and to deliver more creative and tailored solutions for our clients.

In US Consumer Bank

In USCB, we are committed to actively engaging with our customers and ensuring their voices shape the customer experience. Our enhanced Voice of the Customer (VoC) platform systematically collects and analyses insights, while cross-functional data analysis and benchmarking help us deliver world-class experiences. Our contact centre uses AI to summarize customer conversations resulting in improved accuracy and reduced average call handle time.

Strategic report

Customer and clients

In 2025, USCB embedded a customer-centric transformation strategy to make it simpler for customers to apply and use their card, manage their account, enjoy rewards and benefits, and get help when they need it. We mapped each customer journey end to end, identified pain points and prioritised improvements based on customer feedback and impact potential.

Strategic report

Colleagues

The following sub-sections include a summary of the Barclays Bank PLC specific items from the Barclays PLC 2025 Annual Report. For full details, refer to the Colleagues section of the Barclays PLC 2025 Annual Report. Figures mentioned are for the Barclays Group, other than where specifically mentioned.

At the heart of achieving our plan to make Barclays simpler, better and more balanced are our colleagues. We are united by a shared Purpose, Values and Mindset, delivering to a consistently excellent standard in all we do - and we are making Barclays Bank PLC a great place to work, where every colleague can reach their potential.

For more information on our commitment to our colleagues, see [home.barclays/sustainability/esg-resource-hub/reporting and disclosures/](https://home.barclays/sustainability/esg-resource-hub/reporting-and-disclosures/)

Engaging with colleagues

Sharing our strategy with colleagues - and explaining how they can contribute towards its delivery - has been a key part of our 2025 engagement. Regular, two-way dialogue helps us understand what is working well across the organisation and where we can improve.

Engagement with colleagues is delivered through townhalls, skip-level meetings, site visits, leader-led events, focus groups and surveys. Through our bi-annual Your View survey, our people can share their feedback on working at Barclays. We are committed to a respectful and inclusive environment where everyone feels safe to speak up. Our processes for raising concerns and whistleblowing provide channels for anonymous colleague feedback.

Our longstanding partnership with Unite in the UK offers further insight into the views of our people. We continue to consult with Unite on major change programmes to minimise job losses and prioritise reskilling and redeployment.

Embedding a consistently excellent standard

A consistently excellent standard is what we expect of ourselves - and what our customers, clients and all our stakeholders trust us to deliver. This continues to be an integral part of our culture and a key enabler of our three-year plan.

Our consistently excellent culture-change programme continued to embed these standards across the organisation. Throughout 2025, local initiatives across divisions and functions supported Group-wide efforts to simplify processes, strengthen risk and control, and drive efficiency.

A consistently excellent standard is now embedded in HR tools, processes and products from hiring and induction, to performance management, promotions and development programmes.

In 2025, workshops were delivered to our colleagues globally, creating strong understanding across the organisation of what it means to deliver to a consistently excellent standard. We also launched the Risk and Control Digital Credential (RCDC) – our first Group-wide, externally accredited online learning programme, certified by the Institute of Risk Management. The RCDC equips colleagues with the knowledge and skills to proactively manage risk and strengthen controls. This initiative marked a significant step in our ongoing commitment to strong risk management and delivering to a consistently excellent standard.

Investing in our talent

Our talent ambition is to help our colleagues grow, develop and thrive at every level of our organisation, building a strong talent pipeline for the future. In 2025, we strengthened how we identify, assess and develop high-potential talent, introducing greater rigour and consistency, through implementing our Talent Management Standards including a consistent definition of potential, approach to talent reviews and calibration. We delivered accelerator programmes and sponsorship initiatives and continued our Evolution leadership development programme. We also offered senior leaders a suite of practical tools, targeted workshops, and resources to develop their skills.

In 2025, we continued hiring interns, graduates and apprentices, and continued building on our relationships with key partners to support inclusive access to all our opportunities. Barclays won the National Graduate Recruitment Award for Most Popular Graduate Recruiter in Banking, Insurance and Financial services and was ranked in the top 20 in The Times Top 100 Graduate Employers list – recognising our focus on our Early Careers population as a key talent pipeline for the future.

We simplified and personalised learning for colleagues and invested in technology to support our People Leaders' development. For example, by piloting virtual coaching for our People Leaders and newly promoted Managing Directors (MDs) and expanding the deployment of our 360-feedback tool.

In 2025 we focused on enhancing our alumni proposition – including by launching a differentiated experience for our Executive Alumni. Our Group CEO hosted our first-ever MD alumni networking event in London, attended by members of the Executive Committee and Board.

Strategic report

Colleagues

Our inclusive culture

We are evolving our approach to Inclusion and Opportunity with a focus on empowering our colleagues and leaders and driving company success - cultivating high-performing teams and providing rich opportunities for colleagues to progress, while aspiring to hire from the broadest global talent pools. We are committed to creating a workplace where everyone feels valued and respected, within a culture of belonging and equal opportunity for all.

Supporting our workforce

Helping our people perform at their best remains a priority. Barclays provides a range of support for colleagues through its policies covering annual leave, life events, health issues, family and caring and flexible working.

We support colleague wellbeing with data-driven campaigns that encourage healthy habits and a positive culture, supported by our mental health awareness eLearning and our 'Be Well' online wellbeing portal. We also continued to enhance our provision for colleagues in the UK with an updated Employee Assistance Programme providing additional mental health support to their family members.

Rewarding our colleagues

We offer eligible colleagues the opportunity to acquire Barclays shares on beneficial terms. In recognition of colleagues' collective effort towards delivering our three-year plan and the effort that is still required, in February 2025 we granted colleagues a share award and in 2026 we will grant a similar colleague share award, for a second successive year.

In July 2025, all UK colleagues were given access to Barclays Premier Banking, which offers a suite of exclusive products, services, and benefits.

Enhancements to policy provisions

In 2025, we focused on aligning to our global policies to better support our colleagues and People Leaders in managing their work life at Barclays.

In November, we announced that our paternity leave policy in the UK will increase from two weeks to 16 weeks, and that the non-primary caregiver leave policy in Asia Pacific will increase from six weeks to ten weeks. Effective from 1 January 2026, these updates aim to help new parents spend more time with their families and support colleagues in balancing work and personal life.

Our people policies

Our people policies¹ help us recruit the best people, provide equal opportunities and create an inclusive culture - in line with our Purpose, Values and Mindset, and in support of our long-term success. They are reviewed and updated regularly to ensure they remain aligned with our broader people strategy.

As part of our Fair Pay Agenda, we are committed to paying our colleagues fairly and appropriately relative to their role, seniority, skills, experience and performance. We pay at least a living wage in all our locations and provide colleagues with resources to ensure everyone has equal opportunity to progress.

Note

¹ Our policies reflect relevant employment law, including the provisions of the Universal Declaration of Human Rights and the International Labour Organisation (ILO) Declaration on Fundamental Principles and Rights at Work.

The following sub-sections include a summary of the Barclays Bank PLC specific items from the Barclays PLC Annual Report 2025, references to 'our' and 'we' refer to Barclays Bank PLC as part of the wider Barclays Group. For full details, refer to the Society section of the Barclays PLC Annual Report 2025.

Our success is measured not only by our commercial performance, but also by our contribution to society and the way we work together for a better financial future for all our stakeholders. Our focus on society falls broadly into three categories: Climate, Communities and Suppliers.

Climate

In 2025, Barclays published the Barclays Transition Update, reiterated the ambition to be a net zero bank by 2050 and outlined how Barclays will continue to deliver against the strategy. In recognition of the realities of the transition and to balance this climate ambition, shareholder expectations and deliver this strategy, Barclay outlined in the Barclays Transition Update how the approach has evolved to focus on: working with clients on the transition, financing clients' transition and scaling climate tech, while integrating nature and social considerations. Barclays Bank Group will, alongside other Barclays Group companies, contribute to achieving the ambition to be a net zero bank by 2050.

We recognise we have an important role to play in the transition, we cannot tackle this challenge on our own and that Barclays' ability to implement its climate strategy and deliver against its targets depends heavily on its clients progress and a wide range of external factors. We will consider and adapt our approach as needed to reflect the evolving landscape.

Please see the Climate and Sustainability Report in the Barclays PLC Annual Report 2025 and the Schedule to the Directors' Report: Sustainability Statement on page 40.

Communities

Barclays seeks to make a positive impact in the communities where we operate by striving to help people build the skills and confidence they need to progress and by supporting businesses to grow.

Based on data and insight from our community partners, and aligned to business priorities, we evolve our programmes to help ensure they deliver meaningful and measurable benefit.

Skills and employability

A skilled workforce is essential for business growth and community prosperity – and supports a vibrant economy. Since 2023, our programmes have reached more than 8.16m people globally, helping them develop skills, confidence and connections.

Sustainable growth

Barclays understands that communities around the world rely on businesses to drive innovation and sustainable growth. Leveraging our resources, networks, and expertise, we offer comprehensive support to help businesses grow – from idea to IPO – through the programmes, dedicated workspaces and investment opportunities we provide. Since 2023, our initiatives have assisted over 14,000 businesses.

Charitable giving and community investment

We encourage our colleagues to support the causes they care about. In 2025, more than 4,900 employees around the world used matched funding from Barclays to amplify their fundraising and personal donations to their chosen charities – contributing a total of £9.4m (including matched donations) to 1,980 organisations. Through our UK Payroll Giving programme, 8,200 colleagues gave £1.2m in total, with matching support.

We also invest directly in our communities by providing funding and sharing our skills with trusted charities, non-governmental organisations and social enterprises. In 2025, our total investment – including charitable donations, management costs and the value of colleagues' time – reached £49.1m.

Suppliers

Barclays engages with Third-Party Service Providers (TPSPs), seeking to integrate sustainability considerations across our supply chain.

For full details on Climate, Communities and Suppliers, refer to the Society section of the Barclays PLC Annual Report 2025.

Strategic report

Section 172(1) statement

How the Board has regard to the interests of stakeholders

In accordance with the Companies Act 2006 (the Act), this statement sets out how the Directors have had regard to the matters set out in Section 172(1) of the Act when performing their duty to promote the success of the Company for the benefit of its shareholders as a whole and to have regard to:

- a. the likely consequences of any decision in the long term;
- b. the interests of employees;
- c. the need to foster business relationships with suppliers, customers and others;
- d. the impact of operations on the community and the environment;
- e. the desirability of maintaining a reputation for high standards of business conduct; and
- f. the need to act fairly as between shareholders.

Overview

Throughout the year, the Board and individual Directors engage directly and indirectly with a range of stakeholders to ensure they have a deep understanding of the impact of the Barclays Bank Group's operations on key stakeholders, as well as their interests and views. This includes meeting with customers and clients, colleagues, investors, key regulators, non-governmental organisations (NGOs) and other stakeholders. This engagement, both directly and through reporting by executive management, to whom the day-to-day operations of the business are delegated, supports the Directors in complying with their legal duty under Section 172(1).

For more information on the Company's key stakeholder groups and how we listen and respond to them, please refer to the "Customer and Clients", "Colleagues" and "Society" sections of the Strategic Report. Further relevant information regarding the Barclays Group's key stakeholder groups and how we listen and respond to them can be found in the "Our Stakeholders" section of the Barclays PLC Annual Report 2025.

You can find out more about how the Directors have had regard to the matters set out in Section 172(1) when discharging their duty, and the effect of those considerations in reaching certain decisions below and in the "What the Board did in 2025" section of the Governance Report.

During 2025 the Board considered (i) the evolution of the technology strategy and digital transformation plans in order to both protect the bank and its clients and customers and to support the aim to deliver a best in class client and customer experience; (ii) how to ensure continued operational and cyber resilience and meet regulatory expectations; and (iii) delivery and continued evolution of the Barclay Bank Group's strategy.

Board oversight of technology, digital and cyber and operational resilience

Driving the technology strategy and digital transformation

Digital transformation and innovation is an imperative for financial services businesses in keeping pace with rapidly changing customer expectations and shareholder demands, in a highly regulated, competitive and complex environment where customer experience is key and the use and protection of customer data is paramount. Reflective of this, throughout 2025, the Board remained focused on the continued development of the Barclays Bank Group's technology strategy and ambitions. This included monitoring and overseeing the ambition and progress of technology initiatives by way of regular updates from the Group Chief Executive, the Group Co-Chief Operating Officers, business and function heads and the Group Transformation Office with spotlights on automating customer journeys and improving operating effectiveness.

Understanding how technology can help the Barclays Bank Group's customers and clients by making things simpler and safer, and building and maintaining trust and confidence has also been an area of ongoing interest for the Board. The Board supported the steps taken as part of the Barclays Group's 'Simpler, Better and More balanced' strategy focused on customer service transformation, including evaluation of performance against the aligned Key Performance Indicators (KPIs) (Net Promoter Score, Complaints, Digital engagement). During 2025, Board members met with a number of clients to hear their perspectives on how the Barclays Bank Group is performing and where further enhancements can be made to client service and technology capabilities.

The Board regularly reviewed customer data metrics, including complaints and other non-financial KPIs to champion best in class customer service and continued good customer outcomes. In May, the Board approved retention of the role of the Consumer Duty Board Champion for a further year to support continued oversight of the ongoing embedment of the Consumer Duty across the Barclays Bank Group. The Board approved a regulatory Consumer Duty report in July, which indicated that Barclays Bank Group is continuing to deliver good outcomes for its customers, consistent with the Consumer Duty.

In addition to ongoing oversight of the Barclays Bank Group's digital transformation, to further enhance its understanding of technology matters, in June the Board travelled to San Francisco to meet with leaders of world-leading technology-first organisations about how their businesses have been at the frontier of technological change, to hear about how they have successfully navigated digital transformations, piloted emerging technologies, and generated a culture of rapid iteration,

Strategic report

Section 172(1) statement

while also keeping customers safe. This provided the Board with an opportunity to reflect on how these lessons could be applied to the Barclays Bank Group, including the role of the Board in overseeing and navigating the change ahead.

The Board considered how the Barclays Bank Group is fostering the development of the capabilities and talent that are essential for supporting the Barclays Bank Group's digital agenda. Driving digital transformation is key both to the delivery of the products and services customers expect from us and to supporting the work of the Barclays Bank Group's colleagues. In April, the Chairman and the Chair of the Board Audit Committee visited India to meet with colleagues working on automation (including the use of AI responsibly) and digitisation of customer journeys to see end-to-end how processes are designed with a customer mindset. Reflective of this, the Board has also regularly considered key non-financial KPIs to assess whether the Barclays Bank Group is creating the right operating environment to make it simpler and more straightforward for colleagues to get things done.

Focus on operational and cyber resilience

The Board's focus on technology transformation included oversight of operational and cyber resilience matters and technology infrastructure. This involved an evaluation of the wide range of risks associated with the scale of change required in response to an ever-evolving cyber-threat landscape. The Board provided oversight and challenge of the completeness and effectiveness of the programme of work to enhance cybersecurity capabilities and drive long-term resilience and, through the work of the Board Risk Committee, explored the AI threat landscape. The Board has continued to critically assess the risks associated with technology and digital transformation, including cybersecurity, operational resilience and data privacy, factoring ethical and reputational considerations in conjunction with regulatory expectations, and ensuring the Barclays Bank Group has the necessary capabilities to support a digitally driven agenda.

Following the 31 January 2025 IT incident that impacted Barclays' business in the UK, the Board and Board Risk Committee maintained close oversight of the incident review. The Board was kept informed of the approach to customer support and remediation and discussed with management the lessons that could be learned from the incident to improve the overall operational resilience of the Barclays Bank Group.

Considering the broader threat landscape, the Board monitored high-profile cybersecurity breaches in 2025 across banks, payment systems, retail and government institutions, using these as opportunities to further assess the resilience of Barclays Bank Group's systems and potential responses.

Oversight of delivery and continued evolution of the Barclays Bank Group's strategy

The Barclays PLC Annual Report 2024 set out the Barclays Group's three-year plan to create a 'Simpler, Better and More balanced' bank to improve operational and financial performance, and total shareholder returns.

During 2025 the Board has overseen and evaluated the Barclays Bank Group's delivery of the strategy with regular updates from each business head covering matters including financial performance, customer and client service experience, strategic technology investment, and talent development. In approving the BBPLC medium term plan, the Board balanced the need for financial strength, consistent performance, prudent risk management and ongoing investment in support of the pursuit of operational excellence.

Building on our progress to date, the Board has considered with management how the Barclays Bank Group's strategy will continue to evolve to enable it to deliver more for our customers, clients and shareholders, to continue to invest further to improve customers' experience and deepen relationships, while harnessing new technology, including AI, to improve efficiency and build segment-leading businesses and drive further growth. This was reflected in the Board overseeing and ultimately endorsing new targets to 2028.

Nigel Higgins

Chairman – Barclays Bank PLC

9 February 2026

Governance

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Governance

Corporate governance statement

The Board[△]

Details of the Directors who served during the financial year ended 31 December 2025 are set out in the table below, together with the composition of each of the Board's Committees.

We welcomed Mary Mack to the Board as a Non-Executive Director with effect from 1 June 2025. Diane Schueneman stepped down from the Board with effect from 31 January 2025 and Mary Francis is to retire from the Board with effect from 6 May 2026. The Board is grateful to both Diane and Mary for their invaluable contribution to the Board during their respective tenures.

	Board	Nominations Committee	Audit Committee	Risk Committee	Remuneration Committee	Sustainability Committee
Nigel Higgins ¹ Chairman of the Board	C	C			M	C
Robert Berry Independent Non-Executive Director	M		M	C		M
Anna Cross Executive Director	M					
Dawn Fitzpatrick Independent Non-Executive Director	M			M	M	M
Mary Francis ⁴ Independent Non-Executive Director	M				C	M
Mary Mack ² Independent Non-Executive Director	M					
Marc Moses Independent Non-Executive Director	M		M	M		
Brian Shea Independent Non-Executive Director	M					
C.S. Venkatakrishnan Executive Director	M					M
Julia Wilson Independent Non-Executive Director	M	M	C	M	M	M
Former Directors						
Diane Schueneman ³ Independent Non-Executive Director	M	M	M			

C Chair of Board or Board Committee.

M Member of Board or Board Committee.

1 Nigel Higgins was appointed as a member of the Board Remuneration Committee with effect from 31 January 2025.

2 Mary Mack was appointed to the Board with effect from 1 June 2025.

3 Diane Schueneman stepped down from the Board and as a member of the Board Nominations and Audit Committees with effect from 31 January 2025.

4 Mary Francis is to step down from the Board, as Chair of the Board Remuneration Committee and as a member of the Board Remuneration and Sustainability Committees with effect from 6 May 2026.

Attendance

Directors are expected to attend every Board meeting. During 2025, there were three ad hoc Board meetings held in addition to seven scheduled meetings.[△] Attendance at meetings in 2025 is set out in the table below. Owing to other commitments, some Directors were unable to attend certain ad hoc Board meetings, however they received papers in advance and had the opportunity to share their views with the Chair ahead of the meetings.

Director	Meetings attended / eligible to attend	Ad hoc meetings attended / eligible to attend	Effective date
Nigel Higgins	7/7	3/3	Appointed 1 March 2019
Robert Berry	7/7	3/3	Appointed 8 February 2022
Anna Cross	7/7	3/3	Appointed 23 April 2022
Dawn Fitzpatrick	7/7	2/3	Appointed 25 September 2019
Mary Francis	7/7	3/3	Appointed 25 September 2019
Mary Mack	5/5	1/1	Appointed 1 June 2025
Marc Moses	7/7	2/3	Appointed 23 January 2023
Brian Shea	7/7	3/3	Appointed 19 July 2024
C.S. Venkatakrishnan	7/7	3/3	Appointed 1 November 2021
Julia Wilson	7/7	3/3	Appointed 1 April 2023
Former Directors			
Diane Schueneman	0/0	0/1	Stepped down 31 January 2025

[△] Information subject to limited assurance in accordance with (ISAE) (Ireland) 3000

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Overview of governance framework

Membership of the BPLC and BBPLC Boards is partially consolidated to drive efficiency and co-ordination, whilst also reducing complexity and unnecessary duplication. Consequently, the BBPLC Board is composed of a subset of the BPLC Board, with all members of the BPLC Board (except for the Senior Independent Director, the Chair of Barclays Bank UK PLC (BBUKPLC) and at least one other Non-Executive Director) also serving on the BBPLC Board. This structure facilitates oversight of the activities of BBPLC, in addition to which Board members have direct accountability to BPLC's shareholders through their separate responsibilities as members of the BPLC Board.

The Board is committed to high standards of corporate governance and, in accordance with the Companies (Miscellaneous Reporting) Regulations 2018 (the 2018 Regulations), has adopted its own corporate governance arrangements, which it considers are appropriate to apply and are designed to facilitate effective decision-making to promote BBPLC's long-term success.

The Board has chosen not to adopt and report against the UK Corporate Governance Code (Code), which is intended for companies with listed equity securities. Furthermore, whilst fully supportive of the Wates Corporate Governance Principles for Large Private Companies (in particular the focus on purpose, culture and colleague and stakeholder engagement), the Board considers that the Wates Principles are less appropriate for a wholly-owned subsidiary of a listed company, which is also a complex financial institution subject to a comprehensive regulatory regime. This is consistent with the approach of other significant subsidiaries within the Barclays Group which are subject to the 2018 Regulations.

Our governance framework is designed to:

- ensure we have an effective and entrepreneurial Board which makes decisions and provides oversight to promote BBPLC's success, creating long-term sustainable value for its shareholder and the ultimate shareholders of BPLC, having regard to the interests of all our other stakeholders
- ensure that our decision-making is aligned to our Purpose, Values and Mindset
- be effective in providing constructive challenge, advice and support to management
- provide checks and balances and drive informed, collaborative and accountable decision-making.

Set out below are the principles which underpin our corporate governance arrangements and how these principles have been applied during 2025. Certain additional information, signposted throughout this section, is also available in the Strategic report.

The Barclays Group-wide governance framework, which is set by BPLC, is designed to enable the effective management of the Barclays Group. This includes the setting of Barclays Group policies and approach in relation to matters such as Barclays' Purpose, Values and Mindset, Barclays' Remuneration Policy and Barclays' *Charter of Expectations*. Where appropriate, this corporate governance statement makes reference to those Barclays Group-wide policies, which are relevant to the way in which the Company is governed.

The Company's corporate governance principles and how the Company has applied them during 2025 and to the date of this report

Principle One: Board leadership and company purpose

A successful company is led by an effective and entrepreneurial board, whose role is to establish the company's purpose, values and strategy, satisfying itself that these and its culture are aligned, and make decisions to promote its success for the long-term benefit of its shareholder, having regard to the interests of other relevant stakeholders and factors.

- Through the leadership of the Board, a clear vision of Barclays' Purpose, Values and Mindset is articulated, underpinning and defining BBPLC's strategy and culture, with a drive to embed this at every level of the organisation.
- Given its fundamental importance, the Board regularly considered strategy matters throughout the year, including delivery against the Barclays Bank Group's elements of Barclays' three-year strategy and consideration of the new financial and operational targets through to 2028 to be announced on 10 February 2026. Further detail on the Company's strategy can be found from page 1 of the Strategic report and details of the Barclays Group strategy can be found within the Strategic report of the Barclays PLC Annual Report 2025.
- The Board supports The Barclays Way, which provides the path for achieving a dynamic and positive culture. The Board believes that a positive culture, supported by effective leadership and a consistent 'tone from the top', is crucial to our success.

What the Board did in 2025

The key areas of focus for the Board in 2025 are set out below.

Strategy and operational matters

- Considered strategy matters regularly throughout the year. In addition, regular reviews of the Private Bank and Wealth Management (PBWM), Global Markets, Investment Banking, US Consumer Bank (USCB) and UK Corporate Bank (UKCB) businesses enabled the Board to consider the key risks and opportunities for each of the businesses and monitor their progress against the targets set out in the Barclays Group's three-year plan.
- In Q3 2025, approved the acquisition of Best Egg, Inc. by Barclays Bank Delaware.

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- Received focused updates on matters of Barclays Group-wide relevance, including financial crime risk, cybersecurity,[△] operational resilience and transformation initiatives to support the delivery of the strategy. Our Section 172(1) statement from page 18 discusses the Board's consideration of stakeholder interests as part of its oversight of technology strategy.
- Reviewed and approved the BBPLC 2025 Medium Term Plan (MTP).
- Considered updates on climate and sustainability strategy through reports from the Board Sustainability Committee. A key focus during the year was the Barclays Transition Update and the Board confirmed its support for the parts of the Transition Update that relate to BBPLC's businesses. Other matters reported by the Board Sustainability Committee included updates on the Barclays Group's approach to nature and identifying and managing human rights risk. The Board also received an update on the Barclays Group's sustainable finance strategy which covered the Barclays Bank Group's businesses.[△]
- In early 2025, approved the 2024 Barclays Group Modern Slavery Statement, which covered BBPLC.[△]
- Considered culture and colleague engagement through regular updates on the Barclays Group-wide 'consistently excellent' (CE) cultural change programme and progress on embedment through reporting on CE metrics and Your View colleague survey results. Board members also engaged directly with colleagues during the year, including through town halls. Refer to the Colleagues section from page 15 of the Strategic report for more information on colleague matters.
- Reviewed progress on the Barclays Group-wide talent excellence programme aimed at enhancing practices to identify, assess and develop high potential talent across the organisation. This included consideration of the success measures and proposed outcomes for the programme.
- Confirmed that BBPLC's method of workforce engagement has been effective in 2025.[△]
- Received updates on Barclays' inclusion and opportunity strategy which seeks to create a workplace where everyone feels valued and respected, within a culture of belonging and equal opportunity, insofar as it relates to the Barclays Bank Group.[△]

Finance

- Received regular updates from the Barclays Group Finance Director which included reporting on the financial performance of the Barclays Bank Group and its businesses.
- Reviewed and approved BBPLC's financial results prior to publication.
- Reviewed and approved the payment by BBPLC in February 2025 of an interim dividend in respect of the year ended 31 December 2024 to its ordinary shareholder, and approved the payment in July 2025 of an interim dividend in respect of the first half of the year ending 31 December 2025. Details of dividends paid by BBPLC in 2025 are set out in Note 10 of the financial statements.
- Recommended to its shareholder for approval the reappointment of KPMG as BBPLC statutory auditor at its 2025 AGM.
- Confirmed the re-appointment of KPMG as the BBPLC statutory auditor with effect from the 2027 financial year following the conclusion of a formal audit tender process. Refer to page 37 for detail of the audit tender process.

Governance, risk and regulatory matters

- Received regular updates on risk issues and emerging risks in the context of the macroeconomic, regulatory and geopolitical environment.
- Received regular updates on financial crime risk.
- Approved the BBPLC Risk Appetite Statement.
- Adopted the Barclays Group Enterprise Risk Management Framework (ERMF).
- Considered and approved the BBPLC elements of the Barclays Group Recovery Plan.
- Considered the Barclays Group's annual operational resilience self-assessment in respect of Important Business Services (IBS) and subsequent changes to the impact tolerance thresholds for certain IBS, insofar as they related to BBPLC.
- Received a Consumer Duty Dashboard for BBPLC and subsequently approved the BBPLC Consumer Duty Annual Board Report.
- Upon the recommendation of the Board Nominations Committee, considered succession planning for, and approved changes to, Board and Board Committee membership.
- Received and considered feedback from the Barclays Group's key regulators insofar as it related to BBPLC.
- Received regular reports from the Chair of each Board Committee.

[△] Information subject to limited assurance in accordance with (ISAE) (Ireland) 3000

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Principle Two: Division of responsibilities

An effective board requires a clear division of responsibilities with the Chair leading the board and being responsible for its overall effectiveness, and the executive leadership of the company's business being delegated to the Chief Executive. The board should consist of an appropriate combination of Executive and independent Non-Executive Directors, each with a clear understanding of their accountability and responsibilities. The board's policies and procedures should support effective decision-making and independent challenge.

- A clear division of responsibilities has been established between the Executive and Non-Executive Directors. Page 21 sets out the details of the Board members, the majority of whom are independent Non-Executive Directors.
- Policies and protocols are in place to support effective decision-making and independent challenge, including the Barclays' *Charter of Expectations* which sets out the individual role profiles and required behaviours and competencies of the Chair, Non-Executive Directors, Executive Directors and Committee Chairs. In accordance with the *Charter of Expectations*, the Non-Executive Directors are responsible for providing effective oversight, strategic guidance and constructive challenge while holding the Executive Directors to account against agreed performance objectives. The Chairman meets privately with the Non-Executive Directors where appropriate.
- The Board's responsibilities are executed in part through the Board Committees, each of which has its own Terms of Reference which set out its remit and decision-making powers. The Chairs of each of the Board Committees provide a report on the work of the Committee at every scheduled Board meeting. Details of the principal Board Committees and their core responsibilities and activities in 2025 are set out later in this report.
- Appropriate information and support is provided to the Board, to enable it to undertake its work with due care and discharge its responsibilities.
- The Barclays Group Corporate Governance Operating Manual sets out guidelines as to how the Barclays Group's significant subsidiaries (and their respective Boards and Board Committees) should interact with each other, while providing guidance and clarity for management and Directors as to how these relationships and processes should work in practice. It is a dynamic document that evolves with the changing nature of the Barclays Group.

The Board

Executive and Non-Executive Directors share the same duties and are subject to the same constraints. However, a clear division of responsibilities has been established. The Chairman is responsible for leading the Board and its overall effectiveness in directing the Company, demonstrating objective judgement and supporting a culture of inclusion and diversity of thought, and facilitating and encouraging constructive challenge and debate between all Directors, and which challenges executives where appropriate. The Chairman facilitates constructive Board relations and the effective contribution of all Non-Executive Directors, and ensures Directors receive information in an accurate, timely and clear form that is relevant to the discharge of their obligations. It is the Board's responsibility to ensure that management delivers on short-term objectives, whilst promoting the long-term success of the Company and the Barclays Bank Group.

The *BBPLC Matters Reserved to the Board* ensures that appropriate coordination with the governance of the partially consolidated BPLC and BBPLC Boards is in place. The *Matters Reserved to the Board* specifies those decisions reserved solely to the decision-making power of the Board. Those matters include material decisions relating to strategy, risk appetite, medium term plans, capital and liquidity plans, risk management and controls frameworks, approval of financial statements, approval of large transactions and the approval of share allotments, dividends, share buy-backs and reputation risk with strategic implications relating to the Barclays Bank Group. The Board has delegated the responsibility for making and implementing operational decisions and running the Company's business on a day-to-day basis to the Chief Executive Officer, supported by the BBPLC Executive Committee.

The current Board comprises a Chairman, who was independent on appointment, two Executive Directors and seven independent Non-Executive Directors. The Board comprises a majority of independent Non-Executive Directors, bringing significant expertise and independent challenge. The independence of the Non-Executive Directors is considered by the Board Nominations Committee annually. The percentage of independent Non-Executive Directors, including the Chairman, on the Board is 80%.[△] In respect of its Committees, except for the Board Sustainability Committee whose membership comprises 83% independent Non-Executive Directors,[△] the percentage of independent Non-Executive Directors on each of the Board Nominations Committee, Board Audit Committee, Board Risk Committee and Board Remuneration Committee is 100%.[△]

There is no workforce representative on the Board or its Committees.[△]

Non-Executive Directors' time commitment and conflicts of interest

Non-Executive Directors, including the Chairman, are informed of the minimum time commitment prior to their appointment and they are required to devote sufficient time to the Company to discharge their responsibilities effectively.

[△] Information subject to limited assurance in accordance with (ISAE) (Ireland) 3000

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The time commitments of Directors are considered prior to appointment and are monitored by the Board Nominations Committee. All Directors must seek approval (providing an indication of expected time commitment) before accepting any significant new commitments outside of Barclays. The Board is satisfied that there are no Directors whose time commitment is considered to be a matter for concern. A record of each Director's external time commitments is maintained by the Company.

In accordance with the Act and the Company's Articles of Association (Articles), the Board has authority to authorise conflicts of interest, and this ensures that the influence of third parties does not compromise or override the independent judgement of the Board. A conflicts register is maintained by the Company, which is a record of actual and potential conflicts, together with any Board authorisation of the conflict.

Executive Committee

During 2025, the BBPLC Executive Committee membership included the Chief Executive Officer, the President of BBPLC and Head of Investment Bank Management, the heads of the four operating divisions within the Barclays Bank Group: UKCB, PBWM, the Investment Bank (IB) and USCB, the BBPLC Chief Financial Officer, BBPLC Chief Risk Officer, and other BBPLC functional partners.

We welcomed the following new members of the BBPLC Executive Committee in 2025:

- Olivier Vigneron, Chief Risk Officer
- Georges Lauchard, Chief Operating Officer
- Kate Vetch, Chief Compliance Officer

Anna Cross joined the BBPLC Executive Committee in 2025 as Interim BBPLC Chief Financial Officer, following the resignation of Aunoy Banerjee as BBPLC Chief Financial Officer, who stepped down on 23 October 2025.

The BBPLC Executive Committee meets quarterly and is chaired by the President of BBPLC and Head of Investment Bank Management. In addition to the day-to-day management of the Company, the Executive Committee supports the Chief Executive Officer in ensuring that the Barclays values, strategy and culture align, are implemented and are communicated consistently to colleagues.

Principle Three: Composition, succession and evaluation

A board with the right balance of skills, experience, independence and knowledge is critical to the sustainable delivery of value to the company's shareholder and broader stakeholders. The size of the board should be guided by the scale and complexity of the company and appointments should be based on merit against objective criteria, and having regard to the Board's Inclusion and Opportunity Policy, and subject to a formal, rigorous and transparent procedure, which is underpinned by an effective succession plan for the board and senior management. A successful board is a cohesive board that provides informed and constructive challenge to the management team and measures its effectiveness.

- The membership of the Board is drawn exclusively from the BPLC Board. The size and composition of the Board is considered appropriate for the Barclays Bank Group. There is a good balance between Executive and independent Non-Executive Directors, with the Non-Executive Directors able to provide essential independent challenge. Board members have a strong combination of technical, financial (including significant financial services experience) and commercial skills along with broader experience in culture and colleague engagement. Further detail on industry and leadership experience and international experience, on the basis of Board composition as at 31 December 2025, is set out in the tables below.[△]
- All appointments to the Board are based on merit against objective criteria, and having regard to the Board Inclusion and Opportunity Policy. Board appointments are made following a formal, rigorous and transparent process, facilitated by the Board Nominations Committee, with the aid of external search consultancy firms. The Board Nominations Committee oversees succession to both Board and senior management positions.
- The Company continues to strive to build an inclusive workplace, making the most of the different backgrounds, perspectives, and experiences of our colleagues to better serve the Barclays Bank Group's customers and clients. You can read more about Barclays' approach to inclusion within the Colleagues section of the Barclays PLC Annual Report 2025 and in the Inclusion and Opportunity section below.
- There is regular review of the leadership and succession needs of the business to maintain depth and diversity of thought in the talent and succession pipeline at the Board, executive and key management level. This remains a key focus to maintain the quality of leadership that is in place to lead the business in the delivery of the Barclays Bank Group's strategy.
- Ongoing training and professional development is key in providing Board members with a deeper and more granular understanding of the business, contributing to informed and sound decision-making. Further information on training and induction for Directors in 2025 can be found in the Training and induction section later in this report.
- Effectiveness is supported through annual reviews of the Board, Board Committees and individual Directors. In 2025, the Board, Board Committee and individual Director effectiveness reviews were conducted internally.

[△] Information subject to limited assurance in accordance with (ISAE) (Ireland) 3000

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- Feedback from the 2025 Board effectiveness review indicated that the Board continues to operate effectively, with a collegiate and respectful culture. The review noted that meetings are well-chaired and that the Board provides an appropriate balance of support and constructive challenge. The interaction between the Board and the Board Committees was commented on favourably, providing appropriate visibility of key matters and emerging themes. Feedback indicates that concurrent meetings of the BPLC and BBPLC Boards remain effective and continue to work well in practice.

Industry and leadership experience ¹ (number of Directors) ^Δ		International experience ² (number of Directors) ^Δ	
Financial services	10	UK	10
Political/Regulatory Experience	10	US	5
Current/recent Chair/CEO	8	Rest of the World	5
Accountancy/Auditing	4		
Operations/Technology	2		

¹ Individual Directors may fall into one or more categories.

² International experience is based on the location of the headquarters/registered office of a company. Individual Directors may fall into one or more categories.

Board Nominations Committee

The Board Nominations Committee is comprised solely of independent Non-Executive Directors. The Board Nominations Committee is chaired by Nigel Higgins, as Chair of the BBPLC Board. Julia Wilson is the other member of the Committee. Diane Schueneman stepped down with effect from 31 January 2025.

The Board Nominations Committee held two scheduled and no ad hoc meetings in 2025.^Δ Board Nominations Committee meetings were attended during the year by the Chief Executive Officer and the Barclays Group Human Resources Director.

Attendance at Board Nominations Committee meetings during 2025 was as follows:

Member	Meetings attended / eligible to attend	Effective date
Nigel Higgins (Chair)	2/2	Appointed 1 March 2019
Julia Wilson	2/2	Appointed 1 April 2023

The principal role and responsibilities of the Board Nominations Committee, pursuant to its Terms of Reference, are:

- considering appointments to the Board, its Committees and boards of BBPLC's significant subsidiaries
- considering the composition of the Board and its Committees
- considering succession planning and talent management
- evaluating Board effectiveness
- assessing the length of Directors' tenure
- considering Board induction and training
- considering governance matters.

During 2025, the principal activities of the Board Nominations Committee included:

- Reviewing and approving Board and Board Committee size, composition and succession planning, taking into account tenure, time commitment, skills, knowledge, experience and independence of the Directors, and identifying any desirable skills to aid the Company in operating and competing effectively (and leading the search and recruitment process).
- Receiving updates on the Company's executive governance framework, executive talent and succession management, including Executive Committee succession planning and reviewing and approving proposed changes to Executive Committee composition.
- Continuing to support, alongside the Board, the Barclays Group's inclusion and opportunity strategy.^Δ You can read more about Barclays' approach to inclusion within the Colleagues section of the Barclays PLC Annual Report 2025.
- Recommending to the Board for adoption an updated version of the Board Inclusion and Opportunity Policy in February 2026, to ensure the policy continues to reflect the Group's inclusion and opportunity strategy. The Policy confirms that the Board aims to meet the recommendations of the FTSE Women Leaders Review regarding gender balance on boards and the Parker Review on ethnic representation on boards, details of which are set out below and further detailed in the Inclusion and opportunity section:

FTSE Women Leaders review gender balance ambition

That:
(i) the proportion of women on the Board is at least 40%; and
(ii) at least one of the following senior Board positions is held by a woman: Chair, Chief Executive, Senior Independent Director or Chief Financial Officer.

Parker review ethnic representation ambition

That at least one Board member is from an ethnic minority background excluding white ethnic groups.

^Δ Information subject to limited assurance in accordance with (ISAE) (Ireland) 3000

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- Receiving updates on succession planning for the Company's main subsidiary company boards.
- Considering an interim review of the 2024 Board effectiveness recommendations, and approving that an internally conducted Board, Board Committee and individual Director effectiveness review be undertaken in respect of 2025.

The Board Nominations Committee effectiveness review was internally conducted for 2025, with the results confirming that the Committee is operating effectively.

Appointment and retirement of Directors

The appointment and retirement of Directors is governed by the Articles, the Act and related legislation.

The Articles may be amended only by a special resolution of the shareholders. The Board has the power to appoint additional Directors or to fill a casual vacancy amongst the Directors and any Director so appointed holds office only until the next AGM where they may offer themselves for re-election.

The Board Nominations Committee regularly reviews the composition of the Board, Board Committees and Executive Committee and the core skills, experience, knowledge and diversity of thought required. For the Board, it is standard practice to appoint any new Non-Executive Director or Chair for an initial three-year term, which may be extended for up to a further three-year term. As such, Non-Executive Directors typically serve up to a minimum of six years, although this period may be extended where considered appropriate by the Board Nominations Committee.

Inclusion and opportunity

On the recommendation of the Committee, the Board adopted an updated version of the Board Inclusion and Opportunity Policy in February 2026, as described above. The policy confirms the Board's support for the Barclays Group's culture in which Barclays is committed to continuing to build an inclusive workplace.

As at the date of this report:

- BBPLC Board gender diversity stands at 50% female,[△] meeting the FTSE Women Leaders Review recommendation of 40% gender diversity, and the role of Chief Financial Officer is held by a woman.
- 20% of the Board (two Directors) are from a minority ethnic background (excluding minority white ethnic groups)[△] meeting the Parker review recommendation of having at least one Board member who is from an ethnic minority background (excluding white ethnic groups).

You can read more about Barclays' approach to inclusion within the Colleagues section and Board Nominations Committee report of the Barclays PLC Annual Report 2025.

Training and induction

The Committee, together with the Group Company Secretary, supports the Group Chairman in facilitating continuous training and development for Directors. Directors are encouraged to participate in regular training and development sessions integrated within the Board and Board Committee schedules, and may additionally request tailored training as required. In 2025, Directors enhanced their business knowledge through Board deep dives into the Company's operating divisions and key Group functions, including Legal, Risk, Compliance, and Internal Audit. The Board also received regular updates on corporate governance matters and certain Barclays' Compliance Risk policies, including financial crime,[△] as well as an annual briefing on the Senior Managers Regime.

A tailored induction programme is delivered for all new Directors appointed to the Board. This provides them with an understanding of the Barclays Bank Group, its purpose, strategy, business areas and key issues it currently faces. When a Director joins a Board Committee, the schedule also includes an induction to the operation of that Board Committee.

Principle Four: Audit, risk and internal control

A board should establish formal and transparent policies and procedures to (i) identify the nature and extent of principal risks the company is willing to take in order to achieve its long-term strategic objectives; (ii) manage such risks effectively; (iii) oversee the internal control framework; (iv) promote the independence and effectiveness of internal and external audit functions; and (v) satisfy itself on the integrity of financial reporting.

-
- The Company is committed to operating within a strong system of internal controls that enables business to be transacted and risks taken without exposure to unacceptable potential losses or reputational damage. The principal risks facing the Barclays Bank Group have been identified and robust processes are in place to evaluate and manage such risks including regular reporting to, and oversight by, the Board Risk Committee and the Board. A key component of the risk management framework is the ERMF, which supports the business in its aim to embed effective risk management and a strong risk management culture. The ERMF is designed to identify and set minimum requirements, in respect of the main risks, to achieve the Company's strategic objectives and to provide reasonable assurance that internal controls are effective. Further detail on the principal risks and management of them can be found in the Strategic report.

[△] Information subject to limited assurance in accordance with (ISAE) (Ireland) 3000

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- The Board approves the Barclays Bank Group's risk appetite (the amount of risk the Barclays Bank Group is prepared to take to earn an appropriate return while meeting minimum internal and regulatory capital requirements in a severe but plausible stress environment), including testing whether the Barclays Bank Group's financial position and risk profile provide sufficient resilience to withstand the impact of severe but plausible economic scenarios within the parameters set by the BPLC Board Risk Committee.
- The effectiveness of risk management and internal controls is reviewed regularly by the Board Risk Committee (responsible for overseeing the ERMF and current and potential future risk exposures) and the Board Audit Committee (responsible for evaluating the effectiveness of internal controls).
- The Board Audit Committee also has oversight of the financial reporting processes and the work of the external and internal auditors (including independence and effectiveness).

Board Audit Committee

The Board Audit Committee is comprised solely of independent Non-Executive Directors, with membership of the Board Audit Committee aligned with the BPLC Board Audit Committee and designed to provide the breadth of financial expertise and commercial acumen it needs to fulfil its responsibilities. Its members as a whole have recent and relevant experience of the banking and financial services sector, in addition to general management and commercial experience, and are financially literate. The Board Audit Committee is chaired by Julia Wilson, who has significant corporate finance, tax and accounting experience. Robert Berry and Marc Moses are the other members of the Committee. Diane Schueneman stepped down from the Board Audit Committee with effect from 31 January 2025.

The Board Audit Committee held 13 scheduled meetings and three ad hoc meetings in 2025.[△] Board Audit Committee meetings were attended by representatives from the Barclays Group and BBPLC management in respect of matters relevant to their business or function area, including (as appropriate) the Chief Executive Officer, Barclays Group Finance Director, the Group Controller, the BBPLC Chief Financial Officer, the Barclays Group and BBPLC Chief Internal Auditor, the Barclays Group Chief Compliance Officer, the Barclays Group Chief Operating Officer, the Head of Group Control, and Barclays Group General Counsel. The Company's statutory auditor, KPMG, also attended Committee meetings.

Attendance at Board Audit Committee meetings during 2025 was as follows:

Member	Meetings attended / eligible to attend	Ad hoc meetings attended / eligible to attend	Effective date
Julia Wilson (Chair)	13/13	3/3	Appointed 1 April 2023
Robert Berry	13/13	3/3	Appointed 1 March 2022
Marc Moses	13/13	3/3	Appointed 23 January 2023
Diane Schueneman	2/2	N/A	Stepped down 31 January 2025

Additionally, as part of the Company's commitment to effective oversight and allocation of responsibilities between the BPLC Board Audit Committee, BBPLC Board Audit Committee and the BBUKPLC Board Audit Committee, Julia Wilson held regular meetings during 2025 with the BBUKPLC Board Audit Committee Chair to share relevant information and to ensure embedment of information flows and governance practice. In addition, discussions were held with the board audit committee chairs of the Company's other major subsidiaries, Barclays Bank Ireland PLC (Barclays Europe) and Barclays US LLC (IHC).

The principal role and responsibilities of the Board Audit Committee, pursuant to its Terms of Reference, are to review and monitor:

- the integrity of the Barclays Bank Group's financial statements
- the effectiveness of the Barclays Bank Group's internal controls
- the independence and effectiveness of the internal and external audit processes
- the relationship with the Barclays Bank Group's statutory auditor
- the effectiveness of the Barclays Bank Group's whistleblowing procedures.[△]

During 2025, the principal activities of the Board Audit Committee included:

- Financial reporting: assessing the appropriateness of BBPLC's financial disclosures, including considering feedback from KPMG and management's review of controls relating to financial reporting. The Committee reviewed and recommended to the BBPLC Board for approval the BBPLC Annual Report 2024 and the BBPLC Results Announcement for the period ended 30 June 2025. The Committee recommended to the Board that the financial statements should be prepared on a going concern basis. The Committee also received an update on the reporting requirements under Corporate Sustainability Reporting Directive (CSRD) for BBPLC and approach to the 2025 double materiality assessment.
- Impairment: assessing management's approach to impairment coverage levels, including the impact of delinquency levels in certain areas of the portfolio, the use of post-model adjustments and in respect of material exposures across the Barclays Bank Group.
- Conduct provisions: analysing management's judgements and estimates made with regard to the Barclays Bank Group's material conduct provisions.

[△] Information subject to limited assurance in accordance with (ISAE) (Ireland) 3000

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- Legal, competition and regulatory provisions: evaluating advice on the status of current legal, competition and regulatory matters and considering management's judgements on the level of provisions, including challenging management on the timeliness of raising provisions as well as understanding areas of KPMG challenge. The Committee reviewed and challenged management's approach to the provision raised for motor finance. Seeking KPMG's views on the reasonableness of management's position, the Committee focused in particular on the methodology to determine the level of provision for motor finance claims and the reasonableness of assumptions made by management in developing the proposed methodology.
- Valuations: monitoring the valuation methods applied by management to significant valuation items and areas of judgement in relation to matters impacting the Barclays Bank Group.
- Tax: considering tax matters relating to the Barclays Bank Group, including the tax strategy, compliance with the Group's Tax Principles and judgements related to tax risk and the recognition and measurement of deferred tax assets. The Committee monitored interactions with tax authorities, development in tax litigation matters and material tax risks (including the adequacy of tax provisions and KPMG's views). The Committee also monitored the potential impact of US legislative changes in relation to tax on the Barclays Bank Group.
- Internal controls and business control environment: monitoring and evaluating the status of the more significant control matters and remediation programmes across the Barclays Bank Group. The Committee also discussed reports from the heads of UKCB, PBWM, IB and USCB on their control environment, together with views from the second and third lines of defence.
- Internal audit: receiving reports from Barclays Internal Audit (BIA) in relation to specific audits, key areas of focus and emerging themes with respect to businesses in the Barclays Bank Group; considering remediation plans arising from adverse audit reports and monitoring related remediation programmes; discussing BIA's assessment of the control environment in the Barclays Bank Group and key themes in Barclays Bank Group entities; and approving the annual BIA audit plan for the Barclays Bank Group. Committee members, along with the Barclays Europe and IHC board audit committee chairs, attended a 'BIA Teach In' which covered matters relating to People, BIA Strategy and Audit Methodology.
- External audit: reviewing and approving the annual external audit plan for the Barclays Bank Group (including the key areas of focus) and assessing the progress of the 2025 audit. The Committee also considered KPMG audit quality and discussed KPMG's feedback and challenge of management on areas such as critical accounting estimates and judgements and internal controls. The Committee received an update on lessons learned following the first year of implementation of CSRD disclosures by BBPLC and Barclays Europe and the assurance conducted by KPMG. The Committee recommended to the Board for approval by shareholders of BBPLC at its 2025 AGM the reappointment of KPMG as the BBPLC external auditor. In addition, following the conclusion of a formal audit tender process the Committee recommended to the Board the re-appointment of KPMG as BBPLC's statutory auditor with effect from the 2027 financial year. Refer to page 37 for further details about the audit tender process.
- Speaking up: reviewing management's reports on whistleblowing matters, monitoring key whistleblowing metrics and considering potential whistleblowing trends.[△]

The Board Audit Committee effectiveness review was internally conducted for 2025, with the results confirming that the Committee is operating effectively.

Board Risk Committee

The Board Risk Committee is comprised solely of independent Non-Executive Directors with membership of the Committee broadly aligned with the BPLC Board Risk Committee. The Board Risk Committee is chaired by Robert Berry. Dawn Fitzpatrick, Marc Moses and Julia Wilson are the other members of the Committee.

Board Risk Committee meetings are attended by management as appropriate, including the Chief Executive Officer, Barclays Group Finance Director, Barclays Group Chief Risk Officer, BBPLC Chief Risk Officer, Barclays Group Chief Compliance Officer, BBPLC Chief Compliance Officer, Barclays Group Treasurer, Barclays Group Chief Internal Auditor, Barclays Group General Counsel and BBPLC General Counsel. The Company's statutory auditor, KPMG, also attended meetings.

The Board Risk Committee held 10 scheduled meetings and three ad hoc meetings in 2025.[△] Owing to other commitments or religious observance, some Directors were unable to attend certain meetings, however they received papers in advance and had the opportunity to share their views with the Chair ahead of the meetings.

Attendance at Board Risk Committee meetings during 2025 was as follows:

Member	Meetings attended / eligible to attend	Ad hoc meetings attended / eligible to attend	Effective date
Robert Berry (Chair)	10/10	3/3	Appointed 1 March 2022
Dawn Fitzpatrick	10/10	3/3	Appointed 1 January 2020
Marc Moses	8/10	3/3	Appointed 23 January 2023
Julia Wilson	10/10	2/3	Appointed 1 April 2023

[△] Information subject to limited assurance in accordance with (ISAE) (Ireland) 3000

Governance

Corporate governance statement

The principal role and responsibilities of the Board Risk Committee, pursuant to its Terms of Reference, are to:

- review, on behalf of the Board, the management of the principal risks as set out in the ERMF (with the exception of any matter with reputation risk which may have strategic implications relating to the Barclays Bank Group, which is a matter reserved to the Board)
- consider and recommend to the Board, within the risk parameters set by the BPLC Board Risk Committee, the Company's risk appetite and tolerance for those principal risks
- review, on behalf of the Board, the Barclays Bank Group's risk profile for those principal risks
- commission, receive and consider reports on key risk issues and emerging risks.

The Board Risk Committee continually considers the impact of issues on the Barclays Bank Group and the risk environment in which it operates. It reviews steps taken by the business to manage exposures in this context.

During 2025, the key activities of the Board Risk Committee included:

- Recommending to the Board the adoption of the ERMF following the approval of the ERMF by the BPLC Board.
- Further to reports presented by management on guidance and feedback received from key Barclays Group regulators, the Committee considered management's response to the matters raised by regulators, including updates on key remediation programmes, insofar as these related to the Barclays Bank Group.
- Receiving an update from the Barclays Group Chief Risk Officer and Chief Compliance Officer on their observations on the Barclays Group's risk and compliance culture, which included reflecting on the Committee's role to support the embedment of the desired culture.
- Advising the Board on the risk appetite and tolerance for the Barclays Bank Group in respect of the principal risks in the ERMF when determining strategy, including recommending the BBPLC Risk Appetite Statement to the Board for approval. The Committee adopted the aggregate stress loss limit allocation and stress loss limits for BBPLC.
- Considering and approving the 2025 internal stress test (IST) scenario theme and severity and 2025 IST results, and recommending that the Board approve the MTP on the basis that risk appetite was met under the IST. The Committee also approved the results of the 2025 internal reverse stress test.
- Considering updates on the results of Barclays US LLC's 2025 supervisory stress test conducted by the Federal Reserve Board.
- The Barclays Group Chief Risk Officer reported regularly on the Barclays Group's risk profile which included assessments of macroeconomic developments and geopolitical risks, in addition to reporting on key risks and portfolio metrics which included consideration of matters relevant to the Barclays Bank Group.
- Receiving briefings on key risk themes in the context of the evolving risk environment in which the Barclays Bank Group operates.
- Receiving focused business risk updates on Investment Banking, Global Markets, USCB, PBWM and UKCB, which included assessments of principal risks.
- An ongoing focus on credit risk, including reporting on management actions being taken to mitigate risk in key portfolios.
- Monitoring the capital, liquidity and financial resources of BBPLC to ensure it meets its regulatory requirements and obligations.
- Following preliminary assessments of the BBPLC Internal Capital Adequacy Assessment Process (ICAAP) and Internal Liquidity Adequacy Assessment Process (ILAAP) submissions in early 2025, subsequently approving the BBPLC ICAAP and ILAAP prior to their submission to the Prudential Regulation Authority (PRA).
- Recommending to the Board for approval the BBPLC elements of the Barclays Group Recovery Plan.
- Reviewing and considering the operational risks for Barclays Bank Group business as part of Barclays Group-wide reporting which included updates on key metrics and key operational risks, including those relating to transactions operations and the risks associated with new business activities.
- The Committee maintained oversight of cybersecurity risk through updates on the Barclays Group-wide programme of work to enhance Barclays' cybersecurity capabilities insofar as matters related to the Barclays Bank Group.[△]
- Receiving regular reports on climate risk which covered matters including external regulatory trends, the global policy environment, progress against financed emissions reduction targets and actions to address increasing physical risks which considered matters relevant to the Barclays Bank Group's businesses.[△]
- Overseeing the management of compliance risk within BBPLC, including through regular reports from the Barclays Group Chief Compliance Officer on the Barclays Group's compliance risk profile which included consideration of matters relevant to BBPLC. The Committee also received quarterly BBPLC compliance risk dashboards.
- Monitoring financial crime risk in the Barclays Bank Group through quarterly updates on the Barclays Group-wide programme to enhance financial crime capabilities, Compliance opinions on the Barclays Group financial crime risk profile and BBPLC financial crime risk dashboards.[△]
- Considering the key conclusions from the due diligence conducted on the acquisition of Best Egg, Inc.
- Considering the methodology for setting the ex-ante adjustments to the 2025 incentives pool.

The Board Risk Committee effectiveness review was internally conducted for 2025, with the results confirming that the Committee is operating effectively.

[△] Information subject to limited assurance in accordance with (ISAE) (Ireland) 3000

Governance

Corporate governance statement

Audit, risk and internal control

The Board, together with the Board Audit Committee, is responsible for ensuring the independence and effectiveness of the internal and external audit functions. For this reason, the Board Audit Committee held regular private sessions with each of the BBPLC Chief Internal Auditor and the lead audit engagement partner of the statutory auditor without management present.

The Board is also responsible for ensuring that management maintains an effective system of risk management and internal control and assessing its effectiveness. Such a system is designed to identify, evaluate and manage, rather than eliminate, the risk of failure to achieve business objectives and can only provide reasonable, and not absolute, assurance against material misstatement or loss.

The Board Audit Committee oversees the control environment (and remediation of related issues) and also reviews annually the risk management and internal control system. Key controls are assessed on a regular basis for both design and operating effectiveness. Issues arising out of these assessments, where appropriate, are reported to the Board Audit Committee.

Controls over financial reporting

A framework of disclosure controls and procedures is in place to support the approval of the financial statements of the Barclays Bank Group.

Specific governance committees are responsible for examining the financial reports and disclosures to help ensure that they have been subject to adequate verification and comply with applicable standards and legislation.

Where appropriate, these committees report their conclusions to the Board Audit Committee, which debates such conclusions and provides further challenge. Finally, the Board scrutinises and approves results announcements and the Annual Report to ensure that appropriate disclosures have been made. This governance process is designed to ensure that both management and the Board are given sufficient opportunity to debate and challenge the financial statements of the Barclays Bank Group and other significant disclosures before they are made public.

Management's report on internal control over financial reporting

Management is responsible for establishing and maintaining adequate internal controls over financial reporting under the supervision of the principal executive and financial officers, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements, in accordance with (a) UK-adopted international accounting standards; (b) International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board (IASB), including interpretations issued by the IFRS Interpretations Committee; and (c) IFRS adopted pursuant to Regulation (EC) No 1606/2002 as it applies in the European Union.

Internal control over financial reporting includes policies and procedures that pertain to the maintenance of records that, in reasonable detail:

- accurately and fairly reflect transactions and dispositions of assets
- provide reasonable assurances that transactions are recorded as necessary to permit preparation of financial statements in accordance with UK-adopted international accounting standards and IFRS and that receipts and expenditures are being made only in accordance with authorisations of management and the respective Directors
- provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use or disposition of assets that could have a material effect on the financial statements.

Internal control systems, no matter how well designed, have inherent limitations and may not prevent or detect misstatements. Also, projections of any evaluation of effectiveness to future periods are subject to the risk that internal control over financial reporting may become inadequate because of changes in conditions or that the degree of compliance with the policies or procedures may deteriorate.

Management has assessed internal control over financial reporting as at 31 December 2025. In making its assessment, management utilised the criteria set out in the 2013 COSO framework. Management has concluded that, based on its assessment, internal control over financial reporting was effective as at 31 December 2025.

The system of internal financial and operational controls is also subject to regulatory oversight in the UK and overseas. Further information on supervision by financial services regulators is provided under Supervision and Regulation in the Risk review section on pages 245 to 261.

Changes in internal control over financial reporting

There have been no changes that occurred during the period covered by this report, which have materially affected or are reasonably likely to materially affect the Barclays Bank Group's internal control over financial reporting.

Governance

Corporate governance statement

Principle Five: Remuneration

The remuneration policies and practices should support strategy and promote long-term sustainable success and be developed in accordance with formal and transparent procedures, ensuring no Director is involved in deciding their own remuneration outcome. Executive remuneration should be aligned to the company's purpose and values and the successful delivery of the strategy with outcomes taking account of company and individual performance, and wider circumstances such as pay across the company's workforce and Barclays' Fair Pay Agenda.

- The Barclays Group Remuneration Policy is set by the BPLC Board Remuneration Committee and reviewed and adopted by the BBPLC Board Remuneration Committee. The policy is designed to promote the long-term success of the Company and ensure that remuneration is aligned to the Barclays Bank Group's strategy and risk management approach.
- Remuneration for executives and senior management is considered in the context of the wider workforce remuneration and alignment of incentives and rewards with performance and culture. Their remuneration is reviewed annually by the BBPLC Board Remuneration Committee and the BPLC Board Remuneration Committee, as appropriate. No individual is involved in deciding their own remuneration.
- Barclays Bank Group is committed to paying people fairly, with regards to their specific role, seniority, responsibilities, skills and experience and other factors that properly affect pay, in a way that balances the needs of the Barclays Bank Group's stakeholders. You can find more information on the Barclays Fair Pay Agenda which underpins all remuneration decisions in the Remuneration report section of the Barclays PLC Annual Report 2025. The Barclays Bank Group also remains focused on strengthening our inclusive culture with a focus on empowering our colleagues and leaders, engaging our communities and driving company success. You can find more information on our approach to Inclusion & Opportunity in the Barclays PLC Annual Report 2025. Our UK gender and ethnicity pay gaps are published in the Barclays UK Pay Gaps 2025 disclosure.

Board Remuneration Committee

The Board Remuneration Committee is comprised solely of independent Non-Executive Directors. The Committee is chaired by Mary Francis. Dawn Fitzpatrick, Nigel Higgins and Julia Wilson are the other Committee members. As noted above, Mary Francis is to step down from the Board and her role as Board Remuneration Committee Chair with effect from 6 May 2026. Her successor as Chair of the Board Remuneration Committee will be announced in due course.

The Board Remuneration Committee held 5 scheduled and 1 ad hoc meetings in 2025.[△] Meetings were attended by the Group Chief Executive, Group Finance Director, Group Chief Risk Officer, Group Human Resources Director, and the Group Reward and Performance Director/Co-Heads of Reward and Performance as required. Attendance at Board Remuneration Committee meetings during 2025 was as follows:

Member	Meetings attended / eligible to attend	Effective date
Mary Francis	6/6	Appointed 25 September 2019
Dawn Fitzpatrick	6/6	Appointed 1 July 2021
Nigel Higgins	5/5	Appointed 31 January 2025
Julia Wilson	6/6	Appointed 1 July 2023

The principal role and responsibilities of the Committee, pursuant to its Terms of Reference, are to:

- set the overarching principles and parameters of remuneration policy for the Barclays Bank Group within the parameters set by the BPLC Board Remuneration Committee;
- consider and endorse the incentive pool for the Barclays Bank Group and the remuneration of key Barclays Bank Group executives and other specified individuals as determined by the Board Remuneration Committee from time to time; and
- exercise oversight over remuneration issues within the Barclays Bank Group.

During 2025, the principal activities of the Committee included:

- Reviewing the Barclays Group Reward Policy and confirming its continued adoption;
- Reviewing the Board Remuneration Committee's Control Framework, Terms of Reference, annual activity and effectiveness;
- Reviewing and adopting the methodology and framework for 2025 incentive funding, and reviewing and endorsing the resulting incentive pool, including considering financial performance and risk updates (and the appropriateness of risk adjustments to incentives);
- Considering the remuneration structures for Material Risk Takers (MRTs) in the context of the new PRA/ FCA UK bank pay regulations;
- Considering updates on the review of wider workforce remuneration, and UK gender and ethnicity pay gaps;[△]
- Considering regular updates on stakeholders matters, regulatory and legal considerations and pay round considerations;
- Reviewing and approving, as appropriate, specific remuneration proposals for individuals within the Committee's remit; and
- Considering and approving recommendations of the Remuneration Review Panel, which supports the Committee in overseeing the alignment of remuneration with the conduct expectations of Barclays, its regulators and its stakeholders.

[△] Information subject to limited assurance in accordance with (ISAE) (Ireland) 3000

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The Board Remuneration Committee effectiveness review was internally conducted for 2025, with the results confirming that the Committee is operating effectively.

Principle Six: Stakeholder relationships and engagement

Directors should foster effective stakeholder relationships aligned to the company's purpose. The board should recognise the importance of listening to, and understanding, the views of its stakeholders, including the workforce, and specifically the impact of the company's behaviour and business on customers and clients, colleagues, suppliers, communities and society more broadly; having regard to these views and impact when taking decisions.

- As described under Principle One, the Company has a defined Purpose and strategy; through this the Board has identified key stakeholders on whom the success of the Company depends.
- The Board and management engage throughout the year with the Company's stakeholders. The Board seeks to understand the views of key stakeholders and the impact of the Company's behaviour and business on customers and clients, colleagues, suppliers, communities and society more broadly. Refer to pages 13 to 17 of the Strategic report for further information about our engagement with stakeholders. See also the Directors' report for information about how we engage with suppliers.
- The Company's long-standing commitment to the importance and value of colleague engagement continues; the Company's people are its most valuable asset. While there is no designated workforce engagement Director on the BBPLC Board, the Board receives feedback on culture and colleague engagement during the year through, for example, updates on colleague and workforce matters presented to Board meetings. Board members also have the opportunity to engage with colleagues during the year at colleague events. Further detail on the Company's workforce commitment and engagement model can be found in the Colleagues section on page 15 of the Strategic report.
- The Board Sustainability Committee supports the Board's oversight of climate and sustainability matters, in accordance with its Terms of Reference.

Board Sustainability Committee

The Board Sustainability Committee comprises a majority of independent Non-Executive Directors, with membership of the Committee broadly aligned with the BPLC Board Sustainability Committee. The Board Sustainability Committee is chaired by Nigel Higgins. Robert Berry, Dawn Fitzpatrick, Mary Francis, C.S. Venkatakrishnan and Julia Wilson are also members of the Committee. As noted above, Mary Francis is to step down from the Board and her role as a member of the Board Sustainability Committee with effect from 6 May 2026.

The Board Sustainability Committee held three scheduled meetings and one ad hoc meeting in 2025.[△] Owing to other commitments or illness, some Directors were unable to attend certain meetings, however they received papers in advance and had the opportunity to share their views with the Chair ahead of the meetings. Board Sustainability Committee meetings are attended by management including the Head of Public Policy and Corporate Responsibility, Group Head of Sustainable and Transition Finance, and the Head of Legal, Public Policy and Corporate Responsibility. Attendance at Board Sustainability Committee meetings during 2025 was as follows:

Member	Scheduled meetings attended / eligible to attend	Ad hoc meetings attended / eligible to attend	Effective date
Nigel Higgins (Chair)	3/3	1/1	Appointed 23 March 2023
Robert Berry	2/3	1/1	Appointed 23 March 2023
Dawn Fitzpatrick	1/3	1/1	Appointed 23 March 2023
Mary Francis	3/3	1/1	Appointed 23 March 2023
CS Venkatakrishnan	3/3	1/1	Appointed 23 March 2023
Julia Wilson	3/3	1/1	Appointed 1 April 2023

The principal role and responsibilities of the Board Sustainability Committee, pursuant to its Terms of Reference, are:[△]

- supporting and advising the Board in its oversight of climate and sustainability matters relating to (i) the services and products provided to the Company's clients and customers, (ii) particular sectors, and (iii) its own corporate activities
- supporting the Board in monitoring the implementation of the Company's climate and sustainability strategy and reviewing and making recommendations to the Board on the suitability of material changes to its strategy.
- reporting to the Board on the climate and sustainability matters for which it is responsible, escalating issues and making recommendations to the Board where appropriate.

During 2025, the principal activities of the Committee included:[△]

- Detailed discussion and review of the Barclays Transition Update ahead of publication. The Committee considered the risks and opportunities presented by the transition.
- Discussions were informed by external perspectives, including external legal and policy experts, and underpinned by management's active engagement with external stakeholders. The Committee also received regular updates on external developments, market practice and regulatory changes.

[△] Information subject to limited assurance in accordance with (ISAE) (Ireland) 3000

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- The Committee discussed the continuing work to advance Barclays position on nature and human rights, recognising the growing importance of these issues to stakeholders and to the long-term sustainability of the business.

The Board Sustainability Committee effectiveness review was internally conducted for 2025, with the results confirming that the Committee is operating effectively.

[Additional information relating to sustainability matters[△]](#)

Board and Board Committee oversight of sustainability matters

The Board sets the strategic direction for BBPLC. Further details on the role and responsibilities of the Board are set out in Principle One: Board Leadership and company purpose. Further to this, the Board and, as appropriate, its Committees oversee sustainability matters which may, where appropriate, include material impacts, risks and opportunities (IROs) as relevant.

The *Matters Reserved to the Board* sets out those matters reserved to the Board, which include material decisions relating to strategy, risk appetite, risk management and controls frameworks and the approval of large transactions among other matters. The Board considers a range of matters in its decision-making process, which may include, where appropriate, consideration of any material IROs, as relevant.

Each Committee has its own Terms of Reference setting out its principal role and responsibilities and incorporating oversight of our IROs where appropriate. In particular:

- Recognising the importance of climate and sustainability matters and the growing importance of other sustainability areas including nature, the Board Sustainability Committee supports and advises the Board in its oversight of climate and sustainability matters, including related risks and opportunities. The Chief Executive Officer is an Executive member of the Board Sustainability Committee and in that role brings invaluable climate and sustainability insights to the Committee's discussions, including external perspectives from his outside engagements.
- The Board Risk Committee oversees risk appetite and the management of principal risks, including climate risk. In evaluating BBPLC's risk profile, the Committee's considerations include the risk of financial losses arising from climate change through physical risks and risks associated with transitioning to a lower carbon economy and progress against the Barclays Group's financed emissions reduction targets (insofar as BBPLC contributes to these targets).
- The role of the Board Remuneration Committee includes exercising oversight over remuneration issues within the BBPLC Group, including the Fair Pay Agenda and gender and ethnicity pay gaps.

The *Matters Reserved to the Board* and Committee Terms of Reference are reviewed on a regular basis and updated as required, including if appropriate, to reflect changes in the nature of BBPLC's business and any relevant material IROs.

Skills and expertise related to sustainability matters

Board members and members of relevant Board Committees (for example, the Board Sustainability Committee) are able to reflect on and deepen their skills and expertise on sustainability matters, including in relation to our IROs as relevant, through periodic briefings on key business developments and external developments provided by management. Further information regarding briefings related to our material sustainability matters (including where appropriate updates regarding their management) provided to the Board during 2025 can be found in Principle One: Board leadership and company purpose (see the 'What the Board did in 2025' section). Information regarding the key sustainability-related activities of relevant Committees in 2025 can be found in Principle Three: Composition, succession and evaluation, Principle Four: Audit, risk and internal control, Principle Five: Remuneration and Principle Six: Stakeholder relationships and engagement.

Where the Board or a Board Committee identifies that additional expertise and insight would be helpful to support informed decision-making, they are able to call on internal subject matter experts to provide additional briefings and training on particular material sustainability matters. Where appropriate, training may be requested from relevant external experts.

[△] Information subject to limited assurance in accordance with (ISAE) (Ireland) 3000

Governance report

Directors' report

The Directors present their report together with the audited accounts for the Company for the year ended 31 December 2025.

Section 414A of the Act requires the Directors to present a Strategic report in the Annual Report. The report can be found on pages 1 to 19.

BBPLC has addressed the Non-Financial Reporting requirements contained in sections 414CA and 414CB of the Act through the disclosure contained in the Barclays PLC Annual Report 2025 on pages 44 to 51. In addition, the Company has chosen, in accordance with section 414C(11) of the Act, and as noted in this Directors' report, to include certain matters in its Strategic report that would otherwise be disclosed in this Directors' report:

- An indication of likely future developments may be found in the Strategic report.
- The particulars of important events affecting the Company since the financial year end can be found in the Strategic report and Note 24 (Legal, competition and regulatory matters) to the financial statements.

Other information that is relevant to the Directors' report, and which is incorporated by reference into this report, can be located at:

	Pages
Performance measures	7 to 9
Corporate governance statement	21 to 34
Sustainability statement	40 to 114
Risk management	120 to 143
Principal risks	10 to 12, 120, 144 to 156

Disclosures required pursuant to the Large and Medium-sized Companies and Groups (Accounts and Reports) Regulations 2008 as updated by the 2018 Regulations can be found on the following pages:

Engagement with employees (Sch.7 Para 11 and 11A Regs 2008/2018 and Section 172(1) Statement)	15
Financial Instruments (Sch.7 Para 6 Regs 2008)	319
Hedge accounting policy (Sch.7 Para 6 Regs 2008)	323

Profits and dividends

The results of the Barclays Bank Group show statutory profit after tax of £4,658m (2024: £3,748m). The Barclays Bank Group had net assets of £62,313m as at 31 December 2025 (2024: £59,220m).

The Company declared a £1,175m dividend to its parent, Barclays PLC, in respect of 2025, which is expected to be paid on or around 10 February 2026.

Dividends paid on preference shares for the year ended 31 December 2025 amounted to £32m (2024: £41m).

Further details on dividends on ordinary shares and preference shares paid in 2025 are set out in Note 10 to the financial statements.

Share capital

There was no increase in ordinary share capital during the year. BPLC owns 100% of the issued ordinary shares. There are no restrictions on the transfer of ordinary shares or agreements between holders of ordinary shares known to the Company which may result in restrictions on the transfer of securities or voting rights. Further information on the Company's share capital, including preference shares, can be found in Note 26 of the financial statements.

Shareholder rights in relation to shareholder meetings

The Company is required to hold an annual general meeting each year in addition to such other general meetings as the directors think fit. 21 clear days' notice must be given for an annual general meeting and 14 clear days' notice must be given for any other general meeting. The Company is also required to hold a general meeting if so requested by a shareholder or shareholders representing at least 5% of such of the paid-up capital of the Company as carries the right of voting at general meetings of the Company. Such a meeting must be called within 21 days of the Company being required to hold such a meeting and must be held not more than 28 days after the notice convening such a meeting.

Notice of a general meeting must be in writing and must specify the place, the day and time of meeting, and the general nature of the business to be transacted. If a special resolution is proposed, the notice must also specify the intention to propose the resolution as such.

Subject as noted below, all shareholders are entitled to attend and vote at general meetings.

Governance report

Directors' report

The quorum for a general meeting is two qualifying persons present and entitled to vote. Voting is done on a show of hands unless a poll is properly demanded by the chair of the meeting or any shareholder entitled to vote on the resolution. Shareholders may vote at a general meeting in person or by proxy or, in the case of a corporation, by a duly appointed corporate representative. At a general meeting, shareholders vote on matters which are required to be approved by shareholders, by ordinary resolution or special resolution, as a matter of law or in accordance with the articles of association. An ordinary resolution is passed, on a show of hands, by a simple majority of votes cast or, on a poll, by shareholders representing a simple majority of total voting rights of the voting shareholders. A special resolution is passed, on a show of hands, by a majority of not less than 75% of the votes cast or, on a poll, by shareholders representing not less than 75% of the total voting rights of the voting shareholders.

Holders of preference shares have no right to receive notice of, attend or vote at, any general meetings of the Company.

Powers of Directors to issue and allot or buy back the Company's shares

The powers of the Directors are determined by the Act and the Articles. No shares were issued or bought back in 2025 except as set out in 'Repurchase of shares' below. The Directors are authorised to issue and allot shares and to buy back shares subject to annual shareholder approval at the AGM. Such authorities were granted by shareholders at the 2025 AGM. It will be proposed at the 2026 AGM that the Directors be granted new authorities to allot and buy back shares.

Repurchase of shares

The Company did not repurchase any of its ordinary shares in 2025. 31,856 Euro non-cumulative callable preference shares of €100 each were redeemed and cancelled by the Company on 16 June 2025.

Directors

The list of current Directors of the Company can be found in the Corporate Governance Statement on page 21. Changes to Directors during 2025 and up to the date of this report are set out below. As noted elsewhere in this report, Mary Francis will step down from the Board with effect from 6 May 2026.

Name	Role	Effective date
Diane Schueneman	Non-Executive Director	Stepped down 31 January 2025
Mary Mack	Non-Executive Director	Appointed 1 June 2025

Directors' indemnities

Qualifying third party indemnity provisions (as defined by section 234 of the Act) were in force during the course of the financial year ended 31 December 2025 for the benefit of the then Directors of the Company and the then directors of certain of the Company's subsidiaries and, at the date of this report, are in force for the benefit of the Directors of the Company and the directors of certain of the Company's subsidiaries in relation to certain losses and liabilities which they may incur (or have incurred) in connection with their duties, powers or office. The Barclays Group also maintains Directors' & Officers' Liability Insurance which gives appropriate cover for legal action brought against its Directors.

Qualifying pension scheme indemnity provisions (as defined by section 235 of the Act) were in force during the course of the financial year ended 31 December 2025 for the benefit of the then directors and, at the date of this report are in force for the benefit of directors of Barclays Pension Funds Trustees Limited as trustee of the Barclays Bank UK Retirement Fund, and Barclays Executive Schemes Trustees Limited as Trustee of Barclays Capital International Pension Scheme (No.1) and Barclays PLC Funded Unapproved Retirement Benefits Scheme. The directors of the trustees are indemnified against liability incurred in connection with the trustee's activities in relation to the aforementioned schemes.

Political donations

The Barclays Bank Group did not give any money for political purposes in the UK or outside the UK, nor did it make any political donations to political parties or other political organisations or to any independent election candidates, or incur any political expenditure during the year. Details of any political contributions made by the wider Barclays Group can be found in the Barclays PLC Annual Report 2025.

Support for candidates and colleagues with disabilities and long-term conditions

Barclays' commitment to inclusion includes ensuring that candidates with disabilities and long-term health conditions receive support and adjustments in the application process and beyond. Barclays welcomes applications from all candidates and is committed to ensuring reasonable adjustments (accommodations) are put in place to ensure a fair and inclusive candidate experience. Barclays is committed to providing all colleagues with the support and tools they need to have a productive and fulfilling career. We can consider making adjustments to remove or reduce barriers colleagues might face if they have a disability, health concern or mental health condition. We also ensure opportunities for training, career development and promotion are available to all.

Governance report

Directors' report

Engagement with customers, suppliers and others in a business relationship with the Company

The Barclays Group asks its TPSPs to (i) make responsible decisions that, where relevant, take our stakeholders' needs into account in both the short and long term and (ii) to comply with all applicable laws, rules and regulations within the geographies in which they operate.

The Barclays Group's standard approach¹ to TPSP onboarding and contract renewal begins by assessing the inherent risk associated with the goods and/or services being provided in-line with Barclays' TPSP risk assessment process. TPSPs that are assessed as being above a low risk of exposure from a business risk perspective are subject to the Barclays Group's Supplier Control Obligations (SCOs). Prior to contractual agreement and service go-live, these TPSPs are required to confirm adherence to the SCOs (subject to negotiation) and the TPSP CoC.

TPSPs to whom the SCOs apply will be actively managed and subject to controls assurance on an annual basis to assess whether the control requirements and expectations outlined within the TPSP CoC are being met. Where TPSPs are unable to meet our expectations defined within the SCOs and the TPSP CoC, the issue will be managed, as appropriate, in-line with the Barclays Group's Issue Management Standard. The TPSP CoC and SCOs are published on the Barclays Group public website for all new and existing TPSPs to view and are refreshed at least annually to help ensure the Barclays Group expectations continue to be met.

For more information on our engagement with customers and clients, please refer to the "Customers and clients" section of the Strategic Report, page 33 of the Governance Report, and the "Customers and clients" section of the Barclays PLC Annual Report 2025.

Note

- 1 Where financial institutions and market counterparties provide services to the Barclays Group, the nature of the services leveraged, may require an alternate onboarding approach and as such some control expectations may not be applicable. This is assessed at the point of onboarding.

Branches and Country-by-Country reporting

The Barclays Bank Group operates through branches, offices and subsidiaries in the UK and overseas. Those branches are in a number of different jurisdictions including in Hong Kong, Singapore and New York. The Company is exempt from publishing information required by the Capital Requirements (Country-by-Country Reporting) Regulations 2013 as this information is published by its parent, BPLC. This information is available on the Barclays website: home.barclays/annualreport.

Research and development

In the ordinary course of business, the Barclays Bank Group develops new products and services in each of its business divisions.

Key intangible resources

Our key intangible resources are those resources without physical substance on which our business model fundamentally depends. We deploy them to serve the financial needs of our diversified customer base, delivering value through synergies, providing clear outcomes for our stakeholders. They include our:

- People, purpose, values and mindset - Our people are our organisation. We deliver success through a purpose-driven and inclusive culture;
- Brand - Our brand equity instils trust, lowers the cost of acquiring customers and clients and helps retain them for longer; and
- Technology and infrastructure - Our deep technology and infrastructure capabilities drive customer experiences and support strong resiliency.

Change of control

There are no significant agreements to which the Company is a party that take effect, alter or terminate on a change of control of the Company following a takeover bid.

There are no agreements between the Company and its Directors or employees providing for compensation for loss of office or employment that occurs because of a takeover bid.

Statutory auditor

The BPLC Board Audit Committee reviews the appointment of the Barclays Group statutory auditor, as well as their relationship with the Barclays Group, including monitoring the Barclays Group's use of the statutory auditors for non-audit services and the balance of audit and non-audit fees paid to them. The BBPLC Board Audit Committee also monitors the use of the statutory auditor for non-audit services within the Barclays Bank Group.

In our 2024 Annual Report, we disclosed Barclays PLC's intention to conduct a formal audit tender process for the role of the Barclays Group statutory auditor (including BBPLC). The audit tender process was conducted in early 2025 and overseen by the BPLC Board Audit Committee (with support from the BBPLC Board Audit Committee). Following conclusion of the audit

Governance report

Directors' report

tender process in May 2025, upon recommendation from the BBPLC Board Audit Committee, the BBPLC Board confirmed the re-appointment of KPMG as BBPLC's statutory auditor with effect from the financial year ending 31 December 2027.

For further information about the audit tender process, please refer to the report of the Board Audit Committee in the Barclays PLC Annual Report 2025.

Non-audit services

In order to safeguard the statutory auditor's independence and objectivity, the Barclays Group has in place a policy on the Provision of Services by the Barclays Group Statutory Auditor (the Policy) setting out the circumstances in which the statutory auditor may be engaged to provide services other than those covered by the Barclays Group audit. The Policy applies to all Barclays subsidiaries and other material entities over which Barclays has significant influence. The core principle of the Policy is that non-audit services (other than those legally required to be carried out by the Barclays Group's auditor) should be performed by the statutory auditor only in certain controlled circumstances. The Policy sets out those types of services that are permitted.

Under the Policy, except for specific categories of 'permitted' services that require explicit Board Audit Committee approval, the BPLC Board Audit Committee has pre-approved all permitted services for which fees are less than £100,000 and certain other annual recurring non-audit services. All requests to engage the statutory auditor are assessed by independent management before work can commence. Requests for permitted service types in respect of which the fees are expected to meet or exceed the above threshold, but expected to be less than £250,000, must be approved by the Chair of the BPLC Board Audit Committee before work is permitted to begin. Services where the fees are expected to be £250,000 or higher must be approved by the BPLC Board Audit Committee as a whole. All expenses and disbursements must be included in the fees calculation. More information on the Policy can be found in the Barclays PLC Annual Report 2025.

The fees payable to KPMG for the year ended 31 December 2025 amounted to £57m (2024: £57m), of which £16m (2024: £15m) was payable in respect of non-audit services. A breakdown of the fees payable to the auditor for statutory audit and non-audit work can be found in Note 38 to the financial statements.

Disclosure of information to the Auditor

Each Director confirms that, so far as they are aware, there is no relevant audit information of which the Company's auditor is unaware and that each of the Directors has taken all the steps that they ought to have taken as a Director to make themselves aware of any relevant audit information and to establish that the Company's auditor is aware of that information. This confirmation is given pursuant to section 418 of the Act and should be interpreted in accordance with and subject to those provisions.

Directors' responsibilities

The following statements, which should be read in conjunction with the auditor's report set out on pages 263 to 283, are made with a view to distinguishing for shareholders the respective responsibilities of the Directors and of the auditor in relation to the accounts.

Going concern

In preparing each of the Barclays Bank Group and Company financial statements, the Directors are required to:

- assess the Barclays Bank Group's and Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the Barclays Bank Group and the Company or to cease operations, or have no realistic alternative but to do so.

The Barclays Bank Group's business activities, financial position, capital, factors likely to affect its future development and performance, and its objectives and policies in managing the financial risks to which it is exposed are discussed in the Strategic report and Risk review sections of this report.

The Directors have evaluated these risks in the preparation of the financial statements and consider it appropriate to prepare the financial statements on a going concern basis.

Preparation of accounts

The Directors are required by the Act to prepare the Company and the Barclays Bank Group accounts for each financial year and, with regard to Barclays Bank Group accounts, in accordance with UK-adopted international accounting standards. The Directors have prepared these accounts in accordance with (a) UK-adopted international accounting standards; (b) IFRS as issued by the IASB, including interpretations issued by the IFRS Interpretations Committee; and (c) IFRS adopted pursuant to Regulation (EC) No 1606/2002 as it applies in the European Union. Pursuant to the Act, the Directors must not approve the accounts unless they are satisfied that they give a true and fair view of the state of affairs of the Barclays Bank Group and the Company and of their profit or loss for that period.

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Directors' report

The Directors consider that, in preparing the financial statements, the Barclays Bank Group and the Company have used appropriate accounting policies, supported by reasonable judgements and estimates, and that all accounting standards which they consider to be applicable have been followed.

The Directors are satisfied that the Annual Report and Financial Statements, taken as a whole, are fair, balanced and understandable, and provide the information necessary for shareholders to assess the Company's position and performance, business model and strategy.

Directors are responsible for such internal controls as they determine are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Directors' responsibility statement

The Directors have responsibility for ensuring that the Company and the Barclays Bank Group keep accounting records which disclose, with reasonable accuracy, the financial position of the Company and the Barclays Bank Group, and which enable them to ensure that the accounts comply with the Act.

The Directors are also responsible for preparing a Strategic report, Directors' report and Corporate Governance Statement in accordance with applicable law and regulations.

The Directors are responsible for the maintenance and integrity of the Annual Report and Financial Statements as they appear on the Barclays website. Legislation in the UK governing the preparation and dissemination of financial statements may differ from legislation in other jurisdictions.

The Directors have a general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

The Directors are responsible for preparing the financial statements in accordance with Commission Delegated Regulation (EU) 2019/815 with regard to regulatory technical standards on the specification of a single electronic reporting format.

The current Directors, whose names and functions are set out on page 21, confirm to the best of their knowledge that:

- (a) the financial statements, prepared in accordance with (a) UK-adopted international accounting standards; (b) IFRS as issued by the IASB, including interpretations issued by the IFRS Interpretations Committee; and (c) IFRS adopted pursuant to Regulation (EC) No 1606/2002 as it applies in the European Union, give a true and fair view of the assets, liabilities, financial position and profit or loss of the Company and the undertakings included in the consolidation taken as a whole; and
- (b) the management report, which is represented by the Strategic report and Directors' report: (i) includes a fair review of the development and performance of the business and the position of the Company and the undertakings included in the consolidation taken as a whole, together with a description of the principal risks and uncertainties that they face; and (ii) the Sustainability Statement referenced therein, which is set out on pages 40 to 114, has been prepared in accordance with the European Sustainability Reporting Standards and the specifications adopted pursuant to Article 8(4) of Regulation (EU) 2020/852.

Sustainability Statement

The content of the Sustainability Statement, required to be included in the Management Report further to the Transparency (Directive 2004/109/EC) Regulations 2007 (as amended), is set out in the Schedule to the Directors' Report on pages 40 to 114.

By order of the Board

Hannah Ellwood
Company Secretary
9 February 2026

Barclays Bank PLC
Registered in England. Company No. 1026167
Registered office, 1 Churchill Place, London E14 5HP

Schedule to the Directors' report: Sustainability statement

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Schedule to the Directors' report: Sustainability statement

General Information

Basis of preparation for sustainability reporting

This 'Sustainability Statement' has been prepared in accordance with the requirements set out in the Corporate Sustainability Reporting Directive (CSRD); the European Sustainability Reporting Standards (ESRS); the Transparency (Directive 2004/109/EC) Regulations 2007, as amended; and the requirements of the EU Taxonomy Regulation, as amended by Commission Delegated Regulation (EU) 2026/73. The content of this Sustainability Statement is subject to limited assurance, and findings of this exercise are outlined within the assurance provider's conclusion, set out on page 111.

The threshold for information material for inclusion within this Sustainability Statement is based on the requirements outlined in paragraph 31 of ESRS 1. The sustainability matters disclosed are aligned to the results of the double materiality assessment (DMA), set out on page 49, and the information provided to meet our related disclosure requirements, including any metrics, has been based on the significance of the information in relation to the matter and identified impact, risk or opportunity, or the capacity of such information to meet the users' decision-making needs.

Level of consolidation

This Sustainability Statement has been prepared on a consolidated basis for Barclays Bank Group, consistent with the financial statements. For further information on the financial consolidation, see the notes to the financial statements set out on pages 295 to 409.

Coverage of value chain

An important cornerstone of the ESRS disclosure requirements is the DMA. The DMA was first performed in 2024 to determine our material sustainability matters. Barclays Bank Group refreshed its DMA in 2025 for this reporting period.

The DMA covered direct and indirect business relationships in the value chain. For details relating to our value chain, see page 46. The DMA process and reporting criteria are described further on page 49. The outcome of the DMA serves as the starting point for our disclosures on our material impacts, risks and opportunities (IROs), which are included in the Environmental, Social and Governance sections below.

Omission of information

We have not used the option in the ESRS to omit any specific pieces of information corresponding to intellectual property, know-how, or the results of innovation.

Disclosures in relation to specific circumstances that may have an effect on the preparation of the sustainability statement

i) Sources of estimation and outcome uncertainty

Financed emissions calculations rely on externally sourced data mapped to internal customer and client identifiers. The externally sourced data has various limitations for each sector, including lack of coverage, low resolution, consistency and transparency of company-reported data, as well as the time lag for external sources to report estimates or actuals.

For further details on the data sources and estimations in financed emissions metrics, including a summary of the basis of preparation and level of accuracy, see page 67.

ii) Changes in preparation or presentation of sustainability information

For the 2025 disclosure, we have made the following changes to our disclosed metrics:

- Inclusion Index has replaced other previously disclosed diversity related metrics, see further details on page 81,
- Updated the EU Taxonomy tables reporting to align the requirements of the EU Taxonomy Regulation, as amended by Commission Delegated Regulation (EU) 2026/73. See further details on pages 99 and 419.

iii) Incorporation by reference

The following disclosures, required by the ESRS, are included in other relevant sections of the Annual Report and incorporated by reference into this Sustainability Statement:

- Certain disclosure requirements are closely linked to requirements that Barclays Bank Group is already subject to, such as the requirement in the Companies Act 2006 to describe its governance structure; and
- Information regarding Barclays Bank Group's products and services and significant markets and clients served are outlined in the Investment Bank, UK Corporate Bank, US Consumer Bank and Barclays Private Bank and Wealth Management content within our Strategic Report.

The table on page 107 identifies all these disclosure requirements.

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iv) Use of phase-in provisions

We have applied phase-in reliefs set out in the Commission Delegated Regulation (EU) 2025/1416 (Quick Fix Regulation) adopted on 11 July 2025, including in relation to:

- All disclosure requirements (E4, S2, S3 and S4 impacts);
- Own workforce metrics (S1-7 to S1-15); and
- Quantitative disclosures on anticipated financial effects (ESRS 2 SBM 3).

Sustainability Governance

Board and Board Committee oversight of sustainability matters

Specific information relating to our Board and its Committees can be found in the Corporate governance statement from page 21. In particular:

- Information on the composition and diversity of our Board and its Committees is set out on page 21 (the table in 'The Board' section), page 24 (Principle Two: Division of responsibilities, 'The Board' section), page 26 (Principle Three: Composition, succession and evaluation, the tables setting out industry and leadership experience and international experience) and page 27 (Principle Three: Composition, succession and evaluation, the 'Inclusion and opportunity' section);
- Information on the roles and responsibilities of our Board and its Committees in relation to sustainability matters and how these are reflected in governance documentation is set out on page 34 (Additional information relating to sustainability matters, the 'Board and Board Committee oversight of sustainability matters' section);
- Information relating to the skills and expertise of Board and Committee members in relation to sustainability matters is set out on page 34 (Additional information relating to sustainability matters, the 'Skills and expertise related to sustainability matters' section);
- For further information on how the Board and its Committees are informed about our material impacts, risks and opportunities, see page 34 (Additional information relating to sustainability matters, the 'Skills and expertise related to sustainability matters' section);
- For further information on how the Board and its Committees consider our material impacts, risks and opportunities when overseeing our strategy, risk management and any decisions on major transactions, see page 34 (Additional information relating to sustainability matters, the 'Board and Board Committee oversight of sustainability matters' section); and
- Information about the material risks, impacts and opportunities considered by the Board and its Committees during 2025 is set out on page 34 (Additional information relating to sustainability matters section).

In relation to our material impacts, risks and opportunities, the Barclays Bank Group has set a target in relation to the completion of mandatory training by colleagues (please see page 81 for further details). Given the nature of the target, it is set and overseen by management. Any material issues relating to performance against this target may be escalated to the Board Audit Committee, as appropriate, as part of reporting provided by management on the control environment in relation to monitored risks, which includes people risk.

Management's role in the governance processes

Oversight and management of Barclays' climate and sustainability strategy, of which Barclays Bank Group is a key contributor, continues to be embedded in business-as-usual management structures, including executive committees. These committees are mandated and form part of Barclays' formal governance architecture. Each committee is itself governed by Terms of Reference that lay out the duties, decision-making authority and escalation route of any material issues. The executive management committees receive periodic briefings on matters including climate change and consider both risks and opportunities. Climate and sustainability-related risks are assessed and escalated where relevant through the various risk forums.

The GSC is a sub-committee of Group ExCo and is chaired by the Group Head of PPCR. GSC members include senior sustainability representatives from across the businesses, including the Group Head of Sustainable and Transition Finance, as well as members representing key functions across the Group.

The GSC is responsible for approving and recommending sustainability matters on behalf of Group ExCo to the Board Sustainability Committee as appropriate. The GSC is also responsible for determining, agreeing or recommending sustainability position statements, frameworks, targets, relevant disclosures and advocacy areas necessary to support strategy delivery and agreeing the strategic change priorities to support overall sustainability strategy.

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The Group Risk Committee (GRC) is the designated forum to review risk profile, risk practices and recommend, where necessary, updates to the Board Risk Committee. In relation to climate, the GRC reviews and recommends proposed risk appetite and relevant limits to the BRC. To support the oversight of Barclays' climate risk profile, the Climate Risk Committee ('CRC') was established as a sub-committee of GRC. The CRC is responsible for reviewing and approved a range of updates including the climate risk exposures, risk appetite, limits and plans for embedding climate risk into business activities. Additionally, climate-related risk metrics, risk trends, climate scenario analysis and stress test exercises, and progress against Barclays Group targets are reviewed and discussed at the CRC.

The Disclosure Committee (DisCom), which is chaired by the Group Finance Director, has been set up as a sub-committee of the Group ExCo. DisCom is convened to review and monitor the integrity of the Group's financial and narrative statements and other information provided to stakeholders, whether by means of announcement or otherwise. In addition to reporting to the Group ExCo, DisCom also reports to the Board Audit Committee (BAC). DisCom is convened to undertake a number of specific duties, including:

- financial reporting: to review and monitor the integrity of the Group's financial statements, interim management statements, preliminary announcements (if prepared), and any other formal announcements relating to the Group's financial performance.
- narrative reporting: to review and monitor the integrity of the Group's narrative statements, including but not limited to the BPLC, BBPLC and BBUKPLC Annual Reports, the BPLC Country Snapshot and the BPLC Modern Slavery Statement.

The Group Reputation Risk Committee (GRRC) is a sub-committee of the Group ExCo which reviews and challenges, and directs as appropriate, the management and mitigation of Reputation Risk matters in Barclays Group as they are brought to the attention of the GRRC via relevant Reputation Risk assessment and escalation processes. This includes Reputation Risk associated with sustainability related matters. The GRRC is co-chaired by the Head of Public Policy and Corporate Responsibility and Group Chief Compliance Officer, and members include the Group Chief Risk Officer and Group General Counsel.

BBPLC Business-Level Committees

Business-level committees are convened for senior management to review transactions with potential material Reputation Risk to Barclays. These may include transactions involving climate and sustainability-related risks. Where particularly heightened risks are identified, these transactions may be escalated to the Group Reputation Risk Committee. Matters reviewed by these committees include transactions, relationships, agreements, strategies and other business activities.

ERMF Oversight

The ERMF governs the way in which the Barclays Bank Group identifies and manages its risks. It outlines the highest level arrangements for risk management by setting out standards, objectives and key responsibilities of different groups of employees of the Barclays Bank Group. The ERMF is complemented by frameworks, policies and standards which are mainly aligned to individual principal risks:

- frameworks cover high-level principles guiding the management of principal risks, and set out details of which policies are needed, and high-level governance arrangements;
- policies set out the control objectives and high-level requirements to address the key principles articulated in their associated frameworks. Policies state 'what' those within scope are required to do; and
- standards set out details of the control requirements to ensure the control objectives set by the policies are met.

In relation to the management of material impacts and opportunities, our standard business controls and operating procedures apply.

The target set out on page 81, which relates to our material IRO (S1 - Equal Opportunities for all), is set centrally by management and overseen by management in each key business area through relevant reporting.

Sustainability-Related Performance in Incentive Schemes

Barclays' Reward Policy, and the remuneration philosophy within, applies to all colleagues globally. It is set by the BPLC Board Remuneration Committee and adopted by the BBPLC Board Remuneration Committee and is designed to promote the long-term success of Barclays and ensure that remuneration is aligned to the Barclays strategy and risk management approach. The remuneration philosophy includes our objectives to:

- Reward sustainable performance. Sustainable performance means making a positive and enduring difference to investors, customers and communities, delivering good customer outcomes, taking pride in leaving things better than we found them, and playing a valuable role in society.

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- Support Barclays' Values and culture, meaning that results must be achieved in a manner consistent with our Values, and emphasising that our Values, culture and Mindset should drive the way that business is conducted.
- Align pay with risk appetite, risk exposure and conduct expectations, including sustainability-related risks. Barclays' remuneration approach is designed to reward colleagues for achieving results in line with the Barclays' risk appetite and conduct expectations.

Incentives are delivered in the form of annual bonus awards for all employees (subject to eligibility criteria) and Long Term Incentive Plan (LTIP) awards for the Executive Directors of BB PLC. Non-Executive Directors of BB PLC are not eligible for annual bonus awards or other incentives.

Annual bonuses incentivise and reward the achievement of the Barclays Group, business and individual objectives, and reward colleagues for demonstrating behaviours in line with Barclays' Values and Mindset. Climate and sustainability-related performance is factored into annual bonus outcomes in two ways – via its impact on incentive pools and through individual performance assessments.

In determining the Group and BB PLC incentive pools, Barclays' performance against non-financial measures, including climate and sustainability-related measures, is considered, impacting annual bonus awards of all employees. Since the assessment is holistic, there is no predetermined weighting for sustainability-related measures. For 2025, climate and sustainability-related measures considered as part of this assessment included:

- climate-related measures focused on progress towards Barclays' Sustainable and Transition Financing target, reductions in its financed emissions and progress against targets relating to achieving net zero operations;
- consideration of how Barclays is investing in communities through programmes such as LifeSkills (including number of people upskilled and placed into work);
- colleague-related measures including engagement, culture and inclusion.

The incentive pools are also adjusted to take account of risks, both crystallised and potential future risks, and consideration is given to vulnerabilities across all of Barclays' principal risks, which include climate risk.

Performance for all colleagues is assessed against individual performance objectives aligned to the consistently excellent standard. Where relevant, these objectives include sustainability-related considerations, which are tailored to the individual's role. Individual bonus outcomes are determined based on Barclays Group, business and individual performance, and are discretionary, so there is no predetermined weighting for sustainability-related measures (except for the Executive Directors of BB PLC as described below). For employees earning higher bonuses and other employees identified as 'Material Risk Takers', a significant portion of their annual bonus is deferred.

The Group Executive Committee members responsible for Barclays' five business divisions, including those who are also BBPLC Executive Committee members, have specific climate and sustainability-related objectives relevant to the businesses they manage included in their performance objectives and assessment. Their remuneration approach is aligned with the approach for all other colleagues and is reviewed annually by the BBPLC Board Remuneration Committee and, where appropriate, the BPLC Board Remuneration Committee. No individual is involved in deciding their own remuneration.

For the Executive Directors of BBPLC, who are also Executive Directors of BPLC, incentive outcomes are more structured than for other employees. The BPLC Board Remuneration Committee sets financial and non-financial measures aligned with the Barclays strategic priorities at the start of the performance period for each award. At the end of the performance period, performance against the measures is assessed and a detailed retrospective narrative is provided in the Annual Report. The measures include:

- In the 2025 annual bonus, 10% is based on a combination of measures relating to customers, clients and colleagues, which include engagement, culture and inclusion. A further 5% is based on an assessment of performance against risk awareness and operational excellence measures. The same will apply for the 2026 annual bonus.
- In the 2025-2027 LTIP, and the 2026-2028 LTIP, climate and sustainability-related measures are included as part of a broader category of measures relating to sustainability, customers and clients, weighted at 25%. The sustainability-related measures will likely include financing clients' transition, reducing our financed emissions and achieving net zero operations, as well as supporting our communities.

Sustainability due diligence

Sustainability due diligence is the process used to identify, prevent, mitigate and account for how the actual and potential negative impacts on the environment and people connected with a company's business are addressed. These include negative impacts connected with a company's own operations and its upstream and downstream value chain, including through its products or services, as well as through its business relationships. Due diligence is an ongoing practice that

Schedule to the Directors' report: Sustainability statement

General Information

responds to and may trigger changes in our strategy, business model, activities, business relationships, operating, sourcing and selling contexts.

The table below outlines where information relating to sustainability due diligence can be found within the Sustainability Statement.

Core elements of due diligence	Pages in the Sustainability Statement
Embedding due diligence in governance, strategy and business model	42
Engaging with affected stakeholders in all key steps of the due diligence	48
Identifying and assessing adverse impacts	49
Taking actions to address those adverse impacts	63, 69, 89, 92, 93, 95, 97
Tracking the effectiveness of efforts and communicating	65, 72, 81, 87, 96

Risk management and internal control over sustainability reporting

Barclays' approach to risk management and internal control over sustainability reporting is set out in the Operational Risk Framework (ORF), which defines what the organisation needs to do to manage operational risk effectively. Operational risk is managed under the Barclays' ERMF. The ORF and associated policies and standards allow operational risks to be managed effectively and consistently, and in line with regulatory expectations.

The framework consists of integrated components that work together to effectively manage operational risk. The components involve the structure of risk identification and assessment, mitigation and management, and monitoring and reporting of risks, operated across the three Lines of Defence.

The risk identification and assessment for sustainability reporting, as set out in the ORF, is supported by various risk assessment tools. Risk and Control Self-Assessment (RCSA) is a Group-wide approach to identify and assess:

- the risks that are inherent in each process;
- the effectiveness of the controls in place to mitigate the risks;
- the level of residual risks after the application of the controls; and
- the actions required to reduce any residual risk that is outside the risk appetite/tolerance.

The RCSA process assesses the effectiveness of the control environment and helps management determine if the residual risk is within or outside the appetite/tolerance; and is a key factor in determining changes to the residual risk. For example, where the control environment improves, the level of residual risk is expected to fall, and vice versa.

The risk and control assessments, risk events, issues and key indicators, among others, inform management if a risk should be subjected to an enhanced oversight, review and challenge, and be prioritised for any risk mitigation/reduction plan.

The main risks associated with the sustainability reporting processes, defined by Barclays' financial reporting policies and standards, are grouped in risk themes (such as calculation error, reporting error and late reporting) which in turn consider risks relating to:

- completeness and integrity of data;
- accuracy of estimation results;
- timing and availability of information; and
- fairness, balance and understandability of disclosures.

Such policies and standards also describe the control objectives and control requirements to mitigate the associated risks. These are preventative and detective controls, such as data integrity checks, external disclosure checks, reconciliations, validations, analytical reviews, and management review/challenge, operated by the relevant functions over the sustainability reporting process.

To further mitigate the risks related to sustainability reporting, specific governance committees, such as the Disclosure Committee, are responsible for reviewing and monitoring the integrity of the BBPLC Annual Report, including the sustainability reporting.

These controls are established to manage and mitigate the risks within the risk appetite and tolerance. Risk mitigation is either through implementation of additional controls against the risk, or remediation of existing controls assessed as operating ineffectively, in order to strengthen the effectiveness of the control environment of the relevant functions to the sustainability reporting process.

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Any findings of the risk assessment and internal controls associated with the sustainability reporting processes are assessed by the relevant function for severity (financial and non-financial impact) and probability of occurrence in accordance with the Risk and Issue Classification Matrix (RICM). RICM provides a consistent basis for classifying risks and issues and helps determine the escalation and reporting requirements, commensurate with the overall risk exposure.

Any issues, such as control gaps, are documented and recorded in the approved system of record, including remedial actions to address the findings, and are tracked and reviewed for completion and closure. Where applicable, a risk reduction plan is performed whenever the residual risk (after taking into consideration the effectiveness of controls) is outside of the risk appetite/tolerance. Such plan includes remedial activities to bring the residual risk within the acceptable level.

Any findings of risk assessment and internal controls associated with the sustainability reporting process are reviewed and reported by the relevant functions through risk and control committees on a regular and event-driven basis, such as the Risk Category and Control Forums. Where applicable, any material findings are escalated and reported to the Barclays Bank PLC Board Risk Committee (BRC). The BRC reviews the effectiveness of risk management and the Barclays Bank Group risk profile, including the material issues affecting each business portfolio and forward risk trends.

Strategy, business model and value chain

Business model

Barclays Bank Group's business model is aligned with the business model of Barclays Group. Barclays deploys its tangible and intangible assets, including people, technology, infrastructure and brand, to serve the financial needs of its diversified customer base, create synergies across the organisation, generate a well-diversified income stream and provide positive outcomes for its stakeholders.

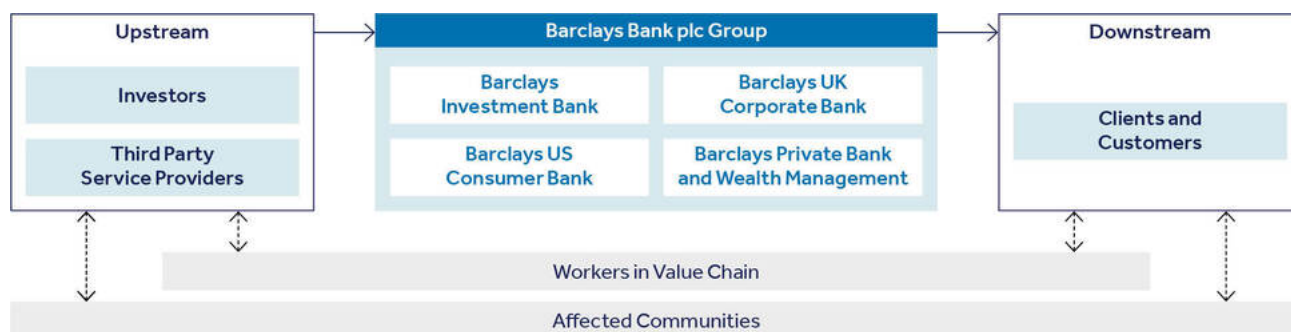
Significant products, services, significant markets and customer groups

Barclays Bank Group's products and services and significant markets and clients served, including the UK, US and Europe, are outlined in the Investment Bank, UK Corporate Bank, US Consumer Bank and Barclays Private Bank and Wealth Management content within our Strategic Report set out on page 1.

Headcount

Barclays Bank Group had a workforce of 23,088 employees globally at the end of FY25 (FY24: 23,788). For further details on the characteristics of our workforce, please refer to the S1 disclosure on page 73.

Main features of our upstream and downstream value chain



Direct relationships in value chain

Upstream

- **Investors:** Barclays Bank Group is a wholly owned subsidiary of the Barclays Group, focused on creating long-term sustainable value for Barclays and ultimately its shareholders. Barclays Bank Group is also a frequent issuer in the debt capital markets and have wholesale and retail debt investors.
- **Third-Party Service Providers (TPSPs)¹:** A TPSP is any entity that has entered into an arrangement with Barclays' entities, including those in the Barclays Bank Group, to provide business functions, activities, goods and/or services. For example, through TPSPs, Barclays Bank Group obtains a wide range of goods and services including technology and facilities management, client-focused payment solutions, customer service, and clearing services, supporting colleagues through recruitment services, learning partnerships and other TPSPs that support multiple functions through data services.

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Downstream

- **Clients and Customers:** Investment banking clients include corporates, money managers, financial institutions, governments and global organisations. Corporate clients are also served through the UK Corporate Bank. Private Bank and Wealth Management primarily cater to high net-worth individuals. US Consumer Bank caters to retail and non-retail clients through the provision of cards. Barclays Bank Group also partners with distributors to provide co-branded cards.

Indirect relationships in value chain

- **Affected communities:** Individuals or groups who may be affected by the actions, operations and/or value chains of those parties in Barclays Bank Group's upstream (TPSPs) or downstream (Clients and Customers) value chain.
- **Workers in our value chain:** Individuals who work in Barclays Bank Group's upstream or downstream value chains but may not have a direct contractual relationship with the Barclays Bank Group.

Note:

1 Third-Party Service Providers are equivalent to suppliers as defined in Annex II- Acronyms and Glossary of Terms in ESRS, published by Council of European Union

Sustainability strategy and goals

Barclays Bank Group contributes to Barclays' sustainability strategy and goals. These are primarily focused on impacts, risks and opportunities arising from financing activities. Barclays Bank Group supports Barclays' climate strategy, which focuses on working with clients on their transition, financing clients' transition, and scaling climate technology, while integrating nature and social considerations. This is reflected in Barclays' target to facilitate \$1trn of Sustainable and Transition Finance between 2023 and the end of 2030. The products and services offered as a part of this strategy are financing activities including debt and equity capital markets, corporate lending, trade finance and consumer lending. It applies to all Barclays businesses globally. These products and services help to generate positive social and environmental outcomes through financing of activities such as, but not limited to, energy efficiency, renewable energy, affordable housing, basic infrastructure and services.

Barclays Bank Group products and services that support the Barclays climate strategy are as follows:

UKCB: Delivered through proactive engagement, thought leadership, and continuous development of new sustainable solutions, we work with clients to understand their transition ambitions and challenges to provide an enhanced offering.

PBWM: Responsible investing and sustainable investing solutions focus on ESG integration and dedicated sustainable investment strategies, as appropriate per the relevant mandates.

IB: Blending the existing expertise and relationships in our coverage groups with specialised teams focused on sustainable finance growth areas – providing enhanced and integrated solutions for our clients.

Barclays has set 2030 financed emissions reduction targets for eight high-emitting sectors set out on page 65. More generally, our broader sustainability goals include developing ways to effectively mitigate our material potential sustainability impacts and risks which could impact our customers and services, for example through the effective management of potential data privacy and cyber security impacts globally.

The Third Party Service Provider Code of Conduct (TPSP CoC) encourages our TPSPs to adopt our approach to doing business and details our expectations for matters including environmental management, human rights and also for living the Barclays Values. The TPSP CoC is published on the Barclays public website for all new and existing TPSPs to view and are refreshed at least annually.

Our sustainability goals in relation to other stakeholders (such as investors and regulators) are focused on maintaining and strengthening these relationships, and continuing to develop understanding of their individual sustainability related views, goals, expectations and challenges.

Main challenges ahead relevant to sustainability reporting

We recognise that, as part of Barclays, we have an important role to play in the transition, we cannot tackle this challenge on our own and that Barclays' ability to implement its climate strategy and deliver against its targets depends heavily on client progress and a wide range of external factors. We will consider and adapt our approach as needed to reflect the evolving landscape.

The development of sustainability related metrics, targets and disclosures are also dependent on data availability. Barclays relies on disclosures made by its clients and customers, which at this time are complex and still evolving, to be reliable and consistent. Further information is set out in the Important Information section on page 106.

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Interests and views of stakeholders

The table below outlines how we engage with our six key stakeholder groups. The purpose of this engagement is to enable us to understand the interests and views of our key stakeholders, in relation to sustainability matters, and allow us to consider these views in our strategy and business model. The table outlines:

- the different types of engagement methods used to engage with our key stakeholders;
- the purpose of our engagement with our key stakeholders; and
- how the outcomes are used in our strategy and business model.

The Board is informed of our stakeholders' views on sustainability-related impacts, where relevant, through updates from management and Board stakeholder engagement. This engagement is discussed in Principle Six: Stakeholder relationships and engagement set out on page 33 in our Corporate governance statement. You can read about how the Board engages with certain stakeholders in our Section 172(1) statement in the Strategic report on page 18.

Stakeholder engagement enables us to understand the priorities of our different stakeholder groups. The key topics our stakeholders raised and discussed, as part of stakeholder engagement, allow us to understand their interests and views on our strategy and business model pertaining to Environmental, Social and Governance matters. This understanding is used to support the due diligence process and was considered as part of the DMA, as outlined on page 49, and specifically:

- When assessing the appropriateness of the IROs that were taken forward for assessment under the DMA, and
- During the stakeholder questionnaire (as discussed in the 'Double Materiality Assessment' section), to inform and enhance our understanding of external stakeholders views.

Stakeholder	How we engage	Engagement purpose	How the outcomes are taken into account
Third-party service providers (TPSPs)	• Direct engagement with TPSPs through our relationship managers and sustainability subject matters experts • Communication of our TPSP Code of Conduct to ensure TPSPs are aware of and able to meet expectations on matters including environmental management and human rights	• Promote good practice on matters including environmental management and human rights	• Assess the TPSPs against environmental management and human rights matters
Investors	BBPLC is a wholly owned subsidiary of BPLC. BPLC is a publicly traded company with diverse group of investors. Investors in BPLC refer to the disclosures made at BBPLC level. Barclays Group engagement with investors includes: • Regular quarterly meetings and updates on results and future guidance and expectations • Frequent deep-dive and thought leadership conferences and group sessions Ad hoc engagement to address queries • Annual AGM to engage with BPLC investors and shareholders • Via an ESG resources hub to demonstrate non-financial performance, policies and statements, and applicable ESG ratings, as well as frameworks utilised by Barclays	• Provide a feedback mechanism for the Group, and indirectly to BBPLC and Barclays Europe to understand the needs of investors • Educate and explain current performance and future expectations to best illustrate performance to investors • Provide access to the subject matter experts within the Barclays Group as well as access to Senior Management and the Board	• Drives topics of prioritisation in a changing environment, guiding relevant and accurate reporting against market expectations • Inform disclosure requirements of investors to aid investment decision, helping to develop sustainability-related policy and strategy, governing all activities of Barclays
Government, Policy makers and Regulators	• Ongoing supervisory relationships with our regulators • Engagement with policymakers and governments directly and indirectly (including through trade associations) consistent with our business strategy • Participating in key international and domestic policy forums • Providing feedback and engaging with regulatory and government consultations, directly and indirectly through trade associations	• Enhance our understanding of regulatory expectations and requirements in relation to our business • Identify and engage in the development of the key policy initiatives that could impact us and our clients, including in relation to sustainable finance and the energy transition	• Embed our understanding of regulatory expectations and requirements within our business • Make informed and insightful contributions to the development of policy that could impact us and our clients • Enhance existing relationships and build new relationships with a range of governments, policymakers, regulators and relevant trade associations

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Stakeholder	How we engage	Engagement purpose	How the outcomes are taken into account
Employees	Our approach to workforce engagement delivers meaningful, regular two-way dialogue and recognises the importance of closing the feedback loop. We engage with colleagues in a wide variety of ways, including: • Townhalls • Skip-level meetings • Site visits • Leader led engagement • Focus groups • Surveys • Unions and Works Councils	Our engagement channels provide senior leaders with the opportunity to engage with colleagues in a variety of ways. We engage in regular, meaningful, two-way dialogue with our colleagues to understand what is working well across the organisation and where we can improve.	Our engagement mechanisms enable us to listen to our colleagues, monitor organisational culture, and supports Senior Leaders to take action.
Customers and Clients	• Regular client surveys • Analysis of customer complaints • Direct interaction	• Support our customers' and clients' • Gather customer and client feedback, and engage on their own financial health, financial and non-financial strategy and plans • Influence and develop products and services to meet their needs	• Build our understanding of customer and client evolving needs • Adapt our products and services accordingly • Continue to build the expertise, knowledge and capabilities customers and clients are looking for • Identify and address the root causes of customer complaints • Tailor financing and advise clients on future financing requirements, aiding their own sustainability and supporting the longevity of our relationship
Affected Communities and Workers in the downstream value chain	On an ad hoc basis, we have engaged credible proxies and representatives to gain insight into the perspectives of affected communities, this has taken the form of engagement with credible proxies, such as NGOs and civil society organizations.	• Develop our understanding of the actual and potential human rights risks relevant to our business from the perspective of affected stakeholders • Enhance the robustness and legitimacy of the process for assessing salient human rights risks	• Inform the identification of a list of human rights impacts relevant to the then Corporate and Investment Bank • Support the enhancement of the evolving framework of policies and processes that seek to embed our commitment across our business

Double materiality assessment

Double materiality has two dimensions, impact materiality and financial materiality. A sustainability matter is material from an impact perspective when it pertains to the undertaking's material impacts on people or the environment over the short, medium or long-term. A sustainability matter is material from a financial perspective if it generates risks or opportunities that materially influence (or could reasonably be expected to materially influence) the undertaking's financial position, financial performance, cash flows, access to finance or cost of capital over the short, medium or long term. The ESRS require undertakings to disclose specific information on environmental, social and governance matters when the undertaking has assessed the matter as material in its double materiality assessment.

Description of the process to identify and assess material impacts, risks and opportunities

During 2025, Barclays Bank Group updated its DMA using the steps outlined below. Subject matter experts (SMEs) supported the completion of the DMA. The SMEs were identified based on their role in or knowledge of the Barclays Bank Group and appropriate knowledge of the specific sustainability matters and related impacts, risks and opportunities.

The DMA was a continuous process with steps completed through the year and the prior period's results reviewed through ongoing assessment and used where deemed appropriate for the current reporting period.

Step 1: Understanding Barclays' products and services, value chain and stakeholders

We relied on last year's process to identify activities, business relationships and geographies of Barclays Bank Group that could give rise to heightened risk of adverse impacts across our value chain. For more details on the outcomes of this, see Significant products, services, significant markets and customer groups and Value Chain sections on page 46 and Stakeholder engagements on page 48.

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Step 2: Developing a preliminary list of potentially relevant sustainability matters

In 2024, we completed an exercise to identify a list of sustainability matters that were relevant and important to Barclays Bank Group, its stakeholders, the geographies and the sectors in which it operates. The following eight document types were manually reviewed, and relevant sustainability topics were extracted:

1. BBPLC and BPLC Company documents
2. ESG frameworks
3. ESG rating agency publications
4. Industry publications
5. Regulations
6. Investor reports
7. Peer sustainability disclosures
8. Media results relating to ESG topics

The sustainability matters identified were ranked based on the number of occurrences in the data sources and weighted, in order to prioritise the matters and arrive at a list of potentially material sustainability matters. This list formed our initial basis for assessing relevant impacts, risks and opportunities.

In the current reporting period, the list of sustainability matters was reviewed by SMEs to ensure it was up to date. In conducting their review, SMEs exercised professional judgement, taking into account:

- Market insights;
- Regulatory focus areas; and
- Emerging sustainability topics.

The list of sustainability matters was amended based on this review, to ensure sustainability matters assessed under the DMA remained appropriate.

Stakeholder questionnaire

In 2025, we used a questionnaire to ensure we were capturing our ongoing stakeholder engagement, including with external experts for a number of areas. The SMEs responsible for engaging with the stakeholder groups outlined on page 48 completed the questionnaire based on their interactions over the past 12 months. The objective was to document stakeholders' views and ensure all views relevant to potentially material sustainability matters and impacts, risks and opportunities are considered in the DMA and to inform our understanding of how stakeholder groups are impacted. The responses were collated and mapped to the list of sustainability matters. New sustainability matters were added, and relevant SMEs were informed of stakeholders' views.

Step 3: Identifying the impacts, risks and opportunities of each sustainability matter across the value chain

Existing impact, risk and opportunity library

Any new impacts, risks and opportunities identified by SMEs were added to the library for assessment. Items considered no longer appropriate were excluded from the 2025 assessment. This includes those that have been superseded by new impacts, risks, or opportunities, or those with a negligible materiality score in prior periods that is expected to remain unchanged. In addition, some existing IROs within the library, including those which formed part of our material IROs for the previous financial reporting period, were revised to reflect the findings from the review conducted for this reporting period. This has resulted in some changes to the presentation and description of some IROs reported this year, compared to the previous reporting period, see further detail on page 52.

Drafting a new impact, risk and opportunity

When a new impact, risk or opportunity is identified, SMEs draft concise descriptions of the impact, risk or opportunity to be assessed for materiality. The description clearly identifies the driver of the impact, risk or opportunity and assigns it the appropriate value chain location. Additionally, for impacts, SMEs state whether the impact is positive or negative and, for risks and opportunities, SMEs indicate whether they are connected to an impact or a dependency, and in the case of risks, identify the related principal risk, where relevant.

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Step 4: Scoring materiality

Existing impact, risk and opportunity

For impacts, risks and opportunities previously assessed, SMEs reviewed the prior year's scoring for appropriateness by considering the following:

- Changes in organisation or operational changes (i.e. changes in own operations, upstream or downstream value chains);
- Any mergers and acquisitions, change in strategy or entering new markets affecting Barclays Bank Group (i.e. entering/exiting new products or geographical markets);
- Significant changes in regulatory, geopolitical or social environments which may impact regulatory obligations (i.e. investigations, peer bank incidents/fines);
- Internal check-and-challenge review based on other assessments conducted by Barclay Bank Group; and
- Developments in sustainability across the market.

In instances where the assessment needed updating, the SME re-assessed the impact, risk or opportunity following the guidance outlined in Step 4.a or Step 4.b.

New impact, risk and opportunity for 2025

Each new impact, risk and opportunity is assessed by the most appropriate SME function, based on the SME relevant expertise. In cases where the impact, risk or opportunity is assigned to multiple functions, the average of their assessments was used to calculate a materiality score. Further detail on the scoring is outlined below.

Step 4.a: Impact materiality: Assessing the materiality of the impacts

All impacts are scored and prioritised by SMEs based on severity, reflecting their scale, scope, irremediability (for negative impacts) and likelihood (for potential impacts) as relevant for Barclays Bank Group. The SMEs rated each parameter on a scale of 0-5, with the severity ratings then averaged and multiplied by the likelihood to obtain a rating for each impact. SMEs also considered the specific time horizon within which the impact could occur and any outsized impact related to geography or business segment in their assessment.

Step 4.b: Financial materiality: Assessing the materiality of risks and opportunities

All risks and opportunities were scored and prioritised by SMEs based on their financial magnitude and likelihood as relevant for Barclays Bank Group. The initial assessment of magnitude and likelihood was qualitative and relied on their professional judgement. The qualitative assessment was then augmented with quantitative thresholds, where available, such as stress test outcomes. Professional judgement was applied in mapping the quantitative thresholds and definitions of Barclays risk register to the qualitative definitions of magnitude and likelihood. The SMEs rated each parameter on a scale of 0-5 with the magnitude ratings then multiplied by the likelihood to obtain a rating for each risk and opportunity. SMEs also considered the specific time horizon within which the risk or opportunity could occur in and any outsized risk or opportunity related to geography or business segment in their assessment.

Step 5: Validation of the completeness and materiality of IROs through internal governance forums

The 2025 SME assessment scores are reviewed and challenged through the internal calibration forums and internal working groups, consisting of SMEs involved in the DMA, to ensure appropriate comparability and agreement across the output of the assessment. Following this, SMEs confirmed their scores for this reporting period.

A threshold of materiality to identify the shortlist of material sustainability matters (including their specific impacts, risks and opportunities) was determined by the CSRD Steering Committee, which includes representatives from business, finance, risk, regulatory, group sustainability and legal functions. Impacts, risks, and opportunities that scored above the determined threshold, and their corresponding sustainability matters, were considered material for reporting purposes. Impacts, risks, and opportunities that scored close to the threshold or have moved across the threshold year-over-year, were subject to additional investigation by the Steering Committee, on a case-by-case basis.

The CSRD Steering Committee reserved the right to amend the initial materiality decision for each and its corresponding sustainability matter, based on their expert judgement and senior leadership insight.

The material sustainability matters and related IROs for 2025 were then presented to the BB PLC Audit Committee. For the full list of material sustainability matters see page 52.

We will continue to consider how we approach our double materiality assessment for future reporting periods, considering any changes made to the ESRS.

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Additional information on IRO identification for Environmental matters

As part of the DMA process, when assessing climate change, we considered Barclays Bank Groups' direct operations and our value chain's emission contribution and the impact of these emissions. Additionally, we completed analysis to identify and assess both physical and transition risks and opportunities including the use of scenario analysis to assess how our assets and business activities may be exposed to or impacted by climate risks. Further details, including scenarios overview, are set out on page 55 in the Climate Change disclosure.

Actual and potential impacts, risks and opportunities relating to pollution, water and marine resources, resource use and circular economy in Barclays' direct operations and its value chain were identified and assessed qualitatively based on expert judgement of Barclays subject matter experts according to the process and criteria above. This process will continue to be developed.

The DMA was primarily qualitative and relied on the professional judgement of the SMEs. Accordingly, we did factor BB PLC site-level operational activities to determine our actual and potential impacts, opportunities relating to pollution, water and marine resources, and resource use and circular economy.

We did not undertake any additional consultations with our stakeholders beyond the engagement outlined in the DMA.

Additional information on IRO identification for Business conduct matters

Business conduct within our operations was assessed to identify material impacts, risks and opportunities in line with the DMA process. This included assessing our specific activities, sectors and locations, to identify any specific matter that may be relevant to us.

Embedding sustainability in risk management:

We recognise sustainability related risks (including environmental, social and governance) as drivers of other existing financial risks (credit risk, market risk, treasury and capital risk) and non-financial risks (including operational risk and reputation risk). As such, these risk drivers are not treated as a standalone risk type. These risks are continuously identified, assessed, and monitored through our risk management processes as they develop over time. We prioritise sustainability related risks based on internal assessment outcomes, regulatory requirements, and investor and stakeholder sentiments.

The process for evaluating financial materiality of risks through the existing risk management processes is outlined below.

The risk register contains all material risks that may impact forward-looking business plans across key legal entities and business units. Quantitative (typically based on stress testing) or qualitative assessments are performed to quantify the impact of material risks on capital or liquidity positions of legal entities/business units. Following this assessment, each material key risk driver is mapped to the risk ratings (which are derived based on the magnitude of impact and materiality thresholds). Barclays Bank Group's risk register is refreshed on at least an annual basis and is subsequently used to support strategic planning, scenario design, sensitivity analysis and capital adequacy assessments

While the existing risk management processes inform the DMA, the DMA process itself is not currently integrated into our overall risk management processes or used to evaluate our overall risk profile and processes. While the outputs from Risk register feed into the DMA process, they may differ from the materiality ratings determined through the DMA process. There needs to be further deliberation on how the concepts of magnitude and likelihood as required by DMA for ESRS disclosures can be better aligned with existing risk processes.

Embedding sustainability in opportunity management:

On an annual basis, a strategic review of sustainable finance opportunities is undertaken by the business along with relevant stakeholders. The opportunities prioritised are then captured into Barclays' annual planning cycle. Barclays' 2025 financial planning process included a review of its strategy, its implementation, and tracking of progress against climate-related targets – as well as capturing a view of climate-related opportunities. During 2025, Barclays Bank Group continued to enhance its monthly reporting framework to cover a view of the balance sheet from Sustainable and Transition Finance. This supports Barclays' ability to review its sustainable and transition finance portfolio at greater granularity and improve relevant business engagement through the financial planning process.

The DMA process is not currently integrated into our overall opportunity management processes or used to evaluate our overall pipeline of opportunities.

Material Impacts, Risks and Opportunities and their Interaction with Strategy and Business Model

We have identified one new sustainability matter compared to our previous reporting period: a new potential negative impact relating to Anti-Money Laundering (AML) and Sanctions. Alongside making a number of editorial or presentational changes across the descriptions for our IROs (such as streamlining the language or aggregating our potential negative impacts in relation to S3 from five to three key themes), we have also updated a number of these descriptions from last year as a result of our DMA process, as follows:

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- E4 (Biodiversity and ecosystems) – Updated our negative impact disclosure as we continue to build our understanding of drivers of biodiversity loss and related negative impacts in our downstream value chain, with pollution no longer identified as a primary driver that is materially relevant to our clients' impacts.
- S1 (Own workforce) – Updated our positive impact disclosures to reflect our evolving approach to inclusion and opportunity and equal opportunities for all to progress, while aspiring to hire from the broadest global talent pools, within a culture of belonging and equal opportunity for all. We have presented policies in such a way as to reinforce our wider focus on creating a workforce culture where colleagues feel safe to speak up. See Strategy Update in 2025 section on page 76 for further details.

The table below shows the material sustainability matters for Barclays Bank Group and their mapping to the associated ESRS standard or, in the case of our entity-specific sustainability matters, the most appropriate ESRS standard.

ESRS	Page	IRO	Type	Value Chain			Time Horizon		
				Upstream	Own Operations	Downstream	Short >= 1 year	Medium (1-5 years)	Long (>5 years)
E1	55	Climate Change Mitigation	Negative Impact			*	*	*	*
E1	55	Climate Change - Transition	Risk			*		*	*
E4	68	Drivers of Biodiversity ¹	Negative Impact			*	*	*	*
Entity Specific	71	Sustainable and Transition Products and Services ²	Positive Impact			*	*	*	*
Entity Specific	71	Sustainable and Transition Products and Services ²	Opportunities			*	*	*	*
S1	76	Equal Opportunities for All	Positive Impact		*		*	*	*
S1	84	Working Conditions	Positive Impact		*		*	*	*
S2	89	Labour Rights (including Modern Slavery)	Negative Impact			*	*	*	*
S3	90	Communities' economic, social and cultural rights	Negative Impact			*	*	*	*
S3	90	Communities' civil and political rights ¹	Negative Impact			*	*	*	*
S3	90	Indigenous Peoples rights ¹	Negative Impact			*	*	*	*
S4	92	Cybersecurity ¹	Negative Impact			*	*	*	*
Entity Specific	94	Data Privacy - Accurate records ²	Negative Impact		*		*	*	*
Entity Specific	94	Data Privacy - Right to privacy of consumers and end-users ²	Negative Impact			*	*	*	*
Entity Specific	96	Anti-Money Laundering and Sanctions ²	Negative Impact		*		*	*	*

Notes:

- 1 Denotes sustainability matter disclosed under ESRS 2 BP-2 paragraph 17 to comply with the phased-in reliefs set out in ESRS 1, Appendix C and allowed by the Quick Fix Regulation.
- 2 Denotes entity specific sustainability matter disclosed under ESRS 1, Appendix A, AR 1-5 and ESRS 2 sections 4.2-5 (MDRs).

Information about the current effects of these material IROs on our business model, value chain, strategy and decision making, and how we manage and respond to these effects are reflected, in particular, in the key actions we have taken over the year and the actions which we have planned, is outlined in the topical disclosures below relating to each of these IROs. When determining what information to include we consider the significance of the information in relation to the matter or the decision usefulness of the information, aligning to the ESRS 1 section 3.2 requirements.

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Anticipated effects of these material IROs on our business model, value chain and strategy are also reflected in the key actions we plan to take. Further information regarding both our strategy and actions can be found in the topical disclosures below relating to each of these IROs.

We will continue to reflect on how we can appropriately monitor and respond to the anticipated effects of our material IROs on our business model, value chain and strategy and decision making.

List of datapoints in cross-cutting and topical standards that derive from other EU legislation

We are required to disclose a list of datapoints in cross-cutting and topical standards that derive from other EU legislation. These disclosures are incorporated by reference into this section of the Sustainability Statement and can be found in Schedule A to the Sustainability Statement on page 412.

Resilience of strategy and business model

Barclays Bank Group assesses the resilience of its strategy and business model regarding the capacity to identify material impacts, address related risks and take advantage of resulting material opportunities. This is the responsibility of the relevant committees and senior management, who are responsible for ensuring the risk and opportunities are considered in both the strategy and the business model. At this point in time, there are no material amendments to our strategy or business model required. Further specific details can be found in the Climate Change and Sustainable and Transition Products and Services sections on pages 55 and 71 respectively.

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Environmental Information

Contents

Barclays Bank Group identified material IROs in the following environmental topical standards:

ESRS Standard	Section	Page
E1	Climate Change	55
E4	Biodiversity and Ecosystems	68

E1: Climate Change

Climate change related impacts, risks and opportunities

The DMA process identified the following material IROs for climate change as outlined in the table below:

Material Impacts and Risks		Value Chain			Time Horizon		
Description	Type	Upstream	Own Operations	Downstream	Short (0-1 year)	Medium (1-5 years)	Long (>5 years)
Climate Change Mitigation							
Barclays Bank Group is connected to environmental impacts in relation to continuing financing to clients operating in high-emitting sectors ¹ .	Negative Impact			*	*	*	*
Climate Change - Transition							
Barclays Bank Group may face material financial risk arising from transition-related impacts on its investments and financing activities. The transition risks caused by extensive policy, legal, technology and market changes may result in significant adverse impacts to wholesale credit corporates, especially within high-emitting industries which may not be well-prepared to transition.	Risk			*		*	*

Note:

¹ For more detail on high-emitting sectors, please refer to the Metrics section on page 66.

Strategy

Barclays recognises that climate change has widespread impacts on the group and its legal entities, its clients and the broader economy. Barclays integrates climate risk considerations into its strategy, scenario analysis, policies and actions, risk management frameworks, and performance metrics and targets to ensure a resilient and sustainable response to climate change. Barclays ambition to be a net zero bank by 2050, approved by shareholders in 2020, was driven by a recognition of the risks and opportunities associated with climate change. Since then, Barclays has continued to deliver against its strategy whilst at the same time, evolving its approach in recognition of the realities of the transition. The Barclays Transition Update (BTU): Clients, Capital and Innovation, published in July 2025, sets out how the Group plans to continue delivering on its net zero ambition.

Transition plan for climate change

Barclays Bank Group does not have its own transition plan for climate change mitigation, nor does it plan to adopt its own transition plan. However, Barclays Bank Group forms part of Barclays and, as such, alongside other Barclays Group companies, will contribute to achieving Barclays ambition to be a net zero bank by 2050. The actions taken by Barclays Bank Group are grouped under decarbonisation levers and captured in the E1-3 (MDR-A) disclosure on page 63.

The BTU outlines the role that Barclays can play in supporting its clients as they navigate the opportunities and challenges from transitioning to a low-carbon economy and how overall it is managing the risks presented by the transition. The update is structured around three themes that Barclays as a whole is focusing on: working with clients on their transition, financing clients' transition and scaling climate technology. The update is published on the Barclays website.

Climate related risks and scenario analysis

Barclays Bank Group is exposed to climate-related risks indirectly through its downstream financing and investment activities. The feedback effects of climate risk drivers through macro and micro transmission channels when materialised are likely to be observed in Barclays Bank Group's portfolios in its traditional risk categories such as credit risk, market risk, treasury and capital risk, and operational risk. Climate risk is recognised as a driver of other existing financial risks (credit risk, market risk, treasury and capital risk) and non-financial risks (including operational risk and reputation risk).

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Climate risk is designated as a principal risk under Barclays' Enterprise Risk Management Framework (ERMF), with the purpose of capturing the impact of climate change on the Barclays Bank Group's financial and operational risk categories. For climate risk as a principal risk, Barclays has developed and implemented a dedicated risk framework, the Climate Risk Framework, which integrates within the broader ERMF aiming to guide effective management of climate risk and support the delivery of the Barclays' Climate Strategy. This framework is applicable to all legal entities in the Barclays Group (including Barclays Bank Group) and business lines. Climate change can also drive non-financial risk categories such as reputational risks mainly in connection with the negative impacts on climate, which continue to be managed under their respective frameworks. Barclays Bank Group continuously updates and refines its risk management practices and internal frameworks.

Identifying and assessing climate risk in downstream financing and investment activities

The Climate Risk Framework supports in establishing a systematic and enterprise-wide approach to managing financial and operational risks from climate change. The approach to identifying, measuring and managing climate-related risks is consistent with other key risks, focusing on those climate risk drivers that are relevant and could amplify financial and operational risk types. The potential impacts of transition risk drivers will vary across Barclays Bank Group's portfolios depending on composition, industry, geographic location, business operations and other contextual factors. Transition risk is defined by Barclays as the risk of financial losses caused by the changes driven by the economy shifting to a lower carbon basis, including for example changes in policy, technology and consumer and investor sentiment. Transition risks could occur in all timeframes. There remains significant uncertainty around the speed and scale of the transition. Assessments across short (0-1 yr), medium (1-5 yrs) and long-term (>5yrs) timeframes are conducted to understand and quantify the impact of climate transition risks on its financed portfolios and risk types. The approach is customised to reflect portfolio characteristics, size and exposure to specific climate risk drivers (including transition risk drivers) within various portfolios. Barclays has leveraged and enhanced its risk taxonomy and existing risk identification processes, such as horizon scanning, sector and geographical assessments to connect and understand the impact of various transition risk drivers on its existing risk categories. Please refer to the Climate Risk Management section (page 144) for further details.

Barclays Bank Group uses its risk register process to assess the potential effects of climate risk drivers on its existing financial and operational risk categories and portfolios across various time horizons. The materiality of financial impact from climate risks is derived either quantitatively (typically based on stress testing) or through qualitative estimations. The outcome of this process feeds into the CSRD double materiality assessment to identify and flag material sustainability topics for the firm.

Climate Scenario Analysis

Climate Scenario Analysis forms a key part of the Barclays Bank Group's approach to assessing and quantifying the impact of both physical and transition risks in our portfolios. Through climate scenario analysis, the climate-related risks and uncertainties can be translated into financial impacts to Barclays, allowing Barclays (including Barclays Bank Group) to identify risks and better understand the resilience of its business strategy and the impact on the Bank's business.

Barclays uses climate scenario analysis primarily for (1) understanding Barclays' resilience to climate scenarios, (2) as a consideration within its financial planning process, (3) as a consideration within its assessment of Expected Credit Losses reported under IFRS 9. Barclays continues to build its use of scenario analysis to explore and further understand the evolving landscape – identifying areas of risks and opportunities – to challenge existing assumptions of future climate pathways and measure the risks that climate change poses to us.

Two stress tests incorporating climate risk were conducted during 2025, each with its own scenario aligned to a less than 2°C pathway. Whilst we only assessed transition risk to be material, the scenarios explored Barclays' financial resilience to both transition and physical risks. Firstly, the 2025 annual Internal Stress Test (IST25) featured a scenario with climate risk drivers over a five-year period. Secondly, a climate-based Reverse Stress Test (RST) was run with a shorter-term focus, designed to test resilience to extreme, near-term climate events.

Based on the results of the scenario analyses performed to date, our view is that Barclays Bank Groups' strategy remains resilient to climate scenarios. Given the evolving climate landscape, we seek to further enhance our capabilities and modelling to refine our understanding of Barclays Bank Groups' resilience to various climate scenarios, particularly given high uncertainty in this area.

The IST25 was conducted as a Group-wide exercise across all portfolios, with the scenario specifically designed to evaluate Barclays Bank Groups' ability to withstand both climate-related and traditional macroeconomic risks. This year's scenario placed greater emphasis on physical climate risks than in previous years. Variable paths were benchmarked against NGFS (Network for Greening the Financial System) short-term scenarios wherever narratives aligned, ensuring stronger consistency with industry-standard methodologies.

Scenario analysis - scope and process

The IST25 climate scenario consists of three chronological stages. These stages include initial policy announcements that trigger immediate asset repricing, while more stringent policy requirements unfold over a longer time horizon - dampening recovery in years 3 to 5. Against this backdrop, the scenario stages also incorporate physical risk considerations: In the first

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two years, severe 'stormy and wet' weather occurs, characterised through floods and hurricanes. This is followed by three years of 'hot and dry' weather, resulting in water stress and wildfires. The insurance market tightens in the face of increased claims, with restricted risk appetite in high-risk zones and to key perils. Events create greater societal awareness of physical risks and their damages, shifting preferences towards lower risk assets.

The scenario's three stages include the following key events over five years, which is aligned to our short and medium-term horizons for climate risk generally:

Stage 1:

- Consumer preferences shift toward greener products and practices, particularly in the UK and EU, while consumption is cut to cope with the recessionary environment. Behavioural shifts are pronounced at sector level as consumers turn away from firms who finance carbon-heavy industries.
- Investors reassess their participation with certain firms. Those with heavy exposure to brown income and/or assets, combined with poor transition plans, are negatively impacted in equity markets – with capital reallocated to greener firms.

Stage 2:

- Regional climate policy divergence grows as UK, EU and China forge ahead as leaders on the transition, with India pivoting because of increased energy security concerns, and the US continuing to focus on domestic fossil fuel energy production, putting downward pressure on oil and gas prices. Low carbon investments surge due to accelerated investment in the Power grid and Electric Vehicles (EV) infrastructure, supported by declining costs and efficiency increases.
- In 2028, the UK and EU accelerate or announce additional climate policies. Governments rapidly scale up investment in EV charging infrastructure to speed up the automotive sector's transition. Existing emissions trading schemes are strengthened to align with a 1.5°C pathway, triggering a significant carbon price shock in 2028. This slows economic recovery and leads to heightened inflation as production costs rise due to increased energy costs, although some of these impacts are partially offset by substantial public and private investment aimed at enabling a faster transition. Carbon Border Adjustment Mechanisms (CBAMs) are introduced, causing supply-side shocks and increased trade frictions. Proposals to tighten EPC minimum standards are accelerated, bringing forward compliance deadlines for Buy-to-Let, Social Housing, and UK Commercial Real Estate properties to achieve EPC rating C or above.
- In the US, no additional climate policy is assumed at this stage. Nevertheless, some indirect effects are felt from the transition in Europe, primarily through reduced demand for carbon-intensive US exports as CBAMs decrease their competitiveness, and global fossil fuel price shocks.

Stage 3:

- By 2029, carbon price growth in the UK and EU slows but remains high. Technological progress, coupled with global capital shifting towards low-carbon solutions, drives the creation of new green jobs.
- In 2029, the US makes a rapid pivot back to transition policy, aiming to catch up domestically in low-carbon technologies. Policies similar to those introduced in Stage 2 in Europe are implemented, with similar inflationary impacts.

The scenario will have significant impacts on Barclays, including:

1. Amplified market shocks: additional to existing macroeconomic shocks, there will be further equity and credit shocks for brown industries and financiers, as a result of immediate repricing.
2. Amplified credit deterioration: additional credit risk on brown industries as a result of lower earnings expectations and refinancing risks.
3. Increase in frequency of physical risk events: throughout the time horizon, there is an increase in the occurrence of physical hazards such as flood, hurricanes and droughts.

Results and insights

Results of the exercise indicate that losses are again highest within the Investment Bank, primarily driven by exposures to carbon-intensive sectors that are most vulnerable to the combined effects of transition and physical climate risks. In particular, the scenario featured a sharp rise in carbon prices in the EU and UK, with the EU Emissions Trading System (ETS) price rising to \$309/tCO₂e. This was driven by a decline in global oil and gas demand, accelerated transition policies and the increasing cost burden from carbon pricing, all of which placed pressure on profitability in these industries.

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The impacts of the IST25 scenario remain manageable within the Bank's established risk profile. The IST25 results are fully integrated into the Group's Internal Capital Adequacy Assessment Process (ICAAP), informing the setting of risk appetite and supporting the Board's approval of the medium-term capital plan. The scenario confirms that the Group's capital and liquidity positions remain robust, with headroom above regulatory and internal thresholds. Management actions, both business-as-usual and strategic, provide additional capacity to absorb stress impacts if required.

Challenges and limitations

Barclays is continuing to better its understanding of the interlinking relationships between climate, particularly transition risk, and macro variables. A lack of adequate historical data is a key limitation to progress modelling capabilities. Inherent challenges exist in climate modelling due to limitations in data quality and availability, given the short history of climate assessments within the financial services industry.

There exist inherent uncertainties with scenario design largely attributed to limited history of the interactions between climate risks and the economy. There is a level of uncertainty with climate stress-testing projections in (i) how the scenario will manifest; (ii) how customers and clients will react; and (iii) the final loss quantification. Over longer time horizons, it becomes increasingly difficult to capture the range of second-order effects as physical and transition risks evolve, assess the rate in which risks manifest or subside, or identify inflection points. During 2025, Barclays conducted an exploratory exercise to extend climate scenario analysis from a 5-year period to a 10-year period. We continue to reflect on the outcomes of this exercise to deepen our understanding and support the further development of long-term assessment capabilities.

It is recognised, however, that further advances in modelling capability and data availability are required to fully capture the potential extent of climate-related losses. Given the evolving climate landscape, we seek to further enhance our capabilities and modelling to refine our understanding of the Barclays Bank Group's resilience to various climate scenarios, particularly given high uncertainty in this area.

Policies

Policies relating to Climate Change Mitigation Impacts

Climate Change Statement

Barclays Bank Group applies the Barclays position statement titled 'Climate Change Statement' to manage our downstream negative impact in certain high-emitting sectors. The statement addresses climate change mitigation and relates to the negative downstream impact that Barclays Bank Group can have by continuing to finance activities and/or companies active in high-emitting sectors which significantly contribute to global emissions. The statement does not address climate change adaptation, energy efficiency or renewable energy deployment. With regard to climate change adaptation, energy efficiency and renewable energy deployment, we address this by including the financing of the above activities as eligible under our Sustainable and Transition Finance Frameworks, to be counted towards Barclays Group target to facilitate \$1 of trillion Sustainable and Transition Finance between 2023 and the end of 2030.

The Climate Change Statement sets out Barclays' position and approach to certain high-emitting sectors. The statement has been developed in addition to Barclays sector-specific emission reduction targets consistent with the Barclays Purpose. The statement considers risk and market factors for energy and power sectors.

The key contents of the Climate Change Statement are:

- Conditions or restrictions on the financing of certain activities, such as project finance for expansion projects in upstream oil and gas, or financing provided to certain clients or groups active in sectors including but not limited to upstream oil and gas, thermal coal mining and thermal coal power.
- The applicability of stated financing restrictions and the governance approach of the statement.
- A brief overview of the following:
 - The Client Transition Framework (CTF) evaluates our in-scope clients' progress towards business models aligned to a low-carbon economy.
 - The Client Transition Review Forum (CTRF) which carries out targeted reviews of groups (any entity, the relevant parent company and its consolidated subsidiaries, as a whole) subject to a CTF assessment. These reviews are informed by the CTF assessment and take into account consideration of relevant risks and other business factors.
 - The approach to Sustainability Enhanced Due Diligence (SEDD) which evaluates groups that are in scope of the statement, their performance on a range of environmental and social issues in addition to adherence to restrictions detailed in our external position statements (taking into account regional and jurisdictional considerations).

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Clients in-scope of our Climate Change Statement are subject to SEDD and assessed against the Equator Principles (if a project finance or credit transaction is deemed to be in scope) including, where appropriate, any relevant International Finance Corporation (IFC) performance standards. The Performance Standards are directed towards clients, providing guidance on how to identify risks and impacts, and are designed to help avoid, mitigate and manage risks and impacts as a way of doing business in a sustainable way, including stakeholder engagement and disclosure obligations of the client in relation to project-level activities.

Additional SEDD questions will vary by sector, for instance, for *Biomass*, this process will also consider the sustainable sourcing of feedstock. External technical input may be obtained to assist the business in reviewing and assessing whether certain *Group* activities meet our internal SEDD criteria, or where there is uncertainty as to whether a certain activity is within scope of our SEDD criteria.

The Climate Change Statement is periodically reviewed and updates considered in light of the rapidly changing external environment. The statement is informed by engagement with Barclays stakeholders, including shareholders, clients, subject specialists and civil society. Barclays also use these engagements to share the statement with affected stakeholders and clients. Any review of this Statement will be undertaken by the Barclays Group Sustainability Committee with escalation to the Barclays Board Sustainability Committee or the Barclays Board (as appropriate).

Group-wide frameworks, policies and standards will be adopted throughout Barclays and applied unless local laws or regulations require otherwise. As such, the BB PLC CEO is the most senior individual in the organisation that is accountable for the implementation of the statement.

The scope of the statement is outlined in the table below and covers our approach to financing sectors such as Upstream Oil and Gas, Unconventional Oil and Gas, Thermal Coal Mining, Thermal Coal Power, Mountain Top Removal Coal Mining and SEDD requirements for Biomass.

Words in *italics* as captured in the table below are defined in the Key Definitions table in the 'Further Information' section starting from 107. These definitions clarify the intended scope of this statement. The Climate Change Statement is available to stakeholders on the Barclays website.

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Sector	Project Level	Entity Level
Upstream Oil and Gas	- We will not provide <i>project finance</i> for <i>expansion</i> projects or infrastructure projects primarily to be used for such <i>expansion</i> projects - We will not provide other <i>direct financing</i> to <i>Energy Groups</i> for <i>expansion</i> projects or infrastructure projects primarily to be used for such <i>expansion</i> projects	- We will not provide <i>financing</i> to new clients that are <i>Energy Groups</i> where more than 10% of their total planned oil & gas capital expenditure is in <i>expansion</i> - We will only provide new <i>financing</i> or renewal of existing <i>financing</i> for <i>Non-diversified Groups</i> where more than 10% of their total planned oil & gas capital expenditure is in <i>long-lead expansion</i>, by exception - We expect all <i>Energy Groups</i> to be producing relevant information in relation to their transition plans or decarbonisation strategies - We expect <i>Energy Groups</i> to demonstrate that they are committed to reducing their own emissions by having: - net zero-aligned near-term Scope 1 and 2 emissions reduction targets (absolute or intensity-based); and - targets to reduce methane emissions by 2030, aligned with OGCI, OGMP2.0, or similar industry guidance; and - a commitment to end all routine / non-essential venting and flaring by 2030. <u>Client Transition Framework (CTF)</u> We assess the information available on <i>Energy Groups</i>' plans for alignment with our 2030 financed emissions reduction targets through the <i>Client Transition Framework (CTF)</i> against several factors including, but not limited to, the following: - Scope 1 and 2 emissions reduction targets, including methane. - Scope 3 absolute emissions reduction targets/ commitments. - Plans to expand production. - Low carbon business model activities and plans. <u>Client Transition Review Forum (CTRF)</u> We have established a Client Transition Review Forum (CTRF) to carry out targeted reviews of <i>Groups</i> subject to a CTF assessment. <i>Energy Groups</i> meeting any of the following will be subject to mandatory annual review by the CTRF to determine whether continued financing support is appropriate in the context of their investment plans and overall decarbonisation or transition plans: <i>Energy Groups</i> where more than 10% of their total planned upstream oil & gas capital expenditure is in expansion. <i>Non-diversified Groups</i> - We recognise that <i>Non-diversified Groups</i> may present greater transition risk than diversified <i>Energy Groups</i>, in particular those engaged in <i>long-lead expansion</i>. - We have very limited appetite for <i>Non-diversified Groups</i> where they are engaged in <i>long-lead expansion</i>. <i>Energy Groups</i> with the lowest CTF assessment scores. Notwithstanding the outcomes of the CTRF reviews, <i>financing</i> decisions are transaction specific and will continue to be subject to consideration by relevant committees, if appropriate, to consider issues such as credit risk, reputational risk and capital impact. See "Applicability of Financing Restrictions" below for further detail on how restrictions will be applied.

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Sector	Project Level	Entity Level
Unconventional Oil and Gas	<u>Amazon Biome/Ultra-Deep Water/Extra Heavy Oil</u> - We will not provide <i>direct financing</i> to <i>Energy Groups</i> for any oil and gas projects in the <i>Amazon Biome</i>, or any oil and gas projects involving <i>Ultra-Deep Water</i> and/or <i>Extra Heavy Oil</i>, or infrastructure projects primarily to be used for such oil and gas projects <u>Arctic Circle</u> - We will not <i>directly finance</i> oil and gas projects in the <i>Arctic Circle</i> <u>Hydraulic Fracturing (Fracking)</u> - We will not <i>directly finance</i> projects involving <i>Hydraulic Fracturing (Fracking)</i> in the UK and Europe <u>Oil Sands</u> - We will not provide <i>direct financing</i> wholly or primarily to be used for the construction of new: (i) <i>Oil Sands</i> exploration, production and/or <i>Oil Sands</i> processing assets; or (ii) <i>Oil Sands</i> pipelines	<u>Amazon Biome</u> - We will not provide <i>financing</i> to <i>Clients engaged</i> in exploration, appraisal, development, and production of oil and gas in the <i>Amazon Biome</i> <u>Arctic Circle</u> - We will not provide <i>financing</i> to <i>Clients materially engaged</i> in oil and gas exploration and production or pipeline transportation operations in the <i>Arctic Circle</i> - We will not provide <i>financing</i> to <i>Clients</i> with ancillary oil and gas businesses in the <i>Arctic Circle</i> where proceeds are known to be for supporting new oil and gas exploration, production or new pipeline transportation projects in the <i>Arctic Circle</i> <u>Hydraulic Fracturing (Fracking)</u> - We will not provide <i>financing</i> to <i>Clients materially engaged</i> in <i>Fracking</i> activities in the UK and Europe <u>Oil Sands</u> - We will not provide <i>financing</i> to <i>Oil Sands exploration and production companies</i> - We will not provide general corporate purposes financing that is specified as being wholly or primarily for the construction of new: (i) <i>Oil Sands</i> exploration, production and/or <i>Oil Sands</i> processing assets; or (ii) <i>Oil Sands</i> pipelines <u>Unconventional Oil and Gas</u> - We will not provide <i>financing</i> to <i>Energy Groups</i> whose aggregate share of production in <i>Oil Sands</i>, <i>Extra Heavy Oil</i>, <i>Hydraulic Fracturing</i> in the UK/EU, and <i>Arctic Circle</i> oil and gas exceeds 20% of their total oil and gas production.
Thermal Coal Mining	- We will not provide <i>project finance</i> for greenfield development or <i>material expansion</i> of <i>thermal coal</i> mines anywhere in the world, including <i>captives</i> - We will not provide <i>project finance</i> for development of infrastructure projects primarily to be used for <i>thermal coal</i> mines anywhere in the world	- We will not provide <i>financing</i> to <i>new clients</i> engaged in <i>thermal coal</i> mining - We will not provide general corporate purpose <i>financing</i> that is specified as being for new or <i>material expansion</i> of <i>thermal coal</i> mining - We will not provide <i>financing</i> to existing <i>clients</i> that generate more than 30% of revenues from <i>thermal coal</i> mining - We will not provide general corporate purposes <i>financing</i> to <i>clients</i> with entities <i>engaged</i> in opening new <i>thermal coal</i> mines or <i>material expansion</i> of existing <i>thermal coal</i> mines, unless an undertaking is received from the borrower, or we are otherwise satisfied that the proceeds of such <i>financing</i> will not be made available to entities <i>engaged</i> in opening new <i>thermal coal</i> mines or <i>material expansion</i> of existing <i>thermal coal</i> mines <u>By 1 January 2030:</u> - For EU and OECD, we will phase out <i>financing</i> to all <i>clients engaged</i> in <i>thermal coal</i> mining - For the rest of the world, we will no longer provide <i>financing</i> to <i>clients</i> that generate more than 10% of revenue from <i>thermal coal</i> mining <u>By 1 January 2035:</u> - We will phase out <i>financing</i> for all <i>clients engaged</i> in <i>thermal coal</i> mining

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Sector	Project Level	Entity Level
Thermal Coal Power	We will not provide <i>project finance</i> to enable the construction or <i>material expansion</i> of <i>thermal coal-fired</i> power plants anywhere in the world, including <i>captives</i>	- We will not provide general corporate purpose <i>financing</i> that is specified as being for new or <i>material expansion</i> of <i>thermal coal-fired</i> power plants - We will not provide <i>financing</i> to <i>clients</i> that generate more than 30% of <i>revenue from thermal coal-fired power generation</i> - We will not provide general corporate purposes <i>financing</i> to <i>clients</i> with entities <i>engaged in</i> developing new <i>thermal coal-fired</i> power plants or <i>material expansion</i> of existing <i>thermal coal-fired</i> power plants, unless an undertaking is received from the borrower, or we are otherwise satisfied that the proceeds of such <i>financing</i> will not be made available to entities <i>engaged in</i> developing new <i>thermal coal-fired</i> power plants or <i>material expansion</i> of existing <i>thermal coal-fired</i> power plants <u>By 1 January 2030:</u> - For EU and OECD, we will phase out <i>financing</i> to <i>clients engaged in thermal coal-fired power generation</i> - For rest of the world, we will no longer provide <i>financing</i> to <i>clients</i> that generate more than 10% of <i>revenue from thermal coal-fired power generation</i> <u>By 1 January 2035:</u> - We will phase out <i>financing</i> for all <i>clients</i> engaged in <i>thermal coal-fired power generation</i>. <u>Exceptions to the phase out date(s) for <i>thermal coal-fired power generation</i> apply if:</u> - Remaining <i>thermal coal-fired</i> power plants are abated to reduce GHG emissions to near zero; or - Remaining <i>thermal coal-fired</i> power plants solely utilised as backup to low carbon power supply; or - Remaining <i>thermal coal-fired</i> power plants are required to remain open by operation of law, regulation or contract.
Mountain Top Removal (MTR) Coal	We will not <i>directly finance</i> projects or developments using <i>MTR</i> coal mining.	
Biomass		We will conduct SEDD on <i>Groups</i> that have >500MW installed <i>Biomass</i> capacity AND/OR >50% of their total installed capacity as <i>Biomass</i>.

Exceptions to Barclays Climate Change Statement

- We will consider exceptions to our *thermal coal* mining policy on a case-by-case basis for any *transition finance* provided by Barclays to *clients* reducing their *thermal coal* portfolio including retrofitting of existing facilities.
- We will consider exceptions to our *thermal coal* power policy on a case-by-case basis for any *transition finance* to *clients* reducing their *thermal coal* portfolio including retrofitting of existing facilities or where we are providing *financing* for decommissioning plants for those unable to transition.

Applicability of financing restrictions in Barclays Climate Change Statement

- Any existing commitments or *financing* entered into prior to any of the restrictions coming into effect under the Upstream Oil & Gas and Unconventional Oil & Gas sections of this statement may remain in place (but refinancings of any such commitments or financing shall be subject to the restrictions described above).
- In certain cases, we may enter into *Sustainable Finance* or *Transition Finance* transactions with an entity in a Group that would otherwise be restricted as a result of the application of the Upstream Oil & Gas section of this statement where Barclays is satisfied that any *Sustainable Finance* or *Transition Finance* transactions provided to it will not be used directly to support oil & gas activity.
- In cases where clients are identified as not meeting the non-mandatory expectations and Barclays has an active relationship with those clients, we encourage them to adhere to these expectations. Where clients are unable or unwilling to do so over time, we will review the relationship and may reduce our support.

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Policies relating to Climate Change Transition in downstream financing

Barclays Bank Group has adopted and implemented the Climate Risk Framework for Climate - Principal risk, focusing on managing impacts on financial and operational risk categories from climate change within the broader ERMF aiming to guide effective management of climate risk and support the delivery of its Climate Strategy. The Climate Risk Framework is underpinned by the Climate Risk Policy and Climate Risk Standard which collectively aim to embed climate-related considerations into Barclays' risk management practices. The Group Head of Climate Risk is the owner of climate risk as a principal risk, accountable for the management and oversight of this framework and associated policies and standards.

The Climate Risk Policy and Climate Risk Standard set out the control objectives and minimum control requirements for managing climate risk across different stages of the risk management cycle (across risk identification and assessment, management and mitigation, monitoring and reporting). Further, these components guide Barclays Bank Group in managing transition risks in its financed portfolios, maintaining financial resilience and aligning with its broader climate strategy. These documents articulate the approach for risk appetite by specifying guiding principles, quantitative limits and escalation protocols to maintain exposures within acceptable boundaries. These documents also outline the roles and responsibilities across governance structures and the three lines of defence for managing and overseeing climate risk.

The key principle underpinning the Climate Risk Framework is that climate risk is considered as a driver of traditional risk categories (e.g. credit risk, market risk, operational risk etc), and as such the frameworks and standards of other principal risk categories have also been enhanced to support the integration and embedding of climate risk within existing risk practices. The oversight and management of climate-related risks occur at a number of levels including through various governance committees and forums across business lines and legal entities. The frameworks, policies and standards are reviewed annually and updated to reflect internal and external developments including changing regulatory expectations.

Actions

Actions to manage Climate Change Mitigation Impacts

We have taken and will continue to take the following key actions, grouped under decarbonisation levers:

Measuring and monitoring emissions

Sustainability Enhanced Due Diligence (SEDD) to achieve Climate Change Statement objectives

We conduct SEDD on clients in-scope of our public position statements, via detailed Sustainability Enhanced Due Diligence (SEDD) questionnaires, which are used to evaluate their performance on a range of environmental and social issues in addition to adherence to restrictions detailed in our public position statements (application of the provisions is subject to compliance with applicable laws and regulations, which may change from time to time) and may be supplemented by a review of client policies/procedures, further client engagement and adverse media checks as appropriate. SEDD questionnaires generate an outcome based on alignment with position statements and identified environmental and social issues, which in turn determines whether further review by the Environmental and Social Risk Management (ESRM) team within Group Sustainability, client engagement may be required and the periodic review cycle (either annual or biennial). We follow a risk-based approach where certain clients would require further risk assessment prior to execution of transactions. The outcome of this action is the evaluation of a clients performance on a range of environmental and social issues and adherence to restrictions detailed in our external position statements, which in turn determines whether further review and client engagement may be required throughout the year and can be used to inform our financing decisions. SEDD for clients in scope of our external position statements is undertaken by Barclays client coverage teams, supported by control teams, as well as the Environmental and Social Risk Management (ESRM) Team, within the Group Sustainability function, who may advise on the application of the statements. Application of SEDD in relation to other identified impacts, risks and opportunities, is detailed in pages 69, 89 and 92.

Clients in-scope of our Climate Change Statement continue to be subject to SEDD.

Financed emissions tracking and benchmarking

Barclays measures certain financed emissions and tracks them at a portfolio level against the goals and timelines of the Paris Agreement – this methodology is called BlueTrack™. Currently, Barclays has set 2030 financed emissions reduction targets for Upstream Energy, Power, Steel, Cement, Automotive manufacturing, Aviation, UK Commercial Real Estate, UK Agriculture portfolios and a convergence point for UK Housing. The BlueTrack™ methodology was developed to measure and track Barclays progress against targets integrating 1.5°C aligned scenarios. The BlueTrack™ methodology uses an external climate scenario to construct a Paris-aligned portfolio benchmark that defines how a given financing portfolio will need to reduce emissions over time. These scenarios have been selected because they have been developed by reputable external providers, are aligned with the Paris Agreement goals and are sufficiently granular. The financed emissions for Barclays Bank Group are reported within the metrics section of this disclosure.

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Working with clients on their transition

We listen to our clients and build a nuanced understanding of the commercial realities shaping their transition pathways. This is informed by regular client dialogue led by our coverage teams and dedicated sustainable finance specialists, supported by specialised analytical tools such as our Client Transition Framework (CTF).

The CTF evaluates our in-scope clients' progress towards business models aligned to a low-carbon economy, primarily focused on clients' public disclosures. It provides a detailed understanding of clients' current and future transition activities. Clients who are assessed receive a CTF score of T1 (most developed) to T5. It helps us monitor and measure the decarbonisation progress of our in-scope clients, which in turn informs our engagement efforts. Engaging with our clients to assist with understanding their businesses, the challenges they face and the risks and opportunities they are seeking to address is critical to our ability to support them as they navigate the transition to a low-carbon economy.

In 2025, the CTF Methodology was extended to increase the scope of clients covered by assessments to include in-scope publicly listed corporate clients in all sectors across the Investment Bank and UK Corporate Bank, as well as in-scope clients within the UK Commercial Real Estate portfolio. This is in addition to continuing annual CTF assessments for in-scope clients in the previously assessed sectors (Upstream Energy, Power, Steel, Cement, Automotive manufacturing, & Aviation). The continued use of AI for data collection of clients' public disclosures has enabled this expanded scope and has approximately quintupled the total limits covered by our assessments versus 2024. The aggregate 2025 CTF results reflects the impacts of the expanded scope, methodology updates, and lending activity.

In the sectors where we have set 2030 financed emissions reduction targets, these scores inform our engagement, origination decisions, and portfolio management, and help ensure that our approach is both commercially disciplined and forward-looking, enabling us to support clients credibly whilst managing transition-related exposures across the bank. We intend to implement this approach for UK Commercial Real Estate during 2026. For sectors where we have not set financed emissions reduction targets, we will continue to consider how we embed the outputs from these CTF assessments during 2026. In all cases, financing decisions continue to remain transaction-specific and subject to standard committee reviews including for credit risk, reputational risk, and capital impact.

The expected and achieved reduction in emissions from these above actions have not been calculated for Barclays Bank Group. Measuring the result of our actions on achieved and expected GHG reductions is both non-linear and complex, and therefore we have not isolated the specific impact of our actions. Further, with respect to expected GHG reductions, it is very difficult to accurately quantify the likely specific impact of our actions due to our dependence on our clients' ability to commercially decarbonise their business models, which is influenced by a wide range of external factors, including market developments, technological progress and its financial viability, a stable and supportive policy environment, regulatory alignment, changes to societal behaviour, geopolitical developments and regional variations. Therefore, we do not report our achieved or expected GHG reductions specifically as a result of our actions.

Sustainable and transition finance

We continue to expand the breadth of sustainable and transition finance banking products we offer to support the transition to a low-carbon economy, including those aimed at mitigating climate change. For details on this please refer to actions on page 71 of the Sustainable Products and Services section.

Actions to manage Climate Change Transition risk in downstream financing activities

Barclays, including Barclays Bank Group has adopted an integrated approach to managing and mitigating climate risk in its downstream financing activities, combining continuous monitoring with both portfolio-level and bottom-up transaction-level assessments. These activities are tailored to the underlying portfolio's composition and characteristics, ensuring that risk management efforts are focused on areas with material exposure to climate risks.

Barclays, including Barclays Bank Group's approach to setting risk appetite for climate risk is aligned with its ambition to be a net zero bank by 2050 and reducing financed emissions in line with its 2030 targets. Climate risk considerations have been included in the risk appetite qualitative statements and quantitative constraints. The risk appetite for climate risk is managed through various risk limits, triggers and indicators set across different principal risk types. Regular monitoring, reporting and governance provide oversight of climate risk profile and exposures and ensure they remain within the thresholds of risk appetite. When breaches occur, investigation is conducted to understand the rationale for the breach. Corrective actions, such as decreasing exposure or considerations for other risk mitigating measures are reviewed and discussed to address the breach. Client and portfolio-level assessments are performed to identify and assess portfolios that are more vulnerable to climate risks. These actions are completed on a continuous basis through the year. For further information on actions, refer to the Climate Risk Management section of the Risk Review on page 144.

At a transaction level, Barclays Bank Group integrates climate considerations into its credit decisioning and underwriting processes. Barclays Bank Group has implemented enhanced oversight and additional scrutiny for new deals originated in elevated sectors, particularly those with sector targets and subjected to external position statements. The scores from the Client Transition Framework (CTF) and emissions data from BlueTrack™ support identification of clients and portfolio segments with elevated transition risk. These insights further inform key risk management practices—including risk

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monitoring, limit setting, concentration management, credit decisioning, across both portfolio level and transaction level. Please refer to the Climate Risk Management section for additional details (page 144).

Stress testing, ICAAP (Internal Capital Adequacy Assessment Process) and ILAAP (Internal Liquidity Adequacy Assessment Process) are essential tools used by Barclays Bank Group to manage and mitigate financial risks. These exercises help assess the Bank's resilience under adverse scenarios, ensuring it maintains sufficient capital and liquidity buffers to withstand shocks.

Barclays continues to enhance its risk management capabilities with increased knowledge and ability to identify, quantify and manage climate related risks, including transition risk, in line with external developments and regulatory expectations.

Future Actions planned in relation to Climate Change Mitigation Impacts and Climate Change Transition risk

Barclays Bank Group will continue to contribute to Barclays efforts to manage portfolios, maintain balance between commercial objectives, prudent risk management practices and other non-financial objectives in support of Barclays ambition to be a net zero bank by 2050. Barclays periodically reviews its policies and the actions in relation to its objectives and targets and updates them in consideration of the rapidly changing environment and as informed by engagement with stakeholders, shareholders, clients, subject specialists and civil society groups. Barclays will continue to periodically review its risk appetite and risk management approach for climate risk to maintain alignment with their strategic objectives as well as regulatory developments on financial risks from climate change. As such, we will continue to support and contribute to these key Barclays actions, which we expect to contribute to the achievement of policy objectives and Barclays' targets across Barclays on an ongoing basis.

Targets

Considering Climate Change Mitigation Impacts and Climate Change Transition risk

Barclays Bank Group does not have any entity specific targets relating to the impact and risk referred to above because Barclays Group views sustainability as a global issue which is best tackled from a top down approach, with targets set at the Barclays Group level. Further, given the global footprint of many Barclays clients, who often engage with multiple Barclays entities, setting targets at the Barclays Group level ensures a more cohesive and aligned approach to achieve our sustainability objectives.

However, Barclays Bank Group as a part of the wider reporting group contributes towards achieving the 2030 financed emissions reduction targets set at the Barclays Group level to manage climate change impacts or transition risk. Therefore, we track the effectiveness of the policies and actions referred to above through monitoring of the progression against the targets set at Barclays level. Barclays has set 2030 emission reduction targets using BlueTrack™ for eight high-emitting sectors: Upstream Energy, Power, Cement, Steel, Automotive manufacturing, UK Commercial Real Estate, UK Agriculture and Aviation; and a convergence point for UK Housing. These 2030 financed emissions reduction targets established at the Barclays level for high-emitting sectors also include legal entities' portfolios. Emission reduction targets and CTF scores help us engage with clients, inform decision making and risk management practices. In addition, in relation to tracking the effectiveness of our policies and actions in relation to transition risk, the approach and practices for managing climate risk are reviewed on a regular basis for alignment with regulatory developments and industry leading practices. Barclays has implemented controls to manage climate-related risks. A governance forum oversees these controls including climate-related risk events, policy and issue management. Additionally, the assurance teams are responsible for performing climate risk specific reviews to ensure effectiveness of the Climate Risk Framework and risk practices.

The 2030 financed emissions reduction targets set at Barclays level are outlined in the below table.

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Financed emissions metrics - Barclays								
Sector				Setting our targets				
Sector	Sector boundaries	Emissions Scope	GHG included	Reference scenario	Target metric	Unit of measurement	Baseline year	Target vs baseline
Upstream Energy	Upstream Energy	1, 2 & 3	Carbon dioxide and Methane	IEA SDS IEA NZE2050	Absolute emissions	MtCO ₂ e	2020	-15% by end of 2025 -40% by end of 2030
Power	Power generators	1	Carbon dioxide	IEA SDS IEA NZE2050	Physical Intensity	kgCO ₂ e/ MWh	2020	-30% by end of 2025 -50% to -69% by end of 2030
Cement	Cement manufacturers	1 & 2	All GHGs	IEA NZE2050	Physical Intensity	tCO ₂ e/t	2021	-20% to -26% by end of 2030
Steel	Steel manufacturers	1 & 2	All GHGs	IEA NZE2050	Physical Intensity	tCO ₂ e/t	2021	-20% to -40% by end of 2030
Automotive manufacturing	Light Duty Vehicles manufacturers	1, 2 & 3	All GHG for scope 1 and 2; Carbon dioxide for scope 3	IEA NZE2050	Physical Intensity	gCO ₂ e/ km	2022	-40% to -64% by end of 2030
Aviation	Commercial Aviation (Air Travel) – Passenger (including belly cargo) and Dedicated cargo	1 & 3	Carbon dioxide for scope 1; All GHGs for scope 3	MPP Prudent	Physical Intensity	gCO ₂ e/ RTK	2023	-11% to -16% by end of 2030
UK Commercial Real Estate	UK Corporate Bank	1 & 2	CO ₂ , methane and nitrous oxide	CRREM II	Physical Intensity	kgCO ₂ e/ m ²	2023	-51% by end of 2030
UK Agriculture	UK Livestock & Dairy Farming	1, 2 & 3	Carbon dioxide, methane and nitrous oxide	CCC BNZ	Absolute emissions	MtCO ₂ e	2023	-21% by end of 2030
UK Housing ¹	UK buy-to-let and owner-occupied mortgages, Social Housing and Business Banking	1 & 2	Carbon dioxide, methane and nitrous oxide	CCC BNZ	Physical intensity	kgCO ₂ e/ m ²	2023	Portfolio convergence point vs. baseline -40% by end of 2030

Note

1 Barclays has identified a 2030 emission intensity convergence point for UK Housing but has not set a formal target.

The key drivers behind changes to the portfolio metrics for 2025, as well as cumulatively against the relevant baseline, within the 'Update on Progress Against Targets' section of Barclays' Annual Report.

Metrics

Metrics relating to Climate Change Mitigation Impact and Climate Change Transition risk

Emissions

We have disclosed Scope 3 Category 15 emissions in line with the results of our DMA and obligations under the ESRS.

We have determined it appropriate to report absolute emissions only from activities where Barclays have set 2030 financed emissions reduction targets due to the below reasons:

1. Emissions from sectors where Barclays has set 2030 financed emissions reduction targets represent the only relevant data points in relation evaluating the performance and effectiveness of the E1 IROs.
2. Within financed emissions, the activities where Barclays has set targets are those that drive the group business strategy and client action.
3. Upstream Energy and Power measures are also embedded within the strategic non-financial measures for Executive Directors of BPLC. Further details on the performance assessment against these measures can be found in the Remuneration report section of the Barclays' PLC Annual Report 2025.
4. Barclays has taken into account stakeholder engagement, including engagement with affected stakeholders in reaching the conclusions set out above as to material impact and related risk and the relevance and materiality of the information proposed to be disclosed.

The Scope 3 Category 15 emissions metrics, in the table below, have been calculated through our BlueTrack™ methodology, outlined in the Financed emissions tracking and benchmarking section above.

For other business activities where Barclays have not set targets, the Barclays Bank Group has not disclosed metrics.

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Scope 3 categories 1-14 have been considered not significant for reporting. No baseline figures have been included because targets have not been set at the Barclays Bank Group's level.

Scope 3 financed emissions where Barclays has set targets				
Activities ¹	Sector boundaries	Unit of measurement	December 2025	December 2024
Upstream Energy	Upstream Energy (producers of coal, oil, gas and NGLs)	MtCO ₂ e	43.7	41.1
Power	Power generators	MtCO ₂ e	13.6	14.0
Cement	Cement manufacturers	MtCO ₂ e	1.5	0.8
Steel	Steel manufacturers	MtCO ₂ e	0.8	0.9
Automotive manufacturing	Light Duty Vehicles manufacturers	MtCO ₂ e	3.6	3.8
Aviation	Commercial Aviation (Air Travel) – Passenger (including belly cargo) and Dedicated cargo	MtCO ₂ e	4.6	4.9
UK Commercial Real Estate	UK Corporate Bank	MtCO ₂ e	0.1	0.1
UK Housing ²	UK buy-to-let and owner-occupied mortgages, Social Housing and Business Banking	MtCO ₂ e	0.2	0.1
Total		MtCO₂e	68.1	65.7

Notes

1 Barclays Bank PLC does not have UK agriculture activities that contribute to the Barclays plc target.

2 Barclays has identified a 2030 emission intensity convergence point for UK Housing but has not set a formal target.

Our methodology and assumptions in calculating financed emissions

Financed emissions are calculated by applying an attribution factor to client emissions. Client emissions are calculated using a range of data quality options, ranging from reported emissions to sector-average emission factors. Based on the PCAF Standard, we use a range of external and internal data feeds to estimate client emissions. We rely on external vendors to source production activity and reported emissions data. In certain cases, the data, fall-back inputs or modelled outputs are overridden using expert judgement. To facilitate this, we run a series of validation tests on both emissions and financial data. For cases where there is a significant divergence identified with supporting evidence – for example where a company has divested a material asset which is not yet reflected in the underlying data – we apply an override to the data.

Within each sector, we have defined an appropriate value chain activity and emissions boundary on which our Group targets are defined. We identify in-scope clients based on the internal Barclays Industry Classification (BIC) codes.

Approach for estimating emissions mapped to PCAF DQ scores			
Activity	Data Quality option employed	PCAF Data Quality score ¹	
		Scope 1,2	Scope 3
Upstream Energy	Estimated based on production data	3.1	3.1
Power	Estimated based on average portfolio economic intensity if production data is not available	3.1	NA
Automotive manufacturing		2.2	3.2
Aviation	Estimated based on production data	3.0	3.0
Cement	Reported emissions	2.1	NA
Steel		2.0	NA
UK CRE	Estimated based on data available in EPC certificates	4.0	NA
UK Housing	Estimated based on average sub-portfolio economic intensity if EPC is not available	4.3	NA

Notes

1 We have scored the quality of the data we have used to estimate our financed emissions using PCAF's Global GHG Accounting and Reporting Standard. In the Standard, data quality score DQ1 and 2 relates to high quality data from company disclosures, DQ3 to emissions estimated using physical activity data and DQ4 and DQ5 to deriving emissions estimated using revenue or asset-based emission factors.

Climate data, models and methodologies are evolving and are not yet at the same standard as more traditional financial metrics – nor are they yet subject to the same or equivalent disclosure standards, historical reference points, benchmarks or globally accepted accounting principles. Most of our data is collected from external sources, and the quality and methodologies relating to the underlying data can be hard to assess. External sources then require mapping to Barclays' internal data. While we have set a framework that facilitates a robust matching process, it is likely residual issues will remain for reasons such as mergers and acquisitions within corporate sectors. There are also issues with time lags as most of our data is not available as at the reporting date. Further details on our BlueTrack™ methodology can be found within our

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Financed Emissions Methodology paper (published in 2026) accessible at: <https://home.barclays/sustainability/esg-resource-hub/reporting-and-disclosures/>

Internal Carbon Pricing

Barclays Bank does not apply an internal carbon pricing scheme, however financed emission and carbon intensity are considered as part of the decision making process in our financing portfolio.

E4: Biodiversity and Ecosystems

The below table describes the impact for the material sustainability matter related to biodiversity and ecosystems, as identified during the DMA process:

Material Impacts		Value Chain			Time Horizon	
Description	Type	Upstream	Own Operations	Downstream	Short (0-1 year)	Medium (1-5 years)
Drivers of Biodiversity Loss Barclays Bank Group is connected to environmental impacts through the provision of financial services to clients in sectors which materially contribute to certain drivers of biodiversity and ecosystems loss. Our clients primarily contribute through: - highly water intensive operations in water stressed areas; and - converting or degrading land, including deforestation.	Negative Impact			*	*	*

Strategy

Barclays Bank Group is working to build an understanding of the ways our activities and those of our clients impact and depend on nature, including negative impacts on biodiversity and ecosystems. To better understand how these impacts may originate from our financing of different industry sectors, we continue to refer to Barclays' sector heatmap which analyses the potential materiality of nature impacts and dependencies associated with priority sectors identified in the Taskforce on Nature related Financial Disclosures (TNFD) Guidance for Financial Institutions, and which informs the selection of sectors for further analysis.

Building on our application of the TNFD's Locate, Evaluate, Assess, Prepare (LEAP) approach to a sample of clients in Barclays Mining and European Power portfolios in 2024, this year we initiated an assessment of our Automotive manufacturing portfolio, including consideration of these clients' upstream and downstream impacts. This will help to further build our understanding and management of nature-related dependencies, impacts, risks and opportunities in our portfolio. We also contributed to Barclays' report 'Navigating Nature Risk: Applying the TNFD's LEAP framework', which outlined the methodology, results and key insights from the assessment of a sample of Barclays Mining and European Power portfolios.

Policies

We apply the following Barclays policy statements in relation to addressing the potential negative impacts on biodiversity and ecosystems in our downstream value chain relating to land use change:

- Forestry and Agricultural Commodities (FAC) Statement;
- Protected Areas Statement; and
- Climate Change Statement.

FAC Statement

The FAC Statement addresses the potential deforestation (including through direct exploitation or degradation of forests), land conversion and human rights impacts associated with our financing of the forestry and agricultural commodities sectors. It covers the provision of financial services to Barclays clients involved in the production or primary processing of soy, beef, palm oil and timber in High Deforestation Risk Countries¹ and includes both mandatory requirements and non-

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mandatory expectations for in scope clients covering their policies, zero deforestation commitments, supply chain traceability, verification and reporting.

Protected Areas Statement

The Protected Areas Statement aims to support the preservation of biodiversity and ecosystems in Protected Areas, through a combination of financing restrictions for certain projects and provisions relating to conducting Sustainability Enhanced Due Diligence (SEDD) on in scope clients. It covers clients developing new assets or expanding existing assets in a Protected Area and/or within its buffer zone(s). Specifically it restricts the provision of project financing to support the development or expansion of a material project located in a Protected Area and/or within its buffer zone(s), or where it becomes known that a client is developing or expanding assets relating to a material project in a UNESCO World Heritage Site or Ramsar Wetland and/or within its buffer zone(s).

Climate Change Statement

Barclays Climate Change Statement, as outlined in detail on page 58, addresses the provision of certain financing for projects in sensitive biomes such as the Amazon and Arctic, which are known to be important areas for biodiversity preservation and which may be negatively impacted by the Energy sector.

The Climate Change Statement restricts:

- The provision of direct financing to Energy Groups¹ for any oil and gas projects in the Amazon Biome, and restrictions on the provision of financing to Clients engaged in exploration, appraisal, development and production of oil and gas in the Amazon Biome; and
- The provision of direct financing for oil and gas projects in the Arctic Circle, and restrictions on the provision of financing to Clients materially engaged in oil and gas exploration and production or pipeline transportation operations in the Arctic Circle.

We do not have policies in place that are primarily aimed at addressing the potential negative impacts of our financing from a water consumption perspective. Barclays is engaged in ongoing work to build a deeper understanding of these potential negative impacts in our downstream value chain through assessment of prioritised sectors, applying the TNFD's LEAP framework. These assessments can provide Barclays and Barclays Bank Group with a detailed understanding of how clients in selected sector portfolios may potentially negatively impact on biodiversity and ecosystems, including as a result of water consumption, and their findings may support the enhancement of the Barclays risk management approach and policy framework.

Note:1 High Deforestation Risk Countries are defined in Barclays Forestry and Agricultural Commodities Statement as:

• For forestry and timber and palm oil companies: Angola, Argentina, Bolivia, Brazil, Cambodia, Cameroon, Colombia, Côte d'Ivoire, Democratic Republic of Congo, Ecuador, Ethiopia, Gabon, Ghana, Guatemala, Guinea, Honduras, India, Indonesia, Laos, Liberia, Madagascar, Malaysia, Mexico, Mozambique, Myanmar, Nicaragua, Nigeria, Panama, Papua New Guinea, Paraguay, Peru, Philippines, Suriname, Tanzania, Thailand, Uganda, Venezuela, Vietnam, Zambia.

Actions

We have taken the following key actions this year in relation to addressing the negative impacts on biodiversity and ecosystems in our downstream value chain:

- Continued to conduct SEDD on clients in scope of the FAC Statement, Climate Change Statement and Protected Areas Statement, which has resulted in more informed decision making in relation to the financing provided.
- Engaged with a selection of Mining and European Power clients on nature impacts, risks and opportunities identified during our 2024 LEAP assessment of these portfolios. During these engagements we shared and tested our approach and results with these clients, engaging on identified areas of interest and related mitigation activities, as well as exploring their strategic and financing requirements.
- Initiated an additional TNFD LEAP assessment of our Automotive manufacturing portfolio, measuring selected material impacts for this sector such as water use, water pollution, and air pollution across the value chain. We plan to conduct client engagement with a selection of Automotive manufacturing clients once this exercise is completed in 2026.
- Extended nature-related criteria within our Client Transition Framework assessments to cover four sectors in total: Power, Mining, Automotive and Food, building on the pilot conducted for the Power sector last year. The evaluation provides a structured view of how clients are integrating nature considerations into their business models, and these insights will help inform client engagement planned for next year. Further information on our CTF is provided on page 64.

Note:1 Energy Groups refers to Groups that have over 20% revenue from upstream oil and gas activities (i.e. exploration, development and production) and/or Groups that are considered to be super major or major integrated oil and gas companies.

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EU Taxonomy information (disclosures pursuant to Article 8 of the Taxonomy Regulation (EU/2020/852))

Further to Article 8 of the Taxonomy Regulation, we are required to disclose certain information regarding how and to what extent our activities are associated with environmentally sustainable economic activities, as defined in that regulation. These disclosures are incorporated by reference into this section of the Sustainability Statement and can be found as follows:

1. Qualitative information to support our explanations of Taxonomy key performance indicators ('KPIs'), especially the Green Asset Ratio ('GAR')– see page 99 of the Sustainability Statement
2. A series of detailed prescribed templates disclosing quantitative information analysing our KPIs, including the assets included in the GAR and sectoral information– see the Schedule B to the Sustainability Statement on page 419

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Sustainable and Transition Products and Services

Entity Specific: Sustainable and Transition Products and Services

The table below describes the impact and opportunity in relation to the entity specific sustainability matter, Sustainable and Transition Products and Services, which we identified during our DMA process.

Material Impacts and Opportunity		Value Chain			Time Horizon		
		Upstream	Own Operations	Downstream	Short (0-1 year)	Medium (1-5 years)	Long (>5 years)
Description	Type						
Sustainable and Transition Products and Services							
Barclays Bank Group is connected to impacts on the environment and people by providing sustainable and transition finance to clients, which encompasses environmental, social, transition, nature and broader sustainability linked financing.	Positive Impact			*	*	*	*
Barclays Bank Group has an opportunity by offering sustainable and transition products and services. Barclays Bank Group has a sustainable and transition finance strategy of offering and supporting sustainability related products and services to capitalize on the potential market.	Opportunity			*	*	*	*

Strategy

Barclays Bank Group recognises the opportunities arising from the global transition to a low-carbon economy and the positive impact this can have on economies, our customers and clients. Barclays has developed reporting frameworks for the following types of finance.

- Sustainable Finance consists of finance for dedicated use of proceeds, financing for clients with an eligible business mix in relevant environmental and social categories, and sustainability-linked financing which refers to general purpose funding.
- Transition Finance consists of financing provided to clients for activities that support greenhouse gas emission reduction, directly or indirectly, towards a 1.5°C pathway

Barclays Bank Group uses the Sustainable Finance Framework ("SFF") and Transition Finance Framework ("TFF") to enable us to track our financing which contributes to our positive impacts as we capitalise on identified opportunities. The SFF and TFF were developed by Barclays and outline the approach to the classification of our finance as sustainable finance and transition finance respectively. We published version 5.0 of SFF and 2.0 of TFF in February 2026, with changes to product scope, eligibility criteria and transaction screening processes. Both frameworks are published on the Barclays website.

Policies

We do not have a relevant policy in place, as the positive impact and opportunity are underpinned by our overall strategy that focuses on working with clients on their transition, financing our clients' transition and scaling climate technology, and our role in contributing to the Barclays target of facilitating \$1 trillion of Sustainable and Transition Finance between 2023 and the end of 2030. This financing approach is guided by our SFF and TFF, as referenced above.

Actions

Sustainable and Transition Products

We continue to broaden our sustainable and transition finance offering, particularly developing our sustainability notes and deposits products in 2025 as well as launching the Carbon and Environmental Products trading desk within the Global Markets business. Sustainable and transition finance products also help us achieve our focus on working with clients on their transition. In 2026, we will continue to consider and evaluate additional sustainable and transition products.

Strategic Review

Our sustainable finance strategy was also refreshed during 2025 across key businesses. The review built upon both new and previously identified commercial opportunities. The output was considered in the financial planning process, including incremental revenue, cost and capital. Key opportunities continue to reside within Debt Capital Markets, Equity Capital Markets, Transaction Banking and lending.

We continue to embed key teams whilst hiring to grow our existing talent with a focus on expanding our product capabilities as we continue to drive performance against our selected Barclays targets. In particular, the Energy Transition

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Entity Specific Sustainable and Transition Products and Services

Group within Barclays continues to provide holistic and cohesive strategic advice and financing solutions through the energy value chain, with a particular emphasis on decarbonisation. These teams continue to enable further implementation of our climate strategy and increase co-ordination, with a focus on how they can help our customers and clients on the transition to a low-carbon economy.

We will continue to endeavour to further enhance how our sustainability strategy is embedded into the way we think about financial planning over the coming years – reflecting on the progress made during 2025.

Tracking of our Sustainable and Transition Finance:

Barclays Bank Group tracks the amount of sustainable and transition finance we facilitate using the methodology outlined in both the SFF and TFF. Tracking finance enables us to measure progress towards financing the transition. These volumes are reported externally semi-annually, see the Metrics section below for 2025 volume.

Targets

Barclays Group views sustainability as a global issue, which is best tackled with a top-down approach, with targets set by Barclays covering the whole of Barclays Group considered to be the most appropriate way to meet sustainability ambitions. As we are part of Barclays and contribute towards Barclays Group targets, we do not have our own specific targets relating to our sustainable products and services. Further, given the global footprint of many of our clients, who often engage with multiple Barclays entities, setting targets at the Barclays Group level ensures a more cohesive and aligned approach to achieve sustainability objectives.

Following analysis of the market opportunity for sustainable finance, together with a review of its capabilities, in 2022, Barclays announced a new target to facilitate \$1trn of Sustainable and Transition Financing between 2023 and the end of 2030². Barclays Bank Group is expected to be a key contributor towards achieving this target. By tracking the amount of sustainable and transition finance we facilitate using the methodology outlined in both the SFF and TFF, we track the effectiveness of our actions and monitor progress against the target set at Barclays level of facilitating \$1trn of Sustainable and Transition Finance between 2023 and the end of 2030.

Metrics

In 2025, Barclays Bank Group facilitated \$95.3bn (2024: \$92.9bn) of Sustainable and Transition Financing^{1,2}, which contributed to the overall Barclays \$1trn target. This contribution was calculated using the SFF and TFF methodologies outlined above.

For further details please see Barclays' ESG Reporting Framework.

It should be noted that the methodology is reliant on a range of data sources including Dealogic and Bloomberg transaction listings and league tables, as well as other third-party data and verification sources including company disclosures to aid the classification of financing into eligible green and social categories. Legal entities for capital markets financing are identified using Dealogic 'Issuer Nation/Deal Nationality', while internal lending entities are mapped by the Financial Control team. Barclays Bank Group recognises that the quality, consistency and comparability of the data relied upon is not yet of the same standard as more traditional financial metrics and presents an inherent limitation to the performance reported. We will continue to review available data sources and enhance our methodology and processes to improve the robustness of the performance disclosed.

Notes:

1 Key assumptions for Sustainable and Transition Financing:

Accounting basis:

- Financing volumes for the FY25 reported on a proportional bookrunner share basis;
- Share of capital markets transactions calculated as deal size divided by total number of bookrunners or league table credit Barclays role in the deal is further confirmed by the desk where unclear from underlying documents;
- Syndicated lending reflects Barclays' share or hold of the overall transaction value; and
- Lending is calculated as total value of limits at issuance and any subsequent increases

Reporting Process:

- Financing eligible as sustainable financing, under the SFF, for the purpose of our targets, if Barclays determines that the core business of the recipient falls under the eligible green and social criteria.
- Wherein a pro-rated part of the transaction is counted against the target, the pro-rata calculation is based on an equally weighted allocation to each of the use of proceeds categories that Barclays identify within the issuer framework.
- When reviewing whether financing will be eligible as transition finance for the purpose of the TFF, Barclays will consider, amongst other factors:
 - the transition plans or decarbonisation strategies the client produces, including any just transition elements; and
 - the management of any identified environmental and social risks associated with the relevant purpose of the financing or, where the client is a pure play client, its activities as a whole.

2 In the 2026 update to the Barclays Sustainable Finance Framework the reference to the target has been updated to reference \$1 trillion Sustainable and Transition Finance between 2023 and the end of 2030 (the "Target") and accordingly references to the Target in this Annual Report have been reflected as such other than in this reference.

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Social Information

Contents

Barclays Bank Group identified material IROs in the following social topical standards:

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S1: Own Workforce¹

Section	Page
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Note

1 Within this 'S1: Own Workforce' statement, "colleague(s)" means the employees as set out and defined in the table at page 74, being: "Permanent/Regular", "Graduate", "Apprentice" and "Temp/Contractor Payroll (Fixed Term)" employees, unless stated otherwise.

Strategy

Colleagues sit at the heart of Barclays' three-year plan to becoming Simpler, Better and More balanced. Our shared Purpose, Values and Mindset underpin this strategy, while the identified positive impacts of Equal Opportunities for All and Working Conditions are both outcomes of and contributors to Barclays' strategy. The effect of the identified positive impacts is an inclusive workplace, where colleagues feel safe to speak up, are supported in their career, feel listened to, and receive fair pay with equal opportunities to progress. The impacts both stem from and shape our strategy in the respective areas, detailed below, and are expected to be maintained year on year through a relationship with its workforce.

Processes for engaging with own workforce and workers' representatives about impacts

Sharing our strategy and how colleagues can contribute towards its delivery are key parts of Barclays' engagement. Regular, two-way dialogue helps identify what is working well and where there is room for improvement across the organisation. Barclays' Bank Group CEO and Board are responsible for agreeing Barclays' workforce engagement methods and ensuring these remain effective. Engagement with colleagues is delivered through multiple channels such as townhalls, skip-level meetings, site visits, leader-led sessions, focus groups and surveys.

The key channels of engagement are outlined below.

Annual Survey: Through the biannual all-colleague (with the exception of *Temp/Contractor/ Payroll (Fixed Term)* colleagues as noted in the '*basis of preparation*' for the Inclusion Index metric on page 82) Your View surveys (a Spring check-in survey and an Autumn census survey), colleagues can share their feedback on working at Barclays Bank Group. This is a voluntary and confidential survey. The 2025 Autumn census survey had a 67% participation rate. The 2025 survey covered questions focused on areas including engagement, inclusion, wellbeing and speak-up. Results are shared with leaders across the organisation (based on meeting minimum response thresholds to uphold confidentiality), including to Executive committees and Boards, and highlights are communicated back directly to colleagues.

Engagement through Employee Resource Groups: Barclays' Employee Resource Groups (ERGs) are voluntary, colleague-led communities that: amplify the experiences and unique perspectives of our colleague community; support a culture of inclusion by fostering connection, dialogue and awareness; and bring Barclays' purpose to life – creating better financial

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futures for our clients, colleagues and communities – through inclusive behaviours and storytelling. The ERGs are open to all colleagues no matter their gender, background or affiliation. The Barclays I&O team engages with the ERGs monthly. The Barclays I&O, Talent and Citizenship teams also partner with ERGs where relevant.

Engagement with colleague representatives: Barclays Bank Group, through Barclays, has a longstanding partnership with Unite in the UK which offers further insight into the views of colleagues. The Bank proactively engages with Unite on major change programmes impacting Unite recognised colleagues, with the aim of minimising compulsory redundancies and maximising opportunities for reskilling and redeployment. As part of that process, Unite formally engages with impacted colleagues, as appropriate, to enable their views to be reflected as part of the consultation process. In addition to engaging regularly with national works councils in some of its European jurisdictions, the Bank discusses transnational issues annually, at a minimum, with the Barclays Group European Forum (BGEF)¹, which represents the interests of colleagues in EU member states and the UK. The overall relationship with Unite and the BGEF is managed through Barclays Industrial Relations, with national works councils managed via local HR teams. The Barclays Workforce Change & Restructuring team oversees restructuring activity in all jurisdictions across Barclays Bank Group.

The Bank assesses the industrial relations climate on a quarterly basis to identify any issues and emerging risks in its engagement with workplace representatives considering factors such as the number of formal disputes or risks of such disputes. In the case of the partnership with Unite, the Bank is in regular dialogue on the effectiveness of the working arrangement and reviews aspects as necessary.

Channels to Raise Concerns

Barclays Bank Group strives to create a respectful and inclusive environment where colleagues feel safe to speak up. The Raising Concerns process allows colleagues to raise concerns, including whistleblowing concerns, through a range of gateways (including on an anonymous basis). For more on channels to raise concern, refer page 79.

Human Rights Commitments

Barclays Group's Statement on Human Rights expresses its commitment to respecting human rights as defined in the International Bill of Human Rights and the International Labour Organisation's (ILO) Declaration on Fundamental Principles and Rights at Work (ILO Declaration). The approach to respecting human rights is guided by the UN Guiding Principles on Business and Human Rights (UNGPs) and the OECD Guidelines for Multinational Enterprises on Responsible Business Conduct (OECD Guidelines).

Note

- 1 The Barclays Group European Forum (BGEF) is a forum designed to consult employees about transnational issues which affect their interest. The BGEF represents all Barclays Group employees within the European Union Member States, including the United Kingdom. The Forum's purpose is to establish a meaningful dialogue and exchange of views on transnational issues. The BGEF does not cover issues that relate to a single country.

Characteristics of the undertaking's employees

Most representative number in the financial statements.	Female		Male		Other		Non-disclosed		Total	
Headcount	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
Number of employees	9,530	9,750	13,229	13,611	258	341	71	86	23,088	23,788
Number of permanent employees ¹	9,484	9,699	13,179	13,576	258	341	64	81	22,985	23,697
Number of temporary employees ²	46	51	50	35	0	0	7	5	103	91
Non Guaranteed hours	0	0	0	0	0	0	0	0	0	0

See page 299 for most representative number in the financial statements.

Basis of Preparation:

1. Number of Permanent Employees (HC) in the table includes Permanent/Regular, Graduate and Apprentice, Operational and Non-Operational.
2. Number of Temporary Employees (HC) in the table includes Temp/Contractor Payroll (Fixed Term), Operational and Non-Operational.

Data is as at 31 December 2025

Breakdown by country (countries in which the undertaking has 50 or more employees representing at least 10% of its total number of employees)		
Headcount	2025	2024
United Kingdom	7,021	7,060
United States of America	11,314	11,460
Turnover Metrics		
	2025	2024
Number of employees	3,528	3,833
Rate of turnover	15 %	16 %

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Basis of Preparation:

1. Number and Percentage of total leavers, based on a rolling 12-month period ended 31 December 2025.
2. Data is captured at the end of each month, e.g. 31 December 2025.
3. Data is reported as a total number of leavers in the reporting period and as volume of leavers for the last 12 months divided by the average headcount for the last 12 months.
4. Employees that leave for voluntary and involuntary reasons such as dismissal are included in this metric.

Definition of employment types:

Worker Type	Colleague / Non-Perm	Definition
Colleague	Permanent/Regular	Employee, paid by Barclays Bank Group payroll, engaged on Barclays Bank Group contract (contract open-ended for indefinite period with pre-set working hours).
	Graduate	Employee, paid by Barclays Bank Group payroll, engaged on Barclays Bank Group contract (contract open-ended for indefinite period with pre-set working hours). Working in Barclays via a formal Graduate Trainee programme.
	Apprentice	Employee, paid by Barclays Bank Group payroll, engaged on Barclays Bank Group contract (contract open-ended for indefinite period with pre-set working hours). Working in Barclays via a formal Apprentice Trainee programme.
	Temp/Contractor Payroll (Fixed Term)	Employee, paid by Barclays Bank Group payroll, engaged on Barclays Bank Group contract (contract temporary for pre-defined period with pre-set working hours).
Operational Status		Definition
Non-Operational		Colleagues will be considered Non-operational when they are still employed by Barclays but are not actively working – which is defined as an absence or non-working period of 60 consecutive days or more.
Operational		All employees are considered Operational unless they fall under the Non-Operational category.

Non-employees are either people with contracts with the undertaking to supply labour (“self-employed people”) or people provided by undertakings primarily engaged in “employment activities.”

The table below describes which policies and standards apply to each colleague type. Note that local laws, rules and regulations mean that the application of policies and standards may differ in some countries in which Barclays operates.

	Permanent/ Regular	Graduate	Apprentice	Temp/ Contractor Payroll (Fixed Term)
Inclusion and Opportunity strategy	✓	✓	✓	✓
Whistleblowing Standard	✓	✓	✓	✓
Employee Relations Policy – Working at Barclays Standard	✓	✓	✓	✓
Learning Policy & Learning Mandatory Training Standard	✓	✓	✓	✓
Performance Management Policy and Standard	✓	✓	✓	✓
Employee Relations Policy – Health Services and Wellbeing Standard	✓	✓	✓	✓
Retirement and Benefits Standard	✓	✓	✓	✓
Employee Relations Policy – Industrial Relations Standard	✓	✓	✓	✓
Culture Measurement Policy	✓	✓	✓	
Employee Relations Policy – Workforce Change and Restructuring Standard	✓	✓	✓	✓
Fair Pay Agenda (living wages)	✓	✓	✓	✓

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Basis of preparation for metrics in this section

Unless otherwise stated, for each Own Workforce metric, no significant assumptions have been made and the methodology has no data limitations.

Equal Opportunities for All

The below table describes the impacts for the material sustainability matters related to Equal Opportunities for All, as identified during the DMA process:

Material Impacts		Value Chain			Time Horizon		
Description	Type	Upstream	Own Operations	Downstream	Short (0-1 year)	Medium (1-5 years)	Long (>5 years)
Equal Opportunities for All							
Barclays Bank Group has a positive impact on employees by enabling a culture of inclusion and equal opportunity for all, where colleagues can speak up with confidence, and within which we foster development and career opportunities. Barclays Bank Group does this by:							
- Implementing efforts to embed employee inclusion and opportunity in its policies and programmes. - Committing to gender equality which positively impacts Barclays' culture. - Aiming to create a workplace culture with the highest standards of conduct and integrity and where employees feel able to speak up about actions and behaviours that are not aligned to Barclays culture and/or values. - Providing training, development and performance management helps up-skill and re-skill employees.	Positive Impact		*		*	*	*

Strategy and Policies related to equal treatment and opportunities for all

This section details the policies, standards and strategy related to equal treatment and opportunities for all colleagues across Barclays Bank Group. Our policies and standards have been developed taking account of the interests of our key stakeholders, informed by colleague engagement and workforce insights, together in accordance with legal and regulatory obligations.

Unless otherwise stated, the scope of all policies, standards and strategy outlined below is Barclays Bank Group (including any consolidated entity where Barclays Bank Group has legal or operational control) and employees as defined on page 75.

Strategy Update in 2025

Following a strategic review, we announced in 2025 that promoting and embedding an inclusive workplace at Barclays will be referred to as Inclusion and Opportunity (I&O) moving forward.

We are committed to creating a workplace where everyone feels valued and respected, within a culture of belonging and equal opportunity for all. Our approach to I&O continues to evolve, with a focus on empowering our colleagues and leaders, engaging our communities and driving company success. We continue to monitor colleague engagement in relation to I&O through a range of feedback channels, including those that allow for anonymous input, to support the evolution of the strategy.

The effectiveness of the I&O strategy and actions are now assessed through regular engagement and feedback. This includes confidential feedback on our inclusive culture obtained through our colleague sentiment survey, Your View.

This means our approach to Equal Opportunities for All has been refreshed. During the Double Materiality Assessment (DMA) review process, the relevant material impacts were updated to reflect this shift and accurately capture the positive impacts Barclays has on its employees.

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Policies/ Standards	Description of key content/ objectives	Accountability & stakeholder	Availability to stakeholders
Inclusion and Opportunity Strategy	For the purpose of this disclosure, where 'policy' is mentioned, it refers to the I&O strategy. Following a strategic review, we announced in 2025 that promoting and embedding an inclusive workplace at Barclays will be referred to as 'Inclusion & Opportunity' (I&O). The general objective of the refreshed I&O strategy is to create a workplace where inclusion is the key principle. This means everyone feels valued and respected, within a culture of belonging and equal opportunity for all. The strategy supports the organisation in embedding practices that cultivate high-performing teams and generate rich opportunities to progress. We aspire to hire from the broadest global talent pools available to deliver against our strategy. The three strategic priorities are: • Empowering colleagues • Engaging communities • Driving company success	The Barclays Head of I&O is accountable for the implementation of these priorities. Stakeholders in the business, including senior leaders, are responsible for embedding the I&O strategy. The Barclays I&O team review the I&O strategy on a regular basis, including engaging with the Barclays Group Executive Committee and BPLC Board, where appropriate. The BPLC Board engaged with management on the evolution of the I&O strategy, and new I&O strategy was agreed with the BPLC Board and the Barclays Group Executive Committee.	The Barclays approach to I&O is available to colleagues through the external website and internal colleague communications from the Barclays CEO and business leaders. We continue to monitor colleague engagement in relation to I&O through a range of feedback channels, including those that allow for anonymous input, to support the evolution of the strategy.
Whistleblowing standard	Outlines controls related to the following. 1. To encourage individuals to raise concerns about inappropriate conduct 2. Whistleblowing concerns are dealt with appropriately 3. The confidentiality and anonymity of whistleblowers are protected 4. Zero tolerance approach to whistleblower retaliation 5. Oversight of whistleblowing arrangements	The Head of Compliance Framework and Policies Team is accountable for approving and implementing the content of the Standard.	The standard is available to colleagues through Barclays' intranet channel.
Employee Relations Policy - Working at Barclays standard	Outlines controls that are required to manage the following topics. 1. Conduct 2. Disciplinary, Capability and Grievance (DC&G) 3. Family and Carers 4. Time at Work 5. Time Away from Work	The Barclays Global Head of Employee Relations is accountable for approving and implementing the content of the Standard.	The standard is available to colleagues through Barclays' intranet channel.
Learning Policy	The policy guides management of mandatory training through the following. 1. Governance and approval approach for Mandatory Training 2. Monitoring of Mandatory Training completion 3. Monitoring of Unassigned Mandatory Training 4. Monitoring and reconciliation of Exclusions from Mandatory Training 5. Execution and operation of related processes	The Barclays Head of Talent is accountable for the implementation of the frameworks outlined above across Barclays Bank Group.	The policy is available to colleagues and non-employees through Barclays' intranet channel

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Learning Global Mandatory Training Standard

Mandatory Training (MT) is a critical component of Barclays' risk and control framework, ensuring that colleagues are appropriately trained to meet regulatory, legal, and executive requirements. The bank adopts a proactive approach to risk management by using training to clarify both required and prohibited behaviours for colleagues. Participation in Global Mandatory Training is non-optional and essential for achieving business objectives, maintaining statutory compliance, and mitigating high-level risks. The Mandatory Training Decision Forum (MTDF), comprising representatives from across the business, oversees the process in accordance with approved terms of reference. Ultimately, each business area is responsible for monitoring, tracking, and prompting colleagues to complete their required training by the specified deadlines.

While HR facilitates the deployment of training across the organisation, the responsibility for the design, implementation, and ongoing management of training content rests with the originating Risk Category or Business Unit. All instigators or owners of training must ensure they maintain clear accountability for the full training lifecycle, including content accuracy, relevance, and compliance with governance standards.

The standard is available to colleagues and non-employees via the Barclays intranet channel

Performance Management Policy and Standard

The general objectives of the Performance Management Policy and Standard are to ensure that colleagues' performance is managed appropriately. The Policy and Standard include:

- Expectations for colleagues in relation to their objectives for the performance year; and
- Requirements for people leaders (including non-employees, being agency workers) in relation to performance management for their teams, including year-end reviews.

Specific guidance is included on how to consider and assess colleague conduct.

The Barclays Co-Heads of Reward and Performance are accountable for the Policy and Standard across all Barclays entities, including Barclays Bank Group. Any major changes in approach are discussed and agreed with the Barclays Co-Heads of Reward and Performance and Barclays Group HR Director, where appropriate.

The Policy and Standard are available to colleagues through Barclays' intranet channel

Unless otherwise stated, all policies and standards are monitored and refreshed on an annual basis.

Taking action to drive equal treatment and opportunities for all

Unless otherwise stated, the scope of actions outlined below is Barclays Bank Group (including any consolidated entity where Barclays has legal or operational control) and colleagues as defined on page 75.

This section outlines the list of actions taken by Barclays Bank Group to drive positive equal treatment and opportunities for all colleagues.

These actions are ongoing in nature (unless specified otherwise) and will continue to evolve to further advance our objective in relation to equal opportunities and outcomes for our own workforce. The relevant Barclays teams track and assess the effectiveness of these actions annually, at minimum, by monitoring workforce data and insights, including colleague engagement captured through a range of feedback channels.

Inclusion and Opportunity:

We are evolving our approach to I&O, with a focus on empowering our colleagues and leaders, engaging our communities and driving company success. The actions listed below are derived from the refreshed I&O strategy and aligned to the approach taken across the organisation. However, additional actions are noted in respect of the gender resource group, Women Initiative Network (WIN).

Barclays Bank Group has taken the following key actions this year:

- Refreshed our strategic priorities (as noted above in the policy objective), following a review of internal insights and recommendations derived from horizon scanning across the external landscape. The Barclays I&O team liaise with colleagues, including business leaders, to embed the strategy across the organisation.
- Refreshed our I&O approach to data (as noted in the below metrics section). Business leaders continued to monitor relevant workforce data and insights, including in particular colleague sentiment, as required for transparency and understanding.
- The Barclays I&O team continued to partner with functional and subject matter experts, including Employment, Incentives and Pensions Legal, Government and Corporate Relations to monitor the external regulatory and legal environment and to build recommendations for implementation across the organisation. Barclays ensured prompt engagement with regulatory and governmental organisations and met the legal and regulatory obligations for reporting.

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- Continued to leverage the ERG communities to further embed an inclusive culture. To support gender inclusion in skill and career development, Barclays continued to hold a Careers Week powered by WIN, the gender resource group, which empowers colleagues to take control of their career.
- To build technical industry knowledge and broaden the existing extensive experience of our most senior leaders, Barclays continued to offer a four-month rotational ex-officio position on the Barclays Group Executive Committee, which develops diversity of thought at the highest level.

Promoting fair and equal treatment free from bias:

Barclays Bank Group is committed to establishing a transparent process that enables individuals to Speak Up without fear of retaliation. Our Raising Concerns process ensures all concerns raised are assessed and referred to the most appropriate team for review and possible investigation. Barclays colleagues are reminded annually of the channels through which they can speak up as part of the mandatory Whistleblowing training. In addition to the Working at Barclays Standard, The Barclays Way is the code of conduct, setting standards of behaviour colleagues should follow every day. It is designed to support all colleagues in exercising good judgement and making the right decisions each day. Barclays has a no-tolerance approach to non-financial misconduct, including inappropriate behaviour, bias, bullying, harassment (including sexual harassment) or discrimination of any kind in accordance with legal and regulatory obligations.

Our policies/standards are aligned with our commitment on inclusion for all. They are aimed to adapt to and support colleagues who may be at particular risk of additional vulnerability and/or are going through period of a vulnerability. Including, for example, our Employee Relations Policy – Working at Barclays standard, which supports those through family and carers leave; time at work; and time away from work. Our Employee Relations Policy – Health Services and Wellbeing standard, which supports those from a wellbeing perspective, including workplace adjustments.

Raising Concerns

- The Raising Concerns process allows colleagues to raise concerns, including whistleblowing concerns, through a range of gateways: email, webform, telephone or via the Navex Ethicspoint portal. Concerns may be raised on an anonymous basis, subject to jurisdictional requirements. The Barclays Way includes advice and guidance on speaking up and the raising concerns process.
- Colleagues can also use the HR issue resolution service that covers a range of HR topics. The HR Issue Resolution Service provides guidance and support to help colleagues resolve issues informally at an early stage, where it is appropriate to do so. The HR issue Resolution Service can also provide help and support with requests for information / guidance in relation to formal HR processes, for example, raising a formal grievance.
- Barclays Bank Group has dedicated intranet pages that provide principles, provisions, processes and guidance for colleagues and people leaders. These pages cover raising a grievance and provide specific country level provisions. Following receipt of a formal written grievance, an independent grievance manager is assigned to take the grievance forward and provide an outcome. Depending on local rules, colleagues may have the right to appeal if they disagree with the outcome.
- Barclays Bank Group monitors the formal grievance and Raising Concerns process through relevant data and insights analysis. As part of our annual colleague engagement survey, we ask colleagues for their views on speaking up and raising concerns to assess their levels of understanding and confidence in our processes as a way to raise their concerns or needs and have them addressed, with results shared with leaders across the organisation. This is how we understand and assess colleague trust our process. In 2025, Barclays demonstrated its commitment to a strong speak up culture through targeted Raising Concerns and Whistleblowing awareness activities across the Group, including the channels through which to do so, such as a CEO sponsored awareness campaign on World Whistleblower Day.

Training, Skills Development and Performance Management:

At Barclays Bank Group, we are committed to fostering a continuous learning culture that empowers all colleagues to unlock their potential. Barclays Bank Group has taken the following key actions this year:

Mandatory Training (MT)

- Monitored and tracked MT completion to meet the required standard and timeframe, consistently achieving =>97% completion within 65 days, delivering consistent performance aligned to 2024
- Enabled people leaders to provide appropriate monitoring and oversight via the learning system.
- Maintained controls to identify and address MT non-completion, ensuring policy compliance and appropriate follow-up actions.

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Early Career and Skill Development

- Continued investment in graduate programmes (Expert & Explorer) and internships, including off-cycle opportunities in investment banking and quantitative analytics.
- Enabled Apprenticeship programmes across England and Scotland, offering industry-recognised qualifications and real work experience.

Career-Based Learning

- Delivered Accelerator programs for high-potential colleagues and sponsorship initiatives for Director-level talent in the US businesses.
- Enhanced the identification process for high-potential talent, introducing greater rigor and consistency across the group.

Upskilling & Reskilling

- Delivered global upskilling programmes for all colleagues, people leaders and senior leaders including enterprise-wide rollout of the Consistently Excellent (CE) programme.
- Simplified and tailored learning experiences with investment in technology e.g. scale coaching.
- Embedded the new global HR system and Job Architecture, defining roles and skills consistently across the organisation.
- Promoted the use of career profiles in our HR system, enabling personalised learning, career pathing and visibility of workforce skills.
- Provided access to LinkedIn Learning, Coursera and Pluralsight for broad and specialised skill development.
- Curated learning pathways for 5 critical skills, including digital certifications and Microsoft Career Essentials Certificates.
- Tailored business/function-specific training and re-skilling initiatives like Destination Technology and Destination Security.
- Required 360 feedback reviews for Directors and Managing Directors to embed a feedback-driven development culture.
- Through performance management actions such as:
 - Updated training, guidance and learning materials covering the performance management cycle, including the performance review process, and shared with people leaders (including non-employees, being agency workers) and other colleagues via appropriate communication channels, to help support quality performance conversations throughout the cycle.
 - Monitored year-end performance review submissions, and reminded people leaders of timelines and requirements, to encourage timely completion of performance review meetings and documentation.

Policy & Standards Enhancement

- Updated Learning Policies and Standards to address FCA findings improving governance and accountability.
- Introduced clearer training categories: Global Mandatory, Role-Specific Mandatory and Grow & Develop.
- Centralised deployment via Workday for improved oversight and communication.

We have continued working with the Barclays Inclusion & Opportunity (I&O) team to embed the I&O strategy across the organisation, ensuring our talent practices align with I&O priorities.

Resources aligned to these actions include Barclays designed knowledge and skills content/modules, as well as content/modules from external specialists.

Regular reviews are undertaken of learning content which includes colleague feedback and analysis of associated key metrics. This helps to determine if the program or product is relevant and aligned to learning needs. For MT, the MTDF is also a key contributor to the on-going development and management of the MT curricula; working closely with business leaders and policy owners to ensure MT is reviewed, confirmed as appropriate, and is timely and consistent.

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Targets related to equal treatment and opportunities for all

This section outlines the targets (if applicable) in place to manage the potential positive impacts related to equal treatment and opportunities for all colleagues across Barclays Bank Group.

Inclusion and Opportunity:

There are no targets to manage the potential positive impacts.

The percentage of employees from underrepresented ethnicities (US and UK), the number of underrepresented Managing Directors (US and UK), and the representation of women in senior leadership roles (Managing Director and Directors) are no longer considered measures for the effectiveness of the strategy. Instead, the effectiveness of our strategy and actions is monitored through regular engagement and feedback from relevant stakeholders, including through our Inclusion Index, to reflect changes in Barclays' strategy, priorities or legal and regulatory requirement.

The Inclusion Index

As defined in our I&O approach to data, business leaders continued to monitor relevant workforce data and insights, as required for transparency and understanding. This includes confidential feedback on our inclusive culture obtained through our colleague sentiment survey, Your View. Within Your View, the Inclusion Index measures how included colleagues feel working at Barclays. The Index is a collection of insights, including colleague sentiment on equal opportunity to progress at Barclays and the colleague's own sense of feeling included in their team. It therefore measures our refreshed positive impact on employees through implementing efforts to embed employee inclusion in policies and programmes.

Training, Skills Development and Performance Management:

The target of =>97% completion within 65 days of assignment aligns to the objectives outlined in the Learning Policy and the Learning Global Mandatory Training standard and measures timely completion of assigned Mandatory Training (MT). The aim of the policy and standard is to prevent people related risks linked to colleague capability and performance.

Tracking of MT completion and the associated target, is outlined in the Learning Global Mandatory Training Standard (which is aligned to the overall Barclays Learning policy) which means controls are aligned to the Barclays Control Framework, ensuring that tracking of performance, review of control effectiveness, on-going residual risk assessment and reporting is in place.

Tracking of completion and attainment of the target refers to colleagues in-scope of the Learning Policy and the Learning Global Mandatory Training Standard and also considers if they are in-scope of a particular learning module. This includes both new and existing colleagues.

MT completion is in line with expectations and completion rates are consistently stable. The completion target was set prior to 2019 and is reviewed annually as part of the review of the Control Environment Characteristic. The baseline value has remained the same and is set as =>97%, this target is absolute.

Each business area is responsible for monitoring, tracking, and prompting colleagues to complete MT in a timely manner. Seeking =>97% compliance takes into account that it is the colleague's responsibility to complete MT by the specified due date but also reflects the risk that this may not be adhered to. The Learning Policy and the Learning Global Mandatory Training Standard owner will review the associated target for MT in conjunction with the Mandatory Training Decision Forum core members, including compliance. Their input is to define and shape the MT strategy and set and monitor risk appetite.

The performance against this target shows BBPLC exceeded the target in 2025.

The effectiveness of the Performance Management Policy and Standard and related actions are tracked through key indicators, including completion rates for objectives, performance ratings and people leader performance reviews, all of which are monitored against internal benchmarks via internal reporting to HR Directors, the Barclays Group HR Executive Committee and the relevant People Control Forum. The Performance Management Policy and Standard are reviewed at least annually, and those reviews consider any relevant stakeholder feedback and changes in Barclays' strategy, priorities or legal and regulatory requirements. Compliance with the policy and standard is also monitored.

Metrics related to equal treatment and opportunities for all

This section outlines the metrics that help to measure the potential positive impacts related to equal treatment and opportunities for all colleagues across Barclays Bank Group.

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Inclusion & Opportunity:

Last year, we disclosed the following metrics: Percentage of employees from underrepresented ethnicities (US and UK); Number of underrepresented MDs (US and UK); Gender percentage across professional and executive hiring (Female); and Percentage of female graduate hires. Following our strategic review, these metrics no longer measure our refreshed positive impact on all employees through implementing efforts to embed employee inclusion in policies and programmes, and are not material.

Instead, we have included the Inclusion Index. This Index measures how included colleagues feel working at Barclays. The Index is a collection of insights, including colleague sentiment on equal opportunity to progress at Barclays and the colleague's own sense of feeling included in their team.

Diversity metrics

Gender distribution at top management level

Metric description	2025	2024
Females at Managing Director and Director level		
Count	1,169	1,145
Percentage	25.7%	25.3%
Males at Managing Director and Director level		
Count	3,344	3,337
Percentage	73.5%	73.9%
Other at Managing Director and Director level		
Count	23	26
Percentage	0.5%	0.6%
Not Disclosed at Managing Director and Director level		
Count	12	8
Percentage	0.3%	0.2%

Distribution of employees by age group

Metric description	2025	2024
Employees under 30 years old		
Count	4,524	4,615
Percentage	19.6%	19.4%
Employees 30-50 years old		
Count	14,013	14,544
Percentage	60.8%	61.3%
Employees over 50 years old		
Count	4,519	4,581
Percentage	19.6%	19.3%

Basis of preparation

As part of the hiring and onboarding process, colleagues are asked to voluntarily disclose their gender; if this is not declared gender will be recorded as unknown. When gender is reported as unknown, this is considered as Not Disclosed. During hiring and onboarding process, colleagues must provide their date of birth. When date of birth is not available, this is reported as unknown. Gender, age and grade data is maintained in the HR system (Workday) and extracted through the People Insights reporting tool. Data is captured at the end of each month, e.g. 31 December 2025.

Total Directors and Managing Directors in Barclays are defined as senior leadership (male, female, other and not disclosed) and make up the two most senior grades in the organisational hierarchy.

All colleagues, including operational and non-operational, as at 31 December 2025 are considered in the total population of these metrics unless otherwise stated.

BBPLC staff are identified through BBPLC Company Codes as validated by Finance.

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1. Gender distribution at top management level

Data is reported in actuals and as a % of female, male, other or not disclosed Managing Directors and Directors out of the total population of Managing Directors and Directors.

2. Distribution of employees by age group

Data is reported in actuals and as a % out of the total population, excluding unknown age.

Remuneration metrics - gender pay gap

Metric description	2025	2024
Gender pay gap		
Median	31.9 %	32.5 %
Mean	47.0 %	46.4 %

Basis of Preparation

To calculate the gender pay gap metrics, pay data consisting of fixed pay and bonus awards for the reporting year is taken from the HR system for all colleagues. This data reflects pay for the year. Bonus is annualised based on the proportion of the year for which the colleague was bonus eligible. The sum of fixed pay and annualised bonus is then converted into hourly figures by dividing it by the colleagues' working hours over the year. This average 'hourly pay'¹ is calculated separately for females and males.

Median and mean pay gaps are determined as:

Pay gap=(A-B) *100/A

Mean hourly pay gap:

- A is the mean hourly pay of all colleagues of the male gender; and
- B is the mean hourly pay of all colleagues of the female gender.

Median hourly pay gap:

- A is the median hourly pay of all colleagues of the male gender; and
- B is the median hourly pay of all colleagues of the female gender.

Note:

1 Hourly pay includes bonus payments but does not include other pay elements such as pension and benefits.

Inclusion Index (Entity specific metrics)

Metric description	2025	2024
Your View score for Inclusion Index	79	79

Basis of preparation

This metric measures how included colleagues feel working at Barclays. The Inclusion Index % Your View score is calculated by aggregating the scores of the Inclusions Index questions.

Colleagues respond using an 11-point scale, with responses between 6-10 considered favourable, 5 considered neutral and 0-4 considered unfavourable. Data is reported as a percentage of favourable responses.

The following employees as at 31 July 2025 are eligible to respond to the Your View survey:

- Permanent/Regular, Graduate, Apprentice
- Operational and Non-Operational

Data is held in specific Your View projects within Qualtrics. Due to data sensitivity, line-by-line results are restricted to a small number of colleagues with the Organisational Effectiveness and Colleague Experience (Automation & Transformation) Teams.

Promoting fair and equal treatment free from bias (Entity specific metrics)

Metric description	2025	2024
Percentage of colleagues covered by raising concerns mechanism	100	100
Percentage of colleagues completing Mandatory Training (MT) module: Whistleblowing	100	100
Percentage of colleagues completing the Mandatory Training (MT) module: The Barclays Way	100	100
Percentage of colleagues completing Behaviour in the Workplace (MT) module	100	N/A

Basis of preparation:

'Percentage of colleagues covered by raising concerns mechanism' measures the proportion of colleagues who are able to raise concerns, including whistleblowing concerns. The metric is calculated based on the scope of the service which is accessible for all colleagues via Barclays' intranet,

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external facing webpage and through The Barclays Way. Barclays' intranet allows colleagues to access a range of channels to raise concerns including a web form, email, telephone and external portal whilst the external facing webpage provides access to the external portal only. The scope of the mechanism is outlined within the Whistleblowing Standard and aligns to the regulatory requirement for raising concerns coverage for all colleagues.

Mandatory Training (MT) is assigned to new and existing colleagues when they join Barclays and on an on-going basis; aligned to policy owner requirements and in line with the agreed MT calendar. Policy owners define both the content of the learning and the population/colleagues that are in scope to complete. The MT curricula comprise of both all colleague modules and modules set for a specific group of people. Colleagues have 65 days to complete their MT from the assigned date. Completion is monitored through the controls and reporting Barclays has in place aligned to the Learning Policy and the Learning Global Mandatory Training Standard.

This metric measures the timely completion of MT, drawing on key indicators sourced from the Workday completion report and the quarterly summary report(s). The reports highlight the number of colleagues assigned training across the quarter, the number of colleagues that completed all MT, with a due date in the calendar quarter, before the due date, the report also highlights colleagues who have completed late and those that also have training overdue and outstanding. The report shows the completion % used for the key indicators

- Colleagues who are reflected as active headcount in our HR system are considered and are included based on end of month reporting taken from our HR system. This may result in a variance each month as headcount is not static. The data used for this metric will always show completions based on the end of month headcount; and
- Scope of the report aligns to the scope of the Learning Policy and the Learning Global Mandatory Training Standard.

Percentage completed is reported against the colleagues in scope to complete the modules in 2025.

This metric measures all MT completions.

Working Conditions

The below table describes the impact and risk for the material sustainability matters related to Working Conditions, as identified during the DMA process:

Material Impacts		Value Chain			Time Horizon		
Description	Type	Upstream	Own Operations	Downstream	Short (0-1 year)	Medium (1-5 years)	Long (>5 years)
Working Conditions Barclays Bank Group has a positive impact on our employees' wellbeing, by prioritising employee working conditions. Barclays Bank Group does this by: • Listening to employee feedback and maintaining a strong and effective partnership with trade unions and national works councils • Providing access to private medical cover and health support services • Providing secure employment • Enabling flexible working arrangements • Ensuring the payment of a living wage to all our employees	Positive Impact		*		*	*	*

Policies related to working conditions

Unless otherwise stated, the scope of all policies, standards and strategy outlined below is Barclays Bank Group (including any consolidated entity where Barclays Bank Group has legal or operational control) and colleagues as defined on page 74. This section details the policies, standards and strategy related to working conditions for all colleagues across Barclays Bank Group. Our Policies and standards have been developed taking account of the interests of our key stakeholders, informed by colleague engagement, collective representative bodies and workforce insights, together in accordance with legal and regulatory obligations.

Policies/ Standards	Description of key content/ objectives	Accountability & Updates	Availability to stakeholders
Employee Relations Policy - Health Services and Wellbeing Standard	The primary objectives of the standard are: 1. To provide and operate Health Services & Wellbeing processes and guidance on the hazards covered by the Policy. The processes and guidance must be designed to support the health of colleagues and meet local legislative requirements in a timely and accurate manner. 2. Process and guidance, where legally required, must be made available by HR to colleagues on the following hazards: • Stress and Mental Ill Health • Workplace Adjustments • Display Screen Equipment (Eyecare)	The Barclays Global Head of Employee Relations is accountable for approving and implementing the content of the Standard.	The standard is available to colleagues through Barclays' intranet channel

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Retirement and Benefits Standard	The general objectives of the Barclays Retirement and Benefits Standard are to ensure that colleague benefits, including retirement benefits, are managed appropriately. The Barclays Retirement and Benefits Standard sets out: • Expectations on review and benchmarking of retirement and benefits plans; • Global principles that non-retirement colleague benefits plans should align to; • Guidance on ownership, governance, regulatory compliance and financial management of retirement and benefits plans; and • Approval requirements for new retirement or benefits plans. The Barclays Retirement and Benefits Standard governs the approach to benefits, including provision of private medical cover, which help to protect the health and wellbeing of colleagues.	The Barclays Head of Pensions and Benefits is accountable for the Standard. Any major changes in approach are discussed and agreed with the Barclays Co-Heads of Reward and Performance and the Barclays Group HR Director, where appropriate.	The Standard is available to colleagues through Barclays' intranet channel
Employee Relations Policy - Industrial Relations Standard	Outlines controls related to principles, processes and guidance to ensure the following. 1. All formal agreements with collective representative bodies are documented. 2. All engagements and formal agreements between Barclays and collective representative bodies adhere to any formal recognition and procedural agreements. 3. Management of all formal disputes between Barclays and collective representative bodies in line with agreed dispute resolution protocols.	The Barclays Global Head of Employee Relations is accountable for approving and implementing the content of the Standard.	The standard is available to colleagues through Barclays' intranet channel.
Culture Measurement Policy	Guides and controls the following. 1. Annual Employee Engagement Survey 2. Culture Measurement annual review at Group and Business Entity level 3. Quality assurance of Culture Measurement Insights provided to annual Group and Business Entity boards	The Co-Head of Colleague Experience and Head of Organisational Effectiveness is accountable for implementation of this policy in Barclays Bank Group.	The standard is available to colleagues through Barclays' intranet channel.

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Employee Relations Policy - Workforce Change and Restructuring Standard	Outlines control requirements related to principles, processes and guidance to ensure the following. 1. ER WFC&R must ensure that WFC&R principles, provisions, processes and guidance (PPPG) are designed to achieve appropriate outcomes and are documented, authorised, timely, and accurate. 2. HR teams have completed appropriate due diligence and identified any risks, as per country specific requirements, before execution of changes. 3. Individual consultation / communication(s) is carried out in line with all local employment law and regulation and any prior agreements with the collective representative body.	The Barclays Global Head of Employee Relations is accountable for approving and implementing the content of the Standard & Principles, Provisions, Process & Guidance (PPPG) maintained through the Standard.	The standard & PPPG is available to colleagues through Barclays' intranet channel & HRHub.
Fair Pay Agenda (living wages)	The Barclays Fair Pay Agenda aims to ensure that fairness is a key and explicit consideration in the way pay decisions are reached, in line with the Barclays Remuneration Philosophy. It is based on five fair pay principles: 1. Fair pay for the lowest paid 2. Equal opportunities to progress 3. Engaging with colleagues 4. Alignment of colleague and Executive Director pay 5. Equal pay commitment The commitment to paying at least a living wage to all colleagues is a central element of the Fair Pay Agenda.	The Barclays Co-Heads of Reward and Performance are accountable for the Fair Pay Agenda. The Fair Pay Agenda is regularly monitored and updates on this are provided to the Board Remuneration Committee.	The Fair Pay Agenda is published annually in our remuneration-related disclosures.

Unless otherwise stated, all policies and standards are monitored and refreshed on an annual basis.

Taking action to drive positive working conditions

Unless otherwise stated, the scope of actions outlined below is Barclays Bank Group (including any consolidated entity where Barclays has legal or operational control) and colleagues as defined on page 75.

This section outlines the list of actions taken by Barclays Bank Group to drive positive working conditions for all colleagues.

These actions are ongoing in nature (unless specified otherwise) and will continue to evolve to further advance our objective in relation to Working Conditions and outcomes for our own workforce. The relevant Barclays teams track and assess the effectiveness of these actions annually, at minimum, by monitoring workforce data and insights, including colleague engagement captured through a range of feedback channels.

Health services & wellbeing

Barclays Bank Group places the utmost importance on a healthy, safe and supportive working environment for all colleagues. Health services provided to employees includes:

- Occupational Health services provide specialist advice for colleagues where their physical or mental health is impacting their work and vice versa. In some jurisdictions, additional medical services are also available to colleagues, such as company doctors or on-site health centres.
- The Workplace Adjustment service provides support for colleagues including, for example, those with disabilities, physical or mental health conditions, or neuro-divergent conditions, who may require adjustments to their working environment and/or working arrangements to deliver to their full potential or to keep them safe.
- The Employee Assistance Programmes provide colleagues with 24/7 confidential support on a range of work related and personal topics, such as coping with stress and anxiety to dealing with bereavement.

Retirement and Benefits Standard

Material arrangements, including providing colleagues with access to private medical cover to support their health by enabling quick access to treatment, are regularly reviewed to ensure that they remain appropriate.

The Retirement and Benefits Standard is reviewed at least annually, and those reviews consider any relevant stakeholder feedback and changes in Barclays' strategy, priorities or legal and regulatory requirements.

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Colleague engagement & collective bargaining

Industrial Relations manages Barclays' relationship with the Unite trade union in the UK and the Barclays Group European Forum. It also provides oversight for other local collective representative bodies, including unions, colleague fora and works councils.

Colleague feedback is critical to the bank's strategy, and this is enabled through various channels. For further detail on engagement see page 48 (SBM2- engaging with stakeholders).

Secure employment

At times, we need to make changes to our business, for example by restructuring or reorganising. Where colleagues are impacted, or potentially impacted, the overarching principle for managing change, is ensuring fair treatment in line with legal requirements and supporting colleagues throughout the journey. Barclays Principles, Provisions, Process and Guidance (PPPG) are maintained through the Managing Change Standard and transparently outline the exit management process for colleagues by jurisdiction, including where to go for support and the support channels available.

Colleagues are supported throughout their employment with Barclays through learning experiences and training, giving colleagues the tools and skills to succeed and progress. Where colleagues may be impacted by change, pre-deployment, redeployment and outplacement support is available to match skills to available roles internally and to assist leavers in navigating their next life and career options and opportunities.

Flexible working

Barclays Bank Group is committed to providing a supportive and inclusive culture and environment for colleagues. Colleagues are empowered to consider their personal needs which are considered alongside the professional needs of our business.

Barclays Bank Group provides a range of support for colleagues through its policies covering annual leave, life events, health issues, family and caring and flexible working.

Barclays Bank Group takes a structured approach to hybrid working, where colleagues work at an onsite location as set by the business area. Working arrangements may be subject to change on reasonable notice to ensure we meet the needs of our business. Colleagues are entitled to request a change to their working arrangements to enable a reasonable adjustment.

Living wages

In line with our Fair Pay Agenda, we conduct a 'living wage review' at least annually to ensure that all colleagues receive at least the living wage for the location in which they are based.

The Group Remuneration Committee conducts an annual review of wider workforce remuneration policies and outcomes, which includes progress against the Fair Pay Agenda. Our commitment to pay at least a living wage to all colleagues is a central element of the Fair Pay Agenda and is included as part of that review.

Targets related to working conditions

Barclays Bank Group does not have specific targets in place to manage the potential positive impacts on colleague working conditions.

We instead track the effectiveness of our Policies, Standards and actions through annual reviews and feedback from relevant stakeholders to reflect changes in Barclays' strategy, priorities or legal and regulatory requirements.

As part of our Fair Pay Agenda, we aim to pay all our colleagues a living wage.

Metrics related to working conditions

This section outlines the metrics that help to measure the potential positive impacts related to working conditions for all colleagues across Barclays Bank Group.

Working Conditions (Entity specific metrics)

Metric description	2025	2024
Percentage of Barclays colleagues eligible for private medical cover	95	93
Percentage of Barclays colleagues covered by EAP and wellbeing services	100	100
Percentage of colleagues covered by Workplace/Reasonable adjustments process	100	100
Wellbeing Index (%)	86	85

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Basis of preparation:

'Percentage of Barclays colleagues eligible for private medical cover' measures the proportion of the colleague population that has access to Barclays funded medical cover to supplement cover provided locally or by the state as at 31 December 2025. Colleagues are usually able to opt in or out of the cover. This cover provides support towards medical expenses, usually facilitated by third-party providers.

To calculate the metric, a review of private medical coverage by geography is performed by the Pensions and Benefits team in conjunction with local teams responsible for the policies. The review was conducted in Q4, and no changes to the private medical provisions were expected for the remainder of the year. The resulting coverage grid is used alongside headcount data by geography to determine the proportion of the total colleague population that is eligible for private medical cover.

'Percentage of Barclays colleagues covered by EAP and wellbeing services' measures the proportion of colleagues who are covered by the Employee Assistance Program (EAP) and Wellbeing services. The metric is calculated by identifying the jurisdictions from where Barclays operates and confirming an EAP and wellbeing service has been implemented, which will be accessible via Barclays' intranet.

'Percentage of colleagues covered by Workplace/Reasonable adjustments process' measures the proportion of colleagues who are covered by the Employee Assistance Program (EAP) and Wellbeing services. The metric is calculated based on the scope of the services as set out in accordance with the Health Services and Wellbeing Standard, and accessible via Barclays' intranet.

Your View score for 'Wellbeing Index (%)' measures the psychological wellbeing of colleagues. The Wellbeing Index (%) Your View score is calculated by aggregating the scores of the Wellbeing Index questions.

Your View - Employee Engagement Survey (Entity specific metrics)

Metric description	2025	2024
	67	73
Your View response rate (%)		
Engagement (%) Your View Score	84	82

Basis of Preparation

Metric	Description
Your View response rate	This metric shows the total percentage of colleagues that complete the all colleague Your View survey.
Engagement (%) Your View Score	This metric is derived from the responses to three questions in the Your View survey that measure advocacy, motivation and sense of personal accomplishment. The Engagement % Your View Score is calculated by aggregating the scores of the engagement questions.

Colleagues respond using an 11-point scale, with responses between 6-10 considered favourable, 5 considered neutral and 0-4 considered unfavourable. Data is reported as a percentage of favourable responses.

The following employees as at 31 July 2025 are eligible to respond to the Your View survey:

- Permanent/Regular, Graduate, Apprentice
- Operational and Non-Operational

Data is held in specific Your View projects within Qualtrics. Due to data sensitivity, line-by-line results are held confidentially and restricted to a small number of colleagues within HR.

Living wages

Adequate wages

The 2025 living wage review confirmed that as of 31 December 2025, all colleagues across our locations are paid at least an 'adequate wage' in line with applicable benchmarks, as outlined below.

Basis of preparation:

- Living wage benchmarks are sourced from external living wage data providers – the Living Wage Foundation for the UK, Caritas Jersey (a charity affiliated with the Living Wage foundation) for Jersey and the Fair Wage Network for all other countries.
- Each colleague's fixed pay as at 31 December 2025 is used to calculate their hourly pay, taking into account their working hours.
- This hourly pay is compared against the relevant living wage benchmark for the location in which they are based. Country-level benchmarks are applied across all locations, except in the United States, where state-level data is used to reflect significant variations in the cost of living between states, and in the UK, where separate living wage rates apply for London and outside of London to reflect differences in the cost of living.

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- For any colleagues who are paid below the relevant living wage benchmark, or the minimum pay level / collective bargaining rate for the location, if higher, fixed pay is typically increased to at least meet the benchmark during the annual pay review.

S2: Workers in the Value Chain

The below table describes the impact for the material sustainability matter related to Workers in the Value Chain, as identified during the DMA process:

Material Impact		Value Chain			Time Horizon	
Description	Type	Upstream	Own Operations	Downstream	Short (0-1 year)	Medium (1-5 years)
Labour rights (including modern slavery) Barclays Bank Group may be connected to modern slavery (forced labour) of workers in our value chain by providing financial services to clients who:	Negative Impact					
				*	*	*
- operate across a wide range of sectors and geographies in which modern slavery has been identified as a potential concern - may have weak health and safety protections or poor practices in their operations and/or supply chains of entities in Barclays Bank Group's value chain						

Strategy

As a global financial institution, Barclays Bank Group provides a range of financial services to entities operating in various sectors and geographies, including those with a higher prevalence of labour rights issues including modern slavery. Therefore, we may be connected to impacts associated with our downstream value chain.

Barclays Bank Group's strategy to manage material impacts relating to workers in the value chain is led by its commitment to respect human rights. This includes its position statements, which require enhanced due diligence to be carried out on a periodic basis for clients who are in scope of these position statements, where potential human rights violations, including modern slavery risks, may be identified.

For definition of workers in the value chain, refer to page 47.

Policies

We follow the approach set out in the Barclays Group Statement on Human Rights in relation to managing our material impacts on value chain workers - including in our role as a provider of financial products and services. In these roles, Barclays Bank Group can be connected to human rights impacts on affected communities and workers in its value chain.

Barclays is committed to respecting human rights as defined in the International Bill of Human Rights and the ILO Declaration, and our approach is guided by the UNGPs and OECD Guidelines. The commitments set out in Barclays Group's Statement on Human Rights are supported by an evolving framework of policies and processes that seek to embed these commitments across our business. This includes how we identify and seek to address human rights related risks across our operations and value chain.

Barclays Bank Group's approach to human rights covers our commitments, due diligence approach and how we consider remedy. It also outlines our approach to human rights including as a provider of financial services, which are relevant to the management of impacts on affected communities and workers in the downstream value chain, such as human trafficking and modern slavery.

Actions

Clients in scope of Climate Change, Forestry and Agricultural Commodities, and Defence and Security Sector Statements are subject to Sustainability Enhanced Due Diligence (SEDD), which includes social risk considerations.

In 2023, Barclays completed a saliency assessment of human rights risks in the then Corporate and Investment Bank. Guided by this, Barclays identified the Human Rights Focus Areas for Progress, some of which are directly relevant to Barclays Bank Group. These Focus Areas for Progress set out the actions we are taking to further implement the commitments in our

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Statement and are guided by the salient issues identified in our 2023 saliency assessment, including modern slavery. These areas are not associated with specific time horizons but aim to guide our focus and actions in relation to human rights. The Focus Areas for Progress are:

- Corporate culture: Strengthen a culture of respect for human rights
- Saliency assessments: Identify salient issues beyond the corporate and investment banking portfolios
- Policies and Sustainability Enhanced Due Diligence (SEDD): Enhance certain sustainability policies and SEDD to reflect salient issues
- Just transition: Support a transition to a low-carbon economy which accounts for societal risks as well as opportunities
- Remedy: Develop our approach to remedy

Progress against these Focus Areas in 2025 included the following actions relevant to the management of this IRO:

- Corporate culture: human rights training was delivered to teams across the Group, led by Group Sustainability. These trainings were tailored to the audience to support colleagues' understanding of human rights risks, including modern slavery where relevant.
- Policies and SEDD: During 2025, Group Sustainability reviewed and updated Climate Change, Protected Areas and Defence and Security Statements and underlying SEDD processes. Where opportunities to better reflect the 2023 salient issues were identified for the corporate and investment banking portfolios, work was undertaken to embed considerations for these issues within our public position statements and relevant enhanced due diligence processes.

S3: Affected Communities

The below table describes the impacts for the material sustainability matter related to Affected Communities, as identified during the DMA process:

Material Impacts		Value Chain			Time Horizon		
Description	Type	Upstream	Own Operations	Downstream	Short (0-1 year)	Medium (1-5 years)	Long (>5 years)
Communities' economic, social and cultural rights Barclays Bank Group may be connected to impacts on the economic, social and cultural rights of affected communities by providing financial services to clients: • In high emitting sectors. The physical risks of climate change could impact rights to food, health, adequate housing, and water and sanitation (Impact of climate change) • To support or incentivise their carbon transition strategies, but which may lead to negative impacts on communities, such as the loss of jobs, or to clients in relation to new low carbon energy solutions with negative impacts on land rights or which involve the use of exploitative labour practices (Just Transition)	Negative Impact			*	*	*	*
Communities' civil and political rights Barclays Bank Group may be connected to impacts on the civil and political rights of people in affected communities by providing financial services to clients whose operations: • Include the export of weapons and dual-use technologies, which have the potential to significantly impact the rights of affected communities. (Weapons and dual-use exports) • Are linked to business or state practices or policies which infringe on communities' land rights, including physical or economic displacement (Land rights)	Negative Impact			*	*	*	*
Indigenous Peoples' rights Barclays Bank Group may be connected to impacts on Indigenous Peoples rights through the provision of financial services to clients who could potentially be linked to impacts on Indigenous Peoples rights, through their own business practices and/or because there are insufficient state protections afforded to Indigenous Peoples.	Negative Impact			*	*	*	*

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Strategy

As a global financial institution, Barclays Bank Group provides a range of financial services to entities operating in various sectors and geographies. Therefore, we may be connected to impacts associated with our downstream value chain. Barclays Bank Group's strategy to manage material risks relating to affected communities is led by its commitment to respect human rights. This includes its position statements that require enhanced due diligence to be carried out on a periodic basis for clients who are in scope of those statements which may identify potential human rights impacts.

Barclays Bank Group has also used insights from the 2023 saliency assessment to inform its approach to managing its most salient human rights risks connected to the corporate and investment banking portfolio, including human impacts of climate change and the energy transition, Indigenous people, land rights, modern slavery, and weapons and dual use technology exports.

Policies

We apply the following Barclays Group policies in relation to managing our material impacts on affected communities:

Barclays Group Statement on Human Rights

This statement sets out our commitment and approach to respecting human rights, including in relation to affected communities.

Details of Barclays Group's Statement on Human Rights can be found on page 89.

Barclays Group Statement on the Defence and Security Sector

This statement addresses the management of impacts related to Communities Civil and Political Rights – Weapons and Dual Use Technology Exports.

This statement addresses our approach to the provision of financial propositions to clients operating in the Defence and Security Sector as detailed below.

- We will not provide any financial proposition to companies known to trade in, or manufacture cluster munitions and their material components in violation of the International Convention on Cluster Munitions.
- We will not provide any financial proposition to companies known to trade in, or manufacture, chemical and biological weapons.
- We will not provide any financial proposition to companies known to trade in, or manufacture, landmines in violation of the Anti-Personnel Landmines Convention or any equipment designed to be used as an instrument of repression or torture, in violation of the Convention against Torture and Other Cruel, Inhuman or Degrading Treatment or Punishment.
- We will only directly finance the manufacture of, or trade in, nuclear weapons if it is authorised by the government of the US, UK or France and is compliant with applicable legislation.
- Clients in scope of the Defence and Security Statement are subject to SEDD on a case-by-case basis. This approach is risk-based and assesses specific risk considerations, in addition to the above restrictions which may include, but are not limited to:
 - I. In cases where clients or transactions are exporting equipment, the status of the exporter (including confirmation of the appropriate export licence when appropriate) and the importing /exporting country (for example, whether the importing country is considered a conflict zone).
 - II. The nature of the equipment and its likely use, including any potential for it to be on-sold to another end-user or to be adapted for offensive application.
 - III. The potential risks associated with clients' use of any third parties or agents in the course of its business to assist with the gaining of particular contracts.
 - IV. Clients' association with controversial or prohibited weapons banned by international treaty agreements.
 - V. Any adverse media identified relating to the conduct of the client and / or their defence products or services.
 - VI. The human rights track record of the client, their counterparties, or the region(s) within which they operate.
 - VII. Compliance with applicable laws and regulations.

VIII. Potential risks of the exports being used to support intrastate oppression or unjustified external aggression.

Actions

Clients that are in scope of Climate Change, Forestry and Agricultural Commodities, and Defence and Security Statements are subject to SEDD on a case-by-case basis, which includes social risk considerations.

During 2025, Barclays took the following actions relevant to Barclays Bank Group's impacts on affected communities. These actions were taken to advance the Barclays Human Rights Focus Areas for Progress. An outline of which can be found on page 89.

Corporate culture

- We continued to work to build our colleagues' understanding of human rights risk and responsibilities. In 2025, Group Sustainability delivered a number of human rights trainings across Barclays including the Barclays Bank Group. For example, we supported front-line bankers to better understand human rights risks and potential leverage in specific high-risk sectors and worked with specific risk functions such as Financial Crime, to empower colleagues to better identify human rights risk.

Saliency assessments

- In 2025, Barclays Bank Group participated in the human rights saliency assessments that were initiated across all five business divisions in Barclays Group, as well as Human Resources. These assessments were undertaken with specialist external human rights support. We are in the process of concluding the outputs of this assessment and will aim to develop an action plan in response to these conclusions in 2026.

Policies and SEDD

- As part of the SEDD process, we have strengthened screening of human rights considerations across clients in-scope of the position statements.

Just transition

- In 2025, Barclays continued its involvement with the Aberdeen Just Transition Collaboration with the Aberdeen City Council, BP, Shell UK and SSE. This collaboration aims to consider ways of supporting a just energy transition for local communities and workers in Aberdeen. The collaboration appointed a third-party partner to take the project forward.
- Barclays also continued its engagement with the LSE Just Transition Finance Lab, of which Barclays are a founding funder. Barclays co-hosted a roundtable with the lab exploring "Gridlock or Greenlight? The impact of social risks to the cost and pace of the energy transition".

Remedy

- Barclays engaged with industry groups and fora such as Equator Principles and Thun Group to understand best practice to support our evolving approach.

S4: Consumers and End Users

Cybersecurity

The below table describes the impact for the material sustainability matter, Cybersecurity, related to Customers and End-users, as identified during the DMA process:

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Material Impacts		Value Chain			Time Horizon		
Description	Type	Upstream	Own Operations	Downstream	Short (0-1 year)	Medium (1-5 years)	Long (>5 years)
Cybersecurity Barclays Bank Group may be connected to an impact on consumers and end-users in the case of a cybersecurity incident. Cybersecurity incidents have the potential to impact all of our consumers and end-users, such as by exposing sensitive personal information, interrupting Barclays Bank Group's online banking services, and delaying transactions which might affect their ability to pay bills or make timely purchases. It is expected that cyber threats will continue in the future.	Negative Impact			*	*	*	*

Strategy

Cybersecurity continues to inform our business model and strategy by remaining a top focus for Barclays. Cybersecurity incidents did not materially impact Barclays' business strategy, results of operations, or financial condition this year. Barclays continues to strengthen its resilience posture and is focused on ensuring that its business model and strategy remain resilient regarding our capacity to address potential cybersecurity-related impacts on consumers and end-users.

Policies

Barclays Bank Group maintains an Information and Cyber Security Policy that sets firm-wide minimum requirements for managing cybersecurity risks. Supported by twelve Standards, the Policy establishes processes to identify, assess and manage potential negative impacts on consumers and end-users. It covers Barclays PLC, its subsidiaries, all employees, and relevant third-party consultants and managed service providers. The Policy's objectives include building organisational understanding of cyber risks, implementing safeguards, detecting events, responding to incidents, and recovering to maintain resilience and continuity of critical services. It operates as a framework that triggers more specific controls and procedures such as anti-phishing training, simulations and integrated reporting tools.

Actions

Barclays Bank Group takes a variety of actions to help prevent and mitigate any cybersecurity-related potential negative impact on consumers and end-users. Key actions, which were each undertaken throughout 2025, include but are not limited to:

- monitoring of residual risk, identification of gaps and oversight of remedial actions;
- updating the Barclays PLC Board Risk Committee and Barclays PLC Board about cybersecurity risks facing Barclays;
- engaging with external security consultants;
- conducting assurance over our third and fourth parties;
- performing phishing exercises; and
- requiring annual cybersecurity training.

To prevent and mitigate impacts, we take a proactive and ongoing approach to engaging with affected consumers and end-users. We maintain detailed public-facing webpages that educate consumers and end-users on cybersecurity best practices and avoiding frauds and scams, including descriptions of common scams such as phishing and how to recognise them, together with practical advice on creating strong passwords, recognising suspicious emails and messages, and safeguarding personal information. We also conduct phishing simulations, require annual cybersecurity training, and implement control enhancements informed by risk assessments and Board-level reporting. To remediate or bring impacts to an end, incident response and recovery plans are executed to contain threats, restore services and safeguard personal data; consumers and end-users can raise concerns via established complaints channels to access support and remediation.

As a result, these actions strengthen resilience, improve detection and response times, reduce phishing susceptibility, inform remedial control uplifts at Barclays and critical third parties, and provide feedback on remedy effectiveness through complaints monitoring and engagement.

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Entity Specific: Data Privacy

The table below describes the impacts in relation to the entity specific sustainability matter, Data Privacy, which was identified during the DMA process

Material Impact	Type	Value Chain			Time Horizon	
		Upstream	Own Operations	Downstream	Short (0-1 year)	Long (>5 years)
Description						
Data Privacy - Accurate records Barclays Bank Group as an entity that processes personal data, may have impact on data privacy in our own operations if we fail to maintain accurate records of all activities conducted for Barclays Bank Group's clients and inadequate safeguarding of this information results in the leakage of sensitive information/data.	Negative Impact		*		*	*
Data Privacy - Right to privacy of consumers and end-users Barclays Bank Group as an entity that processes personal data, may have an impact on the data privacy of consumers and end-users if we mishandle their data when using, collecting or storing personal data. Mishandling of this data may infringe their rights to privacy, including their protection from censorship and surveillance.	Negative Impact			*	*	*

Strategy

Barclays Bank Group relies on the ability to process personal data in order to provide and deliver products and services to customers and clients.

Barclays Bank Group Businesses process personal data in many different ways on a daily basis – whether that is speaking to an existing customer about a query they have on their account, looking at the CV of someone applying for a job with us, or deciding to whom a marketing communication will be sent, all these rely on our ability to process personal data.

Governments and regulators globally impose strong data privacy regimes to balance the competing interests of ensuring individuals' fundamental rights in respect of their personal data are protected, whilst also promoting broader economic and societal growth.

Core components of these data privacy regimes include ensuring:

- clear accountability is in place in organisations processing personal data, with roles and responsibilities defined and understood, and the necessary procedures and oversight in place for these to function;
- transparency for individuals in relation to the purposes for which their personal data is processed, and how this will be achieved and by whom;
- providing individuals with rights in relation to their personal data, and empowering them to make informed choices about how their personal data is processed;
- that personal data is appropriately protected, including where it is transferred to other jurisdictions, and that where personal data breaches occur, these are identified and managed, with Data Protection Authorities informed, where required; and
- the retention and secure disposal of personal data, once it is no longer required.

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Making sure that Barclays Bank Group acts fairly, ethically and carefully whenever and however it processes personal data is not only a matter of compliance with the law, however - it is also critical to developing and maintaining trust with the individuals to whom that personal data relates, including Barclays' Bank Group customers, clients and employees.

Policy

Barclays Bank Group is committed to looking after all personal data it processes - whether that relates to employees, clients, customers or other individuals – in line with the applicable regulatory and legal requirements. Most of the countries where Barclays operates have data privacy or data protection laws, rules or regulations in place. Whilst the core requirements across these are often common, the fact that these are enacted at a jurisdictional level, and reflect the differing cultural expectations, norms and legal regimes across these jurisdictions, mean that the regulatory landscape for data privacy is fragmented.

Given the diversity of activity across Barclays Bank Group which involves the use of personal data, and the complexity of the regulatory environment, Barclays' Businesses need to make complex and finely balanced judgements to ensure that they appropriately handle and protect personal data and meet their responsibilities in the course of achieving their business objectives.

Barclays Bank Group takes a global approach to meeting data privacy requirements and has a Data Privacy Policy with associated standards.

The Data Privacy Policy and associated standards:

- apply to Barclays Bank PLC, its subsidiaries, all employees, and relevant third-party consultants and managed service providers;
- are designed to ensure that Barclays and its employees know how to identify and manage Data Privacy risk;
- support Barclays Bank Group's broader Enterprise Risk Management and Compliance Risk Management Frameworks which details Barclays Compliance Risk Appetite;
- set out what data privacy is and why it matters, how Barclays manages Data Privacy, the overarching Control Objectives in relation to evaluating, responding to, and monitoring data privacy risk (the "what"), as well as providing more detailed minimum Control Requirements designed to achieve these objectives (the "how");
- assigns Business Senior Management with accountability for implementation of the Data Privacy Policy and associated Standards in their area of responsibility;
- are monitored through various roles across the businesses, namely the Business' Senior Management, the Data Privacy Compliance Team led by the Group Data Protection Officer (GDPO), and Business Oversight Compliance (BOC). Governance within Barclays Bank Group is fulfilled through management committees and forums with clear escalation and reporting lines into Board level committees. The Group Chief Compliance Officer provides reporting as required by Executive and Corporate Governance to support the oversight of the Group Compliance Risk profile; and
- are made available and accessible to all employees and those required to implement them via our internal Intranet.

Barclays Bank Group maintains a robust resilience framework focusing on the end-to-end resilience of the business services we provide to customers and clients, aiming to ensure the governance of data privacy risk during business disruptions, crises, adverse events and other types of threats.

Actions

In 2025, the new Data Privacy Policy and associated standards took effect, with implementation under a Groupwide readiness programme. This built on our existing policy requirements that address the Risk that personal data could be handled in a way that might not meet Data Privacy law rules and regulations or an individual's rights and expectations.

In line with the Data Protection Policy, key actions taken by Barclays Bank Group during the reporting period and on an ongoing basis to manage the risk, and therefore the impact, include:

- measures to ensure that individuals understand how their personal data will be used and what rights they have in relation to that data;
- taking steps to ensure the personal data is accurate when first gathered and subsequently kept accurate and up to date;

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- applying higher thresholds of care where required, for example when gathering special category or criminal offence personal data, or personal data relating to individuals under the age of 18;
- measures to ensure that the confidentiality, integrity and availability of personal data are protected, such as when personal data is transferred to other jurisdictions;
- providing individuals with the tools to allow them to easily manage the personal data we hold;
- assessing any new or material changes to the use of personal data, including those involving the use of artificial intelligence, to identify and mitigate potential data privacy risks and prevent harms arising for individuals; and
- tracking data retention periods and secure disposal of records.

In 2025, Barclays Bank Group maintained focus on new and heightened inherent compliance risks, including those relating to the evolving landscape as it relates to ensuring customer and client data is handled appropriately, and in accordance with applicable laws, rules and regulations, thereby managing the impact. Throughout 2025, compliance risks, including outcomes for our customers, were raised by each business area for consideration by the Barclays Bank PLC Board Risk Committee. The Committee reviewed the risks raised and whether management's proposed actions were appropriate to mitigate the risks effectively.

During 2026 the Data Privacy Policy and associated standards will continue to be embedded with independent oversight from the Compliance function. These risks (and therefore the impact) will continue to be monitored on an ongoing basis, with necessary changes undertaken to our framework where appropriate.

Targets

We do not set targets for this impact because we instead track the effectiveness of our policies and actions that manage this risk (and therefore the impacts) through the Compliance Risk Dashboard, the tool used by Business Senior Management to manage and oversee the compliance risk profile for their business. The Compliance Risk Dashboard provides a quarterly holistic view of the control environment and risk profile (residual risk) using both qualitative and quantitative measures, which assists in decision making on the management of this impact and compliance risk more broadly.

Note that further information relating to Barclays approach to data privacy, that is not material to the management of this IRO, can be found in the Managing Data Privacy, Security and Resilience section, see page 115.

Entity Specific: Anti-Money Laundering and Sanctions

The table below describes the impact in relation to the entity specific sustainability matter, Anti-Money Laundering and Sanctions, which was identified during the DMA process

Material Impact		Value Chain			Time Horizon		
Description	Type	Upstream	Own Operations	Downstream	Short (> 1 year)	Medium (1-5 years)	Long (>5 years)
Anti-Money Laundering and Sanctions Barclays Bank Group may be connected to an impact on people resulting from inadequate internal controls, training around anti-money laundering (AML) and sanctions which may result in increased money laundering and sanctions risk in the jurisdictions in which Barclays Bank Group operates.	Negative Impact		*		*	*	*

Strategy

Barclays Bank Group recognises that money laundering (which, in relation to this impact, includes terrorist financing) and breaches of economic and financial sanctions being committed through Barclays products and services may result in harm to the integrity of the financial system and to society. Governments and regulators globally impose strong anti-money laundering and sanctions compliance regimes to protect the international financial system from misuse. In turn, effective implementation of these regimes helps to manage the impact of money laundering and sanctions breaches.

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Money Laundering is the process used to conceal the true origin, ownership, and/or purpose of the proceeds of any criminal activity. Terrorist Financing is the financial support, in any form, of terrorism or of those who encourage, plan or carry out terrorism. Sanctions are restrictions on activity with targeted countries, regions, governments, entities, individuals, and industries that are imposed by bodies such as the European Union (EU), the United Nations (UN), (including but not limited to the proliferation of nuclear, chemical, or biological weapons).

In addition to money laundering and sanctions, the term 'Financial Crime' includes facilitation of tax evasion and bribery and corruption. In relation to this impact, facilitation of tax evasion and bribery and corruption are not included in this disclosure because they were not identified as IROs through the double-materiality assessment process.

The Barclays Bank Group strives to prevent, detect, and report money laundering and sanctions breaches through the execution of its end-to-end control framework, as part of our approach to managing financial crime risk more broadly. By managing the risk in line with our legal and regulatory obligations, we manage the impact.

Money laundering and sanction breach IROs primarily originate from our strategy, business model, and business relationships. This is because these impacts primarily originate from Barclays products and services being used by third parties to facilitate money laundering and sanctions breaches. Barclays Bank Group has set a risk appetite for financial crime and ensures that its business model and strategy remain resilient regarding our capacity to manage these impacts by assessing the risk exposure, and therefore the potential impact, of our businesses, strategies, business models, activities, change initiatives, products, and customers.

Policies

We apply the Barclays Group-wide Financial Crime Risk Management Framework (FCRMF), the Financial Crime Policy and its associated standards to manage the risk, and therefore the impact, of money laundering and sanctions evasion.

The FCRMF, Financial Crime Policy and associated standards:

- apply to Barclays Bank PLC, its subsidiaries, all employees, and relevant third-party consultants and managed service providers;
- consist of a number of integrated components that work together to help manage and measure financial crime risk and therefore the impact. Risks are evaluated, responded to and monitored, driving insights and actions that support business decisions and changes to the firm, that help to achieve strategic objectives in the right way. This includes requiring Barclays Bank Group to have adequate systems, procedures and controls in place to manage the risk of being used to facilitate money laundering and sanctions breaches on an on-going basis;
- assigns Business Senior Management with accountability for implementation of the FCRMF, Financial Crime Policy and associated standard and for the overall assessment and management of money laundering and sanctions risks in their area of responsibility;
- are monitored through various roles across Barclays Bank Group namely the Business' senior management, Entity Chief Compliance Officers and entity Money Laundering Reporting Officers (MLROs). Governance within Barclays Bank Group is fulfilled through management committees and forums with clear escalation and reporting lines into Board level committees. The Group Chief Compliance Officer provides reporting as required by Executive and Corporate Governance to support the oversight of the Group Financial Crime Risk profile; and
- are made available and accessible to all employees and those required to implement them via our internal Intranet.

Actions

A key area of focus has been enhancing the financial crime control environment to address emerging threats and evolving laws, rules and regulations. Throughout 2025, the Barclays Bank PLC Board and relevant committees received updates on the Barclays Bank Group's financial crime risk profile and emerging risks in the context of the macroeconomic, regulatory and geopolitical outlook.

Recognising the potential impact of money laundering and sanctions breaches, along with other types of financial crime, financial crime risk overall was elevated to a principal risk in the Enterprise Risk Management Framework ('ERMF'), effective from 1 January 2025. During 2025, the financial crime principal risk was embedded, with financial crime risk and compliance risk being reported separately to the Barclays Bank PLC Board. This has reinforced visibility and focus on managing the risk, and therefore the impact, through appropriate risk management.

To further embed financial crime risk as a principal risk, the Barclays Bank Group updated its financial crime risk appetite statement. Recognising the risk-based approach to financial crime risk management, Barclays' financial crime risk appetite, approved by the Group Executive Committee, is that "Barclays has no appetite for financial crime risk issues and events that are material, systemic, not promptly remediated, not reported to regulators in a timely manner where required, and/or are likely to result in regulatory enforcement".

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Anti-Money Laundering:

In line with the Financial Crime Policy, key actions taken by Barclays Bank Group during the reporting period and on an ongoing basis to manage the risk, and therefore the impact, of money laundering include:

- conducting risk-based customer due diligence and know your customer measures on new customers prior to onboarding, including but not limited to identifying and verifying customers and their beneficial owners, understanding the nature and purpose of customer relationships, and applying anti-impersonation measures for remote (non-face to face) account opening. This ensures that customer activity is understood and subject to effective monitoring to help identify and act on potential money laundering;
- keeping customer information up to date to ensure that customer relationships continue to be understood and subject to effective monitoring to help identify and act on potential money laundering;
- conducting enhanced due diligence in higher risk situations, such as senior management approval for onboarding and retaining Customers established in countries identified by governments as having anti-money laundering and counter-terrorist financing deficiencies. By enhancing our focus on situations that may pose a higher risk of money laundering we more effectively manage the risk and therefore the impact;
- identifying and reporting suspicious activity to law enforcement authorities in line with legal obligations, thereby supporting collective action against money laundering and sanctions breaches;
- ensuring that payments executed by Barclays Bank Group contain all required information for anti-money laundering and sanctions checks and conducting risk-based monitoring of inbound payments to identify and act on payments that do not contain this information; and
- proactively working with governments, international organisations, industry and law enforcement authorities to collectively enhance the effectiveness of measures to manage the impact of money laundering.

Sanctions:

In line with the Financial Crime Policy, key actions taken by Barclays Bank Group during the reporting period and on an ongoing basis to manage the risk, and therefore the impact, of sanctions breaches include:

- taking measures to ensure we do not enter into, or maintain, customer relationships with, or on behalf of, sanctioned persons in line with legal and regulatory obligations and Barclays risk appetite;
- taking targeted customer due diligence measures to identify activity that may pose increased risk of sanctions breaches;
- screening transactions, customers, employees and other relevant persons against sanctions lists;
- taking measures to identify and manage the risk of third parties circumventing sanctions; and
- proactively working with governments, international organisations and industry to collectively enhance the effectiveness of measures to manage the impact of sanctions breaches.

We have planned the following key actions:

Anti-Money Laundering and Sanctions:

These risks will continue to be managed and monitored on an ongoing basis, thereby managing the impact.

Effective 1st January 2026, the Financial Crime Policy was replaced by four policies, two of which set more detailed requirements for managing money laundering and sanctions risks and downstream impacts. This approach supports differentiated reporting and oversight of risk management across the four financial crime risks. Barclays Bank Group will implement and embed these new policies through 2026 with independent oversight and validation by Compliance, thereby enhancing our management of the impacts.

Targets

The nature of money laundering and sanctions breaches makes it difficult to establish fixed, measurable, and time-bound targets for managing this impact. We instead track the effectiveness of our policies and actions that manage this impact through the Financial Crime Risk Dashboard, the tool used by Business Senior Management to manage and oversee the financial crime risk profile for their business. The Financial Crime Risk Dashboard provides a quarterly holistic view of the control environment and risk profile (residual risk) using both qualitative and quantitative measures, which assists in decision making on the management of this impact and financial crime risk more broadly.

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These disclosures are incorporated by reference into the 'Environmental information' of our Sustainability Statement and form part of our disclosures under the Taxonomy Regulation.

Overview

In 2020, the EU Taxonomy Regulation¹ was published with the objective of establishing a classification system for environmentally sustainable economic activities that plays a role in helping the EU scale up sustainable investment and implement the European Green Deal². From the financial year ended 31 December 2024, the Barclays Bank Group (the Bank) is required to report under the CSRD, making the EU Taxonomy also applicable.

The EU Taxonomy has six environmental objectives, namely:

- climate change mitigation (CCM);
- climate change adaptation (CCA);
- sustainable use and protection of water and marine resources (WTR);
- transition to a circular economy (CE);
- pollution prevention and control (PPC); and
- protection and restoration of biodiversity and ecosystems (BIO).

The EU Taxonomy Regulation defines what can be considered as an environmentally sustainable economic activity. Article 8 of the EU Taxonomy Regulation requires entities subject to the obligation to publish non-financial information pursuant to Article 19a or Article 29a of the Accounting Directive³ as amended from time to time (including by the CSRD⁴), such as the Bank, to disclose to the public how and to what extent their activities are associated with environmentally sustainable economic activities as defined under the EU Taxonomy Regulation.

We have reported "taxonomy-eligibility" and "taxonomy-alignment" based on the reporting by our counterparties within the scope of the EU Taxonomy Regulation. Taxonomy-alignment is assessed at an activity level. The criteria for EU taxonomy-alignment requires the taxonomy-eligible activity to meet all the following requirements:

- Substantially contribute to at least one of the Taxonomy's six environmental objectives;
- Do no significant harm to any of the six environmental objectives set out in the EU Taxonomy Regulation;
- The company as a whole must meet minimum social safeguards; and
- Compliance of the economic activity with the relevant technical screening criteria set out in the Taxonomy Delegated Acts.

For the financial year ended 31 December 2025, the Bank reports its EU Taxonomy disclosures taking into account the amendments introduced by Commission Delegated Regulation (EU) 2026/73 of 4 July 2025 (the Delegated Act). This amended:

- Delegated Regulation (EU) 2021/2178, to simplify the content and presentation of information to be disclosed concerning environmentally sustainable activities; and
- Delegated Regulations (EU) 2021/2139 and (EU) 2023/2486, to simplify certain technical screening criteria for determining whether economic activities cause no significant harm to environmental objectives.

The Bank has therefore applied the updated reporting rules as amended by the Delegated Act and reported using the simplified templates for the financial year ended 31 December 2025.

The EU Taxonomy Regulation uses the term GAR, which is calculated as Taxonomy aligned assets as a % of Total GAR Assets. Until the financial year ended 31 December 2024, Total GAR Assets comprised total assets as defined under IFRS as adopted by the EU, minus trading book assets and minus exposures to central banks, central governments and supranational issuers. As per the amendment by the Delegated Act, the following assets that were previously included within Total GAR Assets are now excluded from the Total GAR Assets calculation:

- Exposures to undertakings that are not obliged to publish non-financial information pursuant to Article 19a or 29a of Directive 2013/34/EU, including those who have reported voluntarily;
- On-demand interbank loans;
- Derivatives;
- Cash and cash-related assets; and

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- Other categories of assets that are not referred to in Article 7(6) of Delegated Regulation (EU) 2021/2178, as amended (such as goodwill, commodities, etc.)

(Total GAR assets are also referred to as 'Covered Assets' or 'GAR - Covered assets in both numerator and denominator').

The GAR is calculated on two bases. One, referred to as the "Turnover basis", uses the % of each counterparty's turnover that they report as taxonomy-aligned to quantify how much of our loan exposure to that counterparty is taxonomy-aligned. The other, referred to as the "CapEx basis", uses the % of each counterparty's CapEx that they report as taxonomy-aligned to quantify how much of our loan exposure to that counterparty is taxonomy-aligned.

On a Turnover KPI basis, 37.31% (2024 recalculated: 19.45%, originally reported 0.88%) of our exposures are taxonomy-eligible and 1.69% (2024 recalculated: 2.69%, originally reported 0.12%) are taxonomy-aligned for the financial year ended 31 December 2025 (31 December 2024). On a CapEx KPI basis, 38.43% (2024 recalculated: 22.45%, originally reported 1.01%) of our exposures are taxonomy-eligible and 2.79% (2024 recalculated: 3.62%, originally reported 0.16%) are taxonomy-aligned for the financial year ended 31 December 2025 (31 December 2024). Note that the current year KPIs have been calculated in line with the updated reporting rules as amended by the Delegated Act. Further information to facilitate a comparison as against the KPIs reported for financial year ended 31 December 2024 is set out in the table below.

The primary sectors that contributed to our aligned activities for both financial years ended 31 December 2025 and 2024 are "Electricity, gas, steam and air conditioning supply", "Financial undertakings", "Transport and storage", and "Manufacturing".

The primary differences between our taxonomy-eligible assets and our taxonomy-aligned assets comprise:

- Residential mortgage exposure £5,117m (2024: £558m); and
- Counterparty exposures that do not meet the all of the four criteria for EU taxonomy-alignment outlined above £2,989m (2024: £1,553m) on a Turnover- basis and £2,993m (2024: £1,814m) on a CapEx basis.

The Bank has reported in the comparative data cells of the relevant templates below the KPIs as reported in 2025 (for financial year ended 31 December 2024). These KPIs were calculated in accordance with the reporting requirements of the EU Taxonomy that were applicable at that time. These KPIs for financial year ended 31 December 2024 were not subject to the same methodology as the KPIs reported for financial year ended 31 December 2025. Therefore in order to facilitate a comparison of the KPIs reported for financial year ended 31 December 2024 and financial year ended 31 December 2025, the Bank has in addition recalculated the KPIs published for financial year ended 31 December 2024 using the methodology set out in the Delegated Act. The KPIs that have changed due to this recalculation are set out below (and all other KPIs remain unchanged when the recalculation is performed).

Stock/Flow (£ m)	Total GAR Assets	KPI as a % of Total GAR assets for the financial year ended 31 December 2024					
		Taxonomy Eligible	Taxonomy Alignment			Of which transitional	Of which enabling
				CCM	CCA		
Turnover Basis							
Green asset ratio (GAR) stock							
As reported under the Commission Delegated Regulation (EU) 2021/2178	279,592	0.88%	0.12%	0.12%	—%	—%	0.07%
Less: Assets now excluded from GAR assets ⁵	(266,993)						
As reported taking into account the amendments introduced by Commission Delegated Regulation (EU) 2026/73	12,599	19.45%	2.69%	2.67%	0.02%	0.09%	1.59%
GAR (flow)							
As reported under the Commission Delegated Regulation (EU) 2021/2178	59,823	0.41%	0.07%	0.07%	—%	—%	0.01%
Less: Assets now excluded from GAR assets ⁵	(58,410)						
As reported taking into account the amendments introduced by Commission Delegated Regulation (EU) 2026/73	1,413	17.20%	2.97%	2.97%	—%	0.07%	0.42%
CapEx Basis							
Green asset ratio (GAR) stock							
As reported under the Commission Delegated Regulation (EU) 2021/2178	279,592	1.01%	0.16%	0.16%	—%	0.01%	0.11%
Less: Assets now excluded from GAR assets ⁵	(266,993)						
As reported taking into account the amendments introduced by Commission Delegated Regulation (EU) 2026/73	12,599	22.45%	3.62%	3.57%	0.05%	0.12%	2.33%
GAR (flow)							
As reported under the Commission Delegated Regulation (EU) 2021/2178	59,823	0.73%	0.12%	0.11%	—%	—%	0.06%
Less: Assets now excluded from GAR assets ⁵	(58,410)						
As reported taking into account the amendments introduced by Commission Delegated Regulation (EU) 2026/73	1,413	31.07%	4.95%	4.81%	0.14%	0.14%	2.48%

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The EU Taxonomy disclosures as at 31 December 2025 are subject to limited assurance as set out on page 111.

The EU Taxonomy disclosures have been prepared on a 'best efforts' basis using corporate disclosures and published financial reports and information from third party data providers (which primarily cover latest counterparty information for financial year 2024 where the counterparty information for financial year 2025 has not yet been published). We have not contacted individual counterparties to obtain data due to the challenges of doing so. Our approach is to analyse and calculate taxonomy-eligibility and taxonomy-alignment solely based on the published Taxonomy reporting of our counterparties.

The EU Taxonomy related disclosures presented in this section have been made on the basis of our understanding of the terms and concepts used under the EU Taxonomy Regulation and its implementing acts (as the case may be, as clarified by the European Commission through additional guidance). As the EU Taxonomy reporting requirements and guidance evolve over the coming years, and as we continue to develop our industry data sourcing methodologies, we will continue to review our disclosure in future periods. We also note the Commission's ongoing review of the technical screening criteria which will impact future reporting periods.

In general, as a wholesale bank that also intermediates financing through listed and wholesale markets, we believe that the EU Taxonomy Regulation does not fully capture the Bank's impact on financing the green transition, and ratios derived from it are also subject to these limitations.

We have presented the following templates, which are shown both on a Turnover basis and on a CapEx basis in the Schedule to the Sustainability Statement on page 419 and onwards of the annual report:

Templates	Description	Page
1. Assets for the calculation of GAR	Taxonomy-eligible loans and taxonomy-aligned loans, analysed by asset class	419
2. GAR sector information	Taxonomy-eligible loans and taxonomy-aligned loans to non-financial undertakings (other than mining and quarrying), analysed by NACE sector	435
3. GAR KPI stock	Taxonomy-eligible loans and taxonomy-aligned loans, analysed by asset class, as a % of CSRD eligible loans, and as a % of total assets	438
4. GAR KPI flow	New taxonomy-eligible loans and new taxonomy-aligned loans as a % of new CSRD eligible loans, analysed by asset class	442
5. KPI off-balance sheet exposures	Taxonomy-eligible financial guarantees and assets under management ('AUM') and taxonomy-aligned financial guarantees and AUM, as a % of financial guarantees and AUM that are CSRD eligible	447

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The table below sets out our taxonomy alignment and eligibility of the economic activities in the context of all EU Taxonomy environmental objectives.⁸

Reconciliation of EU Taxonomy KPIs to total assets	As reported taking into account the amendments introduced by the Commission Delegated Regulation (EU) 2026/73				As reported under the Commission Delegated Regulation (EU) 2021/2178		Description
	FY 2025 Turnover basis		FY 2024 Turnover basis - Recalculated		FY 2024 Turnover basis		
	(£ m)	KPI (% of total covered assets)	(£ m)	KPI (% of total covered assets)	(£ m)	KPI (% of total covered assets)	
Taxonomy-aligned activities	384	1.69%	339	2.69%	339	0.12%	Economic activities with undertakings subject to CSRD, together with households, that are taxonomy aligned. Numerator of the Green Asset Ratio.
Taxonomy-eligible but not aligned	8,106	35.62 %	2,111	16.76%	2,111	0.76%	Economic activities that are taxonomy-eligible but not taxonomy-aligned
Taxonomy-eligible activities ⁶	8,490	37.31%	2450	19.45%	2,450	0.88%	Economic activities with undertakings subject to CSRD, together with households, that have been assessed as taxonomy-eligible.
Less: Households ⁷	(5,117)	(22.49)%	(558)	(4.43%)	(558)	(0.20%)	Economic activities with households that have been assessed as taxonomy-eligible (retail mortgages).
Taxonomy-eligible activities excluding Households (1)	3,373	14.82%	1,892	15.02%	1,892	0.68%	Economic activities with undertakings subject to CSRD that have been assessed as taxonomy-eligible, other than households.
Taxonomy non-eligible activities (2)	14,264	62.69%	10,149	80.55%	10,149	3.63%	Economic activities with undertakings subject to CSRD assessed as non-eligible.
Exposures to undertakings in scope (1+2)	17,637	77.51%	12,041	95.57%	12,041	4.31%	Covered assets that are exposures to entities subject to CSRD.
Households classified as Taxonomy-eligible ⁷ (3)	5,117	22.49 %	558	4.43%	558	0.20%	Economic activities with households that have been assessed as taxonomy-eligible (retail mortgages).
GAR - Covered assets in both numerator and denominator (1+2+3)	22,754	100.00%	12,599	100.00%	12,599	4.51%	Covered assets that are exposures to entities subject to CSRD, together with households.
Exposures to undertakings out of scope (4) ⁵	N/A	N/A	N/A	N/A	266,993	95.49%	Assets excluded from GAR assets by the Commission Delegated Regulation (EU) 2026/73, hence not considered in FY 2025 and FY 2024 recalculated.
Total covered assets (1+2+3+4)	22,754	100.00%	12,599	100.00%	279,592	100.00%	Total covered assets or GAR Assets.
of which Derivatives (Banking book)	N/A	N/A	N/A	N/A	7,583	2.71%	Banking Book derivatives (these are part of total covered assets). Further to Commission Delegated Regulation (EU) 2026/73, these no longer need to be taken into account for the denominator.
of which On demand interbank exposures	N/A	N/A	N/A	N/A	5,124	1.83%	Exposures to on-demand interbank loans. Further to Commission Delegated Regulation (EU) 2026/73, these no longer need to be taken into account for the denominator.

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Reconciliation of EU Taxonomy KPIs to total assets	As reported taking into account the amendments introduced by the Commission Delegated Regulation (EU) 2026/73				As reported under the Commission Delegated Regulation (EU) 2021/2178		Description
	FY 2025 Turnover basis		FY 2024 Turnover basis - Recalculated		FY 2024 Turnover basis		
	(£ m)	KPI (% of total assets)	(£ m)	KPI (% of total assets)	(£ m)	KPI (% of total assets)	
Exposures to central banks, central governments and supranational	291,379	23.33%	263,546	21.57%	263,546	21.57%	Exposures to central banks, central governments and supranational issuers, not included in covered assets.
Exposures to undertakings out of scope ⁵	272,732	21.83%	266,993	21.85%	N/A	N/A	Covered assets that are exposures to entities not subject to CSRD.
Trading book	662,284	53.02%	678,851	55.55%	678,851	55.55%	Trading book exposures, not included in covered assets.
Total assets not included in GAR calculation	1,226,395	98.18%	1,209,390	98.97%	942,397	77.12%	Assets not included in denominator for the calculation of the GAR.
Total covered assets (as above)	22,754	1.82%	12,599	1.03%	279,592	22.88%	
Total assets (Gross of impairment)	1,249,149	100.00%	1,221,989	100.00%	1,221,989	100.00%	IFRS total assets, together with Impairment deducted in the calculation of total assets.
Impairment	(3,676)		(3,465)		(3,465)		Includes Impairment on Loans and Advances, Debt Securities and Cash Collateral. Excludes impairment on reverse repurchase agreements and other similar secured lending.
Total assets	1,245,473		1,218,524		1,218,524		Total assets as per IFRS balance sheet.

Notes:

1. The EU Taxonomy Regulation (EU) 2020/852 of the European Parliament and of the Council of 18 June 2020 on the establishment of a framework to facilitate sustainable investment, as amended from time to time.
2. https://ec.europa.eu/info/strategy/priorities-2019-2024/european-green-deal_en. Please note that the information on this website does not form part of our report.
3. Directive 2013/34/EU of the European Parliament and of the Council of 26 June 2013 on the annual financial statements, consolidated financial statements and related reports of certain types of undertakings, as amended from time to time.
4. Directive 2022/2064 of the European Parliament and of the Council of 14 December 2022 amending Regulation (EU) No 537/2014, Directive 2004/109/EC, Directive 2006/43/EC and Directive 2013/34/EU, as regards corporate sustainability reporting as amended from time to time.
5. Assets excluded from Total GAR Assets pursuant to the amendments introduced by Commission Delegated Regulation (EU) 2026/73. These excluded assets comprise exposures to undertakings that are not obliged to publish non-financial information pursuant to Article 19a or 29a of Directive 2013/34/EU, including those who report voluntarily, derivatives, on-demand interbank loans, cash and cash equivalents, and other categories of assets that are not referred to in Article 7(6) of Delegated Regulation (EU) 2021/2178, as amended (such as goodwill, commodities, etc.). These items were previously included in the Total GAR Assets taking into account the disclosure requirements set forth in Commission Delegated Regulation (EU) 2021/2178, but are now excluded from the Total GAR Assets taking into account the amendments introduced by Commission Delegated Regulation (EU) 2026/73.
6. Taxonomy eligible activities comprise of certain wholesale lending, cash collateral, financial assets at fair value through other comprehensive income ('FVOCI') and financial assets at fair value through profit and loss ('FVTPL') in the banking book with counterparties which are subject to the sustainability reporting obligations under Article 19a or Article 29a of the Accounting Directive. Collateralised home loans are also included in the calculation for taxonomy-eligibility however are not included in the calculation for taxonomy-alignment. The remainder of loans and advances to customers relates to unsecured loans and other retail lending which are not taxonomy eligible, and are excluded from the calculation of taxonomy-eligible activities.
7. Our reporting in relation to household loans collateralised by residential immovable property now includes exposures to non-EU customers of £4,742m. Our FY24 reporting in relation to household loans collateralised by residential immovable property excluded exposures to non-EU customers of £4,618m.
8. Cells that are not applicable (e.g. where we are not required to report) are marked as "N/A," while cells that are applicable but have nil values are shown as "-". This applies to all the EU Taxonomy tables.

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EU Taxonomy

In line with the Commission Notice on the interpretation and implementation of certain legal provisions of the Disclosures Delegated Act under Article 8 of the EU Taxonomy Regulation on the reporting of Taxonomy-eligible and Taxonomy-aligned economic activities and assets (C/2024/6691) ("Third Commission Notice") dated 8 November 2024, the taxonomy-aligned lending is calculated as the % of taxonomy-aligned Turnover and CapEx reported by each counterparty, applied to our loan exposure to each counterparty. Consequently, the proportion of counterparties in a bank's banking book that are subject to the CSRD is a key determinant of the resulting GAR.

Summary of KPIs to be disclosed by credit institutions under Article 8 of the EU Taxonomy Regulation

31 December 2025		Total exposure to Taxonomy aligned activities (£ m)		KPI ¹ (%)	KPI ² (%)	% coverage (over total assets) ³ (%)	Non assessed exposures (% of covered assets) ⁴ (%)	Non assessed exposures (% of covered assets) ⁴ (%)
		Turnover-based	CapEx-based	Turnover-based	CapEx-based		Turnover-based	CapEx-based
Main KPI	Green asset ratio (GAR) stock	384	634	1.69%	2.79%	1.82%	—%	—%

31 December 2025		Total exposure to Taxonomy aligned activities (£ m)		KPI ¹ (%)	KPI ² (%)	% coverage (over total assets) ³ (%)	Non assessed exposures (% of covered assets) ⁴ (%)	Non assessed exposures (% of covered assets) ⁴ (%)
		Turnover-based	CapEx-based	Turnover-based	CapEx-based		Turnover-based	CapEx-based
Additional KPIs	GAR (flow)	45	141	1.54%	4.84%	3.62%	—%	—%
	Trading book ⁵	N/A	N/A	N/A	N/A	N/A	N/A	N/A
	Financial guarantees	64	164	6.94%	17.73%	5.69%	—%	—%
	Assets under management ⁶	339	78	14.58%	3.35%	1.62%	—%	—%
	Fees and commissions income ⁵	N/A	N/A	N/A	N/A	N/A	N/A	N/A

Summary of KPIs to be disclosed by credit institutions under Article 8 of the EU Taxonomy Regulation

31 December 2024		Total exposure to Taxonomy aligned activities (£ m)		KPI ¹ (%)	KPI ² (%)	% coverage (over total assets) ³ (%)	Non assessed exposures (% of covered assets) ⁴ (%)	Non assessed exposures (% of covered assets) ⁴ (%)
		Turnover-based	CapEx-based	Turnover-based	CapEx-based		Turnover-based	CapEx-based
Main KPI	Green asset ratio (GAR) stock	339	456	0.12%	0.16%	22.88%	—%	—%

31 December 2024		Total exposure to Taxonomy aligned activities (£ m)		KPI ¹ (%)	KPI ² (%)	% coverage (over total assets) ³ (%)	Non assessed exposures (% of covered assets) ⁴ (%)	Non assessed exposures (% of covered assets) ⁴ (%)
		Turnover-based	CapEx-based	Turnover-based	CapEx-based		Turnover-based	CapEx-based
Additional KPIs	GAR (flow)	42	70	0.07%	0.12%	53.96%	—%	—%
	Trading book ⁵	N/A	N/A	N/A	N/A	N/A	N/A	N/A
	Financial guarantees	106	242	11.98%	27.34%	N/A	N/A	N/A
	Assets under management ⁶	269	524	7.83%	15.25%	N/A	N/A	N/A
	Fees and commissions income ⁵	N/A	N/A	N/A	N/A	N/A	N/A	N/A

Notes:

- The Turnover KPI % is calculated as the percentage of Taxonomy aligned exposures over total GAR assets. The Turnover alignment increased primarily due to the change in Total GAR Assets given that Total GAR Assets now also excludes exposures to undertakings that are not obliged to publish non-financial information pursuant to Article 19a or 29a of Directive 2013/34/EU, derivatives, on-demand interbank loans, cash and cash equivalents, and other categories of assets that are not referred to in Article 7(6) of Delegated Regulation (EU) 2021/2178, as amended (such as goodwill, commodities, etc.) in line with Commission Delegated Regulation (EU) 2026/73.
- The CapEx KPI % is calculated as the percentage of Taxonomy aligned exposures over total GAR assets. The CapEx alignment increased primary due to the change in Total GAR Assets given that Total GAR Assets now also excludes exposures to undertakings that are not obliged to publish non-financial information pursuant to Article 19a or 29a of Directive 2013/34/EU, derivatives, on-demand interbank loans, cash and cash equivalents, and other categories of assets that are not referred to in Article 7(6) of Delegated Regulation (EU) 2021/2178, as amended (such as goodwill, commodities, etc.) in line with Commission Delegated Regulation (EU) 2026/73.

Schedule to the Directors' report: Sustainability statement

EU Taxonomy

3. Our FY24 reporting calculated % coverage (Over total assets) as taxonomy aligned exposures over total assets. To align with what we have observed as market practice (on the basis of FY24 annual reports), the % coverage (Over total assets) is now calculated as Total GAR Assets (covered assets) over total assets. Consequently, the prior year comparative % has been revised from 0.03% to 22.88% for stock and from 0.04% to 53.96% for flow.
4. Non-assessed exposures refer to counterparty exposures subject to CSRD and included within Total GAR Assets, for which Taxonomy eligibility and alignment were not assessed. As all such exposures have been assessed, these are reported Nil under both the Turnover-based and CapEx-based KPIs.
5. Trading book and fees and commission KPIs apply from 1 January 2028 (under the Delegated Act), therefore these cells are not applicable (N/A).
6. Assets under management for financial corporations were not assessed for taxonomy eligibility and alignment to avoid double counting, in line with the Third Commission Notice published on 8 November 2024.

Business Strategy

Addressing climate change is an urgent and complex challenge but also an opportunity. It requires a fundamental transformation of the global economy. The financial sector has an important role to play in supporting the transition to a low-carbon economy.

Barclays Bank PLC sustainability strategy and goals are set out on page 47 of this report. An overview of the Barclays Group climate strategy can be found on page 63 of Barclays Group PLC Annual Report 2025, and more information, including progress against targets, is set out in the Climate and Sustainability section of the Barclays Group PLC Annual Report 2025.

Schedule to the Directors' report: Sustainability statement

Important Information / Disclaimers

Information provided in climate and sustainability disclosures

What is important to our investors and stakeholders evolves over time, and we aim to anticipate and respond to these changes. Disclosure expectations in relation to climate change and sustainability matters are particularly fast moving, and differ from more traditional areas of reporting including in relation to the level of detail and forward-looking nature of the information involved and the consideration of impacts on the environment and other persons. We have adapted our approach in relation to the disclosure of such matters. Our climate and sustainability disclosures take into account the wider context relevant to these topics, which may include evolving stakeholder views, the development of our climate strategy, longer timeframes for assessing potential risks and impacts, international long-term climate- and nature-based policy goals, evolving sustainability-related policy frameworks (and the harmonisation or interoperability of relevant regulation) and geopolitical developments and regional variations. Our climate and sustainability disclosures are subject to more uncertainty than disclosures relating to other subjects, given market challenges in relation to data reliability, consistency and timeliness – the use of estimates, judgements and assumptions which are likely to change over time, the application and development of data, models, scenarios and methodologies, the change in regulatory landscape, and variations in reporting standards.

These factors mean disclosures may be amended, updated, and recalculated in future as market practice and data quality and availability develops, and could cause actual achievements, results, performance or other future events or conditions to differ, in some cases materially, from those stated, implied and/or reflected in any forward-looking statements or metrics included in our climate and sustainability disclosures. We give no assurance as to the likelihood of the achievement or reasonableness of any projections, estimates, forecasts, targets, commitments, ambitions, prospects or returns contained in our climate and sustainability disclosures and make no commitment to revise or update any such disclosures to reflect events or circumstances occurring or existing after the date of such statements.

Disclaimers

In preparing the climate and sustainability content within the Barclays Bank PLC Annual Report wherever it appears, we have:

- Made certain key judgements, estimations and assumptions. This is, for example, the case in relation to financed emissions, portfolio alignment, classification of sustainable and transition finance, operational emissions and sustainability metrics, measurement of climate risk and scenario analysis
- Used climate and sustainability data, models, scenarios and methodologies that we considered appropriate for these purposes at the time of deployment. Some of these were provided by third parties, over whom we have no control, and may have been based on differing or unknown methodologies. The underlying assumptions, interpretations or methodologies may not be independently verifiable and could be inaccurate. Climate and sustainability data, models, scenarios and methodologies are subject to future risks and uncertainties and may change over time. Climate and sustainability disclosures in this document, including climate and sustainability-related data, models and methodologies, are not of the same standard as those available in the context of other financial information and use a greater number and level of judgements, assumptions and estimates, including with respect to the classification of sustainable and transition financing activities. Climate and sustainability disclosures are also not subject to the same or equivalent disclosure standards, historical reference points, benchmarks or globally accepted accounting principles. Historical data cannot be relied on as a strong indicator of future trajectories in the case of climate change and its evolution. Outputs of models, processed data, scenario analysis and the application of methodologies will also be affected by underlying data quality, which can be hard to assess, or challenges in accessing data on a timely basis
- Continued (and will continue) to review and develop our approach to data, models, scenarios and methodologies in line with market principles and standards as this subject area matures. The data, models, scenarios and methodologies used (including those made available by third parties) and the judgements, estimates and/or assumptions made in them or by us are rapidly evolving, including scientific evidence relating to climate change and scenarios outlining pathways to net zero, and this may directly or indirectly affect the metrics, data points, targets, convergence points and milestones contained in the climate and sustainability content within the Barclays Bank PLC Annual Report. Further, changes in external factors which are outside of our control such as accounting and/or reporting standards, improvements in data quality, data availability, or updates to methodologies and models and/or updates or restatements of data by third parties, could impact – potentially materially – the performance metrics, data points, targets, convergence points and milestones contained in the climate and sustainability content within the Barclays Bank PLC Annual Report. In future reports we may present some or all of the information for this reporting period (including information made available by third parties) using updated or more granular data or improved models, scenarios methodologies, market practices or standards. Equally, we may need to re-baseline, restate, revise, recalculate or recalibrate performance against targets, convergence points or milestones on the basis of such updated data. Such updated information may result in different outcomes than those included in the Barclays Bank PLC Annual Report. It is important for readers and users of the Annual Report to be aware that direct, like-for-like comparisons of each piece of information disclosed may not always be possible from one reporting period to another. The 'Reducing our financed emissions' section of the Barclays PLC Annual Report highlights where information in respect of a previous reporting period has been updated. Page 86 of the

Schedule to the Directors' report: Sustainability statement

Important Information / Disclaimers

Barclays PLC Annual Report sets out the data sourcing and data quality considerations and our approach to reporting financed emissions data. For operational emissions, this is covered on page 94 of the 2025 Barclays PLC Annual Report.

- Included in the Barclays Bank PLC Annual Report are a number of graphics, infographics, text boxes and illustrative case studies and credentials which aim to give a high-level overview of certain elements of the climate and sustainability content within the Barclays Bank PLC Annual Report and improve accessibility for readers. These graphics, infographics, text boxes and illustrative case studies and credentials are designed to be read within the context of the Barclays Bank PLC Annual Report as a whole.
- There are a variety of internal and external factors which may impact Barclays' reported metrics and progress against targets, convergence points and milestones. We expect to continue to see this impact our metrics in the future as data availability and quality, methodologies, guidance, and best practices for calculating our financed and operational emissions metrics – all of which include differing levels of estimation – continue to evolve and be refined.
- Any information contained or referred to in the Barclays Bank PLC Annual Report, in relation to any actual or potential climate and sustainability objective, issue or consideration is not intended to be relied upon for EU Sustainable Finance Disclosure Regulation classification purposes, EU Taxonomy Regulation classification purposes, or any other classification regimes (unless expressly stated otherwise).

Further Information

List of Disclosure Requirements complied with in our Sustainability Statement

Note:

*denotes that some or all of the disclosure requirement has been incorporated by reference into the sustainability statement. Additionally, information relating to the entity specific matter, cybersecurity, has also been incorporated by reference. Please see the relevant disclosure for further details on where the information can be found.

Ref	Disclosure Requirements:	Page
ESRS 2	General Disclosures	
BP-1	General basis for preparation of the sustainability statement	41
BP-2	Disclosures in relation to specific circumstances	41
GOV-1	The role of the administrative, management and supervisory bodies*	42
G1.GOV-1	The role of the administrative, management and supervisory bodies*	42
GOV-2	Information provided to and sustainability matters addressed by the undertaking's administrative, management and supervisory bodies*	42
GOV-3	Integration of sustainability-related performance in incentive schemes	43
E1.GOV-3	Integration of sustainability-related performance in incentive schemes	43
GOV-4	Statement on due diligence	44
GOV-5	Risk management and internal controls over sustainability reporting	45
SBM-1	Strategy, business model and value chain*	46
SBM-2	Interests and views of stakeholders	48
SBM-3	Material impacts, risks and opportunities and their interaction with strategy and business model(s)	52
E1.SBM-3	Environmental	55
S1.SBM-3	Own Workforce	73
S2.SBM-3	Workers in the Value Chain	89
S3.SBM-3	Affected Communities	90
S4.SBM-3	Consumers and End Users	92
IRO-1	Description of the process to identify and assess material impacts, risks and opportunities	49
IRO-2	Disclosure Requirements in ESRS covered by the undertaking's sustainability statement*	107
E1	Climate Change	
E1-1	Transition plan for climate change mitigation	55
E1-2	Policies related to climate change mitigation and adaptation	58
E1-3	Actions and resources in relation to climate change policies	63
E1-4	Targets related to climate change mitigation and adaptation	65
E1-6	Gross Scopes 1, 2, 3 and Total GHG emissions	66
E1-8	Internal carbon pricing	68
E1.IRO-1	Description of the process to identify and assess material impacts, risks and opportunities	49
S1	Own Workforce	
S1-1	Policies related to own workforce	76, 84

Schedule to the Directors' report: Sustainability statement

Further Information

Ref	Disclosure Requirements:	Page
S1-2	Processes for engaging with own workers and workers' representatives about impacts	73
S1-3	Processes to remediate negative impacts and channels for own workers to raise*	79
S1-4	Taking action on material impacts on own workforce, and approaches to mitigating material risks and pursuing material opportunities related to own workforce, and effectiveness of those actions	78, 86
S1-5	Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities	81, 87
S1-6	Characteristics of the undertaking's employees	74
S1-9	Diversity Metrics	82
S1-10	Adequate wages	88
S1-16	Remuneration metrics (pay gap and total remuneration)	83

List of Key Definitions as captured in the Barclays Climate Change Statement:

Term	Definition
Amazon Biome	Refers to the world's largest rainforest, covering 6.7 million km ² across nine countries (Brazil, Bolivia, Peru, Ecuador, Colombia, Venezuela, Guyana, French Guiana, Suriname). The boundary of the Amazon Biome is defined by the Amazon Network of Georeferenced Socio-Environmental Information (RAISG) as the area formed by: i. the limits of the Amazon biome in Colombia and Venezuela; ii. the limits of the Amazon basin in Ecuador, Peru and Bolivia; iii. the sum of the limits of the basins (Amazonas and Araguaia/Tocantins) and the limits of the administrative Legal Amazon in Brazil; and iv. the whole continental territories of Guyana, French Guyana and Surinam For further information visit: www3.socioambiental.org/geo/RAISGMapaOnline/
Arctic Circle	Refers to the area within the Arctic Circle, which is subject to sea ice, the Arctic National Wildlife Refuge (ANWR) and Coastal Plains.
Biomass	Refers to energy production from biomass and biogas power plants, which includes the thermal combustion of organic energy sources, including energy crops and woody biomass.
Captives	In relation to Thermal Coal Power, captives refers to <i>thermal coal</i> power plants used and managed with the primary purpose of providing power to an industrial or commercial energy user, for their own use. In relation to Thermal Coal Power, captives refers to <i>thermal coal</i> -fired power plants used and managed with the primary purpose of providing power to an industrial or commercial energy user, for their own use. In relation to Thermal Coal Mining, captives refers to <i>thermal coal</i> mines dedicated to providing <i>thermal coal</i> for captive <i>thermal coal</i> -fired power plants.
Client Transition Framework (CTF)	Refers to a tool developed by Barclays designed to support our evaluation of our corporate clients' current and expected future progress as they transition to a low-carbon business model.
Client(s)	Means in relation to any proposed transaction the client entity (or entities) entering into the transaction. Any restrictions relating to the % revenue generated by such clients from <i>thermal coal</i> activities applies to the consolidated revenues of the entity being financed, whether transacting with a Group parent, subsidiary or joint venture.
Directly finance or direct financing	Refers to <i>financing</i> where the use of proceeds is known to be for a particular project.
Energy Group(s)	<i>Groups</i> that have over 20% revenue from upstream oil and gas activities (i.e. exploration, development and production) and/or <i>Groups</i> that are considered to be supermajor or major integrated oil and gas companies.
Engaged in	In relation to Thermal Coal Mining and Thermal Coal Power, a <i>client</i> is defined as "engaged in" if it generates more than 5% of its revenues from <i>thermal coal</i> -fired power generation and/or thermal coal mining. In relation to Amazon Oil & Gas, a client is defined as "engaged in" if more than 5% of its expenditure (CAPEX and OPEX) are on oil & gas projects in the Amazon Biome.
Expansion	Refers to any upstream oil and gas projects with a final investment decision (or equivalent) after 31 December 2021. This includes, but is not limited to, exploration, development, and production.
Extra Heavy Oil	Refers to Crude Oil with an API gravity of less than 15°.

Schedule to the Directors' report: Sustainability statement

Further Information

Term	Definition
Finance or financing	Refers to all primary financing activity through lending (including <i>reserve-based lending agreements</i>), underwriting, arranging and/or distribution of debt or equity, as well as trade and working capital finance and excludes, without limitation, any debt or securities traded or placed through secondary market activity. Barclays may occasionally continue to be involved in primary financing activity for distressed entities such as (without limitation) debt for equity swaps and other recapitalisation activities. When undertaking such activity, Barclays has a responsibility to minimise losses and will look to deploy possible financing options to manage distressed positions and/or maximise recoveries where it is a liability holder. Such financing arrangements are not typically for the purposes of funding the ongoing operational activity of the distressed entity. Accordingly, any such activity is excluded from the definition of financing.
Group(s)	In relation to any entity, the relevant parent company and its consolidated subsidiaries, as a whole.
Hydraulic Fracturing (Fracking)	Refers to an oil and gas well development technique, using a high-pressure injection of liquid into the rock, which creates fracturing and allows natural gas and oil to flow more freely.
Long-lead expansion	Refers to long-lead time upstream oil and gas projects with a final investment decision (or equivalent) after 31 December 2021. The includes, but is not limited to, exploration, development, and production ¹ .
Material expansion	In relation to Thermal Coal Mining, refers to an increase in annual tonnage of <i>thermal coal</i> extracted from existing <i>thermal coal</i> mines, including captives, by more than 20%, measured from a baseline of maximum p.a. tonnage for preceding 3 years reported. In relation to Thermal Coal Power, production refers to an investment to (i) extend the unabated operating lifetime of existing <i>thermal coal</i> power plants including captives or (ii) increase net operational thermal power capacity, including captives, by more than 10% measure from a baseline of maximum capacity for preceding 3 years reported. Material expansion in such cases relates to absolute global increases rather than increases for an entity or Group as a result of mergers or acquisitions.
Materially engaged in – Arctic Circle	For Arctic Circle, Groups are defined as “materially engaged in” if they have over 20% revenue from oil and gas activities in the Arctic Circle or have, after February 2024, approved capital investment for new exploration and production or new pipeline transportation of oil and gas within the Arctic Circle.
Materially engaged in – Fracking	For Hydraulic Fracturing, Groups are defined as “materially engaged in” if they have over 20% revenue from Fracking activities in the UK and Europe.
Mountain Top Removal (MTR) coal mining	Refers to surface coal mining (and the associated reclamation operations) that remove entire coal seams running through the upper fraction of a mountain, ridge, or hill, by removing all of the overburden and creating a level plateau or gently rolling contour with no high-walls remaining – as defined by the Surface Mining Control & Reclamation Act (SMCRA 1977), available at www.gpo.gov/fdsys/pkg/CFR-2012-title30-vol3/pdf/CFR-2012-title30-vol3-sec716-3.pdf
Near-term	2030 or such other near-term target as approved by exception by Barclays Group Sustainability Committee.
New client(s)	Refers to an entity in relation to whom no member of the Group is an existing client of Barclays.
Non-diversified Groups	Refers to non-state-owned Energy Groups that generate almost all of their revenues from upstream oil and gas activities (i.e. exploration, development and production).
Oil Sands	Refers to naturally occurring deposits of water and clay, containing a heavy, viscous oil called bitumen.
Oil Sands exploration and production companies	Refers to Groups that majority own (>50%) or operate oil sands exploration, production and Oil Sands processing assets, excluding those that generate less than 10% of revenue from these activities.
Oil Sands pipelines	Refers to pipelines whose primary use is for the transportation of crude oil extracted from oil sands.
Oil Sands processing	Refers to Canadian oil sands clients that process and upgrade extracted oil sands bitumen in situ only.
Project Finance	Refers to transactions that are a form of loan financing originated by Barclays (either as an agent or as part of a syndicate) where the repayment depends primarily on the project's cash flow and on the collateral value of the project's assets. Project Finance excludes corporate level asset financing.
Reserve-based lending agreement	Refers to a type of asset-based lending whereby a loan is secured by collateral. Reserved-based lending is commonly used in the oil and gas sector, where such loans are secured by an oil and gas field or a portfolio of undeveloped or developed and producing oil and gas assets – known as the borrowing base. These facilities are typically multi-banked, and the asset base is approved subject to majority lender consent.
Revenue from thermal coal-fired power generation	Refers to revenues attributable directly to the generation of electricity from thermal coal and excludes any other revenues including revenues attributable to the transmission and distribution of electricity.

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Further Information

Term	Definition
Sustainable Finance or Transition Finance Transactions	Refers to transactions that qualify under Barclays' Sustainable Finance Framework or Transition Finance Framework as amended from time to time.
Thermal Coal	Thermal coal (also known as steam coal) are grades of coal used for power and heat generation. These typically include lignite and sub-bituminous grades of coal.
Ultra-Deep Water	Refers to waters where the water depth is 1,500 metres or more.

Note

- 1 This definition is informed by the IEA Net Zero Roadmap, 2023 update which highlights that the decline in fossil fuel demand in the IEA NZE Scenario means that no new long-lead time oil and gas projects are approved for development. It also notes that investment in existing fossil fuel supply projects is still needed in the NZE Scenario to ensure that supply does not fall faster than the decline in demand. This includes the use of in-fill drilling and improved management of reservoirs as well as some enhanced oil recovery and tight oil drilling to avoid a sudden near-term drop in supply.

Schedule to the Directors' report: Sustainability statement

Independent Practitioners' Limited Assurance Report to the Directors of Barclays Bank PLC

Independent Practitioner's Limited Assurance Report to the Directors of Barclays Bank PLC

Limited Assurance Report on the Sustainability Statement

Our limited assurance conclusion

We have performed a limited assurance engagement on the sustainability reporting set out in the consolidated Sustainability Statement (hereafter referred to as the 'Sustainability Statement') prepared by Barclays Bank PLC and its consolidated undertakings ("the Entity"), included in section "Schedule to the Directors' Report: Sustainability Statement" of the Directors' Report of the Entity for the year ended 31 December 2025, prepared in accordance with Transparency (Directive 2004/109/EC) Regulations 2007 as amended (the "Regulations").

Based on the procedures performed and evidence obtained, nothing has come to our attention to cause us to believe that the Entity's Sustainability Statement for the year ended is not prepared, in all material respects, in accordance with Regulation 5 of the Regulations, including:

- the compliance of the Sustainability Statement with the European Sustainability Reporting Standards (ESRS);
- the process carried out by the Entity to identify material sustainability related impacts, risks, and opportunities in accordance with ESRS;
- the compliance with the reporting requirements of Article 8 of Regulation (EU) 2020/852 (the "Taxonomy Regulations"); and
- the compliance with the requirement to mark up the Sustainability Statement in accordance with Delegated Regulation (EU) 2019/815 on the specification of a single electronic reporting format.

Basis for our conclusion

We conducted our limited assurance engagement in accordance with International Standard on Assurance Engagements (ISAE) (Ireland) 3000, as adopted by the Irish Auditing and Accounting Supervisory Authority (IAASA). Our responsibilities under this standard are further described in the section titled 'Our responsibilities' in this report.

The procedures in a limited assurance engagement vary in nature and timing from, and are less in extent than for, a reasonable assurance engagement. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed.

Any internal control structure, no matter how effective, cannot eliminate the possibility that fraud, errors or irregularities may occur and remain undetected and because we use selective testing in our engagement, we cannot guarantee that all errors or irregularities, if present, will be detected.

The Sustainability Statement includes prospective information such as ambitions, strategy, plans, expectations and estimates. Prospective information relates to events and actions that have not yet occurred and may never occur. We do not provide any assurance on the assumptions and achievability of this prospective information.

Our responsibilities under this standard are further described in the section titled 'Our responsibilities' in this report.

We have fulfilled our ethical responsibilities under, and we remained independent of the Entity in accordance with, ethical requirements applicable in Ireland, including the International Code of Ethics for Professional Accountants (including International Independence Standards) issued by the International Ethics Standards Board for Accountants (IESBA Code), the independence requirements of the Companies Act 2014 and the Code of Ethics issued by Chartered Accountants Ireland that are relevant to our limited assurance engagement of the Sustainability Statement in Ireland.

Our firm applies International Standard on Quality Management (ISQM) 1 (Ireland), *Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services Engagements*, issued by the IAASA. This standard requires the firm to design, implement and operate a system of quality management, including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our conclusion.

Other matter – Compliance with the requirement to mark-up the Sustainability Statement

We note that Regulation 5 of the Transparency (Directive 2004/109/EC) Regulations 2007 as amended requires us to report on the compliance by the Entity with the requirement to mark-up the Sustainability Statement in accordance with Delegated Regulation (EU) 2019/815 on the specification of a single electronic reporting format requires that the Directors' Report is prepared in the electronic reporting format specified in Article 3 of Delegated Regulation (EU) 2019/815 and shall mark-up the Sustainability Statement. However, at the time of issuing our limited assurance report, the electronic reporting format

Schedule to the Directors' report: Sustainability statement

Independent Practitioners' Limited Assurance Report to the Directors of Barclays Bank PLC

has not been specified nor become effective by Delegated Regulation. Consequently, the Entity is not required to mark-up the Sustainability Statement. Our conclusion is not modified in respect of this matter.

Other information

The directors are responsible for the other information. The other information comprises the Strategic Report, Governance (which also includes the Director's Report), Risk review, and Supplementary Information included in the Entity's Annual Report but does not include the Sustainability Statement, EU Taxonomy Tables and our Limited Assurance Report thereon.

Our limited assurance conclusion on the Sustainability Statement does not cover the other information and we do not express any form of assurance conclusion thereon.

Responsibilities for the Sustainability Statement

As stated in the Directors' responsibility statement on page 39 of the Directors' Report, the Directors confirm, to the best of their knowledge, that the Sustainability Statement referenced in the management report, which is set out on pages 40 to 114 has been prepared in accordance with the European Sustainability Reporting Standards and the specifications adopted pursuant to Article 8(4) of Regulation (EU) 2020/852. For the purposes of this Limited Assurance Report we consider that by providing that confirmation, the Directors are confirming that, to the best of their knowledge, for the purposes of that Sustainability Statement, the Company has, subject to the oversight of the Directors:

- confirmed that the scope of consolidation for the Sustainability Statement is the same as for the financial statements and disclosed to what extent the Sustainability Statement covers the Company's upstream and downstream value chain,
- developed an overview of its activities and business relationships, the context in which these take place and an understanding of its affected stakeholders;
- performed an assessment to identify the material impacts, risks and opportunities to be reported, using appropriate quantitative and/or qualitative thresholds and described its process in the Sustainability Statement;
- where relevant, used reasonable assumptions and estimates when preparing the Sustainability Statement;
- included an overview of the double materiality process in the Sustainability Statement in accordance with the ESRS;
- identified the quantitative metrics and monetary amounts disclosed in the Sustainability Statement that are subject to a high level of measurement uncertainty;
- included in the Sustainability Statement information required under applicable Disclosure Requirements in relation to policies, actions and targets under the ESRS;
- included material value chain information in the Sustainability Statement when this is necessary in accordance with the ESRS;
- included in the Sustainability Statement a mapping of the information provided about the Company's due diligence process;
- maintained adequate records in relation to the preparation of the Sustainability Statement.

Directors are responsible for such internal controls as they determine are necessary to enable the preparation of the Sustainability Statement in accordance with the Regulations so that it is free from material misstatement, whether due to fraud or error.

Terms used above have the meaning given to them in the European Sustainability Reporting Standards.

Inherent limitations in preparing the Sustainability Statement

We obtained limited assurance over the preparation of the Sustainability Statement in accordance with the Transparency (Directive 2004/109/EC) Regulations 2007 as amended. Inherent limitations exist in all assurance engagements.

There are inherent limitations regarding the measurement or evaluation of the Sustainability Statement subject to limited assurance, which have been set out below:

- Estimates, approximations and/ or forecasts used by the Entity in preparing and presenting their Sustainability Statement are subject to significant inherent uncertainty. The extent to which the Sustainability Statement contains, qualitative, quantitative, objective, subjective, historical and prospective disclosures, also represents a significant degree of uncertainty. The selection by management of different but acceptable estimation, approximation or forecasting techniques, could have resulted in materially different amounts or disclosures being reported. For the avoidance of doubt, the scope of our engagement and our responsibilities will not involve us

Schedule to the Directors' report: Sustainability statement

Independent Practitioners' Limited Assurance Report to the Directors of Barclays Bank PLC

performing work necessary for any assurance on the reliability, proper compilation, or accuracy of the prospective information.

- Certain metrics reported within the Sustainability Statement may be subject to inherent limitations, for example, value chain information relating to emissions data provided by third parties.
- Where estimated, approximated and/ or forecast information is provided by management in respect of value chain information, we may be unable to verify or benchmark this information in full.
- When applicable, as described in your disclosures relating to ESRS E1 Climate Change, GHG emissions quantification is subject to significant inherent measurement uncertainty because of incomplete scientific knowledge used to determine emissions factors and the values to combine emissions of different gases. Greenhouse gas quantification is unavoidably subject to significant inherent uncertainty as a result of both scientific and estimation uncertainty. Estimation uncertainty can arise because of:
 - i. The inherent uncertainty in quantifying inputs, such as activity data and emission factors, that are used in mathematical models to estimate emissions (measurement uncertainty);
 - ii. the inability of such models to precisely and accurately characterise under all circumstances the relationships between various inputs and the resultant emissions (model uncertainty); and
 - iii. the fact that uncertainty can increase as emission quantities with different levels of measurement and calculation uncertainty are aggregated (aggregation uncertainty).
- The self-defined applicable criteria and/or Basis of Preparation, the nature of the sustainability matters, and absence of consistent external standards allow for different, but acceptable, measurement methodologies to be adopted which may result in variances between entities. The adopted measurement methodologies may also impact the comparability of sustainability matters reported by different organisations and from year to year within an organisation as methodologies develop.
- The Sustainability Statement has been prepared in a context of new sustainability reporting standards requiring entity-specific and temporary interpretations and addressing inherent measurement or evaluation uncertainties.
- The comparability of sustainability information between entities and over time may be affected by the lack of historical sustainability information in accordance with the ESRS and by the absence of a uniform practice on which to draw, to evaluate and measure this information. This allows for the application of different, but acceptable, measurement techniques, especially in the initial years.
- The Sustainability Statement may not include every impact, risk and opportunity or additional entity-specific disclosure that each individual stakeholder (group) may consider important in its own particular assessment.

Our responsibilities

Our objectives are to plan and perform the assurance engagement to obtain limited assurance about whether the Sustainability Statement in scope of our conclusion, is free from material misstatement, whether due to fraud or error, and to issue a Limited Assurance Report that includes our conclusion. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence decisions of users on the basis of the Sustainability Statement.

As part of a limited assurance engagement in accordance with ISAE (Ireland) 3000, we exercise professional judgment and maintain professional skepticism throughout the engagement. We also:

- Perform risk assessment procedures, including obtaining an understanding of internal controls relevant to the engagement, to identify disclosures where material misstatements are likely to arise, whether due to fraud or error, but not for the purpose of providing a conclusion on the effectiveness of the Entity's internal control.
- Design and perform procedures responsive to where material misstatements are likely to arise in the Sustainability Statement. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Design and perform procedures to evaluate whether the Sustainability Statement has been prepared in accordance with the ESRS, which includes the process carried out by the Entity to identify material sustainability related impacts, risks and opportunities.
- Design and perform procedures to evaluate whether the Sustainability Statement has been prepared in compliance with the Taxonomy Regulations.

Schedule to the Directors' report: Sustainability statement

Independent Practitioners' Limited Assurance Report to the Directors of Barclays Bank PLC

- With respect to our conclusion in respect to the Entity's reporting obligations and responsibility to mark up the Sustainability Statement in accordance with Delegated Regulation (EU) 2019/815 on the specification of a single electronic reporting format, we assess whether we have become aware of anything to suggest that the Sustainability Statement has not been prepared, in all material respects in this specified format. However, as explained in the 'Other matter- Compliance with the requirement to mark-up the Sustainability Statement' section of our assurance report, the Entity is not currently required to mark-up the Sustainability Statement.

Summary of the work performed

A limited assurance engagement involves performing procedures to obtain evidence about the Sustainability Statement. The nature, timing and extent of procedures selected depend on professional judgment, including the identification of disclosures where material misstatements are likely to arise, whether due to fraud or error, in the Sustainability Statement.

The procedures in a limited assurance engagement vary in nature and timing from, and are less in extent than for, a reasonable assurance engagement and depend on professional judgment, including the identification of disclosures where material misstatements are likely to arise, whether due to fraud or error, in the Sustainability Statement. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed.

In conducting our limited assurance engagement, the procedures we have performed included the following:

- Obtaining an understanding of the Sustainability Statement reporting process performed by the Entity, including the preparation of the Sustainability Statement.
- Obtaining an understanding of the Entity's double materiality assessment process by performing inquiries to understand the sources of the information used by management and reviewing the Entity's internal documentation of this process; and evaluating whether the evidence obtained from our procedures about the Entity's process is consistent with the description of the process set out in the Sustainability Statement;
- Performing risk assessment procedures to understand the Entity and its environment, including the Entity's reporting boundary, its value chain information and identify risks of material misstatement;
- Designing and performing further assurance procedures (which included inquiries and analytical procedures) to respond to the identified risks of material misstatement; and
- Evaluating the overall presentation of the Sustainability Statement, and considered whether the Sustainability Statement as a whole, including the sustainability matters and disclosures, is disclosed in accordance with the applicable criteria.

The purpose of our limited assurance work and to whom we owe our responsibilities.

Our report is made solely in accordance with Transparency (Directive 2004/109/EC) Regulations 2007 as amended to the Directors of the Entity.

Our assurance work has been undertaken so that we might state to the Directors those matters we are required to state to them in a limited assurance report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Entity and its Directors, as a body, for our limited assurance work, for this report, or for the conclusions we have formed.

Conor Holland
For and on behalf of
KPMG
1 Harbourmaster Place
IFSC
Dublin 1
D01 F6F5
Ireland

9 February 2026

Governance

Other governance

Managing data privacy, security and resilience

We have strict policies to protect privacy and keep data secure.

Data privacy

Many of the jurisdictions in which the Barclays Bank Group operates have privacy and data protection laws in effect. While these may vary in detail, generally they reflect internationally recognised privacy principles found in the UN's Universal Declaration of Human Rights, the European Convention on Human Rights and the European Union's Charter of Fundamental Rights.

We strive to operate in accordance with these standards and recognise that respect for privacy rights is a key element of good corporate governance and social responsibility. We strive to be transparent about our use of personal information when delivering our products and services and acknowledge the responsibility we have for safeguarding privacy.

As the Barclays Bank Group increasingly adopts digital solutions to deliver next-generation consumer financial services, we appreciate our clients, customers and others may wish to understand how this may impact the use of their personal information. A globally applicable Barclays Data Privacy Policy and associated Standards set out what is expected of all Barclays Bank Group businesses and functions when collecting, using and sharing personal information.

To promote clear accountability, the Data Privacy Policy and associated Standards include responsibilities for the Business Senior Manager who has ultimate responsibility for the processing of personal data within that business. An agreed assurance programme measures compliance with the Data Privacy Policy and associated Standards. Barclays Bank Group colleagues must complete annual data privacy training which is reviewed and refreshed each year, with additional tailored training provided as necessary. The Group Data Protection Officer (GDPO) reports on data privacy issues to the highest level of management.

Through client, customer and employee privacy notices, we endeavour to explain clearly and openly how and why we use personal information and the legal grounds we rely upon. When we receive complaints, we seek to address these fairly. Several jurisdictions also provide individuals with specific rights, such as the right to have access to or request deletion of their personal information.

Barclays Bank PLC provides a publicly accessible mailbox and secure channels via its website to enable individuals to make their privacy requests and receive responses from a dedicated team.

Barclays Bank PLC requires its suppliers to comply with data protection and privacy laws, regulations and standards relevant to the jurisdictions in which they operate and relevant to any transferred personal data. Our requirements are set out and principally managed through our supplier contracts, which require that suppliers commit to ensuring personal data shared with them is safeguarded and respected throughout the supply chain.

Data security

As detailed below, Barclays' Chief Information Security Office operates controls aimed at mitigating cybersecurity-related risks and understanding internal and external threats.

Barclays deploys controls designed to protect its sensitive information and the data that has been entrusted to us by customers and clients, in line with our Standards, taking into account findings from internal and external reviews of our controls.

Barclays seeks to protect the security of data we share with third parties, including by conducting remote and on-site inspections of certain suppliers to review their controls against contractual obligations and industry standards. A Third Party Service Provider Framework is in place which sets out control requirements for business units to manage the operational, reputational, conduct and legal risks to Barclays through its supply chain. The nature of such controls is described in further detail below.

In operating under a hybrid working model, we have continued to educate colleagues on cybersecurity risks in order to help minimise risks related to remote working, such as data exploitation or leakage.

Barclays works with industry bodies and cybersecurity vendors to learn and evolve from risk events in other organisations. Our teams use such intelligence to simulate plausible cybersecurity and data compromise scenarios that allow us to exercise, review and improve our response and recovery plans in preparation for evolving threats.

Operational resilience

The stability and resilience of our systems, workforce and premises, and the continued provision of third-party services, all have a direct impact on the quality of our service.

Resilience and security are key priorities for the Board. Barclays continues to strengthen its resilience posture and is focused on its ability to recover from a range of 'severe but plausible' scenarios which could cause detriment to its customers and

Governance

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clients and the broader financial market. To enable this, we define Group-wide business services and their interdependencies across the Group, including technology, third-party services and our people and premises. Recovery plans and business response plans have been developed for a range of different disruption events, such as cyber or data integrity disruptions, technology failures, or the unavailability of our colleagues. These recovery plans are reviewed and validated through regular testing which supports our aim to reduce the volume and impact of operational incidents year-on-year. We also conduct regular assurance on third parties to assess their capability.

Operational resilience is delivered through an established and robust Operational Resilience Framework which is underpinned by a Policy, Standards, methodologies and procedures, and is aligned to the requirements and expectations defined by our regulators. Our Operational Resilience Framework is integrated with Barclays' Enterprise Risk Management Framework (ERMF) and sets the tone from the top. The Standards are embedded within the Barclays Controls Framework and provide a consistent approach across the Group.

The Operational Recovery Planning Policy and Standards drive the identification of the business services that are most important to Barclays, its customers, clients and the markets in which Barclays operates. The Standards also define requirements for setting recovery targets, mapping of dependencies, planning and testing.

Resilience and security are the responsibility of everyone within the Group. All permanent employees are required to complete annual mandatory training on these topics.

Chief Information Security Office

Barclays' Chief Information Security Office exists to keep the bank, its customers, clients, and colleagues safe and secure, and to support the resilience of our operations. It supports Barclays' ability to operate in a protected and secure environment, and actively promotes a culture of security as everyone's responsibility.

The Group Chief Information Security Officer (CISO) heads Barclays' Chief Information Security Office. Barclays' Group CISO reports directly to the Group Co-Chief Operating Officers (members of the Group Executive Committee). Barclays' Group CISO is responsible for assessing and managing Barclays' risks from cybersecurity threats, and overseeing key areas that include cybersecurity operations (including cyber threat intelligence), proactive defence (which includes penetration testing and vulnerability management), security architecture and engineering, cyber posture and assurance (which includes third-party security management), data security, and identity and access management. The Group CISO is also supported by a team of CISOs and BISOs (Business Information Security Officers) for business units, regions and jurisdictions.

Chief Information Security Office leaders manage Barclays' cybersecurity activities and are accountable for the day-to-day monitoring of residual risk, identification of gaps, oversight of remedial actions and implementation of strategy. The Group CISO has more than 25 years of experience managing cybersecurity for global financial institutions, leading large-scale initiatives across all cybersecurity domains, including cyber defence, application security, vulnerability assessment, data protection, third party risk, cyber resilience, and security engineering. The Group CISO and supporting leadership team collectively have advanced degrees and senior level experience managing cybersecurity risks in a variety of sectors, including those that represent critical national infrastructure, such as health care, telecommunications and financial institutions. They are supported by teams of subject matter experts and analysts in a variety of specialisations.

Supporting the delivery of Barclays' cyber and information security strategy are multiple management committees, forums, and councils, including Cyber Control Councils for each of the 12 Standards supporting the Group Information and Cybersecurity Policy (as more fully described below). These Cyber Control Standards Councils feed into the Cybersecurity Risk Category Controls Forum, the Group Controls Committee, the Group Risk Committee, and ultimately the Board Risk Committee. In addition, the Group Co-Chief Operating Officers hold business reviews that include management updates on the status of cybersecurity across the Group, and a standalone Chief Operating Office Controls Forum that also escalates to the Group Controls Committee. Barclays' Operational Risk and Internal Audit functions provide independent views of cyber risk management from second and third line of defence perspectives.

Barclays assesses its cybersecurity activities against the industry-recognised National Institute of Standards and Technology (NIST) Cybersecurity Framework. Under Barclays' ERMF, there is an Information and Cyber Security Policy supported by 12 Standards which define the minimum requirements for cybersecurity matters across the Barclays Group.

The Policy is embedded into the Group's ERMF with Standards to implement cybersecurity risk management. The Standards cover the following topics: Cryptography, Network Security, Security Configuration, Data Loss Prevention, Vulnerability Management, Data Security, Incident Response & Threat Intelligence, Threat Management, Governance, Identity & Access Management, Third Party Information and Cyber Security, and Application Security. The Group CISO approves and is accountable for the Information and Cyber Security Policy and associated Standards. As part of our programme, we periodically assess our performance against these Standards and identify areas for improvement and remediation.

The Barclays Group Board Risk Committee, within its oversight of Operational Risk as a principal risk, is responsible for overseeing risks arising from cybersecurity threats. In 2025, the Group CISO provided updates to the Barclays Group Board Risk Committee about cybersecurity risks facing the Group. Such updates addressed topics that included the cybersecurity threat environment and ransomware attack preparedness, measurement of Barclays' risk and control posture, cybersecurity incident trends and Barclays' response, plans to improve Barclays' ability to recover from a material cyber attack scenario,

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Barclays' vulnerability management, privileged access to Barclays' systems, and regulatory developments. In addition, the Group Co-Chief Operating Officers provided updates to the Board detailing the progress being made to strengthen cybersecurity capabilities and reduce risk across the organisation as the threat environment continues to evolve.

Engaging external security consultants to conduct penetration tests, attack simulations and other reviews to independently benchmark Barclays' cybersecurity capabilities is an important part of our cybersecurity programme that allows us to identify and remediate cybersecurity weaknesses. In 2025, individual testing activities were undertaken as part of the Chief Information Security Office's threat led assurance model to assess Barclays' cyber defence capabilities.

Barclays also engages and partners with third-party security providers on certain activities such as cyber recovery, software vulnerability scanning, penetration testing, distributed denial of service (DDoS) attack prevention, phishing simulations, third-party risk management, incident response, threat intelligence, fraud prevention, and industry benchmarking.

An important part of Barclays' security and cybersecurity environment is its Joint Operations Centres (JOCs), which operate 24/7 from three globally strategic locations, linking Barclays' security professionals and incident response managers with control functions and business unit representatives. The JOCs deliver security responsiveness by uniting core security functions and providing a central information and coordination point for security incident management and escalation, based on defined severity levels. During escalating, significant incidents, the Barclays Crisis Management Team monitors the response by Incident Management Teams, Resilience Leads, and others, and will invoke the relevant Barclays Crisis Leadership Teams (CLTs) if the severity of the incident so requires. CLTs are business-led teams at entity, business unit, and regional levels that provide strategic leadership in a crisis, maintain incident management oversight, and coordinate key decision making.

To manage security risk from Barclays' third-party suppliers, many of which perform critical services for Barclays' businesses and handle sensitive Barclays data, we have a set of contractual Information and Cyber Security Supplier Control Obligations that are based on requirements in our internal Standards. Using our dedicated Third Party Security Management team's capabilities, as well as third-party tooling, we conduct assurance over our third parties and their respective suppliers and partners against those obligations. Activity is structured on a risk-based approach that prioritises suppliers that underpin our most important business services. Identified issues are managed formally, but we also engage proactively with third-party suppliers to help them strengthen their security and resilience posture. To recognise the risk presented by third-party suppliers, which are increasingly targeted by threat actors, we regularly alert third-party suppliers where we anticipate that they may be more vulnerable and should take preventative action.

Notwithstanding such third-party risk management efforts, Barclays does not have direct control over the cybersecurity of the systems of its third parties and their respective suppliers and partners, limiting the Group's ability to effectively protect and defend against certain threats.

Certifications

Barclays holds four ISO27001 certifications (i.e., the international standard on how to manage information security), the Cyber Essentials/Cyber Essentials Plus Certification, and a UK certification for Digital Banking.

Training

Barclays requires colleagues to complete mandatory information security training at least annually. Topics covered include incident reporting procedures, protecting sensitive data, device security, data leakage prevention, social engineering awareness, and password management. Consequences of non-completion may include disciplinary action and impact to compensation.

Barclays performs a number of key activities related to identifying, investigating, responding to and containing phishing, including an operational process that provides education and awareness through phishing simulation exercises, and management interventions for employees who demonstrate susceptibility to phishing lures. To report suspected phishing to Barclays' JOCs for further investigation, colleagues have a reporting tool integrated into their email account and receive feedback on whether the reported email was suspect or genuine. Barclays uses metrics to continually refine its phishing education and training.

Risk review

Contents

The management of risk is a critical underpinning to the execution of the Barclays Bank Group's strategy. The material risks and uncertainties the Barclays Bank Group faces across its business and portfolios are key areas of management focus.

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Risk review

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Risk review

Risk management

Barclays' risk management strategy

The Barclays Bank Group's risk management strategy

This section introduces the Barclays Bank Group's approach to managing and identifying risks, and for fostering a sound risk culture.

Enterprise Risk Management Framework (ERMF)

The ERMF governs the way in which the Barclays Bank Group identifies and manages its risks. It outlines the highest level arrangements for risk management by setting out standards, objectives and key responsibilities of different groups of employees of the Barclays Bank Group. It is approved by the Barclays PLC Board on recommendation of the Barclays Group Board Risk Committee and the Barclays Bank Group Chief Risk Officer (CRO); it is then adopted by the Barclays Bank Group.

The ERMF sets out:

- risk management and segregation of duties: the ERMF defines a Three Lines of Defence model
- principal risks faced by the Barclays Bank Group which guide the organisation of risk management processes
- risk appetite requirements: this helps define the level of risk we are willing to undertake in our business
- roles and responsibilities for key risk management and governance.

The ERMF is complemented by frameworks, policies and standards which are mainly aligned to individual principal risks:

- frameworks cover high level principles guiding the management of principal risks, and set out details of which policies are needed, and high level governance arrangements
- policies set out the control objectives and high level requirements to address the key principles articulated in their associated frameworks. Policies state 'what' those within scope are required to do
- standards set out detail of the control requirements to ensure the control objectives set by the policies are met.

Segregation of duties - the "Three Lines of Defence" model

The ERMF sets out a clear lines of defence model. All colleagues are responsible for understanding and managing risks within the context of their individual roles and responsibilities, as set out below.

- The first line consists of all employees engaged in the revenue generating and client facing areas of the Barclays Bank Group and all associated support functions, including Finance, Operations, Treasury and Human Resources. The first line is responsible for identifying and managing the risks in which they are engaged, operating within applicable limits and developing a control framework, and escalating risk events or issues as appropriate. Employees in the first line have primary responsibility for their risks and their activities are subject to oversight from the relevant parts of the second and third lines.
- The second line comprises of the Risk and Compliance functions. The role of the second line is to establish the limits, rules and constraints, and the frameworks, policies and standards under which all activities shall be performed, consistent with the risk appetite of the Barclays Bank Group, and to oversee the performance of the Barclays Bank Group against these limits, rules and constraints. Controls for first line activities will ordinarily be established by the control officers operating within the control framework of the Barclays Bank Group. These controls will remain subject to oversight by the second line.
- The third line of defence is Internal Audit, and is responsible for providing independent assurance over the effectiveness of governance, risk management and controls over current, systemic and evolving risks.
- The legal function provides support to all areas of the Barclays Bank Group and is not formally part of any of the three lines of defence. The Legal function is responsible for proactively identifying, communicating and providing legal advice on applicable laws, rules and regulations. Except in relation to the legal advice it provides or procures, it is subject to second line oversight with respect to its own operational and compliance risks, as well as with respect to the legal risk to which the Barclays Bank Group is exposed.

Principal risks

The ERMF identifies ten principal risks (see managing risks in the strategic report section) namely: climate risk, credit risk, market risk, treasury and capital risk, operational risk, model risk, compliance risk, financial crime risk, reputation risk and legal risk. Financial crime risk was elevated to a principal risk in the ERMF, effective from 1 January 2025. Previously, financial crime risk was managed as part of compliance risk. Recognising the increased external threat of financial crime, this change will enhance transparency and visibility of financial crime risk within the Barclays Bank Group and reinforce independent assessment, management and oversight of financial crime risk.

Each of the principal risks is overseen by an accountable executive at the Barclays Group level who is responsible for overseeing and/or assigning responsibilities for the framework, policies and standards that set out associated responsibilities and expectations, and detail the related requirements around risk management. In addition, certain risks span across more than one principal risk.

Risk review

Risk management

Barclays' risk management strategy

Risk Appetite

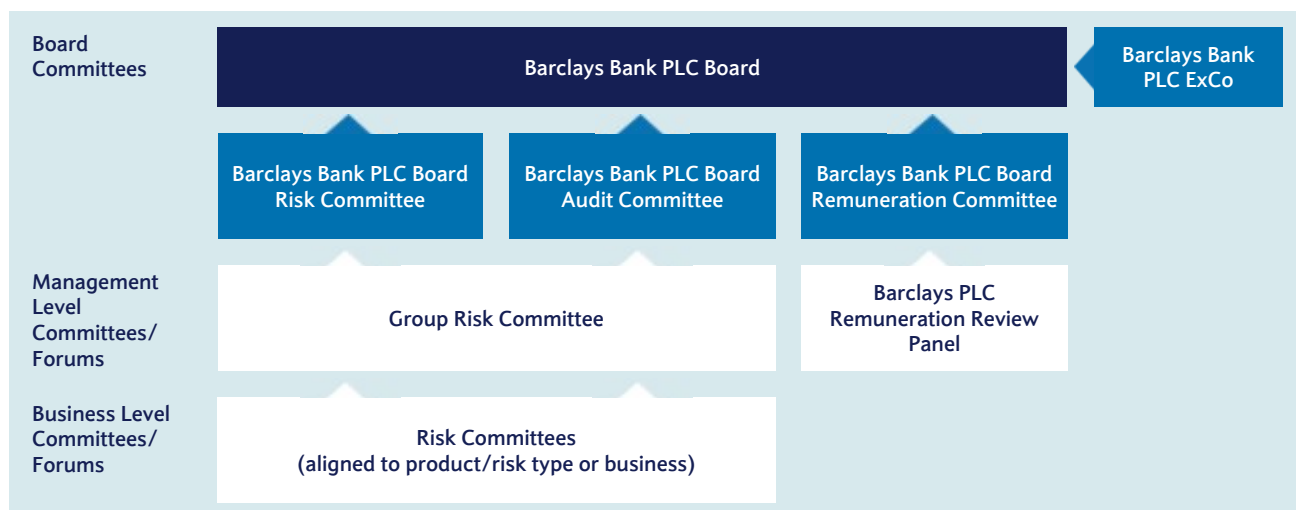
Risk Appetite is defined as the level of risk which the Barclays Bank Group is prepared to accept in carrying out its activities. It provides a basis for ongoing dialogue between management and Board with respect to the Barclays Bank Group's current and evolving risk profile, allowing strategic and financial decisions to be made on an informed basis.

Risk appetite is approved by the Barclays PLC Board in aggregate and disseminated across legal entities and businesses, including the Barclays Bank Group. The Barclays Bank PLC Board cannot approve a higher risk appetite than that determined by the Barclays PLC Board without the approval of the Barclays PLC Board but may choose to operate at a lower level of risk appetite than that approved by the Barclays PLC Board.

The Barclays Group total risk appetite and its allocation to the Barclays Bank Group are supported by limits to enable and control specific exposures and activities that have material concentration risk implications.

Risk Committees

The Barclays Bank Group's various risk committees consider risk matters relevant to their business, and escalate as required to the Barclays Group Risk Committee (GRC), whose Chair, in turn, escalates to the Barclays Bank PLC Board Risk Committees and the Barclays Bank PLC Board.



The Barclays Bank PLC Board receives regular information on the risk profile of the Barclays Bank Group, and has ultimate responsibility for approval of risk appetite and capital plans, within the parameters set by the Barclays PLC Board. The Barclays Bank PLC Board is also responsible for the adoption of the ERMF.

Further, there are two Board-level committees which oversee the application of the ERMF and review and monitor risk across the Barclays Bank Group. These are: the Barclays Bank PLC Board Risk Committee and the Barclays Bank PLC Board Audit Committee. Additionally, the Barclays Bank PLC Board Remuneration Committee oversees pay practices focusing on aligning pay to sustainable performance:

- **The Barclays Bank PLC Board Risk Committee (BRC):** The BRC monitors Barclays Bank Group's risk profile against the agreed appetite. Where actual performance differs from expectations, the actions taken by management are reviewed to ascertain that the BRC is comfortable with them. The Barclays Bank Group CRO regularly presents a report to the BRC summarising developments in the risk environment and performance trends in the key portfolios. The BRC also reviews certain key risk methodologies, the effectiveness of risk management, and the Barclays Bank Group risk profile, including the material issues affecting each business portfolio and forward risk trends. The committee also commissions regular updates and in-depth analyses of significant risk topics, which are presented by business heads, the Group CRO or senior risk managers.
- **The Barclays Bank PLC Board Audit Committee (BAC):** The BAC receives regular reports on the effectiveness of internal control systems, on material control issues of significance, and on accounting judgements, including a review of the adequacy of impairment allowances.
- **The Barclays Bank PLC Board Remuneration Committee (RemCo):** The RemCo receives proposals on ex-ante and ex-post risk adjustments to variable remuneration based on risk management performance including events, issues and the wider risk profile. These inputs are considered in the setting of performance incentives.

Risk review

Risk management

Barclays' risk management strategy

The GRC is the most senior executive body responsible for reviewing and monitoring the risk profile of the Barclays Bank Group. This includes coverage of all principal risks (with the exception of certain decisions on matters impacting reputation risk), and any other material risks, to which the Barclays Bank Group is exposed. The GRC reviews and recommends the proposed risk appetite and associated limits to the BRC. The committee covers all business units and legal entities of the Barclays Bank Group.

Risk themes and horizon scanning reports, highlighting emerging and forward looking risks, are regularly presented to the BRC for discussion and analysis. The themes are derived and quantified from principal risk horizon scanning and risk registers, complemented by senior management and BRC input. Watching brief items are collated and informed along the risk themes as a list of risks which may have a more limited impact and likelihood in the near-term but have the potential to develop and meet the risk theme definition in the future. The inventory of risk themes is updated regularly with key changes presented to the BRC. Key risk themes are a subset of the risk themes considered most topical at that moment and material to the Barclays Bank Group considering the external environment. The BRC semi-annually reviews and discusses a report entitled 'Key Risk Themes and Management Actions'.

Barclays' risk culture

Risk culture can be defined as the norms, attitudes and behaviours related to risk awareness, risk taking and risk management. This is reflected in how the Barclays Bank Group identifies, escalates and manages risk matters.

The Barclays Bank Group is committed to maintaining a robust risk culture in which:

- management expect, model and reward the right behaviours from a risk and control perspective; and
- colleagues identify, manage and escalate risk and control matters, and meet their responsibilities around risk management.

The Barclays Group CEO works with the Executive Management to embed a strong risk culture within the Barclays Group, with particular regard to the identification, escalation and management of risk matters, in accordance with the ERMF. This is supported by our Purpose, Values and Mindset, as well by as by setting a standard of consistent excellence. Specifically, all employees regardless of their positions, functions or locations must play their part in the Barclays Bank Group's risk management. Employees are required to be familiar with risk management policies which are relevant to their responsibilities, know how to escalate actual or potential risk issues, and have a role-appropriate level of awareness of the risk management process as defined by the ERMF.

Our Code of Conduct – the Barclays Way

Globally, all colleagues must attest to the "Barclays Way", our Code of Conduct, and comply with all frameworks, policies and standards applicable to their roles. The Code of Conduct outlines the Purpose, Values and Mindset which govern our 'Barclays Way' of working across our business globally. It constitutes a reference point covering all aspects of colleagues' working relationships, and provides guidance on working with other Barclays employees, customers and clients, governments and regulators, business partners, suppliers, competitors and the broader community. See home.barclays/sustainability/esg-resource-hub/statements-and-policy-positions/ for more details.

Risk review

Material existing and emerging risks

Material existing and emerging risks to the Barclays Bank Group's future performance

The Barclays Bank Group has identified a broad range of risks to which its businesses are exposed. Material risks are those to which senior management pay particular attention and which could cause the delivery of the Barclays Bank Group's strategy, results of operations, financial condition and/or prospects to differ materially from expectations. Emerging risks are those which have unknown components, the impact of which could crystallise over a longer time period. The factors set out below should not be regarded as a complete and comprehensive statement of all the potential risks and uncertainties which the Barclays Bank Group faces. For example, certain other factors beyond the Barclays Bank Group's control, including escalation of global conflicts, acts of terrorism, natural disasters, pandemics and similar events, although not detailed below, could have a similar impact on the Barclays Bank Group.

Material existing and emerging risks potentially impacting more than one principal risk

i) Business conditions, general economy and geopolitical issues

The Barclays Bank Group's operations are subject to changes in global and local economic and market conditions, as well as geopolitical developments, which may have a material impact on the Barclays Bank Group's business, results of operations, financial condition and prospects.

A deterioration in global or local economic and market conditions may result in (among other things): (i) deteriorating business, consumer or investor confidence and lower levels of investment and productivity, which in turn may lead to lower customer and client activity, including lower demand for borrowing; (ii) higher default rates, delinquencies, write-offs and impairment charges as borrowers struggle with their debt commitments; (iii) subdued asset prices, which may impact the value of collateral held by the Barclays Bank Group and require the Barclays Bank Group and its clients to post additional collateral in order to satisfy margin calls; (iv) mark-to-market losses in trading portfolios resulting from changes in factors such as creditworthiness, securities prices and solvency of counterparties; and (v) revisions to calculated expected credit losses (ECLs) leading to increases in impairment allowances.

In addition, the Barclays Bank Group's ability to borrow from other financial institutions or raise funding from external investors may be affected by deteriorating economic conditions and market disruption. Geopolitical events can also cause financial instability and affect economic growth.

During 2025, global economic conditions have been marked by uncertainty, driven by a rapidly developing geopolitical environment, the impact of US trade policies, diverging monetary policies, continued economic slowdown in China and structural economic issues in the UK and the EU. Without limitation, the Barclays Bank Group has observed the following macroeconomic risk themes/trends:

- Limitations on economic output growth, mostly driven by: (i) tight labour markets and low productivity growth in the main western economies; (ii) large fiscal deficits; and (iii) uncertainty about the impact of trade policies, export controls and tariff implementation across the globe dampening business and customer sentiment and economic activity through constrained consumer spending and business investment outside of sectors such as artificial intelligence (AI) and defence. These factors could lead to economic stagnation or even recessionary dynamics across Europe, the UK and the US which could have a material adverse effect on the Barclays Bank Group's results of operations and profitability.
- In the US, executive and legislative initiatives in areas such as trade, foreign policy, energy, immigration, federal government spending, regulatory and institutional change, among others, has led to uncertainty about the long-term net impact of these factors on the wider economy and the overall effects on prices, labour markets, consumer spending, business sentiment and fiscal balance. A significant proportion of the Barclays Bank Group's portfolio is located in the US, including a major credit card portfolio and a range of corporate and investment banking exposures. If the aforementioned factors have a long-term negative impact on interest rates, inflation, business performance, employment, competitiveness and economic output, this could lead to higher levels of impairment and/or lower revenues, which could have a material adverse effect on the Barclays Bank Group's results of operations and profitability.
- The US administration's approach to foreign policy and regulatory and institutional frameworks has departed from that of previous administrations. The challenges to the status quo could have long-term impacts on the US and its trading partners, and there is a risk that this will result in disruption to the long-term standing of the US. A potential deterioration of the perceived US exceptionalism that drives demand for US assets and sustains the USD's role as a reserve currency could materialise in episodes of uncertainty and volatility in global financial markets that could negatively impact the business environments the Barclays Bank Group and its clients operate in.
- The adoption of tariffs and other protectionist measures and countermeasures could further complicate the economic outlook for the EU, China and other export-driven emerging markets given their trade surpluses. A worsening economic outlook for these markets could have a material adverse effect on the Barclays Bank Group's business in the affected regions.

Risk review

Material existing and emerging risks

- The EU faces a number of structural challenges and is vulnerable to adverse geopolitical developments. Key difficulties for the EU include heavily indebted governments, a lack of productivity growth, tight labour markets and deteriorating demographics. In addition, some of the EU's key economic sectors, including automobiles, chemicals and renewables among others, are under pressure from competitive imports and changing trade patterns. Uncertainty surrounding NATO's future and pressure to increase spending add to the vulnerability. A deterioration in these difficulties could adversely impact the Barclays Bank Group's business in the EU.
- In China, while headline GDP growth in 2025 has been broadly in line with its target of around 5%, recently released economic data has shown a weakening with a continued property market slump and a more challenging environment for its export-driven sectors while concerns remain over the longer term risks of deflation, weak domestic demand and an ageing demographic, which will have all led to a more uncertain outlook. The combination of these risks pressuring the financial sector and precipitating wider systemic concerns could affect the exposures of the Barclays Bank Group across global markets which are subject to contagion effects.
- The UK, which is a relevant corporate banking market for Barclays Bank Group, faces a number of structural challenges. While the Labour government has identified economic growth as a priority, growth has so far remained subdued, falling short of market expectations. Furthermore, the fiscal position of the UK has remained challenging and there are risks of further economic headwinds, such as supply chain disruptions and trade fragmentation leading to higher inflation, which could have a material adverse effect on the Barclays Bank Group's results of operations and profitability. The long-term impact of the Labour government's fiscal policy could be detrimental for growth as well as for business and consumer sentiment, with risks to the Barclays Bank Group's corporate businesses.
- Weak economic sentiment is also reflected in the market's view of UK assets, widening spreads for UK government and UK corporate debt, softening of the housing market and lowering valuations of UK equities compared with non-UK peers. This may have a material adverse impact on the collateral held by the Barclays Bank Group in relation to its secured lending portfolios and may result in higher impairments and capital requirements. The UK stock market in particular continues to face structural headwinds, ranging from economic uncertainty and sectoral concentration to limited domestic capital deployment and regulatory constraints, potentially undermining its competitiveness and investor appeal, leaving the Barclays Bank Group, and its large UK corporate clients, indirectly exposed to potential risks relating to capital access and strategic positioning.
- The loss of 'the presumption of conformity' is widely reported to have raised costs for UK customers and clients exporting to the EU as it results in their products no longer being presumed to be in line with corresponding EU rules. This, together with the risk of regulatory divergence between the UK and the EU, has had, and may continue to have, an adverse impact on both the Barclays Bank Group's EU and UK operations. Efforts to recalibrate the relationship between both parties are ongoing, with the first review of the EU-UK Trade and Cooperation Agreement (TCA) expected in 2026. The trend for the EU-UK relationship is shifting from a minimalist post-Brexit stance toward structured cooperation on trade, climate, security, mobility and regulatory alignment, but risks to materialisation remain.

A deterioration in the aforementioned economic and business environment could result in (among other things):

- A prolonged slowdown in the markets where the Barclays Bank Group operates, with lower economic output, higher unemployment, and depressed property prices, which could lead to increased impairments in relation to a number of Barclays Bank Group's portfolios including the unsecured lending portfolio (credit cards) and real estate exposures.
- Increased market volatility (in particular in currencies and interest rates), which could impact the trading book positions and affect the underlying value of assets held in the banking book, including securities held by the Barclays Bank Group for liquidity purposes. In addition, market confidence and depositor perceptions of banking fragility as seen in certain institutions in 2023 could increase the severity and velocity of deposit outflows, impacting the Barclays Bank Group's liquidity position;
- A credit rating downgrade for one or more members of Barclays Bank Group's parent entity, BPLC (either directly or indirectly as a result of a downgrade in the UK sovereign credit ratings), which could significantly increase Barclays Bank Group's cost of funding and/or reduce its access to funding, widen credit spreads and have a material adverse impact on Barclays Bank Group's interest margins and liquidity position; and/or
- A market-wide widening of credit spreads or reduced investor appetite could negatively impact Barclays Bank Group's cost of and/or access to funding.

In addition to weak/unfavourable economic conditions, other risk factors could adversely affect the business environment in which Barclays Bank Group operates:

- During 2025, financial market volatility and risk of disorderly markets have been driven by developments in the technological sector, where the deployment of AI and high expectations of returns have led to historic levels of capital expenditure and equity valuations on a select few, mostly US, corporations. Concentration risk and a potential valuation bubble if reality fails to meet expectations could lead to strong market corrections and negative wealth

Risk review

Material existing and emerging risks

effects, which, in turn, may impact the wider economy and cause a deterioration in the business and economic environment.

- Economic activity is largely dependent on data, technology, networks, infrastructure and cybersecurity, heightening the risk and potential impact of service disruptions, either accidental or driven by bad actors such as cybercriminals or state sponsored actors using asymmetric tactics.
- Financial institutions are often perceived to have a role in global developments or events like geopolitical conflicts, climate change, digitalisation, fraud, money laundering, and sanctions, which give rise to reputational risks which are complicated to navigate.
- Disruptions to global supply chains have underlined the potential for further adverse impacts on the markets in which the Group operates. Further geopolitical deterioration, particularly in Ukraine, the Middle East and/or South China Sea, and trade protectionism related de-coupling of production chains could also have a negative impact on the markets in which the Group operates.
- Diverging financial, conduct and prudential regulations between the jurisdictions where the Group operates increase the complexity and costs of compliance. In particular, increasing uncertainty and regulatory divergence between different jurisdictions relating to climate risk will add complexity and increase costs for compliance against varying regulatory expectations whilst also making it difficult for the Group to effectively and consistently manage stakeholder expectations and climate risks across its portfolios.

The circumstances mentioned above could have a material adverse effect on the Barclays Bank Group's business, results of operations, financial condition, prospects, liquidity, capital position and credit ratings (including potential credit rating agency changes of outlooks or ratings), as well as on the Barclays Bank Group's customers, clients, employees and suppliers.

ii) The impact of interest rate changes on the Barclays Bank Group's profitability

The impact from changes to interest rates are potentially significant for the Barclays Bank Group, especially given the uncertainty as to the size and frequency of such changes, particularly in the Barclays Bank Group's main markets of the UK, the US and the EU.

Interest rate cuts could put pressure on the Barclays Bank Group's net interest margins (the difference between lending income and borrowing costs) due to either a delay in passthrough or a smaller passthrough of the interest rate cuts to client deposits. In that scenario the maturing structural hedges (portion maturing as part of the amortising structure) will be replenished at lower rates and this could adversely affect the profitability and prospects of the Barclays Bank Group.

Higher interest rates could result in higher funding costs either due to higher refinancing costs or due to deposit balance mix changes as counterparties prefer switching into deposits that pay a higher rate. In addition, interest rates remaining higher for longer (due to either smaller or less frequent than expected interest rate cuts, or larger or more frequent than expected interest rate increases), could lead to generally weaker than expected growth, reduced business confidence and higher unemployment. This, combined with the impact that higher interest rates may have on the affordability of loan arrangements for borrowers (especially when combined with inflationary pressures), could cause stress in the lending portfolio and underwriting activity of the Barclays Bank Group. This could result in higher credit losses, driving increased impairment charges which would most notably impact retail unsecured portfolios and wholesale non-investment grade lending. This could have a material effect on the Barclays Bank Group's business, results of operations, financial condition and prospects.

In addition, changes in interest rates could have an adverse impact on the value of the securities held in the Barclays Bank Group's liquid asset portfolio. Consequently, this could create more volatility than expected through the Barclays Bank Group's fair value through other comprehensive income (FVOCI) reserve and could adversely affect the profitability and prospects of the Barclays Bank Group.

iii) Competition in the banking and financial services industry

The Barclays Bank Group operates in a highly competitive environment in which it must evolve and adapt to significant changes as a result of regulatory reform, technological advances, increased public scrutiny and changes to market and economic conditions. The Barclays Bank Group expects that competition in the financial services industry will remain intense and may have a material adverse effect on the Barclays Bank Group's future business, results of operations, financial condition and prospects.

New competitors in the financial services industry continue to emerge. For example, technological advances and the growth of e-commerce have made it possible for non-banks to offer products and services that traditionally were banking products such as electronic securities trading, payments processing and online automated algorithmic-based investment advice. Furthermore, payments processing and other services could be significantly disrupted by technologies, such as blockchain (used in deposit tokenisations and stablecoins) and 'buy now pay later' lending, both of which have been the subject of significant FCA initiatives in recent years, with the FCA starting to regulate 'buy now pay later' lending from 15 July 2026. Furthermore, the introduction of central bank digital currencies could have a significant impact on the banking system and the role of commercial banks by disrupting the current provision of banking products and services. This disruption could

Risk review

Material existing and emerging risks

allow new competitors, some previously hindered by banking regulation (such as certain FinTechs), to provide customers with access to banking facilities and increase the disintermediation of banking services.

New technologies and changing consumer behaviour have previously required, and could continue to require, the Barclays Bank Group to incur additional costs to modify or adapt its products or make additional capital investments in its businesses to attract and retain clients and customers or to match products and services offered by its competitors, including technology companies. For example, the Barclays Bank Group has continued to take steps to expand its investment in and to integrate AI technologies. Such AI technologies and services are rapidly evolving, and require significant investment, including development and operational costs, to meet the changing needs and expectations of the Barclays Bank Group's customers and clients. For related competition risks refer to c) "New and emergent technology" in v) "Operational Risk" below.

Ongoing or increased competition and/or disintermediation of banking services may put pressure on the pricing of the Barclays Bank Group's products and services, which could reduce the Barclays Bank Group's revenues and profitability, or may cause the Barclays Bank Group to lose market share, particularly with respect to traditional banking products such as deposits, bank accounts and mortgage lending. This competition may be on the basis of the quality and variety of products and services offered, transaction execution, innovation, reputation and/or price. These factors may be exacerbated by further regulatory change. The failure of any of the Barclays Bank Group's businesses to meet the expectations of clients and customers, whether due to general market conditions, underperformance, a decision not to offer a particular product or service, branch closures, changes in client and customer expectations or other factors, could affect the Barclays Bank Group's ability to attract or retain clients and customers. Any such impact could, in turn, reduce the Barclays Bank Group's revenues.

iv) Regulatory change agenda and impact on business model

The Barclays Bank Group's business is subject to ongoing regulation and associated regulatory risks, including the effects of changes in the laws, regulations, policies, voluntary codes of practice and interpretations of the foregoing in the UK, the US, the EU, and the other markets in which it operates. Many legislative and regulatory changes that are relevant to the Barclays Bank Group's business may have an effect beyond the country in which they are enacted, either because the Barclays Bank Group's regulators, which include sectoral regulators within the banking and finance industries and legislators in national and supranational governments deliberately enact laws and/or regulations with extra-territorial effect or its global operations mean that the Barclays Bank Group gives effect to local laws and regulations on a wider basis.

In recent years, regulators and governments have focused on reforming both the prudential regulation of the financial services industry and the ways in which the business of financial services is conducted. Measures taken include enhanced capital, liquidity and funding requirements, the structural separation or prohibition of certain activities by banks, changes in the operation of capital markets activities, the introduction of tax levies and transaction taxes, changes in compensation practices, and more detailed requirements on how business is conducted and clients and customers are treated. Governments and regulators in the UK, the US, the EU or elsewhere may intervene further in relation to areas of industry risk and/or regulatory risk already identified, or in new areas, which could adversely affect the Barclays Bank Group.

Current and anticipated areas of particular focus for the Barclays Bank Group's regulators, where regulatory changes could have a material effect on the Barclays Bank Group's business, financial condition, results of operations, prospects, capital, liquidity or funding position, and reputation include, but are not limited to:

- the continued focus by regulators, international bodies, organisations and unions on how institutions conduct business, particularly with regard to the delivery of fair outcomes for customers, promoting effective competition in the interests of consumers and ensuring the orderly and transparent operation of global financial markets, including the FCA's ongoing consultation regarding the imposition of a motor finance customer compensation scheme, the consumer duty in the UK, and the FCA's review of the provision of financial advice to consumers;
- the implementation of any conduct measures as a result of regulators' focus on and review of organisational culture, employee behaviour and whistleblowing, and the UK regulators' focus on firms' management of non-financial misconduct matters;
- the UK regulators' strategy for and promotion of competitive markets and growth, both domestically and internationally, including an increasing focus on streamlining and simplifying regulation;
- following the introduction of a new regime for public offers and admission to trading of securities in the UK in January 2026, the reforms to the regulatory frameworks supporting the wholesale financial markets, including recent (and expected) changes to the UK regime for asset management, changes to the bond and derivative transparency regime and potential reforms regarding the quality and accessibility of bond market data through the establishment of a consolidated tape;
- the increasing regulatory expectations and requirements relating to various aspects of operational resilience, including an increasing focus on minimising the impact of operational disruptions (including digital operational disruptions and IT systems failures) on the UK and EU financial sector, the role of critical third-party service providers to financial institutions, and operational incident and third party reporting requirements;

Risk review

Material existing and emerging risks

- the focus globally on technology adoption and digital delivery, including the use of AI, digital assets and digital money (including central bank digital currencies), payments and related infrastructure, and cybersecurity. This also includes the introduction of new and/or enhanced laws and / or regulatory standards in these areas, underpinned by customer protection principles, and actions by regulators that are designed to support the use of AI in the financial sector;
- the continued evolution of the UK's regulatory framework following the UK's withdrawal from the EU, particularly following the implementation of the Financial Services and Markets Act 2023 (FSMA 2023) which provides for the ongoing revocation and repeal of assimilated law relating to financial services and, where relevant, its replacement with rules enacted (or to be enacted) by UK regulators, as well as any areas of divergence between the UK and EU regulatory regimes;
- the harmonisation of EU market access for non-EU banks, which will limit the Barclays Bank Group's ability to service EU customers from the UK going forward;
- the implementation of the reforms to the finalisation of the Basel III package, which includes changes to the RWA approaches to credit risk, market risk, counterparty risk, operational risk and credit valuation adjustments risk, implementation of the fundamental review of the trading book (FRTB) proposals, the application of input and output floors and the leverage ratio, as well as reforms to other aspects of prudential regulation, including the large exposures framework, and amendments to the Bank of England's approach to setting a minimum requirement for own funds and eligible liabilities (MREL);
- the review of regulation of the US banking sector under the current US administration, including easing capital requirements or other prudential requirements;
- the review of regulation of the EU financial sector with a view to enhancing competitiveness of EU banks in particular, which will likely include the easing of regulatory burdens and capital requirements, simplification of regulations and an enhanced supervisory role for the European Supervisory Authorities;
- greater monitoring of, and implementation of policies to address capital requirements, liquidity risk, and credit risk management and continuing focus on review and assurance activities, reporting methodology and data quality in relation to these prudential requirements;
- increasing regulatory expectations of firms around governance and risk management frameworks, particularly for the management of climate change and other sustainability-related risks, enhanced sustainability disclosure and reporting obligations, corporate sustainability due diligence obligations, anti-greenwashing rules and requirements to develop and disclose a climate transition plan, as well as reactions to such initiatives, including taking a different or opposing stance in relation to legislation and rules related to sustainability, and jurisdictional divergence, potentially leading to conflict between initiatives;
- the incorporation of climate change considerations, including transition risks in particular, within the global prudential framework;
- regulatory expectations in the UK relating to access to payment accounts;
- changes in national or supra-national requirements regarding the ability to offshore or outsource the provision of services and resources or transfer material risk or data to companies located in other countries, which could impact the Barclays Bank Group's ability to implement globally consistent and efficient operating models;
- financial crime, fraud and market abuse standards and increasing expectations for related control frameworks, to ensure firms are adapting to new threats and are protecting customers from cyber-enabled crime, and in the UK, reforms relating to authorised push payment fraud reimbursements and the ability of payment service providers to delay the processing of transactions in certain circumstances;
- the reform to corporate criminal liability in the Economic Crime and Corporate Transparency Act 2023 in the UK, which also introduced a failure to prevent fraud offence from September 2025, and prospective amendments to further expand the scope of corporate criminal liability;
- the application and enforcement of economic sanctions, including those with extra-territorial effect and those arising from geopolitical tensions;
- individual operating entities within the Barclays Group (including entities within the Barclays Bank Group) may be required to comply with additional regulatory requirements in order to facilitate the Barclays Group's resolution planning;
- continuing regulatory focus on data privacy, including the processing of personal data, safeguards against unauthorised or improper access or disclosure, adherence to cookie and cookie banner compliance, and the use of personal data in AI systems;

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Material existing and emerging risks

- continuing regulatory focus on policies and procedures for identifying and managing cybersecurity risks, cybersecurity governance and the corresponding disclosure and reporting obligations;
- ongoing requirements to allocate and monitor management accountability within the Barclays Bank Group (for example, the requirements of the Senior Managers and Certification Regime in the UK and similar regimes elsewhere that are either in effect, are due to come into effect in the future or are under consideration, including new rules in the EU applicable to appointing senior managers), as well as requirements relating to executive remuneration and, separately, potential reforms to the UK's SMCR; and
- continuing regulatory focus on the effectiveness of internal systems and controls and risk management frameworks.

For further details on the regulatory supervision of, and regulations applicable to, the Barclays Bank Group, refer to the Supervision and regulation section.

v) Change delivery and execution risks

The Barclays Bank Group constantly adapts and transforms the way it conducts business in response to changing customer behaviour and needs, technological developments, regulatory expectations, increased competition and cost management initiatives. The Barclays Group's strategy is focused on a plan to become simpler, better and more balanced. This strategy is intended to enable the Barclays Group to improve its customer service, provide more support to consumers and businesses, deliver higher quality income growth and build returns. Accordingly, effective management of transformation projects is required to successfully deliver the Barclays Bank Group's strategic priorities, involving delivering on both externally driven programmes and key business initiatives to deliver revenue growth, product enhancement and operational efficiency outcomes. The magnitude, complexity and, at times, concurrent demands of the projects required to meet these priorities can result in heightened execution risk.

The ability to execute the Barclays Bank Group's strategy may be limited by operational capacity and the increasing complexity of the regulatory environment in which the Barclays Bank Group operates. In addition, whilst the Barclays Bank Group continues to pursue cost management initiatives, they may not be as effective as expected and cost saving targets may not be met.

The failure to successfully deliver or achieve any of the expected benefits of these strategic initiatives and/or the failure to meet customer and stakeholder expectations could have a material adverse effect on the Barclays Bank Group's business, results of operations, financial condition, customer outcomes, prospects and reputation.

The Barclays Bank Group also needs to ensure that its strategy and business model adapt to changing national and international standards, industry and scientific practices, regulatory requirements and market expectations regarding climate change, which remain under continuous development. The Barclays Bank Group may face challenges from changing circumstances and external factors which are beyond the Barclays Bank Group's control, including the rapid growth of energy demand, lingering geopolitical uncertainty, and the lack of policy consistency between, and within, jurisdictions. Achieving the Barclays Bank Group's climate-related ambitions and targets will also depend on a number of factors outside the Barclays Bank Group's control, including reliable forecasts of hazards from physical climate models and availability of data / models to measure / assess climate impact on clients. The pathway to net zero is uncertain, complex and dependent on progress in various areas such as advances in low-carbon technologies, progress by clients towards their own net zero goals, and supportive public policies in markets where the Barclays Bank Group operates. If there is a lack of progress in the aforementioned areas, the Barclays Bank Group may fail to achieve its climate related ambitions and targets, and this could have a material adverse effect on the Barclays Bank Group's business, operations, financial condition, prospects and reputation.

vi) M&A and strategic initiatives

The Barclays Bank Group may, from time to time, pursue acquisitions, disposals or other strategic initiatives which could subject it to a variety of risks and uncertainties.

In connection with acquisitions, actual results associated with acquired businesses may differ from the anticipated results, including with respect to: (i) overall future performance of the assets and liabilities acquired and the ability to capitalise on anticipated growth opportunities; (ii) level of integration achieved, and the cost and timing of any integration and the resulting ability to realise expected synergies; (iii) failure to retain key employees, customers and suppliers of the acquired business (iv) cost and timing to achieve separation from any legacy businesses; and (v) the extent to which contingent risks arise in the acquired business.

In connection with disposals, the Barclays Bank Group may be required to continue to provide transitional services to the transferred business for a period of time.

In respect of transactions announced but not yet completed, it may be necessary to obtain regulatory and other approvals, or satisfy other conditions, before completion can occur, and there can be no assurance that such approvals will be obtained or such conditions satisfied (either at all or on terms which are acceptable to the Barclays Bank Group). Transactions that are announced may be subject to lengthy delays or may not proceed to completion.

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Strategic activity of this nature is time-consuming and could produce unforeseen regulatory or operating difficulties, cause the Barclays Bank Group to incur incremental expenses or require incremental financial, capital, management and other resources. The Barclays Bank Group may also be exposed to post-transactional contractual claims in connection with acquisitions, disposals or other strategic activity.

Any of these risks could result in a failure to realise the anticipated benefits of any such strategic activity, or otherwise have a material adverse effect on the Barclays Bank Group's results of operations, financial conditions and prospects.

vii) Card Partnerships

The Barclays Bank Group maintains several co-branded credit cards and credit card partnership agreements in the US. Such arrangements are a means of reaching new customers and expanding brand reach, but there is significant competition among card issuers for these relationships. A deterioration in or failure to maintain these credit card relationships with co-brand partners, including non-renewal of contracts with existing partners, early termination of partnership arrangements due to a contractual breach and changes in consumer behaviour regarding spending patterns, could have a negative impact on the Barclays Bank Group's business, results of operations, financial condition and prospects.

viii) Evolving landscape with respect to artificial intelligence (including generative and agentic artificial intelligence)(AI) and machine learning technologies

The use of rapidly evolving technologies such as AI, by the Barclays Bank Group and its third-party service providers, while presenting significant benefits, can also present risks and challenges to the Barclays Bank Group's business. Use of AI (and particularly the growing use of agentic AI) may expose the Barclays Bank Group to liability, reputational harm, regulatory actions and threats of litigation, particularly if such technology produces errors or hallucinations, or results in output that is biased, harmful, discriminatory or that infringes the intellectual property or data privacy rights of third parties, or otherwise if such technology does not function as intended.

The use of AI by the Barclays Bank Group's third-party service providers in their business activities, whether or not disclosed or known to the Barclays Bank Group, could also expose the Barclays Bank Group to risks. While the Barclays Bank Group believes it conducts appropriate diligence prior to onboarding third-party service providers, the failure of one or more such service provider to meet the Barclays Bank Group's expectations may have an adverse effect on the Barclays Bank Group's operations or financial condition, result in legal or regulatory violations, jeopardise the Barclays Bank Group's intellectual property rights, cause the Barclays Bank Group to be in breach of its contracts or give rise to issues pertaining to data privacy and data protection. This may arise as a result of a service provider, including by use of AI tools in contravention of agreements with the Barclays Bank Group, inputting the Barclays Bank Group's confidential or proprietary information into AI tools, sourcing data for development, training or fine-tuning of the tool from unlawful sources or in an otherwise unlawful manner or implementing the roll-out of new AI tools or functionalities without the Barclays Bank Group's approval. See "supplier exposure" for more information regarding risks arising with respect to suppliers.

In addition, laws and regulations focused on the use and provision of AI technologies may impose certain obligations on the Barclays Bank Group. For example, emerging AI regulations may require the Barclays Bank Group to conduct complex impact assessments, risk evaluations or other compliance reviews prior to deploying AI tools for certain high-risk applications, including automated decision-making that affects individuals. Such assessments can be resource-intensive, time-consuming and may require input from third party specialist advisers. Any failure to conduct these assessments properly, or at all, could result in regulatory enforcement action, monetary penalties, mandatory cessation of AI system usage, litigation and potential liability, as well as other adverse consequences. Furthermore, the regulatory framework for AI continues to evolve and is largely unsettled and fast-moving to varying extents in the jurisdictions in which the Barclays Bank Group operates. Uncertainty in the legal regulatory regime relating to AI may require significant resources to modify and maintain business practices to comply with laws, the nature of which cannot be determined at this time.

Several jurisdictions around the globe, including Europe and certain U.S. states, have already proposed or enacted laws governing AI. For example, the EU Artificial Intelligence Act (the "EU AI Act"), which came into force on 1 August 2024, will generally become fully applicable after a two-year transitional period, with certain obligations taking effect at an earlier or later time. The EU AI Act introduces various requirements for AI systems and models placed on the market or put into service in the EU, including specific transparency and other requirements for general purpose AI systems and the models on which they are based. In the US, while the White House signed an Executive Order Removing Barriers to American Leadership in Artificial Intelligence which prioritises deregulation, several states are considering enacting or have already enacted regulations concerning the use of artificial intelligence technologies. These include the California Transparency in Frontier Artificial Intelligence Act, the Utah Artificial Intelligence Consumer Protection Amendments, the updated California Consumer Privacy Act regulations (which came into effect 1 January 2026) and the Colorado Consumer Protections for Artificial Intelligence Act (effective 30 June 2026). While the UK does not currently have in place any general statutory regulation of AI, some form of regulation is anticipated, although its content and timing is currently uncertain.

Other jurisdictions may decide to adopt similar or more restrictive legislation that may render the use of such technologies challenging or risky. Divergence in legislation and regulatory approach across jurisdictions may make it harder for the Barclays Bank Group to conduct its business using AI, lead to regulatory fines or penalties, require the Barclays Bank Group to change its product offerings or business practices, or limit the Barclays Bank Group's use of AI. If the Barclays Bank

Risk review

Material existing and emerging risks

Group's use of AI is restricted, it could lead to business disruption and the Barclays Bank Group's business may be less efficient or may be at a competitive disadvantage. Replacement of these technologies with compliant alternatives could require substantial capital expenditures or lead to a loss of proprietary data or historical optimisation. Additionally, if new regulations substantially restrict the Barclays Bank Group's usage of AI to drive business efficiencies, the Barclays Bank Group could face significantly higher operating costs to re-hire personnel or obtain third-party support to perform tasks previously handled by automated systems, requiring costly and time-intensive recruitment, training or outsourcing arrangements. Moreover, the Barclays Bank Group's failure, or perceived failure, to comply fully with developing laws and regulations relating to AI or machine learning technologies, or meet evolving and varied stakeholder expectations and industry standards, could harm the Barclays Bank Group's business, reputation, financial condition, and operating results.

See "Processing errors" and "Model risk" for more information regarding the potential consequences of integrating AI into the Barclays Bank Group's product or service offerings, "Data management, information protection and AI" for more information relating to risks relating to data protection and compliance with existing and future laws and regulations, and "cyber attacks" for more information on the cybersecurity risks relating to AI technologies.

Risk review

Material existing and emerging risks

Material existing and emerging risks impacting individual principal risks

i) Climate risk

Climate risk is the risk of financial losses arising from climate change, through physical risks and risks associated with transitioning to a lower carbon economy. Climate risk is a Principal Risk under Barclays' ERMF. The Climate Risk Policy focuses on managing the impacts of climate change across the Group's financial and operational risk categories as defined in the Climate Risk Framework. Climate risk may also drive non-financial risks such as reputational and legal risk, which continue to be managed under their respective risk frameworks.

Physical risks, such as acute weather events (e.g. cyclones, hurricanes and floods) and long-term climate pattern shifts (e.g. droughts, temperature and precipitation levels), can lead to damage to fixed assets, operational disruptions, changes in production outputs and increased costs (among other things).

A transition to a low-carbon economy requires policy and regulatory changes, technological innovations, and reshaped consumer behaviour and market sentiment. This can lead to transition risks from increased costs and reduced revenues.

The potential impacts of both physical and transition risks on the economy may include lower GDP growth, higher unemployment, shortage of raw materials and products, supply chain disruptions, significant fluctuations in prices of assets (such as in the real estate sector), and shifting demands for goods and services. These impacts could subsequently affect the business model and profitability of both the Barclays Bank Group and its clients. There is significant uncertainty surrounding the timeframes in which both these physical and transition risks may manifest, adding further challenges to the Barclays Bank Group in assessing, quantifying and managing the risks associated with climate change within its downstream financed portfolios. Additionally, divergence in climate policies and regulatory standards across different jurisdictions may lead to inconsistencies in reporting, risk assessment methodologies and compliance requirements, making it challenging for Barclays Bank Group to adopt a unified approach to managing climate risk and meeting regulatory obligations. This fragmentation increases operational complexity and the cost of compliance, and undermines the Barclays Bank Group's ability to effectively manage climate risks, including transition risks associated with high-emitting clients.

In 2025, mounting evidence pointed to a rise in physical risks, with acute events such as wildfires, droughts, and flash floods affecting multiple geographies globally. The UK experienced its hottest summer on record, with temperatures exceeding the long-term average by 1.5°C. In the US, the number of wildfires reported by the National Interagency Fire Centre surpassed the 10-year average, while proposed reforms to the Federal Emergency Management Agency (FEMA) raised concerns about future disaster recovery capacity. There is also evidence of chronic physical risks materialising, with the Met Office's annual State of the UK Climate Report confirming that temperature and rainfall extremes are becoming more prevalent. The intensification of physical risks could increase risks in the Barclays Bank Group's portfolios and also damage the Barclays Bank Group's facilities and infrastructure, leading to a potential adverse impact on its financial position.

The Barclays Bank Group recognises climate risk as an amplifier of existing risk categories, exerting influence across multiple principal risk types and heightening their severity. The Barclays Bank Group's wholesale credit corporates that are most exposed to climate-related risks— particularly those operating in high-emitting sectors with limited transition preparedness — are likely to experience operational and financial challenges. Such vulnerabilities can lead to a deterioration in creditworthiness, thereby increasing credit risk within the Barclays Bank Group's portfolios. The Barclays Bank Group's Risk Register process reflects the potential effects of climate risk drivers on the Barclays Bank Group's principal risks and its portfolios. Based on the 2025 assessment, climate risk is assessed as having a higher materiality rating within the Barclays Bank Group's Risk Register for Credit Risk than across other principal risk categories.

The Barclays Bank Group may face difficulties from changing circumstances and external factors which are beyond the Barclays Bank Group's control, which can provide challenges to the Barclays Bank Group in contributing to the Group's climate-related ambitions and targets. These difficulties include geopolitical issues, energy security and other considerations such as policy environment, technological advancements and market dynamics for a low-carbon economy. The pathway to net-zero is uncertain, complex and dependent on progress in various areas such as advances in low-carbon technologies, collective action by clients to meet their own climate goals and supportive government policies in markets where the Barclays Bank Group operates. Furthermore, the Barclays Bank Group's business and operations have been, and may continue to be, adversely impacted by the perception that its response to climate change is ineffective, insufficient, or otherwise inappropriate, which could result in potential adverse impacts on its financial position.

For further details on the Barclays Bank Group's approach to climate change, refer to the climate risk management section.

ii) Credit risk

Credit risk is the risk of loss to the Barclays Bank Group from the failure of clients, customers or counterparties, including sovereigns, to fully honour their obligations to the Group, including the whole and timely payment of principal, interest, collateral, and other receivables. Credit risk is impacted by a number of factors outside the Group's control, including wider economic conditions.

Risk review

Material existing and emerging risks

a) Impairment

Impairment is calculated in line with the requirements of IFRS9. Loss allowances, based on ECLs, are measured on a forward-looking basis using a broad range of financial metrics and application of complex judgements. Accordingly, impairment charges are potentially volatile and may not successfully predict actual credit losses, particularly under stressed conditions. Failure by the Barclays Bank Group to accurately estimate credit losses through ECLs could have a material adverse effect on the Barclays Bank Group's business, results of operations, financial condition, and prospects.

For further details, refer to Note 8 of the financial statements on page 306.

b) Specific portfolios, sectors and concentrations

The Barclays Bank Group is subject to risks arising from changes in credit quality and recovery rates for loans and advances due from borrowers and counterparties. Additionally, the Barclays Bank Group is subject to a concentration of those risks where it has significant exposures to borrowers and counterparties in specific sectors, or to particular types of borrowers and counterparties. Any deterioration in the credit quality of such borrowers and counterparties could lead to lower recoverability from loans and advances, and higher impairment charges. Accordingly, any of the following areas of uncertainty could have a material adverse impact on the Barclays Bank Group's business, results of operations, financial condition, and prospects:

- **Consumer affordability:** higher inflation and higher interest rates could increase the cost of living and negatively impact a customer's ability to service debt payments, leading to increased arrears in both unsecured and secured products. The risk is further heightened with uncertainty around global fiscal policy including tariffs and sovereign debt which could increase inflation and weaken economic growth. Additionally, there is potential US consumer credit weakness from all time high consumer debt and student loan debt which could strain consumer affordability, leading to higher arrears and ECLs.
- **UK Retail, Hospitality and Leisure:** the continuing cost of living pressures, falling consumer confidence, or macroeconomic factors adversely affecting consumers could trigger a contraction in demand which, together with rising business costs, including from taxes, would add pressure to sectors heavily reliant on consumer discretionary spending. This represents a potential risk in the Barclays Bank Group's UK corporate portfolio as a higher probability of default exists for retailers, hospitality and leisure providers and their landlords while these pressures remain.
- **Leveraged Finance Underwriting:** the Barclays Bank Group takes on non-investment grade underwriting exposures, including single name risk, particularly in the US and the UK. The market environment has remained constructive and highly competitive in 2025, despite geopolitical tensions and concern around the impact of tariffs.
- **Oil & Gas sector:** In the short term, the sector is vulnerable to geopolitical shifts impacting supply and demand. In the longer term, costs associated with the transition towards renewable sources of energy may place greater financial demands on oil and gas companies.
- **Information Technology:** companies may struggle to monetise their technology offerings, including use of AI or alternatively may find their offerings disrupted by other emerging new technology. Barclays Bank Group's clients face heightened risk from data security breaches and ransomware and/or cyber attacks as well as from the malicious use of AI, all of which could negatively impact their ability to service debt obligations.
- **Resilient US economy with tight labour market:** whilst the US economy proved to be resilient in 2025, there have been signs of weakness. The Barclays Bank Group continues to monitor closely consumer trends as it relates to personal saving rate, category spend - discretionary versus essential, high consumer debt levels, and the overall household net worth.
- **Sovereign wholesale exposure:** the Barclays Bank Group is exposed to sovereigns with sovereign debt to GDP ratios above 100% with low economic growth. Failure to reduce public spending could cause debt levels to become unmanageable and damage investor confidence, potentially delaying economic recovery which, in turn, could materially adversely affect the Barclays Bank Group's results of operations including, but not limited to, increased credit losses.
- **Private Credit:** the private credit industry operates largely outside of the traditional banking system and public markets, and is characterised by risks associated with the use of leverage, illiquid investments, structural complexity and limited disclosure. As a result, certain other risks to which the Barclays Bank Group is exposed may be amplified by its activities in the private credit sector. In addition, due to the interconnectedness between private credit and other areas of economic activity and second order losses resulting from private credit exposure, private credit presents a risk to financial system stability.

The Barclays Bank Group also has large individual exposures to single name counterparties (such as brokers, central clearing houses, dealers, banks, mutual and hedge funds, and other institutional clients) in both its lending and trading activities, including derivative trades. The default of one such counterparty could cause contagion across clients involved in similar activities and/or adversely impact asset values should margin calls necessitate rapid asset disposals by that counterparty to raise liquidity. In addition, where such counterparty risk has been mitigated by taking collateral, credit risk may remain high

Risk review

Material existing and emerging risks

if the collateral held cannot be monetised or has to be liquidated at prices which are insufficient to recover the full amount of the loan or derivative exposure. Any such defaults could have a material adverse effect on the Barclays Bank Group's results due to, for example, increased credit losses and higher impairment charges.

Impact to the creditworthiness of the Barclays Bank Group's clients, customers and counterparties (particularly in high carbon sectors), can also arise out of climate-related legal actions or investigations commenced against the Barclays Bank Group's clients, customers and counterparties (particularly in high carbon sectors), where outcomes of such actions have material financial impacts, which can in turn increase credit risk within Barclays Bank Group portfolios.

For further details on the Barclays Bank Group's approach to credit risk, refer to the credit risk management and credit risk performance sections.

iii) Market risk

Market risk is the risk of loss arising from potential adverse changes in the value of the Barclays Bank Group's assets and liabilities from fluctuation in market variables including, but not limited to, interest rates, foreign exchange rates, equity prices, commodity prices, credit spreads, implied volatilities and asset correlations.

Economic and financial market uncertainties remain elevated, amid ongoing geopolitical conflicts, shifting trade policies, and persistent inflationary pressures. A disruptive transition to lower interest rate levels, deteriorating trade, and intensifying geopolitical tensions could heighten market risks for the Barclays Bank Group's portfolios.

In addition, the Barclays Bank Group's trading business could be vulnerable were there to be a prolonged period of elevated asset price volatility, particularly if it adversely affects market liquidity. Such a scenario could impact the Barclays Bank Group's ability to execute client trades and may also result in lower client flow-driven income and/or market-based losses on its existing portfolio of assets. These can include higher hedging costs from rebalancing risks that need to be managed dynamically as market levels and their associated volatilities change.

Changes in market conditions could have a material adverse effect on the Barclays Bank Group's business, results of operations, financial condition and prospects.

For further details on the Barclays Bank Group's approach to market risk, refer to the market risk management and market risk performance sections.

iv) Treasury and capital risk

There are three primary types of treasury and capital risk faced by the Barclays Bank Group:

a. Liquidity risk

Liquidity risk is the risk that the Barclays Bank Group is unable to meet its contractual or contingent obligations or that it does not have the appropriate amount, tenor and composition of funding and liquidity to support its assets. This could cause the Barclays Bank Group to fail to meet regulatory and/or internal liquidity requirements, make repayments of principal or interest as they fall due or to support day-to-day business activities. Key liquidity risks that the Barclays Bank Group faces include:

- **Stability of the Barclays Bank Group's deposit funding profile:** deposits which are payable on demand or at short notice could be adversely affected by the Barclays Bank Group failing to preserve the current level of customer and investor confidence or as a result of competition in the banking industry.
- **Ongoing access to wholesale funding:** the Barclays Bank Group regularly accesses the money and capital markets to provide short-term and long-term unsecured and secured funding to support its operations. A loss of counterparty confidence, or adverse market conditions, could lead to a reduction in the tenor, or an increase in the costs, of the Barclays Bank Group's unsecured and secured wholesale funding or affect the Barclays Bank Group's access to such funding.
- **Impacts of market volatility:** adverse market conditions, with increased volatility in asset prices, could: (i) negatively impact the Barclays Bank Group's liquidity position through increased derivative margin requirements and/or wider haircuts when monetising liquidity pool securities; (ii) make it more difficult for the Barclays Bank Group to execute secured financing transactions; and (iii) expose the Barclays Bank Group to currency risk leading to increased cash flow currency mismatch.
- **Intraday liquidity usage:** increased cash and collateral requirements for payments and securities settlement systems could negatively impact the Barclays Bank Group's liquidity position, as cash and liquid assets required for intraday purposes are unavailable to meet other outflows.
- **Off-balance sheet commitments:** deterioration in economic and market conditions could cause customers to draw on off-balance sheet commitments provided to them, for example, revolving credit facilities, negatively affecting the Barclays Bank Group's liquidity position.

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Material existing and emerging risks

- **Credit rating changes and impact on funding costs:** any reductions in a credit rating (in particular, any downgrade below investment grade) may affect the Barclays Bank Group's access to money or capital markets and/or the terms on which the Barclays Bank Group is able to obtain market funding. For example, this could lead to increased costs of funding and wider credit spreads, the triggering of additional collateral or other requirements in derivative contracts and other secured funding arrangements, or limits on the range of counterparties who are willing to enter into transactions with the Barclays Bank Group.

b. Capital risk

Capital risk is the risk that the Barclays Bank Group has an insufficient level or composition of capital to support its normal business activities and to meet its regulatory capital requirements under normal operating environments and stressed conditions (both actual and as defined for internal planning or regulatory stress testing purposes). This also includes the risk from the Barclays Bank Group's pension plans. Key capital risks that the Barclays Bank Group faces include:

- **Failure to meet prudential capital requirements:** this could lead to the Barclays Bank Group being unable to support some or all of its business activities, a failure to pass regulatory stress tests, increased cost of funding due to deterioration in investor appetite and/or credit ratings, restrictions on distributions and/or the need to take additional measures to strengthen the Barclays Bank Group's capital or leverage position.
- **Adverse changes in FX rates impacting capital ratios:** the Barclays Bank Group has capital resources, risk weighted assets and leverage exposures denominated in foreign currencies. Changes in foreign currency exchange rates may adversely impact the sterling equivalent value of these items. As a result, the Barclays Bank Group's regulatory capital ratios are sensitive to foreign currency movements. Failure to appropriately manage the Barclays Bank Group's balance sheet to take account of foreign currency movements could result in an adverse impact on the Barclays Bank Group's regulatory capital and leverage ratios.
- **Adverse movements in the pension fund:** adverse movements in pension assets and liabilities for defined benefit pension schemes could result in deficits on a technical provision and/or IAS 19 accounting basis. This could lead to the Barclays Bank Group making substantial additional contributions to its pension plans and/or a deterioration in its capital position. The market value of pension fund assets might decline; or investment returns might reduce. Under IAS 19, the liabilities discount rate is derived from the yields of high quality corporate bonds. Therefore, the valuation of the Barclays Bank Group's defined benefits schemes would be adversely affected by a prolonged fall in the discount rate due to a persistent low interest rate and/or credit spread environment. Inflation is another significant risk driver to the pension fund as the liabilities are adversely impacted by an increase in long-term inflation expectations.

c. Interest rate risk in the banking book

Interest rate risk in the banking book is the risk that the Barclays Bank Group is exposed to capital or income volatility because of a mismatch between the interest rate exposures of its (non-traded) assets and liabilities. This also includes credit spread risk in the banking book, the risk that the Barclays Bank Group is exposed to capital or income volatility because of changes in credit spreads on its (non-traded) assets and liabilities. The Barclays Bank Group's hedging programmes for interest rate risk in the banking book rely on behavioural assumptions and, as a result, the effectiveness of the hedging strategy cannot be guaranteed. A potential mismatch in the balance or duration of the hedging assumptions could lead to earnings deterioration if there are interest rate movements which are not adequately hedged. A decline in interest rates may also compress net interest margins on retail and corporate portfolios. In addition, the Barclays Bank Group's liquid asset portfolio is exposed to potential capital and/or income volatility due to movements in market rates and prices which may have a material adverse effect on the capital position of the Barclays Bank Group.

For further details on the Barclays Bank Group's approach to treasury and capital risk, refer to the treasury and capital risk management and treasury and capital risk performance sections.

v) Operational risk

Operational risk is the risk of loss to the Group from inadequate or failed processes or systems, human factors or due to external events where the root cause is not due to credit or market risks. Examples include:

a) Operational resilience

The Barclays Bank Group functions in a highly competitive market, with customers and clients that expect consistent and smooth business processes. The loss of or disruption to business processing is a material inherent risk within the Barclays Bank Group and across the financial services industry, which has impacted the Barclays Bank Group in the past and may continue to impact the Barclays Bank Group in the future, whether arising through failures in the Barclays Bank Group's technology systems, cyber and/or data integrity disruptions, unavailability of services supplied by third parties, or unavailability of personnel and premises.

A challenge for the Barclays Bank Group, as for all companies, is the ability to recover from and remain within impact tolerance for a pervasive cyber attack which impacts a number of applications, data and infrastructure services, or a third party. Failure to build resilience and recovery capabilities into business processes, or into the services on which the Barclays Bank Group's business processes depend, may result in significant customer harm, costs to reimburse losses incurred by the Barclays Bank Group's customers and clients, and reputational damage. There are also risks associated with increasing

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Material existing and emerging risks

regulatory focus and new developments on operational resilience, which are considered in risk factor (iv) 'Regulatory change agenda and impact on business model' above.

b) Cyber attacks

Cyber attacks continue to be a global threat inherent across all industries, with the number and severity of attacks continuing to rise. The financial sector remains a primary target for cybercriminals, hostile nation states (including nation-state-sponsored groups), opportunists and hacktivists. The Barclays Bank Group experiences numerous attempts to compromise its cybersecurity protections. In 2025, cybersecurity incidents experienced by the Barclays Bank Group included phishing and cyber incidents within our supply chain.

The Barclays Bank Group cannot provide absolute security against cyber attacks. Malicious actors, who are increasingly sophisticated in their methods, tactics, techniques and procedures, seek to steal money, gain unauthorised access to, destroy or manipulate data, and disrupt operations. Further, some attacks may not be recognised or discovered until launched or after initial entry into the environment, such as novel or zero-day attacks that are launched before patches are available and defences can be readied. Other attacks may take advantage of the window during which patching or the deployment of other defences is underway, but not yet complete. Malicious actors are also increasingly developing methods to avoid detection and alerting capabilities, including by employing counter-forensic tactics, making response activities more difficult. Additionally, the Barclays Bank Group's deployment of agentic AI with access to systems, data and third-party tools creates an expanded attack surface for cyber attacks, as threat actors may exploit inadequate permissioning controls to manipulate agents into executing unauthorised actions, accessing sensitive information or initiating malicious transactions beyond their intended scope, and the autonomous nature of these systems may enable attackers to conduct multi-step attacks that evade traditional security controls before detection occurs.

Cyber attacks can originate from a wide variety of sources and target the Barclays Bank Group in numerous ways, including via the Barclays Bank Group's networks, systems, applications, devices, or parties such as service providers and other suppliers, counterparties, employees, contractors, customers or clients, presenting the Barclays Bank Group with a vast and complex defence perimeter. Moreover, the Barclays Bank Group does not have direct control over the cybersecurity of the systems of its clients, customers, counterparties and third-party service providers and suppliers, limiting the Barclays Bank Group's ability to effectively protect and defend against certain threats. Some of the Barclays Bank Group's third-party service providers and suppliers have experienced successful attempts to compromise their cybersecurity. These have included incidents resulting in the compromise of the Barclays Bank Group's data and ransomware attacks that disrupted service providers' or suppliers' operations and, in some cases, have had impacts on the Barclays Bank Group's operations. Such cyber attacks are likely to continue. Many of the Barclays Bank Group's agreements with third parties include liability or indemnification provisions, but the Barclays Bank Group may not be able to recover sufficiently, or at all, under these provisions to adequately offset any losses or other adverse impacts the Barclays Bank Group may incur from third party incidents.

Inadequacies in, or failures in the adherence to, the Barclays Bank Group's cybersecurity policies, procedures or controls; failure to keep pace with evolving technology; instances of employee negligence, recklessness, malfeasance, poor password management, or susceptibility to social engineering; misconfigurations in technology and security infrastructure; authentication and access management lapses; imperfect control frameworks or operational effectiveness; and human, governance or technological error could also compromise the Barclays Bank Group's ability to successfully prevent and defend against cyber attacks. Furthermore, certain legacy technologies that are at or approaching end-of-life may not be able to maintain acceptable levels of security.

The Barclays Bank Group's assessment of its cybersecurity risk reflects an elevated cybersecurity risk profile due to factors such as the onset of AI, which may be used to facilitate increasingly sophisticated attacks including AI-enabled social engineering; ongoing work to address areas in need of enhancement identified through cybersecurity testing; bad actors' increasing ability to elude our defences and take advantage of customer and employee behaviours in novel ways; and geopolitical events that could impact the Barclays Bank Group directly, or indirectly through its critical suppliers or national infrastructure.

Certain cybersecurity risks to the Barclays Bank Group may be unknown to management and therefore not fully accounted for in the Barclays Bank Group's cybersecurity assessments, strategy and programme priorities.

The Barclays Bank Group uses targeted external independent reviews to help ensure that its assessment of cybersecurity risk is comprehensive and dynamic, and the Barclays Bank Group continues to implement enhancements identified through previous cybersecurity testing and reviews.

Common types of cyber attacks include deployment of malware to obtain covert access to systems and data; ransomware attacks that render systems and data unavailable through encryption and attempts to leverage business interruption or stolen data for extortion; novel or zero-day exploits; denial of service and distributed denial of service attacks; infiltration via business email compromise; social engineering, including phishing, vishing and smishing; automated attacks using botnets; third-party customer, vendor, service provider and supplier account takeover; malicious activity facilitated by an insider; and credential validation or stuffing attacks using login and password pairs from unrelated breaches. A successful cyber attack of any type has the potential to cause serious harm to the Barclays Bank Group or its clients and customers, including

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exposure to potential contractual liability, claims, litigation, regulatory or other government action, loss of existing or potential customers, damage to the Barclays Bank Group's brand and reputation, and other financial loss. The impact of a successful cyber attack is also likely to include operational consequences (such as unavailability of services, networks, systems, devices or data), remediation of which could come at significant cost.

While the Barclays Bank Group maintains insurance coverage that may, subject to relevant retentions, cover certain types of losses related to cybersecurity incidents, such insurance coverage may be insufficient to cover all losses and may not take into account potential loss of business or other financial harm.

A successful cyber attack may result in significant fines and penalties to the Barclays Bank Group. In addition, any new regulatory measures introduced to mitigate these risks are likely to result in increased technology and compliance costs for the Barclays Bank Group.

For further details on the Bank's approach to cyber attacks, see the Operational risk performance section on page 238. For further details on cybersecurity regulation applicable to the Bank, refer to the supervision and regulation section on page 245.

c) New and emergent technology

Technology is fundamental to the Barclays Bank Group's business and the financial services industry. Technological advancements present opportunities to develop new and innovative ways of doing business across the Barclays Bank Group, with new solutions being developed both in-house and in association with third party companies.

The rapid development in AI is an area of technological advancement that the Barclays Bank Group is monitoring closely. This includes the identification of potential use cases for responsible adoption of AI in the Barclays Bank Group's own operations as well as managing the salient risks and other threats third party usage of AI may pose, including with respect to intellectual property ownership and infringement, cybersecurity, antitrust and fraud. For example, the Barclays Bank Group may be unable to protect certain materials created using AI technologies with copyrights or patents given the position of courts and intellectual property offices in the US and in some other jurisdictions on the need for a certain level of human inventorship. Additionally, inventions or works of authorship created using AI technologies may be based on, rely on, or contain materials that were used in the training of such technologies and which are subject to third-party intellectual property rights. This could expose the Barclays Bank Group to claims of intellectual property infringement or misappropriation. Other related risks include exposure to open-source software risks when using AI-based coding tools (that have been developed using vast amounts of open-source software) to write software. The use of copyrighted materials in AI and machine learning technology has not been fully interpreted by courts, creating additional uncertainty regarding potential intellectual property risks.

In addition, while AI can present significant benefits, it also presents significant and evolving risks and challenges to the Barclays Bank Group's business, such as those related to algorithmic fairness, data life-cycle management, data ethics, data privacy and security and records management (e.g. the risks arising from any failure to appropriately identify and retain prompts, logs, outputs and intermediate artefacts from an AI process in accordance with business needs, as set out in the applicable retention schedule, and data protection laws). AI also poses data sourcing, technology integration and process issues and programme bias in decision-making algorithms. Any of these risks could impair the adoption and acceptance of AI and result in regulatory investigations or actions, litigation, client dissatisfaction, reputational harm and adverse effects on its business and financial condition. These risks may be more significant for certain AI tools (for example, agentic AI has the potential to exacerbate certain risks, such as those relating to data privacy and security, due to its autonomous nature) or if AI is deployed in an uncoordinated but widespread way within the Barclays Bank Group (particularly relating to the use of AI agents).

If the output from AI in the Barclays Bank Group's products, systems or solutions is deemed to be inaccurate or questionable, or if the use of AI does not operate as anticipated or perform as promised (including in relation to confidential information and personal data), the Barclays Bank Group may be exposed to additional liability, reputational harm, potential regulatory enforcement and threats of litigation, as further described at "Evolving landscape with respect to artificial intelligence (including generative and agentic artificial intelligence) (AI) and machine learning technologies," "Model risk" and "Data management, information protection and AI".

Alongside those risks associated with the deployment of AI, risks could also arise from decisions not to deploy the technology. As the adoption of AI quickens, risks arising from competition with the Barclays Bank Group's peers are intensified. Any failures to adequately leverage AI technologies, or the adoption of an overly conservative approach to AI implementation, could cause the Barclays Bank Group to miss significant business opportunities, fall behind competitors, and adversely affect its growth prospects and financial performance. Pressure to recruit personnel with specific AI-based skill sets and to upskill existing employees in this context may give rise to significant costs and/or may be difficult to sustain, and such steps do not necessarily mitigate these risks from competitors.

d) Fraud

The nature of fraud is wide-ranging and continues to evolve, as criminals seek opportunities to target the Barclays Bank Group's business activities and exploit changes in customer behaviour and product and channel use (such as the increased use of digital products and enhanced online services). Fraud attacks vary, can be highly sophisticated (e.g. leveraging deepfake and automation capabilities), and can be orchestrated by organised crime groups or individuals. Fraudsters use various techniques to target customers and colleagues directly (i.e. third party fraud) or Barclays Bank Group directly (i.e. first party fraud such as, for example, intentionally providing false information to Barclays for personal gain). In the UK, APP (Authorised Push Payment) scams are a growing fraud type where customers are deceived to transfer funds from their accounts to bad actors. Fraud can also be committed by one or more employees and workers of an entity (i.e. internal fraud) or may manifest as unauthorised trading fraud. The impact from fraud can lead to customer harm, financial losses to both the Barclays Bank Group and its customers, loss of business, missed business opportunities and reputational damage, all of which could have a material adverse impact on the Barclays Bank Group's business, results of operations, financial condition and prospects.

e) Data management, information protection and AI

The Barclays Bank Group holds and processes large volumes of data, including personal information, financial data and other confidential information, and the Barclays Bank Group's businesses are subject to complex and evolving laws and regulations governing the privacy and protection of data, including Regulation (EU) 2016/679 (the General Data Protection Regulation as it applies in the EU and the UK). This data could relate to: (i) the Barclays Bank Group's clients, customers, prospective clients and customers, and their employees; (ii) clients and customers of the Barclays Bank Group's clients and customers, and their employees; (iii) the Barclays Bank Group's suppliers, counterparties and other external parties, and their employees; and (iv) the Barclays Bank Group's employees and prospective employees. This data may also be held and processed for the Barclays Bank Group by third-party vendors, partners, or suppliers which therefore exposes the Barclays Bank Group to risks from vulnerabilities and non-compliance in its supply chain.

The international nature of both the Barclays Bank Group's business and its IT infrastructure also means that data and personal information may be available in countries other than those from where the information originated. Accordingly, the Barclays Bank Group must ensure that its collection, use, transfer and storage of data, including personal information complies with all applicable laws and regulations in all relevant jurisdictions, which could: (i) increase the Barclays Bank Group's compliance and operating costs; (ii) impact the development of new products or services, or the offering of existing products or services; (iii) affect how products and services are offered to clients and customers; (iv) demand significant oversight by the Barclays Bank Group's management; and (v) require the Barclays Bank Group to review some elements of the structure of its businesses, operations and systems in less efficient ways.

Data, including personal information, is subject to external as well as internal (whether intentional or accidental) security risks. Concerns regarding the effectiveness of the Barclays Bank Group's measures to safeguard data, including personal information, or even the perception that those measures are inadequate, could expose the Barclays Bank Group to the risk of loss or unavailability of data or data integrity issues and/or cause the Barclays Bank Group to lose existing or potential clients and customers, and thereby reduce the Barclays Bank Group's revenues. Furthermore, any failure or perceived failure by the Barclays Bank Group to comply with applicable privacy or data protection laws and regulations may subject it to potential contractual liability, claims, litigation, regulatory or other government action (including significant regulatory fines) and require changes to certain operations or practices which could also inhibit the Barclays Bank Group's development or marketing of certain products or services, or increase the costs of offering them to customers. Any of these events could damage the Barclays Bank Group's reputation, subject the Barclays Bank Group to material fines or other monetary penalties, make the Barclays Bank Group liable for the payment of compensatory damages, divert management's time and attention, lead to enhanced regulatory oversight and otherwise materially adversely affect its business, results of operations, financial condition and prospects.

Further, there is increased risk of inadvertent disclosure of confidential information or personal information in connection with the utilisation of AI technologies, whether through AI model errors, data breaches, or other vulnerabilities, which may also result in stronger regulatory scrutiny, leading to legal and regulatory investigations and enforcement actions that could negatively impact the Barclays Bank Group's business, even if unfounded. AI technologies are highly reliant on the collection and analysis of large amounts of data, which may be overbroad, insufficient, or contain biased, inaccurate or incomplete information. There often exists a lack of transparency regarding the sources of data (including personal data) used to train or develop AI technologies or how inputs are converted to outputs and the Barclays Bank Group may not be able to fully validate this process and its accuracy (particularly where it is part of a complex, multi-step process and inaccurate or incomplete information may be compounded across many steps, such as in agentic AI systems). This could result in outputs that include or are derived from inaccurate, incomplete or erroneous information, or that include AI bias, AI hallucinations, harmful content, discrimination, violation of privacy law or intellectual property infringement or misappropriation. Additionally, if the AI model in a tool used by the Barclays Bank Group has been trained by a third party in a manner that is not compliant with data protection laws, there is a risk that the Barclays Bank Group will be held liable in certain jurisdictions (e.g. the EU).

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For further details on data protection regulation applicable to the Barclays Bank Group, refer to the supervision and regulation section and for further detail on the associated risks, refer to the sections entitled “Evolving landscape with respect to artificial intelligence (including generative and agentic artificial intelligence) (AI) and machine learning technologies” and “New and emergent technology”.

f) Algorithmic trading

In some areas of the investment banking business, trading algorithms are used to price, trade and risk manage client and principal transactions. An algorithmic error could result in erroneous or duplicated transactions, a system outage, or impact the Barclays Bank Group’s pricing abilities, which could have a material adverse effect on the Barclays Bank Group’s business, results of operations, financial condition, prospects and reputation.

g) Processing errors

The Barclays Bank Group’s businesses are highly dependent on its ability to process and monitor, on a daily basis, a very large number of transactions, many of which are highly complex and occur at high volumes and frequencies, across numerous and diverse markets in many currencies. Given Barclays Bank Group’s diverse customer base and geographical reach and the increase in volume, speed, frequency and complexity of transactions, especially electronic transactions (as well as the requirements to report such transactions on a real-time basis to clients, regulators and exchanges), developing, maintaining and upgrading operational systems and infrastructure becomes more challenging. The risk of systems or human error, including errors produced through the integration of AI technologies, in connection with such transactions increases with these developments, as well as the potential consequences of such errors due to the speed and volume of transactions involved and the potential difficulty associated with discovering errors quickly enough to limit the resulting consequences. As the Barclays Bank Group works to implement AI technologies into the Barclays Bank Group’s product and service offerings, these challenges may become more significant, as AI technologies give rise to risk of bias, errors and hallucinations which may impact the Barclays Bank Group’s ability to accurately execute, track or report transactions. There can be no assurances that AI usage will enhance the Barclays Bank Group’s product or services offerings, and any such errors or inaccuracies resulting from AI usage could result in competitive or reputational harm or increased legal liability as further described in c) New and emergent technology and vi) Model risk. Furthermore, events that are wholly or partially beyond the Barclays Bank Group’s control, such as a spike in transaction volume, could adversely affect the Barclays Bank Group’s ability to process transactions or provide banking and payment services.

Processing errors could result in the Barclays Bank Group, among other things: (i) failing to provide information, services and liquidity to clients and counterparties in a timely manner; (ii) failing to settle and/or confirm transactions; (iii) causing funds transfers, capital markets trades and/or other transactions to be executed erroneously, illegally or with unintended consequences; and (iv) adversely affecting financial, trading or currency markets. Any of these events could materially disadvantage the Barclays Bank Group’s customers, clients and counterparties (including them suffering financial loss) and/or result in a loss of confidence in the Barclays Bank Group which, in turn, could have a material adverse effect on the Barclays Bank Group’s business, results of operations, financial condition and prospects. Any of these events could also lead to breaches of laws, rules or regulations and, hence, regulatory enforcement actions, which could result in significant financial loss, imposition of additional capital requirements, enhanced regulatory supervision and reputational damage.

h) Supplier exposure

The Barclays Bank Group depends on suppliers for the provision of many of its services and the development of technology, including AI technology. Whilst the Barclays Bank Group depends on suppliers, it remains fully accountable to its customers and clients for risks arising from the actions of suppliers and may not be able to recover from its suppliers any amounts paid to customers and clients for losses suffered by them. The dependency on suppliers and sub-contracting of outsourced services introduces concentration risk where the failure of specific suppliers could have an impact on the Barclays Bank Group’s ability to continue to provide material services to its customers. In addition, the use of third party AI technologies may also expose the Barclays Bank Group to third party infringement or misappropriation claims, as well as privacy and data protection related claims, as it can be very difficult, if not impossible, to validate the processes used by third-party AI technology providers in their collection and use of data in developing and training AI technologies or the conversion of inputs to outputs. Over-reliance on a small number of suppliers of AI services may create operational resilience and concentration risk, heightening the potential for macro-level disruption if any one provider experiences outage, compromise, or model instability. For further information on AI-related risks, including in connection with suppliers, please see the sections entitled “Evolving landscape with respect to artificial intelligence (including generative and agentic artificial intelligence) (AI) and machine learning technologies”, “New and emergent technology”, “Data management, information protection and AI,” and “Model risk”. Failure to adequately manage supplier risk could have a material adverse effect on the Barclays Bank Group’s business, results of operations, financial condition and prospects.

i) Estimates and judgements relating to critical accounting policies and regulatory disclosures

The preparation of financial statements requires the application of accounting policies and judgements to be made in accordance with IFRS. Regulatory returns and capital disclosures are prepared in accordance with the relevant capital reporting and liquidity requirements and also require assumptions and estimates to be made. The key areas involving a higher degree of judgement or complexity, or areas where assumptions are significant to the consolidated and individual financial statements and regulatory returns and disclosures, include credit impairment provisions, taxes, fair value of

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financial instruments, pensions and post-retirement benefits, the calculation of RWAs, capital and liquidity metrics, and provisions including conduct and legal, competition and regulatory matters (please refer to the notes to the audited financial statements for further details). There is a risk that if the judgement exercised, or the estimates or assumptions used, subsequently turn out to be incorrect or are altered as a result of assurance work or subsequent feedback from the Barclays Bank Group's regulators, this could result in material losses to the Barclays Bank Group, beyond what was anticipated or provided for, including as a result of changes to treatments or stated capital or liquidity in regulatory returns and capital and liquidity disclosures. If capital and liquidity requirements are not met as a result of changes in interpretation, compliance with the Barclays Bank Group's distribution policy could be impacted and/or additional measures may be required to strengthen the Barclays Bank Group's capital or leverage position, which may also lead to the Barclays Bank Group's inability to achieve stated targets. Further development of accounting standards and regulatory interpretations could also materially impact the Barclays Bank Group's results of operations, financial condition and prospects.

j) Tax risk

The Barclays Bank Group is required to comply with the domestic and international tax laws and practice of all countries in which it has business operations. There is a risk that the Barclays Bank Group could suffer losses due to additional tax charges, other financial costs or reputational damage as a result of failing to comply with such laws and practice (including where the Barclays Bank Group's interpretation of such laws differs from the interpretation of tax authorities), or by failing to manage its tax affairs in an appropriate manner, with much of this risk attributable to the international structure of the Barclays Bank Group. In addition, the introduction of new international tax regimes, increasing tax authority focus on reporting and disclosure requirements around the world as well as the digitalisation of the administration of tax have the potential to increase the Barclays Bank Group's tax compliance obligations further. In 2023, the UK Government enacted legislation on the OECD Inclusive Framework on Base Erosion and Profit Shifting Pillar Two Framework introducing a global minimum tax rate of 15%. The UK's Pillar Two rules applied from 1 January 2024 and increased the Barclays Bank Group's tax compliance obligations. In the US, the corporate alternative minimum tax on adjusted financial statements income introduced by the Inflation Reduction Act became effective on 1 January 2023. These tax regimes have required system and process changes that introduce additional operational risks.

k) Ability to hire and retain appropriately qualified employees

As a regulated financial institution, the Barclays Bank Group requires diversified and specialist skilled colleagues. The Barclays Bank Group's ability to attract, develop and retain a diverse mix of talent is key to the delivery of its core business activity and strategy. This is impacted by a range of external and internal factors, such as macroeconomic factors, labour, immigration and related policies in the jurisdictions in which the Barclays Bank Group operates, regulatory limits on compensation for senior executives and operational factors. Failure to attract or prevent the departure of appropriately qualified and skilled employees could have a material adverse effect on the Barclays Bank Group's business, results of operations, financial condition and prospects. Additionally, this may result in disruption to service which could in turn lead to customer harm and reputational damage.

For further details on the Barclays Bank Group's approach to operational risk, refer to the operational risk management and operational risk performance sections.

vi) Model risk

Model risk is the potential for adverse consequences from decisions based on incorrect or misused model outputs and reports. The Barclays Bank Group relies on models to support a broad range of business and risk management activities, including informing business decisions and strategies, measuring and limiting risk, valuing exposures (including the calculation of impairment), conducting stress testing, calculating RWAs and assessing capital adequacy, supporting new business acceptance, risk and reward evaluation, managing client assets, and meeting reporting requirements.

Models are imperfect representations of reality as they rely on simplifying assumptions; as such they are subject to intrinsic uncertainty as well as errors and inappropriate use. This may be exacerbated when dealing with unprecedented scenarios, as was the case during the COVID-19 pandemic, when simplifying assumptions were required due to the lack of reliable historical reference points and data. Model uncertainty, errors and inappropriate use may result in (among other things) the Barclays Bank Group making inappropriate business decisions and/or inaccuracies or errors in the Barclays Bank Group's risk management and regulatory reporting processes. In addition, the rapid development of AI, especially agentic AI creates further challenges due to the unique and heightened risks presented by these model types. This includes risks arising from AI hallucinating and providing false information, the exacerbation of bias and fairness risk due to the automation of outcomes and the absence or insufficiency of human oversight (particularly relating to agentic AI). This could result in a significant financial loss, imposition of additional capital requirements, enhanced regulatory supervision and reputational damage, all of which could have a material adverse effect on the Barclays Bank Group's business, results of operations, financial condition and prospects.

For further details on the Barclays Bank Group's approach to model risk, refer to the model risk management and model risk performance sections and the section on "New and emergent technology".

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Material existing and emerging risks

vii) Compliance risk

Compliance risk is the risk of poor outcomes for, or harm to, customers, clients and markets, arising from the delivery of the Bank's products and services (conduct risk) and the risk to the Barclays Bank Group, its clients, customers or markets from a failure to comply with the laws, rules and regulations (LRR) applicable to the Bank.

Previously, financial crime risk was managed as part of compliance risk, but was elevated to a principal risk in the ERMF, effective from 1 January 2025. Consequently, the compliance risk taxonomy was revised to better reflect material and emerging risks. Compliance risks have been categorised into six core areas, including:

a) Wholesale conduct risk

The Barclays Bank Group's businesses are exposed to risk of detriment to colleagues, customers or market participants as a result of failures to adhere to proper standards of wholesale conduct when carrying out the Barclays Bank Group's business activities.

Examples of wholesale conduct which could have a material adverse effect on our business include: (i) undertaking business communications via unauthorised channels and / or inappropriate conduct or behaviour; (ii) business conflicts of interest that lead to the detriment of customers or market participants; (iii) trade lifecycle processes that do not meet regulatory requirements or harm market participants; (iv) the risk of engaging in insider dealing behaviours or breaching of information barriers; and (v) the risk of engaging or attempting to engage in market manipulation.

b) Customer protection risk

The Barclays Bank Group must ensure that its customers, particularly those that are vulnerable, are able to make well-informed decisions on how best to use our financial services and understand the protections available to them if something goes wrong. Poor customer outcomes can result from the failure to: (i) design and distribute products and services that deliver good customer outcomes; (ii) remediate, provide redress, or appropriately respond to complaints; (iii) identify and safeguard client money and assets, including deposits; (iv) manage investment products and services in line with customer expectation; and (v) provide customer services that deliver good customer outcomes.

c) Product design and review risk

Products and services must meet the needs of clients, customers, markets and the Barclays Bank Group throughout their life cycle. However, there is a risk that the design and review of the Group's products and services fail to reasonably consider and address potential or actual negative outcomes for customers, which may result in customer harm, enforcement action (including regulatory fines and/or sanctions), redress and remediation and reputational damage. Both the design and review of products and services are a key area of focus for regulators and the Barclays Bank Group.

d) Regulatory compliance risk

The Barclays Bank Group must ensure that business activities, and those carrying them out, observe relevant laws, codes, rules and regulations that are applicable to them. We must also ensure our employees are adequately supervised, manage personal conflicts of interest, and disclose activities which may harm customers, the Group and the markets in which the Barclays Bank Group operates.

Regulators around the world continue to emphasise the importance of culture and personal accountability and enforce the adoption of adequate internal reporting and whistleblowing procedures to help to promote appropriate conduct and drive positive outcomes for customers, colleagues, clients and markets. The requirements and expectations of the UK Senior Managers Regime, Certification Regime and Conduct Rules reinforce additional accountabilities for individuals across the Barclays Bank Group, with an increased focus on governance and rigor, with similar requirements also introduced in other jurisdictions globally. Failure to meet these requirements and expectations may lead to regulatory sanctions, both for the individuals and the Group.

e) Data privacy risk

Barclays must ensure that personal data is handled in a way that meets data privacy laws, rules and regulations and the rights and expectations of individuals. We do this by establishing mechanisms to govern and oversee the use of personal data and managing personal data in line with individuals' rights and expectations. Any failure complying with applicable rules, laws and regulations may subject the Barclays Bank Group to potential contractual liability, claims, litigation, fines; reputational damage; and cause enhanced regulatory oversight.

f) Laws, rules and regulations risk

Barclays is subject to a range of laws, rules and regulations. A failure to comply with these may have an adverse effect on the Barclays Bank Group's business, customers and the markets within which it operates and could result in reputational damage, penalties, damages or fines.

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viii) Financial crime risk

Financial crime risk is the risk that the Barclays Bank Group and its associated persons (employees or third parties) commit or facilitate financial crime, and/or the Barclays Bank Group's products and services are used to facilitate financial crime.

Financial crime risk management incorporates anti-bribery & corruption, anti-money laundering (including terrorist financing), tax evasion facilitation and sanctions risks (including proliferation financing). The Barclays Bank Group is subject to laws and regulations governing these areas, including "failure to prevent" offences whereby the Barclays Bank Group may be liable for failure to prevent crimes carried out by persons acting on its behalf.

Bribery and corruption occur where a person improperly obtains or retains business, improperly secures a business or personal advantage and induces another person to perform their role in breach of an expectation of good faith, impartiality, or trust. Risks related to bribery and corruption may arise for the Barclays Bank Group in connection with (i) employees/prospective employees who have connections to external stakeholders, Politically Exposed Persons, or public officials; (ii) different types of payments and expenses such as facilitation payment requests, gifts and entertainment, charitable donations, commercial sponsorships and political donations; (iii) certain types of funding provided to customers with increased exposure to public officials; (iv) third parties who are engaged by the Bank to win or retain business; (v) the Barclays Bank Group's proprietary investments, joint ventures and mergers and acquisition or (vi) suppliers who act for and on behalf of the Barclays Bank Group.

Money laundering, the processing of assets derived from criminal activity, and terrorist financing have been identified as major threats to the international financial services community and therefore to the Barclays Bank Group. The UK has legislation designed to manage the risk of money laundering and to combat terrorism (together 'AML') and outlines the offences and penalties for failing to comply. This legislation, together with regulations, rules and industry guidance, forms the cornerstone of AML obligations for UK firms. The requirements of UK legislation apply to the Barclays Bank Group globally and as a transatlantic bank, Barclays AML standards take account of US AML requirements, in addition to the EU and other jurisdictions in which we operate. Barclays also takes account of guidance issued by bodies such as the Wolfsberg Group.

Sanctions are restrictions on activity with targeted countries, regions, governments, entities, individuals, and industries that are imposed by bodies such as the European Union (EU), the United Nations (UN), (including but not limited to the proliferation of nuclear, chemical, or biological weapons). As a global financial institution, Barclays must comply with applicable sanctions laws, rules and regulations in every jurisdiction in which it operates, or which apply to it because of the place of incorporation of its Group members. In order to protect its reputation and other legitimate business interests, in certain circumstances, Barclays' sanctions risk appetite may be more conservative than its legal obligations.

Tax evasion is a financial crime and a predicate offence to money laundering in the UK and in many other countries in which we operate. Barclays Bank PLC may be exposed to facilitation risks associated with tax evasion by virtue of its interactions with customers and clients or in connection with employees or third parties acting on our behalf.

Failure to appropriately manage these financial crime risks may undermine market integrity and may result in harm to the Barclays Bank Group's clients, customers, counterparties or employees, diminished confidence in financial products and services, damage to the Barclays Bank Group's reputation, regulatory breaches and/or financial penalties.

ix) Reputation risk

Reputation risk is the risk that an action, transaction, investment, event, decision or business relationship will reduce trust in the Barclays Bank Group's integrity and/or competence.

Any material lapse in standards of integrity, compliance, customer service or operating efficiency may represent a potential reputation risk. Stakeholder expectations constantly evolve, and so reputation risk is dynamic and varies between geographical regions, groups and individuals. A risk arising in one business area can have an adverse effect upon the Barclays Bank Group's overall reputation and any one transaction, investment or event (in the perception of key stakeholders) can reduce trust in the Barclays Bank Group's integrity and competence. The Barclays Bank Group's association with sensitive topics and sectors has been, and in some instances continues to be, an area of concern for stakeholders, including: (i) the financing of, and investments in, businesses which operate in sectors that are sensitive because of their relative carbon intensity or local environmental impact; (ii) potential association with human rights violations (including combating modern slavery) in the Barclays Bank Group's operations or supply chain and by clients and customers; and (iii) the financing of businesses which manufacture and export military and riot control goods and services.

Reputation risk could also arise from negative public opinion about the actual, or perceived, manner in which the Barclays Bank Group (including its employees, clients and other associations) conducts its business activities, or the Barclays Bank Group's financial performance, as well as actual or perceived practices in banking and the financial services industry generally.

Modern technologies, in particular online social media channels and other broadcast tools that facilitate communication with large audiences in short time frames and with minimal costs, may significantly enhance and accelerate the distribution and effect of damaging information and allegations. Negative public opinion may adversely affect the Barclays Bank Group's

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Material existing and emerging risks

ability to retain and attract customers, in particular, corporate and retail depositors, and to retain and motivate staff. It could also have a material adverse effect on the Barclays Bank Group's business, results of operations, financial condition and prospects. Claims of potential greenwashing arising from sustainability-related statements made by the Barclays Group may also give rise to reputation risk.

In addition to the above, reputation risk has the potential to arise from operational issues or conduct matters which cause harm to customers, clients, market integrity, effective competition or the Barclays Bank Group (refer to 'v) Operational risk' above).

For further details on the Barclays Bank Group's approach to reputation risk, refer to the reputation risk management and reputation risk performance sections.

x) Legal risk and legal, competition and regulatory matters

The Barclays Bank Group conducts diverse activities in a highly regulated global market which exposes it and its employees to legal risk arising from: (i) the multitude of laws, rules and regulations that apply to the activities it undertakes, which are highly dynamic, may vary between jurisdictions and/or conflict (particularly in relation to issues perceived as politically sensitive, such as policies and initiatives around diversity, equity and inclusion or sustainability), and may be unclear in their application to particular circumstances especially in new and emerging areas; and (ii) the diversified and evolving nature of the Barclays Bank Group's businesses and business practices. In each case, this exposes the Barclays Bank Group and its employees to the risk of investigation or enforcement action, loss or the imposition of penalties, damages or fines from the failure of members of the Barclays Bank Group to meet applicable laws, rules, regulations or contractual requirements or to assert or defend their intellectual property rights. Legal risk may arise in relation to any number of the material existing and emerging risks identified above.

The risk of non-compliance with the relevant rules and regulations may manifest itself where regulatory rules take the form of principles or outcome-based regulation. Uncertainty in regulatory expectations (including as a result of interpretation of principles-based regulation) may also lead to the risk that a regulator or another public body may look back at the Barclays Bank Group's historical conduct and find that there has been a mismatch between the prevailing market practices at the relevant time and the regulatory expectations, guidance or interpretations that have since developed.

A breach of applicable laws, rules and/or regulations by the Barclays Bank Group or its employees could result in criminal prosecution, regulatory censure, withdrawal or restriction of regulatory authorisations, licences and permissions, potentially significant fines, remedial orders and other sanctions in the jurisdictions in which the Barclays Bank Group operates. Where clients, customers or other third parties are harmed by the Barclays Bank Group's conduct, this may also give rise to civil legal proceedings, including class actions. In this regard, the growing claimant law firm market and the globalisation of class actions have enabled mass tort litigation and multi-claimant litigation on matters relating to competition, data breaches and sustainability. Any such litigation could lead to unmeritorious or speculative claims, inconsistent outcomes and the potential for disproportionate costs and burdens for the Barclays Bank Group.

Clients and customers of the Barclays Bank Group who qualify as eligible complainants under the Financial Services and Markets Act (as amended) may also bring complaints against the Barclays Bank Group before the Financial Ombudsman Service (FOS). As the Ombudsman has a relatively high degree of discretion when adjudicating complaints, dispute resolution through the FOS is inherently more uncertain than adjudication through the courts in traditional civil legal proceedings. FOS decisions have knock-on impacts on the Barclays Bank Group, as the Barclays Bank Group is required under the relevant regulatory rules to consider and take appropriate measures to provide redress to customers who may have suffered similar detriments but have not complained.

Other legal disputes may also arise between the Barclays Bank Group and third parties relating to matters such as breaches or enforcement of legal rights or obligations arising under contracts, statutes or common law. Adverse findings in any such matters may result in the Barclays Bank Group being liable to third parties or may result in the Barclays Bank Group's rights not being enforced or not being enforced in the manner intended or desired by the Barclays Bank Group.

Following the landmark Supreme Court judgment in *Johnson v FirstRand Bank Ltd (London Branch) (t/a MotoNovo Finance) [2025] UKSC 33*, which found that an unfair relationship under the Consumer Credit Act 1974 existed between a motor finance lender and its customer based on the particular facts of that case, the FCA is consulting on an industry-wide compensation scheme for affected motor finance customers. The FCA has stated that, if it introduces a redress scheme, it expects to publish a policy statement and final rules in February or March 2026, with compensation to consumers beginning later in 2026. The nature, extent and timing of any remediation action, if required under the FCA compensation scheme, remain uncertain.

Further details of legal, competition and regulatory matters to which the Barclays Bank Group is currently exposed are set out in Note 24. In addition to matters specifically described in Note 24, the Barclays Bank Group is engaged in various other legal proceedings which arise in the ordinary course of business.

The Barclays Bank Group is also subject to requests for information, investigations and other reviews (including skilled person reviews) by regulators and other public bodies. These may be in connection with business activities in which the

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Barclays Bank Group is, or has been, engaged, or areas of particular regulatory focus, such as financial crime, money laundering or terrorist financing. In addition, regulatory authorities' approaches and expectations, including their policies and priorities for enforcement investigations or actions, may change from time to time. The Barclays Bank Group may also (from time to time) be subject to claims and/or legal proceedings and other investigations relating to financial and non-financial disclosures made by members of the Barclays Bank Group (including, but not limited to, regulatory capital and liquidity reporting and sustainability disclosures).

Financial institutions, including the Barclays Bank Group, may face increasing litigation, conduct, enforcement and contract liability risks related to climate change, environmental degradation and other social, governance and sustainability-related issues as a result of their business activities. There are an increasing number of new climate and sustainability-related laws and regulations, many of which are beginning to diverge between jurisdictions. Divergence has also been notable in respect of diversity, equity and inclusion, where the enforcement landscape and legal obligations in certain jurisdictions are increasingly at odds with agendas in others. In particular, in the US, changing federal enforcement priorities and legal interpretations regarding diversity and inclusion programmes present unknown and evolving risks. Broader climate and sustainability-related legislation is also at risk of imposing requirements on international companies which do not align with regulatory frameworks in other jurisdictions in which those companies operate in some cases meaning that multiple sets of diverging jurisdictional requirements are being applied to the same company.

There is growing demand from investors and customers for sustainable products and services as well as greater transparency in respect of business operations. This has been accompanied by increased regulatory and NGO scrutiny which can create litigation or enforcement risk, either for not disclosing relevant information or due to the information disclosed. In particular, there has been an increasing focus on greenwashing, with greater consumer protection powers afforded to the Competition and Markets Authority under the Digital Markets, Competition and Consumers Act 2024 which can be used to tackle greenwashing.

Certain stakeholders have taken legal action (including under "soft law" mechanisms) against the Barclays Group and others (including regulators, campaign groups and customers) may decide to take action against the Barclays Bank Group in the future for allegedly financing or contributing to climate change, environmental degradation and other social, governance and sustainability-related issues, or because the Barclays Bank Group's response to climate change or other sustainability factors is perceived to be ineffective, insufficient or inappropriate.

On the other hand, laws, regulatory processes and policies seeking to restrict or prohibit doing certain business with entities are often identified as "boycotting" or "discriminating" against particular industries. In certain jurisdictions there has been a push towards policies and regulation which restrict consideration of sustainability factors in investment processes or otherwise, in order to protect the energy and other high carbon sectors from any risks of divestment or challenges in accessing finance.

The outcome of legal, competition and regulatory matters, both those to which the Barclays Bank Group is currently exposed and any others which may arise in the future, is difficult to predict (and any provision made in the Barclays Bank Group's financial statements relating to those matters may not be sufficient to cover actual losses).

In connection with such matters, the Barclays Bank Group may incur significant expense, regardless of the ultimate outcome, and any such matters could expose the Barclays Bank Group to any of the following outcomes: substantial monetary damages or settlements (including with respect to third-party litigation funding) and/or fines; remediation of affected customers and clients; other penalties and injunctive relief; additional litigation; criminal prosecution; the loss of any existing agreed protection from prosecution; regulatory restrictions on the Barclays Bank Group's business operations including the withdrawal or restriction of authorisations, licences or permissions; increased regulatory compliance requirements or changes to laws or regulations; suspension of operations; public reprimands or censure; loss of significant assets or business; a negative effect on the Barclays Bank Group's reputation; loss of confidence by investors, counterparties, clients and/or customers; risk of credit rating agency downgrades; potential negative impact on the availability and/or cost of funding and liquidity; and/or dismissal or resignation of key individuals. In light of the uncertainties involved in legal, competition and regulatory matters, there can be no assurance that the outcome of a particular matter or matters (including formerly active matters or those arising after the date of this Annual Report) will not have a material adverse effect on the Barclays Bank Group's business, results of operations, financial condition and prospects.

Risk review

Principal risk management

Climate risk management

In Barclays' Climate Risk Framework (CRF), Climate Risk is defined as the risk of financial losses arising from climate change, through physical risks and risks associated with transitioning to a lower carbon economy.

The two main categories of climate risk are physical and transition risk as defined below:

- **Physical risk** is defined by Barclays as the risk of financial losses related to physical impacts of a changing climate. Physical risks can be event-driven (acute risks), including increased frequency and/or severity of extreme weather events such as cyclones, hurricanes and floods. Longer-term shifts in climate patterns (chronic hazards) arise from sustained higher temperatures that may cause rises in sea levels, changing precipitation patterns or heat stress.
- **Transition risk** is defined by Barclays as the risk of financial losses caused by the changes driven by the economy shifting to a lower-carbon basis, including for example changes in policy, technology and consumer and investor sentiment.

Overview

The Barclays Group has developed the CRF for managing financial and operational risks stemming from climate change. It is underpinned by the Climate Risk Policy and Climate Risk Standard. The CRF, Climate Risk Policy and Climate Risk Standard are applicable for Barclays Bank Group's business activities, with a focus on lending, capital markets and investments.

The Barclays Bank Group's approach to managing climate risk is proportionate to the level of risk it faces, with a focus on prioritising and monitoring of material physical and transition risks within the Barclays Bank Group's portfolios. The approach is customised to reflect portfolio characteristics, size and exposure to specific climate risk drivers.

Climate risk is recognised as a driver of other existing financial risks (credit, market, treasury and capital) and operational risks, and is not treated as a standalone risk type. The non-financial risks (e.g. reputation risks) associated with climate change continue to be managed under their respective frameworks.

To operationalise its CRF, the Barclays Bank Group has and continues to implement new processes, tools, models and data repository as applicable, whilst also enhancing its existing ones. The Barclays Bank Group regularly reviews its approach and practices for alignment with regulatory developments and industry-standard practices for climate risk. The Barclays Bank Group has designed and implemented targeted controls to manage climate-related risks.

Organisation, roles and responsibilities

The Group Head of Climate Risk is the accountable executive for the management and oversight of climate risk.

On behalf of the Board, the BRC plays an important role in overseeing and challenging the Barclays Bank Group's progress towards achieving the Group's climate targets and assessing the impact of climate risks on the Group's overall risk profile and financial position. The Barclays Group and its legal entities have various governance structures, including committees and forums, to oversee and manage climate risk effectively.

The Barclays Bank Group has implemented controls to manage climate-related risks. The Climate Risk Control Forum provides oversight of climate related controls, including reviewing risk events, policy and issues management.

Risk appetite

The Barclays Group (including the Barclays Bank Group) approach to setting risk appetite for climate risk is aligned with the Group's ambition to be a net zero bank by 2050 and the Group's commitment to align its financing with the goals and timelines of the Paris Agreement, including working towards its 2030 financed emissions reduction targets. Climate risk considerations have been included in the risk appetite qualitative statements and quantitative constraints.

The risk appetite for climate risk is managed through risk limits, triggers and indicators set across different Principal Risks (including credit risk, market risk and treasury and capital risk), portfolios, sectors, asset classes and products. Regular monitoring, reporting and governance provide oversight so that exposures remain within the appetite and corrective actions are taken to address any breaches or excesses.

The Barclays Bank Group continues to regularly review its risk appetite and makes enhancements to maintain alignment with the Barclays Bank Group's strategic objectives as a part of its business planning process. The risk appetite is formally reviewed and approved by the Board annually.

Please see page 64 of the Barclays Transition Update for further details on Barclays (including the Barclays Bank Group) climate risk appetite.

Risk review

Principal risk management

Risk identification

The Barclays Bank Group employs a multi-layered risk identification approach, beginning with the analysis of transmission channels through which climate risk can drive risks in the Barclays Bank Group's traditional risk categories.

Horizon scanning is conducted to identify emerging risk themes, potential risk drivers, and key regulatory updates.

Assessments are performed to identify and analyse the vulnerability of different geographies and industry sectors to various physical and transition risk drivers. Countries and sectors judged to be at elevated risk are subject to heightened risk management. Refer to page 159 for details on sector exposures.

To identify property level physical hazards for Barclays' asset-backed lending and financing portfolios such as Private Bank and Wealth Management, Mortgages and Structured Lending and Financing portfolios, the Barclays Bank Group uses third party data providers in addition to the internal data sources.

Climate risks identified through these processes guide the Barclays Bank Group in defining priorities and focus areas for granular assessment within principal risk categories, such as credit, market, and operational risk. The below table provides examples of how Barclays' CRF considers potential key effects of climate risk drivers on the Barclays Bank Group's financial and operational Principal Risk types.

Principal Risk	Example effects of climate risk drivers
Credit risk	A changing climate (i.e. more frequent and more intense physical hazards) and society's response (i.e. increased transition factors such as new policies or technologies to reduce carbon emissions) impacts credit risk. The impact on credit risk relates to the failure of clients, customers or counterparties to meet their obligations as a result of physical and transition risks, which may lead to potential losses and/or exposures outside the Barclays Bank Group's risk appetite in retail and wholesale credit portfolios. Climate change can drive direct impacts such as damage to fixed assets from physical hazards, leading to changes in output and increased costs. Indirect impacts may include material disruptions to supply chains and shifting demand for goods and services. Transition risk factors such as low-carbon policies or technologies could also change the value and creditworthiness of counterparties, clients and customers.
Market risk	The impact on market risk relates to potential adverse changes in the value of the Barclays Bank Group's assets and liabilities from fluctuations in market variables as a result of physical and transition risks, which may lead to potential losses due to changes in equity and commodity prices and credit spreads. Either physical hazards or transition risk factors have the potential to trigger large, sudden and negative price adjustments where climate risk has not yet been incorporated into prices, driving additional market risk. Fluctuations in markets and prices in susceptible sectors or countries could drive losses to the value of the Barclays Bank Group's assets and liabilities.
Treasury & capital risk	The impact on treasury & capital risk relates to the impact on the capital requirements and liquidity funding requirements as a result of physical and transition risks, which may lead to changes in capital plans, funding plan requirements, asset and liabilities management (ALM) and exposures to changes in interest rates. Climate events can drive treasury & capital risk as counterparties draw down deposits and credit lines. Physical hazards or transition factors could lead to increased volatility, which could in turn change the value of investments and drive changes to funding requirements and accessibility, capital planning, capital requirements, or hedging methodologies.
Operational risk	Physical hazards and transition risk factors can lead to impacts on the firm's own operations including damage or unsuitability of premises, disruption to business operations and supply chain and ability to recover from outages (e.g. caused by workforce, technology and third-party service providers). For example, extreme weather events can impact the operation of bank offices, branches, and support facilities such as data centres. The transition to a low-carbon economy can lead to changes in operational processes, for example to mitigate climate impacts we need to decarbonise our buildings or requirements to achieve more carbon efficient buildings. Transition risks can also drive secondary impacts on operational risks such as the risk of misreporting as a result of enhanced regulatory disclosures requirements, or physical security breaches and branch closures as a result of protests related to Barclays Group's (including the Barclays Bank Group's) lending activities.

Risk Register and Materiality Assessment

The Barclays Bank Group uses its Risk Register process to assess the potential effects of climate risk drivers on principal risks and its portfolios. The Risk Register contains risks that may impact forward-looking business plans of the Barclays Bank Group and its business units. The materiality of climate risks is derived either quantitatively (typically based on stress testing) or through qualitative estimations. The potential impact is evaluated based on an adverse but plausible stress scenario. The Risk Register process has been extended to cover materiality assessment over the short, medium and long term for climate risk. Climate risk is assessed as having a higher materiality rating within the Barclays Bank Group Risk Register for credit risk than across other principal risk categories. The Barclays Bank Group Risk Register is refreshed on at least an annual basis and is subsequently used to support strategic planning and risk management activities.

Risk review

Principal risk management

Risk assessment

The Barclays Bank Group has developed a suite of tools and practices to assess climate risk, leveraging both qualitative insights and quantitative techniques. These tools and practices enable evaluation of potential exposures and vulnerabilities across portfolios of other principal risk types.

For credit risk, the Barclays Bank Group has integrated climate risk considerations into key processes of the credit lifecycle, including credit assessment, annual review and transaction approval processes. The Climate and Environmental Lens questionnaire is used to evaluate climate physical risks, climate transition risks and environmental risks (as relevant) for corporate clients operating in elevated risk sectors. The outputs from Climate & Environmental lens assessments are used to inform various credit processes. Climate risk factors are included in the downside cashflow modelling within the credit analysis process, and influence internal credit ratings when there is demonstrable evidence that such factors can have material adverse impact on the counterparty's financial position.

For Market Risk, the impact of climate risk is measured by applying a multi-asset combined stress scenario, which stresses the core risks susceptible to climate risks over long and short-term horizons (short-term is anything less than 10 days, while long-term is anything longer than 10 days). The estimated impact is calculated and reported internally on a weekly basis. The pattern of stress losses arising from the stress scenario is used to estimate and set ongoing limits, under which the Barclays Bank Group monitors and controls market risk arising from climate change.

For treasury and capital risk (TCR), climate risk considerations have also been incorporated into the Internal Capital Adequacy Assessment Process (ICAAP) and Liquidity Adequacy Assessment Process (ILAAP). The climate-related risk variables and stress scenarios have been integrated in the Group-wide internal stress testing framework to understand and quantify potential impact on the Barclays Bank Group's capital position. Further, TCR considerations also include the assessment of liquidity and pension risk.

For liquidity risk, assessments are informed by the application of industry and country classifications and evaluated using internal stress testing and portfolio-specific analysis to determine material areas of climate risk (e.g. by asset class or product type) that could impact funding and liquidity ratios.

For pension risk, key risk indicators based on the impact of physical and transition risk drivers on the pension fund have been defined. These are reviewed and monitored on a quarterly basis.

For operational risk, the primary objective is to ensure resilience against physical climate-related events. Climate risks are assessed within existing business-as-usual operational risk processes, with climate considerations embedded into premises management and operational recovery planning to strengthen business continuity and response capabilities. Climate risk factors have been integrated into Structured Scenario Assessments, which capture extreme but plausible operational tail risks. In addition to this, the Barclays Bank Group's material third party suppliers' vulnerabilities to physical risk events are assessed, and where appropriate, control requirements are set to manage these risks.

The Barclays Bank Group's work on assessing climate-related risks has focused on the short (0-1 year) and medium term (1-5 years) horizons, in line with our financial planning cycle. However, the longer-term climate (> 5 years) risks have been considered using both quantitative approaches, such as reverse stress testing, and qualitative analysis.

Risk monitoring and reporting

The Barclays Bank Group has adopted an integrated approach to managing and mitigating climate risks, combining continuous monitoring at a portfolio level, and bottom-up transaction-level assessments.

At the portfolio level, the Barclays Bank Group translates its climate risk appetite into a series of limits, triggers, and indicators to control risk-taking across different Principal Risks (including credit risk, market risk and treasury & capital Risk), portfolios, material sectors, asset classes and products. These limits are subject to regular monitoring and reporting to the relevant governance forums and committees.

At a transaction level, the Barclays Bank Group integrates climate considerations into credit decisioning and underwriting processes. Enhanced oversight and additional scrutiny have been introduced for new deals originated in elevated climate risk sectors, particularly those with sector targets and/or external position statements. Within the Global Markets business activities (Lending/Underwriting Structured Finance), new guidelines have been implemented to support new transactions and annual reviews across portfolios (including Commercial / Residential Real Estate, ABS, CLOs, Structured Credits and Equities, etc.). The guidelines and criteria for additional scrutiny are reviewed and updated regularly.

The Barclays Group's bespoke tool BlueTrack™ is used for measuring emissions and setting emission reduction sector targets for its financed portfolio. Currently, BlueTrack™ covers nine sectors as mentioned in pages 83-92 of the Barclays Group's Annual Report. Barclays Group has developed the Client Transition Framework (CTF) to evaluate corporate clients' progress towards low-carbon business models. Details on the scope of clients under CTF framework and its methodology are on page 75 of the Barclays Group Annual Report. The client CTF scores and emissions data from BlueTrack™ are further used to inform key risk management practices, including risk monitoring, setting limits, managing concentrations, credit decisions and stress testing exercises.

Risk review

Principal risk management

Stress testing, Scenario Analysis, ICAAP, and ILAAP are also used by the Barclays Bank Group to manage and mitigate financial risks. These exercises help the assessment of the Barclays Bank Group's resilience under adverse scenarios, with the aim of ensuring the bank maintains sufficient capital and liquidity buffers to withstand shocks.

Climate risk-related management information packs, including exposure and risk metrics for climate risk, are produced and reported to various committees and governance forums, including Barclays Group's CRC. The oversight by committees within Barclays Group and its legal entities seek to ensure proper oversight and monitoring of climate-sensitive exposures. The Barclays Bank Group seeks to continuously monitor regulatory developments, including emerging disclosure standards on climate and wider sustainability areas, and build internal capabilities to meet these new requirements. This also includes strengthening our scenario analysis capabilities and evaluating the feasibility of conducting scenario analysis for longer time horizons. During 2025, Barclays conducted an exploratory exercise to extend climate scenario analysis from a 5-year period to a 10-year period. We continue to reflect on the outcomes of this exercise to deepen our understanding and support the further development of long-term assessment capabilities.

Key enhancements

The Barclays Bank Group remains committed to maintaining a robust risk management framework for climate risk, with a continued focus on achieving greater maturity and integration across its operational processes. In 2025, notable enhancements were made in the following areas:

- The climate risk models within the Barclays Bank Group's capital assessment framework have been further refined and updated in line with the strategic plan to advance modelling capabilities. These models undergo independent model validation to ensure robustness and regulatory alignment.
- The physical risk assessment capabilities have been strengthened to ensure greater consistency in scenario design across diverse hazards and geographies. These enhancements also enable the integration of secondary transmission channels including insurance market dynamics, changes in consumer preferences and additional macroeconomic variables.
- The Barclays Bank Group has continued to enhance its control environment for climate risk by implementing new controls, reinforcing existing ones and developing a comprehensive control library to support consistent monitoring and adherence.
- In response to regulatory requirements, progress has been made within Barclays Europe to embed nature risk into its stress testing framework and ICAAP assessments, compared with last year's exploratory exercise. This includes enhancements to stress testing models, and the adoption of a joint climate- and nature-informed scenario narrative. The focus was on key nature-related risk drivers, including pollution, water stress, land use change, soil degradation, decline in pollinators and waste management (including recycling acceleration).

Credit risk management (audited)

The risk of loss to the Barclays Bank Group from the failure of clients, customers or counterparties, including sovereigns, to fully honour their obligations to the Barclays Bank Group, including the whole and timely payment of principal, interest, collateral and other receivables.

Overview

The credit risk that the Barclays Bank Group faces arises from wholesale and retail loans and advances together with the counterparty credit risk arising from derivative contracts with clients' trading activities, including: debt securities, settlement balances with market counterparties, FVOCI (fair value through other comprehensive income) assets and reverse repurchase loans.

Credit risk management objectives are to:

- maintain a framework of controls to oversee credit risk
- identify, assess and measure credit risk clearly and accurately across the Barclays Bank Group and within each separate business, from the level of individual facilities up to the total portfolio
- control and plan credit risk taking in line with external stakeholder expectations, including risk return objectives, and avoiding undesirable concentrations
- monitor credit risk and adherence to agreed controls.

Organisation, roles and responsibilities

The first line of defence has primary responsibility for managing credit risk within the risk appetite and limits set by the Risk function, supported by a defined set of policies, standards and controls. In the Barclays Bank Group, business risk committees (attended by the first line) monitor and review the credit risk profile of each business unit where the most material issues are escalated to the Retail Credit Risk Management Committee, Wholesale Credit Risk Management Committee and the Barclays Group Risk Committee.

Risk review

Principal risk management

Wholesale and retail portfolios are managed separately to reflect the differing nature of the assets; wholesale balances tend to be larger and are managed on an individual basis, while retail balances are greater in number but lesser in value and are, therefore, managed in aggregated segments.

The responsibilities of the credit risk management teams in the businesses, the sanctioning team and other shared services include: sanctioning new credit agreements (principally wholesale); setting strategies for approval of transactions (principally retail); setting risk appetite; monitoring risk against limits and other parameters; setting recession readiness frameworks to protect portfolios in the event of economic stress, maintaining robust processes, data gathering, quality, storage and reporting methods for effective credit risk management; performing effective turnaround and workout scenarios for wholesale portfolios via dedicated restructuring and recoveries teams; maintaining robust collections and recovery processes/units for retail portfolios. The credit risk management teams in the Barclays Bank Group are accountable to the Barclays Bank Group CRO, who reports to the Barclays Group CRO.

For wholesale portfolios, credit risk managers are organised in sanctioning teams by geography, industry and/or product. In wholesale portfolios, credit risk approval is undertaken by experienced credit risk professionals operating within a clearly defined delegated authority framework, with only the most senior credit officers assigned the higher levels of delegated authority. The largest credit exposures, which are outside the Risk Sanctioning Unit or Risk Distribution Committee authority, require the support of the Senior Credit Officers. For exposures in excess of the Senior Credit Officers' authority, approval by the Barclays Group Senior Credit Officer/Barclays PLC Board Risk Committee is also required. The Barclays Group Credit Risk Committee, attended by the Senior Credit Officers, provides a formal mechanism for the Barclays Group Senior Credit Officer to exercise the highest level of credit authority over the most material Barclays Group single name exposures.

Credit risk mitigation

The Barclays Bank Group employs a range of techniques and strategies to actively mitigate credit risks. These can broadly be divided into three types:

- netting and set-off
- collateral
- risk transfer.

Netting and set-off

Credit risk exposures can be reduced by applying netting and set-off. For derivative transactions, the Barclays Bank Group's normal practice is to enter into standard master agreements with counterparties (e.g. ISDAs). These master agreements typically allow for netting of credit risk exposure to a counterparty resulting from derivative transactions against the obligations to the counterparty in the event of default, and so produce a lower net credit exposure. These agreements may also reduce settlement exposure (e.g. for foreign exchange transactions) by allowing payments on the same day in the same currency to be set-off against one another.

Collateral

The Barclays Bank Group has the ability to call on collateral in the event of default of the counterparty, comprising:

- **home loans:** a fixed charge over residential property in the form of houses, flats and other dwellings.
- **wholesale lending:** a fixed charge over commercial property and other physical assets, in various forms.
- **other retail lending:** includes charges over other physical assets; second lien charges over residential property and finance lease receivables.
- **derivatives:** the Barclays Bank Group also often seeks to enter into a margin agreement (e.g. Credit Support Annex) with counterparties with which the Barclays Bank Group has master netting agreements in place. These annexes to master agreements provide a mechanism for further reducing credit risk, whereby collateral (margin) is posted on a regular basis (typically daily) to collateralise the mark to market exposure of a derivative portfolio measured on a net basis.
- **reverse repurchase agreements:** collateral typically comprises highly liquid securities which have been legally transferred to the Barclays Bank Group subject to an agreement to return them for a fixed price.
- **financial guarantees and similar off-balance sheet commitments:** cash collateral may be held against these arrangements.

Risk transfer

A range of instruments including guarantees, credit insurance, credit derivatives and securitisation can be used to transfer credit risk from one counterparty to another. These mitigate credit risk in three main ways:

- if the risk is transferred to a counterparty which is more creditworthy than the original counterparty, then overall credit risk is reduced.
- where recourse to the first counterparty remains, both counterparties must default before a loss materialises. This is less likely than the default of either counterparty individually, so credit risk is reduced.

Risk review

Principal risk management

- first loss exposures across pools of credit risk can be hedged via synthetic securitisation structures, typically via CLN issuance. As these are fully funded upfront, they provide for a direct reduction in credit risk exposure on referenced pools.

In addition, referenced pools of assets can be securitised with specific tranches of risk sold to investors to provide direct reduction in credit risk exposures.

Market risk management (audited)

The risk of loss arising from potential adverse changes in the value of the Barclays Bank Group's assets and liabilities from fluctuation in market variables including, but not limited to, interest rates, foreign exchange, equity prices, commodity prices, credit spreads, implied volatilities and asset correlations.

Overview

Market risk arises primarily as a result of client facilitation in wholesale markets, involving market making activities, risk management solutions and execution of syndications. Upon execution of a trade with a client, the Barclays Bank Group will look to hedge against the risk of the trade moving in an adverse direction. Mismatches between client transactions and hedges result in market risk due to changes in asset prices, volatility or correlations.

Organisation, roles and responsibilities

Market risk in the businesses resides primarily in IB and Treasury. These businesses have the mandate to assume market risk. The front office and Treasury trading desks are responsible for managing market risk on a day-to-day basis, where they are required to understand and adhere to all limits applicable to their businesses. The Market Risk team supports the trading desks with the day-to-day limit management of market risk exposures through governance processes which are outlined in supporting market risk policies and standards.

Market risk oversight and challenge is provided by business committees and Barclays Group committees, including the Market Risk Committee (MRC).

The objectives of market risk management are to:

- identify, understand and control market risk by robust measurement, limit setting, reporting and oversight
- facilitate business growth within a controlled and transparent risk management framework
- control market risk in the businesses according to the allocated appetite.

To meet the above objectives, a governance structure is in place to manage these risks consistent with the ERMF.

The Barclays Bank PLC Board Risk Committee recommends market risk appetite to the Barclays Bank PLC Board for their approval, within the parameters set by the Barclays PLC Board.

The Market Risk Committee (MRC) reviews and makes recommendations concerning the Barclays Group-wide market risk profile. This includes overseeing the operation of the Market Risk Framework and associated policies and standards, monitoring market and regulatory changes, and reviewing limit utilisation levels. The committee is chaired by the Market Risk Principal Risk Lead and attendees include the business heads of market risk and business aligned market risk managers.

In addition to MRC, the Investment Bank Risk Committee (IBRC) is the main forum in which market risk exposures are discussed and reviewed with senior business heads. The Committee is chaired by the BBPLC CRO and meets weekly, covering current market events, notable market risk exposures, and key risk topics. New business initiatives are generally socialised at IBRC before any changes to risk appetite or associated limits are considered in other governance committees.

Management value at risk (VaR)

VaR is an estimate of the potential loss arising from unfavourable market movements if the current positions were to be held unchanged for one business day. For internal market risk management purposes, a historical simulation methodology with a one-year equally weighted historical period, at the 95% confidence level is used for all trading books and some banking books.

Limits are applied at the total level as well as by risk factor type, which are then cascaded down to particular trading desks and businesses by the market risk management function.

See pages 218 to 219 for a review of management VaR.

Risk review

Principal risk management

Treasury and capital risk management

This comprises:

Liquidity risk: The risk that the Barclays Bank Group is unable to meet its contractual or contingent obligations or that it does not have the appropriate amount, tenor and composition of funding and liquidity to support its assets.

Capital risk: The risk that the Barclays Bank Group has an insufficient level or composition of capital to support its normal business activities and to meet its regulatory capital requirements under normal operating environments and stressed conditions (both actual and as defined for internal planning or regulatory testing purposes). This also includes the risk from the Barclays Bank Group's pension plans.

Interest rate risk in the banking book: The risk that the Barclays Bank Group is exposed to capital or income volatility because of a mismatch between the interest rate exposures of its (non-traded) assets and liabilities. This also includes credit spread risk in the banking book, the risk that the Barclays Bank Group is exposed to capital or income volatility because of changes in credit spreads on its (non-traded) assets and liabilities

The Barclays Bank PLC Treasury function manages treasury and capital risk exposure on a day-to-day basis, with the Barclays Bank PLC Treasury Committee together with the Barclays Group Treasury Committee acting as the principal management bodies for the Barclays Bank Group. The Treasury and Capital Risk function is responsible for oversight and provides insight into key capital, liquidity, interest rate risk in the banking book (IRRBB) and pension risk management activities. The assessment and management of the Barclays Bank Group's capital and liquidity position and IRRBB and pension risk requires the use of judgement, assumptions and estimates. Please see the description of material existing and emerging risks beginning on page 123 of this Annual Report for further details on such judgements, assumptions and estimates, including the potential risks involved.

Liquidity risk management (audited)

Overview

The efficient management of liquidity is essential to the Barclays Bank Group in order to retain the confidence of the financial markets and maintain the sustainability of the business. Treasury and Capital Risk have created a framework to manage all liquidity risk exposures under both normal and stressed conditions. The framework is designed to maintain liquidity resources that are sufficient in amount, quality and funding tenor profile to remain within the liquidity limits set by the Barclays Bank PLC Board. The Board sets liquidity limits on both internal and regulatory liquidity metrics.

Organisation, roles and responsibilities

Treasury has the primary responsibility for managing liquidity risk within the set risk appetite. Both Risk and Treasury contribute to the production of the Internal Liquidity Adequacy Assessment Process (ILAAP). The Treasury and Capital Risk function is responsible for the management and governance of the liquidity risk mandate, as defined by the Barclays Bank PLC Board.

The liquidity risk management framework established by Treasury and Capital Risk is designed to deliver the appropriate term and structure of funding, consistent with the risk appetite set by the Barclays Bank PLC Board. The framework incorporates a range of ongoing business management tools to monitor and stress test Barclays Bank PLC's balance sheet and recovery plan, including limit setting. Limit setting and transfer pricing are tools that are designed to control the level of liquidity risk taken and drive the appropriate mix of funds. Adherence to limits reduces the likelihood that a liquidity stress event could lead to an inability to meet the Barclays Bank Group's obligations as they fall due.

The Barclays Bank PLC Board approves the Barclays Bank PLC funding plan, internal stress tests, regulatory stress tests, recovery plan and liquidity risk qualitative statement that supports risk appetite. Barclays Bank PLC's Treasury Committee is responsible for monitoring and managing liquidity risk in line with Barclays Bank PLC's funding management objectives, funding plan and risk appetite. The Barclays Group Treasury and Capital Risk Committee monitors and reviews the liquidity risk profile and control environment, providing second line oversight of the management of liquidity risk. The Barclays Bank PLC Board Risk Committee reviews the risk profile, liquidity risk qualitative statement, and the impact of stress scenarios on Barclays Bank PLC's funding plan/forecast in order to agree Barclays Bank PLC's projected funding abilities. The Barclays Bank PLC Board Risk Committee also approves liquidity limits to define Barclays Bank PLC's risk appetite liquidity constraint.

Capital risk management (audited)

Overview

Capital risk is managed through ongoing monitoring and management of the capital and leverage position, regular stress testing and a robust capital governance framework. The objectives of the framework are to maintain adequate capital for the Barclays Bank Group and its legal entities to withstand the impact of the risks that may arise under normal and stressed conditions, and maintain adequate capital to cover current and forecast business needs and associated risks to provide a viable and sustainable business offering. The Barclays Bank Group aims to prudently manage its overall leverage position

Risk review

Principal risk management

(including risk of excessive leverage) by utilising plausible stress scenarios, reviewing and deploying management actions in response to deteriorating economic and commercial positions. In order to manage contingent leverage risk, the Barclays Bank Group considers the context from which the business consumption arises, the impact of client utilisation on leverage and the available actions to manage.

Organisation, roles and responsibilities

Treasury has the primary responsibility for managing and monitoring capital adequacy. The Barclays Bank Group Treasury and Capital Risk function provides oversight of capital risk. Production of the Barclays Bank PLC Internal Capital Adequacy Assessment Process (ICAAP) is the responsibility of Treasury.

Capital risk management is underpinned by a control framework and policy. The capital management strategy, outlined in the relevant legal entity capital plans, is developed in alignment with the control framework and policy for capital risk, and is implemented consistently in order to deliver on the Barclays Bank Group's objectives, which are aligned to those of the Barclays Group.

The Barclays Bank PLC Board approves the Barclays Bank PLC capital plan, internal stress tests and results of regulatory stress tests and those of the relevant Barclays Bank Group entities. The Barclays PLC Board also approves the Barclays Group recovery plan which takes into account management actions identified at the Barclays Bank Group level. The Barclays Bank PLC Treasury Committee and the Barclays Group Treasury Committee are responsible for monitoring and managing capital risk in line with Barclays Bank Group's capital management objectives, capital plan and risk frameworks. The Treasury and Capital Risk Committee (TCRC) monitors and reviews the capital risk profile and control environment, providing second line oversight of the management of capital risk.

For the relevant Barclays Bank Group subsidiaries, local management assures compliance with an entity's minimum regulatory capital requirements by reporting to local Asset and Liability Committees (or equivalents) with oversight by the Barclays Bank PLC Treasury Committee and the Barclays Group Treasury Committee, as required. In 2025, Barclays complied with all regulatory minimum capital requirements. Contingent leverage risk is managed by: i) setting comprehensive leverage (and RWA) targets for each business as part of the Treasury capital management process, taking into account adherence to early warning indicators and maintain a healthy leverage ratio, and; ii) Monitoring execution of actions taken to course-correct as necessary.

The Barclays Bank Group maintains a number of defined benefit pension schemes for past and current employees. The ability of schemes to meet pension payments is achieved with investments and contributions.

Pension risk arises because the market value of pension fund assets might decline; investment returns might reduce; or the estimated value of pension liabilities might increase. The Barclays Bank Group monitors the pension risks arising from its defined benefit pension schemes and works with the relevant pension fund's trustees to address shortfalls. In these circumstances the Barclays Bank Group could be required or might choose to make extra contributions to the pension fund. The Barclays Bank Group's main defined benefit scheme was closed to new entrants in 2012.

Interest rate risk in the banking book management (IRRBB)

Overview

Interest rate risk in the banking book is driven by counterparties deposit taking and lending activities, investments in the liquid asset portfolio and funding activities. As per the Barclays Bank Group's policy to remain within the defined risk appetite, hedging strategies are executed to mitigate the various IRRBB risks that result from these activities. However, the Barclays Bank Group remains susceptible to interest rate risk and other non-traded market risks from the following key sources:

- **Interest rate and repricing risk:** the risk that net interest income could be adversely impacted by a change in interest rates, differences in the timing of interest rate changes between assets and liabilities, and other constraints on interest rate changes as per product terms and conditions.
- **Counterparty behavioural risk:** the risk that net interest income could be adversely impacted by the discretion that counterparties may have in respect of being able to vary from their contractual obligations with the Barclays Bank Group. This risk is often referred to by industry regulators as 'embedded option risk'.
- **Investment risks in the liquid asset portfolio:** the risk that the fair value of assets held in the liquid asset portfolio and associated risk management portfolios could be adversely impacted by market volatility, creating volatility in capital directly.

Organisation, roles and responsibilities

The Barclays Bank PLC Treasury Committee and the Barclays Group Treasury Committee are responsible for monitoring and managing IRRBB risk in line with the Barclays Bank Group's management objectives and risk frameworks. The BRC and Treasury and Capital Risk Committee monitors and reviews the IRRBB risk profile and control environment, providing second line oversight of the management of IRRBB. The BRC reviews the interest rate risk profile, including review of the risk appetite at least annually and the impact of stress scenarios on the interest rate risk of the Barclays Bank PLC's banking books.

Risk review

Principal risk management

In addition, the Barclays Bank Group's IRRBB policy sets out the processes and key controls required to identify all IRRBB risks arising from banking book operations, to monitor the risk exposures via a set of metrics with a frequency in line with the risk management horizon, and to manage these risks within agreed risk appetite and limits.

Operational risk management

The risk of loss to the Barclays Bank Group from inadequate or failed processes or systems, human factors or due to external events (for example fraud) where the root cause is not due to credit or market risks.

Overview

The management of operational risk has three key objectives:

- deliver and oversee an operational risk capability owned and used by business leaders to enable sound risk decisions over the long term.
- provide the frameworks, policies and standards to enable management to meet their risk management responsibilities while the second line of defence provides robust, independent, and effective oversight and challenge.
- deliver a consistent and aggregated measurement of operational risk that will provide clear and relevant insights, so that the right management actions can be taken to keep the operational risk profile consistent with the Barclays Bank Group's strategy, the stated risk appetite and stakeholder needs.

The Barclays Bank Group operates within a system of internal controls that enables business to be transacted and risk taken without exposing it to unacceptable potential losses or reputational damages.

Organisation, roles and responsibilities

The prime responsibility for the management of operational risk and the compliance with control requirements rests within the business and functional units where the risk arises. The operational risk profile and control environment is reviewed by management through business risk committees and control committees. Operational risk issues escalated from these meetings are considered through the second line of defence review meetings. Depending on their nature, the outputs of these meetings are presented to the Group Controls and Risk Committee, the Barclays Bank Risk Forum, the Barclays Bank PLC Board Risk Committee or the Barclays Bank PLC Board Audit Committee. In addition, specific reports are prepared by Operational Risk on a regular basis for the Barclays Bank Risk Forum, GRC and the BRC.

Businesses and functions are required to report their operational risks on both a regular and an event-driven basis. The reports include a profile of the material risks that may threaten the achievement of their objectives and the effectiveness of key controls, operational risk events and a review of scenarios.

The Barclays Group Head of Operational Risk and Risk Oversight is responsible for establishing, owning and maintaining an appropriate Barclays Group-wide Operational Risk Management Framework, meanwhile the Barclays Bank PLC Head of Operational Risk is responsible for overseeing the portfolio of operational risk across all Barclays Bank Group businesses.

The Operational Risk function acts in a second line of defence capacity and is responsible for defining and overseeing the implementation of the framework and monitoring Barclays Bank Group's operational risk profile, including risk-based review and challenge. The Operational Risk function alerts management when risk levels exceed acceptable tolerance in order to drive timely decision-making and actions by the first line of defence.

Operational risk categories

Operational risks are grouped into risk categories to support effective risk management, measurement and reporting. These comprise: Change Delivery Management Risk; Data & Records Management Risk; Financial Reporting Risk; Fraud Risk; Cyber & Information Security Risk; Operational Recovery Planning Risk; People Risk; Premises Risk; Physical Security Risk; Risk Reporting; Supplier Risk; Tax Risk; Technology Risk; and Transaction Processing Risk.

For definitions of the Barclays Bank Group's Operational Risk Categories and Connected Risks, refer to the Barclays PLC Pillar 3 Report 2025.

Model risk management

The potential for adverse consequences from decisions based on incorrect or misused model outputs and reports.

Overview

The Barclays Bank Group uses models to support a broad range of activities, including formulating business strategies, informing business decisions, identifying and measuring risks, valuing exposures, conducting stress testing, assessing adequacy of capital, managing client assets, measuring compliance with internal risk limits, maintaining the formal control apparatus of the bank, meeting financial and regulatory reporting and disclosure requirements.

Risk review

Principal risk management

Since models are imperfect and incomplete representations of reality, they may be subject to uncertainty, errors and inappropriate use affecting the accuracy of their output. Model risk can lead to financial loss, poor business and strategic decision making, or damage to a bank's reputation.

Organisation, roles and responsibilities

Model Risk is a principal risk within the ERMF and is centrally governed by the Barclays Group's Model Risk Management ("MRM") function. MRM is an independent function responsible for establishing and maintaining the framework and the model inventory needed to assess, manage, and report model risk. The Global Head of MRM reports directly to the Group Chief Risk Officer. The Head of AI/ML (Machine Learning) Risk reports into the Global Head of MRM.

MRM establishes model risk policies and standards, sets out and monitors model risk appetite, validates and approves models, reports on model risk, operates the controls that govern models and maintains the inventory of all models used by the Group globally.

The Model Risk Framework, which is owned by the Head of MRM, provides the overview for management and governance of Model risk in Barclays, including key components such as the Model Risk Policy, the AI Policy and supporting standards, reporting and escalation paths for breaches of policy.

The Model Risk Policy prescribes the end-to-end requirements for the identification, measurement and management of model risk covering model documentation, development, monitoring, annual assessment and review, independent validation, approval, and change and reporting processes, and assigns clear roles and responsibilities for the end-to-end management of model risk.

The Artificial Intelligence (AI) Policy lays out the requirements for management and oversight of risks associated with use of AI and is supported by the AI standard. The primary objectives of this Policy are to:

- Define Ethical AI Principles to enable ethical, lawful, and appropriate use of AI.
- Establish an enterprise-wide definition of AI, define risks stemming from use of AI and define prohibited, high, medium and low risk uses of AI to enable consistent identification of AI Systems, and the risks associated with their use.
- Define governance and escalation pathways to provide transparency on AI use and associated risks to Senior Management.
- Define control objective for AI training and literacy

MRM operates the Barclays Group Model Risk Committee (GMRC), the purpose of which is to review and monitor the Model Risk profile and control environment across the Model Risk portfolio and assess the exposure against the approved appetite and associated tolerances. The GMRC escalates to the Barclays Group Risk Committee (GRC).

MRM also operates the Model Risk Control Forum (MR CF) that oversees the consistent and effective implementation of the Operational Risk Framework (ORF) as relating to Model Risk. The MR CF escalates to the Group Controls Committee. MRM reports on the model risk profile to the Group Board Risk Committee, the Group Risk Committee, key Barclays Legal Entity risk and control committees and forums. These committees consider Model Risk matters relevant to them and escalate as required in compliance with the Operation of Committees Policy and internal applicable governance policies.

Cross functional oversight of AI Risk in the bank, is provided by the Group AI Governance Council, under the mandate of Head of AI/ML Risk.

The Head of AI/ML Risk is also responsible for establishing the AI Risk Appetite, and enabling reporting of compliance with the AI Policy and AI Standard to the Group and local entity Board Risk Committee(s).

In addition, the Model Strategy and Oversight (MSO) Team, which is a first line independent team, provides oversight of strategic modelling decisions of material models, in particular ensuring compliance with regulations and relevant technical standards, following a risk-based approach focusing on material modelling issues, including:

- Ensures a comprehensive/consistent approach taken across the Barclays Bank Group to deliver material models requirements;
- Provides challenge to modelling decisions taken by Model Owners and Developers;
- Participates in the requisite forum (i.e. Group Model Management Steering Committee) to facilitate Senior Management oversight of the strategic approach taken for the development/re-development of material models and of key model aspects of associated rating systems within Barclays.

Risk review

Principal risk management

As per the ERMF, the first line of defence (1LOD) is comprised of all employees engaged in the revenue generating and client facing areas of the firm as well as all associated support functions, including Finance, Treasury, Technology and Operations, Human Resources, and Administration. Employees of risk and compliance are the second line of defence (2LOD).

The 1LOD for Model Risk is represented by 1LOD areas developing, using and owning models. 2LOD areas develop, use or employ models as well. In such cases, these 2LOD areas will be subject to independent oversight from MRM and within the MRM framework are considered as 1LOD. MRM is the 2LOD for Model Risk.

Compliance risk management

The risk of poor outcomes for, or harm to, customers, clients and markets, arising from the delivery of the Barclays Bank Group's products and services, (Conduct Risk), and the risk to Barclays, its clients, customers or markets from a failure to comply with the Laws, Rules and Regulations (LRR) applicable to the firm.

Overview

Compliance Risk incorporates wholesale conduct, customer protection, data privacy, regulatory compliance, product design and review, and laws, rules and regulation risks. The Bank has no appetite for material breaches of LRR, or Compliance Risk issues and events that are material, systemic, not promptly remediated, not reported to regulators in a timely manner where required, and/or are likely to result in regulatory enforcement.

Organisation, roles and responsibilities

The Compliance Risk Management Framework (CRMF) outlines how the Barclays Bank Group manages and measures its Compliance Risk Profile. The Group Chief Compliance Officer is accountable for developing, maintaining and overseeing a group-wide CRMF. The Barclays Bank PLC Chief Compliance Officer is responsible for providing effective oversight of Compliance Risk in line with the CRMF at the Entity and Subsidiary level. This includes overseeing the development and maintenance of the relevant Compliance Risk policies and associated standards, the monitoring of and reporting on the consistent application and the effectiveness of the implementation of the controls by management, to manage Compliance Risk. It is the responsibility of the first line of defence to establish controls to mitigate and monitor its compliance risk exposure. The responsibility for LRR risk management sits across various functions and business units, including Legal, Chief Controls Office, Risk and Compliance.

Senior managers are accountable within their areas of responsibility for owning and managing Compliance Risk in accordance with the CRMF, as defined within their regulatory Statement of Responsibilities, and a dedicated team has been established in Compliance to oversee and support senior managers in LRR risk management.

Compliance as an independent second line function oversees that Compliance Risks are effectively identified, managed, monitored and escalated, and has a key role in helping Barclays achieve the right conduct outcomes and evolve a compliance-focused culture.

The Barclays Bank PLC Chief Compliance Officer provides independent check and challenge to Business Senior Management to ensure their Compliance Risk management accountabilities are carried out effectively, including, but not limited to risk assessments, mitigation plans and reporting.

The governance of Compliance Risk within the Barclays Bank Group is fulfilled through management committees and forums operated by the first and second lines of defence, with clear escalation and reporting lines into Board level committees. The Barclays Bank PLC Risk Committee is the primary second line governance committee for the oversight of the Compliance Risk profile and responsibilities include the identification and discussion of any emerging Compliance Risk exposures in the Barclays Bank Group.

Financial crime risk management

The risk that the Barclays Bank Group and its associated persons (employees or third parties) commit or facilitate financial crime, and/or Barclays Bank Group's products and services are used to facilitate financial crime. Financial Crime undermines market integrity and may result in: Harm to clients, customers, counterparties or employees; diminished confidence in financial products and services; damage to Barclays reputation; regulatory breaches; and/or financial penalties.

Overview

Financial Crime risk management incorporates anti-bribery and corruption, anti-money laundering (including terrorist financing), tax evasion facilitation and sanctions risks (including proliferation financing).

The Barclays Bank Group has no appetite for Financial Crime risk issues and events that are material, systemic, not promptly remediated, not reported to regulators in a timely manner where required, and/or are likely to result in regulatory enforcement. The Barclays Bank Group will enable and support clients and customers to safely pursue their financial

Risk review

Principal risk management

objectives and avoid causing negative impacts to the same through regulatory or legislative breaches, including potential or foreseeable harm, caused by financial crime.

Barclays Bank Group strives to prevent detect and report financial crime through the execution of its end-to-end control framework.

Organisation, roles and responsibilities

The Financial Crime Risk Management Framework (FCRMF) outlines how the Barclays Bank Group manages and measures its Financial Crime risk profile. The Group Chief Compliance Officer is accountable for developing and overseeing the implementation of the FCRMF and the Financial Crime Policy. This includes defining the relevant control objectives, principles and other core requirements for the activities of the Barclays Bank Group. It is the responsibility of the first line of defence to maintain and embed the necessary risk and control environment for effective risk management and to ensure accurate, transparent and timely reporting on Financial Crime risk to the relevant governance fora.

Senior managers are accountable within their areas of responsibility for the identification and management of financial crime risk in accordance with the FCRMF, as defined within their regulatory Statement of Responsibilities.

Financial Crime Compliance, as an independent second line function, oversees that financial crime risks are effectively identified, managed, monitored and escalated, providing check and challenge to the business and ensuring that accountabilities are carried out effectively.

The governance of Financial Crime Risk within Barclays Bank Group is fulfilled through management committees and forums operated by the first and second lines of defence, with clear escalation and reporting lines into Board level committees. The Barclays Bank PLC Risk Committee is the primary second line governance committee for the oversight of the Financial Crime Risk profile and responsibilities include the identification and discussion of any emerging Financial Crime Risk exposures in the Barclays Bank Group.

In addition, Legal Entity and Regional Chief Compliance Officers and entity Money Laundering Reporting Officers (MLROs) will provide reporting as required by their entity Executive and Corporate (Board-level) Governance arrangements to support the oversight of the entity Financial Crime Risk profile.

Reputation risk management

The risk that an action, transaction, investment, event, decision, or business relationship will reduce trust in the Barclays Bank Group's integrity and/or competence.

Overview

A reduction of trust in the Barclays Bank Group's integrity and competence may reduce the attractiveness of the Barclays Bank Group to stakeholders and could lead to negative publicity, loss of revenue, regulatory or legislative action, loss of existing and potential client business, reduced workforce morale and difficulties in recruiting talent. Ultimately it may destroy shareholder value.

Organisation, roles and responsibilities

The Barclays Bank PLC Board is responsible for reviewing and monitoring the effectiveness of the Barclays Bank Group management of reputation risk.

The Barclays Bank PLC Chief Compliance Officer is responsible for overseeing the management of Reputation Risk for Barclays Bank PLC. The Reputation Risk Management Framework sets out what is required to manage reputation risk across the Barclays Bank Group, including escalations to the Barclays Bank Group Reputation Risk Committee, as required.

Each colleague is responsible for identifying, assessing and escalating reputation risk.

The Barclays Bank Group is required to operate within established reputation risk appetite, and its component businesses prepare reports for its respective Risk and Board Risk Committees highlighting their most significant current and potential reputation risks and issues and how they are being managed. These reports are a key internal source of information for the quarterly reputation risk reports which are prepared for the Barclays Bank PLC Risk Committee and the Barclays Bank PLC's Board.

Legal risk management

The risk of loss or imposition of penalties, damages or fines from the failure of the Barclays Bank Group to meet applicable laws, rules, regulations or contractual requirements or to assert or defend its intellectual property rights.

Risk review

Principal risk management

Overview

In conjunction with Barclays' Operational Risk Framework, the Group wide Legal Risk Management Framework (LRMF), which applies to Barclays Bank PLC, comprises a number of integrated components that details how the Group identifies, manages and measures its legal risk profile.

The multitude of laws and regulations across the globe are highly dynamic and their application to particular circumstances is often unclear resulting in a high level of inherent legal risk. The LRMF seeks to mitigate legal risk through the implementation of Group wide legal risk policies requiring the engagement of legal professionals to provide legal advice in situations that have the potential for legal risk, identification and management of legal risks by those legal professionals, and escalation of legal risk as necessary. Legal risk is also mitigated by the requirements of the Compliance Risk Management Framework (CRMF), including the responsibility of legal professionals to proactively identify, communicate and provide legal advice on applicable laws, rules and regulations. Notwithstanding these mitigating actions, Barclays Bank Group operates with a level of residual legal risk, for which the Barclays Bank Group has limited tolerance.

Organisation, roles and responsibilities

The Barclays Bank Group's businesses and functions have responsibility for identifying and escalating legal risk to the Legal Function, as well as responsibility for adherence to control requirements.

The Legal Function organisation and coverage model aligns legal expertise to businesses, functions, products, activities and geographic locations so that the Barclays Bank Group receives legal advice and support from appropriate legal professionals, working in partnership proactively to identify, manage and escalate legal risks as necessary.

The senior management of the Legal Function oversees, challenges and monitors the legal risk profile and effectiveness of the legal risk control environment across the Barclays Group. The Legal Function provides support to all areas of the bank and is not formally part of any of the three lines of defence. Except in relation to the legal advice it provides or procures, the Legal Function is subject to oversight from the second line of defence with respect to its own operational and compliance risks, as well as with respect to the legal risk to which the bank is exposed.

The Barclays Group General Counsel is responsible for developing and maintaining the Barclays Group wide LRMF. This includes defining the relevant legal risk policies, and producing the Barclays Group wide qualitative statement for legal risk as part of the Barclays' risk appetite statement. The legal entity General Counsels are responsible for the adoption and implementation of the legal risk policies in the respective legal entity.

The legal risk profile and control environment is reviewed by management through business risk committees and control committees. The Barclays Bank Group Risk Committee is incorporated in the Barclays Group Risk Committee and is the most senior executive body responsible for reviewing and monitoring the effectiveness of risk management across the Barclays Bank Group. Escalation paths from this committee exist to the Barclays Bank PLC Board Risk Committee.

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Carbon-related assets

According to TCFD, certain industry segments are more likely to be financially impacted than others due to their exposure to certain transition and physical risk factors for example, greenhouse gas (GHG) emissions, weather events like storms and hurricanes and dependencies on stable weather conditions for their operations and products. These non-financial industries are grouped into four key areas: Energy; Transportation; Materials and Buildings; and Agriculture, Food, and Forest Products. Barclays' exposures to the industries within these groups are reported as carbon-related assets and can be found in the table on the following page.

Elevated risk sectors

Barclays has assessed the physical and transition risks associated with Corporate and Financials sectors to identify and categorise industry segments/activities with heightened climate risks as elevated sectors. In each sector there are a range of vulnerabilities; whilst Barclays distinguish elevated activities within high-level sectors, not all our clients in sectors classified as elevated will have high carbon intensity or physical risk vulnerability.

Residential Real Estate exposures are included in this table as they are also susceptible to climate-related risks, even though Residential Real Estate is not classified as an economic sector.

Risk review

Risk performance

Climate risk performance

Carbon-related assets (Incl. sub-sector breakdown) ¹							Year on Year Change (%)
	2025						
	£m						
	Physical risk ²	Transition risk ²	Loans & advances ³	Loan commitments ⁴	Total	of which: Elevated	
Agriculture, food and forest products (including logging)			135	36	171	145	(24%)
Agriculture	✓	✓	135	36	171	145	
Energy & water			3,923	16,961	20,884	20,729	5%
Power utilities ⁵	✓	✓	3,497	15,277	18,774	18,774	
Metals (waste & recycling)			70	84	154	—	
Water utilities	✓	✓	356	1,600	1,956	1,955	
Manufacturing			5,534	30,949	36,483	11,796	3%
Automotive		✓	681	4,208	4,889	4,662	
Cements		✓	62	213	275	275	
Chemicals		✓	375	3,637	4,012	3,756	
Food, beverage and tobacco		✓	876	5,627	6,503	637	
Manufacturing - others ⁶		✓	2,607	14,874	17,481	509	
Metals		✓	272	247	519	228	
Oil and gas (refining)	✓	✓	300	1,262	1,562	1,562	
Packaging manufacturers: metal, glass and plastics			104	187	291	—	
Paper and forest products (excluding logging)			244	540	784	—	
Steel		✓	13	154	167	167	
Materials and building			16,752	12,774	29,526	1,149	6%
Construction and materials	✓		1,259	1,334	2,593	1,149	
Real estate management and development			15,493	11,440	26,933	—	
Mining and quarrying			1,230	7,904	9,134	9,134	2%
Mining (incl diversified miners) ⁷	✓	✓	119	1,521	1,640	1,640	
Oil and gas (extraction)	✓	✓	1,111	6,383	7,494	7,494	
Transport & storage			1,695	7,538	9,233	6,679	3%
Aviation	✓	✓	364	2,411	2,775	2,682	
Oil and gas (midstream)	✓	✓	105	2,502	2,607	2,607	
Other transport services			649	1,426	2,075	—	
Ports	✓		100	25	125	125	
Road haulage		✓	260	488	748	362	
Shipping		✓	217	686	903	903	
Wholesale and retail distribution and leisure			2,036	6,098	8,134	4,434	7%
Oil and gas (wholesale)		✓	760	1,668	2,428	2,012	
Others		✓	1,276	4,430	5,706	2,422	
Other financial institutions			534	542	1,076	—	27%
Real estate management and development (REITs)			534	542	1,076	—	
Home loans			4,951	9	4,960	—	—%
Residential real estate	✓		4,951	9	4,960	—	
Carbon-related assets/ Elevated risk sector Grand total			36,790	82,811	119,601	54,066	4%
Total Loans & advances and Loan commitments			205,939	334,096	540,035	540,035	1%
Carbon-related assets / Total Loans & advances and Loan commitments (%)			18%	25%	22%	10%	1%
Sub-total of sectors spanning in multiple industries							
Oil & gas			2,276	11,815	14,091	13,675	4%

Risk review

Risk performance

Climate risk performance

	2024					
	£m					Of which: Elevated
	Physical risk ²	Transition risk ²	Loans & advances ³	Loan commitments ⁴	Total	
Agriculture, food and forest products (including logging)			112	113	225	191
Agriculture	✓	✓	112	113	225	191
Energy & water			2,821	17,006	19,827	19,661
Power utilities ⁵	✓	✓	2,264	15,399	17,663	17,663
Metals (waste & recycling)			62	104	166	—
Water utilities	✓		495	1,503	1,998	1,998
Manufacturing			5,119	30,398	35,517	12,198
Automotive		✓	660	4,456	5,116	4,772
Cements		✓	29	302	331	332
Chemicals		✓	364	3,724	4,088	3,730
Food, beverage and tobacco		✓	881	5,897	6,778	800
Manufacturing - others ⁶		✓	2,488	13,284	15,772	637
Metals		✓	266	381	647	262
Oil and gas (refining)	✓	✓	79	1,447	1,526	1,525
Packaging manufacturers: metal, glass and plastics			133	242	375	—
Paper and forest products (excluding logging)			205	539	744	—
Steel		✓	14	126	140	140
Materials and building			15,733	12,117	27,850	937
Construction and materials	✓		1,313	1,130	2,443	937
Real estate management and development			14,420	10,987	25,407	—
Mining and quarrying			1,436	7,543	8,979	8,918
Mining (incl diversified miners) ⁷	✓	✓	259	1,610	1,869	1,809
Oil and gas (extraction)	✓	✓	1,138	5,926	7,064	7,064
Transport & storage			1,493	7,451	8,944	6,584
Aviation	✓	✓	230	2,345	2,575	2,472
Oil and gas (midstream)	✓	✓	163	2,566	2,729	2,729
Other transport services			575	1,301	1,876	—
Ports	✓		87	87	174	174
Road haulage		✓	312	451	763	382
Shipping		✓	126	701	827	827
Wholesale and retail distribution and leisure			2,134	5,473	7,607	4,123
Oil and gas (wholesale)		✓	882	1,337	2,219	1,880
Others		✓	1,252	4,136	5,388	2,243
Other financial institutions			380	469	849	—
Real estate management and development (REITs)			380	469	849	—
Home loans			4,956	18	4,974	—
Residential real estate			4,956	18	4,974	—
Carbon-related assets/ Elevated risk sector: Grand total			34,184	80,588	114,772	52,612
Total Loans & advances and Loan commitments			195,054	338,427	533,481	533,481
Carbon-related assets / Total Loans & advances and Loan commitments (%)			18%	24%	22%	10%
Sub-total of sectors spanning in multiple industries						
Oil & gas			2,262	11,276	13,538	13,198

Notes

- As industries decarbonise, sectors will increasingly include both carbon and non-carbon related activities e.g. Power utilities will also include, in part, their generation capacity from renewable energy sources.
- Physical risk and Transition risk indicators are added for elevated risk sectors to indicate the primary drivers of risk. See page 131 for further details.
- Loans and advances includes debt securities at amortised cost amounting to £55,153m (2024: £50,227m) of which carbon related assets are £1,233m (2024: £1,929m). These carbon related assets comprise £414m (2024: £1,388m) in Material & buildings, £281m (2024: £241m) in Other financial corporations, £391m (2024: £228m) in Transport and storage, £131m (2024: £63m) in Energy and water and £15m (2024: £9m) in Wholesale and retail distribution and leisure.
- Loan commitments excludes the fair value exposures of £21,292m (2024: £15,350m).
- Power utilities includes exposure towards renewable energy of £4,968m (2024: £3,565m).
- Manufacturing - others includes areas such as Medical & surgical equipment, Mining, quarrying & construction machinery, Special purpose machinery, Aerospace, Soaps & detergents, Cleaning & polishing preparations, Brushes, Stationery goods, Valves & compressors, Agricultural machinery & tractors, etc.
- Diversified miners with minority interests in thermal coal mining are included in this category.

Risk review

Risk performance

Climate risk performance

Financing

To facilitate greater understanding and transparency of our capital markets financing, we disclose the total capital raised for clients across all sectors using data sourced from Dealogic. We have provided the breakdown of our 2025 and 2024 financing below. We have constructed this table based on the mapping of issuers' industry assignment in Dealogic data and Barclays' internal industry taxonomy called Barclays Industry Classification (BIC). Financing volumes are reported on a manager-proceeds basis including bonds, equities, loans and securitised bonds and no modifications have been made by Barclays. This data represents a third party view of our financing and is subject to Dealogic's league table methodology, which pro-rates volume across lead-managers. We are presenting the data in this format to support transparency and comparability but it should be noted that this data is subject to further analysis and methodological enhancements, before it is included in BlueTrack™.

Carbon-related sectors in wholesale credit (Dealogic Industry Classification) ¹					
	31.12.2025 (£m)	Of which: Elevated	31.12.2024 (£m)	Of which: Elevated	% Change of Total
Agriculture, food and forest products	44	44	95	95	(54%)
Agriculture	44	44	95	95	
Energy & water	24,702	24,702	28,979	28,979	(15%)
Power utilities ²	22,569	22,569	27,868	27,868	
Water utilities	2,133	2,133	1,111	1,111	
Manufacturing	38,765	11,755	31,901	10,973	22%
Automotive	5,888	5,888	5,347	5,347	
Cements	140	140	344	344	
Chemicals	2,674	2,674	4,146	3,894	
Food, beverage and tobacco	7,133	347	7,591	115	
Manufacturing - others	19,950	988	10,618	49	
Metals	554	499	1,280	623	
Oil and gas (refining)	614	614	601	601	
Packaging manufacturers: metal, glass and plastics	502	—	1,056	—	
Paper and forest products (excluding logging)	705	—	918	—	
Steel	605	605	—	—	
Materials and building	7,218	900	6,190	731	17%
Construction and materials	1,133	900	810	731	
Real Estate management and development	6,085	—	5,380	—	
Mining and quarrying	7,683	7,683	6,290	6,244	22%
Mining (Incl. diversified miners) ³	843	843	585	539	
Oil and gas (extraction)	6,840	6,840	5,705	5,705	
Transport & storage	16,156	13,447	17,190	15,182	(6%)
Aviation	3,822	3,822	4,292	4,292	
Oil and gas (midstream)	7,979	7,979	10,076	10,076	
Other transport services	1,763	—	1,620	—	
Ports	—	—	64	64	
Road haulage	954	8	633	245	
Shipping	1,638	1,638	505	505	
Wholesale and retail distribution and leisure	4,722	2,508	4,160	1,066	14%
Oil and gas (wholesale)	776	484	235	100	
Others	3,946	2,024	3,925	966	
Other financial institutions	1,919	—	1,774	—	8%
Real estate management and development (REITs)	1,919	—	1,774	—	
Carbon-related assets/Elevated risk sector: Grand total	101,209	61,039	96,579	63,270	5%
Capital market financing Total	425,697		415,433		2%
Financing to Carbon-related sector over Total Capital market financing (%)	24%		23%		1%
Sub-total of sectors spanning in multiple industries					
Oil and gas	16,209	15,917	16,617	16,482	(2%)

Notes

- As industries decarbonise, sectors will increasingly include both carbon and non-carbon related activities e.g. the clients present within the sector exposure reported under Power utilities will also have part of their generation capacity from renewable energy sources, which represents a non-carbon related activity.
- Power utilities includes exposures towards renewable energy of £6,277m (2024: £4,423m).
- Diversified miners with minority interests in thermal coal mining are included in this category.

Risk review

Risk performance

Credit risk performance

All disclosures in this section pages, 162 to 216 are unaudited unless otherwise stated.

Overview

Credit risk represents a significant risk to the Barclays Bank Group, arising primarily from loans and advances and counterparty credit risk from derivative contracts with clients.

The credit risk disclosures exclude financial assets not subject to credit risk, such as equity securities, and certain contingent liabilities including performance guarantees.

These disclosures are materially aligned with the recommendations of the Taskforce on Disclosures about Expected Credit Losses (DECL).

Summary of performance in the year

Gross exposure: Gross loans and advances, including debt securities at amortised cost, increased by £11.1bn to £209.6bn (2024: £198.5bn) principally driven by growth in UK Corporate Banking (£4.4bn), IB (£1.1bn) and a £0.9bn increase in USCB from the partnership with GM. Further, Treasury investments contributed £4.9bn through the higher holdings in debt securities. The overall increase was partially offset by the impact of a stronger sterling against the US dollar (c.7%).

Partnership with General Motors (GM): Barclays USCB entered into an exclusive co-branded credit card partnership with GM on 22 August 2025. As at 31 December 2025, gross loans and advances at amortised cost include £1.3bn of balances arising from this arrangement, comprising £1.2bn of consumer and £0.1bn of the business card receivables, together with an associated impairment allowance of £0.1bn.

Exposure net of risk mitigation: The Barclays Bank Group's net exposure to credit risk increased by 4% to £950bn (2024: £909bn), primarily reflecting higher cash and balances at central banks (£28.2bn), cash collateral and settlement balances (£10.5bn) and the increased holding of trading portfolio assets (£11bn). This was partially offset by a decrease in financial assets at fair value through other comprehensive income (£9.4bn) and a decrease in assets held for sale driven by the disposal of the German Consumer finance business (£3.7bn). Overall, the credit risk mitigation held against total exposure decreased to 38% (2024: 40%).

Credit quality: Delinquencies remained broadly stable across the Barclays Bank Group, supported by a range of ongoing risk management actions designed to maintain the Group's defensive position amid macroeconomic headwinds. The Corporate loan portfolio continued to benefit from high-quality exposures and credit protection, and single-name charges remained idiosyncratic in nature. Further analysis of the credit quality of assets is presented in the approach to management and representation of credit quality section.

Stage movements: Stage 2 gross exposures decreased by £(0.6)bn, primarily reflecting a stronger sterling against the US dollar and re-calibration of US impairment models, which now better capture consumer behaviour. Stage 3 balances increased to £4.4bn (2024: £3.9bn) due to single name charges in IB. Refer to page 168 for further details.

Scenario: Global growth slows modestly as rising US tariffs and retaliatory measures disrupt trade flows, though domestic demand in advanced economies remains resilient. For Q425, macroeconomic scenarios have been refreshed and are designed around a wide range of economic outcomes, with the Downside 2 (DS2) scenario broadly aligned to Barclays' 2025 Internal Stress Test (IST25), incorporating climate-related drivers. Refer to the Barclays' resilience to climate scenarios on page 56 for further details.

ECL: Impairment allowances on loans and advances at amortised cost, including off-balance sheet exposures, increased to £4.0bn (2024: £3.9bn) largely attributable to a single name charge in IB, elevated US macroeconomic uncertainty and the GM portfolio acquisition. This was partially offset by the impact of a stronger sterling against the US dollar. On-balance sheet coverage remained stable at 1.7% (2024: 1.7%).

Credit impairment charges/(releases): Credit impairment charges increased to £1,866m (2024: £1,617m) reflecting acquisition of the GM portfolio, a single name charge in IB and elevated US macroeconomic uncertainty.

Management adjustments: Economic uncertainty adjustments increased to £81m (2024: £nil), reflecting an additional provision for elevated US macroeconomic uncertainty following tariff developments. Refer to the Management adjustment to models for impairment section on page 183 for further details.

Climate: The Barclays Bank Group assesses climate-related physical and transition risks through scenario analysis and targeted reviews of climate-sensitive portfolios. The DS2 scenario is broadly aligned with the climate-aware IST25, and selected portfolios incorporate enhanced customer-level climate-risk modelling.

Assets held for sale: The sale of the German consumer finance business, previously classified as held for sale, has been completed. The 'Held for Sale' section continues to include credit risk disclosures for a co-branded card portfolio in the USCB.

Risk review

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Credit risk performance

Further detail can be found in the Financial statements section in Note 8 Credit impairment charges/(releases). Description of terminology can be found in the glossary, available at home.barclays/annualreport. Refer to the credit risk management section for details of governance, policies and procedures.

Risk review

Risk performance

Credit risk performance

Maximum exposure and effects of netting, collateral and risk transfer

The following tables present a reconciliation between the Barclays Bank Group's maximum exposure and its net exposure to credit risk, reflecting the financial effects of risk mitigation reducing the Barclays Bank Group's exposure.

The Barclays Bank Group mitigates the credit risk to which it is exposed through netting and set-off, collateral and risk transfer. Further detail on the Barclays Bank Group's policies to each of these forms of credit enhancement is presented on pages [148](#) to [149](#) of the credit risk management section.

Collateral obtained

Where collateral has been obtained in the event of default, the Barclays Bank Group does not, ordinarily, use such assets for its own operations and they are usually sold on a timely basis. The carrying value of assets held by the Barclays Bank Group as at 31 December 2025, as a result of the enforcement of collateral, was £47m (2024: £12m).

Maximum exposure and effect of netting, collateral and risk transfer (audited)						
Barclays Bank Group	Maximum exposure	Netting and set-off	Cash collateral	Non-cash collateral	Risk transfer	Exposure net of risk mitigation
As at 31 December 2025	£m	£m	£m	£m	£m	£m
On-balance sheet:						
Cash and balances at central banks	208,544	—	—	—	—	208,544
Cash collateral and settlement balances	124,519	—	—	—	—	124,519
Loans and advances at amortised cost:						
Retail mortgages	4,952	—	(11)	(4,921)	(6)	14
Retail credit cards	20,527	—	—	—	—	20,527
Retail other	4,128	—	(1,064)	(2,617)	(43)	404
Corporate loans	121,179	(2,977)	(1,424)	(64,584)	(4,844)	47,350
Total loans and advances at amortised cost	150,786	(2,977)	(2,499)	(72,122)	(4,893)	68,295
Of which credit-impaired (Stage 3):						
Retail mortgages	151	—	—	(151)	—	—
Retail credit cards	381	—	—	—	—	381
Retail other	87	—	—	(84)	—	3
Corporate loans	1,770	—	(22)	(1,003)	(247)	498
Total credit-impaired loans and advances at amortised cost	2,389	—	(22)	(1,238)	(247)	882
Debt securities at amortised cost	55,153	—	—	(136)	—	55,017
Reverse repurchase agreements and other similar secured lending	17,662	—	—	(17,662)	—	—
Trading portfolio assets:						
Debt securities	94,040	—	—	(639)	—	93,401
Traded loans	12,249	—	—	(4,907)	—	7,342
Total trading portfolio assets	106,289	—	—	(5,546)	—	100,743
Financial assets at fair value through the income statement:						
Loans and advances	46,885	—	(17)	(42,290)	—	4,578
Debt securities	3,121	—	—	(359)	—	2,762
Reverse repurchase agreements	132,600	—	(1,433)	(130,807)	—	360
Other financial assets	60	—	—	—	—	60
Total financial assets at fair value through the income statement	182,666	—	(1,450)	(173,456)	—	7,760
Derivative financial instruments	252,192	(194,772)	(29,930)	(12,646)	(4,121)	10,723
Financial assets at fair value through other comprehensive income	42,818	—	—	(2,390)	—	40,428
Other assets	624	—	(1)	—	—	623
Assets held for sale	5,801	—	—	—	—	5,801
Total on-balance sheet	1,147,054	(197,749)	(33,880)	(283,958)	(9,014)	622,453
Off-balance sheet:						
Contingent liabilities	26,633	—	(1,768)	(768)	(194)	23,903
Loan commitments	355,388	—	(491)	(49,265)	(2,376)	303,256
Total off-balance sheet	382,021	—	(2,259)	(50,033)	(2,570)	327,159
Total	1,529,075	(197,749)	(36,139)	(333,991)	(11,584)	949,612

Risk review

Risk performance

Credit risk performance

The above table excludes any credit risk mitigation that does not impact the expected credit loss for financial assets measured at amortised cost. Off-balance sheet exposures are shown gross of provisions of £398m (2024: £420m), see Note 23 for further details. In addition to the above, Barclays Bank Group holds forward starting reverse repos amounting to £81.5bn (2024: £108.6bn) which are fully collateralised. Corporate loans at amortised cost include £0.1bn (2024: £0.2bn) of CBILs and CLBILs supported by UK government guarantees of £0.1bn (2024: £0.1bn) which are included within the Risk transfer column in the table. Reported off-balance sheet loan commitments also include exposures relating to financial assets classified as assets held for sale.

Maximum exposure and effects of netting, collateral and risk transfer (audited)						
Barclays Bank Group	Maximum exposure	Netting and set-off	Cash collateral	Non-cash collateral	Risk transfer	Exposure net of risk mitigation
As at 31 December 2024	£m	£m	£m	£m	£m	£m
On-balance sheet:						
Cash and balances at central banks	180,365	—	—	—	—	180,365
Cash collateral and settlement balances	113,987	—	—	—	—	113,987
Loans and advances at amortised cost:						
Retail mortgages	4,956	—	(22)	(4,922)	—	12
Retail credit cards	19,749	—	—	—	—	19,749
Retail other	3,918	—	(1,106)	(2,441)	(33)	338
Corporate loans	116,204	(3,006)	(1,104)	(57,458)	(4,536)	50,100
Total loans and advances at amortised cost	144,827	(3,006)	(2,232)	(64,821)	(4,569)	70,199
Of which credit-impaired (Stage 3):						
Retail mortgages	278	—	—	(277)	—	1
Retail credit cards	308	—	—	—	—	308
Retail other	191	—	(21)	(162)	—	8
Corporate loans	1,261	—	(32)	(383)	(87)	759
Total credit-impaired loans and advances at amortised cost	2,038	—	(53)	(822)	(87)	1,076
Debt securities at amortised cost	50,227	—	—	(583)	(40)	49,604
Reverse repurchase agreements and other similar secured lending	3,393	—	—	(3,393)	—	—
Trading portfolio assets:						
Debt securities	77,805	—	—	(657)	—	77,148
Traded loans	13,470	—	—	(878)	—	12,592
Total trading portfolio assets	91,275	—	—	(1,535)	—	89,740
Financial assets at fair value through the income statement:						
Loans and advances	44,182	—	(17)	(40,401)	—	3,764
Debt securities	2,931	—	—	(182)	—	2,749
Reverse repurchase agreements	141,791	—	(2,429)	(138,924)	—	438
Other financial assets	85	—	—	—	—	85
Total financial assets at fair value through the income statement	188,989	—	(2,446)	(179,507)	—	7,036
Derivative financial instruments	292,356	(230,260)	(28,953)	(12,633)	(5,284)	15,226
Financial assets at fair value through other comprehensive income	51,010	—	—	(1,104)	(102)	49,804
Other assets	665	—	(1)	—	—	664
Assets held for sale	9,544	—	—	—	—	9,544
Total on-balance sheet	1,126,638	(233,266)	(33,632)	(263,576)	(9,995)	586,169
Off-balance sheet:						
Contingent liabilities	26,565	—	(2,664)	(441)	(248)	23,212
Loan commitments	353,777	—	(550)	(51,812)	(1,840)	299,575
Total off-balance sheet	380,342	—	(3,214)	(52,253)	(2,088)	322,787
	—	—	—	—	—	—
Total	1,506,980	(233,266)	(36,846)	(315,829)	(12,083)	908,956

Risk review

Risk performance

Credit risk performance

Maximum exposure and effects of netting, collateral and risk transfer (audited)

Barclays Bank PLC	Maximum exposure	Netting and set-off	Cash collateral	Non-cash collateral	Risk transfer	Exposure net of risk mitigation
As at 31 December 2025	£m	£m	£m	£m	£m	£m
On-balance sheet:						
Cash and balances at central banks	178,321	—	—	—	—	178,321
Cash collateral and settlement balances	79,212	—	—	—	—	79,212
Loans and advances at amortised cost:						
Retail mortgages	4,547	—	(11)	(4,526)	—	10
Retail credit cards	—	—	—	—	—	—
Retail other	2,889	—	(901)	(1,852)	—	136
Corporate loans	240,116	(2,969)	(1,006)	(59,721)	(5,208)	171,212
Total loans and advances at amortised cost	247,552	(2,969)	(1,918)	(66,099)	(5,208)	171,358
<i>Of which credit-impaired (Stage 3):</i>						
Retail mortgages	134	—	—	(134)	—	—
Retail credit cards	—	—	—	—	—	—
Retail other	44	—	—	(42)	—	2
Corporate loans	1,471	—	(17)	(944)	(214)	296
Total credit-impaired loans and advances at amortised cost	1,649	—	(17)	(1,120)	(214)	298
Debt securities at amortised cost	38,790	—	—	(136)	—	38,654
Reverse repurchase agreements and other similar secured lending	24,974	—	—	(24,974)	—	—
Trading portfolio assets:						
Debt securities	44,957	—	—	(639)	—	44,318
Traded loans	12,513	—	—	(5,318)	—	7,195
Total trading portfolio assets	57,470	—	—	(5,957)	—	51,513
Financial assets at fair value through the income statement:						
Loans and advances	57,126	—	(17)	(20,765)	—	36,344
Debt securities	4,729	—	—	(57)	—	4,672
Reverse repurchase agreements	200,390	—	(1,517)	(198,873)	—	—
Other financial assets	1	—	—	—	—	1
Total financial assets at fair value through the income statement	262,246	—	(1,534)	(219,695)	—	41,017
Derivative financial instruments	224,937	(175,132)	(21,605)	(10,887)	(3,601)	13,712
Financial assets at fair value through other comprehensive income	41,289	—	—	(2,390)	—	38,899
Other assets	744	—	—	—	—	744
Total on-balance sheet	1,155,535	(178,101)	(25,057)	(330,138)	(8,809)	613,430
Off-balance sheet:						
Contingent liabilities	48,437	—	(1,403)	(761)	(398)	45,875
Loan commitments	220,278	—	(332)	(52,934)	(2,367)	164,645
Total off-balance sheet	268,715	—	(1,735)	(53,695)	(2,765)	210,520
Total	1,424,250	(178,101)	(26,792)	(383,833)	(11,574)	823,950

The above table excludes any credit risk mitigation that does not impact the expected credit loss for financial assets measured at amortised cost. Off-balance sheet exposures are shown gross of provisions of £331m (2024: £331m), see Note 23 for further details. In addition to the above, Barclays Bank PLC holds forward starting reverse repos amounting to £73.7bn (2024: £62.3bn) which are fully collateralised. Corporate loans at amortised cost include £0.1bn (2024: £0.2bn) of CBILs and CLBILs supported by UK government guarantees of £0.1bn (2024: £0.1bn) which are included within the Risk transfer column in the table.

Risk review

Risk performance

Credit risk performance

Maximum exposure and effects of netting, collateral and risk transfer (audited)

Barclays Bank PLC	Maximum exposure	Netting and set-off	Cash collateral	Non-cash collateral	Risk transfer	Exposure net of risk mitigation
As at 31 December 2024	£m	£m	£m	£m	£m	£m
On-balance sheet:						
Cash and balances at central banks	151,288	—	—	—	—	151,288
Cash collateral and settlement balances	75,284	—	—	—	—	75,284
Loans and advances at amortised cost:						
Retail mortgages	4,481	—	(20)	(4,453)	—	8
Retail credit cards	—	—	—	—	—	—
Retail other	2,900	—	(949)	(1,747)	(2)	202
Corporate loans	217,671	(3,006)	(1,407)	(44,962)	(7,462)	160,834
Total loans and advances at amortised cost	225,052	(3,006)	(2,376)	(51,162)	(7,464)	161,044
<i>Of which credit-impaired (Stage 3):</i>						
Retail mortgages	224	—	—	(224)	—	—
Retail credit cards	—	—	—	—	—	—
Retail other	162	—	(21)	(133)	—	8
Corporate loans	1,019	—	(32)	(331)	(53)	603
Total credit-impaired loans and advances at amortised cost	1,405	—	(53)	(688)	(53)	611
Debt securities at amortised cost	35,519	—	—	(583)	(40)	34,896
Reverse repurchase agreements and other similar secured lending	5,546	—	—	(5,546)	—	—
Trading portfolio assets:						
Debt securities	38,658	—	—	(657)	—	38,001
Traded loans	12,880	—	—	(878)	—	12,002
Total trading portfolio assets	51,538	—	—	(1,535)	—	50,003
Financial assets at fair value through the income statement:						
Loans and advances	54,711	—	(17)	(21,988)	—	32,706
Debt securities	4,165	—	—	—	—	4,165
Reverse repurchase agreements	194,770	—	(2,238)	(192,531)	—	1
Other financial assets	21	—	—	—	—	21
Total financial assets at fair value through the income statement	253,667	—	(2,255)	(214,519)	—	36,893
Derivative financial instruments	260,487	(207,100)	(20,218)	(10,981)	(4,572)	17,616
Financial assets at fair value through other comprehensive income						
Other assets	49,499	—	—	(1,104)	(102)	48,293
Total on-balance sheet	1,108,603	(210,106)	(24,849)	(285,430)	(12,178)	576,040
Off-balance sheet:						
Contingent liabilities	48,506	—	(2,342)	(436)	(248)	45,480
Loan commitments	222,182	—	(369)	(57,440)	(1,816)	162,557
Total off-balance sheet	270,688	—	(2,711)	(57,876)	(2,064)	208,037
Total	1,379,291	(210,106)	(27,560)	(343,306)	(14,242)	784,077

Risk review

Risk performance

Credit risk performance

Expected credit losses

Loans and advances at amortised cost by product

Total loans and advances at amortised cost in the credit risk performance section includes loans and advances at amortised cost to banks and loans and advances at amortised cost to customers.

The table below presents a product breakdown of loans and advances at amortised cost and the impairment allowance by stage. The table also presents stage allocation of debt securities.

The impairment allowance under IFRS 9 considers both the drawn and the undrawn counterparty exposure. For retail portfolios, the total impairment allowance is allocated to gross loans and advances to the extent allowance does not exceed the drawn exposure and any excess is reported on the liabilities side of the balance sheet as a provision. For wholesale portfolios, impairment allowance on undrawn exposure is reported on the liability side of the balance sheet as a provision.

Barclays Bank Group (audited)		Stage 2				Stage 3	Total ¹
	Stage 1	Not past due	<=30 days past due	>30 days past due	Total		
As at 31 December 2025	£m	£m	£m	£m	£m	£m	£m
Gross exposure							
Retail mortgages	4,674	34	1	101	136	175	4,985
Retail credit cards	18,801	2,022	238	276	2,536	1,776	23,113
Retail other	3,788	80	123	62	265	107	4,160
Corporate loans	111,629	7,941	60	155	8,156	2,360	122,145
Total loans and advances at amortised cost	138,892	10,077	422	594	11,093	4,418	154,403
Debt securities at amortised cost	54,801	371	—	—	371	—	55,172
Total loans and advances at amortised cost including debt securities	193,693	10,448	422	594	11,464	4,418	209,575
Impairment allowance							
Retail mortgages	9	—	—	—	—	24	33
Retail credit cards	395	508	105	183	796	1,395	2,586
Retail other	7	3	1	1	5	20	32
Corporate loans	141	219	6	10	235	590	966
Total loans and advances at amortised cost	552	730	112	194	1,036	2,029	3,617
Debt securities at amortised cost	10	9	—	—	9	—	19
Total loans and advances at amortised cost including debt securities	562	739	112	194	1,045	2,029	3,636
Net exposure							
Retail mortgages	4,665	34	1	101	136	151	4,952
Retail credit cards	18,406	1,514	133	93	1,740	381	20,527
Retail other	3,781	77	122	61	260	87	4,128
Corporate loans	111,488	7,722	54	145	7,921	1,770	121,179
Total loans and advances at amortised cost	138,340	9,347	310	400	10,057	2,389	150,786
Debt securities at amortised cost	54,791	362	—	—	362	—	55,153
Total loans and advances at amortised cost including debt securities	193,131	9,709	310	400	10,419	2,389	205,939
Coverage ratio	%	%	%	%	%	%	%
Retail mortgages	0.2	—	—	—	—	13.7	0.7
Retail credit cards	2.1	25.1	44.1	66.3	31.4	78.5	11.2
Retail other	0.2	3.8	0.8	1.6	1.9	18.7	0.8
Corporate loans	0.1	2.8	10.0	6.5	2.9	25.0	0.8
Total loans and advances at amortised cost	0.4	7.2	26.5	32.7	9.3	45.9	2.3
Debt securities at amortised cost	—	2.4	—	—	2.4	—	—
Total loans and advances at amortised cost including debt securities	0.3	7.1	26.5	32.7	9.1	45.9	1.7

Note

- Other financial assets subject to impairment excluded in the table above include cash collateral and settlement balances, reverse repurchase agreements and other similar secured lending, financial assets at fair value through other comprehensive income and other assets. These have a total gross exposure of £186.1bn and an impairment allowance of £145m. This comprises £17m impairment allowance on £184.4bn Stage 1 exposure, £8m on £1.6bn Stage 2 exposure and £120m on £123m Stage 3 exposure. Loan commitments and financial guarantee contracts have total impairment allowance of £398m.

Risk review

Risk performance

Credit risk performance

Barclays Bank Group (audited)		Stage 2					
	Stage 1	Not past due	<=30 days past due	>30 days past due	Total	Stage 3	Total ¹
As at 31 December 2024							
Gross exposure	£m	£m	£m	£m	£m	£m	£m
Retail mortgages	4,537	9	—	141	150	310	4,997
Retail credit cards	17,629	2,449	256	248	2,953	1,724	22,306
Retail other	3,329	177	157	70	404	216	3,949
Corporate loans	107,194	7,944	137	66	8,147	1,654	116,995
Total loans and advances at amortised cost	132,689	10,579	550	525	11,654	3,904	148,247
Debt securities at amortised cost	47,077	3,170	—	—	3,170	—	50,247
Total loans and advances at amortised cost including debt securities	179,766	13,749	550	525	14,824	3,904	198,494
Impairment allowance							
Retail mortgages	8	1	—	—	1	32	41
Retail credit cards	334	552	105	150	807	1,416	2,557
Retail other	5	1	—	—	1	25	31
Corporate loans	144	240	6	8	254	393	791
Total loans and advances at amortised cost	491	794	111	158	1,063	1,866	3,420
Debt securities at amortised cost	9	11	—	—	11	—	20
Total loans and advances at amortised cost including debt securities	500	805	111	158	1,074	1,866	3,440
Net exposure							
Retail mortgages	4,529	8	—	141	149	278	4,956
Retail credit cards	17,295	1,897	151	98	2,146	308	19,749
Retail other	3,324	176	157	70	403	191	3,918
Corporate loans	107,050	7,704	131	58	7,893	1,261	116,204
Total loans and advances at amortised cost	132,198	9,785	439	367	10,591	2,038	144,827
Debt securities at amortised cost	47,068	3,159	—	—	3,159	—	50,227
Total loans and advances at amortised cost including debt securities	179,266	12,944	439	367	13,750	2,038	195,054
Coverage ratio	%	%	%	%	%	%	%
Retail mortgages	0.2	11.1	—	—	0.7	10.3	0.8
Retail credit cards	1.9	22.5	41.0	60.5	27.3	82.1	11.5
Retail other	0.2	0.6	—	—	0.2	11.6	0.8
Corporate loans	0.1	3.0	4.4	12.1	3.1	23.8	0.7
Total loans and advances at amortised cost	0.4	7.5	20.2	30.1	9.1	47.8	2.3
Debt securities at amortised cost	—	0.3	—	—	0.3	—	—
Total loans and advances at amortised cost including debt securities	0.3	5.9	20.2	30.1	7.2	47.8	1.7

Note

- 1 Other financial assets subject to impairment excluded in the table above include cash collateral and settlement balances, reverse repurchase agreements and other similar secured lending, financial assets at fair value through other comprehensive income and other assets. These have a total gross exposure of £169.6bn and an impairment allowance of £150m. This comprises £17m impairment allowance on £168.3bn Stage 1 exposure, £7m on £1.1bn Stage 2 exposure and £126m on £130m Stage 3 exposure. Loan commitments and financial guarantee contracts have total impairment allowance of £420m.

Risk review

Risk performance

Credit risk performance

Barclays Bank PLC (audited)							
As at 31 December 2025	Stage 2				Total	Stage 3	Total ¹
	Stage 1	Not past due	<=30 days past due	>30 days past due			
	£m	£m	£m	£m	£m	£m	£m
Gross exposure							
Retail mortgages	4,290	30	1	101	132	156	4,578
Retail credit cards	—	—	—	—	—	—	—
Retail other	2,641	41	120	47	208	50	2,899
Corporate loans	231,545	7,235	44	132	7,411	2,014	240,970
Total loans and advances at amortised cost	238,476	7,306	165	280	7,751	2,220	248,447
Debt securities at amortised cost	38,443	361	—	—	361	—	38,804
Total loans and advances at amortised cost including debt securities	276,919	7,667	165	280	8,112	2,220	287,251
Impairment allowance							
Retail mortgages	9	—	—	—	—	22	31
Retail credit cards	—	—	—	—	—	—	—
Retail other	4	—	—	—	—	6	10
Corporate loans	120	179	4	8	191	543	854
Total loans and advances at amortised cost	133	179	4	8	191	571	895
Debt securities at amortised cost	5	9	—	—	9	—	14
Total loans and advances at amortised cost including debt securities	138	188	4	8	200	571	909
Net exposure							
Retail mortgages	4,281	30	1	101	132	134	4,547
Retail credit cards	—	—	—	—	—	—	—
Retail other	2,637	41	120	47	208	44	2,889
Corporate loans	231,425	7,056	40	124	7,220	1,471	240,116
Total loans and advances at amortised cost	238,343	7,127	161	272	7,560	1,649	247,552
Debt securities at amortised cost	38,438	352	—	—	352	—	38,790
Total loans and advances at amortised cost including debt securities	276,781	7,479	161	272	7,912	1,649	286,342
Coverage ratio	%	%	%	%	%	%	%
Retail mortgages	0.2	—	—	—	—	14.1	0.7
Retail credit cards	—	—	—	—	—	—	—
Retail other	0.2	—	—	—	—	12.0	0.3
Corporate loans	0.1	2.5	9.1	6.1	2.6	27.0	0.4
Total loans and advances at amortised cost	0.1	2.5	2.4	2.9	2.5	25.7	0.4
Debt securities at amortised cost	—	2.5	—	—	2.5	—	—
Total loans and advances at amortised cost including debt securities	—	2.5	2.4	2.9	2.5	25.7	0.3

Note

- ¹ Other financial assets subject to impairment excluded in the table above include cash collateral and settlement balances, reverse repurchase agreements and other similar secured lending, financial assets at fair value through other comprehensive income and other assets. These have a total gross exposure of £146.6bn and an impairment allowance of £140m. This comprises £16m impairment allowance on £145.0bn Stage 1 exposure, £7m on £1.5bn Stage 2 exposure and £117m on £120m Stage 3 exposure. Loan commitments and financial guarantee contracts have total impairment allowance of £331m.

Risk review

Risk performance

Credit risk performance

Barclays Bank PLC (audited)							
	Stage 1	Stage 2			Total	Stage 3	Total ¹
		Not past due	<=30 days past due	>30 days past due			
As at 31 December 2024							
Gross exposure	£m	£m	£m	£m	£m	£m	£m
Retail mortgages	4,129	4	—	132	136	249	4,514
Retail credit cards	—	—	—	—	—	—	—
Retail other	2,387	158	156	40	354	175	2,916
Corporate loans	209,362	7,457	136	45	7,638	1,371	218,371
Total loans and advances at amortised cost	215,878	7,619	292	217	8,128	1,795	225,801
Debt securities at amortised cost	34,156	1,371	—	—	1,371	—	35,527
Total loans and advances at amortised cost including debt securities	250,034	8,990	292	217	9,499	1,795	261,328
Impairment allowance							
Retail mortgages	8	—	—	—	—	25	33
Retail credit cards	—	—	—	—	—	—	—
Retail other	3	—	—	—	—	13	16
Corporate loans	129	206	6	7	219	352	700
Total loans and advances at amortised cost	140	206	6	7	219	390	749
Debt securities at amortised cost	5	3	—	—	3	—	8
Total loans and advances at amortised cost including debt securities	145	209	6	7	222	390	757
Net exposure							
Retail mortgages	4,121	4	—	132	136	224	4,481
Retail credit cards	—	—	—	—	—	—	—
Retail other	2,384	158	156	40	354	162	2,900
Corporate loans	209,233	7,251	130	38	7,419	1,019	217,671
Total loans and advances at amortised cost	215,738	7,413	286	210	7,909	1,405	225,052
Debt securities at amortised cost	34,151	1,368	—	—	1,368	—	35,519
Total loans and advances at amortised cost including debt securities	249,889	8,781	286	210	9,277	1,405	260,571
Coverage ratio	%	%	%	%	%	%	%
Retail mortgages	0.2	—	—	—	—	10.0	0.7
Retail credit cards	—	—	—	—	—	—	—
Retail other	0.1	—	—	—	—	7.4	0.5
Corporate loans	0.1	2.8	4.4	15.6	2.9	25.7	0.3
Total loans and advances at amortised cost	0.1	2.7	2.1	3.2	2.7	21.7	0.3
Debt securities at amortised cost	—	0.2	—	—	0.2	—	—
Total loans and advances at amortised cost including debt securities	0.1	2.3	2.1	3.2	2.3	21.7	0.3

Note

1 Other financial assets subject to impairment excluded in the table above include cash collateral and settlement balances, reverse repurchase agreements and other similar secured lending, financial assets at fair value through other comprehensive income and other assets. These have a total gross exposure of £131.4bn and an impairment allowance of £146m. This comprises £17m impairment allowance on £130.2bn Stage 1 exposure, £6m on £1.1bn Stage 2 exposure and £123m on £127m Stage 3 exposure. Loan commitments and financial guarantee contracts have total impairment allowance of £331m.

Movement in gross exposures and impairment allowance including provisions for loan commitments and financial guarantees (audited)

The following tables present a reconciliation of the opening to the closing balance of the gross exposure and impairment allowance.

Transfers between stages in the tables have been reflected as if they had taken place at the beginning of the year. 'Net drawdowns, repayments, net re-measurement and movements due to exposure and risk parameter changes' includes additional drawdowns and partial repayments from existing facilities. Additionally, the below tables do not include other financial assets subject to impairment such as debt securities at amortised cost, reverse repurchase agreements and other similar secured lending, cash collateral and settlement balances, financial assets at fair value through other comprehensive income and other assets.

The movements are measured over a 12-month period.

Risk review

Risk performance

Credit risk

Loans and advances at amortised cost (audited)	Stage 1		Stage 2		Stage 3		Total	
Barclays Bank Group	Gross exposure £m	ECL £m	Gross exposure £m	ECL £m	Gross exposure £m	ECL £m	Gross exposure £m	ECL £m
Retail mortgages								
As at 1 January 2025	4,537	8	150	1	310	32	4,997	41
Transfers from Stage 1 to Stage 2	(92)	—	92	—	—	—	—	—
Transfers from Stage 2 to Stage 1	80	—	(80)	—	—	—	—	—
Transfers to Stage 3	(27)	—	(15)	—	42	—	—	—
Transfers from Stage 3	59	2	2	—	(61)	(2)	—	—
Business activity in the year	635	1	—	—	—	—	635	1
Refinements to models used for calculation	—	—	—	—	—	—	—	—
Net drawdowns, repayments, net re-measurement and movements due to exposure and risk parameter changes	135	(1)	2	—	(19)	8	118	7
Final repayments	(653)	(1)	(14)	—	(80)	(1)	(747)	(2)
Disposals ¹	—	—	(1)	(1)	(9)	(5)	(10)	(6)
Write-offs	—	—	—	—	(8)	(8)	(8)	(8)
As at 31 December 2025	4,674	9	136	—	175	24	4,985	33
Retail credit cards								
As at 1 January 2025	17,629	334	2,953	807	1,724	1,416	22,306	2,557
Transfers from Stage 1 to Stage 2	(1,047)	(35)	1,047	35	—	—	—	—
Transfers from Stage 2 to Stage 1	1,208	268	(1,208)	(268)	—	—	—	—
Transfers to Stage 3	(515)	(20)	(731)	(286)	1,246	306	—	—
Transfers from Stage 3	12	9	5	4	(17)	(13)	—	—
Business activity in the year ²	2,575	75	237	87	60	40	2,872	202
Refinements to models used for calculation ³	—	68	—	(81)	—	1	—	(12)
Net drawdowns, repayments, net re-measurement and movements due to exposure and risk parameter changes	(980)	(299)	262	508	(45)	793	(763)	1,002
Final repayments	(81)	(5)	(29)	(10)	(32)	(26)	(142)	(41)
Disposals ¹	—	—	—	—	(308)	(270)	(308)	(270)
Write-offs	—	—	—	—	(852)	(852)	(852)	(852)
As at 31 December 2025	18,801	395	2,536	796	1,776	1,395	23,113	2,586
Retail other								
As at 1 January 2025	3,329	5	404	1	216	25	3,949	31
Transfers from Stage 1 to Stage 2	(107)	—	107	—	—	—	—	—
Transfers from Stage 2 to Stage 1	80	—	(80)	—	—	—	—	—
Transfers to Stage 3	(75)	—	(35)	—	110	—	—	—
Transfers from Stage 3	56	1	—	—	(56)	(1)	—	—
Business activity in the year	1,155	—	24	—	—	—	1,179	—
Refinements to models used for calculation	—	—	—	—	—	—	—	—
Net drawdowns, repayments, net re-measurement and movements due to exposure and risk parameter changes	1,176	4	158	4	23	8	1,357	16
Final repayments	(1,826)	(3)	(313)	—	(179)	(5)	(2,318)	(8)
Disposals	—	—	—	—	—	—	—	—
Write-offs	—	—	—	—	(7)	(7)	(7)	(7)
As at 31 December 2025	3,788	7	265	5	107	20	4,160	32

Notes

- 1 The £10m of gross disposals reported within Retail mortgages relate to sale of the Italian mortgage portfolio. The £308m of gross disposals reported within Retail credit cards relate to debt sales undertaken during the year.
- 2 Business activity in the year reported within Retail credit cards includes £1.2bn related to acquisition of the GM co-branded card portfolio within USCB.
- 3 Refinements to models used for calculation reported within Retail credit cards include a £(12)m movement in the calculated ECL for the US Cards portfolio. These reflect model enhancements made during the year. Barclays Bank Group continually reviews the output of models to determine accuracy of the ECL calculation including review of model monitoring, external benchmarking and experience of model operation over an extended period of time. This helps to ensure that the models used continue to reflect the risks inherent in the businesses.

Risk review

Risk performance

Credit risk

Loans and advances at amortised cost (audited)	Stage 1		Stage 2		Stage 3		Total	
Barclays Bank Group	Gross exposure £m	ECL £m	Gross exposure £m	ECL £m	Gross exposure £m	ECL £m	Gross exposure £m	ECL £m
Corporate loans								
As at 1 January 2025	107,194	144	8,147	254	1,654	393	116,995	791
Transfers from Stage 1 to Stage 2	(2,685)	(11)	2,685	11	—	—	—	—
Transfers from Stage 2 to Stage 1	2,417	46	(2,417)	(46)	—	—	—	—
Transfers to Stage 3	(692)	(4)	(505)	(28)	1,197	32	—	—
Transfers from Stage 3	146	2	125	1	(271)	(3)	—	—
Business activity in the year ¹	28,266	40	976	37	225	19	29,467	96
Refinements to models used for calculation ²	—	(65)	—	(24)	—	—	—	(89)
Net drawdowns, repayments, net re-measurement and movements due to exposure and risk parameter changes	4,088	14	842	81	(50)	405	4,880	500
Final repayments	(27,104)	(24)	(1,695)	(49)	(40)	(1)	(28,839)	(74)
Disposals ³	(1)	(1)	(2)	(2)	(121)	(21)	(124)	(24)
Write-offs	—	—	—	—	(234)	(234)	(234)	(234)
As at 31 December 2025	111,629	141	8,156	235	2,360	590	122,145	966
Reconciliation of ECL movement to credit impairment charge/(release) for the period								
	£m	£m	£m	£m	£m	£m	£m	£m
Retail mortgages	1	—	—	—	5	—	—	6
Retail credit cards	61	(11)	—	—	1,101	—	—	1,151
Retail other	2	4	—	—	2	—	—	8
Corporate loans	(2)	(17)	—	—	452	—	—	433
ECL movement excluding disposals and write-offs⁴	62	(24)	—	—	1,560	—	—	1,598
ECL movement on loan commitments and financial guarantees	(23)	(6)	—	—	7	—	—	(22)
ECL movement on other financial assets	—	1	—	—	(6)	—	—	(5)
ECL movement on debt securities at amortised cost	1	(2)	—	—	—	—	—	(1)
Recoveries and reimbursements ⁵	10	(26)	—	—	(102)	—	—	(118)
ECL charge on assets held for sale ⁶	—	—	—	—	—	—	—	181
Total exchange and other adjustments	—	—	—	—	—	—	—	233
Total credit impairment charge for the year								1,866

Notes

- Business activity in the year reported within Corporate loans include £0.1bn related to acquisition of the GM co-branded card portfolio within USCB.
- Refinements to models used for calculation reported within Corporate loans include a £(89)m movement in the calculated ECL for the UKCB and IB portfolio. These reflect model enhancements made during the year. Barclays Bank Group continually reviews the output of models to determine accuracy of the ECL calculation including review of model monitoring, external benchmarking and experience of model operation over an extended period of time. This helps to ensure that the models used continue to reflect the risks inherent in the businesses.
- The £124m of gross disposals reported within Corporate loans relate to debt sales undertaken during the year.
- In 2025, gross write-offs amounted to £1,101m and post write-off recoveries amounted to £38m. Net write-offs represent gross write-offs less post write-off recoveries and amounted to £1,063m.
- Recoveries and reimbursements include £80m for reimbursements where the Barclays Bank Group has entered into financial guarantee contracts which provide credit protection over certain assets with third parties and cash recoveries of previously written-off amounts of £38m.
- ECL charge on assets held for sale relate to the charges on a co-branded card portfolio in USCB and the German consumer finance business.

Risk review

Risk performance

Credit risk

Loan commitments and financial guarantees (audited) ¹	Stage 1		Stage 2		Stage 3		Total	
Barclays Bank Group	Gross exposure	ECL	Gross exposure	ECL	Gross exposure	ECL	Gross exposure	ECL
	£m	£m	£m	£m	£m	£m	£m	£m
Retail mortgages								
As at 1 January 2025	18	—	—	—	1	—	19	—
Net transfers between stages	—	—	—	—	—	—	—	—
Business activity in the year	—	—	—	—	—	—	—	—
Net drawdowns, repayments, net re-measurement and movement due to exposure and risk parameter changes	(5)	—	—	—	(1)	—	(6)	—
Limit management and final repayments	(3)	—	—	—	—	—	(3)	—
As at 31 December 2025	10	—	—	—	—	—	10	—
Retail credit cards								
As at 1 January 2025	112,645	34	1,648	15	10	1	114,303	50
Net transfers between stages	(1,083)	7	1,083	(7)	—	—	—	—
Business activity in the year	24,319	11	120	2	—	—	24,439	13
Net drawdowns, repayments, net re-measurement and movement due to exposure and risk parameter changes	(6,434)	(19)	(1,528)	5	—	(1)	(7,962)	(15)
Limit management and final repayments	(11,277)	(7)	(196)	(4)	—	—	(11,473)	(11)
Disposals ²	(5,291)	—	(221)	—	(10)	—	(5,522)	—
As at 31 December 2025	112,879	26	906	11	—	—	113,785	37
Retail other								
As at 1 January 2025	3,970	5	103	—	11	—	4,084	5
Net transfers between stages	(28)	—	29	—	(1)	—	—	—
Business activity in the year	624	—	1	—	—	—	625	—
Net drawdowns, repayments, net re-measurement and movement due to exposure and risk parameter changes	291	(4)	46	—	23	—	360	(4)
Limit management and final repayments	(784)	—	(33)	—	(20)	—	(837)	—
Disposals ²	(756)	—	(30)	—	(1)	—	(787)	—
As at 31 December 2025	3,317	1	116	—	12	—	3,445	1
Corporate loans								
As at 1 January 2025	229,565	116	15,079	225	954	24	245,598	365
Net transfers between stages	(201)	40	269	(40)	(68)	—	—	—
Business activity in the year	50,364	28	2,699	61	405	—	53,468	89
Net drawdowns, repayments, net re-measurement and movement due to exposure and risk parameter changes	9,810	(54)	(492)	33	(282)	13	9,036	(8)
Limit management and final repayments	(60,919)	(26)	(4,259)	(56)	(340)	(4)	(65,518)	(86)
As at 31 December 2025	228,619	104	13,296	223	669	33	242,584	360

Notes

- 1 Loan commitments reported also include exposure relating to financial assets classified as held for sale.
- 2 The gross disposals reported within Retail credit cards and Retail other relate to the German consumer finance business; sale of which was completed in Q125.

Risk review

Risk performance

Credit risk

Loans and advances at amortised cost (audited)	Stage 1		Stage 2		Stage 3		Total	
Barclays Bank PLC ¹	Gross exposure	ECL	Gross exposure	ECL	Gross exposure	ECL	Gross exposure	ECL
	£m	£m	£m	£m	£m	£m	£m	£m
Retail mortgages								
As at 1 January 2025	4,129	8	136	—	249	25	4,514	33
Transfers from Stage 1 to Stage 2	(92)	—	92	—	—	—	—	—
Transfers from Stage 2 to Stage 1	75	—	(75)	—	—	—	—	—
Transfers to Stage 3	(26)	—	(15)	—	41	—	—	—
Transfers from Stage 3	57	2	2	—	(59)	(2)	—	—
Business activity in the year	548	1	—	—	—	—	548	1
Refinements to models used for calculation	—	—	—	—	—	—	—	—
Net drawdowns, repayments, net re-measurement and movements due to exposure and risk parameter changes	(79)	(2)	—	—	(30)	7	(109)	5
Final repayments	(322)	—	(8)	—	(38)	(1)	(368)	(1)
Disposals	—	—	—	—	—	—	—	—
Write-offs	—	—	—	—	(7)	(7)	(7)	(7)
As at 31 December 2025	4,290	9	132	—	156	22	4,578	31
Retail other								
As at 1 January 2025	2,387	3	354	—	175	13	2,916	16
Transfers from Stage 1 to Stage 2	(83)	—	83	—	—	—	—	—
Transfers from Stage 2 to Stage 1	54	—	(54)	—	—	—	—	—
Transfers to Stage 3	(50)	—	(33)	—	83	—	—	—
Transfers from Stage 3	56	—	—	—	(56)	—	—	—
Business activity in the year	467	—	10	—	—	—	477	—
Refinements to models used for calculation	—	—	—	—	—	—	—	—
Net drawdowns, repayments, net re-measurement and movements due to exposure and risk parameter changes	765	4	38	—	(13)	(1)	790	3
Final repayments	(955)	(3)	(190)	—	(138)	(5)	(1,283)	(8)
Disposals	—	—	—	—	—	—	—	—
Write-offs	—	—	—	—	(1)	(1)	(1)	(1)
As at 31 December 2025	2,641	4	208	—	50	6	2,899	10
Corporate loans								
As at 1 January 2025	209,362	129	7,638	219	1,371	352	218,371	700
Transfers from Stage 1 to Stage 2	(2,509)	(9)	2,509	9	—	—	—	—
Transfers from Stage 2 to Stage 1	2,245	38	(2,245)	(38)	—	—	—	—
Transfers to Stage 3	(672)	(3)	(367)	(18)	1,039	21	—	—
Transfers from Stage 3	138	2	20	1	(158)	(3)	—	—
Business activity in the year	73,119	30	767	31	217	17	74,103	78
Refinements to models used for calculation ²	—	(57)	—	(20)	—	—	—	(77)
Net drawdowns, repayments, net re-measurement and movements due to exposure and risk parameter changes	5,433	12	732	56	(114)	402	6,051	470
Final repayments	(55,570)	(21)	(1,641)	(47)	(27)	(1)	(57,238)	(69)
Disposals ³	(1)	(1)	(2)	(2)	(90)	(21)	(93)	(24)
Write-offs	—	—	—	—	(224)	(224)	(224)	(224)
As at 31 December 2025	231,545	120	7,411	191	2,014	543	240,970	854

Notes

- 1 Barclays Bank PLC does not have retail credit card lending.
- 2 Refinements to models used for calculation reported within Corporate loans include a £(77)m movement in the calculated ECL for the UKCB and IB portfolio. These reflect model enhancements made during the year. Barclays Bank PLC continually reviews the output of models to determine accuracy of the ECL calculation including review of model monitoring, external benchmarking and experience of model operation over an extended period of time. This helps to ensure that the models used continue to reflect the risks inherent in the businesses.
- 3 The £93m of gross disposals reported within Corporate loans relate to debt sales undertaken during the year.

Risk review

Risk performance

Credit risk

Reconciliation of ECL movement to credit impairment charge/(release) for the period	Stage 1	Stage 2	Stage 3	Total
	£m	£m	£m	£m
Retail mortgages	1	—	4	5
Retail other	1	—	(6)	(5)
Corporate loans	(8)	(26)	436	402
ECL movement excluding disposals and write-offs¹	(6)	(26)	434	402
ECL movement on loan commitments and financial guarantees	(16)	4	12	—
ECL movement on other financial assets	(1)	1	(6)	(6)
ECL movement on debt securities at amortised cost	—	6	—	6
Recoveries and reimbursements ²	3	(25)	(88)	(110)
Total exchange and other adjustments				38
Total credit impairment charge for the year				330

Notes

- 1 In 2025, gross write-offs amounted to £232m and post write-off recoveries amounted to £13m. Net write-offs represent gross write-offs less post write-off recoveries and amounted to £219m.
- 2 Recoveries and reimbursements include £97m for reimbursements where the Barclays Bank PLC has entered into financial guarantee contracts which provide credit protection over certain assets with third parties and cash recoveries of previously written-off amounts of £13m.

Loan commitments and financial guarantees (audited)	Stage 1		Stage 2		Stage 3		Total	
Barclays Bank PLC	Gross exposure	ECL	Gross exposure	ECL	Gross exposure	ECL	Gross exposure	ECL
	£m	£m	£m	£m	£m	£m	£m	£m
Retail mortgages								
As at 1 January 2025	13	—	—	—	—	—	13	—
Net transfers between stages	—	—	—	—	—	—	—	—
Business activity in the year	—	—	—	—	—	—	—	—
Net drawdowns, repayments, net re-measurement and movement due to exposure and risk parameter changes	(12)	—	—	—	—	—	(12)	—
Limit management and final repayments	—	—	—	—	—	—	—	—
As at 31 December 2025	1	—	—	—	—	—	1	—
Retail other								
As at 1 January 2025	2,149	4	71	2	8	—	2,228	6
Net transfers between stages	(25)	—	27	—	(2)	—	—	—
Business activity in the year	394	—	1	—	—	—	395	—
Net drawdowns, repayments, net re-measurement and movement due to exposure and risk parameter changes	207	(3)	33	—	10	—	250	(3)
Limit management and final repayments	(346)	—	(23)	—	(16)	—	(385)	—
As at 31 December 2025	2,379	1	109	2	—	—	2,488	3
Corporate loans								
As at 1 January 2025	238,762	101	12,905	201	863	23	252,530	325
Net transfers between stages	(54)	34	158	(34)	(104)	—	—	—
Business activity in the year	44,481	26	2,412	61	405	—	47,298	87
Net drawdowns, repayments, net re-measurement and movement due to exposure and risk parameter changes	(730)	(49)	(376)	32	(276)	16	(1,382)	(1)
Limit management and final repayments	(48,913)	(24)	(3,747)	(55)	(272)	(4)	(52,932)	(83)
As at 31 December 2025	233,546	88	11,352	205	616	35	245,514	328

Risk review

Risk performance

Credit risk

Loans and advances at amortised cost (audited)	Stage 1		Stage 2		Stage 3		Total	
Barclays Bank Group	Gross exposure	ECL	Gross exposure	ECL	Gross exposure	ECL	Gross exposure	ECL
	£m	£m	£m	£m	£m	£m	£m	£m
Retail mortgages								
As at 1 January 2024	7,257	11	389	28	716	321	8,362	360
Transfers from Stage 1 to Stage 2	(231)	—	231	—	—	—	—	—
Transfers from Stage 2 to Stage 1	91	3	(91)	(3)	—	—	—	—
Transfers to Stage 3	(82)	—	(30)	(3)	112	3	—	—
Transfers from Stage 3	19	1	11	—	(30)	(1)	—	—
Business activity in the year	632	1	—	—	2	—	634	1
Refinements to models used for calculation	—	—	—	—	—	—	—	—
Net drawdowns, repayments, net re-measurement and movements due to exposure and risk parameter changes	197	(2)	(2)	9	69	40	264	47
Final repayments	(893)	(1)	(45)	(1)	(86)	(3)	(1,024)	(5)
Disposals ¹	(2,453)	(5)	(313)	(29)	(461)	(316)	(3,227)	(350)
Write-offs	—	—	—	—	(12)	(12)	(12)	(12)
As at 31 December 2024	4,537	8	150	1	310	32	4,997	41
Retail credit cards								
As at 1 January 2024	22,315	412	3,450	1,138	1,522	1,226	27,287	2,776
Transfers from Stage 1 to Stage 2	(1,503)	(51)	1,503	51	—	—	—	—
Transfers from Stage 2 to Stage 1	1,170	321	(1,170)	(321)	—	—	—	—
Transfers to Stage 3	(616)	(24)	(876)	(390)	1,492	414	—	—
Transfers from Stage 3	10	9	8	5	(18)	(14)	—	—
Business activity in the year	1,508	33	206	59	20	18	1,734	110
Refinements to models used for calculation ²	—	5	—	2	—	4	—	11
Net drawdowns, repayments, net re-measurement and movements due to exposure and risk parameter changes	1,039	(280)	728	506	(45)	973	1,722	1,199
Final repayments	(108)	(7)	(32)	(13)	(1)	—	(141)	(20)
Transfers to assets held for Sale ³	(5,495)	(64)	(689)	(161)	(57)	(46)	(6,241)	(271)
Disposals ¹	(691)	(20)	(175)	(69)	(249)	(219)	(1,115)	(308)
Write-offs	—	—	—	—	(940)	(940)	(940)	(940)
As at 31 December 2024	17,629	334	2,953	807	1,724	1,416	22,306	2,557
Retail other								
As at 1 January 2024	2,734	8	369	2	308	35	3,411	45
Transfers from Stage 1 to Stage 2	(221)	—	221	—	—	—	—	—
Transfers from Stage 2 to Stage 1	86	—	(86)	—	—	—	—	—
Transfers to Stage 3	(148)	—	(53)	—	201	—	—	—
Transfers from Stage 3	82	—	47	—	(129)	—	—	—
Business activity in the year	1,159	1	—	—	—	—	1,159	1
Refinements to models used for calculation	—	—	—	—	—	—	—	—
Net drawdowns, repayments, net re-measurement and movements due to exposure and risk parameter changes	1,640	—	36	—	74	13	1,750	13
Final repayments	(2,003)	(4)	(130)	(1)	(224)	(9)	(2,357)	(14)
Disposals	—	—	—	—	—	—	—	—
Write-offs	—	—	—	—	(14)	(14)	(14)	(14)
As at 31 December 2024	3,329	5	404	1	216	25	3,949	31

Notes

- The £3.2bn of gross disposals reported within Retail mortgages relate to sale of the Italian mortgage loans. The £1.1bn of gross disposals reported within Retail credit cards include £0.9bn sale of outstanding US Cards receivables to Blackstone and £0.2bn of other debt sale undertaken during the year.
- Refinements to models used for calculation reported within Retail credit cards include a £11m movement in the calculated ECL for the US Cards portfolio. These reflect model enhancements made during the year. Barclays Bank Group continually reviews the output of models to determine accuracy of the ECL calculation including review of model monitoring, external benchmarking and experience of model operation over an extended period of time. This helps to ensure that the models used continue to reflect the risks inherent across the businesses.
- Transfers to assets held for sale reported within Retail credit cards relate to a co-branded card portfolio within USCB.

Risk review

Risk performance

Credit risk

Loans and advances at amortised cost (audited)	Stage 1		Stage 2		Stage 3		Total	
Barclays Bank Group	Gross exposure	ECL	Gross exposure	ECL	Gross exposure	ECL	Gross exposure	ECL
	£m	£m	£m	£m	£m	£m	£m	£m
Corporate loans								
As at 1 January 2024	100,956	179	8,967	309	1,235	348	111,158	836
Transfers from Stage 1 to Stage 2	(2,586)	(15)	2,586	15	—	—	—	—
Transfers from Stage 2 to Stage 1	2,098	42	(2,098)	(42)	—	—	—	—
Transfers to Stage 3	(404)	(2)	(392)	(21)	796	23	—	—
Transfers from Stage 3	143	1	23	5	(166)	(6)	—	—
Business activity in the year	28,497	39	811	34	183	19	29,491	92
Refinements to models used for calculation ¹	—	18	—	51	—	—	—	69
Net drawdowns, repayments, net re-measurement and movements due to exposure and risk parameter changes	3,957	(76)	198	—	6	270	4,161	194
Final repayments	(25,406)	(40)	(1,937)	(92)	(142)	(3)	(27,485)	(135)
Transfers to assets held for sale ²	(49)	(1)	(9)	(3)	(1)	(1)	(59)	(5)
Disposals ³	(12)	(1)	(2)	(2)	(2)	(2)	(16)	(5)
Write-offs	—	—	—	—	(255)	(255)	(255)	(255)
As at 31 December 2024	107,194	144	8,147	254	1,654	393	116,995	791

Reconciliation of ECL movement to credit impairment (release)/charge for the period	Stage 1	Stage 2	Stage 3	Total
	£m	£m	£m	£m
Retail mortgages	2	2	39	43
Retail credit cards	6	(101)	1,395	1,300
Retail other	(3)	(1)	4	—
Corporate loans	(33)	(50)	303	220
ECL movement excluding assets held for sale, disposals and write-offs ⁴	(28)	(150)	1,741	1,563
ECL movement on loan commitments and financial guarantees	(12)	(23)	(18)	(53)
ECL movement on other financial assets	3	6	(4)	5
ECL movement on debt securities at amortised cost	2	(6)	—	(4)
Recoveries and reimbursements ⁵	(20)	23	(42)	(39)
ECL charge on Assets held for sale ⁶				74
Total exchange and other adjustments				71
Total credit impairment charge for the year				1,617

Notes

- Refinements to models used for calculation reported within Corporate loans include a £69m movement in the calculated ECL for the IB portfolio. These reflect model enhancements made during the year. Barclays Bank Group continually reviews the output of models to determine accuracy of the ECL calculation including review of model monitoring, external benchmarking and experience of model operation over an extended period of time. This helps to ensure that the models used continue to reflect the risks inherent across the businesses.
- Transfers to assets held for sale reported within Corporate loans relate to a co-branded card portfolio within USCB.
- The £16m of gross disposals reported within Corporate loans relate to debt sales undertaken during the year.
- In 2024, gross write-offs amounted to £1,221m and post write-off recoveries amounted to £28m. Net write-offs represent gross write-offs less post write-off recoveries and amounted to £1,193m.
- Recoveries and reimbursements include £11m for reimbursements where the Barclays Bank Group has entered into financial guarantee contracts which provide credit protection over certain assets with third parties and cash recoveries of previously written off amounts of £28m.
- ECL charge on assets held for sale relate to the German consumer finance business.

Risk review

Risk performance

Credit risk

Loan commitments and financial guarantees (audited) ¹	Stage 1		Stage 2		Stage 3		Total	
Barclays Bank Group	Gross exposure	ECL	Gross exposure	ECL	Gross exposure	ECL	Gross exposure	ECL
	£m	£m	£m	£m	£m	£m	£m	£m
Retail mortgages								
As at 1 January 2024	41	—	—	—	1	—	42	—
Net transfers between stages	—	—	—	—	—	—	—	—
Business activity in the year	—	—	—	—	—	—	—	—
Net drawdowns, repayments, net re-measurement and movement due to exposure and risk parameter changes	(16)	—	—	—	—	—	(16)	—
Limit management and final repayments	(7)	—	—	—	—	—	(7)	—
As at 31 December 2024	18	—	—	—	1	—	19	—
Retail credit cards								
As at 1 January 2024	109,634	48	1,767	36	10	1	111,411	85
Net transfers between stages	(1,682)	20	1,675	(20)	7	—	—	—
Business activity in the year	15,489	11	160	3	1	—	15,650	14
Net drawdowns, repayments, net re-measurement and movement due to exposure and risk parameter changes	2,467	(34)	(1,576)	11	(8)	—	883	(23)
Limit management and final repayments	(13,263)	(11)	(378)	(15)	—	—	(13,641)	(26)
As at 31 December 2024	112,645	34	1,648	15	10	1	114,303	50
Retail other								
As at 1 January 2024	3,446	5	116	2	29	—	3,591	7
Net transfers between stages	(35)	—	23	—	12	—	—	—
Business activity in the year	741	2	1	—	—	—	742	2
Net drawdowns, repayments, net re-measurement and movement due to exposure and risk parameter changes	621	(2)	(26)	(2)	(7)	—	588	(4)
Limit management and final repayments	(803)	—	(11)	—	(23)	—	(837)	—
As at 31 December 2024	3,970	5	103	—	11	—	4,084	5
Corporate loans								
As at 1 January 2024	212,414	114	20,035	225	802	42	233,251	381
Net transfers between stages	1,240	29	(1,519)	(32)	279	3	—	—
Business activity in the year	50,350	33	1,650	30	192	—	52,192	63
Net drawdowns, repayments, net re-measurement and movement due to exposure and risk parameter changes	10,133	(34)	(1,391)	65	(31)	(13)	8,711	18
Limit management and final repayments	(44,572)	(26)	(3,696)	(63)	(288)	(8)	(48,556)	(97)
As at 31 December 2024	229,565	116	15,079	225	954	24	245,598	365

Note

1 Loan commitments reported also include exposure relating to financial assets classified as held for sale.

Risk review

Risk performance

Credit risk

Loans and advances at amortised cost (audited)	Stage 1		Stage 2		Stage 3		Total	
Barclays Bank PLC ¹	Gross exposure	ECL	Gross exposure	ECL	Gross exposure	ECL	Gross exposure	ECL
	£m	£m	£m	£m	£m	£m	£m	£m
Retail mortgages								
As at 1 January 2024	4,150	5	52	—	572	294	4,774	299
Transfers from Stage 1 to Stage 2	(137)	—	137	—	—	—	—	—
Transfers from Stage 2 to Stage 1	37	—	(37)	—	—	—	—	—
Transfers to Stage 3	(68)	—	(11)	—	79	—	—	—
Transfers from Stage 3	18	1	5	—	(23)	(1)	—	—
Business activity in the year	580	1	—	—	—	—	580	1
Refinements to models used for calculation	—	—	—	—	—	—	—	—
Net drawdowns, repayments, net re-measurement and movements due to exposure and risk parameter changes	(82)	1	1	—	7	30	(74)	31
Final repayments	(369)	—	(11)	—	(41)	(3)	(421)	(3)
Disposals ²	—	—	—	—	(334)	(284)	(334)	(284)
Write-offs	—	—	—	—	(11)	(11)	(11)	(11)
As at 31 December 2024	4,129	8	136	—	249	25	4,514	33
Retail other								
As at 1 January 2024	1,913	6	283	1	249	18	2,445	25
Transfers from Stage 1 to Stage 2	(196)	—	196	—	—	—	—	—
Transfers from Stage 2 to Stage 1	63	—	(63)	—	—	—	—	—
Transfers to Stage 3	(124)	—	(13)	—	137	—	—	—
Transfers from Stage 3	58	—	46	—	(104)	—	—	—
Business activity in the year	567	1	—	—	—	—	567	1
Refinements to models used for calculation	—	—	—	—	—	—	—	—
Net drawdowns, repayments, net re-measurement and movements due to exposure and risk parameter changes	927	(2)	(12)	—	(34)	7	881	5
Final repayments	(821)	(2)	(83)	(1)	(67)	(6)	(971)	(9)
Disposals	—	—	—	—	—	—	—	—
Write-offs	—	—	—	—	(6)	(6)	(6)	(6)
As at 31 December 2024	2,387	3	354	—	175	13	2,916	16
Corporate loans								
As at 1 January 2024	227,177	167	8,095	264	1,001	298	236,273	729
Transfers from Stage 1 to Stage 2	(2,475)	(12)	2,475	12	—	—	—	—
Transfers from Stage 2 to Stage 1	1,913	35	(1,913)	(35)	—	—	—	—
Transfers to Stage 3	(400)	(1)	(262)	(20)	662	21	—	—
Transfers from Stage 3	143	1	23	5	(166)	(6)	—	—
Business activity in the year	73,933	32	763	28	183	19	74,879	79
Refinements to models used for calculation ³	—	16	—	45	—	—	—	61
Net drawdowns, repayments, net re-measurement and movements due to exposure and risk parameter changes	(35,837)	(73)	225	9	1	254	(35,611)	190
Final repayments	(55,090)	(35)	(1,766)	(87)	(79)	(3)	(56,935)	(125)
Disposals ²	(2)	(1)	(2)	(2)	(2)	(2)	(6)	(5)
Write-offs	—	—	—	—	(229)	(229)	(229)	(229)
As at 31 December 2024	209,362	129	7,638	219	1,371	352	218,371	700

Notes

- 1 Barclays Bank PLC does not have retail credit card lending.
- 2 The £334m of gross disposals reported within Retail mortgages relate to sale of the Italian mortgage portfolio. The £6m of gross disposals reported within Corporate loans relate to debt sales undertaken during the year.
- 3 Refinements to models used for calculation reported within Corporate loans include a £61m movement in the calculated ECL for the IB portfolio. These reflect model changes made during the year. Barclays Bank PLC continually reviews the output of models to determine accuracy of the ECL calculation including review of model monitoring, external benchmarking and experience of model operation over an extended period of time. This helps to ensure that the models used continue to reflect the risks inherent across the businesses.

Risk review

Risk performance

Credit risk

Reconciliation of ECL movement to credit impairment (release)/charge for the period	Stage 1	Stage 2	Stage 3	Total
	£m	£m	£m	£m
Retail mortgages	3	—	26	29
Retail other	(3)	(1)	1	(3)
Corporate loans	(37)	(43)	285	205
ECL movement excluding disposals and write-offs¹	(37)	(44)	312	231
Credit impairment release on loan commitments and financial guarantees	(2)	2	(21)	(21)
Credit impairment release on other financial assets	3	6	(3)	6
ECL movement on debt securities at amortised cost	1	(8)	—	(7)
Recoveries and reimbursements ²	(24)	28	(22)	(18)
Total exchange and other adjustments				27
Total credit impairment release for the year				218

Notes

- 1 In 2024, gross write-offs amounted to £246m and post write-off recoveries amounted to £9m. Net write-offs represent gross write-offs less post write-off recoveries and amounted to £237m.
- 2 Recoveries and reimbursements include £9m for reimbursements where the Barclays Bank PLC has entered into financial guarantee contracts which provide credit protection over certain assets with third parties and cash recoveries of previously written off amounts of £9m.

Loan commitments and financial guarantees (audited)	Stage 1		Stage 2		Stage 3		Total	
	Gross exposure	ECL	Gross exposure	ECL	Gross exposure	ECL	Gross exposure	ECL
	£m	£m	£m	£m	£m	£m	£m	£m
Barclays Bank PLC								
Retail mortgages								
As at 1 January 2024	32	—	—	—	—	—	32	—
Net transfers between stages	—	—	—	—	—	—	—	—
Business activity in the year	—	—	—	—	—	—	—	—
Net drawdowns, repayments, net re-measurement and movement due to exposure and risk parameter changes	(15)	—	—	—	—	—	(15)	—
Limit management and final repayments	(4)	—	—	—	—	—	(4)	—
As at 31 December 2024	13	—	—	—	—	—	13	—
Retail other								
As at 1 January 2024	1,720	4	66	4	11	—	1,797	8
Net transfers between stages	(34)	—	34	—	—	—	—	—
Business activity in the year	533	2	—	—	—	—	533	2
Net drawdowns, repayments, net re-measurement and movement due to exposure and risk parameter changes	239	(2)	(20)	(2)	7	—	226	(4)
Limit management and final repayments	(309)	—	(9)	—	(10)	—	(328)	—
As at 31 December 2024	2,149	4	71	2	8	—	2,228	6
Corporate loans								
As at 1 January 2024	240,749	103	17,865	197	748	44	259,362	344
Net transfers between stages	1,468	27	(1,742)	(29)	274	2	—	—
Business activity in the year	44,113	29	1,442	26	192	—	45,747	55
Net drawdowns, repayments, net re-measurement and movement due to exposure and risk parameter changes	12,697	(36)	(1,658)	62	(85)	(15)	10,954	11
Limit management and final repayments	(60,265)	(22)	(3,002)	(55)	(266)	(8)	(63,533)	(85)
As at 31 December 2024	238,762	101	12,905	201	863	23	252,530	325

Risk review

Risk performance

Credit risk

Stage 2 decomposition

Stage 2 exposures are predominantly identified using quantitative tests where the lifetime probability of default (PD) has deteriorated more than a pre-determined amount since origination during the year. This is augmented by inclusion of accounts meeting the designated high risk criteria (including watchlist) for the portfolio under the qualitative test.

A small number of accounts (2.9% of impairment allowance and 2.1% of gross exposure) included in Stage 2 are not otherwise identified by the quantitative or qualitative tests but are more than 30 days past due. The percentage triggered by these backstop criteria is a measure of the effectiveness of the Stage 2 criteria in identifying deterioration prior to delinquency. These balances include items in the UK Corporate Bank and Investment Bank for reasons such as outstanding interest and fees rather than principal balances.

Loans and advances at amortised cost ¹								
	Gross Exposure				Impairment Allowance			
	Quantitative test	Qualitative test	30 days past due backstop	Total Stage 2	Quantitative test	Qualitative test	30 days past due backstop	Total Stage 2
Barclays Bank Group								
As at 31 December 2025 ²	£m	£m	£m	£m	£m	£m	£m	£m
Retail mortgages	3	46	87	136	—	—	—	—
Retail credit cards	1,830	661	45	2,536	597	172	27	796
Retail other	36	182	47	265	5	—	—	5
Corporate loans	5,817	2,285	54	8,156	147	85	3	235
Total Stage 2	7,686	3,174	233	11,093	749	257	30	1,036

Loans and advances at amortised cost ¹								
	Gross Exposure				Impairment Allowance			
	Quantitative test	Qualitative test	30 days past due backstop	Total Stage 2	Quantitative test	Qualitative test	30 days past due backstop	Total Stage 2
Barclays Bank Group								
As at 31 December 2024 ²	£m	£m	£m	£m	£m	£m	£m	£m
Retail mortgages	3	22	125	150	1	—	—	1
Retail credit cards	2,200	744	9	2,953	620	183	4	807
Retail other	14	321	69	404	—	1	—	1
Corporate loans	6,194	1,931	22	8,147	185	68	1	254
Total Stage 2	8,411	3,018	225	11,654	806	252	5	1,063

Notes

- Where balances satisfy more than one of the above three criteria for determining a significant increase in credit risk, the corresponding gross exposure and impairment allowance have been assigned in order of categories presented.
- Exposure exclude the portfolios which have been classified as assets held for sale.

Risk review

Risk performance

Credit risk

Management adjustments to models for impairment (audited)

Management adjustments to impairment models are applied in order to factor in certain conditions or changes in policy that are not fully incorporated into the impairment models, or to reflect additional facts and circumstances at the period end. Management adjustments are reviewed and incorporated into future model development where applicable.

Management adjustments are captured through “Economic uncertainty” and “Other” adjustments, and are presented by product below:

Management adjustments to models for impairment allowance presented by product (audited)						
Barclays Bank Group	Impairment allowance pre management adjustments ¹	Economic uncertainty adjustments (a)	Other adjustments (b)	Management adjustments ² (a+b)	Total impairment allowance ³	Proportion of Management adjustments to total impairment allowance
As at 31 December 2025	£m	£m	£m	£m	£m	%
Retail mortgages	25	—	8	8	33	24.2
Retail credit cards	2,505	31	87	118	2,623	4.5
Retail other	34	—	(1)	(1)	33	(3.0)
Corporate loans	1,253	49	24	73	1,326	5.5
Total	3,817	80	118	198	4,015	4.9
Debt securities at amortised cost	18	1	—	1	19	5.3
Total including debt securities at amortised cost	3,835	81	118	199	4,034	4.9

As at 31 December 2024	£m	£m	£m	£m	£m	%
Retail mortgages	38	—	3	3	41	7.3
Retail credit cards	2,630	—	(23)	(23)	2,607	(0.9)
Retail other	32	—	4	4	36	11.1
Corporate loans	1,162	—	(6)	(6)	1,156	(0.5)
Total	3,862	—	(22)	(22)	3,840	(0.6)
Debt securities at amortised cost	27	—	(7)	(7)	20	(35.0)
Total including debt securities at amortised cost	3,889	—	(29)	(29)	3,860	(0.8)

Notes

- Includes £3.4bn (2024: £3.7bn) of modelled ECL, £0.5bn (2024: £0.3bn) of individually assessed impairments, £(0.2)bn (2024: £(0.3)bn) of ECL from assets held for sale (co-branded card portfolio) and £0.1bn (2024: £0.1bn) of ECL from benchmarked exposures and debt securities.
- Management adjustments related to other financial assets subject to impairment not included in the table above include cash collateral and settlement balances £1m (2024: £(1)m), reverse repurchase agreements £1m (2024: £(2)m) and financial assets at fair value through other comprehensive income £nil (2024: £(2)m) within the IB portfolio.
- Total impairment allowance consists of ECL stock on drawn and undrawn exposures.

Economic uncertainty adjustments presented by stage (audited)				
As at 31 December 2025	Stage 1 £m	Stage 2 £m	Stage 3 £m	Total £m
Retail mortgages	—	—	—	—
Retail credit cards	—	31	—	31
Retail other	—	—	—	—
Corporate loans	16	33	—	49
Total	16	64	—	80
Debt Securities at amortised cost	1	—	—	1
Total including debt securities at amortised cost	17	64	—	81

Economic uncertainty adjustments

Economic uncertainty adjustments are captured in two ways. First, customer uncertainty: the identification of customers and clients who may be more vulnerable to economic instability; and second, model uncertainty: to capture the impact of model limitations and sensitivities to specific macroeconomic parameters, which are applied at a portfolio level.

The Barclays Bank Group continues to monitor the elevated tariffs, trade tensions, and geopolitical risks, especially in the US. In response, an adjustment of £81m introduced during Q125 within customer and client uncertainty provisions has been retained, with any resulting effects on customer behaviour yet to materialise.

Risk review

Risk performance

Credit risk

Other adjustments

Other adjustments are operational and remain in place until incorporated into the underlying models. These adjustments result from data limitations and model performance related issues identified through model monitoring and other established governance processes.

Total other adjustments as at 31 December 2025 are £118m (2024: £(29)m) and include:

- **Retail mortgages £8m (2024: £3m):** Reflects operational adjustments in the Mortgage product of the Private Banking portfolio
- **Retail credit cards £87m (2024: £(23)m):** This adjustment reflects provisioning for the GM consumer cards portfolio acquired during the year, while the previously held high-risk account management (HRAM) adjustment was retired following model remediation in USCB
- **Corporate loans £24m (2024: £(6)m):** This adjustment reflects provisioning for the GM business cards portfolio acquired during the year
- **Debt securities £nil (2024: £(7)m):** The movement is driven by the retirement of the Exposure at Default recalibration adjustment following model remediation in the IB portfolio

Climate Risk ECL assessment

Barclays Bank Group performed a credit risk assessment of physical and transition risks due to climate change. This was delivered through a combination of a scenario approach and targeted reviews of specific portfolios identified as more susceptible to climate risk.

Scenario Approach: The IFRS 9 Downside 2 scenario has been updated and aligned to the 2025 Internal Stress Test scenario which is climate aware, ensuring that climate is being considered within the modelled ECL output via existing macroeconomic variables.

Specific Approach: The approach reviewed portfolios previously identified from both internal and external stress tests as more susceptible to climate risks. In particular, climate modelling techniques were utilised to inform customer level PD spreads of physical and transition risk due to climate change for certain Wholesale elevated risk sectors. The output of this review did not provide variances in ECL deemed sufficiently certain to warrant raising an additional climate-related charge in 2025.

Whilst there have been no separately identifiable charges relating to climate risk in the 2025 reported ECL, it is acknowledged that impairment could increase over time as risks become more tangible and impact consumers and clients through physical risks or via impacts from the transition to a low carbon economy. Therefore, Barclays Bank Group continues to review credit risk outputs to determine if any additional physical or transition climate risks are identified that are not sufficiently captured via model output.

Measurement uncertainty and sensitivity analysis

The measurement of modelled ECL involves complexity and judgement, including estimation of probabilities of default (PD), loss given default (LGD), a range of unbiased future economic scenarios, estimation of expected lives, estimation of exposures at default (EAD) and assessing significant increases in credit risk. The Barclays Bank Group uses a five-scenario model to calculate ECL. An external consensus forecast is assembled from key sources, including HM Treasury (short and medium term forecasts), and Bloomberg (based on median of economic forecasts) which forms the Baseline scenario. In addition, two adverse scenarios (Downside 1 and Downside 2) and two favourable scenarios (Upside 1 and Upside 2) are derived, with associated weightings. The adverse scenarios are calibrated to a broadly similar severity to the Barclays Bank Group's internal stress tests and stress scenarios provided by regulators whilst also considering IFRS 9 specific sensitivities and non-linearity. The favourable scenarios are designed to reflect plausible upside risks to the Baseline scenario which are broadly consistent with the economic narrative approved by the Senior Scenario Review Committee. All scenarios are regenerated at a minimum semi-annually. The scenarios include key economic variables (including GDP, unemployment, House Price Index (HPI) and base rates in both the UK and US markets), and expanded variables using statistical models based on historical correlations. The upside and downside shocks are designed to evolve over a five-year stress horizon, with all five scenarios converging to a steady state after approximately seven years. The same scenarios used in the estimation of expected credit losses are also used to inform the Barclays Bank Group's internal planning.

Scenarios used to calculate the Barclays Bank Group's ECL charge were refreshed in Q425, with the Baseline scenario reflecting the latest consensus macroeconomic forecasts available at the time of the scenario refresh. The Baseline scenario continues to reflect the rapidly changing trade policies and uncertainty around potential tariffs to be imposed by the US administration and responses by other governments. Global growth slows modestly as rising US tariffs and retaliatory measures disrupt trade flows, dampen business confidence, and weigh on investment, though domestic demand in advanced economies remains resilient. UK and US GDP growth in 2026 is expected to be 1.1% and 2.0%, respectively. Labour markets in major economies soften slightly amid increased uncertainty and slower export-orientated activity. However, the weakening is contained and does not rise significantly from current levels. UK and US quarterly unemployment rates peak at 4.9% and 4.5%, respectively. Central Banks continue to loosen monetary policy with both the Bank of England and the Federal Reserve finishing 2026 with an interest rate of 3.25%.

The Downside scenarios have been calibrated to capture an escalation of trade tensions, where tariffs imposed by the US prompt retaliation from its trading partners with adverse implications for consumer prices and investment sentiment. A sharp slowdown in immigration coupled with mass deportations disrupts the US labour market, compounding downside risks to growth. In addition, global supply chains are severely disrupted as firms delay investment, reassess production locations and hoard production inputs. Imports into the US contract sharply due to higher prices and exports fall due to retaliation. The combination of trade impact and consumer uncertainty triggers a sharp recession, not only in the US but also in the UK and Europe driven by a severe decline in exports, business sentiment and with investment and consumption plans being put on hold. The rapid fall in external demand and a retrenchment in business investment push up unemployment rates, where job losses are concentrated in trade-exposed sectors (machinery, autos, consumer durables) but also spill into services. The Federal Reserve initially holds rates steady, weighing the inflation shock against the deteriorating real economy. However, as the slowdown deepens and the labour market loosens, the Federal Reserve cuts rates swiftly to stimulate aggregate demand. The Bank of England eases monetary policy amid a disinflationary environment and looser labour markets.

In the Upside scenarios, a rise in labour force participation and higher productivity contribute to accelerated economic growth, without creating new inflationary pressures. Central banks lower interest rates stimulating private consumption and investment growth. Demand for labour increases and unemployment rates stabilise and start falling again. As geopolitical tensions ease, low inflation supports consumer purchasing power and contributes further to healthy GDP growth. The strong economic outlook and lower interest rates provide a boost to house prices growth and support bullish financial markets.

The methodology for estimating scenario weights involves simulating a range of future paths for UK and US GDP using historical data with the five scenarios mapped against the distribution of these future paths. The median is centred around the Baseline with scenarios further from the Baseline attracting a lower weighting before the five weights are normalised to total 100%. The movement in weights is driven by the combined impact of two factors: (i) improvement in GDP growth in the Baseline scenario, bringing the Baseline scenario closer to the Upside scenarios; and (ii) model improvements, which increase the Baseline weight and reduce the weights of the tail scenarios. For further details see page 188.

The Barclays Bank Group has retained the £81m uncertainty adjustment introduced in Q125 across the US Consumer Bank and Investment Bank businesses, reflecting elevated tariffs, trade tensions, and geopolitical risks, with any resulting effects on customer behaviour yet to materialise. For further details see pages 183 to 184.

The following tables show the key macroeconomic variables used in the five scenarios (five year annual paths), the weights applied to each scenario and the macroeconomic variables by scenario using 'specific bases' i.e. the most extreme position of each variable in the context of the scenario, for example, the highest unemployment for downside scenarios and the lowest unemployment for upside scenarios. Five year average tables and movement over time graphs provide additional transparency. Annual paths show quarterly averages for the year (unemployment and base rate) or change in the year (GDP and HPI).

Risk review

Risk performance

Credit risk

Baseline	2025	2026	2027	2028	2029
As at 31 December 2025	%	%	%	%	%
UK GDP ¹	1.5	1.1	1.4	1.4	1.4
UK unemployment ²	4.7	4.9	4.8	4.8	4.7
UK HPI ³	1.5	2.9	2.5	4.3	3.8
UK bank rate	4.2	3.4	3.4	3.5	3.6
US GDP ¹	2.1	2.0	2.0	2.0	2.0
US unemployment ⁴	4.2	4.5	4.4	4.4	4.4
US HPI ⁵	3.2	1.7	1.9	2.6	2.6
US federal funds rate	4.2	3.4	3.3	3.3	3.5

Downside 2					
UK GDP ¹	1.5	(2.5)	(1.2)	2.8	1.1
UK unemployment ²	4.7	5.8	7.7	6.9	5.7
UK HPI ³	1.5	(24.9)	(5.1)	9.6	14.2
UK bank rate	4.2	2.3	0.5	0.4	1.1
US GDP ¹	2.1	(2.7)	(2.8)	1.6	2.4
US unemployment ⁴	4.2	5.7	8.0	7.9	5.9
US HPI ⁵	3.2	(8.2)	(1.7)	7.2	7.7
US federal funds rate	4.2	3.6	2.4	1.4	1.2

Downside 1					
UK GDP ¹	1.5	(0.7)	0.1	2.1	1.3
UK unemployment ²	4.7	5.3	6.3	5.8	5.2
UK HPI ³	1.5	(11.8)	(1.3)	6.9	8.9
UK bank rate	4.2	2.9	2.0	1.9	2.4
US GDP ¹	2.1	(0.3)	(0.4)	1.8	2.2
US unemployment ⁴	4.2	5.1	6.2	6.1	5.1
US HPI ⁵	3.2	(3.3)	0.1	4.9	5.1
US federal funds rate	4.2	3.6	2.8	2.4	2.4

Upside 2					
UK GDP ¹	1.5	2.7	3.7	2.9	2.4
UK unemployment ²	4.7	4.3	4.0	3.9	3.8
UK HPI ³	1.5	11.9	8.4	5.1	4.1
UK bank rate	4.2	3.1	2.3	2.3	2.6
US GDP ¹	2.1	2.8	3.1	2.8	2.8
US unemployment ⁴	4.2	3.9	3.7	3.7	3.7
US HPI ⁵	3.2	6.2	4.7	4.8	4.9
US federal funds rate	4.2	3.0	2.5	2.5	2.5

Upside 1					
UK GDP ¹	1.5	1.9	2.6	2.2	1.9
UK unemployment ²	4.7	4.6	4.4	4.4	4.3
UK HPI ³	1.5	7.4	5.4	4.7	3.9
UK bank rate	4.2	3.2	2.8	2.8	3.1
US GDP ¹	2.1	2.4	2.6	2.4	2.4
US unemployment ⁴	4.2	4.2	4.1	4.1	4.1
US HPI ⁵	3.2	4.0	3.3	3.7	3.7
US federal funds rate	4.2	3.3	2.8	2.8	3.0

Notes

- 1 Average Real GDP seasonally adjusted change in year.
- 2 Average UK unemployment rate 16-year+.
- 3 Change in year end UK HPI = Halifax HPI Meth2 All Houses, All Buyers index.
- 4 Average US civilian unemployment rate 16-year+.
- 5 Change in year end US HPI = FHFA house price index, relative to prior year end.

Risk review

Risk performance

Credit risk

Baseline	2024	2025	2026	2027	2028
As at 31 December 2024	%	%	%	%	%
UK GDP ¹	1.0	1.4	1.5	1.6	1.5
UK unemployment ²	4.3	4.4	4.5	4.4	4.4
UK HPI ³	2.8	3.3	1.6	4.5	3.0
UK bank rate	5.1	4.3	4.0	4.0	3.8
US GDP ¹	2.7	2.0	2.0	2.0	2.0
US unemployment ⁴	4.1	4.3	4.2	4.2	4.2
US HPI ⁵	6.5	2.6	2.7	3.0	3.0
US federal funds rate	5.1	4.1	4.0	3.8	3.8

	2024	2025	2026	2027	2028
	%	%	%	%	%
Downside 2					
UK GDP ¹	1.0	(2.3)	(1.3)	2.6	2.3
UK unemployment ²	4.3	6.2	8.1	6.6	5.5
UK HPI ³	2.8	(24.8)	(5.2)	10.0	14.6
UK bank rate	5.1	3.5	1.7	0.6	1.1
US GDP ¹	2.7	(1.3)	(1.3)	3.3	2.9
US unemployment ⁴	4.1	5.8	7.2	6.2	5.5
US HPI ⁵	6.5	(8.0)	(0.7)	5.2	4.0
US federal funds rate	5.1	2.5	0.6	0.8	1.5

	2024	2025	2026	2027	2028
	%	%	%	%	%
Downside 1					
UK GDP ¹	1.0	(0.5)	0.1	2.1	1.9
UK unemployment ²	4.3	5.3	6.3	5.5	5.0
UK HPI ³	2.8	(11.6)	(1.8)	7.2	8.7
UK bank rate	5.1	3.9	2.9	2.3	2.4
US GDP ¹	2.7	0.3	0.4	2.7	2.4
US unemployment ⁴	4.1	5.1	5.7	5.2	4.9
US HPI ⁵	6.5	(2.7)	1.0	4.1	3.5
US federal funds rate	5.1	3.4	2.3	2.3	2.7

	2024	2025	2026	2027	2028
	%	%	%	%	%
Upside 2					
UK GDP ¹	1.0	3.0	3.7	2.9	2.4
UK unemployment ²	4.3	3.8	3.4	3.5	3.5
UK HPI ³	2.8	11.9	8.4	5.1	4.1
UK bank rate	5.1	3.9	2.9	2.8	2.8
US GDP ¹	2.7	2.8	3.1	2.8	2.8
US unemployment ⁴	4.1	3.8	3.5	3.5	3.5
US HPI ⁵	6.5	6.2	4.7	4.8	4.9
US federal funds rate	5.1	3.7	3.3	3.1	2.8

	2024	2025	2026	2027	2028
	%	%	%	%	%
Upside 1					
UK GDP ¹	1.0	2.2	2.6	2.2	2.0
UK unemployment ²	4.3	4.1	4.0	4.0	4.0
UK HPI ³	2.8	7.6	4.9	4.8	3.5
UK bank rate	5.1	4.1	3.5	3.4	3.3
US GDP ¹	2.7	2.4	2.6	2.4	2.4
US unemployment ⁴	4.1	4.0	3.9	3.9	3.9
US HPI ⁵	6.5	4.4	3.7	3.9	3.9
US federal funds rate	5.1	4.0	3.8	3.6	3.3

Notes

- 1 Average Real GDP seasonally adjusted change in year.
- 2 Average UK unemployment rate 16-year+.
- 3 Change in year end UK HPI = Halifax All Houses, All Buyers index, relative to prior year end.
- 4 Average US civilian unemployment rate 16-year+.
- 5 Change in year end US HPI = FHFA house price index, relative to prior year end.

Risk review

Risk performance

Credit risk

Scenario weighting (audited) ¹					
	Upside 2	Upside 1	Baseline	Downside 1	Downside 2
	%	%	%	%	%
As at 31 December 2025					
Scenario weighting	14.4	27.4	38.5	12.7	7.0
As at 31 December 2024					
Scenario weighting	17.4	26.8	32.5	14.7	8.6

Note

1 For further details on changes to scenario weights see page 185.

Specific bases show the most extreme position of each variable in the context of the downside/upside scenarios, for example, the highest unemployment for downside scenarios, average unemployment for baseline scenarios and lowest unemployment for upside scenarios. GDP and HPI downside and upside scenario data represents the lowest and highest points relative to the start point in the 20 quarter period.

Macroeconomic variables used in the calculation of ECL (specific bases) (audited) ¹					
	Upside 2	Upside 1	Baseline	Downside 1	Downside 2
	%	%	%	%	%
As at 31 December 2025					
UK GDP ²	14.5	10.8	1.4	(0.3)	(3.5)
UK unemployment ³	3.8	4.3	4.8	6.5	8.1
UK HPI ⁴	34.6	24.9	3.0	(12.6)	(28.0)
UK bank rate ³	2.3	2.8	3.6	4.6	4.6
US GDP ²	14.6	12.4	2.0	(0.2)	(4.6)
US unemployment ³	3.7	4.1	4.4	6.6	8.8
US HPI ⁴	26.2	19.3	2.4	(1.5)	(8.1)
US federal funds rate ³	2.5	2.8	3.5	4.3	4.3
As at 31 December 2024					
UK GDP ²	15.0	11.6	1.4	0.2	(2.9)
UK unemployment ³	3.4	3.9	4.4	6.5	8.4
UK HPI ⁴	36.3	25.9	3.0	(11.3)	(26.8)
UK bank rate ³	2.8	3.3	4.2	5.3	5.3
US GDP ²	14.9	12.8	2.2	0.4	(2.1)
US unemployment ³	3.5	3.8	4.2	5.9	7.5
US HPI ⁴	30.1	24.4	3.5	1.1	(4.0)
US federal funds rate ³	2.8	3.3	4.2	5.3	5.3

Risk review

Risk performance

Credit risk

Average basis represents the average quarterly value of variables in the 20 quarter period with GDP and HPI based on yearly average and quarterly CAGRs respectively.

Macroeconomic variables used in the calculation of ECL (5 year averages) (audited) ¹					
	Upside 2	Upside 1	Baseline	Downside 1	Downside 2
	%	%	%	%	%
As at 31 December 2025					
UK GDP ⁵	2.7	2.0	1.4	0.9	0.3
UK unemployment ⁶	4.1	4.5	4.8	5.5	6.2
UK HPI ⁷	6.1	4.5	3.0	0.6	(2.0)
UK bank rate ⁶	2.9	3.2	3.6	2.7	1.7
US GDP ⁵	2.7	2.4	2.0	1.1	0.1
US unemployment ⁶	3.9	4.1	4.4	5.4	6.3
US HPI ⁷	4.8	3.6	2.4	1.9	1.5
US federal funds rate ⁶	2.9	3.2	3.5	3.1	2.5
As at 31 December 2024					
UK GDP ⁵	2.6	2.0	1.4	0.9	0.5
UK unemployment ⁶	3.7	4.0	4.4	5.3	6.1
UK HPI ⁷	6.4	4.7	3.0	0.8	(1.6)
UK bank rate ⁶	3.5	3.9	4.2	3.3	2.4
US GDP ⁵	2.9	2.5	2.2	1.7	1.2
US unemployment ⁶	3.7	3.9	4.2	5.0	5.8
US HPI ⁷	5.4	4.5	3.5	2.4	1.2
US federal funds rate ⁶	3.6	4.0	4.2	3.2	2.1

Notes

- 1 UK GDP = Real GDP growth seasonally adjusted; UK unemployment = UK unemployment rate 16-year+; UK HPI (31.12.24) = Halifax All Houses, All Buyers Index; UK HPI (31.12.25) = Halifax HPI Meth2 All Houses, All Buyers index; US GDP = Real GDP growth seasonally adjusted; US unemployment = US civilian unemployment rate 16-year+; US HPI = FHFA house price index. 20 quarter period starts from Q125 (2024: Q124).
- 2 Maximum growth relative to Q424 (2024: Q423), based on 20 quarter period in Upside scenarios; 5-year yearly average CAGR in Baseline; minimum growth relative to Q424 (2024: Q423), based on 20 quarter period in Downside scenarios.
- 3 Lowest quarter in Upside scenarios; 5-year average in Baseline; highest quarter in Downside scenarios. Period based on 20 quarters from Q125 (2024: Q124).
- 4 Maximum growth relative to Q424 (2024: Q423), based on 20 quarter period in Upside scenarios; 5-year quarter end CAGR in Baseline; minimum growth relative to Q424 (2024: Q423), based on 20 quarter period in Downside scenarios.
- 5 5-year yearly average CAGR, starting 2024 (2024: 2023).
- 6 5-year average. Period based on 20 quarters from Q125 (2024: Q124).
- 7 5-year quarter end CAGR, starting Q424 (2024: Q423).

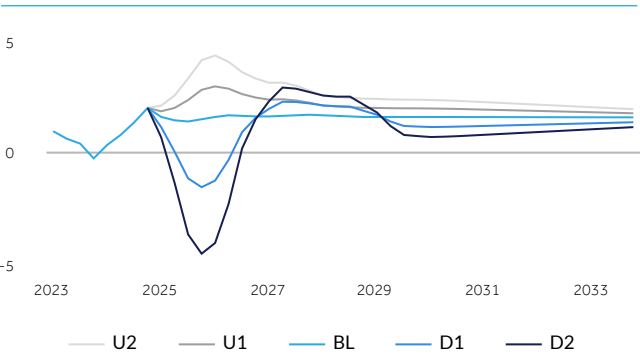
Risk review

Risk performance

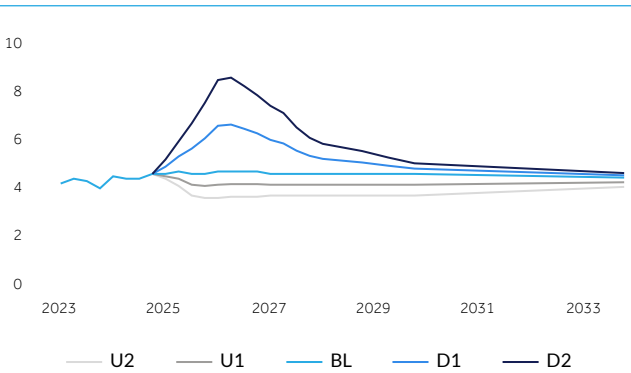
Credit risk

The graphs below plot the historical data for the quarterly, year on year GDP growth rate (Q v Q-4) and the quarterly unemployment rate in the UK and US as well as the forecasted data under each of the five scenarios.

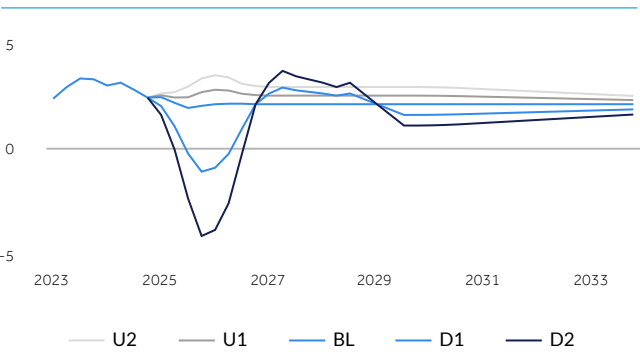
UK GDP (%)



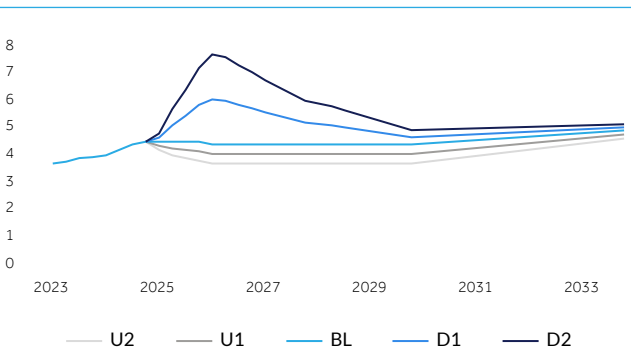
UK unemployment (%)



US GDP (%)



US unemployment (%)



GDP growth based on year on year growth each quarter
(Q/(Q-4))

Risk review

Risk performance

Credit risk

ECL sensitivity analysis (audited)

The table below shows the modelled ECL assuming each of the five modelled scenarios are 100% weighted with the dispersion of results around the Baseline, highlighting the impact on exposure and ECL across the scenarios.

Model exposure uses exposure at default (EAD) values and is not directly comparable to gross exposure used in other disclosures.

Barclays Bank Group (audited)		Scenarios				
As at 31 December 2025	Weighted ¹	Upside 2	Upside 1	Baseline	Downside 1	Downside 2
Stage 1 Model exposure (£m)						
Retail mortgages	13	13	13	13	13	13
Retail credit cards ²	41,195	40,997	41,089	41,197	41,419	41,583
Retail other	—	—	—	—	—	—
Corporate loans ²	201,622	202,562	202,203	201,950	200,869	197,068
Stage 1 Model ECL (£m)						
Retail mortgages	—	—	—	—	—	—
Retail credit cards ²	448	420	434	450	475	500
Retail other	—	—	—	—	—	—
Corporate loans ²	197	172	180	188	233	280
Stage 1 Coverage (%)						
Retail mortgages	—	—	—	—	—	—
Retail credit cards	1.1	1.0	1.1	1.1	1.1	1.2
Retail other	—	—	—	—	—	—
Corporate loans	0.1	0.1	0.1	0.1	0.1	0.1
Stage 2 Model exposure (£m)						
Retail mortgages	1	1	1	1	1	1
Retail credit cards ²	3,513	3,392	3,455	3,504	3,634	3,837
Retail other	—	—	—	—	—	—
Corporate loans ²	15,180	14,097	14,510	14,869	16,082	20,024
Stage 2 Model ECL (£m)						
Retail mortgages	—	—	—	—	—	—
Retail credit cards ²	871	809	840	868	936	1,029
Retail other	—	—	—	—	—	—
Corporate loans ²	410	331	356	387	521	771
Stage 2 Coverage (%)						
Retail mortgages	—	—	—	—	—	—
Retail credit cards	24.8	23.9	24.3	24.8	25.8	26.8
Retail other	—	—	—	—	—	—
Corporate loans	2.7	2.3	2.5	2.6	3.2	3.9
Stage 3 Model exposure (£m)³						
Retail mortgages	15	15	15	15	15	15
Retail credit cards ²	1,975	1,975	1,975	1,975	1,975	1,975
Retail other	—	—	—	—	—	—
Corporate loans ²	35	35	35	35	35	35
Stage 3 Model ECL (£m)						
Retail mortgages	2	1	1	2	2	2
Retail credit cards ²	1,498	1,455	1,479	1,503	1,534	1,563
Retail other	—	—	—	—	—	—
Corporate loans ^{2,4}	25	25	25	25	25	25
Stage 3 Coverage (%)						
Retail mortgages	13.3	6.7	6.7	13.3	13.3	13.3
Retail credit cards	75.8	73.7	74.9	76.1	77.7	79.1
Retail other	—	—	—	—	—	—
Corporate loans ⁴	71.4	71.4	71.4	71.4	71.4	71.4
Total Model ECL (£m)						
Retail mortgages	2	1	1	2	2	2
Retail credit cards ²	2,817	2,684	2,753	2,821	2,945	3,092
Retail other	—	—	—	—	—	—
Corporate loans ^{2,4}	632	528	561	600	779	1,076
Total Model ECL	3,451	3,213	3,315	3,423	3,726	4,170

Risk review

Risk performance

Credit risk

Reconciliation to total ECL	£m
Total weighted model ECL	3,451
ECL from individually assessed exposures ⁴	538
ECL from benchmarked exposures and others	63
ECL from debt securities at amortised cost	19
ECL from held for sale assets (co-branded card portfolio)	(235)
ECL from post model management adjustments	198
<i>Of which: ECL from economic uncertainty adjustments</i>	<i>80</i>
Total ECL	4,034

Notes

1. Model exposures are allocated to a stage based on an individual scenario rather than a probability-weighted approach, as required for Barclays reported impairment allowance. As a result, it is not possible to back solve the final reported weighted ECL from individual scenarios given balances may be assigned to a different stage dependent on the scenario.
2. Model exposure and ECL reported within Retail credit cards and Corporate loans continue to include a co-branded card portfolio in USCB, classified as assets held for sale.
3. Model exposures allocated to Stage 3 do not change in any of the scenarios as the transition criteria relies only on observable evidence of default as at 31 December 2025 and not on the macroeconomic scenario.
4. Material corporate loan defaults are individually assessed across different recovery strategies. As a result, ECL of £538m is reported as an individually assessed impairment in the reconciliation table.

The use of five scenarios with associated weightings results in a total weighted ECL uplift from the Baseline ECL of 0.8%.

Retail mortgages: Total weighted ECL of £2m is aligned to the Baseline ECL (£2m).

Retail credit cards: Total weighted ECL of £2,817m is broadly aligned to the Baseline ECL (£2,821m). Total ECL increases to £3,092m under the Downside 2 scenario, driven by an increase in US unemployment rate.

Corporate loans: Total weighted ECL of £632m represents a 5.3% increase over the Baseline ECL (£600m). Total ECL increases to £1,076m under the Downside 2 scenario, primarily driven by a decrease in US GDP.

Risk review

Risk performance

Credit risk

Barclays Bank Group (audited)		Scenarios ¹				
As at 31 December 2024	Weighted ²	Upside 2	Upside 1	Baseline	Downside 1	Downside 2
Stage 1 Model exposure (£m)						
Retail mortgages	9	9	9	9	9	9
Retail credit cards	45,377	45,328	45,352	45,377	45,429	45,462
Retail other	—	—	—	—	—	—
Corporate loans	193,873	194,752	194,413	194,151	193,208	189,985
Stage 1 Model ECL (£m)						
Retail mortgages	—	—	—	—	—	—
Retail credit cards	422	410	417	423	431	438
Retail other	—	—	—	—	—	—
Corporate loans	237	206	215	226	272	318
Stage 1 Coverage (%)						
Retail mortgages	—	—	—	—	—	—
Retail credit cards	0.9	0.9	0.9	0.9	0.9	1.0
Retail other	—	—	—	—	—	—
Corporate loans	0.1	0.1	0.1	0.1	0.1	0.2
Stage 2 Model exposure (£m)						
Retail mortgages	3	3	3	3	3	3
Retail credit cards	4,591	4,516	4,554	4,590	4,660	4,752
Retail other	—	—	—	—	—	—
Corporate loans	17,769	16,740	17,134	17,508	18,576	21,956
Stage 2 Model ECL (£m)						
Retail mortgages	—	—	—	—	—	—
Retail credit cards	1,024	976	999	1,023	1,070	1,127
Retail other	—	—	—	—	—	—
Corporate loans	464	373	404	439	569	813
Stage 2 Coverage (%)						
Retail mortgages	—	—	—	—	—	—
Retail credit cards	22.3	21.6	21.9	22.3	23.0	23.7
Retail other	—	—	—	—	—	—
Corporate loans	2.6	2.2	2.4	2.5	3.1	3.7
Stage 3 Model exposure (£m)³						
Retail mortgages	25	25	25	25	25	25
Retail credit cards	2,005	2,005	2,005	2,005	2,005	2,005
Retail other	—	—	—	—	—	—
Corporate loans	34	34	34	34	34	34
Stage 3 Model ECL (£m)						
Retail mortgages	5	4	5	5	5	5
Retail credit cards	1,535	1,496	1,517	1,537	1,570	1,598
Retail other	—	—	—	—	—	—
Corporate loans ⁴	25	25	25	25	25	25
Stage 3 Coverage (%)						
Retail mortgages	20.0	16.0	20.0	20.0	20.0	20.0
Retail credit cards	76.6	74.6	75.7	76.7	78.3	79.7
Retail other	—	—	—	—	—	—
Corporate loans ⁴	73.5	73.5	73.5	73.5	73.5	73.5
Total Model ECL (£m)						
Retail mortgages	5	4	5	5	5	5
Retail credit cards	2,981	2,882	2,933	2,983	3,071	3,163
Retail other	—	—	—	—	—	—
Corporate loans ⁴	726	604	644	690	866	1,156
Total Model ECL	3,712	3,490	3,582	3,678	3,942	4,324

Risk review

Risk performance

Credit risk

Reconciliation to total ECL	£m
Total weighted model ECL	3,712
ECL from individually assessed exposures ⁴	329
ECL from benchmarked exposures and others	103
ECL from debt securities at amortised cost	20
ECL from held for sale assets (co-branded card portfolio)	(282)
ECL from post model management adjustments ⁵	(22)
<i>Of which: ECL from economic uncertainty adjustments</i>	—
Total ECL	3,860

Notes

1. Model exposure and ECL reported within Retail credit cards and Retail Other excludes the German consumer finance business, sale of which completed after the balance sheet date. Model exposure and ECL reported within Retail credit cards and Corporate loans continue to include a co-branded card portfolio, as the sale is expected to close in 2026.
2. Model exposures are allocated to a stage based on an individual scenario rather than a probability-weighted approach, as required for Barclays reported impairment allowance. As a result, it is not possible to back solve the final reported weighted ECL from individual scenarios given balances may be assigned to a different stage dependent on the scenario.
3. Model exposures allocated to Stage 3 do not change in any of the scenarios as the transition criteria relies only on observable evidence of default as at 31 December 2024 and not on the macroeconomic scenario.
4. Material corporate loan defaults are individually assessed across different recovery strategies. As a result, ECL of £329m is reported as an individually assessed impairment in the reconciliation table.
5. Includes negative operational management adjustments.

Analysis of the concentration of credit risk

A concentration of credit risk exists when a number of counterparties are located in a common geographical region or are engaged in similar activities and have similar economic characteristics that would cause their ability to meet contractual obligations to be similarly affected by changes in economic or other conditions. The Barclays Bank Group implements limits on concentrations in order to mitigate the risk.

The following table presents an industry credit risk concentration analysis of loans and advances at amortised cost net of impairment allowance including breakdown by geographical location of the counterparty or customers. Further includes debt securities at amortised cost, off-balance sheet commitments and financial guarantees and contingent liabilities at amortised cost by geography.

Further detail on the Barclays Bank Group's policies with regard to managing concentration risk is presented in the Barclays Bank PLC Pillar 3 Report 2025 (unaudited).

Risk review

Risk performance

Credit risk

Credit risk concentration by Industry and Geography (audited)

Loans and advances at amortised cost net of impairment allowance

Industry	Geography				
	United Kingdom	Americas	Europe	Others	Total
Barclays Bank Group					
As at 31 December 2025	£m	£m	£m	£m	£m
Agriculture, Food and Forest Products	61	—	74	—	135
Mining and Quarrying	679	357	221	8	1,265
Manufacturing	3,500	1,150	760	361	5,771
Government and central bank	156	—	118	478	752
Banks	1,151	3,435	1,719	2,731	9,036
Energy and water	2,176	1,068	294	324	3,862
Materials and Building	13,376	2,414	397	365	16,552
Wholesale and retail distribution and leisure	6,085	675	251	509	7,520
Transport and storage	693	344	205	125	1,367
Home Loans	2,948	116	832	1,056	4,952
Business and other services	12,163	5,610	4,024	1,405	23,202
Other Financial Institutions	9,482	30,760	8,630	2,845	51,717
Cards, unsecured loans and other personal lending	1,404	20,942	1,409	900	24,655
Total loans and advances at amortised cost	53,874	66,871	18,934	11,107	150,786
Debt securities at amortised cost	18,176	18,854	17,250	873	55,153
Total loans and advances at amortised cost including debt	72,050	85,725	36,184	11,980	205,939
Contingent liabilities	6,780	12,320	5,084	1,544	25,728
Loan commitments	49,003	239,882	35,550	9,661	334,096
Total off-balance sheet¹	55,783	252,202	40,634	11,205	359,824
As at 31 December 2024					
Agriculture, Food and Forest Products	112	—	—	—	112
Mining and Quarrying	506	709	189	—	1,404
Manufacturing	3,168	1,418	828	349	5,763
Government and central bank	220	—	2	342	564
Banks	1,212	3,573	1,286	2,707	8,778
Energy and water	2,067	401	203	287	2,958
Materials and Building	11,255	2,815	399	218	14,687
Wholesale and retail distribution and leisure	5,931	831	294	616	7,672
Transport and storage	519	421	300	96	1,336
Home Loans	3,079	110	899	868	4,956
Business and other services	11,846	5,196	3,646	1,031	21,719
Other Financial Institutions	10,655	30,788	7,226	2,542	51,211
Cards, unsecured loans and other personal lending	1,826	20,081	993	767	23,667
Total loans and advances at amortised cost	52,396	66,343	16,265	9,823	144,827
Debt securities at amortised cost	15,822	18,062	15,123	1,220	50,227
Total loans and advances at amortised cost including debt	68,218	84,405	31,388	11,043	195,054
Contingent liabilities	6,442	10,742	5,514	2,879	25,577
Loan commitments	46,590	243,612	39,864	8,361	338,427
Total off-balance sheet¹	53,032	254,354	45,378	11,240	364,004

Note

¹ The Off-balance sheet contingent liabilities and loan commitments excludes the fair value balance of £22,197m in 2025 (2024: £16,338m) and includes exposures relating to financial assets classified as assets held for sale.

Risk review

Risk performance

Credit risk

Loans and advances at amortised cost net of impairment allowance

Industry	Geography				
	United Kingdom	Americas	Europe	Others	Total
Barclays Bank PLC					
As at 31 December 2025	£m	£m	£m	£m	£m
Agriculture, Food and Forest Products	61	—	—	—	61
Mining and Quarrying	674	357	1	8	1,040
Manufacturing	3,487	1,120	222	334	5,163
Government and central bank	156	—	118	478	752
Banks	1,602	974	7,499	2,720	12,795
Energy and water	2,130	967	215	324	3,636
Materials and Building	13,376	2,411	181	313	16,281
Wholesale and retail distribution and leisure	6,074	665	104	463	7,306
Transport and storage	695	279	69	118	1,161
Home Loans	2,882	104	610	951	4,547
Business and other services	11,870	4,364	2,272	1,295	19,801
Other Financial Institutions	102,339	36,002	27,109	6,670	172,120
Cards, unsecured loans and other personal lending	1,290	85	1,086	428	2,889
Total loans and advances at amortised cost	146,636	47,328	39,486	14,102	247,552
Debt securities at amortised cost	17,781	9,197	10,939	873	38,790
Total loans and advances at amortised cost including debt securities	164,417	56,525	50,425	14,975	286,342
Contingent liabilities	23,661	13,997	8,437	1,437	47,532
Loan commitments	47,686	129,667	15,026	8,092	200,471
Total off-balance sheet¹	71,347	143,664	23,463	9,529	248,003
As at 31 December 2024					
Agriculture, Food and Forest Products	112	—	—	—	112
Mining and Quarrying	495	708	53	—	1,256
Manufacturing	3,050	1,353	242	267	4,912
Government and central bank	220	—	2	342	564
Banks	910	3,775	6,968	3,179	14,832
Energy and water	2,024	377	135	287	2,823
Materials and Building	11,255	2,816	112	149	14,332
Wholesale and retail distribution and leisure	5,926	826	80	577	7,409
Transport and storage	519	350	62	89	1,020
Home Loans	2,975	98	633	775	4,481
Business and other services	11,593	4,013	1,970	900	18,476
Other Financial Institutions	92,842	30,512	25,780	2,801	151,935
Cards, unsecured loans and other personal lending	1,698	141	713	348	2,900
Total loans and advances at amortised cost	133,619	44,969	36,750	9,714	225,052
Debt securities at amortised cost	15,477	8,438	10,385	1,219	35,519
Total loans and advances at amortised cost including debt	149,096	53,407	47,135	10,933	260,571
Contingent liabilities	22,756	12,573	9,531	2,753	47,613
Loan commitments	45,477	139,587	14,804	7,290	207,158
Total off-balance sheet¹	68,233	152,160	24,335	10,043	254,771

Note

1 The off-balance sheet contingent liabilities and loan commitments excludes the fair value balance of £20,712m in 2025 (2024: £15,917m)

Risk review

Risk performance

Credit risk

Approach to management and representation of credit quality

Asset credit quality

The credit quality distribution is based on the IFRS 9 12 month probability of default (PD) at the reporting date to ensure comparability with other ECL disclosures in Expected Credit Losses section on pages 168 to 194. The Barclays Bank Group uses the following internal measures to determine credit quality for loans:

PD Range %	Internal DG Band	Default Probability			Credit Quality description	Moody's	Standard and Poor's
		>Min	Mid	<=Max			
0.00 to < 0.15	1	0.00%	0.01%	0.02%	Strong	Aaa, Aa1, Aa2	AAA, AA+, AA, AA-
	2	0.02%	0.03%	0.03%		Aa3	AA-
	3	0.03%	0.04%	0.05%		A1, A2, A3	A+, A
	4	0.05%	0.08%	0.10%		A1, A2, A3	A-
	5	0.10%	0.13%	0.15%		Baa1	BBB+
0.15 to < 0.25	6	0.15%	0.18%	0.20%	Strong	Baa2	BBB
	7	0.20%	0.23%	0.25%		Baa2	BBB-
0.25 to < 0.50	8	0.25%	0.28%	0.30%	Strong	Baa3	BBB-
	9	0.30%	0.35%	0.40%		Baa3	BB+
	10	0.40%	0.45%	0.50%		Ba1	BB+
0.50 to < 0.75	11	0.50%	0.55%	0.60%	Strong	Ba1	BB
	12	0.60%	0.68%	0.75%	Satisfactory	Ba2	BB
0.75 to < 2.50	12	0.75%	0.98%	1.20%	Satisfactory	Ba2, Ba3	BB, BB-
	13	1.20%	1.38%	1.55%		Ba3	BB-
	14	1.55%	1.85%	2.15%		B1	B+
	15	2.15%	2.33%	2.50%		B1, B2	B+
2.50 to < 10.00	15	2.50%	2.78%	3.05%	Satisfactory	B1, B2	B+
	16	3.05%	3.75%	4.45%		B2	B
	17	4.45%	5.40%	6.35%		B3	B
	18	6.35%	7.50%	8.65%		B3, Caa1	B-
	19	8.65%	9.33%	10.00%		Caa2	B-
10.00 to < 100.00	19	10.00%	10.68%	11.35%	Satisfactory	Caa2	B-
	20	11.35%	15.00%	18.65%	Higher Risk	Caa2	CCC+
	21	18.65%	30.00%	99.99%	Higher Risk	Caa3, Ca, C	CCC, CCC-, CC, C
100.00 (Default)	22	100%	100%	100%	Credit Impaired	D	D

For retail clients, a range of analytical tools are used to derive the probability of default of clients at inception and on an ongoing basis. These credit quality descriptions can be summarised as follows:

Strong: there is a very high likelihood of the asset being recovered in full.

Satisfactory: while there is a high likelihood that the asset will be recovered and therefore, of no cause for concern to the Barclays Bank Group, the asset may not be collateralised, or may relate to unsecured retail facilities. At the lower end of this grade there are customers that are being more carefully monitored, for example, corporate customers which are indicating some evidence of deterioration, mortgages with a high loan to value, and unsecured retail loans operating outside normal product guidelines.

Higher risk: there is concern over the obligor's ability to make payments when due. However, these have not yet converted to actual delinquency. There may also be doubts over the value of collateral or security provided. However, the borrower or counterparty is continuing to make payments when due and is expected to settle all outstanding amounts of principal and interest. Loans that are past due are monitored closely, with impairment allowances raised as appropriate and in line with the Barclays Bank Group's impairment policies. These loans are all considered higher risk for the purpose of this analysis of credit quality.

Debt securities

For assets held at fair value, the carrying value on the balance sheet will include, among other things, the credit risk of the issuer. Most listed and some unlisted securities are rated by external rating agencies. The Barclays Bank Group mainly uses external credit ratings provided by Standard & Poor's, Fitch or Moody's. Where such ratings are not available or are not current, the Barclays Bank Group will use its own internal ratings for the securities.

Risk review

Risk performance

Credit risk

Balance sheet credit quality

The following tables present the credit quality of Barclays Bank Group assets exposed to credit risk.

Overview

As at 31 December 2025, the ratio of the Barclays Bank Group's on-balance sheet assets classified as strong (0.0 < 0.60%) at 87% (2024: 85%) of total assets exposed to credit risk.

Balance sheet credit quality (audited)								
Barclays Bank Group	PD Range				PD Range			
	0.0 to <0.60%	0.60 to <11.35%	11.35% to 100%	Total	0.0 to <0.60%	0.60 to <11.35%	11.35% to 100%	Total
As at 31 December 2025	£m	£m	£m	£m	%	%	%	%
Cash and balances at central banks	208,544	—	—	208,544	100	—	—	100
Cash collateral and settlement balances	111,541	12,970	8	124,519	90	10	—	100
Loans and advances at amortised cost								
Retail mortgages	4,662	138	152	4,952	94	3	3	100
Retail credit cards	5,933	13,141	1,453	20,527	29	64	7	100
Retail other	3,605	424	99	4,128	88	10	2	100
Corporate loans	98,665	19,129	3,385	121,179	81	16	3	100
Total loans and advances at amortised cost	112,865	32,832	5,089	150,786	75	22	3	100
Debt securities at amortised cost	54,760	333	60	55,153	99	1	—	100
Reverse repurchase agreements and other similar secured lending	15,712	1,950	—	17,662	89	11	—	100
Trading portfolio assets:								
Debt securities	79,405	14,144	491	94,040	84	15	1	100
Traded loans	5,339	5,241	1,669	12,249	43	43	14	100
Total trading portfolio assets	84,744	19,385	2,160	106,289	80	18	2	100
Financial assets at fair value through the income statement:								
Loans and advances	26,317	20,026	542	46,885	56	43	1	100
Debt securities	1,937	930	254	3,121	62	30	8	100
Reverse repurchase agreements	96,968	35,131	501	132,600	73	27	—	100
Other financial assets	41	19	—	60	68	32	—	100
Total financial assets at fair value through the income statement	125,263	56,106	1,297	182,666	68	31	1	100
Derivative financial instruments	237,139	14,617	436	252,192	94	6	—	100
Financial assets at fair value through other comprehensive income	42,756	62	—	42,818	100	—	—	100
Other assets	566	56	2	624	91	9	—	100
Assets held for sale	2,461	3,130	210	5,801	42	54	4	100
Total on-balance sheet	996,351	141,441	9,262	1,147,054	87	12	1	100

Risk review

Risk performance

Credit risk

Balance sheet credit quality (audited)								
	PD Range				PD Range			
	0.0 to <0.60%	0.60 to <11.35%	11.35% to 100%	Total	0.0 to <0.60%	0.60 to <11.35%	11.35% to 100%	Total
Barclays Bank Group								
As at 31 December 2024	£m	£m	£m	£m	%	%	%	%
Cash and balances at central banks	180,365	—	—	180,365	100	—	—	100
Cash collateral and settlement balances	98,590	15,371	26	113,987	87	13	—	100
Loans and advances at amortised cost								
Retail mortgages	4,524	153	279	4,956	91	3	6	100
Retail credit cards	7,488	11,063	1,198	19,749	38	56	6	100
Retail other	3,217	503	198	3,918	82	13	5	100
Corporate loans	93,324	19,893	2,987	116,204	80	17	3	100
Total loans and advances at amortised cost	108,553	31,612	4,662	144,827	75	22	3	100
Debt securities at amortised cost	49,888	339	—	50,227	99	1	—	100
Reverse repurchase agreements and other similar secured lending	1,625	1,768	—	3,393	48	52	—	100
Trading portfolio assets:								
Debt securities	65,785	11,478	542	77,805	84	15	1	100
Traded loans	2,543	7,442	3,485	13,470	19	55	26	100
Total trading portfolio assets	68,328	18,920	4,027	91,275	75	21	4	100
Financial assets at fair value through the income statement:								
Loans and advances	24,252	19,357	573	44,182	55	44	1	100
Debt securities	1,722	1,156	53	2,931	59	39	2	100
Reverse repurchase agreements	103,589	37,565	637	141,791	73	27	—	100
Other financial assets	63	22	—	85	74	26	—	100
Total financial assets at fair value through the income statement	129,626	58,100	1,263	188,989	68	31	1	100
Derivative financial instruments	274,058	18,104	194	292,356	94	6	—	100
Financial assets at fair value through other comprehensive income	50,960	50	—	51,010	100	—	—	100
Other assets	594	68	3	665	90	10	—	100
Assets held for sale	1,178	8,235	131	9,544	12	87	1	100
Total on-balance sheet	963,765	152,567	10,306	1,126,638	85	14	1	100

Risk review

Risk performance

Credit risk

Balance sheet credit quality (audited)

	PD Range				PD Range			
	0.0 to <0.60%	0.60 to <11.35%	11.35% to 100%	Total	0.0 to <0.60%	0.60 to <11.35%	11.35% to 100%	Total
Barclays Bank PLC	£m	£m	£m	£m	%	%	%	%
As at 31 December 2025								
Cash and balances at central banks	178,321	—	—	178,321	100	—	—	100
Cash collateral and settlement balances	73,136	6,068	8	79,212	92	8	—	100
Loans and advances at amortised cost								
Retail mortgages	4,281	132	134	4,547	94	3	3	100
Retail credit cards	—	—	—	—	—	—	—	—
Retail other	2,630	215	44	2,889	91	7	2	100
Corporate loans	219,268	17,963	2,885	240,116	91	8	1	100
Total loans and advances at amortised cost	226,179	18,310	3,063	247,552	91	8	1	100
Debt securities at amortised cost	38,413	317	60	38,790	99	1	—	100
Reverse repurchase agreements and other similar secured lending	23,024	1,950	—	24,974	92	8	—	100
Trading portfolio assets:								
Debt securities	33,320	11,142	495	44,957	74	25	1	100
Traded loans	5,585	5,272	1,656	12,513	45	42	13	100
Total trading portfolio assets	38,905	16,414	2,151	57,470	67	29	4	100
Financial assets at fair value through the income statement:								
Loans and advances	46,926	9,678	522	57,126	82	17	1	100
Debt securities	3,873	622	234	4,729	82	13	5	100
Reverse repurchase agreements	166,411	33,479	500	200,390	83	17	—	100
Other financial assets	—	1	—	1	—	100	—	100
Total financial assets at fair value through the income statement	217,210	43,780	1,256	262,246	83	17	—	100
Derivative financial instruments	210,967	13,639	331	224,937	94	6	—	100
Financial assets at fair value through other comprehensive income	41,227	62	—	41,289	100	—	—	100
Other assets	742	—	2	744	100	—	—	100
Total on-balance sheet	1,048,124	100,540	6,871	1,155,535	91	9	—	100

Risk review

Risk performance

Credit risk

Balance sheet credit quality (audited)

	PD Range				PD Range			
	0.0 to <0.60%	0.60 to <11.35%	11.35% to 100%	Total	0.0 to <0.60%	0.60 to <11.35%	11.35% to 100%	Total
Barclays Bank PLC	£m	£m	£m	£m	%	%	%	%
As at 31 December 2024								
Cash and balances at central banks	151,288	—	—	151,288	100	—	—	100
Cash collateral and settlement balances	68,656	6,602	26	75,284	91	9	—	100
Loans and advances at amortised cost								
Retail mortgages	4,121	136	224	4,481	92	3	5	100
Retail credit cards	—	—	—	—	—	—	—	—
Retail other	2,378	360	162	2,900	82	12	6	100
Corporate loans	196,673	18,424	2,574	217,671	91	8	1	100
Total loans and advances at amortised cost	203,172	18,920	2,960	225,052	91	8	1	100
Debt securities at amortised cost	35,183	336	—	35,519	99	1	—	100
Reverse repurchase agreements and other similar secured lending	3,778	1,768	—	5,546	68	32	—	100
Trading portfolio assets:								
Debt securities	29,401	8,721	536	38,658	76	23	1	100
Traded loans	2,509	6,888	3,483	12,880	19	54	27	100
Total trading portfolio assets	31,910	15,609	4,019	51,538	62	30	8	100
Financial assets at fair value through the income statement:								
Loans and advances	44,796	9,368	547	54,711	82	17	1	100
Debt securities	3,136	994	35	4,165	75	24	1	100
Reverse repurchase agreements	159,227	34,906	637	194,770	82	18	—	100
Other financial assets	20	1	—	21	95	5	—	100
Total financial assets at fair value through the income statement	207,179	45,269	1,219	253,667	82	18	—	100
Derivative financial instruments	244,663	15,637	187	260,487	94	6	—	100
Financial assets at fair value through other comprehensive income	49,449	50	—	49,499	100	—	—	100
Other assets	720	—	3	723	100	—	—	100
Total on-balance sheet	995,998	104,191	8,414	1,108,603	90	9	1	100

Risk review

Risk performance

Credit risk

Credit exposures by internal PD grade

The below tables represent credit risk profiles by PD grade for loans and advances at amortised cost, contingent liabilities and loan commitments.

Stage 1 higher risk assets, presented gross of associated collateral held, are of weaker credit quality but have not significantly deteriorated since origination.

IFRS 9 Stage 1 and Stage 2 classification is not dependent solely on the absolute probability of default but on elements that determine a significant increase in credit risk, including relative movement in probability of default since initial recognition. There is therefore no direct relationship between credit quality and IFRS 9 stage classification.

Credit risk profile by internal PD grade for retail mortgages (audited)												
As at 31 December 2025			Gross carrying amount				Allowance for ECL				Net exposure	Coverage ratio
PD range	Credit quality description	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total			
Grade		%	£m	£m	£m	£m	£m	£m	£m	£m		
Barclays Bank Group												
1-3	0.0 to <0.05%	Strong	—	—	—	—	—	—	—	—	—	—
4-5	0.05 to <0.15%	Strong	—	—	—	—	—	—	—	—	—	—
6-8	0.15 to <0.30%	Strong	7	—	—	7	—	—	—	—	7	—
9-11	0.30 to <0.60%	Strong	4,664	—	—	4,664	9	—	—	9	4,655	0.2
12-14	0.60 to <2.15%	Satisfactory	2	1	—	3	—	—	—	—	3	—
15-19	2.15 to <11.35%	Satisfactory	1	134	—	135	—	—	—	—	135	—
20-21	11.35 to <100%	Higher Risk	—	1	—	1	—	—	—	—	1	—
22	100%	Credit Impaired	—	—	175	175	—	—	24	24	151	13.7
Total			4,674	136	175	4,985	9	—	24	33	4,952	0.7

Credit risk profile by internal PD grade for retail credit cards ³ (audited)												
As at 31 December 2025			Gross carrying amount				Allowance for ECL				Net exposure £m	Coverage ratio %
PD range	Credit quality description	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total			
Grade %		£m	£m	£m	£m	£m	£m	£m	£m	£m		
Barclays Bank Group												
1-3	0.0 to <0.05%	Strong	1,216	37	—	1,253	40	23	—	63	1,190	5.0
4-5	0.05 to <0.15%	Strong	580	—	—	580	1	—	—	1	579	0.2
6-8	0.15 to <0.30%	Strong	1,468	—	—	1,468	3	—	—	3	1,465	0.2
9-11	0.30 to <0.60%	Strong	2,710	1	—	2,711	12	—	—	12	2,699	0.4
12-14	0.60 to <2.15%	Satisfactory	6,091	42	—	6,133	74	4	—	78	6,055	1.3
15-19	2.15 to <11.35%	Satisfactory	6,414	1,099	—	7,513	231	196	—	427	7,086	5.7
20-21	11.35 to <100%	Higher Risk	322	1,357	—	1,679	34	573	—	607	1,072	36.2
22	100%	Credit Impaired	—	—	1,776	1,776	—	—	1,395	1,395	381	78.5
Total			18,801	2,536	1,776	23,113	395	796	1,395	2,586	20,527	11.2

Credit risk profile by internal PD grade for retail other (audited)												
As at 31 December 2025			Gross carrying amount				Allowance for ECL				Net exposure	Coverage ratio
Grade	PD range	Credit quality description	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total		
	%		£m	£m	£m	£m	£m	£m	£m	£m	£m	%
Barclays Bank Group												
1-3	0.0 to <0.05%	Strong	—	—	—	—	—	—	—	—	—	—
4-5	0.05 to <0.15%	Strong	12	—	—	12	—	—	—	—	12	—
6-8	0.15 to <0.30%	Strong	33	—	—	33	—	—	—	—	33	—
9-11	0.30 to <0.60%	Strong	3,564	—	—	3,564	4	—	—	4	3,560	0.1
12-14	0.60 to <2.15%	Satisfactory	109	2	—	111	2	—	—	2	109	1.8
15-19	2.15 to <11.35%	Satisfactory	69	249	—	318	1	2	—	3	315	0.9
20-21	11.35 to <100%	Higher Risk	1	14	—	15	—	3	—	3	12	20.0
22	100%	Credit Impaired	—	—	107	107	—	—	20	20	87	18.7
Total			3,788	265	107	4,160	7	5	20	32	4,128	0.8

Risk review

Risk performance

Credit risk

Credit risk profile by internal PD grade for corporate loans³ (audited)

As at 31 December 2025			Gross carrying amount				Allowance for ECL				Net exposure £m	Coverage ratio %
Grade	PD range %	Credit quality description	Stage 1 £m	Stage 2 £m	Stage 3 £m	Total £m	Stage 1 £m	Stage 2 £m	Stage 3 £m	Total £m		
Barclays Bank Group												
1-3	0.0 to <0.05%	Strong	43,832	403	—	44,235	4	5	—	9	44,226	—
4-5	0.05 to <0.15%	Strong	23,738	40	—	23,778	6	—	—	6	23,772	—
6-8	0.15 to <0.30%	Strong	13,854	394	—	14,248	12	4	—	16	14,232	0.1
9-11	0.30 to <0.60%	Strong	15,915	551	—	16,466	27	1	—	28	16,438	0.2
12-14	0.60 to <2.15%	Satisfactory	12,160	2,725	—	14,885	47	30	—	77	14,808	0.5
15-19	2.15 to <11.35%	Satisfactory	2,020	2,411	—	4,431	40	70	—	110	4,321	2.5
20-21	11.35 to <100%	Higher Risk	110	1,632	—	1,742	5	125	—	130	1,612	7.5
22	100%	Credit Impaired	—	—	2,360	2,360	—	—	590	590	1,770	25.0
Total			111,629	8,156	2,360	122,145	141	235	590	966	121,179	0.8

Credit risk profile by internal PD grade for loans and advances at amortised cost³ (audited)

As at 31 December 2025			Gross carrying amount				Allowance for ECL				Net exposure £m	Coverage ratio %
Grade	PD range %	Credit quality description	Stage 1 £m	Stage 2 £m	Stage 3 £m	Total £m	Stage 1 £m	Stage 2 £m	Stage 3 £m	Total £m		
Barclays Bank Group												
1-3	0.0 to <0.05%	Strong	45,048	440	—	45,488	44	28	—	72	45,416	0.2
4-5	0.05 to <0.15%	Strong	24,330	40	—	24,370	7	—	—	7	24,363	—
6-8	0.15 to <0.30%	Strong	15,362	394	—	15,756	15	4	—	19	15,737	0.1
9-11	0.30 to <0.60%	Strong	26,853	552	—	27,405	52	1	—	53	27,352	0.2
12-14	0.60 to <2.15%	Satisfactory	18,362	2,770	—	21,132	123	34	—	157	20,975	0.7
15-19	2.15 to <11.35%	Satisfactory	8,504	3,893	—	12,397	272	268	—	540	11,857	4.4
20-21	11.35 to <100%	Higher Risk	433	3,004	—	3,437	39	701	—	740	2,697	21.5
22	100%	Credit Impaired	—	—	4,418	4,418	—	—	2,029	2,029	2,389	45.9
Total			138,892	11,093	4,418	154,403	552	1,036	2,029	3,617	150,786	2.3

Credit risk profile by internal PD grade for retail mortgages (audited)

As at 31 December 2024			Gross carrying amount				Allowance for ECL				Net exposure £m	Coverage ratio %
PD range	Credit quality description	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total			
Grade %		£m	£m	£m	£m	£m	£m	£m	£m	£m		
Barclays Bank Group												
1-3	0.0 to <0.05%	Strong	—	—	—	—	—	—	—	—	—	—
4-5	0.05 to <0.15%	Strong	4	—	—	4	—	—	—	—	4	—
6-8	0.15 to <0.30%	Strong	2	—	—	2	—	—	—	—	2	—
9-11	0.30 to <0.60%	Strong	4,526	—	—	4,526	8	—	—	8	4,518	0.2
12-14	0.60 to <2.15%	Satisfactory	4	1	—	5	—	—	—	—	5	—
15-19	2.15 to <11.35%	Satisfactory	1	148	—	149	—	1	—	1	148	0.7
20-21	11.35 to <100%	Higher Risk	—	1	—	1	—	—	—	—	1	—
22	100%	Credit Impaired	—	—	310	310	—	—	32	32	278	10.3
Total			4,537	150	310	4,997	8	1	32	41	4,956	0.8

Risk review

Risk performance

Credit risk

Credit risk profile by internal PD grade for retail credit cards³ (audited)

As at 31 December 2024			Gross carrying amount				Allowance for ECL				Net exposure £m	Coverage ratio %
PD range		Credit quality description	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total		
Grade	%		£m	£m	£m	£m	£m	£m	£m	£m		
Barclays Bank Group												
1-3	0.0 to <0.05%	Strong	1	—	—	1	—	—	—	—	1	—
4-5	0.05 to <0.15%	Strong	565	—	—	565	1	—	—	1	564	0.2
6-8	0.15 to <0.30%	Strong	2,562	2	—	2,564	7	—	—	7	2,557	0.3
9-11	0.30 to <0.60%	Strong	4,384	4	—	4,388	22	—	—	22	4,366	0.5
12-14	0.60 to <2.15%	Satisfactory	2,905	117	—	3,022	37	9	—	46	2,976	1.5
15-19	2.15 to <11.35%	Satisfactory	7,018	1,578	—	8,596	242	267	—	509	8,087	5.9
20-21	11.35 to <100%	Higher Risk	194	1,252	—	1,446	25	531	—	556	890	38.5
22	100%	Credit Impaired	—	—	1,724	1,724	—	—	1,416	1,416	308	82.1
Total			17,629	2,953	1,724	22,306	334	807	1,416	2,557	19,749	11.5

Credit risk profile by internal PD grade for retail other (audited)

As at 31 December 2024			Gross carrying amount				Allowance for ECL				Net exposure	Coverage ratio
Grade	PD range	Credit quality description	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total		
	%		£m	£m	£m	£m	£m	£m	£m	£m	£m	%
Barclays Bank Group												
1-3	0.0 to <0.05%	Strong	—	—	—	—	—	—	—	—	—	—
4-5	0.05 to <0.15%	Strong	6	—	—	6	—	—	—	—	6	—
6-8	0.15 to <0.30%	Strong	17	—	—	17	—	—	—	—	17	—
9-11	0.30 to <0.60%	Strong	3,199	—	—	3,199	5	—	—	5	3,194	0.2
12-14	0.60 to <2.15%	Satisfactory	65	1	—	66	—	—	—	—	66	—
15-19	2.15 to <11.35%	Satisfactory	41	396	—	437	—	—	—	—	437	—
20-21	11.35 to <100%	Higher Risk	1	7	—	8	—	1	—	1	7	12.5
22	100%	Credit Impaired	—	—	216	216	—	—	25	25	191	11.6
Total			3,329	404	216	3,949	5	1	25	31	3,918	0.8

Credit risk profile by internal PD grade for corporate loans³ (audited)

As at 31 December 2024			Gross carrying amount				Allowance for ECL				Net exposure £m	Coverage ratio %
PD range	Credit quality description	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total			
Grade %		£m	£m	£m	£m	£m	£m	£m	£m	£m		
Barclays Bank Group												
1-3	0.0 to <0.05%	Strong	43,318	122	3	43,443	4	—	2	6	43,437	—
4-5	0.05 to <0.15%	Strong	21,947	145	—	22,092	8	—	—	8	22,084	—
6-8	0.15 to <0.30%	Strong	11,392	566	—	11,958	8	2	—	10	11,948	0.1
9-11	0.30 to <0.60%	Strong	15,549	326	—	15,875	18	2	—	20	15,855	0.1
12-14	0.60 to <2.15%	Satisfactory	12,017	2,988	—	15,005	49	20	—	69	14,936	0.5
15-19	2.15 to <11.35%	Satisfactory	2,854	2,243	—	5,097	50	90	—	140	4,957	2.7
20-21	11.35 to <100%	Higher Risk	117	1,757	—	1,874	7	140	—	147	1,727	7.8
22	100%	Credit Impaired	—	—	1,651	1,651	—	—	391	391	1,260	23.7
Total			107,194	8,147	1,654	116,995	144	254	393	791	116,204	0.7

Risk review

Risk performance

Credit risk

Credit risk profile by internal PD grade for loans and advances at amortised cost³ (audited)

As at 31 December 2024			Gross carrying amount				Allowance for ECL				Net exposure	Coverage ratio
PD range	Credit quality		Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total		
Grade	%	description	£m	£m	£m	£m	£m	£m	£m	£m	£m	%
Barclays Bank Group												
1-3	0.0 to <0.05%	Strong	43,319	122	3	43,444	4	—	2	6	43,438	—
4-5	0.05 to <0.15%	Strong	22,522	145	—	22,667	9	—	—	9	22,658	—
6-8	0.15 to <0.30%	Strong	13,973	568	—	14,541	15	2	—	17	14,524	0.1
9-11	0.30 to <0.60%	Strong	27,658	330	—	27,988	53	2	—	55	27,933	0.2
12-14	0.60 to <2.15%	Satisfactory	14,991	3,107	—	18,098	86	29	—	115	17,983	0.6
15-19	2.15 to <11.35%	Satisfactory	9,914	4,365	—	14,279	292	358	—	650	13,629	4.6
20-21	11.35 to <100%	Higher Risk	312	3,017	—	3,329	32	672	—	704	2,625	21.1
22	100%	Credit Impaired	—	—	3,901	3,901	—	—	1,864	1,864	2,037	47.8
Total			132,689	11,654	3,904	148,247	491	1,063	1,866	3,420	144,827	2.3

Credit risk profile by internal PD grade for contingent liabilities¹ (audited)

As at 31 December 2025			Gross carrying amount				Allowance for ECL				Net exposure	Coverage ratio
Grade	PD range	Credit quality description	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total		
	%		£m	£m	£m	£m	£m	£m	£m	£m	£m	%
Barclays Bank Group												
1-3	0.0 to <0.05%	Strong	10,096	—	—	10,096	1	—	—	1	10,095	—
4-5	0.05 to <0.15%	Strong	3,920	178	—	4,098	2	—	—	2	4,096	—
6-8	0.15 to <0.30%	Strong	3,645	5	—	3,650	2	—	—	2	3,648	0.1
9-11	0.30 to <0.60%	Strong	2,025	92	—	2,117	3	—	—	3	2,114	0.1
12-14	0.60 to <2.15%	Satisfactory	2,773	230	—	3,003	12	3	—	15	2,988	0.5
15-19	2.15 to <11.35%	Satisfactory	1,163	690	—	1,853	15	16	—	31	1,822	1.7
20-21	11.35 to <100%	Higher Risk	85	710	—	795	1	83	—	84	711	10.6
22	100%	Credit Impaired	—	—	116	116	—	—	23	23	93	19.8
Total			23,707	1,905	116	25,728	36	102	23	161	25,567	0.6

Credit risk profile by internal PD grade for contingent liabilities¹ (audited)

As at 31 December 2024			Gross carrying amount				Allowance for ECL				Net exposure £m	Coverage ratio %
Grade	PD range %	Credit quality description	Stage 1 £m	Stage 2 £m	Stage 3 £m	Total £m	Stage 1 £m	Stage 2 £m	Stage 3 £m	Total £m		
Barclays Bank Group												
1-3	0.0 to <0.05%	Strong	9,351	310	—	9,661	1	1	—	2	9,659	—
4-5	0.05 to <0.15%	Strong	4,934	—	—	4,934	2	—	—	2	4,932	—
6-8	0.15 to <0.30%	Strong	2,717	391	—	3,108	2	—	—	2	3,106	0.1
9-11	0.30 to <0.60%	Strong	2,177	119	—	2,296	4	—	—	4	2,292	0.2
12-14	0.60 to <2.15%	Satisfactory	2,309	563	—	2,872	12	7	—	19	2,853	0.7
15-19	2.15 to <11.35%	Satisfactory	730	937	—	1,667	21	36	—	57	1,610	3.4
20-21	11.35 to <100%	Higher Risk	29	515	—	544	—	82	—	82	462	15.1
22	100%	Credit Impaired	—	—	495	495	—	—	16	16	479	3.2
Total			22,247	2,835	495	25,577	42	126	16	184	25,393	0.7

Risk review

Risk performance

Credit risk

Credit risk profile by internal PD grade for loan commitments^{1,2} (audited)

As at 31 December 2025			Gross carrying amount				Allowance for ECL				Net exposure £m	Coverage ratio %
PD range	Credit quality	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total			
Grade	%	description	£m	£m	£m	£m	£m	£m	£m	£m		
Barclays Bank Group												
1-3	0.0 to < 0.05%	Strong	90,723	204	—	90,927	4	—	—	4	90,923	—
4-5	0.05 to < 0.15%	Strong	75,414	776	—	76,190	6	—	—	6	76,184	—
6-8	0.15 to < 0.30%	Strong	50,189	656	—	50,845	6	—	—	6	50,839	—
9-11	0.30 to < 0.60%	Strong	49,560	494	—	50,054	7	—	—	7	50,047	—
12-14	0.60 to < 2.15%	Satisfactory	41,798	2,402	—	44,200	34	27	—	61	44,139	0.1
15-19	2.15 to < 11.35%	Satisfactory	12,874	4,418	—	17,292	35	40	—	75	17,217	0.4
20-21	11.35 to < 100%	Higher Risk	560	3,463	—	4,023	3	65	—	68	3,955	1.7
22	100%	Credit Impaired	—	—	565	565	—	—	10	10	555	1.8
Total			321,118	12,413	565	334,096	95	132	10	237	333,859	0.1

Credit risk profile by internal PD grade for loan commitments^{1,2} (audited)

As at 31 December 2024			Gross carrying amount				Allowance for ECL				Net exposure £m	Coverage ratio %
Grade	PD range %	Credit quality description	Stage 1 £m	Stage 2 £m	Stage 3 £m	Total £m	Stage 1 £m	Stage 2 £m	Stage 3 £m	Total £m		
Barclays Bank Group												
1-3	0.0 to < 0.05%	Strong	86,137	320	—	86,457	3	—	—	3	86,454	—
4-5	0.05 to < 0.15%	Strong	68,407	93	—	68,500	8	—	—	8	68,492	—
6-8	0.15 to < 0.30%	Strong	56,893	951	—	57,844	12	1	—	13	57,831	—
9-11	0.30 to < 0.60%	Strong	54,576	736	—	55,312	19	1	—	20	55,292	—
12-14	0.60 to < 2.15%	Satisfactory	45,417	2,710	—	48,127	31	11	—	42	48,085	0.1
15-19	2.15 to < 11.35%	Satisfactory	11,878	5,779	—	17,657	39	45	—	84	17,573	0.5
20-21	11.35 to < 100%	Higher Risk	643	3,406	—	4,049	1	56	—	57	3,992	1.4
22	100%	Credit Impaired	—	—	481	481	—	—	9	9	472	1.9
Total			323,951	13,995	481	338,427	113	114	9	236	338,191	0.1

Notes

- 1 Excludes loan commitments and financial guarantees carried at fair value of £22.2bn (2024: £16.3bn) for Barclays Bank Group.
- 2 Reported loan commitments also include exposures relating to financial assets classified as assets held for sale.
- 3 Exposures reported within Retail credit card and Corporate loans does not include a co-branded card portfolio which is classified as assets held for sale.

Risk review

Risk performance

Credit risk

Credit risk profile by internal PD grade for retail mortgages (audited)

As at 31 December 2025			Gross carrying amount				Allowance for ECL				Net exposure £m	Coverage ratio %
Grade	PD range %	Credit quality description	Stage 1 £m	Stage 2 £m	Stage 3 £m	Total £m	Stage 1 £m	Stage 2 £m	Stage 3 £m	Total £m		
Barclays Bank PLC												
1-3	0.0 to <0.05%	Strong	—	—	—	—	—	—	—	—	—	—
4-5	0.05 to <0.15%	Strong	—	—	—	—	—	—	—	—	—	—
6-8	0.15 to <0.30%	Strong	—	—	—	—	—	—	—	—	—	—
9-11	0.30 to <0.60%	Strong	4,290	—	—	4,290	9	—	—	9	4,281	0.2
12-14	0.60 to <2.15%	Satisfactory	—	—	—	—	—	—	—	—	—	—
15-19	2.15 to <11.35%	Satisfactory	—	132	—	132	—	—	—	—	132	—
20-21	11.35 to <100%	Higher Risk	—	—	—	—	—	—	—	—	—	—
22	100%	Credit Impaired	—	—	156	156	—	—	22	22	134	14.1
Total			4,290	132	156	4,578	9	—	22	31	4,547	0.7

Credit risk profile by internal PD grade for retail other (audited)

As at 31 December 2025			Gross carrying amount				Allowance for ECL				Net exposure	Coverage ratio
PD range	Credit quality	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total			
Grade	%	description	£m	£m	£m	£m	£m	£m	£m	£m	£m	%
Barclays Bank PLC												
1-3	0.0 to <0.05%	Strong	—	—	—	—	—	—	—	—	—	—
4-5	0.05 to <0.15%	Strong	—	—	—	—	—	—	—	—	—	—
6-8	0.15 to <0.30%	Strong	—	—	—	—	—	—	—	—	—	—
9-11	0.30 to <0.60%	Strong	2,633	—	—	2,633	3	—	—	3	2,630	0.1
12-14	0.60 to <2.15%	Satisfactory	8	—	—	8	1	—	—	1	7	12.5
15-19	2.15 to <11.35%	Satisfactory	—	208	—	208	—	—	—	—	208	—
20-21	11.35 to <100%	Higher Risk	—	—	—	—	—	—	—	—	—	—
22	100%	Credit Impaired	—	—	50	50	—	—	6	6	44	12.0
Total			2,641	208	50	2,899	4	—	6	10	2,889	0.3

Credit risk profile by internal PD grade for corporate loans (audited)

As at 31 December 2025			Gross carrying amount				Allowance for ECL				Net exposure £m	Coverage ratio %
Grade	PD range %	Credit quality description	Stage 1 £m	Stage 2 £m	Stage 3 £m	Total £m	Stage 1 £m	Stage 2 £m	Stage 3 £m	Total £m		
Barclays Bank PLC												
1-3	0.0 to <0.05%	Strong	171,433	381	—	171,814	1	1	—	2	171,812	—
4-5	0.05 to <0.15%	Strong	20,114	1	—	20,115	5	—	—	5	20,110	—
6-8	0.15 to <0.30%	Strong	12,825	334	—	13,159	10	4	—	14	13,145	0.1
9-11	0.30 to <0.60%	Strong	13,708	525	—	14,233	26	1	—	27	14,206	0.2
12-14	0.60 to <2.15%	Satisfactory	11,291	2,635	—	13,926	43	26	—	69	13,857	0.5
15-19	2.15 to <11.35%	Satisfactory	2,081	2,111	—	4,192	31	55	—	86	4,106	2.1
20-21	11.35 to <100%	Higher Risk	93	1,424	—	1,517	4	104	—	108	1,409	7.1
22	100%	Credit Impaired	—	—	2,014	2,014	—	—	543	543	1,471	27.0
Total			231,545	7,411	2,014	240,970	120	191	543	854	240,116	0.4

Risk review

Risk performance

Credit risk

Credit risk profile by internal PD grade for loans and advances at amortised cost (audited)

As at 31 December 2025			Gross carrying amount				Allowance for ECL				Net exposure	Coverage ratio
Grade	PD range	Credit quality description	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total		
	%		£m	£m	£m	£m	£m	£m	£m	£m	£m	%
Barclays Bank PLC												
1-3	0.0 to <0.05%	Strong	171,433	381	—	171,814	1	1	—	2	171,812	—
4-5	0.05 to <0.15%	Strong	20,114	1	—	20,115	5	—	—	5	20,110	—
6-8	0.15 to <0.30%	Strong	12,825	334	—	13,159	10	4	—	14	13,145	0.1
9-11	0.30 to <0.60%	Strong	20,631	525	—	21,156	38	1	—	39	21,117	0.2
12-14	0.60 to <2.15%	Satisfactory	11,299	2,635	—	13,934	44	26	—	70	13,864	0.5
15-19	2.15 to <11.35%	Satisfactory	2,081	2,451	—	4,532	31	55	—	86	4,446	1.9
20-21	11.35 to <100%	Higher Risk	93	1,424	—	1,517	4	104	—	108	1,409	7.1
22	100%	Credit Impaired	—	—	2,220	2,220	—	—	571	571	1,649	25.7
Total			238,476	7,751	2,220	248,447	133	191	571	895	247,552	0.4

Credit risk profile by internal PD grade for retail mortgages (audited)

As at 31 December 2024			Gross carrying amount				Allowance for ECL				Net exposure	Coverage ratio
Grade	PD range %	Credit quality description	Stage 1 £m	Stage 2 £m	Stage 3 £m	Total £m	Stage 1 £m	Stage 2 £m	Stage 3 £m	Total £m		
Barclays Bank PLC												
1-3	0.0 to <0.05%	Strong	—	—	—	—	—	—	—	—	—	—
4-5	0.05 to <0.15%	Strong	—	—	—	—	—	—	—	—	—	—
6-8	0.15 to <0.30%	Strong	—	—	—	—	—	—	—	—	—	—
9-11	0.30 to <0.60%	Strong	4,129	—	—	4,129	8	—	—	8	4,121	0.2
12-14	0.60 to <2.15%	Satisfactory	—	—	—	—	—	—	—	—	—	—
15-19	2.15 to <11.35%	Satisfactory	—	136	—	136	—	—	—	—	136	—
20-21	11.35 to <100%	Higher Risk	—	—	—	—	—	—	—	—	—	—
22	100%	Credit Impaired	—	—	249	249	—	—	25	25	224	10.0
Total			4,129	136	249	4,514	8	—	25	33	4,481	0.7

Credit risk profile by internal PD grade for retail other (audited)

As at 31 December 2024			Gross carrying amount				Allowance for ECL				Net exposure	Coverage ratio
Grade	PD range	Credit quality description	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total		
	%		£m	£m	£m	£m	£m	£m	£m	£m	£m	%
Barclays Bank PLC												
1-3	0.0 to <0.05%	Strong	—	—	—	—	—	—	—	—	—	—
4-5	0.05 to <0.15%	Strong	—	—	—	—	—	—	—	—	—	—
6-8	0.15 to <0.30%	Strong	—	—	—	—	—	—	—	—	—	—
9-11	0.30 to <0.60%	Strong	2,381	—	—	2,381	3	—	—	3	2,378	0.1
12-14	0.60 to <2.15%	Satisfactory	6	—	—	6	—	—	—	—	6	—
15-19	2.15 to <11.35%	Satisfactory	—	354	—	354	—	—	—	—	354	—
20-21	11.35 to <100%	Higher Risk	—	—	—	—	—	—	—	—	—	—
22	100%	Credit Impaired	—	—	175	175	—	—	13	13	162	7.4
Total			2,387	354	175	2,916	3	—	13	16	2,900	0.5

Risk review

Risk performance

Credit risk

Credit risk profile by internal PD grade for corporate loans (audited)

As at 31 December 2024			Gross carrying amount				Allowance for ECL				Net exposure	Coverage ratio
Grade	PD range	Credit quality description	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total		
	%		£m	£m	£m	£m	£m	£m	£m	£m	£m	%
Barclays Bank PLC												
1-3	0.0 to <0.05%	Strong	152,705	122	2	152,829	11	—	2	13	152,816	—
4-5	0.05 to <0.15%	Strong	19,462	145	—	19,607	7	—	—	7	19,600	—
6-8	0.15 to <0.30%	Strong	10,236	543	—	10,779	7	1	—	8	10,771	0.1
9-11	0.30 to <0.60%	Strong	13,206	298	—	13,504	16	2	—	18	13,486	0.1
12-14	0.60 to <2.15%	Satisfactory	11,257	2,912	—	14,169	41	20	—	61	14,108	0.4
15-19	2.15 to <11.35%	Satisfactory	2,383	2,053	—	4,436	42	78	—	120	4,316	2.7
20-21	11.35 to <100%	Higher Risk	113	1,565	—	1,678	5	118	—	123	1,555	7.3
22	100%	Credit Impaired	—	—	1,369	1,369	—	—	350	350	1,019	25.6
Total			209,362	7,638	1,371	218,371	129	219	352	700	217,671	0.3

Credit risk profile by internal PD grade for loans and advances at amortised cost (audited)

As at 31 December 2024			Gross carrying amount				Allowance for ECL				Net exposure	Coverage ratio
Grade	PD range	Credit quality description	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total		
	%		£m	£m	£m	£m	£m	£m	£m	£m	£m	%
Barclays Bank PLC												
1-3	0.0 to <0.05%	Strong	152,705	122	2	152,829	11	—	2	13	152,816	—
4-5	0.05 to <0.15%	Strong	19,462	145	—	19,607	7	—	—	7	19,600	—
6-8	0.15 to <0.30%	Strong	10,236	543	—	10,779	7	1	—	8	10,771	0.1
9-11	0.30 to <0.60%	Strong	19,716	298	—	20,014	27	2	—	29	19,985	0.1
12-14	0.60 to <2.15%	Satisfactory	11,263	2,912	—	14,175	41	20	—	61	14,114	0.4
15-19	2.15 to <11.35%	Satisfactory	2,383	2,543	—	4,926	42	78	—	120	4,806	2.4
20-21	11.35 to <100%	Higher Risk	113	1,565	—	1,678	5	118	—	123	1,555	7.3
22	100%	Credit Impaired	—	—	1,793	1,793	—	—	388	388	1,405	21.6
Total			215,878	8,128	1,795	225,801	140	219	390	749	225,052	0.3

Credit risk profile by internal PD grade for contingent liabilities¹ (audited)

As at 31 December 2025			Gross carrying amount				Allowance for ECL				Net exposure	Coverage ratio
Grade	PD range	Credit quality description	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total		
	%		£m	£m	£m	£m	£m	£m	£m	£m	£m	%
Barclays Bank PLC												
1-3	0.0 to <0.05%	Strong	35,074	—	—	35,074	1	—	—	1	35,073	—
4-5	0.05 to <0.15%	Strong	3,362	178	—	3,540	2	—	—	2	3,538	0.1
6-8	0.15 to <0.30%	Strong	2,576	5	—	2,581	2	—	—	2	2,579	0.1
9-11	0.30 to <0.60%	Strong	1,844	28	—	1,872	2	—	—	2	1,870	0.1
12-14	0.60 to <2.15%	Satisfactory	2,104	177	—	2,281	11	3	—	14	2,267	0.6
15-19	2.15 to <11.35%	Satisfactory	730	643	—	1,373	13	14	—	27	1,346	2.0
20-21	11.35 to <100%	Higher Risk	33	692	—	725	1	82	—	83	642	11.4
22	100%	Credit Impaired	—	—	86	86	—	—	25	25	61	29.1
Total			45,723	1,723	86	47,532	32	99	25	156	47,376	0.3

Risk review

Risk performance

Credit risk

Credit risk profile by internal PD grade for contingent liabilities¹ (audited)

As at 31 December 2024			Gross carrying amount				Allowance for ECL				Net exposure	Coverage ratio
Grade	PD range	Credit quality description	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total		
	%		£m	£m	£m	£m	£m	£m	£m	£m	£m	%
Barclays Bank PLC												
1-3	0.0 to <0.05%	Strong	34,924	308	—	35,232	1	1	—	2	35,230	—
4-5	0.05 to <0.15%	Strong	4,034	—	—	4,034	2	—	—	2	4,032	—
6-8	0.15 to <0.30%	Strong	1,822	14	—	1,836	2	—	—	2	1,834	0.1
9-11	0.30 to <0.60%	Strong	1,785	112	—	1,897	2	1	—	3	1,894	0.2
12-14	0.60 to <2.15%	Satisfactory	2,015	262	—	2,277	11	6	—	17	2,260	0.7
15-19	2.15 to <11.35%	Satisfactory	648	761	—	1,409	20	30	—	50	1,359	3.5
20-21	11.35 to <100%	Higher Risk	29	481	—	510	—	76	—	76	434	14.9
22	100%	Credit Impaired	—	—	418	418	—	—	14	14	404	3.3
Total			45,257	1,938	418	47,613	38	114	14	166	47,447	0.3

Credit risk profile by internal PD grade for loan commitments¹ (audited)

As at 31 December 2025			Gross carrying amount				Allowance for ECL				Net exposure	Coverage ratio
Grade	PD range	Credit quality description	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total		
	%		£m	£m	£m	£m	£m	£m	£m	£m	£m	%
Barclays Bank PLC												
1-3	0.0 to <0.05%	Strong	79,690	1	—	79,691	2	—	—	2	79,689	—
4-5	0.05 to <0.15%	Strong	47,719	407	—	48,126	5	—	—	5	48,121	—
6-8	0.15 to <0.30%	Strong	20,707	630	—	21,337	4	—	—	4	21,333	—
9-11	0.30 to <0.60%	Strong	16,224	452	—	16,676	5	—	—	5	16,671	—
12-14	0.60 to <2.15%	Satisfactory	18,692	1,993	—	20,685	25	24	—	49	20,636	0.2
15-19	2.15 to <11.35%	Satisfactory	6,701	3,318	—	10,019	16	28	—	44	9,975	0.4
20-21	11.35 to <100%	Higher Risk	470	2,937	—	3,407	—	56	—	56	3,351	1.6
22	100%	Credit Impaired	—	—	530	530	—	—	10	10	520	1.9
Total			190,203	9,738	530	200,471	57	108	10	175	200,296	0.1

Credit risk profile by internal PD grade for loan commitments¹ (audited)

As at 31 December 2024			Gross carrying amount				Allowance for ECL				Net exposure	Coverage ratio
Grade	PD range	Credit quality description	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total		
	%		£m	£m	£m	£m	£m	£m	£m	£m	£m	%
Barclays Bank PLC												
1-3	0.0 to <0.05%	Strong	87,533	319	—	87,852	2	—	—	2	87,850	—
4-5	0.05 to <0.15%	Strong	46,983	82	—	47,065	5	—	—	5	47,060	—
6-8	0.15 to <0.30%	Strong	20,828	899	—	21,727	5	1	—	6	21,721	—
9-11	0.30 to <0.60%	Strong	14,417	631	—	15,048	9	1	—	10	15,038	0.1
12-14	0.60 to <2.15%	Satisfactory	19,082	2,230	—	21,312	18	7	—	25	21,287	0.1
15-19	2.15 to <11.35%	Satisfactory	6,303	4,073	—	10,376	27	31	—	58	10,318	0.6
20-21	11.35 to <100%	Higher Risk	521	2,804	—	3,325	1	49	—	50	3,275	1.5
22	100%	Credit Impaired	—	—	453	453	—	—	9	9	444	2.0
Total			195,667	11,038	453	207,158	67	89	9	165	206,993	0.1

Note

1 Excludes loan commitments and financial guarantees carried at fair value of £20.7bn (2024: £15.9bn) for Barclays Bank PLC.

Risk review

Risk performance

Credit risk

Analysis of specific portfolios and asset types

Retail Credit Cards and Retail Other

The principal portfolios listed below accounted for 85% (2024: 85%) of Barclays Bank Group's total retail credit cards and retail other.

Principal portfolios					
	Gross Exposure	30 Day Arrears, excluding recoveries book	90 Day Arrears, excluding recoveries book	Annualised Gross Write-off Rates	Annualised Net Write-off Rates
	£m	%	%	%	%
As at 31 December 2025					
US cards ¹	29,100	3.0	1.6	3.4	3.2
As at 31 December 2024					
US cards ¹	28,548	3.0	1.6	3.8	3.7

Note

1 Includes a co-branded card portfolio in USCB, classified as held for sale (see table below).

Portfolios - held for sale					
	Gross Exposure	30 Day Arrears, excluding recoveries book	90 Day Arrears, excluding recoveries book	Annualised Gross Write-off Rates	Annualised Net Write-off Rates
	£m	%	%	%	%
As at 31 December 2025					
Barclays US Consumer Bank	5,988	1.8	0.9	2.1	1.9
As at 31 December 2024					
Barclays US Consumer Bank	6,241	1.3	0.5	2.0	2.0
Head Office - German consumer finance business	3,733	1.8	0.9	1.3	1.2

US cards: 30 day and 90 day arrears rates remained flat at 3.0% (2024: 3.0%) and 1.6% (2024: 1.6%) respectively. Gross and net write off rates reduced to 3.4% (2024: 3.8%) and 3.2% (2024: 3.7%) respectively reflecting lower default volumes and stable recovery performance.

Risk review

Risk performance

Credit risk

Assets held for sale

This section presents a co-branded card portfolio in USCB classified as assets held for sale. Further, the sale of the German consumer finance business was completed in Q125.

For further details on assets held for sale, see Note 39 to the financial statements.

Loans and advances by product

Loans and advances to customers classified as assets held for sale (audited)												
	Stage 1			Stage 2			Stage 3			Total		
	Gross £m	ECL £m	Coverage %	Gross £m	ECL £m	Coverage %	Gross £m	ECL £m	Coverage %	Gross £m	ECL £m	Coverage %
As at 31 December 2025												
Retail credit cards - US	5,468	65	1.2	466	124	26.6	54	44	81.5	5,988	233	3.9
Retail credit cards - Germany	—	—	—	—	—	—	—	—	—	—	—	—
Retail other - Germany	—	—	—	—	—	—	—	—	—	—	—	—
Corporate loans - US	43	1	2.3	6	2	33.3	—	—	—	49	3	6.1
Total	5,511	66	1.2	472	126	26.7	54	44	81.5	6,037	236	3.9
As at 31 December 2024												
Retail credit cards - US	5,495	64	1.2	689	161	23.4	57	46	80.7	6,241	271	4.3
Retail credit cards - Germany	1,908	18	0.9	307	29	9.4	93	69	74.2	2,308	116	5.0
Retail other - Germany	1,134	16	1.4	220	33	15.0	71	48	67.6	1,425	97	6.8
Corporate loans - US	49	1	2.0	9	3	33.3	1	1	100.0	59	5	8.5
Total	8,586	99	1.2	1,225	226	18.4	222	164	73.9	10,033	489	4.9

Stage 2 decomposition

Loans and advances at amortised cost classified as held for sale									
	Gross Exposure				Impairment Allowance				
	Quantitative test	Qualitative test	30 days past due backstop	Total Stage 2	Quantitative test	Qualitative test	30 days past due backstop	Total Stage 2	
Barclays Bank Group									
As at 31 December 2025	£m	£m	£m	£m	£m	£m	£m	£m	
Retail credit cards - US	365	100	1	466	98	25	1	124	
Retail credit cards - Germany	—	—	—	—	—	—	—	—	
Retail other - Germany	—	—	—	—	—	—	—	—	
Corporate loans - US	6	—	—	6	2	—	—	2	
Total Stage 2	371	100	1	472	100	25	1	126	
As at 31 December 2024	£m	£m	£m	£m	£m	£m	£m	£m	
Retail credit cards - US	564	123	2	689	130	30	1	161	
Retail credit cards - Germany	209	96	2	307	19	9	1	29	
Retail other - Germany	207	11	2	220	31	1	1	33	
Corporate loans - US	7	2	—	9	2	1	—	3	
Total Stage 2	987	232	6	1,225	182	41	3	226	

Risk review

Risk performance

Credit risk

Management adjustments to models for impairment (audited)

Management adjustments to models for impairment allowance presented by product (audited)						
Barclays Bank Group	Impairment allowance pre management adjustments	Economic uncertainty adjustments ¹ (a)	Other adjustments (b)	Management adjustments (a+b)	Total impairment allowance	Proportion of Management adjustments to total impairment allowance
As at 31 December 2025	£m	£m	£m	£m	£m	%
Retail credit cards - US	232	5	—	5	237	2.1
Retail credit cards - Germany	—	—	—	—	—	—
Retail other - Germany	—	—	—	—	—	—
Corporate loans - US	3	—	—	—	3	—
Total	235	5	—	5	240	2.1
As at 31 December 2024	£m	£m	£m	£m	£m	%
Retail credit cards - US	277	—	—	—	277	—
Retail credit cards - Germany	101	—	16	16	117	13.7
Retail other - Germany	80	—	17	17	97	17.5
Corporate loans - US	5	—	—	—	5	—
Total	463	—	33	33	496	6.7

Note

- 1 Reflects a Stage 2 adjustment for elevated US macroeconomic uncertainty; with impacts yet to materialise in consumer behaviour.

Credit exposures by internal PD grade

Credit risk profile by internal PD grade classified as assets held for sale for Retail credit cards - US (audited)												
As at 31 December 2025			Gross carrying amount				Allowance for ECL				Net exposure	Coverage ratio
Grade	PD range	Credit quality description	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total		
	%		£m	£m	£m	£m	£m	£m	£m	£m	£m	%
Barclays Bank Group												
1-3	0.0 to <0.05%	Strong	—	—	—	—	—	—	—	—	—	—
4-5	0.05 to <0.15%	Strong	165	—	—	165	—	—	—	—	165	—
6-8	0.15 to <0.30%	Strong	953	—	—	953	3	—	—	3	950	0.3
9-11	0.30 to <0.60%	Strong	1,351	1	—	1,352	6	—	—	6	1,346	0.4
12-14	0.60 to <2.15%	Satisfactory	1,795	5	—	1,800	18	—	—	18	1,782	1.0
15-19	2.15 to <11.35%	Satisfactory	1,149	226	—	1,375	34	35	—	69	1,306	5.0
20-21	11.35 to <100%	Higher Risk	55	234	—	289	4	89	—	93	196	32.2
22	100%	Credit Impaired	—	—	54	54	—	—	44	44	10	81.5
Total			5,468	466	54	5,988	65	124	44	233	5,755	3.9

Credit risk profile by internal PD grade classified as assets held for sale for Retail credit cards - Germany (audited)												
As at 31 December 2025			Gross carrying amount				Allowance for ECL				Net exposure	Coverage ratio
Grade	PD range	Credit quality description	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total		
	%		£m	£m	£m	£m	£m	£m	£m	£m		
Barclays Bank Group												
1-3	0.0 to <0.05%	Strong	—	—	—	—	—	—	—	—	—	—
4-5	0.05 to <0.15%	Strong	—	—	—	—	—	—	—	—	—	—
6-8	0.15 to <0.30%	Strong	—	—	—	—	—	—	—	—	—	—
9-11	0.30 to <0.60%	Strong	—	—	—	—	—	—	—	—	—	—
12-14	0.60 to <2.15%	Satisfactory	—	—	—	—	—	—	—	—	—	—
15-19	2.15 to <11.35%	Satisfactory	—	—	—	—	—	—	—	—	—	—
20-21	11.35 to <100%	Higher Risk	—	—	—	—	—	—	—	—	—	—
22	100%	Credit Impaired	—	—	—	—	—	—	—	—	—	—
Total			—	—	—	—	—	—	—	—	—	—

Risk review

Risk performance

Credit risk

Credit risk profile by internal PD grade classified as assets held for sale for Retail other - Germany (audited)

As at 31 December 2025			Gross carrying amount				Allowance for ECL				Net exposure	Coverage ratio
Grade	PD range	Credit quality description	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total		
	%		£m	£m	£m	£m	£m	£m	£m	£m	£m	%
Barclays Bank Group												
1-3	0.0 to <0.05%	Strong	—	—	—	—	—	—	—	—	—	—
4-5	0.05 to <0.15%	Strong	—	—	—	—	—	—	—	—	—	—
6-8	0.15 to <0.30%	Strong	—	—	—	—	—	—	—	—	—	—
9-11	0.30 to <0.60%	Strong	—	—	—	—	—	—	—	—	—	—
12-14	0.60 to <2.15%	Satisfactory	—	—	—	—	—	—	—	—	—	—
15-19	2.15 to <11.35%	Satisfactory	—	—	—	—	—	—	—	—	—	—
20-21	11.35 to <100%	Higher Risk	—	—	—	—	—	—	—	—	—	—
22	100%	Credit Impaired	—	—	—	—	—	—	—	—	—	—
Total			—	—	—	—	—	—	—	—	—	—

Credit risk profile by internal PD grade classified as assets held for sale for Corporate loans - US (audited)

As at 31 December 2025			Gross carrying amount				Allowance for ECL				Net exposure	Coverage ratio
Grade	PD range %	Credit quality description	Stage 1 £m	Stage 2 £m	Stage 3 £m	Total £m	Stage 1 £m	Stage 2 £m	Stage 3 £m	Total £m		
Barclays Bank Group												
1-3	0.0 to <0.05%	Strong	—	—	—	—	—	—	—	—	—	—
4-5	0.05 to <0.15%	Strong	—	—	—	—	—	—	—	—	—	—
6-8	0.15 to <0.30%	Strong	—	—	—	—	—	—	—	—	—	—
9-11	0.30 to <0.60%	Strong	—	—	—	—	—	—	—	—	—	—
12-14	0.60 to <2.15%	Satisfactory	2	—	—	2	—	—	—	—	2	—
15-19	2.15 to <11.35%	Satisfactory	41	—	—	41	1	—	—	1	40	2.4
20-21	11.35 to <100%	Higher Risk	—	6	—	6	—	2	—	2	4	33.3
22	100%	Credit Impaired	—	—	—	—	—	—	—	—	—	—
Total			43	6	—	49	1	2	—	3	46	6.1

Credit risk profile by internal PD grade classified as assets held for sale for Retail credit cards - US (audited)

As at 31 December 2024			Gross carrying amount				Allowance for ECL				Net exposure	Coverage ratio
Grade	PD range %	Credit quality description	Stage 1 £m	Stage 2 £m	Stage 3 £m	Total £m	Stage 1 £m	Stage 2 £m	Stage 3 £m	Total £m		
Barclays Bank Group												
1-3	0.0 to <0.05%	Strong	—	—	—	—	—	—	—	—	—	—
4-5	0.05 to <0.15%	Strong	—	—	—	—	—	—	—	—	—	—
6-8	0.15 to <0.30%	Strong	—	—	—	—	—	—	—	—	—	—
9-11	0.30 to <0.60%	Strong	—	—	—	—	—	—	—	—	—	—
12-14	0.60 to <2.15%	Satisfactory	5,495	—	—	5,495	64	—	—	64	5,431	1.2
15-19	2.15 to <11.35%	Satisfactory	—	689	—	689	—	161	—	161	528	23.4
20-21	11.35 to <100%	Higher Risk	—	—	—	—	—	—	—	—	—	—
22	100%	Credit Impaired	—	—	57	57	—	—	46	46	11	80.7
Total			5,495	689	57	6,241	64	161	46	271	5,970	4.3

Risk review

Risk performance

Credit risk

Credit risk profile by internal PD grade classified as assets held for sale for Retail credit cards - Germany (audited)

As at 31 December 2024			Gross carrying amount				Allowance for ECL				Net exposure	Coverage ratio
PD range	Credit quality description	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total			
Grade	%		£m	£m	£m	£m	£m	£m	£m	£m	£m	%
Barclays Bank Group												
1-3	0.0 to <0.05%	Strong	62	—	—	62	—	—	—	—	62	—
4-5	0.05 to <0.15%	Strong	289	—	—	289	1	—	—	1	288	0.3
6-8	0.15 to <0.30%	Strong	152	—	—	152	1	—	—	1	151	0.7
9-11	0.30 to <0.60%	Strong	250	—	—	250	1	—	—	1	249	0.4
12-14	0.60 to <2.15%	Satisfactory	928	5	—	933	9	—	—	9	924	1.0
15-19	2.15 to <11.35%	Satisfactory	227	229	—	456	6	15	—	21	435	4.6
20-21	11.35 to <100%	Higher Risk	—	73	—	73	—	14	—	14	59	19.2
22	100%	Credit Impaired	—	—	93	93	—	—	69	69	24	74.2
Total			1,908	307	93	2,308	18	29	69	116	2,192	5.0

Credit risk profile by internal PD grade classified as assets held for sale for Retail other - Germany (audited)

As at 31 December 2024												
Grade	PD range %	Credit quality description	Gross carrying amount				Allowance for ECL				Net exposure £m	Coverage ratio %
			Stage 1 £m	Stage 2 £m	Stage 3 £m	Total £m	Stage 1 £m	Stage 2 £m	Stage 3 £m	Total £m		
Barclays Bank Group												
1-3	0.0 to <0.05%	Strong	1	—	—	1	—	—	—	—	1	—
4-5	0.05 to <0.15%	Strong	25	—	—	25	—	—	—	—	25	—
6-8	0.15 to <0.30%	Strong	110	—	—	110	—	—	—	—	110	—
9-11	0.30 to <0.60%	Strong	294	—	—	294	1	—	—	1	293	0.3
12-14	0.60 to <2.15%	Satisfactory	534	17	—	551	6	4	—	10	541	1.8
15-19	2.15 to <11.35%	Satisfactory	170	182	—	352	9	22	—	31	321	8.8
20-21	11.35 to <100%	Higher Risk	—	21	—	21	—	7	—	7	14	33.3
22	100%	Credit Impaired	—	—	71	71	—	—	48	48	23	67.6
Total			1,134	220	71	1,425	16	33	48	97	1,328	6.8

Credit risk profile by internal PD grade classified as assets held for sale for Corporate loans - US (audited)

As at 31 December 2024			Gross carrying amount				Allowance for ECL				Net exposure	Coverage ratio
PD range	Credit quality description	Stage 1	Stage 2	Stage 3	Total	Stage 1	Stage 2	Stage 3	Total			
Grade	%		£m	£m	£m	£m	£m	£m	£m	£m	£m	%
Barclays Bank Group												
1-3	0.0 to <0.05%	Strong	—	—	—	—	—	—	—	—	—	—
4-5	0.05 to <0.15%	Strong	—	—	—	—	—	—	—	—	—	—
6-8	0.15 to <0.30%	Strong	—	—	—	—	—	—	—	—	—	—
9-11	0.30 to <0.60%	Strong	—	—	—	—	—	—	—	—	—	—
12-14	0.60 to <2.15%	Satisfactory	49	—	—	49	1	—	—	1	48	2.0
15-19	2.15 to <11.35%	Satisfactory	—	9	—	9	—	3	—	3	6	33.3
20-21	11.35 to <100%	Higher Risk	—	—	—	—	—	—	—	—	—	—
22	100%	Credit Impaired	—	—	1	1	—	—	1	1	—	100.0
Total			49	9	1	59	1	3	1	5	54	8.5

Summary of Contents

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Outlines key measures used to summarise the market risk profile of the Barclays Bank Group such as VaR.	▪ Market risk overview	218
	▪ Measures of market risk in the Barclays Bank Group and accounting measures	218
	▪ Summary of performance in the period	218
The Barclays Bank Group discloses details on management measures of market risk. Total management VaR includes all trading positions and is presented on a diversified basis by risk factor.	▪ Traded market risk review	218
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Risk review

Risk performance

Market risk

All disclosures in this section, pages 218 to 219 are unaudited unless otherwise stated.

Overview

This section contains key statistics describing the market risk profile of the Barclays Bank Group:

- The market risk management section on page 149 provides a description of management VaR. Management measures are shown below.

Measures of market risk in the Barclays Bank Group and accounting measures

Traded market risk measures such as VaR and balance sheet exposure measures have fundamental differences:

- Balance sheet measures show accruals-based balances or marked to market values as at the reporting date
- VaR measures also take account of current marked to market values but, in addition, hedging effects between positions are considered
- Market risk measures are expressed in terms of changes in value or volatilities as opposed to static values.

For these reasons, it is not possible to present direct reconciliations of traded market risk and accounting measures.

Summary of performance in the period

Average Management VaR decreased 31% to £18m (2024: £26m). The decrease is mainly due to a combination of a reduction in the size of the funded, fair value leverage loan exposure in 2025 as well as an overall prudent risk positioning.

Traded market risk review

Review of management measures

The following disclosures provide details of management measures of market risk.

The table below shows the total management VaR on a diversified basis by risk factor. Total management VaR includes all trading positions in IB and the supporting Barclays Bank Group Treasury desks, measured to a confidence level of 95%.

Limits are applied against each risk factor VaR as well as total management VaR, which are then cascaded further by risk managers to each business.

The daily average, high and low values of management VaR

Management VaR (95%, one day) (audited)						
For the year ended 31 December 2025	2025			2024		
	Average £m	High £m	Low £m	Average £m	High £m	Low £m
Credit risk	15	21	11	21	27	17
Interest rate risk	15	25	5	15	25	6
Equity risk	7	14	4	6	12	2
Basis risk	6	9	4	5	8	4
Spread risk	5	7	3	5	7	3
Foreign exchange risk	4	7	2	4	9	2
Commodity risk	—	1	—	—	1	—
Inflation risk	5	8	3	4	5	2
Diversification effect ¹	(39)	n/a	n/a	(34)	n/a	n/a
Total management VaR	18	31	9	26	36	15

Note

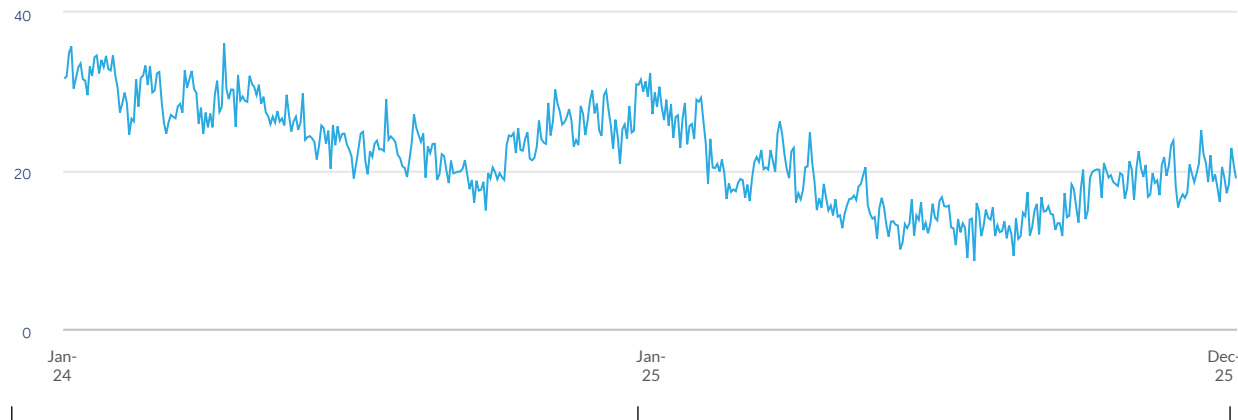
- ¹ Diversification effects recognise that forecast losses from different assets or businesses are unlikely to occur concurrently, hence the expected aggregate loss is lower than the sum of the expected losses from each area. Historical correlations between losses are taken into account in making these assessments. The high and low VaR figures reported for each category did not necessarily occur on the same day as the high and low VaR reported as a whole. Consequently, a diversification effect balance for the high and low VaR figures would not be meaningful and is therefore omitted from the above table.

Risk review

Risk performance

Market risk

Barclays Bank Group Management VaR (£m)



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Liquidity risk performance	
The risk that the firm is unable to meet its contractual or contingent obligations or that it does not have the appropriate amount, tenor and composition of funding and liquidity to support its assets. This section provides an overview of the Barclays Bank Group's liquidity risk.	- Liquidity risk overview 221 - Liquidity regulation 221 - Liquidity risk stress testing 221 - Net stable funding ratio (NSFR) 222
Provides details on the contractual maturity of all financial instruments and other assets and liabilities.	Contractual maturity of financial assets and liabilities 223
Capital risk performance	
Capital risk is the risk that the firm has an insufficient level or composition of capital to support its normal business activities and to meet its regulatory capital requirements under normal operating environments or stressed conditions (both actual and as defined for internal planning or regulatory testing purposes). This also includes the risk from the firm's pension plans. This section details Barclays Bank Group's capital and leverage position.	- Capital risk overview 231 - Capital ratios 231 - Capital resources 231 - Leverage ratio 231
Barclays Bank Group discloses the two sources of foreign exchange risk that it is exposed to.	- Foreign exchange risk 232 - Transactional foreign currency exposure 232 - Translational foreign exchange exposure 232 - Functional currency of operations 232
A review focusing on the UK retirement fund, which represents the majority of Barclays Bank Group's total retirement benefit obligation.	- Pension risk review 233 - Assets 233 - Liabilities 233 - Proportion of liability cash flows 233 - IAS 19 pension position 233 - Risk measurement 234
Interest rate risk in the banking book performance	
A description of the non-traded market risk framework is provided. Barclays Bank Group discloses a sensitivity analysis on pre-tax net interest income for non-trading financial assets and liabilities. The analysis is carried out by currency. Barclays Bank Group discloses the overall impact of a parallel shift in interest rates on other comprehensive income and cash flow hedges. Barclays Bank Group measures the volatility of the value of the FVOCI instruments in the liquidity pool through non-traded market risk VaR.	- Interest rate risk in the banking book overview and summary of performance 235 - Net interest income sensitivity 235 - Analysis of equity sensitivity 236 - Volatility of the FVOCI portfolio in the liquidity pool 237

Liquidity risk

All disclosures in this section, pages 221 to 230, are unaudited unless otherwise stated.

Overview

The efficient management of liquidity is essential to the Barclays Bank Group in order to retain the confidence of markets and maintain the sustainability of the business. The liquidity risk framework is used to manage all liquidity risk exposures under both business-as-usual and stressed conditions. The framework is designed to maintain liquidity resources that are sufficient in amount, quality and funding tenor profile to support the risk appetite as expressed by the Barclays Bank PLC Board. The risk appetite liquidity constraint is monitored against both internal and regulatory liquidity metrics.

For the purpose of liquidity management, Barclays Bank PLC and its subsidiary Barclays Capital Securities Limited, a UK broker dealer entity, are monitored on a combined basis by the PRA under a Domestic Liquidity Sub-Group (Barclays Bank PLC DoLSub) arrangement.

Liquidity regulation

The bank monitors its position against both the Liquidity Coverage Ratio (LCR) and Net Stable Funding Ratio (NSFR) according to the PRA regulatory requirements which include certain Basel III standards that were retained in the UK regulatory framework from 1 January 2022 as part of the UK's withdrawal from the EU. The LCR requirement takes into account the relative stability of different sources of funding and potential incremental funding requirements in a stress. The LCR is designed to promote short-term resilience of a bank's liquidity risk profile by holding sufficient High Quality Liquid Assets (HQLA) to survive an acute stress scenario lasting for 30 days. The NSFR has been developed to promote a sustainable and stable structure of assets and liabilities.

Liquidity risk stress testing

The Internal Liquidity Stress Test (ILST) measures the potential contractual and contingent stress outflows under a range of internally defined stress scenarios, which are then used to determine the size of the liquidity pool that is immediately available to meet anticipated outflows if a stress occurs. The scenarios include a 30 day Barclays-specific stress event, a 90 day market-wide stress event, a 30 day combined scenario consisting of both a Barclays specific and a market-wide stress event, and a 12 month market-wide stress scenario.

As at 31 December 2025, Barclays Bank PLC DoLSub held eligible liquid assets well above 100% of net stressed outflows as measured according to its internal and regulatory requirements (ILST and LCR, respectively). The split of the liquidity pool between cash and deposits with central banks, government bonds and other eligible securities is broadly similar to the Barclays Group.

The Liquidity Pool increased to £229.9bn (December 2024: £179.3bn), primarily driven by deposit growth across the businesses and wholesale funding. The Barclays Bank PLC Domestic Liquidity Subgroup ('DoLSub') liquidity coverage ratio (LCR) remained well above the 100% regulatory requirement at 149.7% (December 2024: 147.9%).

Barclays Bank PLC prospectively implemented a new methodology for calculating net stress outflows related to secured financing transactions in the LCR. This change materialised from June 2025, with the Barclays Bank PLC headline ratio expected to contract over time from recent elevated levels whilst remaining broadly within ranges reported over recent years. The revised methodology models a more asymmetric unwind of client activity, resulting in a higher net outflow calculation. Prior period comparators have been re-presented to reflect a separate change to the calculation of outflows from certain secured financing transactions that was adopted from Q1 2025. Barclays Bank PLC has always maintained, and intends to continue to maintain, a significant liquidity buffer which allows for this impact to be readily absorbed within its liquidity surplus.

As at 31 December	2025	2024
	£bn	£bn
Barclays Bank PLC DoLSub Liquidity Pool	229.9	179.3
	%	%
Barclays Bank PLC DoLSub Liquidity Coverage Ratio ^{1,2}	149.7	147.9

Note

- Represents the average of the last 12 spot month end ratios.
- Prior period comparators have been re-presented to reflect a change to the calculation of outflows from certain secured financing transactions that was adopted from Q1 2025.

The Barclays Bank Group has direct access to US, European and Asian capital markets through its global investment banking operations and to long-term investors through its clients worldwide. Key sources of wholesale funding include money markets, certificates of deposit, commercial paper, medium term issuances (including structured notes) and securitisations. This funding capacity enables the Barclays Bank Group to maintain a stable and diversified funding base.

Risk review

Risk performance

Treasury and Capital risk

The Barclays Bank PLC also supports various central bank monetary initiatives, such as the Bank of England's Term Funding Scheme with additional incentives for SMEs (TFSME), and the European Central Bank's Targeted Long-Term Refinancing Operations (TLTRO). These are reported under 'repurchase agreements and other similar secured borrowing' on the balance sheet. Barclays Bank PLC fully repaid its entire outstanding TFSME balance of £3.35bn.

Net Stable Funding Ratio (NSFR)

The external NSFR metric requires banks to maintain a stable funding profile taking into account both on and certain off balance sheet exposures over a medium to long term period. The ratio is defined as the Available Stable Funding (capital and certain liabilities which are defined as stable sources of funding) relative to the Required Stable Funding (a measure of assets on balance sheet and certain off balance sheet exposures which may require longer term funding). The NSFR (average of last four quarter end ratios) was 113% at December 2025, equivalent to a surplus of £44bn above the regulatory requirement and demonstrates Barclays Bank PLC's stable balance sheet funding profile.

	2025	2024
	£bn	£bn
Net Stable Funding Ratio ¹		
Total Available Stable Funding	381	372
Total Required Stable Funding	337	333
Surplus	44	39
Net Stable Funding Ratio	113 %	112 %

Note

1 Represents an average of the last four spot quarter end ratios.

To define the risk appetite liquidity constraint, Barclays Bank PLC DoLSub establishes minimum LCR, NSFR and ILST limits. Risks to market funding conditions, the Barclays Bank Group's liquidity position and funding profile are assessed continually, and actions are taken to manage the size of the liquidity pool and the funding profile as appropriate.

Contractual maturity of financial assets and liabilities

The table below provides detail on the contractual maturity of all financial instruments and other assets and liabilities. Derivatives (other than those designated in a hedging relationship) and trading portfolio assets and liabilities are included in the 'not more than one month' column at their fair value. Liquidity risk on these items is not managed on the basis of contractual maturity since these items are not held for settlement according to such maturity and will frequently be settled before contractual maturity at fair value. Derivatives designated in a hedging relationship are included according to their contractual maturity.

Open-dated financial assets and liabilities are included within 'not more than one month' due to the availability of withdrawals or redemptions at any time, without notice.

Contractual maturity of financial assets and liabilities (audited)								
	Not more than one month	Over one month but not more than three months	Over three months but not more than six months	Over six months but not more than one year	Over one year but not more than three years	Over three years but not more than five years	Over five years	Total
	£m	£m	£m	£m	£m	£m	£m	£m
Barclays Bank Group								
As at 31 December 2025								
Assets								
Cash and balances at central banks	208,544	—	—	—	—	—	—	208,544
Cash collateral and settlement balances	81,419	43,100	—	—	—	—	—	124,519
Debt Securities at amortised cost	390	5,136	1,776	2,845	15,124	13,303	16,579	55,153
Loans and advances at amortised cost to banks and customers	21,922	5,264	6,166	17,893	47,981	26,901	24,659	150,786
Reverse repurchase agreements and other similar secured lending	10,866	338	520	406	1,971	2,816	745	17,662
Trading portfolio assets	189,743	—	—	—	—	—	—	189,743
Financial assets at fair value through the income statement	145,326	13,635	4,503	4,130	10,756	3,639	3,013	185,002
Derivative financial instruments	250,286	144	201	227	959	302	73	252,192
Financial assets at fair value through other comprehensive income	1,357	1,303	133	277	3,527	11,748	24,473	42,818
Assets included in disposal groups classified as held for sale	—	—	5,932	—	—	—	—	5,932
Other financial assets	379	41	198	1	5	—	—	624
Total financial assets	910,232	68,961	19,429	25,779	80,323	58,709	69,542	1,232,975
Other assets								12,498
Total assets								1,245,473
Liabilities								
Deposits at amortised cost from bank and customers	255,232	35,395	31,417	18,639	3,204	543	321	344,751
Cash collateral and settlement balances	84,062	32,749	—	—	—	—	—	116,811
Repurchase agreements and other similar secured borrowing	8,790	4,507	321	626	4,407	—	—	18,651
Debt securities in issue	2,387	10,732	22,206	13,052	2,063	2,263	4,526	57,229
Subordinated liabilities	1,356	—	1,015	400	12,266	8,265	21,937	45,239
Trading portfolio liabilities	56,829	—	—	—	—	—	—	56,829
Financial liabilities designated at fair value	161,887	30,221	16,489	14,172	31,398	19,691	19,669	293,527
Derivative financial instruments	240,179	22	53	13	206	83	201	240,757
Liabilities included in disposal groups classified as held for sale	—	—	—	—	—	—	—	—
Other financial liabilities	4,283	3	9	19	76	55	453	4,898
Total financial liabilities	815,005	113,629	71,510	46,921	53,620	30,900	47,107	1,178,692
Other liabilities								4,468
Total liabilities								1,183,160

Risk review

Risk performance

Treasury and Capital risk

Contractual maturity of financial assets and liabilities (audited)

	Not more than one month	Over one month but not more than three months	Over three months but not more than six months	Over six months but not more than one year	Over one year but not more than three years	Over three years but not more than five years	Over five years	Total
	£m	£m	£m	£m	£m	£m	£m	£m
Barclays Bank Group								
As at 31 December 2024								
Assets								
Cash and balances at central banks	180,365	—	—	—	—	—	—	180,365
Cash collateral and settlement balances	76,805	37,182	—	—	—	—	—	113,987
Debt securities at amortised cost	233	352	1,710	1,194	15,393	11,921	19,424	50,227
Loans and advances at amortised cost to banks and customers	22,523	5,207	7,067	16,544	45,701	22,641	25,144	144,827
Reverse repurchase agreements and other similar secured lending	299	37	292	110	1,675	980	—	3,393
Trading portfolio assets	166,244	—	—	—	—	—	—	166,244
Financial assets at fair value through the income statement	152,022	11,628	4,467	4,471	10,082	6,099	3,076	191,845
Derivative financial instruments	291,580	19	333	—	268	23	133	292,356
Financial assets at fair value through other comprehensive income	1,421	1,002	110	233	5,747	12,147	30,350	51,010
Assets included in disposal groups classified as held for sale	—	3,710	—	—	6,144	—	—	9,854
Other financial assets	499	22	126	17	1	—	—	665
Total financial assets	891,991	59,159	14,105	22,569	85,011	53,811	78,127	1,204,773
Other assets								13,751
Total assets								1,218,524
Liabilities								
Deposits at amortised cost from banks and customers	240,546	33,576	27,124	12,752	3,481	1,296	601	319,376
Cash collateral and settlement balances	75,019	29,608	—	—	—	—	—	104,627
Repurchase agreements and other similar secured borrowing	18,522	1,823	84	3,931	3,702	1,335	—	29,397
Debt securities in issue	2,912	15,264	5,859	3,469	713	2,164	5,422	35,803
Subordinated liabilities	—	818	75	80	11,431	6,444	23,027	41,875
Trading portfolio liabilities	56,182	—	—	—	—	—	—	56,182
Financial liabilities designated at fair value	156,917	23,502	16,742	15,331	28,332	19,087	19,866	279,777
Derivative financial instruments	278,657	27	18	—	185	255	189	279,331
Liabilities included in disposal groups classified as held for sale	—	3,726	—	—	—	—	—	3,726
Other financial liabilities	4,333	4	9	19	71	40	392	4,868
Total financial liabilities	833,088	108,348	49,911	35,582	47,915	30,621	49,497	1,154,962
Other liabilities								4,342
Total liabilities								1,159,304

Risk review

Risk performance

Treasury and Capital risk

Contractual maturity of financial assets and liabilities (audited)

	Not more than one month	Over one month but not more than three months	Over three months but not more than six months	Over six months but not more than one year	Over one year but not more than three years	Over three years but not more than five years	Over five years	Total
	£m	£m	£m	£m	£m	£m	£m	£m
Barclays Bank PLC								
As at 31 December 2025								
Assets								
Cash and balances at central banks	178,321	—	—	—	—	—	—	178,321
Cash collateral and settlement balances	45,621	33,591	—	—	—	—	—	79,212
Debt securities at amortised cost	386	5,136	131	1,746	10,423	9,137	11,831	38,790
Loans and advances at amortised cost to banks and customers	57,829	30,828	11,464	27,861	74,553	25,903	19,114	247,552
Reverse repurchase agreements and other similar secured lending	16,323	338	2,375	406	1,971	2,816	745	24,974
Trading portfolio assets	110,625	—	—	—	—	—	—	110,625
Financial assets at fair value through the income statement	179,797	25,451	28,779	5,701	16,174	3,294	3,153	262,349
Derivative financial instruments	223,115	71	193	227	958	300	73	224,937
Financial assets at fair value through other comprehensive	1,186	1,032	133	276	3,522	11,500	23,640	41,289
Other financial assets	292	—	446	2	4	—	—	744
Total financial assets	813,495	96,447	43,521	36,219	107,605	52,950	58,556	1,208,793
Other assets								27,656
Total assets								1,236,449
Liabilities								
Deposits at amortised cost from banks and customers	252,388	42,478	29,802	16,406	18,382	525	25,505	385,486
Cash collateral and settlement balances	44,532	23,159	—	—	—	—	—	67,691
Repurchase agreements and other similar secured borrowing	15,496	4,774	659	1,753	8,848	1,706	—	33,236
Debt securities in issue	—	730	18,542	11,374	574	1,927	2,333	35,480
Subordinated liabilities	1,355	—	1,015	279	11,940	8,265	21,881	44,735
Trading portfolio liabilities	32,505	—	—	—	—	—	—	32,505
Financial liabilities designated at fair value	221,365	38,948	21,887	13,524	33,597	18,665	18,000	365,986
Derivative financial instruments	210,035	22	11	13	141	38	201	210,461
Other financial liabilities	3,014	1	3	5	19	19	43	3,104
Total financial liabilities	780,690	110,112	71,919	43,354	73,501	31,145	67,963	1,178,684
Other liabilities								2,125
Total liabilities								1,180,809

Risk review

Risk performance

Treasury and Capital risk

Contractual maturity of financial assets and liabilities (audited)

	Not more than one month	Over one month but not more than three months	Over three months but not more than six months	Over six months but not more than one year	Over one year but not more than three years	Over three years but not more than five years	Over five years	Total
	£m	£m	£m	£m	£m	£m	£m	£m
Barclays Bank PLC								
As at 31 December 2024								
Assets								
Cash and balances at central banks	151,288	—	—	—	—	—	—	151,288
Cash collateral and settlement balances	50,647	24,637	—	—	—	—	—	75,284
Debt securities at amortised cost	34	271	1,508	1,130	10,800	6,962	14,814	35,519
Loans and advances at amortised cost to banks and customers	53,051	27,488	14,611	27,255	54,829	25,392	22,426	225,052
Reverse repurchase agreements and other similar secured lending	2,452	37	292	110	1,675	980	—	5,546
Trading portfolio assets	102,030	—	—	—	—	—	—	102,030
Financial assets at fair value through the income statement	195,289	20,282	10,035	7,092	12,394	6,840	1,880	253,812
Derivative financial instruments	259,740	19	333	—	244	20	131	260,487
Financial assets at fair value through other comprehensive income	868	872	110	233	5,743	12,035	29,638	49,499
Other financial assets	397	—	308	18	—	—	—	723
Total financial assets	815,796	73,606	27,197	35,838	85,685	52,229	68,889	1,159,240
Other assets								28,777
Total assets								1,188,017
Liabilities								
Deposits at amortised cost from banks and customers	234,006	32,852	23,115	12,898	16,559	825	27,838	348,093
Cash collateral and settlement balances	43,675	18,711	—	—	—	—	—	62,386
Repurchase agreements and other similar secured borrowing	25,450	2,879	1,089	8,518	5,851	2,409	—	46,196
Debt securities in issue	51	5,551	1,871	1,037	—	1,411	3,070	12,991
Subordinated liabilities	—	722	—	—	11,221	6,444	22,853	41,240
Trading portfolio liabilities	41,015	—	—	—	—	—	—	41,015
Financial liabilities designated at fair value	201,068	27,052	20,114	14,346	30,431	18,402	18,109	329,522
Derivative financial instruments	247,753	44	18	—	173	240	189	248,417
Other financial liabilities	3,186	1	3	6	20	9	21	3,246
Total financial liabilities	796,204	87,812	46,210	36,805	64,255	29,740	72,080	1,133,106
Other liabilities								2,011
Total liabilities								1,135,117

Risk review

Risk performance

Treasury and Capital risk

Expected maturity date may differ from the contractual date, to account for:

- Trading portfolio assets and liabilities and derivative financial instruments which may not be held to maturity as part of the Barclays Bank Group's trading strategies.
- Corporate and retail deposits, reported under deposits at amortised cost, are repayable on demand or at short notice on a contractual basis. In practice, their behavioural maturity is typically longer than their contractual maturity, and therefore provide stable funding for the Barclays Bank Group's operations and liquidity needs.
- Loans to corporate and retail customers, which are included within loans and advances at amortised cost and financial assets at fair value, may be repaid earlier in line with terms and conditions of the contract.
- Debt securities in issue, subordinated liabilities, and financial liabilities designated at fair value may include early redemption features.

Contractual maturity of financial liabilities on an undiscounted basis

The following table presents the cash flows payable by the Barclays Bank Group under financial liabilities by remaining contractual maturities at the balance sheet date. The amounts disclosed in the table are the contractual undiscounted cash flows of all financial liabilities (i.e. nominal values).

The balances in the below table do not agree directly to the balances in the consolidated balance sheet as the table incorporates all cash flows, on an undiscounted basis, related to both principal as well as those associated with all future coupon payments.

Risk review

Risk performance

Treasury and Capital risk

Derivative financial instruments held for trading and trading portfolio liabilities are included in the 'not more than one month' column at their fair value. Open-dated financial liabilities are also included within 'not more than one month'.

Contractual maturity of financial liabilities - undiscounted (audited)

	Not more than one month	Over one month but not more than three months	Over three months but not more than six months	Over six months but not more than one year	Over one year but not more than three years	Over three years but not more than five years	Over five years	Total
	£m	£m	£m	£m	£m	£m	£m	£m
Barclays Bank Group								
As at 31 December 2025								
Deposits at amortised cost from banks and customers	255,034	35,765	31,757	19,049	3,422	614	579	346,220
Cash collateral and settlement balances	84,076	32,910	—	—	—	—	295	117,281
Repurchase agreements and other similar secured borrowing	8,801	4,520	322	637	4,562	—	—	18,842
Debt securities in issue	2,393	10,789	22,489	13,366	2,243	2,573	7,618	61,471
Subordinated liabilities	1,358	—	1,025	418	12,727	9,210	33,626	58,364
Trading portfolio liabilities	56,829	—	—	—	—	—	—	56,829
Financial liabilities designated at fair value	161,975	30,387	16,677	14,449	32,838	21,670	32,683	310,679
Derivative financial instruments	240,179	23	54	13	223	94	398	240,984
Liabilities included in disposal groups classified as held for sale	—	—	—	—	—	—	—	—
Other financial liabilities	4,284	8	16	35	134	108	3,513	8,098
Total financial liabilities	814,929	114,402	72,340	47,967	56,149	34,269	78,712	1,218,768
As at 31 December 2024								
Deposits at amortised cost from banks and customers	240,695	33,769	27,410	13,059	3,687	1,531	762	320,913
Cash collateral and settlement balances	75,021	29,780	—	—	—	—	—	104,801
Repurchase agreements and other similar secured borrowing	18,542	1,832	84	4,065	3,892	1,508	—	29,923
Debt securities in issue	2,920	15,360	5,930	3,579	745	2,558	8,714	39,806
Subordinated liabilities	—	824	75	80	11,955	7,036	34,922	54,892
Trading portfolio liabilities	56,182	—	—	—	—	—	—	56,182
Financial liabilities designated at fair value	157,090	23,676	16,971	15,713	30,014	21,471	34,087	299,022
Derivative financial instruments	278,662	27	18	—	197	298	402	279,604
Liabilities included in disposal groups classified as held for sale	—	3,726	—	—	—	—	—	3,726
Other financial liabilities	4,335	10	18	35	127	86	3,680	8,291
Total financial liabilities	833,447	109,004	50,506	36,531	50,617	34,488	82,567	1,197,160

Risk review

Risk performance

Treasury and Capital risk

Contractual maturity of financial liabilities - undiscounted (audited)

	Not more than one month £m	Over one month but not more than three months £m	months but not more than six months £m	Over six months but not more than one year £m	Over one year but not more than three years £m	Over three years but not more than five years £m	Over five years £m	Total £m
Barclays Bank PLC								
As at 31 December 2025								
Deposits at amortised cost from banks and customers	252,388	42,894	30,148	16,784	19,116	600	64,635	426,565
Cash collateral and settlement balances	44,539	23,212	—	—	—	—	—	67,751
Repurchase agreements and other similar secured borrowing	15,507	4,788	664	1,792	9,196	1,898	—	33,845
Debt securities in issue	—	734	18,774	11,655	615	2,215	2,964	36,957
Subordinated liabilities	1,358	—	1,025	294	12,404	9,210	33,570	57,861
Trading portfolio liabilities	32,505	—	—	—	—	—	—	32,505
Financial liabilities designated at fair value	221,451	39,126	22,102	13,805	34,995	20,509	29,342	381,330
Derivative financial instruments	210,035	23	11	13	152	43	398	210,675
Other financial liabilities	3,014	1	3	8	27	23	48	3,124
Total financial liabilities	780,797	110,778	72,727	44,351	76,505	34,498	130,957	1,250,613
As at 31 December 2024								
Deposits at amortised cost from banks and customers	234,154	33,059	23,356	13,251	17,925	952	64,543	387,240
Cash collateral and settlement balances	43,675	18,888	—	—	—	—	—	62,563
Repurchase agreements and other similar secured borrowing	25,475	2,894	1,113	8,800	6,142	2,707	—	47,131
Debt securities in issue	51	5,579	1,888	1,076	—	1,684	4,031	14,309
Subordinated liabilities	—	727	—	—	11,746	7,036	34,748	54,257
Trading portfolio liabilities	41,015	—	—	—	—	—	—	41,015
Financial liabilities designated at fair value	201,181	27,254	20,349	14,700	32,392	20,352	30,723	346,951
Derivative financial instruments	247,781	44	18	—	184	280	402	248,709
Other financial liabilities	3,187	2	3	8	24	11	25	3,260
Total financial liabilities	796,519	88,447	46,727	37,835	68,413	33,022	134,472	1,205,435

Risk review

Risk performance

Treasury and Capital risk

Maturity of off-balance sheet commitments given

The table below presents the maturity split of the Barclays Bank Group's off-balance sheet commitments given at the balance sheet date. The amounts disclosed in the table are the undiscounted cash flows (i.e. nominal values) on the basis of earliest opportunity at which they are available.

Maturity analysis of off-balance sheet commitments given (audited)								
	Not more than one month	Over one month but not more than three months	Over three months but not more than six months	Over six months but not more than one year	Over one year but not more than three years	Over three years but not more than five years	Over five years	Total
Barclays Bank Group	£m	£m	£m	£m	£m	£m	£m	£m
As at 31 December 2025								
Contingent liabilities and financial guarantees	26,631	—	1	1	—	—	—	26,633
Documentary credits and other short-term trade related transactions	1,103	—	—	—	—	—	—	1,103
Standby facilities, credit lines and other commitments ¹	354,202	—	—	—	63	17	3	354,285
Total off-balance sheet commitments given	381,936	—	1	1	63	17	3	382,021
As at 31 December 2024								
Contingent liabilities and financial guarantees	26,541	22	1	1	—	—	—	26,565
Documentary credits and other short-term trade related transactions	1,432	1	—	—	—	—	—	1,433
Standby facilities, credit lines and other commitments ¹	352,276	—	—	—	68	—	—	352,344
Total off-balance sheet commitments given	380,249	23	1	1	68	—	—	380,342

Note

1. Includes exposures relating to financial assets classified as assets held for sale.

Maturity analysis of off-balance sheet commitments given (audited)								
	Not more than one month	Over one month but not more than three months	Over three months but not more than six months	Over six months but not more than one year	Over one year but not more than three years	Over three years but not more than five years	Over five years	Total
Barclays Bank PLC	£m	£m	£m	£m	£m	£m	£m	£m
As at 31 December 2025								
Contingent liabilities and financial guarantees	48,435	—	1	1	—	—	—	48,437
Documentary credits and other short-term trade related transactions	1,042	—	—	—	—	—	—	1,042
Standby facilities, credit lines and other commitments	219,153	—	—	—	63	17	3	219,236
Total off-balance sheet commitments given	268,630	—	1	1	63	17	3	268,715
As at 31 December 2024								
Contingent liabilities and financial guarantees	48,482	22	1	1	—	—	—	48,506
Documentary credits and other short-term trade related transactions	1,348	1	—	—	—	—	—	1,349
Standby facilities, credit lines and other commitments	220,765	—	—	—	68	—	—	220,833
Total off-balance sheet commitments given	270,595	23	1	1	68	—	—	270,688

Risk review

Risk performance

Treasury and Capital risk

Capital risk

All disclosures in this section, page 231 are unaudited unless otherwise stated.

Overview

Barclays Bank PLC capital requirements are set by the PRA at a solo-consolidated level. Barclays Bank PLC solo-consolidated comprises Barclays Bank PLC plus certain additional subsidiaries, whose inclusion within the consolidation is subject to PRA approval.

Further information on the risk profile will be included in the Barclays Bank PLC 2025 Pillar 3 Report which is available at home.barclays/investor-relations/reports-and-events/annual-reports.

As at 31 December 2025 Barclays Bank PLC solo-consolidated CET1 ratio was 12.7% which is above its minimum regulatory requirement of 10.4%.

Capital ratios ^{1,2}		
As at 31 December	2025	2024
CET1	12.7%	12.1%
Tier 1 (T1)	16.1%	15.1%
Total regulatory capital	19.0%	18.1%

Capital resources		
As at 31 December	2025 £m	2024 £m
CET1 capital	28,177	26,995
T1 capital	35,848	33,787
Total regulatory capital	42,129	40,444
Total risk weighted assets (RWAs) (unaudited)	222,247	223,648

Leverage minimum requirements are set at the sub-consolidated level for Barclays Bank PLC. The sub-consolidated group represents the Barclays Bank Group on a regulatory scope of consolidation, as approved by the PRA. As a result, the Barclays Bank PLC leverage disclosures contained within this document are presented at Barclays Bank PLC sub-consolidated level, based on capital and exposure on the last day of the quarter. Additionally, it is also required to disclose an average UK leverage ratio based on capital on the last day of each month in the quarter and an exposure measure for each day in the quarter.

As at 31 December 2025, the Barclays Bank PLC sub-consolidated leverage ratio was 5.8% which is above the minimum leverage ratio requirement of 3.5%.

Leverage ratio BBPLC sub-consolidated ¹		
As at 31 December	2025 £m	2024 £m
UK leverage ratio ³	5.8%	5.8%
T1 capital	56,465	54,713
UK leverage exposure	980,935	946,809
Average UK leverage ratio	5.2%	5.2%
Average T1 capital	56,406	54,645
Average UK leverage exposure	1,093,000	1,050,090

Notes

- 2024 comparatives for Capital, RWAs and leverage have been calculated applying the transitional arrangement in accordance with the CRR. This included IFRS 9 transitional arrangements and the grandfathering of certain capital instruments. Effective from 1 January 2025, these IFRS 9 transitional arrangements no longer applied. Effective from 29 June 2025, the grandfathered instruments no longer qualified as Tier 2 Capital.
- The Barclays Bank PLC Solo-consolidated and Barclays Bank PLC sub-consolidated CET1 ratios, as are relevant for assessing against the conversion triggers in Barclays Bank PLC AT1 securities (all of which are held by Barclays PLC), were 12.7% and 17.0% respectively, calculated without applying the transitional arrangements under UK CRR.
- Although the leverage ratio is expressed in terms of T1 capital, the countercyclical leverage ratio buffer (CCLB) and 75% of the minimum requirement must be covered solely with CET1 capital. The CET1 capital held against the 0.2% countercyclical leverage ratio buffer was £2.0bn.

Risk review

Risk performance

Treasury and Capital risk

Foreign exchange risk (audited)

The Barclays Bank Group is exposed to two sources of foreign exchange risk.

a) Transactional foreign currency exposure

Transactional foreign currency exposures represent exposures on banking assets and liabilities, denominated in currencies other than the functional currency of the transacting entity.

The Barclays Bank Group's risk management policies are designed to prevent the holding of significant open positions in foreign currencies outside the trading portfolio which is monitored through VaR.

Banking book transactional foreign exchange risk is monitored on a daily basis by the market risk function and minimised by the businesses.

b) Translational foreign exchange exposure

The Barclays Bank Group's investments in overseas subsidiaries and branches create capital resources denominated in foreign currencies, principally USD and EUR. Changes in the GBP value of the net investments due to foreign currency movements are captured in the currency translation reserve, resulting in a movement in shareholders' equity.

Functional currency of operations (audited)

	Foreign currency net investments £m	Borrowings which hedge the net investments £m	Derivatives which hedge the net investments £m	Structural currency exposures pre- economic hedges £m	Other Equity instruments £m	Remaining structural currency exposures £m
As at 31 December 2025						
USD	25,531	(2,914)	(2,141)	20,476	(5,450)	15,026
EUR	10,195	(3,018)	—	7,177	(1,310)	5,867
INR	1,486	—	(1,260)	226	—	226
JPY	544	(177)	—	367	—	367
Other	2,007	—	(918)	1,089	(1,127)	(38)
Total	39,763	(6,109)	(4,319)	29,335	(7,887)	21,448
As at 31 December 2024						
USD	27,742	(4,644)	(2,229)	20,868	(5,846)	15,023
EUR	9,559	(2,729)	—	6,830	(265)	6,565
INR	1,400	—	(992)	408	—	408
JPY	628	(215)	—	413	—	413
Other	2,037	—	(792)	1,245	(849)	396
Total	41,366	(7,588)	(4,013)	29,764	(6,960)	22,805

Other equity instruments relate to exposures arising on foreign currency denominated preference share and AT1 instruments. These instruments are accounted for at historical cost under IFRS and do not qualify as hedges for accounting purposes. The gain or loss arising from changes in the GBP value of these instruments is recognised on redemption in retained earnings.

During 2025, total structural currency exposure net of hedging instruments decreased by £1.4bn to £21.4bn (2024: £22.8bn). Foreign currency net investments decreased by £1.6bn to £39.8bn (2024: £41.4bn) driven predominantly by a £2.2bn decrease in US dollars offset by £0.6bn increase in Euro. The hedges associated with these foreign currency investments decreased by £1.2bn to £10.4bn (2024: £11.6bn).

Pension risk review

From 1 July 2025, the Barclays Bank UK Retirement Fund (UKRF) was amended to become a sectionalised scheme to meet the requirements of the Financial Services and Markets Act 2000 (Banking Reform) (Pensions) Regulations 2015, creating two separate sections - the Barclays Bank Section and the Barclays UK Section.

At the time of sectionalisation, the Barclays Bank Section represented approximately 91.5% of the Barclays Group's total retirement benefit obligations globally and is Barclays Bank Plc's principal defined benefit pension arrangement. Accordingly, this risk review focuses exclusively on the UKRF Barclays Bank Section.

The scheme is closed to new entrants and there is no new final salary benefit being accrued. Existing active members accrue a combination of a contributory cash balance benefit and a voluntary defined contribution element. Pension risk arises as the market value of the pension fund assets may decline, investment returns may reduce or the estimated value of the pension liabilities may increase.

Assets

The Trustee Board of the UKRF defines its overall long-term investment strategy with investments across a broad range of asset classes. This results in a diversified portfolio comprising both return seeking assets and liability matching assets, designed to better align with future pension obligations. The two most significant risks within the asset portfolio are exposure to credit spreads and growth assets. The split of scheme assets is shown within Note 30 to the financial statements. The fair value of the Barclays Bank Section assets was £20.9bn as at 31 December 2025 (2024¹: £21.9bn).

Liabilities

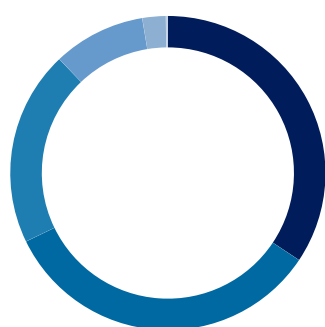
The Barclays Bank Section retirement benefit obligations are a series of future cash flows with relatively long duration. On an IAS 19 basis these cash flows are sensitive to changes in the expected long-term price inflation rate (RPI) and the discount rate (GBP AA corporate bond yield):

- An increase in long-term expected inflation corresponds to an increase in liabilities;
- A decrease in the discount rate corresponds to an increase in liabilities.

Pension risk is expected to reduce over time, reflecting the closure of the main defined benefit scheme to new entrants. The chart below illustrates the Barclays Bank Section's liability cash flow profile as at 31 December 2025, taking into account the future inflation-linked indexation of benefits payable to members. The majority of the liability cash flows (approximately 97%) fall within the next 40 years, with payments peaking between 0 and 10 years and declining thereafter. The precise shape of the cash flow profile is sensitive to changes in inflation and longevity expectations, as well as member behaviour, including transfers out of the scheme. Transfers out accelerate the timing of benefit payments and therefore bring forward the associated liability cash flows.

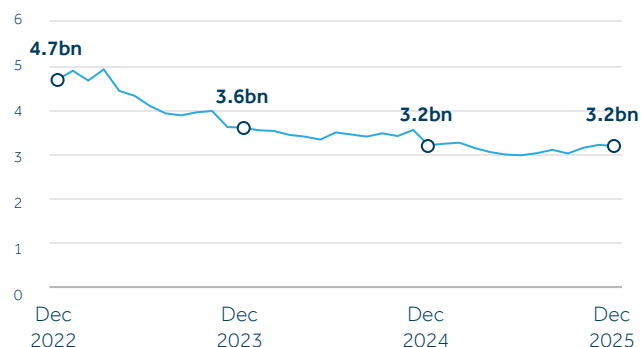
For more detail on the Barclays Bank Section's financial and demographic valuation assumptions see Note 30 to the financial statements.

Proportion of liability cash flows (%)



0-10 years	34.4
11-20 years	33.5
21-30 years	20.1
31-40 years	9.5
41-50 years	2.4
51+ years	0.2

IAS 19 pension position from 2022 to 2025 (£bn)¹



The graph above illustrates the movement in the UKRF Barclays Bank Section's net IAS 19 position over the past four years. In 2025, favourable market movements largely offset the proportional transfer out of the surplus resulting from sectionalisation. From 1 July 2025 onward, the figures shown relate solely to the Barclays Bank Section.

Note

¹ Figures prior to 1 July 2025 refer to the UKRF before sectionalisation

Refer to Note 30 to the financial statements for the sensitivity of the UKRF liabilities to changes in key assumptions.

Risk measurement

In line with Barclays' risk management framework, the assets and liabilities of the UK Retirement Fund (UKRF) Barclays Bank Section are modelled within a VaR framework to assess the volatility of the pension position at a total portfolio level. This approach enables the risks, diversification and liability matching characteristics of the Barclays Bank Section obligations and investments to be adequately captured. VaR is measured and monitored on a quarterly basis. Risks are reviewed and reported regularly at forums including the Barclays Bank Board Risk Committee, the Barclays Bank Risk Committee and the Pensions Executive Board. The VaR model takes into account the valuation of the liabilities on an IAS 19 basis (see Note 30 to the financial statements). The Trustee receives quarterly VaR measures on a funding basis.

The UKRF Barclays Bank Section pension liability is sensitive to post-retirement mortality assumptions, which are reviewed regularly (See Note 30 to the financial statements). To mitigate part of this risk the Barclays Bank Section has entered into longevity reinsurance contracts approximately 70% of current pensioner liabilities.

In addition, the impact of pension risk to the Barclays Bank PLC is taken into account as part of the stress testing process. Stress testing is performed internally at least on an annual basis. The UKRF exposure is also included as part of regulatory stress tests.

The Barclays Bank PLC's defined benefit pension schemes affect capital in two ways:

- An IAS 19 deficit is treated as a liability on the Barclays Bank Group's balance sheet. Movement in a deficit due to remeasurements, including actuarial losses, are recognised immediately through Other Comprehensive Income and as such reduce shareholders' equity and CET1 capital. An IAS 19 surplus is treated as an asset on the balance sheet and increases shareholders' equity; however, it is deducted for the purposes of determining CET1 capital.
- In the Barclays Bank Group's statutory balance sheet an IAS 19 surplus or deficit is partially offset by a deferred tax liability or asset respectively. These may or may not be recognised for calculating CET1 capital depending on the overall deferred tax position of the Barclays Bank Group at the particular time.

Pension risk is taken into account in the Pillar 2A capital assessment undertaken by the PRA at least annually. The Pillar 2A requirement forms part of the overall capital requirement for Barclays Bank PLC.

Risk review

Risk performance

Treasury and Capital risk

Interest rate risk in the banking book

All disclosures in this section, pages 235 to 237, are unaudited unless otherwise stated.

Overview

The treasury and capital risk framework covers interest rate sensitive exposures held in the banking book, mostly relating to accrual accounted and fair value through other comprehensive income (FVOCI) instruments. The potential volatility of net interest income (NII) is measured by an Annual Earnings at Risk (AEaR) metric which is monitored regularly and reported to senior management and the Barclays Bank PLC Board Risk Committee as part of the limit monitoring framework.

Summary of performance in the period

Barclays Bank PLC's strategy remains to stabilise income over time. The change in NII sensitivity during the year to a 25 basis points interest rate shock is due to changes in the composition of the banking book balance sheet and increased structural hedge duration reflecting the observed stability in deposit balances during the year.

Key metrics

-£33m

AEaR across the Barclays Bank Group from a +25bps shock to forward interest rate curves.

Net interest income sensitivity

The table below shows a sensitivity analysis on pre-tax net interest income for non-traded financial assets and liabilities, including the effect of any hedging. This analysis is not a forward guidance on NII and is intended as a quantification of risk exposure utilising the Net Interest Income (NII) metric as described on page 179 of the Barclays PLC Pillar 3 Report 2025 (unaudited), which includes documentation of the main model assumptions.

Net Interest Income sensitivity (AEaR) by currency (audited)	2025		2024	
	+25 basis points	-25 basis points	+25 basis points	-25 basis points
	£m	£m	£m	£m
Barclays Bank Group				
GBP	4	(6)	27	(28)
USD	(41)	41	(29)	29
EUR	(5)	4	(6)	6
Other currencies	9	(8)	(3)	3
Total	(33)	31	(11)	10

Net Interest Income sensitivity (AEaR) by currency (audited)	2025		2024	
	+25 basis points	-25 basis points	+25 basis points	-25 basis points
	£m	£m	£m	£m
Barclays Bank PLC				
GBP	(7)	7	21	(23)
USD	(43)	42	(29)	28
EUR	(10)	9	(7)	7
Other currencies	8	(8)	(4)	5
Total	(52)	50	(19)	17

Risk review

Risk performance

Treasury and Capital risk

Analysis of equity sensitivity

The analysis of equity sensitivity table measures the overall impact of a +/- 25bps movement in interest rates on retained earnings, FVOCI, cash flow hedge reserves and pensions. For non-NII items a DV01 metric is used, which is an indicator of the shift in value for a 1bp movement in the yield curve.

Analysis of equity sensitivity (audited)	31 December 2025		31 December 2024	
	+25 basis points	-25 basis points	+25 basis points	-25 basis points
	£m	£m	£m	£m
Barclays Bank Group				
Net interest income	(33)	31	(11)	10
Taxation effects on the above	8	(8)	2	(2)
Effect on profit for the year	(25)	23	(9)	8
As percentage of net profit after tax	(0.5%)	0.5%	(0.2%)	0.2%
Effect on profit for the year (per above)	(25)	23	(9)	8
Fair value through other comprehensive income reserve	(186)	193	(193)	200
Cash flow hedge reserve	(823)	823	(588)	588
Taxation effects on the above	283	(284)	219	(221)
Effect on equity	(751)	755	(571)	575
As percentage of equity	(1.2%)	1.2%	(1.0%)	1.0%

Analysis of equity sensitivity (audited)	31 December 2025		31 December 2024	
	+25 basis points	-25 basis points	+25 basis points	-25 basis points
	£m	£m	£m	£m
Barclays Bank PLC				
Net interest income	(52)	50	(19)	17
Taxation effects on the above	13	(12)	3	(3)
Effect on profit for the year	(39)	38	(16)	14
As percentage of net profit after tax	(0.9%)	0.8%	(0.3%)	0.3%
Effect on profit for the year (per above)	(39)	38	(16)	14
Fair value through other comprehensive income reserve	(186)	193	(196)	203
Cash flow hedge reserve	(718)	718	(489)	489
Taxation effects on the above	253	(255)	192	(194)
Effect on equity	(690)	694	(509)	512
As percentage of equity	(1.2%)	1.2%	(1.0%)	1.0%

Movements in the FVOCI reserve impact CET1 capital. However, movements in the cash flow hedge reserve and pensions remeasurement reserve recognised in FVOCI do not affect CET1 capital.

Risk review

Risk performance

Treasury and Capital risk

Volatility of the FVOCI portfolio in the liquidity pool

Changes in value of FVOCI exposures flow directly through capital via the FVOCI reserve. The volatility in the value of the FVOCI investments in the liquidity pool is captured and managed through a value measure rather than an earning measure, i.e. non-traded market risk VaR. Daily VaR is calculated using a historical simulation methodology with a one-year equally weighted historical period, at the 95% confidence level.

Although the underlying methodology to calculate the non-traded VaR is identical to the one used in traded management VaR, the two measures are not directly comparable. The non-traded VaR represents the volatility to capital driven by the FVOCI exposures. These exposures are in the banking book and do not meet the criteria for trading book treatment.

Analysis of volatility of the FVOCI portfolio in the liquidity pool						
	2025			2024		
	Average	High	Low	Average	High	Low
For the year ended 31 December	£m	£m	£m	£m	£m	£m
Non-traded market value at risk (daily, 95%)	42	55	26	56	66	45

Daily Value at Risk has been lower on an average in 2025 relative to 2024 driven by a combination of position changes and market volatility reduction.

All disclosures in this section, pages 238 to 240, are unaudited unless otherwise stated.

Overview

Operational risks are inherent in the Barclays Bank Group’s business activities and it is not cost effective or possible to attempt to eliminate all operational risks. The Operational Risk Framework is therefore focused on identifying operational risks, assessing them and managing them within the Barclays Bank Group’s approved risk appetite.

The Operational Risk principal risk comprises the following Risk Categories: Change Delivery Management Risk, Data and Records Management Risk; Financial Reporting Risk; Fraud Risk; Cyber & Information Security Risk; Operational Recovery Planning Risk; People Risk; Physical Security Risk; Premises Risk; Risk Reporting Risk; Supplier Risk; Tax Risk; Technology Risk and Transaction Processing Risk. The operational risk profile is also informed by a number of Connected Risks: Resilience, Third Party Service Provider and Model Connected Risk. These Connected Risks represent material threats to the Barclays Bank, which extend across multiple risk categories and therefore require a co-ordinated approach to overseeing the risk exposure and/or consolidated reporting.

For definitions of these risks refer to the Management of operational risk section of the Barclays PLC Pillar 3 Report 2025. To provide complete coverage of the potential adverse impacts on the Barclays Bank Group arising from operational risk, the operational risk taxonomy extends beyond the risks listed above to cover operational risks associated with other principal risks too.

This section provides an analysis of the Barclays Bank Group’s operational risk profile, including events above the Barclays Bank Group’s reportable threshold, which have had a financial impact in 2025. The Barclays Bank Group’s operational risk profile is informed by bottom-up risk assessments undertaken by each business unit and top-down qualitative review for each risk type. Fraud, Transaction Processing, Cyber and Information Security continue to be highlighted as key operational risk exposures.

For information on compliance risk events, see the compliance risk section.

Summary of performance in the period

During 2025, total operational risk losses increased to £66m (2024: £53m) and the number of recorded events for 2025 increased to 1,011 (2024: 923). The total operational risk losses for the year were mainly driven by events falling within the Execution, Delivery & Process Management and External Fraud categories, which tend to be high volume but low impact events.

Key metrics

78%	of the Barclays Bank Group’s net reportable operational risk events had a loss value of £50,000 or less
33%	of events by number are due to Execution, Delivery and Process Management
67%	of events by number are due to External Fraud
77%	of losses are from events aligned to Execution, Delivery and Process Management

Risk review

Risk performance

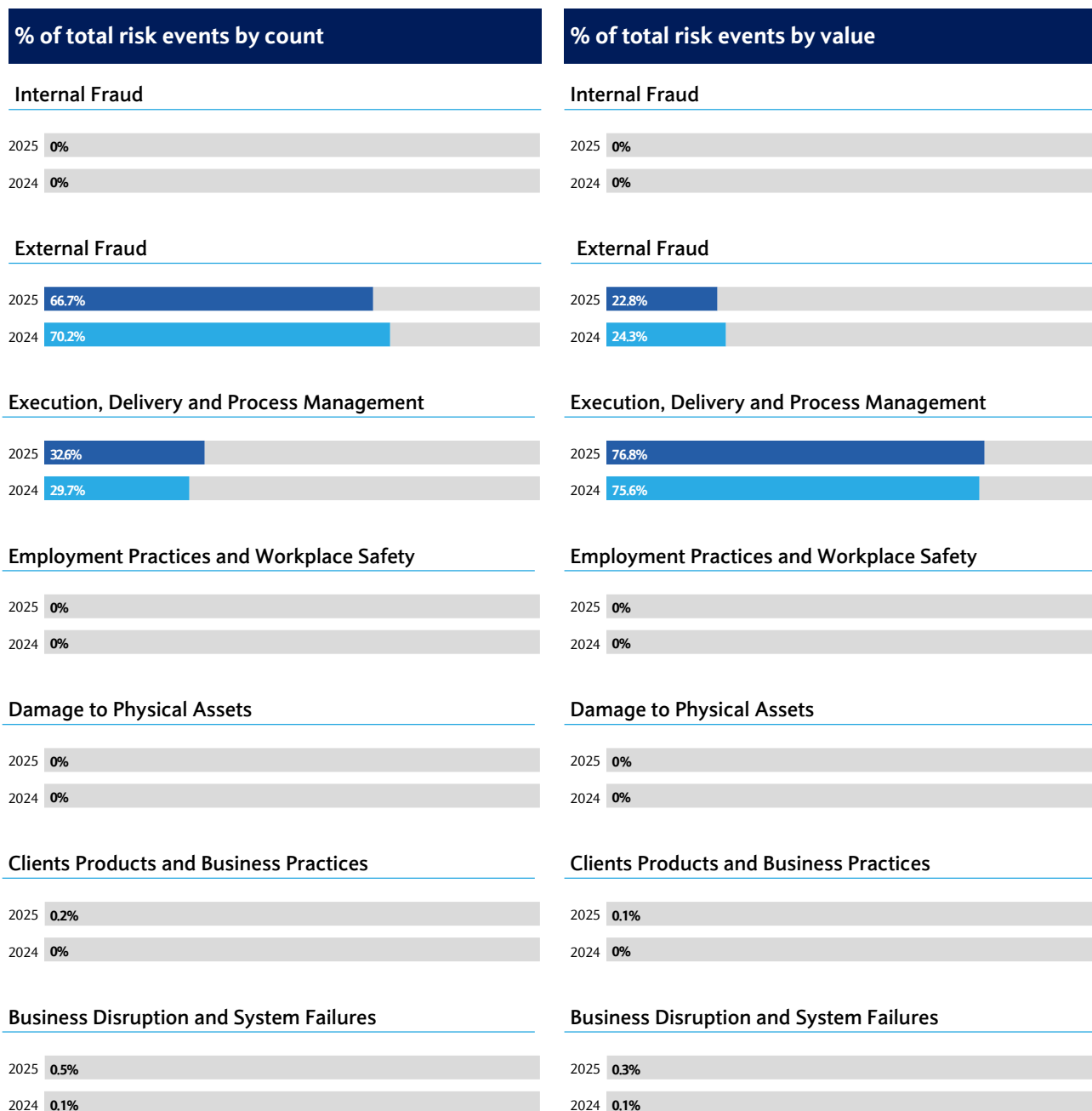
Operational risk

Operational risk profile

Within operational risk, there are a large number of small value risk events. In 2025, 78% (2024: 84%) of the Barclays Bank Group's reportable operational risk events by volume had a value of less than £50,000 each. Cumulatively, events under this £50,000 threshold accounted for only 20% (2024: 26%) of Barclays Bank Group's total net operational risk losses. A small proportion of operational risk events have a material impact on the financial results of the Barclays Bank Group.

The analysis below presents the Barclays Bank Group's operational risk events by Basel event category:

Operational risk events by Basel event category



Note

1 The data disclosed includes operational risk losses for reportable events impacting the Barclays Bank Group's business areas, having impact of >£10,000 and excludes Gain or Insurance Recovery impacts, events that are compliance or legal risk, aggregate and boundary events. A boundary event is an operational risk event that results in a credit risk impact. Due to the nature of risk events that keep evolving, data for prior year losses are updated.

- Execution, Delivery and Process Management impacts during 2025 increased to £51m (2024: £40m) and accounted for 77% of total operational risk losses (2024: 76%). The events in this category are typical of the banking industry as a whole

Risk review

Risk performance

Operational risk

where high volumes of transactions are processed on a daily basis, mapping mainly to Barclays Transaction Processing risk type. The overall frequency of events in this category in 2025 slightly increased to 33% of total events by volume (2024: 30%).

- External Fraud impacts during 2025 increased to £15m (2024: £13m) and accounted for 23% of total events by value (2024: 24%). Volume of events increased to 674 accounting for 67% of total event volume (2024: 648 / 70%). In this category, high volume, low impact events are driven by transactional fraud often related to debit and credit card usage. Note: Total External Fraud losses in 2025 including those from events with impact <£10,000 amounted to £60m (2024: £63m).

Fraud remains an industry-wide threat with criminals using varied techniques to target customers and colleagues directly (i.e., Third Party Fraud), or the Barclays Bank Group directly (i.e., First Party Fraud). In the UK and Europe, Authorised Push Payment (APP) Scams particularly continue to be a growing fraud type where customers are deceived to transfer funds from their account to a bad actor. The Barclays Bank Group continues to work closely with external partners on various fraud prevention initiatives and continues to improve the fraud control environment through focused investment in enhancing fraud prevention systems and tools to combat the increasing level of fraud attempts whilst minimising disruption to genuine transactions. Fraud can also be committed by one or more employees across the Barclays Bank Group (i.e. Internal Fraud or Unauthorised Trading Fraud) and the Barclays Bank Group maintains a robust control environment to limit exposure.

Operational resilience has remained a key area of focus for the Barclays Bank Group over the past year, with global events demonstrating that severe but plausible disruption is no longer theoretical. The evolving threat landscape, characterised by increasing cyber sophistication, geopolitical tension, supplier disruption and interconnected financial market infrastructures, highlights the need for resilience to be designed, embedded, tested and sustained across our important business services, if we are to avoid intolerable harm. The Barclays Bank Group remains committed to sustained and disciplined investment in end-to-end resilience capabilities, as expectations evolve and the external operating environment becomes increasingly complex.

Operational risk associated with cybersecurity remains a top focus for the Barclays Bank Group. The sophistication of threat actors continues to grow as noted by multiple external risk events observed throughout the year. Ransomware attacks across the global Barclays supplier base were observed and the bank worked closely with the affected suppliers to manage potential impacts to the Barclays Bank Group and its clients and customers. The Barclays Bank Group's cybersecurity incidents did not materially impact the Group's business strategy, results of operations, or financial condition and there were no material loss events associated with cybersecurity recorded within the event categories above.

The Barclays Bank Group businesses are highly dependent on its ability to process and monitor, on a daily basis, a very large number of transactions, many of which are highly complex and occur at high volumes and frequencies, across numerous and diverse markets in many currencies. Given the Barclays Bank Group's diverse customer base and geographical reach and the increase in volume, speed, frequency and complexity of transactions, especially electronic transactions (as well as the requirements to report such transactions on a real-time basis to clients, regulators and exchanges), developing, maintaining and upgrading operational systems and infrastructure becomes more challenging. The Barclays Bank Group continues to focus on automation and simplification programs to improve the overall control environment and manage the risk of processing errors as well as ensuring scalability of operations.

For further information, refer to the operational risk management section.

Risk review

Risk performance

Model risk

All disclosures in these model risk, compliance risk, reputation risk and legal risk sections on pages 241 to 244 are unaudited unless otherwise stated.

Model risk

The Barclays Bank Group is committed to continually improving model risk management and made a number of enhancements in 2025, including:

- Progressed with the established regulatory remediation programme to meet PRA's Supervisory Statement 1/23 Model risk management principles for banks. Key updates include enhancements to model development, validation and monitoring practices, establishment of additional roles and responsibilities with regards to model use, introduction of quantitative processes framework and defined monitoring framework principles and design.
- Introduced Artificial Intelligence(AI) Standard in support of the AI Policy, further developed of approach to AI validation, including Generative AI, and design of associated governance framework.
- Expanded model risk framework to provide transparency around risk themes (Data and Technology) outside the Model Risk Framework that may impact model outputs.

Risk review

Risk performance

Compliance risk

Compliance risk

Barclays Bank Group is committed to continuing to drive the right culture throughout all levels of the organisation. Barclays Bank Group will continue to enhance effective management of Compliance Risk and appropriately consider the relevant tools, governance and management information in decision-making processes. Focus on the management of Compliance Risk is ongoing and, alongside other relevant business and control management information, the Compliance Risk Dashboard is a key component of this.

Barclays Bank Group continues to review the role and impact of Compliance Risk events and issues in the remuneration process at both the individual and business level.

The Compliance Risk Taxonomy was refreshed and re-categorised into six core risks, namely wholesale conduct, customer protection, data privacy, regulatory compliance, product design and review and laws, rules and regulation risks. Financial Crime Risk was also separated into a standalone principal risk category, to reinforce the visibility and focus on this key area of risk to the business.

Businesses have continued to assess and prioritise the consideration of driving good customer outcomes as we deliver the Group's strategic change agenda. As part of the 2025 Medium-Term Planning Process material Compliance Risks associated with strategic and financial plans were assessed and businesses ensured that driving good outcomes for customers is at the heart of these plans.

Throughout 2025, Compliance Risks, including outcomes for our customers, were raised by each business area for consideration by the Barclays Bank PLC Board Risk Committee. The Committee reviewed the risks raised and whether management's proposed actions were appropriate to mitigate the risks effectively.

The Barclays Bank Group continued to incur costs in relation to litigation and conduct matters, please refer to Note 24 Legal, competition and regulatory matters and Note 22 Provisions, for further details. Costs include customer redress and remediation. Resolution of these matters remains a necessary and important part of delivering Barclays Bank Group's strategy and an ongoing commitment to improve oversight of culture and conduct.

The control environment and compliance risk profile, informed by the Compliance Risk Dashboards, are presented to the Barclays Bank PLC Board Risk Committee and senior management. The Compliance Risk Dashboards set out key indicators in relation to Compliance risk and continue to allow effective oversight and decision-making and ensure the Barclays Bank Group operates within Risk Appetite. Adherence to tolerances is assessed by the business through the key indicators as part of the Compliance Risk Dashboard governance process.

Barclays Bank Group remains focused on the continuous improvements being made to manage risk effectively with an emphasis on enhancing governance and management information to identify risk at earlier stages.

Financial Crime Risk

Barclays Bank Group is committed to driving a strong financial crime risk management culture across all levels of the organisation. Effective 1 January 2025, the Barclays Group elevated financial crime risk - incorporating anti-bribery and corruption, anti-money laundering (including terrorist financing), anti-tax evasion facilitation and sanctions risks (including proliferation financing) - to a principal risk within the Enterprise Risk Management Framework (ERMF), reflecting the evolving external threat landscape and regulatory expectations. During 2025, the financial crime principal risk was embedded, with financial crime and compliance risks being reported separately to the Barclays Bank PLC Board.

A key area of focus has been enhancing the financial crime control environment to address emerging threats and evolving laws, rules and regulations. Throughout 2025, the Barclays Bank PLC Board and relevant committees received updates on the Barclays Bank Group's financial crime risk profile and emerging risks in the context of the macroeconomic, regulatory and geopolitical outlook. These risks continue to be monitored on an ongoing basis.

Effective 1 January 2026, the combined Financial Crime Policy was replaced by four policies that set detailed requirements for managing anti-bribery and corruption, anti-money laundering, anti-tax evasion facilitation and sanctions risks. This approach supports differentiated reporting and oversight of risk management across the four financial crime risks.

To further embed financial crime as a principal risk, the Barclays Bank Group updated its financial crime risk appetite statement. Recognising the risk-based approach to financial crime risk management, Barclays financial crime risk appetite, approved by the Group Executive Committee, is that "Barclays has no appetite for Financial Crime Risk issues and events that are material, systemic, not promptly remediated, not reported to regulators in a timely manner where required, and/or are likely to result in regulatory enforcement".

The Barclays Bank Group continued to incur costs in relation to litigation and conduct matters, refer to Note 24 Legal, competition and regulatory matters and Note 22 Provisions for further details. Costs include customer redress and remediation, as well as fines and settlements. Resolution of these matters remains a necessary and important part of delivering the Barclays Bank Group's strategy and an ongoing commitment to improve oversight of culture and conduct.

Risk review

Risk performance

Reputation risk and legal risk

Reputation risk

Barclays Bank Group is committed to identifying reputation risks and issues as early as possible and managing them appropriately. At a Barclays Bank Group level throughout 2025, reputation risks and issues were overseen by the Barclays Bank PLC Board. The top live and emerging reputation risks and issues within the Barclays Bank Group are included within an over-arching quarterly report at the respective Board level.

The Barclays Bank PLC Board reviews reputation risks escalated by businesses and considered whether management's proposed actions, for example attaching conditions to proposed client transactions or increased engagement with impacted stakeholders, were appropriate to mitigate the risks effectively. The Board also received regular updates with regard to key reputation risks and issues, including: Barclays Bank Group's response to the cost of living crisis; Barclays Bank Group's association with sensitive sectors; access to banking; lending practices and the resilience of key Barclays systems and processes.

The Barclays Bank Group continued to incur costs in relation to litigation and conduct matters, please refer to Note 24 Legal, competition and regulatory matters and Note 22 Provisions, for further details. Costs include customer redress and remediation, as well as fines and settlements. Resolution of these matters remains an ongoing commitment to improve oversight of culture and conduct and management of reputation risks.

Legal risk

The Barclays Bank Group remains committed to continuous improvements in managing legal risk effectively. During 2025, the Group wide LRMF was updated in line with other Principal Risk Frameworks to provide consistency in the bank's risk management documentation. The Barclays Group wide LRMF continues to complement the CRMF (and described in more detail on page 154), which includes a requirement for the Legal Function to proactively identify, communicate and provide legal advice on applicable laws, rules and regulations.

Other improvements during 2025 included a review and update of the established supporting legal risk policies, standards and mandatory training, reinforced by ongoing engagement with and education of the Barclays Group's businesses and functions by Legal Function colleagues. Legal risk tolerances and legal risk appetite have also been reviewed.

Tolerances adherence is assessed through key indicators, which are also used to evaluate the legal risk profile and are reviewed, at least annually, through the relevant risk and control committees. Mandatory controls to manage legal risks are set out in the legal risk standards and are subject to ongoing monitoring. The CRMF referred to above (and described in more detail on page 154) also mitigate legal risk.

Risk review

Supervision and regulation

Supervision of the Barclays Bank Group

The Barclays Bank Group's operations, including its overseas branches, subsidiaries and associates, are subject to a large number of rules and regulations applicable to the conduct of banking and other financial services business in each of the jurisdictions in which the Barclays Bank Group operates. These apply to business operations, impact financial returns and include capital, leverage and liquidity requirements, authorisation, registration and reporting requirements, restrictions on certain activities, and conduct of business regulations, amongst other applicable regulatory requirements.

Regulatory developments in one or more jurisdictions may impact the Barclays Bank Group globally. We focus particularly on UK, US and EU regulation in this Report due to the location of the Barclays Bank Group's principal areas of business. Regulations elsewhere may also have a significant impact on the Barclays Bank Group due to the location of its branches, subsidiaries and, in some cases, clients. For more information on the risks related to the supervision and regulation of the Barclays Bank Group, including regulatory change, see the material existing and emerging risk titled 'Regulatory Change agenda and impact on Business Model' in the Material existing and emerging risks section.

Supervision in the UK

In the UK, day-to-day regulation and supervision of the Barclays Bank Group is divided between the Prudential Regulation Authority (PRA) (a division of the Bank of England (BoE)) and the Financial Conduct Authority (FCA). In addition, the Financial Policy Committee (FPC) of the BoE has influence on the prudential requirements that may be imposed on the banking system through its powers of direction and recommendation. Certain members of the Barclays Bank Group are also subject to regulatory initiatives undertaken by the UK Payment Systems Regulator (PSR), as a participant in payment systems regulated by the PSR.

The Government is proposing that the FCA take on all of the PSR's responsibilities and relevant members of the Group will continue to be subject to payment supervision by the FCA when this transfer of powers comes into effect. Members of the Group may also be subject to claims managed by the Financial Ombudsman Service (FOS) which, whilst not a regulator, provides a means of redress in customer disputes without the involvement of the UK courts. In July 2025, the FCA consulted on modernising the redress system administered by the FOS with the aim of identifying areas of duplication and/or complexity and improving the role that the FOS plays in customer disputes. Barclays Bank PLC is an authorised person, with permission to accept deposits, amongst other things, and is subject to prudential supervision by the PRA and to conduct regulation and supervision by the FCA.

Barclays Bank PLC is subject to prudential supervision on a solo-consolidated basis. The Barclays Group as a whole is also subject to prudential supervision by the PRA on a group consolidated basis. Barclays PLC has been approved by the PRA as a financial holding company.

Barclays Capital Securities Limited (BCSL), which provides clients with access to equities and equity financing services across European and Asian markets, is authorised and subject to prudential supervision by the PRA as a PRA-designated investment firm and is subject to conduct regulation and supervision by the FCA.

Certain members of the Barclays Bank Group are regulated on a solo basis by the FCA, including Barclays Investment Solutions Limited and Barclays Asset Management Limited.

Barclays Execution Services Limited and Barclays Global Service Centre Private Limited are both appointed representatives of Barclays Bank PLC. These are arrangements under which the appointed representative is permitted to carry on certain regulated activities in the UK which its principal takes responsibility for and oversees. Appointed representative arrangements must comply with certain statutory and FCA rules, including on prescribed contractual terms and ongoing monitoring and supervision of the appointed representative by the principal.

The PRA's supervision of the Barclays Bank Group is conducted through a variety of regulatory tools, including the collection of information by way of prudential returns or cross-firm reviews, reports obtained from skilled persons, information gathering, stress testing, regular supervisory visits and regular continuous assessment meetings with the Barclays Bank Group's management and relevant stakeholders to discuss matters such as strategy, governance, controls, financial resilience, operational resilience, risk management, and recovery and resolution.

Further, the BoE, as the UK resolution authority, informs prudential requirements and sets requirements for the Barclays Group relating to resolution preparedness.

The FCA's supervision of the UK firms in the Barclays Bank Group is carried out through a combination of proactive engagement meetings, regular supervisory visits, information gathering and regular meetings with the Barclays Bank Group's management and relevant stakeholders to discuss matters such as business and customer strategy, fair treatment of customers, and financial crime controls, as well as cross-sectoral reviews which analyse the different areas of the market and the risks that may lie ahead.

Risk review

Supervision and regulation

The FCA and the PRA also apply the Senior Managers and Certification Regime (the SMCR) which imposes a regulatory approval, individual accountability and fitness and propriety framework in respect of senior individuals within relevant firms.

FCA supervision has focused on strategic transformation, financial crime controls, conduct risk and customer/client outcomes under the consumer duty (which now applies to both open and closed products), firm culture and non-financial misconduct, fraud controls and reimbursement, access to cash, the fair treatment of vulnerable customers, operational resilience (including cyber risk), the controls framework and payment account access and closures.

PRA supervision has focused on strategic transformation, financial and operational resilience (including cyber risk), governance, capital risk management, model risk management, data risk management, systems and controls, climate risk and resolvability, where resolvability is reviewed in conjunction with the Resolution Directorate (a division of the BoE).

Both the PRA and the FCA apply standards that generally either anticipate or go beyond requirements established by global or EU standards, whether in relation to capital, leverage and liquidity, resolvability and resolution or matters of conduct. The UK is in the process of reviewing, repealing and, where relevant, replacing the EU legislation that was onshored into UK law following the UK's departure from the EU (known as "assimilated law"). The Financial Services and Markets Act 2023 (FSMA 2023) established a framework for the revocation of assimilated law relating to financial services. However, the Government is not expected to revoke assimilated law relating to financial services unless the FCA and/or PRA have drafted and consulted on rules in the relevant areas, where it is appropriate that the provisions are replaced.

There is a significant volume of assimilated law for the UK Government to repeal and replace, so this process remains ongoing and the regulatory landscape continues to develop. There is potential for an increase in regulatory implementation costs to adapt systems and controls as a result of these developments, although areas of divergence from assimilated law have been limited to date.

FSMA 2023 also introduced the framework for the 'designated activities regime' (DAR). The DAR framework allows HM Treasury to designate certain activities which do not require regulatory authorisation to carry them out, but which are currently subject to FCA and PRA supervision under assimilated law. In January 2025, the Financial Services and Markets Act 2000 (Designated Activities) (Supervision and Enforcement) Regulations 2025 came into effect. These Regulations give the FCA supervisory and enforcement powers in respect of short selling and consumer composite investment activities.

Supervision in the EU

The Barclays Bank Group's operations in the EU are authorised and regulated by a combination of its home regulators and host regulators in the EU countries where the Barclays Bank Group operates.

Barclays Bank Ireland PLC is licensed as a credit institution by the Central Bank of Ireland (CBI) and is therefore subject to supervision by the CBI as home state or competent authority under various EU financial services directives and regulations. It is further designated as a significant institution falling under direct supervision on a solo basis by the European Central Bank (ECB) for prudential purposes.

Barclays Bank Ireland PLC's EU branches are also subject to direct supervision for local conduct purposes by national supervisory authorities in the EU jurisdictions where they are established. Barclays Bank Ireland PLC is subject to the requirements set by the Single Resolution Board (SRB) as its resolution authority.

The Barclays Group provides the majority of its cross-border banking and investment services to EEA clients via Barclays Bank Ireland PLC (a subsidiary of Barclays Bank PLC). Additionally, Barclays Bank PLC and BCSL are authorised in certain EEA Member States to enable them to continue to conduct a limited range of activities without a physical presence, including accessing EEA trading venues and interdealer trading. Directive (EU) 2024/1619 (CRD VI) contains a prohibition on providing core banking services, such as lending and deposit-taking into the EU from a third country entity, subject to certain exemptions. These CRD VI changes are currently pending Member State implementation from January 2026 and should enter into force in the majority of jurisdictions from January 2027. As a result of CRD VI, Barclays Bank PLC and BCSL may be limited in their ability to provide certain core banking services into the EU from January 2027. Barclays Bank PLC has a branch in Paris (to facilitate access to TARGET 2), which is regulated by the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and will also be subject to new regulatory requirements under CRD VI.

On 21 January 2026, Barclays Bank Ireland PLC announced that it had commenced the implementation of its plan to re-domicile its registered office from Dublin to Paris, which is to be effected by changing its corporate form to a Societas Europaea followed by a transfer of its registered office. The change of corporate form will be effected via a court approved merger process, which commenced in Q4 2025 and is expected to complete in Q4 2026. Following completion of the merger, Barclays Bank Ireland PLC (then to be named, with effect from completion of the merger, Barclays Europe SE) intends to apply for the relocation of its registered office to Paris. Following this re-domiciliation, Barclays Europe SE would be subject to supervision by the ACPR, the Autorité de Marchés Financiers and the European Central Bank. The re-domiciliation is subject to certain conditions, including the approval of those regulators. It is expected to be completed in H1 2027.

Risk review

Supervision and regulation

Supervision in the US

Barclays PLC, Barclays Bank PLC and its New York branch, and Barclays Bank PLC's US subsidiaries are subject to a comprehensive regulatory framework involving numerous statutes, rules and regulations in the US. For example, the Barclays Bank Group's US activities and operations are subject to supervision and regulation by the Board of Governors of the Federal Reserve System (FRB), as well as additional supervision, requirements and restrictions imposed by other federal and state regulators and self-regulatory organisations (SROs). In some cases, US requirements may impose restrictions on the Barclays Bank Group's global activities, in addition to its activities in the US.

Barclays PLC, Barclays Bank PLC, Barclays US Holdings Limited (BUSHL), Barclays US LLC (BUSL), and Barclays Group US Inc. (BGUS) are regulated as bank holding companies (BHCs) by the FRB. BUSL is the Barclays Bank Group's ultimate US holding company that holds substantially all of the Barclays Bank Group's US subsidiaries (including Barclays Capital Inc. (BCI) and Barclays Bank Delaware). BUSL is subject to requirements in respect of capital adequacy, capital planning and stress testing, risk management and governance, liquidity, leverage limits, large exposure limits, restrictions on activities and financial regulatory reporting. Barclays Bank PLC's New York branch is also subject to enhanced prudential standards relating to, among other things, liquidity and risk management.

Barclays PLC, Barclays Bank PLC, BUSHL and BUSL have financial holding company (FHC) status under the Bank Holding Company Act of 1956. FHC status allows these entities to engage in a variety of financial and related activities, directly or through subsidiaries, including underwriting, dealing and market making in securities. Failure to maintain FHC status could result in increasingly stringent penalties and, ultimately, in the closure or cessation of certain operations in the US.

In addition to oversight by the FRB, Barclays Bank PLC's New York branch and many of the Barclays Bank Group's subsidiaries are regulated by additional US authorities based on the location or activities of those entities. The New York branch of Barclays Bank PLC is subject to supervision and regulation by the New York State Department of Financial Services (NYDFS). Barclays Bank Delaware, a Delaware chartered bank, is subject to supervision and regulation by the Delaware Office of the State Bank Commissioner, the Federal Deposit Insurance Corporation (FDIC), the FRB and the Consumer Financial Protection Bureau (CFPB). The deposits of Barclays Bank Delaware are insured by the FDIC, up to applicable limits. Barclays PLC, Barclays Bank PLC, BUSHL, BUSL, and BGUS are required to act as a source of strength for Barclays Bank Delaware. This could, among other things, require these entities to provide capital support to Barclays Bank Delaware if it fails to meet applicable regulatory capital requirements.

The Barclays Bank Group's US securities broker/dealer and investment banking operations are conducted primarily through BCI, and are also subject to ongoing supervision and regulation by the Securities and Exchange Commission (SEC), the Financial Industry Regulatory Authority (FINRA) and other government agencies and SROs under US federal and state securities laws. BCI is also registered as a Futures Commission Merchant with the Commodity Futures Trading Commission (CFTC), through which the Barclays Group conducts its US futures and options on futures business, including client clearing operations, which are subject to ongoing supervision and regulation by the CFTC, the National Futures Association and other SROs.

Under the US framework for regulating swaps and security-based swaps established under Title VII of the Dodd-Frank Act, the CFTC has regulatory authority over swaps, the SEC has regulatory authority over security-based swaps, and the CFTC and SEC jointly regulate mixed swaps (as such terms are defined in the relevant legislation). The Barclays Group's activities related to US swaps and security-based swaps are principally conducted by Barclays Bank PLC and are subject to ongoing supervision and regulation by the CFTC and the SEC, respectively. Barclays Bank PLC is registered as a swap dealer with the CFTC and conditionally registered as a security-based swap dealer with the SEC. Barclays Bank PLC is also subject to the FRB swaps rules with respect to margin and capital requirements. In addition, Barclays Bank Ireland PLC is registered as a swap dealer with the CFTC and is subject to the FRB swaps rules with respect to margin and capital.

Supervision in Asia Pacific, Middle East and Africa

The Barclays Bank Group's operations in Asia Pacific, Middle East and Africa are supervised and regulated by a broad range of national banking and financial services regulators.

Prudential regulation

Prudential regulation in the UK

Certain Basel III standards were originally implemented in EU and UK law through the Capital Requirements Regulation (CRR) and the Capital Requirements Directive IV (CRD IV), as amended by CRR II and CRD V. These standards were retained in the UK regulatory framework via a series of onshoring instruments when the UK withdrew from the EU. Under the assimilated law version of the CRR (the UK CRR), the Barclays Group is subject to a binding Pillar 1 minimum capital requirement to satisfy a Common Equity Tier 1 (CET1) ratio of 4.5% of risk-weighted assets (RWAs), a Tier 1 capital ratio of 6.0% of RWAs and a total capital ratio of 8.0% of RWAs. However, in practice the Barclays Group is required to and does hold capital significantly in excess of this requirement. Additional capital requirements apply to the Barclays Group including Pillar 2A minimum requirements and capital buffers, including the capital conservation buffer (CCB), the countercyclical capital buffer (CCyB), the other systemically important institutions (O-SII) buffer and the global systemically important institutions (G-SII) buffer, as well as PRA buffer requirements (the Pillar 2B), as explained further below.

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Supervision and regulation

Global systemically important banks (G-SIBs), such as the Barclays Group, are subject to a number of additional prudential requirements, including the requirement to hold additional loss-absorbing capacity and additional capital buffers (including via the G-SII buffer requirement) above the level otherwise required by Basel III standards.

The Barclays Group is subject to a 'combined buffer requirement' consisting of (i) a CCB of 2.5% of RWAs, (ii) systemic risk buffers (G-SII and O-SII buffers) and (iii) a CCyB of 1% of RWAs. The level of the G-SII buffer is set by the PRA which follows the Basel Committee on Banking Supervision G-SIB framework. The G-SII buffer ranges from 1% to 3.5% of RWAs in line with a bank's systemic importance and must be met with CET1 capital. On 27 November 2025, the FSB published an update to its list of G-SIBs, maintaining the 1.5% G-SII buffer that applies to the Barclays Group. The CCyB is used to help ensure capital levels respond to the risk environment. By increasing the CCyB when vulnerabilities are judged to be building up, the FPC seeks to ensure banks have an additional cushion of capital with which to absorb potential losses, enhancing their resilience and helping to ensure the stable provision of financial services. The CCyB is composed of UK and overseas elements, set by authorities in individual jurisdictions. In the UK, the CCyB rate is set by the FPC and is calculated by reference to banks' relevant UK exposures. The CCyB rate applicable to the Barclays Group is currently 1%. Like the CCB, the CCyB must be met entirely with CET1 capital.

The PRA requires UK firms to hold additional capital to cover risks which the PRA assesses are not fully captured by the Pillar 1 capital requirement. The PRA sets this additional capital requirement (Pillar 2A) at least annually, derived from each firm's individual capital guidance. Under current PRA rules, the Pillar 2A requirement must be met with at least 56.25% CET1 capital, no more than 43.75% additional Tier 1 (AT1) capital and no more than 25% tier 2 capital. In addition, the capital that firms use to meet their minimum requirements (Pillar 1 and Pillar 2A) cannot be counted towards meeting the combined buffer requirement. In February and October 2025, the PRA issued two policy statements (PS2/25 and PS18/25) regarding changes to the Pillar 2A capital framework, including retiring the refined methodology for calculating Pillar 2A requirements in light of incoming proposals to implement Basel III standards (discussed further below) and streamlining firm-specific capital communications. In January 2026, the final rules retiring the refined methodology to Pillar 2A were published as part of PS2/26.

The PRA may also impose a confidential 'PRA buffer' to cover risks over a forward looking planning horizon, including with regard to firm-specific stresses or management and governance weaknesses. The PRA buffer must be met separately to the combined buffer requirement, and must be met fully with CET1 capital.

On 2 December 2025, the FPC published its assessment of the appropriate level of capital requirements for the UK banking system. The FPC judged that the appropriate benchmark for the system-wide level of tier 1 capital is now at around 13% of RWAs, compared with 14% of RWAs in 2015.

Barclays Bank PLC is subject to prudential regulation by the PRA on a solo-consolidated basis and is required to meet a minimum Common Equity Tier 1 (CET1) ratio of 10.4% comprising a 4.5% Pillar 1 requirement, a 2.5% capital conservation buffer, a 0.8% countercyclical buffer and a 2.6% Pillar 2A add on.

On 22 April 2025, the PRA announced that it will introduce new rules that require firms to manage their step-in risk, that is, the risk which a bank incurs when it provides financial support to an unconsolidated entity that is facing stress in the absence of, or in excess of, any contractual obligations to provide such support. The PRA's supervisory statement concerning step-in risk takes effect from 1 January 2026 and will require firms to put in place policies and processes to identify and evaluate their relationship with certain unconsolidated entities where they act as a sponsor, invest in their debt or equity, or have other contractual or non-contractual exposures that lead them to be exposed to the performance of the entity. Additionally, they must consider whether there are any indicators of significant step-in risk in relation to those entities that have been assessed as being material and determining whether mitigating action is needed when significant step-in risk is identified.

In December 2023, the PRA published its first collection of near-final policy proposals for implementing certain remaining Basel III standards (Basel 3.1), including revised frameworks for market risk, operational risk and Credit Valuation Adjustment (CVA) risk. A second policy statement was published by the PRA in September 2024, including near-final rules on credit risk and credit risk mitigation, the implementation of an output floor (requiring reported RWAs calculated under standardised and modelled approaches to be a minimum of 72.5% of fully standardised calculations), and disclosure and reporting. The implementation date for these standards has been extended to 1 January 2027, with a transitional period to ensure full implementation by 1 January 2030. In addition, with effect from 1 January 2026, the PRA has made amendments to the Own Funds and Eligible Liabilities (CRR) Part and Definition of Capital Part of the PRA Rulebook, among others, to assimilate provisions of the onshored CRR into the PRA Rulebook, with certain changes. Further, on 28 October 2025, through PS 19/25, the PRA issued "near final" provisions proposed to take effect on 1 January 2027. As well as transposing certain UK CRR provisions into the PRA Rulebook, including those on securitisation, groups and consolidation, settlement risk and counterparty credit risk, with accompanying changes to PRA guidance, the near-final provisions implement a number of policy changes, in particular in relation to securitisation. In January 2026, through PS3/26, the PRA published the final policy materials and confirmed that there is no substantive difference between these and the near final rules published as part of PS19/25. In PS1/26, the PRA announced that it is taking forward adjustments to the implementation of the comprehensive amendments to the market risk framework under Basel 3.1, known as the Fundamental Review of the Trading Book (FRTB), and is seeking to implement the majority of these changes from 1 January 2027 (except the introduction of a new internal model approach (FRTB-IMA), the implementation of which will be delayed to 1 January 2028).

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Supervision and regulation

PRA CP14/24 proposed certain changes to the large exposures (LE) framework. A number of the proposals took effect on 1 January 2026. The PRA has removed the option for firms to exempt exposures to the UK deposit guarantee scheme (DGS) for large exposure limits, as well as the option for firms to use immovable property as credit risk mitigation (CRM) for large exposure purposes and it has eliminated the stricter requirements on large exposures to certain French counterparties. The PRA is expected to finalise the remaining proposals in CP14/24 in 2026. These proposals include (i) removing the possibility for firms to use internal model (IM) methods to calculate exposure values to securities financing transactions (SFTs), (ii) amending the limits to trading book exposures for third-party exposures and for intra-group exposures and (iii) introducing a mandatory substitution approach to calculate the effect of the use of CRM techniques.

Additional minimum prudential requirements that apply to the Barclays Group to ensure that sufficient resources are maintained to provide loss absorption in a resolution context are discussed in the sub-section titled 'TLAC and MREL' below.

In May 2025, the PRA published a policy statement (PS6/25), amending Supervisory Statement SS5/21, on its approach to the supervision of international firms. Although the policy statement is primarily relevant to non-UK banks and investment firms, parts of the policy statement are also relevant to UK banks and set out the PRA's updated expectations regarding their booking model arrangements.

Prudential regulation in the EU

In the EU, Barclays Bank Ireland PLC is subject to CRR and CRD, each as amended, which implement the Basel III framework. Under this framework, Barclays Bank Ireland PLC is identified as an O-SII by the CBI, which has imposed an O-SII buffer on Barclays Bank Ireland PLC of 1%.

The implementation of the final part of Basel III (Basel 3.1) is effected through CRR III which has applied since January 2025, save for those provisions relating to the Fundamental Review of the Trading Book (or FRTB), which have been deferred until January 2027 by the European Commission through a Delegated Regulation. The European Commission is also consulting on the approach for implementing the FRTB. The European Banking Authority (EBA) has issued a no-action letter recommending that competent authorities not prioritise enforcement of the new boundaries of the trading book. Given the most recent revision to the timetable for the implementation of Basel 3.1 in the UK to January 2027 (which was triggered by uncertainties in relation to the US implementation), this currently aligns the EU with the UK. The EU implementation otherwise largely follows Basel 3.1 and has significant overlap with the proposed UK rules, save for important divergences, for example on certain exposure classes, risk weights and application of models.

The European Commission has also proposed a new approach to securitisation from a prudential perspective with a view to stimulating the market in securitised products.

Prudential regulation in the US

In the US, the Barclays Bank Group (including BUSL) is subject to prudential requirements for large domestic US banking organisations, foreign banking organisations and their intermediate holding companies (IHCs) set by the FRB and other US regulatory agencies. BUSL is a "Category III" IHC. BUSL (and Barclays Bank Delaware) is subject to reduced (calibrated at 85%) standardised liquidity requirements, including the liquidity coverage ratio and the net stable funding ratio (NSFR).

BUSL is also subject to the FRB's rules regarding single counterparty credit limits (SCCL). The SCCL apply to the largest US BHCs and foreign banks' (including the Barclays Bank Group's) US operations. The SCCL creates two separate limits for foreign banks, the first on combined US operations (CUSO) and the second on the US IHC (BUSL). The SCCL for BUSL, as a US BHC, requires that exposure to an unaffiliated counterparty of BUSL not exceed 25% of BUSL's tier 1 capital. With respect to the CUSO, the SCCL rule allows certification to the FRB that a foreign bank complies with comparable home country regulation.

Barclays Bank PLC has complied with the CUSO requirement since 1 January 2022. To date, Barclays Bank PLC has not relied on home country certification.

Stress testing

The Barclays Group and certain of its members, including Barclays Bank PLC, are subject to supervisory stress testing exercises in a number of jurisdictions, designed to assess the resilience of banks to adverse economic or financial developments and ensure that they have robust, forward-looking capital planning processes that account for the risks associated with their business profile. Assessment by regulators is on both a quantitative and qualitative basis, the latter focusing on such elements as data provision and stress testing capability, including model risk management and internal management processes and controls.

Recovery and Resolution

Stabilisation and resolution framework

The current UK framework for recovery and resolution was established by the Banking Act 2009, as amended. The EU framework was established by the 2014 Bank Recovery and Resolution Directive (BRRD), as amended by BRRD II.

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The BoE, as the UK resolution authority, has the power to resolve a UK financial institution that is failing or likely to fail by exercising certain stabilisation tools, including (i) bail-in: the cancellation, transfer or dilution of a relevant entity's equity and write-down or conversion of the claims of a relevant entity's unsecured creditors (including holders of capital instruments) and conversion of those claims into equity as necessary to restore solvency; (ii) the transfer of all or part of a relevant entity's business to a private sector purchaser; and (iii) the transfer of all or part of a relevant entity's business to a "bridge bank" controlled by the BoE. When exercising any of its stabilisation powers, the BoE must generally provide that shareholders bear first losses, followed by creditors in accordance with the priority of their claims in insolvency.

In order to enable the exercise of its stabilisation powers, the BoE may impose a temporary stay on the rights of creditors to terminate, accelerate or close out contracts, or override events of default or termination rights that might otherwise be invoked as a result of a resolution action and modify contractual arrangements in certain circumstances (including a variation of the terms of any securities). HM Treasury may also amend the law for the purpose of enabling it to use its powers under this regime effectively, potentially with retrospective effect.

In addition and distinct from bail-in, the BoE has the power to permanently write-down, or convert into equity, tier 1 capital instruments, tier 2 capital instruments and internal eligible liabilities at the point of non-viability of an institution pursuant to broader resolution powers under the Banking Act.

The BoE's preferred approach for the resolution of the Barclays Group is a bail-in strategy with a single point of entry at Barclays PLC. Under such a strategy, Barclays PLC's subsidiaries (including entities within Barclays Bank Group) would remain operational while Barclays PLC's capital instruments and eligible liabilities would be written down or converted to equity in order to recapitalise the Barclays Group and allow for the continued provision of services and operations throughout the resolution. The order in which the bail-in tool is applied reflects the hierarchy of capital instruments under applicable UK legislation and rules, and otherwise respecting the hierarchy of claims in an ordinary insolvency. Accordingly, the more subordinated the claim, the more likely losses will be suffered by owners of the claim.

The PRA has made rules that require authorised firms to draw up recovery plans and resolution packs. Recovery plans are designed to outline credible actions that authorised firms could implement in the event of severe stress in order to restore their business to a stable and sustainable condition. The submission of resolution packs was suspended by the PRA in 2018 until further notice and replaced by annual resolution reporting. It continues to be suspended pending PRA assessment of areas of potential duplication between different reporting expectations. The Barclays Group, however, is required to provide the PRA with a recovery plan periodically, although the Barclays Group maintains and refreshes this on an annual basis.

Removal of potential impediments to an orderly resolution of a banking group or one or more of its subsidiaries is considered as part of the BoE's resolution planning for each firm, and the BoE can require firms to make significant changes in order to enhance their resolvability through exercising its various powers to direct to address any firm relevant issues. Under the BoE's Resolvability Assessment Framework (RAF), firms are required to have in place capabilities covering three resolvability outcomes: (i) adequate financial resources; (ii) being able to continue to do business through resolution and restructuring; and (iii) being able to communicate and co-ordinate within the firm and with authorities. Barclays Group's second self-assessment report on resolvability under the RAF was submitted to the PRA/BoE in 2023 and the BoE's assessment on the report was published in August 2024. The BoE identified that there were no shortcomings, deficiencies or substantive impediments in the Barclays Group's capabilities that could impede Barclays' ability to execute the preferred resolution strategy. The BoE did note that there were three areas for further enhancement relating to the provision of timely valuations, in respect of operational continuity in resolution relating to the inclusion of resolution-resilient language in service contracts, and restructuring planning. Barclays is taking steps to ensure that these enhancements are made as part of Barclays' broader commitment to further embed, test and refine the Group's resolution capabilities and operational preparedness for resolution. In January 2025, amendments to the PRA rules were introduced that require firms to make submissions under the relevant resolution rules on a 'periodic' basis rather than the previous fixed two-year cycles (PS1/25). The BoE and PRA require firms to submit their next resolution self-assessment in 2026, with a public disclosure to be made in 2027.

While regulators in many jurisdictions have indicated a preference for single point of entry resolution for the Barclays Group, additional resolution or bankruptcy provisions may apply to certain non-UK Barclays Bank Group entities or branches.

In the EU, Barclays Bank Ireland PLC is required by the ECB to submit a standalone BRRD compliant recovery plan on an annual basis. As a Significant Institution under direct ECB supervision, Barclays Bank Ireland PLC falls within the remit of the Single Resolution Board (SRB). Under the provisions of the BRRD and EU Single Resolution Mechanism Regulation (SRMR), the SRB is required to determine the optimal resolution strategy for Barclays Bank Ireland PLC and, also, to prepare a resolution plan for the bank. The SRB undertakes this work within the context of the BoE's preferred resolution strategy of single point of entry with bail in at Barclays PLC. In order to carry out its mandate, the SRB collects detailed structural and other information from Barclays Bank Ireland PLC on a regular basis, as well as engaging with the bank to identify and address impediments to resolution. This work is done in coordination with the BoE, as the Barclays Group's resolution authority. Barclays Bank Ireland PLC meets the SRB's requirements for resolution as set out in the SRB's 'Expectations for Banks'.

In April 2023, the European Commission also proposed certain reforms to strengthen the EU's bank crisis management and deposit insurance (CMDI) framework, including extending depositor protection to public entities and client money deposited

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in certain types of client funds. The EU legislative process remains ongoing and the future of this proposal is not yet clear in the new legislative cycle of 2024-2029.

In the US, Title I of the Dodd-Frank Act (DFA), as amended, and the implementing regulations issued by the FRB and the FDIC require each foreign-based bank holding company with assets of \$250bn or more, including those within the Barclays Group, to prepare and submit a plan for the orderly resolution of subsidiaries and operations that are domiciled in the US or conducted in whole or material part in the US in the event of future material financial distress or failure. The Barclays Group submitted a “targeted plan” in December 2021. The agencies did not identify any shortcomings or deficiencies with the Barclays Group’s 2021 US Resolution Plan. In August 2024, the FRB and FDIC finalised new guidance for foreign triennial full filers (such as the Barclays Group) that would affect the content required to be included in the US Resolution Plan. The final guidance generally represents an expansion of the current 165(d) resolution planning guidance applicable to the Barclays Group. The Barclays Group submitted its “full” US Resolution Plan in respect of its US operations on 1 October 2025.

BUSL may also be resolved under the Orderly Liquidation Authority established by Title II of the DFA, a regime for the orderly liquidation of systemically important financial institutions by the FDIC, as an alternative to proceedings under the US Bankruptcy Code. In addition, the licensing authorities of Barclays Bank PLC New York branch and of Barclays Bank Delaware have the authority to take possession of the business and property of the applicable branch or entity they license and/or to revoke or suspend such license.

TLAC and MREL

The Barclays Group is under the supervision of the BoE, as the UK resolution authority, and is subject to a Minimum Requirement for Own Funds and Eligible Liabilities (MREL), which includes a component reflecting the FSB’s standards on total loss absorbing capacity (TLAC).

Since 1 January 2022, G-SIBs with resolution entities incorporated in the UK have been required to meet an MREL equivalent to the higher of: (i) two times the sum of their Pillar 1 and Pillar 2A requirements; or (ii) the higher of two times their leverage ratio requirement or 6.75% of leverage exposures. The Barclays Group is also required to meet binding external MREs in 2025 on the basis of a bail-in resolution strategy comprising a binding minimum capital requirement of 12.8% of RWAs, MREL of 25.7% of RWAs, and a loss-absorbing capacity (MREL plus buffers) of 30.5% of RWAs. Internal MREL for material subsidiaries is subject to a scalar in the 75-90% range of the external requirement that would apply to the subsidiary if it were a resolution entity. On 15 July 2025, the BoE published a policy statement on amendments to its statement of policy (the MREL SoP) regarding its approach to setting MREL, which took effect on 1 January 2026. The focus of the amendments is consolidation and simplification through the restatement (where appropriate and with modifications) of provisions relating to TLAC in the MREL SoP. Barclays Bank Ireland PLC is subject to the SRB’s MREL policy, as issued in May 2024, in respect of the internal MREL that it will be required to issue to the Barclays Group. The SRB’s current calibration of internal MREL for non-resolution entities is expressed as two ratios that have to be met in parallel: (a) two times the sum of: (i) the firm’s Pillar 1 requirement; and (ii) its Pillar 2 requirement; and (b) two times the leverage ratio requirement. The SRB’s policy does not apply any scalar in respect of the internal MREL requirement. Under the SRB MREL policy, a bank specific adjustment and a market confidence charge can be applied by the SRB to MREL requirements. Since 1 January 2024, a revised deduction regime applies for the indirect subscription of instruments eligible for internal MREL to avoid the double-counting of MREL elements at the level of intermediate entities within a resolution group.

In the US, the FRB’s TLAC rule includes provisions that require BUSL to have: (i) a specified outstanding amount of eligible long-term debt; (ii) a specified outstanding amount of TLAC (consisting of common and preferred equity regulatory capital plus eligible long-term debt); and (iii) a specified common equity buffer. In addition, the FRB’s TLAC rule prohibits BUSL, for so long as the Barclays Group’s overall resolution plan treats BUSL as a non-resolution entity, from issuing TLAC to entities other than those within the Barclays Group.

The Financial Services Compensation Scheme (FSCS)

The UK has a statutory compensation fund called the Financial Services Compensation Scheme (FSCS), which is intended to protect customers on the failure of authorised financial services firms, and which is funded by way of annual levies on most authorised firms. The maximum cover under the FSCS in relation to a deposit is £120,000 per eligible depositor per bank.

The Bank Resolution (Recapitalisation) Act 2025 introduced a new option for funding the continuity of banking services through the recapitalisation of a failing firm. The funds needed for recapitalisation may now be provided by the FSCS at the direction of the Bank of England and subsequently recouped via a levy on firms. This option may support the sale of all, or part, of the firm to a private sector purchaser or a transfer to a bridge bank, where that is judged to be in the public interest. This expands the functions of the FSCS in relation to the failure of deposit takers beyond enabling the making of compensation payments to eligible depositors of failed banks to include enabling the making of recapitalisation payments where required to do so by the Bank of England acting as resolution authority.

Structural reform

In the UK, the Financial Services (Banking Reform) Act 2013 put in place a framework for ring-fencing certain operations of large banks. Ring-fencing requires, among other things, the separation of the retail and SME deposit-taking activities of UK

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banks from wholesale and investment banking operations into a legally distinct, operationally separate and economically independent entity (i.e. a 'ring-fenced bank'), which is not permitted to undertake a range of activities. Under FSMA, the PRA is required to review its ring-fencing rules every five years following the rules coming into force, with the first report having been published in January 2024. The PRA intends to consult in due course on targeted reforms to its ring-fencing rules as a result of its review, although the overall conclusion was that most of those rules are performing satisfactorily. Separately, HM Treasury has introduced legislative amendments to implement near-term reforms to the ring-fencing regime which took effect in February 2025. These reforms have, amongst other measures, increased the core deposit threshold (which determines whether a UK bank is subject to the ring-fencing regime) from £25bn to £35bn, exempted predominantly retail-focused banks from the ring-fencing regime by introducing a secondary threshold (referred to as the trading assets exemption), permitted ring-fenced banks to establish branches and subsidiaries outside of the UK or the EEA (subject to PRA rules) and introduced a new four-year transition period for UK non-ring-fenced banks to comply with the ring-fencing regime following mergers or acquisitions. In the UK Chancellor's 2025 Mansion House speech the UK Government committed to meaningful reform of the UK's ring-fencing regime, with HM Treasury confirming it will undertake a short review of the ring-fencing regime, working with the BoE and reporting into the Economic Secretary to HM Treasury. The review will focus on allowing ring-fenced banks to provide more products and services to UK businesses, addressing inefficiencies in how ring-fencing is applied to banking groups, and examining the case for allowing banks to share resources and services more flexibly across the ring-fence. The review is expected to report by early 2026.

In the EU, structural reform is taking the form of further integration of the banking union and on the financial markets side the Savings and Investment Union (SIU), which intends to further consolidate and integrate financial and capital markets in the EU. This will coincide with an increasing focus on legislation by way of directly applicable regulations and the intended transfer of further supervisory powers to the European Supervisory Authorities (ESAs), including, in particular, the European Securities and Markets Authority (ESMA). Aside from the SIU, which consists of a number of initiatives, structural reform in the EU will also occur through the Retail Investment Strategy (RIS), which intends to incentivise further retail investment in the EU. Under the RIS, retail investors should receive a higher level of investor protection, the use of inducements will be limited, information to client will focus on value for money over less tangible aspects and there will be increasing efforts to improve financial literacy and crack down on financial influencers and other unregulated investment advisers.

US regulation places further substantive limits on the activities that may be conducted by banks and holding companies, including foreign banking organisations such as the Barclays Group. The 'Volcker Rule', which was part of the DFA and which came into effect in the US in 2015, prohibits banking entities from undertaking certain proprietary trading activities and limits such entities' ability to sponsor or invest in certain private equity funds and hedge funds (in each case broadly defined). As required by the rule, the Barclays Group has developed and implemented an extensive compliance and monitoring programme addressing proprietary trading and covered fund activities (both inside and outside of the US).

Market infrastructure regulation

In recent years, regulators as well as global-standard setting bodies such as the International Organization of Securities Commissions (IOSCO) have focused on improving transparency and reducing risk in markets, particularly risks related to over-the-counter (OTC) derivative transactions. This focus has resulted in a variety of new regulations across the G20 countries and beyond that require or encourage on-venue trading, clearing, posting of margin and disclosure of pre-trade and post-trade information.

The wholesale financial markets in the EU are facing reform to further harmonise supervision of financial markets and market infrastructure and integrate the approach to the EU financial markets under the Markets in Financial Instruments Directive and Markets in Financial Instruments Regulation (collectively referred to as MiFID II), which will affect how the Barclays Bank Group transacts with counterparties and customers in the EU and how it packages its investment services. Various aspects of MiFID II and related legislation have been subject to change as a result of the EU's ongoing focus on regulatory simplification and the development of the SIU, with a goal of increasing the involvement of investors in the EU financial markets. As part of this, in December 2025 the European Commission announced its plan for the further development of capital market integration and supervision within the EU, which will lead to significant central securities depositories (CSDs), central counterparties (CCPs) and trading venues being subjected to direct supervision by the ESMA. This follows the trend of granting ESMA supervisory powers over key market infrastructure parties, such as trade repositories, consolidated tape providers and credit rating agencies.

In the UK, FSMA 2023 introduced reforms to remove certain requirements which were previously applicable to trading in wholesale markets and to promote investment in line with the Wholesale Markets Review. Other changes, for example on trade transparency requirements have been progressed by way of amendments to regulatory rules and guidance and an FCA review of the UK transaction reporting regime is underway.

Regulation of the derivatives market

The European Market Infrastructure Regulation (EMIR) imposes requirements in the EU and the UK which are designed to improve transparency and reduce the risks associated with the derivatives market. EMIR has operational and financial impacts on the Barclays Bank Group, including by imposing collateral requirements on the Barclays Bank Group, as well as a requirement to centrally clear certain OTC derivatives contracts with certain market participants. Following the UK's departure from the EU, EMIR rules were onshored into English law and now form part of UK assimilated law (UK EMIR).

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Access to the clearing services of certain Central Counterparties (CCPs) used by Barclays Bank Group entities is currently permitted under temporary equivalence and recognition regimes in the UK and the EU. In the UK, the temporary recognition regime for non-UK CCPs has now been extended until the end of December 2027. Targeted amendments to the UK EMIR reporting framework were implemented in September 2024, which aimed to align the regime with international guidance (where appropriate). In August 2025, the PRA published a policy statement on amendments to trade repository reporting requirements under UK EMIR. The implementation date for these changes is 26 January 2026.

In the EU, access to the clearing services of certain non-EU CCPs used by Barclays Bank Group entities is permitted through recognised third country CCPs. For UK CCPs, this recognition is currently envisaged to end on 30 June 2028. In April 2024, amendments to the EU EMIR reporting requirements (relating to the details and formats of reports, for example) introduced by regulatory and implementing technical standards under the EMIR REFIT Regulation took effect. Further proposals to amend the EU EMIR framework (Regulation (EU) 2024/2987 and Directive (EU) 2024/2994, referred to collectively as EMIR 3) came into force on 24 December 2024. The changes introduced by EMIR 3 seek to reduce the reliance and exposure to third-country CCPs and enhance the competitiveness of CCPs in the EU. EMIR 3 will require EU entities to clear a representative amount of their trades through EU authorised CCPs, as part of the new “active account” regime which requires certain financial and non-financial counterparties exceeding the clearing threshold in defined categories of derivative contracts to hold at least one clearing account at CCPs authorised in the EU. These changes aim to reduce the concentration of exposures to systemically important UK CCPs in particular, but other EMIR 3 changes will also apply. For example, EMIR 3 will amend the intragroup transactions definition, removing the need for equivalence decisions to have been issued, which may make it easier to rely on the relevant intragroup exemptions in respect of clearing and margin requirements.

US regulators have imposed similar rules as in the EU with respect to the mandatory on-venue trading and clearing of certain derivatives, and post-trade transparency, as well as in relation to the margining of OTC derivatives.

In December 2017, the CFTC and the European Commission recognised the trading venues of each other’s jurisdiction to allow market participants to comply with mandatory on-venue trading requirements while trading on certain venues recognised by the other jurisdiction. In August 2024, the CFTC extended temporary relief that would permit trading venues and market participants located in the UK to continue to rely on this mutual recognition framework following the withdrawal of the UK from the EU.

Certain participants in US swap markets are required to register with the CFTC as ‘swap dealers’ or ‘major swap participants’ and/or, with the SEC as ‘security-based swap dealers’ or ‘major security-based swap participants’. Such registrants are subject to CFTC and/or SEC regulation and oversight. Barclays Bank PLC is registered with the CFTC as a swap dealer and conditionally registered with the SEC as a security-based swap dealer. In addition, Barclays Bank Ireland PLC is registered as a Swap Dealer with the CFTC.

Accordingly, Barclays Bank PLC and Barclays Bank Ireland PLC are both subject to CFTC rules on business conduct, record-keeping and reporting, and Barclays Bank PLC is subject to SEC rules on business conduct, record-keeping and reporting. However, since Barclays Bank PLC and Barclays Bank Ireland PLC are non-US swap dealers, and Barclays Bank PLC is a non-US security-based swap dealer, whether and the extent to which such CFTC or SEC requirements apply to any particular swap transaction may depend on whether the counterparty to such swap transaction is a US person or guaranteed by or affiliated with a US person, or whether the transaction is arranged, negotiated, or executed by US-based Barclays personnel. Additionally, Barclays Bank PLC and Barclays Bank Ireland PLC have elected to comply with certain CFTC/SEC requirements, as applicable, through ‘substituted compliance’ with EU/UK requirements pursuant to relevant determinations and related relief issued by the CFTC and the SEC, as applicable.

Barclays Bank PLC and Barclays Bank Ireland PLC are subject to FRB rules on capital and margin.

In 2024, the CFTC adopted amendments to its capital and financial reporting requirements for swap dealers. The new rules codify certain no-action relief and add specificity as to existing reporting requirements.

Other significant regulatory developments in the US

In 2024, the standard settlement cycle in the U.S. for most broker-dealer transactions in securities was shortened from two business days after the trade (T+2) to one business day after the trade (T+1). The UK and EU markets will seek to introduce similarly shortened settlement cycles.

On 13 October 2023, the SEC adopted new rules to establish broad reporting requirements of the terms of securities loans to FINRA for public dissemination, and requiring FINRA to make publicly available certain information it receives regarding those lending transactions. On the same day, the SEC also adopted new rules requiring a wide range of firms to file monthly reports with the SEC for large short positions in equity securities on a new Form SHO and amendments to the National Market System plan governing the Consolidated Audit Trail, which adds an additional reporting requirement for CAT-reporting firms relying on the bona fide market maker exception to Reg SHO’s locate requirement. These reporting rules (with respect to the securities lending and monthly large short positions reporting requirements, but not the bona fide market maker identifier) were successfully challenged in court, and have been remanded to allow the agency to consider the

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rules' cumulative impact. On 3 December 2025, the SEC provided an extension of the compliance dates for large short position reporting to 2 January 2028 and for securities lending reporting to 28 September 2028.

On 13 December 2023, the SEC adopted rule amendments under the Exchange Act that, among other things, will mandate central clearing of certain US Treasury securities transactions and amend the broker-dealer customer protection rule as it applies to margin posted for certain transactions in US Treasury securities. These rule amendments could impose additional costs on the Barclays Bank Group's Treasury securities trading activity. Although there is some discussion as to whether deadlines for implementation might be extended, the amended rule's compliance date has been extended to 31 December 2026 for cash transactions and 30 June 2027 for repurchase transactions.

On 18 September 2024, the SEC unanimously amended certain rules under Regulation NMS (National Market System) to adopt variable minimum pricing increments, reduce access fee caps for protected quotations, and require that the amount of exchange fees and rebates be determinable at the time of execution, among other changes. The rule survived a recent challenge and the SEC has extended the compliance timelines for the amendments regarding the minimum pricing increment and access fee caps until November 2026 and the exchange fee determinability rule until February 2026.

On 20 December 2024, the SEC adopted amendments to the broker-dealer customer protection rule to require certain broker-dealers to perform their reserve computations for accounts of customers and proprietary accounts of broker-dealers and make any required deposits into their reserve bank accounts daily rather than weekly. As a result of the amendments, BCI will be required to adjust its existing processes to move from a weekly to a daily computation. The compliance date for the rule change was initially 31 December 2025; however, the SEC has extended the compliance date until 30 June 2026.

Other regulation

Consumer protection, non-financial misconduct, SMCR reform, account closures and push payment fraud

The FCA's consumer duty has effect in relation to new and existing products or services that are open to sale or renewal, as well as closed products and services. The duty sets higher expectations for the standard of care that firms provide to retail customers and impacts all aspects of Barclays' retail businesses, including every retail customer journey, product and service as well as Barclays Bank Group's relationships with partners, suppliers and third parties. There are ongoing costs for the industry as a result of extensive monitoring and evidential requirements in respect of the consumer duty. The FCA has engaged with the industry on streamlining its rules in light of the introduction of the consumer duty, and will continue to look for opportunities to streamline requirements and reduce complexity for businesses. The consumer duty remains a priority for the FCA for its supervision of the retail banking industry and its expectations for firms to embed the consumer duty into their culture and purpose continue in 2026.

Other areas of strategic priority for the FCA's supervision include the fair treatment of customers in financial difficulty, access for customers to payment accounts and banking services (discussed further below), compliance with operational resilience rules, the continued management of financial crime and fraud risks, and the role of banks in developing sustainable finance offerings and the importance of ensuring that sustainability-related claims associated with products are clear, fair and not misleading. The FCA is consulting on an industry-wide compensation scheme for motor finance customers who were treated unfairly, following the landmark Supreme Court judgement in *Johnson v FirstRand Bank Ltd (London Branch) (t/a MotoNovo Finance)* [2025] UKSC 33. In *Johnson*, the Supreme Court found that an unfair relationship under the Consumer Credit Act 1974 existed between a motor finance lender and its customer, based on the particular facts of the case.

The final terms of the compensation scheme remain uncertain pending responses to the FCA's consultation paper and publication of the FCA's Policy Statement and final scheme rules, which is currently expected in early 2026. Accordingly, the legal and regulatory outcomes and the nature, extent and timing of any remediation action, if required, remain uncertain.

On 12 December 2025, following its 2 July 2025 consultation paper (CP25/18), the FCA published its policy statement in relation to tackling non-financial misconduct in financial services (PS25/23). The policy statement provides firms with more power to take robust action against serious misconduct and provides further clarity on situations where non-financial misconduct amounts to a breach of the FCA's rules. The new guidance comes into force on 1 September 2026 alongside the new FCA rule explicitly covering bullying, harassment and violence.

In July 2025, the PRA and the FCA both released consultation papers (CP18/25 and CP25/21) regarding SMCR reform, including allowing greater flexibility for firms where unexpected or temporary changes in management are required. The UK government is also considering the abolition of the certification regime to replace this with a more proportionate approach.

HM Treasury previously announced plans to increase the notice period for closing accounts to 90 days and introduce a requirement to provide reasons for the decision to exit (save in financial crime exits), which have now been enshrined through statutory instrument (*The Payment Services and Payment Accounts (Contract Termination)(Amendment) Regulations 2025*) that are to take effect from April 2026.

FSMA 2023 contains provisions mandating that the Payment Systems Regulator (PSR) and any successor regulator (including, as described above, the potential transfer of the PSRs functions to the FCA) require the reimbursement of authorised push payment scams by payment service providers, including Barclays. This new reimbursement requirement

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took effect in October 2024. It has imposed a maximum reimbursement limit of £85,000 with costs split 50:50 between the sending and receiving firms. Similar but less stringent rules will apply in the EU with the expected adoption in 2026 of the proposed amendment to the Payment Services Directive and the new Payment Services Regulation (together known as PSD3).

In the EU, new initiatives such as the proposed Regulation on Financial Data Access (FIDA) establish a framework on data sharing between financial institutions at the initiative of customers, allowing financial institutions to better tailor products and services.

In the US, changing federal enforcement priorities and legal interpretations regarding diversity and inclusion programmes present unknown and evolving risks.

Data protection

Most jurisdictions where the Barclays Bank Group operates have adopted or are considering comprehensive laws concerning data protection and privacy. Regulations regarding data protection are increasing in number, as well as levels of enforcement, as manifested in increased amounts of fines and the severity of other penalties. We expect that personal privacy and data protection will continue to receive attention and focus from regulators, as well as public scrutiny and attention. As the global data protection regulatory landscape continues to evolve, non-compliance with applicable requirements may result in regulatory fines and other penalties. In response to ongoing legal and regulatory developments, the Barclays Bank Group will continue to assess potential regulatory nexus arising from its operational and geographic footprint.

The EU's General Data Protection Regulation (GDPR) and the UK's General Data Protection Regulation (UK GDPR) provide a framework of rights and duties designed to safeguard personal data and apply to the activities conducted from an establishment in the EU or the UK, respectively. The extraterritorial effect of the GDPR and the UK GDPR means entities established outside the EU or the UK may fall respectively within the GDPR or the UK GDPR's ambit when offering goods or services to EU/UK based customers or clients or conducting behavioural monitoring of individuals in the EU/UK. The UK's Data (Use and Access) Act 2025 (DUAA) became law on 19 June 2025, with the first provisions coming into force on 19 August. One of the effects on the DUAA is a divergence between the EU GDPR and UK GDPR, including the threshold approach to international data transfers, and more flexible rules for automated decision-making. Most provisions of the EU's Data Act (Regulation (2023/2854) came into effect on 12 September 2025. The Act aims to enhance the availability and reuse of data generated by consumers and businesses, particularly from connected products and related services, by granting users easier access to their data and enabling share between service providers.

The data regime in China is likely to continue to evolve, governing the collection, processing and cross-border transfers of China-based individuals' personal data and restricted data as defined in national and sectoral rules (e.g., macro/derived characteristics data which, if tampered with, divulged or destroyed, may endanger China's economic operation, social stability, national security - among other things - having regard to the volume and granularity of the data). In India, the implementation rules of the Digital Personal Data Protection Act, 2023 (namely Digital Personal Data Protection Rules, 2025) has been published on 13 November 2025 to fully implement the Act in 2027 in a phased manner for a robust mechanism of privacy protection and rights. Except under certain exemptions, its scope would include the processing of personal data in India and would extend to the processing of, and offering goods and services to, India-based individuals outside of India.

In the US, Barclays Bank Delaware is subject to the US Gramm-Leach-Bliley Act (GLBA) and the California Consumer Privacy Act of 2018, as amended by the California Privacy Rights Act of 2020 (CPRA). The GLBA limits the use and disclosure of non-public personal information to non-affiliated third parties, and requires financial institutions to provide written notice of their privacy policies and practices and implement certain information security policies and practices. Any violations of the GLBA could subject Barclays Bank Delaware to additional reporting requirements or regulatory investigation or audits by the financial regulators. More broadly, the Barclays Bank Group's US operations are subject to the CPRA which applies to personal information that is not collected, processed, sold or disclosed subject to the GLBA. The CPRA requires applicable members of the Barclays Bank Group to both provide California residents with additional disclosures regarding the collection, use and sharing of personal information and grant California residents access, deletion, correction and other rights, including the right to opt-out of certain sales or transfers of personal information and the right to limit the processing of sensitive personal information to certain purposes. Additionally, in September 2025, the California Privacy Protection Agency amended the CPRA regulations, with various implementation deadlines through 2028. The amended CPRA regulations contain significant updates, including compliance obligations for use of automated decision making technologies to make a significance decision (including financial, lending and employment-related decisions) about a consumer, risk assessment obligations and requirements to conduct cybersecurity audits. Any violations of the CPRA may be subject to enforcement by the California Privacy Protection Agency and the California Attorney General and the imposition of monetary penalties, as well as potential lawsuits arising from the private right of action provided to California residents in the case of certain data breaches. Bills proposed in the United States Congress and in the legislatures of various US states from time to time, if enacted, may have further impact on the data privacy practices of Barclays' US operations. In addition, all 50 states have laws including obligations to provide notification of security breaches of computer databases that contain personal information to affected individuals, state officers and others.

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In May 2024, the SEC adopted amendments to expand the scope of and introduce new requirements under Regulation S-P, a set of privacy rules adopted pursuant to the GLBA and the Fair and Accurate Credit Transactions Act of 2003 that govern the treatment of non-public personal information about consumers by certain financial institutions, including BCI. In addition to expanding the scope of customer information protected under Regulation S-P's safeguards and disposal rules, the amendments will require covered financial institutions to (i) develop, implement and maintain written policies and procedures for an incident response programme reasonably designed to detect, respond to and recover from unauthorised access to or use of customer information, (ii) notify individuals whose sensitive customer information was, or is reasonably likely to have been, accessed or used without authorisation as soon as practicable, but not later than 30 days, after becoming aware that an incident has or is reasonably likely to have occurred and (iii) establish, maintain and enforce written policies and procedures reasonably designed to require oversight and monitoring of service providers, including by requiring relevant service providers to provide notification to the covered institution as soon as possible, but no later than 72 hours, after becoming aware of a breach in security has occurred resulting in unauthorised access to a customer information system maintained by the service provider.

In October 2024, the CFPB released its final rule titled "Required Rulemaking on Personal Financial Data Rights" as required to implement Section 1033 of the Consumer Financial Protection Act of 2010. The final rule requires banks, credit unions and other financial service providers that meet the definition of covered data providers to make covered data regarding covered products and services available in an electronic form to consumers and authorised third parties, subject to a number of requirements. The final rule also sets out criteria a third party must satisfy in order to be an authorised third party and therefore access consumers' data, including certifying to the relevant consumer it will satisfy certain obligations regarding the collection, use and retention of covered data and obtaining express and informed consumer consent. Compliance with this rule will be phased in over several years, with the first set of requirements taking effect from 1 April 2026, and with Barclays Bank Delaware becoming subject to the rule on 1 April 2027. However, in August 2025, the CFPB released an Advanced Notice of Proposed Rulemaking, titled "Personal Financial Data Rights Reconsideration", to seek comments related to implementation of Section 1033, and, in October 2025, the US District Court for the Eastern District of Kentucky issued a preliminary injunction preventing the CFPB from enforcing the Required Rulemaking on Personal Financial Data Rights while the rule is reconsidered.

Finally, jurisdictions are increasingly enacting data localisation laws that require certain categories of data to be stored within specific geographic boundaries or not be accessible in certain specified foreign jurisdictions or by certain foreign actors. For example, the Department of Justice's final rule implementing Executive Order 14117 prohibits or restricts certain transactions that may enable access by countries of concern or covered persons to US Government-related data or Americans' bulk sensitive personal data. In a review of its cross-border data transfer process, Barclays Bank Group found no transactions implicated by the rule and is implementing measures to ensure continued compliance with the rule.

Cybersecurity, cryptoassets and operational resilience

Regulators globally continue to focus on cybersecurity risk management, organisational operational resilience and overall soundness across all financial services firms, with customer and market expectations of uninterrupted access to financial services remaining at an all-time high.

The regulatory focus has been further heightened by the increasing number of high-profile ransomware and other supply chain attacks seen across the industry in recent years and the growing reliance of financial services on Cloud and other third party service providers. This is evidenced by the continuing introduction of new laws and regulatory frameworks directed at enhancing resilience of both firms and their critical third party providers. The UK operational resilience framework introduced in March 2021 requires in-scope firms to identify their important business services, set impact tolerances metrics for the maximum tolerable level of disruption for each important business service, and carry out an annual self-assessment of the firm's operational resilience, which is approved by the board and informed by the firm's scenario testing regime. In December 2024, the FCA and the PRA each published a consultation paper (CP24/28 and CP17/24 respectively) on proposals for firms to report operational incidents and their material third party arrangements to enhance the operational resilience framework. The FCA's consultation period ended in March 2025 and we are still expecting publication of its finalised rules. The PRA has stated that the proposed implementation date for its proposals will be no earlier than the second half of 2026.

The UK Government's response to its consultation on proposed legislative measures on ransomware was published in July 2025, considering proposals for the introduction of a ransomware payment prevention regime and mandatory incident reporting. It is unclear at this stage whether or how these proposals will be reflected in legislation and/or regulation, but if progressed they would constitute the first specific measures in UK law to counter ransomware payment.

On 17 July 2024, the Basel Committee on Banking Supervision (BCBS) finalised revisions to the prudential framework for banks' exposures to cryptoassets. The standards set out minimum requirements, which means implementation by BCBS members may result in stricter standards that may include outright prohibition in bank dealings in certain cryptoassets. Implementation of the standards by member jurisdictions, including the PRA and BoE, was expected by 1 January 2026, although the BCBS announced in November 2025 that it intends to conduct a further, targeted review of the standards. Furthermore, on 6 November 2023, the PRA published a 'Dear CEO' letter setting out its expectations for deposit-takers which plan to introduce innovations in the use of deposits, e-money and regulated stablecoins. In this letter, the PRA provided that deposit-taking entities must only provide innovations in digital money to retail customers in the form of

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deposits, and any issuance of e-money or regulated stablecoins to retail customers must be done from separate non-deposit taking entities within the banking group. Separately, amendments to the Money Laundering, Terrorist Financing and Transfer of Funds (Information on the Payer) Regulations 2017 (MLRs) have brought cryptoassets within the scope of AML restrictions, including customer due diligence requirements and the FATF travel rule. Banks must therefore comply with these requirements when facilitating transactions in cryptoassets. The Financial Services and Markets Act 2000 (Cryptoassets) Regulations 2026 will introduce new regulated activities in relation to certain categories of cryptoassets from 25 October 2027, and enable the FCA to issue directions, guidance and rules in advance of full commencement on 25 October 2027.

FSMA 2023 introduced a new regime for designated critical third party providers (CTPs). In November 2024, the FCA, PRA, and BoE jointly released the final rules and expectations for designated CTPs with the final rules having taken effect from 1 January 2025. Whilst the new rules apply to designated CTPs themselves, there may be additional impact and costs for the Barclays Bank Group incurred in connection with updating existing supplier arrangements to reflect the new CTP requirements where suppliers are designated as critical CTPs.

The EU's Digital Operational Resilience Act (DORA) entered into force in January 2023 and has applied from 17 January 2025, introducing comprehensive and sector specific regulation on Information Communication Technologies (ICT) incident reporting, testing and third party risk management, and provides for direct oversight of critical third party providers servicing the EU financial services sector. Firms which do not meet the regulations under DORA can face significant fines and other regulatory measures. Particularly for systemic banks, (digital) operational resilience and cybersecurity are at the forefront of the ECB's and other supervisory authorities' priorities.

The EU's Network and Information Security (NIS) Directive, which aimed to improve the resilience of network and information systems in the EU against cybersecurity risks, has been updated. The revised version, NIS2, applies from 18 October 2024 and imposes stricter security, governance and incident reporting requirements. Failure to comply can lead to significant fines and senior manager liability among other things. By 17 April 2025, EU member states were required to identify and list the specific entities that fall within the scope of NIS2. The extraterritorial effect of NIS2 means entities established outside the EU may fall within its ambit if providing certain services in the EU. The UK's original NIS Directive was transposed into UK law under the NIS Regulations 2018. These regulations are set to be strengthened under the new Cyber Security and Resilience Bill, which was introduced to Parliament on 12 November 2025. The Bill aims to enhance national resilience by expanding the scope of the regulations to cover more digital services and supply chains, increase incident reporting, and grant regulators greater powers to collect information and investigate potential vulnerabilities.

In 2023, the SEC adopted disclosure rules regarding cybersecurity risk management, governance and incident reporting by US-listed companies, including foreign private issuers such as Barclays PLC and Barclays Bank PLC. Pursuant to those rules, if Barclays PLC or Barclays Bank PLC are required or determine to disclose material cybersecurity incidents under home country or stock exchange rules, they are required to also furnish this information with the SEC on the SEC's website, in accordance with their obligations as foreign private issuers.

In late 2023, the New York Department of Financial Services (NYDFS) amended its cybersecurity regulation applying to the New York Branch of Barclays Bank PLC, with various implementation deadlines through November 2025. The NYDFS's amended cybersecurity regulation contains significant updates, including enhanced notification requirements, cybersecurity governance obligations, and requirements applicable to cybersecurity policies and procedures. In May 2025, requirements to conduct automated scans or manual reviews of information systems for vulnerability management, to implement policies governing access privileges and to implement certain controls for monitoring and responding to threats (such as controls designed to protect against malicious code) went into effect, and in November 2025, requirements to expand multi-factor authentication and to implement policies and procedures for the creation and maintenance of an asset inventory became effective.

The existing and anticipated requirements specified in the UK, EU, and US for increased controls will serve to improve industry standardisation and resilience capabilities, enhancing Barclays Bank Group's ability to deliver services during periods of potential disruption. Such measures are resulting in increased technology and compliance costs for the Barclays Bank Group.

Artificial intelligence

A number of jurisdictions where the Barclays Bank Group operates have adopted or are considering adopting new laws regulating artificial intelligence (AI).

The EU's Artificial Intelligence Act (EU AI Act), which entered into force on 1 August 2024, provides rights and duties designed to ensure the safe and ethical deployment of AI. The EU AI Act requires organisations to ensure suitable levels of AI literacy within their workforce (albeit this obligation may be removed as a result of the EU's Digital Omnibus proposals put forward in November 2025) and categorises AI systems based on their level of risk. It has a phased approach to compliance, with the literacy obligations and the first set of requirements prohibiting certain uses of AI having applied from 2 February 2025, and rules on general purpose AI models having applied from 2 August 2025. It also establishes a rigorous compliance regime for high-risk AI applications (which provisions apply from 2 August 2027, subject to possible delay under the EU's

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Digital Omnibus proposals). The extraterritorial effect of the EU AI Act means entities established outside the EU fall with the EU AI Act's ambit if they provide or deploy AI in the EU or the output of their AI is used in the EU.

In the U.S. on the other hand, some states are considering enacting or have already enacted comprehensive laws that adopt risk-based frameworks and principles (such as Colorado's An Act Concerning Consumer Protections In Interactions with AI Systems and the Texas Responsible AI Governance Act), while other states are focusing on applications perceived as higher-risk (such as laws regulating the use of automated decision tools and AI in recruitment, hiring, promotion, and other employment decisions). Comprehensive state laws impose heightened obligations on developers and deployers of high-risk AI systems (which include tools that make financial, lending and employment-related decisions), such as by requiring impact assessments, transparency disclosures and risk-management controls. Laws regulating higher risk applications, such as New York City Local Law 144 and amendments to civil rights laws in California and Illinois, require employers to conduct bias audits, provide transparency through notice to candidates and employees, ensure such systems do not discriminate against applicants or employees on the basis of protected classes, and maintain records of automated-decision system data and audit results.

Notably, however, in December 2025, President Trump signed an executive order outlining various plans to attempt to restrict certain U.S. states from enforcing their own AI laws, in favour of a "single national framework". The Barclays Bank Group is continuing to monitor these developments and the applicability of state laws regulating AI.

Regulatory initiatives on sustainability

Regulatory initiatives on sustainability in the UK

In the UK, the FCA published final rules on the UK Sustainability Disclosure Requirements regime in November 2023 which set out new requirements to prepare sustainability-related product and entity level disclosures for certain firms, as well as a new sustainable investment labelling regime and anti-greenwashing rule applicable to all authorised firms. The new anti-greenwashing rule (and associated guidance) came into force on 31 May 2024 and the labelling regime was made available from 31 July 2024, whilst the disclosure regime continues to be implemented on a phased basis from late 2024 until the end of 2026. In April 2025, the FCA confirmed that it had paused plans to extend the SDR and investment labels regime to portfolio management.

The Digital Markets, Competition and Consumers Act 2024 (DMCCA) received Royal Assent in May 2024, introducing major updates to UK competition and consumer protection laws. These reforms included the expansion of the powers held by the Competition and Markets Authority (CMA), in relation to digital markets, merger control and antitrust rules, as well as consumer law. As a result of those reforms, the CMA is able to directly impose significant fines of up to 10% of global turnover for breaches of consumer protection law. As one of the regulators entrusted with consumer protection in the UK, the CMA has been actively focusing on misleading environmental claims. The CMA has the ability to investigate potential breaches of consumer protection laws by financial services firms also, and the FCA will be able to make recommendations to the CMA to exercise its powers under the DMCCA. The DMCCA also simplifies and enhances the process by which the regulators may obtain enforcement orders and undertakings for breaches of consumer law. The Advertising Standards Authority is responsible for regulating the content of advertisements, sales promotions and direct marketing in the UK, and has also been focusing on greenwashing, including investigating and making rulings against advertisements from financial services firms due to greenwashing.

In its election manifesto, the Government stated that it would mandate UK regulated financial institutions and FTSE 100 companies to develop and implement credible transition plans that align with the 1.5°C goal of the Paris Agreement. Consequently, it consulted on how best to take that commitment forward in June to September 2025 but has yet to publish the outcome. The UK's Transition Plan Taskforce (TPT) concluded its work on a disclosure framework for transition plans in October 2024, with the International Financial Reporting Standards (IFRS) Foundation now assuming responsibility for the TPT's disclosure materials. In June 2025, the IFRS Foundation published a guidance document about transition plans, building on the material developed by the TPT. If the Government and UK regulators do mandate transition plan disclosures, it is widely expected that the work of the TPT will likely form the basis of these requirements.

In September 2024, the Government published information on its framework to create UK Sustainability Reporting Standards (UK SRS). Subject to an affirmative endorsement decision, and following a consultation process, the Government would create the first two UK Sustainability Reporting Standards, based on those of the International Sustainability Standards Board (ISSB) (IFRS S1 on general requirements for disclosure of sustainability related financial information and IFRS S2 on climate-related disclosures) and these standards will form part of a wider Sustainability Disclosure Reporting (SDR) framework led by HM Treasury. The Government carried out its consultation on the UK SRS in June to September 2025 and is expected to publish the first two UK Sustainability Reporting Standards (SRS) in early 2026. As there is some overlap between IFRS S2 and the TPT Disclosure Framework, the FCA reviewed, through its consultation on implementing UK-endorsed ISSB standards, the possibility of strengthening its expectations for transition plan disclosures with reference to the TPT Disclosure Framework, as noted above. In addition, TCFD-aligned reporting requirements apply to UK publicly quoted companies, large private companies and LLPs (in addition to existing TCFD-related reporting requirements under the UK Listing Rules).

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On 3 December 2025, the PRA published a policy statement (PS25/25) providing feedback to responses the PRA received in relation to consultation paper 10/25 (Updates to SS3/19 (Enhancing banks' and insurers' approaches to managing the financial risks from climate change)). The PRA also published a supervisory statement (SS5/25) which replaces SS3/19 and sets out updated PRA expectations for firms' approaches to managing climate-related risks, reflecting new international standards and embedding improved understanding of climate-related risks. It aims to ensure that firms build the capabilities and resilience needed to effectively manage these risks. SS5/25 took effect on 3 December 2025. The PRA confirmed in PS25/25 that firms will be expected to carry out an internal review of their current status in meeting the expectations set out in SS5/25 within six months of commencement and the PRA does not expect firms to close identified gaps within the six-month review period.

Regulatory initiatives on sustainability in the EU

The EU Regulation on Sustainable Finance Disclosures Regulation (SFDR) and related Delegated Regulations require financial market participants (FMPs) to disclose how they integrate environmental, social and governance factors in their investment decisions for certain financial products and to publish principal adverse impact statements. The SFDR applies to entities established in the EU and in-scope products marketed in the EU, regardless of the location of the entity. The SFDR is currently under review by the Commission, which has published a draft amending regulation. ESMA has also published guidelines for funds in-scope of SFDR regarding the use of sustainability-related terms in their names.

In addition, the EU Taxonomy Regulation provides for a general framework for the development of an EU-wide classification system for environmentally sustainable economic activities. It sets mandatory entity-level disclosure requirements for companies which fall under the scope of the EU Accounting Directive, in relation to eligibility and alignment of their business activities with the EU Taxonomy Regulation. The EU Taxonomy Regulation also imposes product level disclosure obligations for FMPs on the extent to which their financial products are Taxonomy aligned or not.

In February 2025, the European Commission published the Omnibus I Package which aims to simplify certain EU sustainability-related regulations, the main changes being those to the Corporate Sustainability Reporting Directive (CSRD) and the Directive on Corporate Sustainability Due Diligence (CSDDD). The CSRD introduced significant sustainability related reporting obligations covering a wide range of topics beyond climate change for various entities, including EU banks and certain non-EU companies and banks (by virtue of having EU listings or significant business in the EU), with reporting to commence on a phased basis from the financial year 2024. One of the component parts of the Omnibus I Package is the "Stop-the-Clock" Directive, which came into force in April 2025 and delays the reporting start date for unlisted large companies and listed SMEs by two years. Another component of the Omnibus I Package is a "Quick Fix" Delegated Act, which came into force in November 2025 and extends a number of phase-in provisions and reliefs for companies that started reporting for financial year 2024. The last major component of the Omnibus I Package is the "Requirements" Proposal, which amends substantive provisions of the CSRD and CSDDD including the scope of application, reporting in relation to the value chain, and transition plan requirements under the CSDDD. The EU Parliament and Council of the European Union reached a provisional political agreement on the "Requirements" Proposal in December 2025.

Related technical sustainability reporting standards (i.e. the European Sustainability Reporting Standards, or the 'ESRS') were published in 2023 but are currently being revised in order to reduce the amount of data collection. Disclosure requirements apply to companies in respect of their global operations, and not just their operations within the EU. The European Commission was also expected to develop assurance standards to support the requirements introduced by the CSRD to put sustainability reporting on a similar footing to financial reporting audit requirements. However, the European Commission has announced that it will deprioritise work on the assurance standards until 1 October 2027. Until adopted, Member States are free to apply national standards for assurance.

CRR II established, for certain large financial institutions, a Pillar 3 disclosure framework for information on environmental, social and governance risks, including physical risks and transition risks. Amendments included in the CRR III and CRD VI banking package will extend the scope of these disclosures and the emphasis on sustainability, with a number of new sustainability-related requirements, including the development of mandatory prudential transition plans and new supervisory powers for competent authorities specifically relating to sustainability risk, including assessment of prudential transition plans and sustainability risk governance and risk management processes now being part of the Supervisory Review and Evaluation Process. The ECB has made, and continues to regard, the supervision of the approach of institutions to sustainability risk a priority.

In July 2024, the Directive on Corporate Sustainability Due Diligence (CSDDD) entered into force, and will require certain EU and non-EU entities to carry out due diligence in relation to their own operations and 'chain of activities', in order to identify and prevent, bring to an end or mitigate the actual and potential adverse impact of their own operations, the operations of their subsidiaries or of their business partners on human rights and the environment. For regulated financial undertakings, CSDDD currently covers own operations and the upstream value chain but not the activities of their downstream business partners that receive their financial services and products. These obligations will apply after transposition into national laws in each EU Member State on a phased basis from July 2029. The CSDDD previously required in-scope companies to adopt and put into effect a climate transition plan. However, this requirement will be removed under the "Requirements" Proposal of the Omnibus I Package. The CSDDD has the potential to be a particularly significant measure, with failure to comply with

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obligations under the CSDDD potentially giving rise to the imposition of administrative fines based on net worldwide turnover.

Regulatory initiatives on sustainability in the US

The Barclays Bank Group may be impacted by various sustainability-related regulatory and legislative developments in the US at both the federal and state level. The rules adopted by the SEC in March 2024 that would have required US-listed companies (including foreign private issuers such as Barclays PLC and Barclays Bank PLC) to disclose extensive climate-related information have been stayed by the SEC pending the outcome of ongoing litigation, which the SEC has declined to defend. However, bills proposed or adopted by the legislatures of certain US states may still impose climate-related disclosure or other sustainability-related requirements. In California, the Climate Corporate Data Accountability Act (SB-253) and the Greenhouse Gases: Climate-Related Financial Risk Act (SB-261) adopted in 2023, require both public and private U.S.-based companies (including U.S. subsidiaries of non-U.S. companies) that do business in California to publish and submit climate-related financial risk reports with the California Air Resources Board (CARB) and report greenhouse gas emissions data in 2026. However, in response to an injunction granted by the Ninth Circuit Court of Appeals in the ongoing litigation against SB-261 and SB-253, CARB confirmed on 1 December 2025 that it would not take enforcement action against any entity that does not post and submit a climate-related financial risk report pursuant to SB-261 by the 1 January 2026 statutory deadline. In New York, proposed legislation – the Climate Corporate Data Accountability Act (S 3456 / A. 4282) – was introduced in 2025, and is a refreshed version of prior proposed legislation. As an example of legislation and initiatives taking a different or opposing position on sustainability matters, in 2021, Texas adopted anti-boycott legislation prohibiting Texas state entities from entering into contracts with companies that boycott energy companies. Barclays is monitoring such legislative developments and their impact on Barclays' US operations and reporting obligations.

Sanctions and financial crime

The UK Bribery Act 2010 introduced a new form of corporate criminal liability focused broadly on a company's failure to prevent bribery on its behalf. The Criminal Finances Act 2017 introduced new corporate criminal offences of failing to prevent the facilitation of UK and overseas tax evasion. The Economic Crime and Corporate Transparency Act 2023 (ECCTA) extends the concept of corporate criminal liability such that certain economic crimes (such as fraud and false accounting) committed by "senior managers" acting within the scope of their actual or apparent authority, can be attributed to the company, for the purposes of holding the company criminally liable. The ECCTA has also created a new offence, in force from 1 September 2025, of failing to prevent a person associated with the Barclays Bank Group from committing fraud for the benefit of the Barclays Bank Group. These offences have broad application and in certain circumstances may have extraterritorial impact on entities, persons or activities located outside the UK, including Barclays Bank PLC's subsidiaries outside the UK. If enacted, reforms proposed under the draft Crime and Policing Bill 2025 would expand corporate criminal liability to all criminal offences (and not just certain economic crimes, as is currently the case under ECCTA), if any such offence is committed by a senior manager acting within the scope of their authority.

The UK Bribery Act requires the Barclays Bank Group to have adequate procedures to prevent bribery which, due to the extraterritorial nature of the Act, makes this both complex and costly. Additionally, the Criminal Finances Act requires the Barclays Bank Group to have reasonable procedures in place to prevent the criminal facilitation of tax evasion by persons acting for, or on behalf of, the Barclays Bank Group. The ECCTA similarly requires the Barclays Bank Group to have reasonable procedures in place to prevent a person associated with the Barclays Bank Group from committing fraud.

The Sanctions and Anti-Money Laundering Act 2018 (the Sanctions Act) became law in the UK in 2018. Following the UK's withdrawal from the EU, the Sanctions Act allowed for the adoption of an autonomous UK sanctions regime which came into force in 2021, as well as a more flexible licensing regime post-Brexit. This regime applies within the UK and in relation to the conduct of all UK persons wherever they are in the world; it also applies to overseas branches of UK companies (including the Barclays Bank PLC New York branch).

Within the EU, there is a system of autonomous sanctions by which the European Council adopts a decision made by the EU's Common Foreign and Security Policy. The measures stated in the Council decision are either implemented at the EU level, by way of Regulation, or at a national level in Member States. Regulations are binding and directly effective throughout the EU. Each measure will specify the territorial scope of the relevant sanctions but these can apply broadly within the territory of any EU Member States and to EU nationals wherever they are located as well as to third country branches of EU companies. The EU's anti-money laundering regime has been implemented through a series of the Fourth to Sixth Anti-Money Laundering Directives, which Member States are then required to transpose into their local law – the Fourth and Fifth Anti-Money Laundering Directives (2015/849 and 2018/843) set out the current requirements for Member States to transpose in respect of AML. In order to harmonise its approach to anti-money laundering, the EU has introduced a new Sixth Anti-Money Laundering Directive (EU) 2024/1640, which will repeal and replace the previous Directives and which Member States will be required to implement by 2027, and the Anti-Money Laundering Regulation (EU) 2024/1624, which will have direct effect in Member States, with most provisions in force from 2027. Furthermore, the Anti-Money Laundering Agency Regulation (EU) 2024/1620 establishes the Authority for Anti-Money Laundering and Countering the Financing of Terrorism (AMLA) which will have direct supervisory powers over the 40 most systemic financial institutions in the EU and will indirectly impact other market parties.

Risk review

Supervision and regulation

In the US, the Bank Secrecy Act, the USA PATRIOT Act 2001, the Anti-Money Laundering Act of 2020 and regulations thereunder contain numerous anti-money laundering and anti-terrorist financing requirements for financial institutions. In addition, the Barclays Bank Group is subject to the US Foreign Corrupt Practices Act, which prohibits, among other things, corrupt payments to foreign government officials. It is also subject to various economic sanctions and similar laws, regulations and executive orders administered by the US government, which prohibit or restrict some or all business activities and other dealings with or involving certain individuals, entities, groups, countries and territories.

In some cases, US state and federal regulations addressing sanctions, money laundering and other financial crimes may impact entities, persons or activities located or undertaken outside the US, including Barclays Bank PLC and its subsidiaries. US government authorities have aggressively enforced these laws, and expanded authorities threatening the imposition of sanctions, against financial institutions in recent years.

As a result of the conflict in Ukraine, there has been an increased regulatory focus on sanctions compliance in various jurisdictions, including the US, UK and EU. Government authorities have significant discretion in the administration of such restrictions, which may rapidly change or diverge across jurisdictions and, in some cases, conflict with local laws of other jurisdictions. Failure of a financial institution to ensure compliance with such laws could have serious legal, financial and reputational consequences for the institution.

Financial statements

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Independent Auditor's report

Independent Auditor's report to the members of Barclays Bank PLC

OUR OPINION IS UNMODIFIED

In our opinion:

- the financial statements of Barclays Bank PLC give a true and fair view of the state of the Group's and of the Parent Company's affairs as at 31 December 2025, and of the Group's and the Parent Company's profit for the year then ended;
- the Group financial statements have been properly prepared in accordance with UK-adopted international accounting standards;
- the Parent Company financial statements have been properly prepared in accordance with UK-adopted international accounting standards as applied in accordance with the provisions of the Companies Act 2006; and
- the Group and Parent Company financial statements have been prepared in accordance with the requirements of the Companies Act 2006.

WHAT OUR OPINION COVERS

We have audited the Group and Parent Company financial statements of Barclays Bank PLC ("the Company") for the year ended 31 December 2025 (FY25) included in the Annual Report and accounts, which comprise:

Group (Barclays Bank PLC and its subsidiaries)	Parent Company (Barclays Bank PLC)
Consolidated income statement	Balance sheet
Consolidated statement of comprehensive income	Statement of changes in equity
Consolidated balance sheet	Cash flow statement
Consolidated statement of changes in equity	
Consolidated cash flow statement	
Notes 1 to 41 of the Consolidated Financial Statements, including the summary of material accounting policies	

ADDITIONAL OPINION IN RELATION TO IFRS AS ADOPTED BY THE EUROPEAN UNION

As explained in note 1 to the Group financial statements, the Group and the Parent Company, in addition to complying with its legal obligation to apply UK-adopted international accounting standards, has also applied International Financial Reporting Standards adopted pursuant to Regulation (EC) No 1606/2002 as it applies in the European Union ("IFRSs as adopted by the EU"). In our opinion the group and the parent company financial statements have been properly prepared in accordance with IFRSs as adopted by the EU.

BASIS FOR OPINION

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities are described below. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion. Our audit opinion and matters included in this report are consistent with those discussed and included in our reporting to the Board Audit Committee ("BAC").

We have fulfilled our ethical responsibilities under, and we remain independent of the Group in accordance with, UK ethical requirements including the FRC Ethical Standard as applied to listed public interest entities.

Independent Auditor's report

Independent Auditor's report to the members of Barclays Bank PLC

2. OVERVIEW OF OUR AUDIT

FACTORS DRIVING OUR VIEW OF RISKS	Following our FY24 audit and considering developments affecting the Barclays Bank PLC since then, we have updated our risk assessment. The macroeconomic and geopolitical environment continues to be a significant driver of our audit risk assessment for FY25. Economic growth across the UK and other major global economies is expected to remain subdued, with inflation persisting and interest rates staying at a relatively higher level for longer. This has led to continued pressure on consumer affordability and corporate credit quality, which in turn increases the level of judgement involved in forward-looking assumptions, particularly within expected credit loss models and post model assumptions. At the same time, heightened geopolitical uncertainty, including sustained geopolitical tensions, continues to influence credit risk, market valuations and the operational resilience of global financial institutions, such as Barclays. These factors have an impact on the inherent risk of estimation uncertainty across areas such as impairment and valuations. The Group continues to deliver against their strategic plan which was announced to the market in the February 2024 Investor Update. We have considered the impact of the pressure to meet targets set out in the Investor Update as part of our risk assessment. Our risk assessment also considered instances of non-compliance with laws and regulations (including open enforcement actions against the Group) and specifically those that could reasonably be expected to have a material effect on the financial statements. We considered management's assessment of how these occurred and their assessment of whether the risk could be more pervasive.	Key Audit Matters	vs FY24	Item
		Impairment allowance on loans and advances at amortised cost, including off-balance sheet elements of the allowance (Group and Parent Company)	↑	4.1
		Valuation of financial instruments held at fair value (Group and Parent Company)	↔	4.2
		Valuation of the gross defined benefit pension obligation in respect of the UK retirement fund ('UKRF') (Group and Parent Company)	↔	4.3
		User access management (Group and Parent Company)	↔	4.4

Independent Auditor's report

Independent Auditor's report to the members of Barclays Bank PLC

OUR USE OF SPECIALISTS AND INNOVATION	Using the work of specialists and specific team members with expertise in a specialised area of accounting or auditing: We used our specialists and specific team members with expertise in a specialised area of accounting or auditing to assist us in various aspects of our audit. This includes, for example: – Credit risk modellers to evaluate the accuracy of the ECL models – Economics specialists to evaluate the reasonableness of macroeconomic variables and scenarios used in the determination of the ECL provisions – Valuation specialists to independently re-price a selection of fair value financial instruments and challenge management on the valuations where they were outside of our acceptable range, as well as the appropriateness of significant models and methodologies used in calculating fair values, risk exposures and in calculating FVAs and XVAs. – Corporate finance valuation specialists to challenge the methodology underpinning, and certain of the assumptions used, in the impairment assessment of goodwill and intangible assets and the carrying value of subsidiaries – Actuarial pensions specialists to challenge the key assumptions used in the valuation of the defined benefit obligation – Tax specialists to evaluate the completeness and accuracy of the tax charge, effective tax rate and uncertain tax positions – IT auditors to evaluate the general IT controls and automated business controls – Data analytics specialists to assist with audit procedures to evaluate the completeness of the general ledger and to identify high-risk journals – Forensic specialists to assist us in identifying fraud risk factors relevant for financial reporting Innovation in the audit: We are committed to driving the increased use of technology in the audit process. For the FY25 audit, we continued to deploy data and analytics tools across our audit. We continue to expand our use of accredited Artificial Intelligence based solutions into our audit process. We have also continued to innovate our audit of the estimation of expected credit losses through independently recalculating a selection of model assumptions using more recent data for certain portfolios. This is used to develop a range for ECL which we then compare to management's own point estimate.																		
BOARD AUDIT COMMITTEE ("BAC") INTERACTION	During the year, the BAC met 16 times. KPMG attended all BAC meetings, except for the meeting in relation to the audit tender. KPMG are provided with opportunities to meet with the BAC in private sessions without the Executive Directors being present. For each Key Audit Matter, we have set out communications with the BAC in section 4, including matters that required particular judgement for each. The matters included in the Board Audit Committee report on page 28 are materially consistent with our observations of those meetings. In addition, KPMG attended all Board Risk Committee meetings.																		
OUR INDEPENDENCE	We have fulfilled our ethical responsibilities under, and we remain independent of the Group in accordance with, UK ethical requirements including the FRC Ethical Standard as applied to listed public interest entities. We have not performed any non-audit services during FY25 or subsequently which are prohibited by the FRC Ethical Standard. We were first appointed as auditor by the shareholders for the year ended 31 December 2017. The period of total uninterrupted engagement is for the nine financial years ended 31 December 2025. The Group engagement partner is required to rotate every 5 years. As these are the fourth set of the Group's financial statements signed by Stuart Crisp, he will be required to rotate off after the FY26 audit. The average tenure of component engagement partners is three years, with the shortest being their first year of involvement and the longest being four years. <table> <tr> <td>Total audit fee</td><td>£41m</td></tr> <tr> <td>Audit related fees (including interim review)</td><td>£12m</td></tr> <tr> <td>Other services</td><td>£3m</td></tr> <tr> <td>Non-audit fee as a % of total audit and audit related fee %</td><td>6%</td></tr> <tr> <td>Date first appointed</td><td>31 March 2017</td></tr> <tr> <td>Uninterrupted audit tenure</td><td>9 years</td></tr> <tr> <td>Next financial period which require a tender</td><td>31 December 2027</td></tr> <tr> <td>Tenure of Group lead engagement partner</td><td>4 years</td></tr> <tr> <td>Average tenure of component engagement partners</td><td>3 years</td></tr> </table>	Total audit fee	£41m	Audit related fees (including interim review)	£12m	Other services	£3m	Non-audit fee as a % of total audit and audit related fee %	6%	Date first appointed	31 March 2017	Uninterrupted audit tenure	9 years	Next financial period which require a tender	31 December 2027	Tenure of Group lead engagement partner	4 years	Average tenure of component engagement partners	3 years
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Independent Auditor's report

Independent Auditor's report to the members of Barclays Bank PLC

MATERIALITY

(ITEM 6 BELOW)

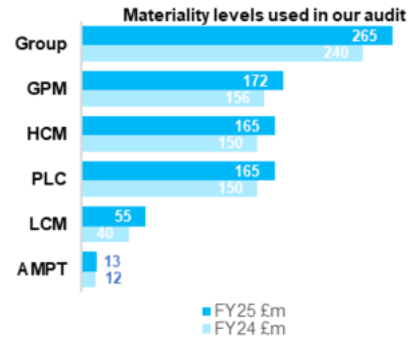
The scope of our work is influenced by our view of materiality and our assessed risk of material misstatement.

We have determined overall materiality for the Group financial statements as a whole at £265m (FY24: £240m) and for the Parent Company financial statements as a whole at £165m (FY24: £150m).

We determined that profit before tax (PBT) remains to be the key benchmark for Barclays Bank PLC.

We based our materiality on profit before tax of £5,943m, of which it represents 4.5% (FY24: 4.8%). We adjusted PBT in FY24 for items which did not represent the normal, continuing operations of the Group. As part of our materiality assessment for the audit of Barclays, we have considered the impact of the Investor Update in February 2024.

Materiality for the Parent Company financial statements as a whole was set at £165m (2024: £150m), which is the component materiality for the Parent Company determined by the group audit engagement team. This is lower than the materiality we would otherwise have determined with reference to a benchmark of net assets of which it represents 0.3% (FY24: 0.3%).



GPM Group Performance Materiality
 HCM Highest Component Materiality
 HCM Highest Component Materiality
 PLC Parent Company Materiality
 AMPT Audit Misstatement Posting Threshold

Independent Auditor's report

Independent Auditor's report to the members of Barclays Bank PLC

GROUP SCOPE (ITEM 7 BELOW)

We have performed risk assessment and planning procedures to determine which of the Group's components are likely to include risks of material misstatement to the Group financial statements, the type of audit procedures to be performed at these components and the extent of involvement required from component auditors around the world for the purpose of our opinion on the Group Financial Statements.

We have also considered the extent to which the Group has established a Global Capability Centre ("GCC") in India. The outputs from the GCC are included in the financial information of the reporting components and so the India operations are not considered to be a separate component for the purpose of our audit.

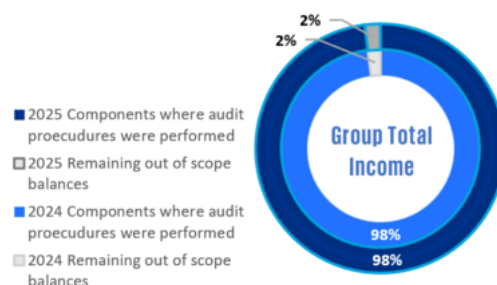
The five components within the scope of our work accounted for the percentages illustrated in the diagrams opposite.

We have performed certain audit procedures centrally across the Group, set out in more detail in Section 7. In addition, we have performed Group level analysis on the remaining components to determine whether further risks of material misstatement exist in those components.

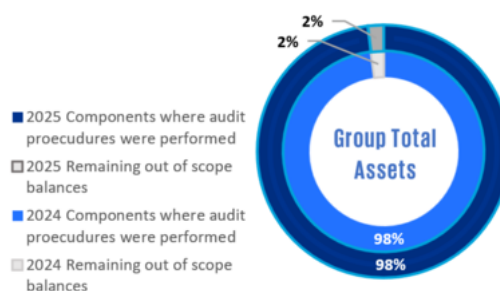
We consider the scope of our audit, as communicated to the Board Audit Committee, to be an appropriate basis for our audit opinion.

Coverage of Group financial statements

We performed audit procedures in relation to all components identified. Our audit procedures covered 98% of Group revenue.



We performed audit procedures in relation to We performed audit procedures in relation to components identified that accounted for 98% of the Group Total Assets.



THE IMPACT OF CLIMATE CHANGE ON OUR AUDIT

In planning our audit, we have considered the potential impact of risks arising from climate change on the Group's business and its financial statements. The Group has set out its ambition to be a net zero bank by 2050. Further information is provided in the Group's Climate and Sustainability report which has been incorporated into the Annual Report 2025 on pages 41-73.

Climate change risks, opportunities and the Group's own commitments and changing regulations could have a significant impact on the Group's business and operations. There is the possibility that climate change risks, both physical and transitional, could affect financial statement balances, through estimates such as credit risk and market risk. There is enhanced narrative in the Annual Report on climate matters.

As part of our audit, we performed a risk assessment of the impact of climate change risk and the commitments made by the Group in respect of climate change on the financial statements and our audit approach. As a part of this we held discussions with our own climate change professionals to challenge our risk assessment. In doing this we performed the following:

- Understanding management's processes: we made enquiries to understand management's assessment of the potential impact of climate change risk on the Group's Annual Report and Accounts and the Group's preparedness for this. As a part of this process we made enquiries to understand management's risk assessment process as it relates to possible effects of climate change on the Annual Report and Accounts including the way in which the accounting policies of the Group (including those relating to products with specific climate features) are updated to reflect climate change risks. We also read and discussed with management the quantitative analysis prepared by the Group to support its assessment of the impact of climate risk on credit risk.
- Corporate credit risk: we assessed how the Group considers the impact of climate risk on corporate counterparties through our individual loan assessments where, for performing counterparties, we assessed how climate change risk impacts certain counterparties within the commercial bank, including the impact on their credit rating as applicable. The focus of our procedures was on certain counterparties who operate in industries with greater exposure to climate risk - the energy, transportation, materials and buildings, agriculture, food and forest product sectors.
- Market risk: as part of our risk assessment, we incorporated a consideration of the climate change impact on unobservable inputs used in the valuation of certain financial instruments in elevated risk sectors including energy & waters, manufacturing and mining & quarrying.
- Annual report narrative: we made enquiries of management to understand the process by which climate related narrative is developed including the primary sources of data used and the governance process in place over the narrative. As a part of our risk assessment, we read the climate related information in the front half of the Annual Report and considered consistency with the financial statements and our audit knowledge.

On the basis of the procedures performed above, we concluded that, while climate change posed a risk to the determination of asset values in the current year, the risk was not significant when we considered the nature of the assets and the relevant contractual terms. As a result, there was no material impact from climate change on our key audit matters.

3. GOING CONCERN

The Directors have prepared the financial statements on the going concern basis as they do not intend to liquidate the Group or the Parent Company or to cease their operations, and as they have concluded that the Group's and the Parent Company's financial position means that this is realistic. They have also concluded that there are no material uncertainties that could have cast significant doubt over their ability to continue as a going concern for at least a year from the date of approval of the financial statements ("the going concern period").

GOING CONCERN

We used our knowledge of the Group and Parent Company, the financial services industry, and the general economic environment to identify the inherent risks to the business model and analysed how those risks might affect the Group's and Parent Company's financial resources or ability to continue operations over the going concern period. The risks that we considered most likely to adversely affect the Group's and Parent Company's available financial resources over this period were:

- the availability of funding and liquidity in the event of a market wide stress scenario; and
- the impact on regulatory capital requirements in the event of an economic slowdown or recession.

We considered whether these risks could plausibly affect the availability of financial resources in the going concern period by comparing severe, but plausible downside scenarios that could arise from these risks individually and collectively against the level of available financial resources indicated by the Group's financial forecasts.

Our procedures also included an assessment of whether the going concern disclosure in note 1 to the financial statements gives a complete and accurate description of the Directors' assessment of going concern.

Accordingly, based on those procedures, we found the directors' use of the going concern basis of accounting without any material uncertainty for the Group and Parent Company to be acceptable.

However, as we cannot predict all future events or conditions and as subsequent events may result in outcomes that are inconsistent with judgements that were reasonable at the time they were made, the above conclusions are not a guarantee that the Group or the Parent Company will continue in operation.

Our conclusions

- We consider that the directors' use of the going concern basis of accounting in the preparation of the Group's and Parent Company's financial statements is appropriate;
- We have not identified, and concur with the directors' assessment that there is not, a material uncertainty related to events or conditions that, individually or collectively, may cast significant doubt on the Group's or Parent Company's ability to continue as a going concern for the going concern period;
- We have nothing material to add or draw attention to in relation to the directors' statement in note 1 to the financial statements on the use of the going concern basis of accounting with no material uncertainties that may cast significant doubt over the Group and Parent Company's use of that basis for the going concern period, and we found the going concern disclosure in note 1 to be acceptable.

Independent Auditor's report

Independent Auditor's report to the members of Barclays Bank PLC

4. KEY AUDIT MATTERS

What we mean

Key audit matters are those matters that, in our professional judgement, were of most significance in the audit of the financial statements and include the most significant assessed risks of material misstatement (whether or not due to fraud) identified by us, including those which had the greatest effect on:

- the overall audit strategy;
- the allocation of resources in the audit; and
- directing the efforts of the engagement team.

We include below the Key Audit Matters in decreasing order of audit significance together with our key audit procedures to address those matters and our results from those procedures. These matters were addressed, and our results are based on procedures undertaken for the purpose of our audit of the financial statements as a whole. We do not provide a separate opinion on these matters.

4.1. IMPAIRMENT ALLOWANCES ON LOANS AND ADVANCES AT AMORTISED COST, INCLUDING OFF-BALANCE SHEET ELEMENTS OF THE ALLOWANCE (Group and Parent Company)

Financial Statement Elements			Our assessment of risk vs FY24	Our results
	FY25	FY24		
Impairment allowances on loans and advances at amortised cost, including off-balance sheet elements of the allowance - Group (see page 162)	£4.0bn	£3.9bn	↑ Our assessment is that the risk has increased since FY24. This is primarily due to heightened uncertainty in the macroeconomic outlook, impacting ECL qualitative adjustments and forward-looking economic scenarios and probability weightings.	FY25: Acceptable FY24: Acceptable
Impairment allowances on loans and advances at amortised cost - Parent (see page 170)	£0.9bn	£0.8bn		
Impairment allowances on loan commitments and financial guarantee contracts – Parent (see page 176)	£0.3bn	£0.3bn		

Independent Auditor's report

Independent Auditor's report to the members of Barclays Bank PLC

4.1. IMPAIRMENT ALLOWANCES ON LOANS AND ADVANCES AT AMORTISED COST, INCLUDING OFF-BALANCE SHEET ELEMENTS OF THE ALLOWANCE (Group and Parent Company)

Description of the Key Audit Matter	Our response to the risk
Subjective estimate The estimation of expected credit losses ("ECL") on financial instruments involves significant judgement and estimates. The key areas where we identified greater levels of management judgement and therefore increased levels of audit focus in the Group's estimation of ECL are: - Model estimations – Inherently judgemental modelling techniques and assumptions are used to estimate ECL which involves either determining Probability of Default ("PD"), Loss Given Default ("LGD"), and Exposure at Default ("EAD") or an appropriate proxy. ECL may be inaccurate if certain models or underlying assumptions do not accurately predict defaults or recoveries over time, become out of line with wider industry experience, or fail to reflect the credit risk of financial assets. As a result, certain IFRS 9 models and model assumptions are the key drivers of complexity and uncertainty in the Group's and Parent Company's calculation of the ECL estimate, representing a significant risk due to error. - Economic scenarios – IFRS 9 requires the Group to measure ECL on an unbiased forward-looking basis reflecting a range of future economic conditions. Significant management judgement is applied in determining the forward-looking economic scenarios used as an input to calculate ECL, the associated scenario probability weightings, and the key economic variables that drive the scenarios. There is also a high level of complexity of models used to derive the probability weightings. As such, the management judgement relating to the selection of scenarios, the material economic variables, and the associated scenario probability weightings represent a significant risk due to error. - Qualitative adjustments – The Group applies qualitative adjustments to the model-driven ECL estimates to address model limitations, emerging credit risks or risks not captured by models. The adjustments represent approximately 4.9% of the ECL. These adjustments are inherently uncertain, significant and subjective judgement is required in identifying and estimating certain post model adjustments ('PMAs') and management overlays. As such, the identification of certain qualitative adjustments represents a significant risk of error and fraud. The estimation of certain qualitative adjustments represents a significant risk of error. The effect of these matters is that, as part of our risk assessment, we determined that the impairment of loans and advances to customers including off-balance sheet elements of the allowance has a high degree of estimation uncertainty, with a potential range of reasonable outcomes greater than our materiality for the financial statements as a whole, and possibly many times that amount. The credit risk sections of the financial statements (pages 162 to 216) disclose the sensitivities estimated by the Group.	Our procedures to address the risk included: <i>Risk assessment:</i> We performed granular and detailed risk assessment procedures over the entirety of the balances within the Group's and Parent Company's financial statements (i.e. impairment allowances on loans and advances at amortised cost, including off-balance sheet elements of the allowance). As part of these risk assessment procedures, we identified the portfolios associated with a risk of material misstatement including those arising from significant judgements over the estimation of ECL either due to inputs, methods or assumptions. <i>Control testing:</i> We performed end to end process walkthroughs to identify the key systems, applications and controls used in the ECL processes. We tested the relevant manual, general IT and application controls over key systems used in the ECL process. Key aspects of our controls testing involved evaluating the design and implementation and testing the operating effectiveness of the key controls over the: - completeness and accuracy of the key inputs into the IFRS 9 impairment models; - application of the staging criteria; - model validation, implementation and monitoring; - completeness, authorisation and calculation of post model adjustments and management overlays; - selection and implementation of macroeconomic variables and the controls over the economic scenario selection and probabilities; and - credit reviews that determine customer risk ratings for a population of wholesale customers, including a risk-based selection. <i>Our credit risk modelling expertise:</i> We involved our own credit risk modellers who assisted in the following: - evaluating the Group's and Parent Company's impairment methodologies for compliance with IFRS 9; - assessing the appropriateness of certain assumptions by inspecting management's documented methodology for how the assumptions are estimated and reperforming management's workings in accordance with the documented methodology; - inspecting model code for the calculation of certain components of the ECL model to assess its consistency with the Group's and Parent Company's model methodology; - evaluating whether model changes (including updated model code), for a selection of models which were changed or updated during the year, were appropriate by assessing the updated model methodology against the applicable accounting standard; - reperforming the calculation of certain adjustments to assess consistency with the qualitative adjustment methodologies; - assessing and reperforming, for a selection of models, the reasonableness of the model predictions by comparing them against reported results and evaluating the resulting differences; - evaluating the model output for a selection of models by inspecting the corresponding model functionality and independently implementing the model by rebuilding the model code and comparing our independent output with management's output; and - independently recalculating a selection of model assumptions using more recent data for certain portfolios. This is used to develop a range for ECL which is compared to Group's and Parent Company's point estimate. <i>Our economics expertise:</i> We involved our own economic specialists who assisted us in: - assessing the reasonableness of the Group's and Parent Company's methodology and models for determining the macroeconomic scenarios used and the probability weightings applied to them; - assessing key macroeconomic variables which included comparing samples of economic variables to external sources; and - assessing the overall reasonableness of the economic forecasts by comparing the Group's and Parent Company's forecasts to our own modelled forecasts. <i>Other test of details:</i> Key aspects of our audit procedures in addition to those set out above involved: - agreeing the key inputs in the ECL calculations to underlying source documentation;

4.1. IMPAIRMENT ALLOWANCES ON LOANS AND ADVANCES AT AMORTISED COST, INCLUDING OFF-BALANCE SHEET ELEMENTS OF THE ALLOWANCE (Group and Parent Company)

Disclosure quality

The disclosures regarding the Group's and Parent Company's application of IFRS 9, including the sensitivity disclosures, are key to explaining the key judgements and material inputs to the IFRS 9 ECL results.

- selecting a sample of post model adjustments (including management overlays), considering the size and complexity, to assess the reasonableness of the adjustments by challenging key assumptions, and inspecting and reperforming the calculation methodology;
- assessing the completeness of post model adjustments identified based on our knowledge gained from other risk-assessment and substantive audit procedures; and
- selecting a sample of credit reviews to assess the reasonableness of customer risk ratings by challenging key judgements and considering disconfirming or contradictory evidence.

Assessing transparency: We assessed the appropriateness of the disclosures in relation to the uncertainty which exists when determining the ECL, including the sensitivity disclosures. In addition, we assessed whether the disclosure of the key judgements and assumptions was appropriate, in the context of the relevant accounting standards.

Communications with the Barclays Bank PLC Board Audit Committee

Our discussions with and reporting to the Board Audit Committee included:

- The effectiveness of the control environment operating over the estimation of the ECL;
- Model monitoring results and post model adjustments made;
- Management's economic forecast and associated scenario probability weights;
- The identification and estimation of post model adjustments; and
- The disclosures made to explain ECL, including explaining the resulting estimation uncertainty

Areas of particular auditor judgement

We identified the following as the areas of particular auditor judgement:

- The appropriateness of the model estimations; and
- The completeness of qualitative adjustments and the valuation of certain qualitative adjustments.

Our results

Based on the risk identified and our procedures performed we considered the impairment allowances on loans and advances at amortised cost, including off-balance sheet elements of the allowance and the related disclosures to be acceptable (2024 result: acceptable).

Further information in the Annual Report and Accounts: See the Board Audit Committee Report on page 28 for details on how the Board Audit Committee considered impairment as an area of significant attention, page 306 to 309 for the accounting policy on Impairment of financial instruments under IFRS 9, pages 162 to 216 for the credit risk disclosures, and Note 8 Credit Impairment charges for the financial disclosure.

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4.2 VALUATION OF FINANCIAL INSTRUMENTS HELD AT FAIR VALUE (Group and Parent Company)

Financial Statement Elements				Our assessment of risk vs FY24	Our results
		FY25	FY24		
Level 2 assets at fair value (note 16)	Group	£501bn	£579bn	↔ Our assessment is that the risk is similar to FY24.	FY25: Acceptable FY24: Acceptable
	Parent	£520bn	£576bn		
Level 2 liabilities at fair value (note 16)	Group	£539bn	£581bn		
	Parent	£578bn	£586bn		
Level 3 assets at fair value (note 16)	Group	£21bn	£21.9bn		
	Parent	£18bn	£19bn		
Level 3 liabilities at fair value (note 16)	Group	£8bn	£6.9bn		
	Parent	£7.5bn	£6.6bn		

Description of the Key Audit Matter

Subjective valuation

The fair value of certain of the Group's and Parent Company's financial instruments is determined through the application of valuation techniques which requires the exercise of significant judgement by the Group in selecting appropriate models, determining key pricing inputs and applying post model pricing adjustments, including fair value adjustments (FVAs), and other credit, collateral and funding adjustments (together referred to as XVAs).

Level 3 financial instruments have significant pricing inputs which are unobservable. For those assets, the inherent subjectivity and estimation uncertainty are high. As such, the valuations of Level 3 financial instruments are considered to have a significant risk of material misstatement due to error and fraud.

For certain Level 2 financial instruments and fair value adjustments, valuation complexity also arises where the modelling techniques involve significant limitations or where market participants may apply different pricing methodologies for similar instruments.

We have identified two areas of such complexity for Level 2 financial instruments:

We have identified two areas of such complexity:

- A specific derivatives portfolio with modelling complexity associated with the product; and
- Certain XVA adjustments made to uncollateralised and partially collateralised derivatives.

As part of our risk assessment, we determined that the subjective estimates in the fair value measurement of Level 3, harder-to-value Level 2 financial instruments, and certain XVAs have a high degree of estimation uncertainty, with a potential range of reasonable outcomes greater than our materiality for the financial statements, and possibly many times that amount. The financial statements (note 16) disclose the sensitivity in Level 3 portfolios estimated by the Group.

Disclosure quality

For the Level 3 portfolios, the disclosures, including the sensitivity disclosures, are key to explaining the valuation techniques, key judgements, assumptions and material inputs.

Our response to the risk

Our procedures to address the risk included:

Risk assessment: We performed granular and detailed risk assessment procedures throughout the audit period over the entirety of the balances within the Group's and Parent Company's financial statements (i.e. all fair value financial instruments held by the Group and the Parent Company). As part of these risk assessment procedures, we identified the portfolios and the associated valuation inputs with a risk of material misstatement including those arising from significant judgements over valuation either due to unobservable inputs or complex models. We involved valuation specialists in our risk assessment process.

Control testing: We attended management's Valuation Committee throughout the year and observed discussion and challenge over valuation themes including items related to the valuation of certain harder-to-value financial instruments recorded at fair value.

We performed end to end process walkthroughs to identify the key systems, applications and controls used in the valuations processes. We tested the design and operating effectiveness of key controls relating specifically to these portfolios.

Key aspects of our controls testing involved evaluating the design and implementation and testing the operating effectiveness of the key controls over:

- independent price verification (IPV), performed by a control function, of key market pricing inputs, including completeness of positions and valuation inputs subject to the IPV control;
- fair value adjustments (FVAs), including exit adjustments (to mark the portfolio to bid or offer prices), model shortcoming reserves to address model limitations, assumptions and XVAs; and
- the validation, completeness, implementation and usage of valuation models. This included controls over assessment of model limitations and assumptions.

Our valuations expertise: We involved our own valuation specialists with specialised skills and knowledge, who assisted in the following:

- independently re-pricing a selection of fair value financial instruments and challenging management on the valuations where they were outside our pre-defined acceptable range; and
- challenging the appropriateness of significant models and methodologies used in calculating fair values, risk exposures and in calculating FVAs and XVAs, including comparison to industry practice.

Seeking contradictory evidence: For a selection of collateral disputes identified through management's control where significant fair value differences were observable with the market participant on the other side of the trade, we challenged management's valuation by inspecting evidence of the investigation and resolution of the disputes. We also utilised collateral dispute data to identify fair value financial instruments with significant fair value differences against market counterparties and selected these to independently reprice.

Inspection of movements: We inspected trading revenue arising on level 3 positions to assess whether material day one gains or losses generated were recognised in line with the accounting standards.

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Historical comparison: We performed a retrospective review by inspecting significant gains and losses on a selection of new fair value financial instruments, position exits and restructurings throughout the audit period and evaluated whether these data points indicated elements of fair value not incorporated in the current valuation methodologies. We also inspected movements in unobservable inputs throughout the period to challenge whether any gain or loss generated was appropriate.

Assessing transparency: For the Level 3 financial instruments, we assessed the appropriateness of the disclosures in relation to the related estimation uncertainty, including sensitivity disclosures and in the context of the relevant accounting standards.

Communications with the Barclays Bank PLC Board Audit Committee

Our discussions with and reporting to the Board Audit Committee included:

- Our approach to the audit of the fair value of Level 3 and certain Level 2 financial instrument assets and liabilities. This included details of our risk assessment, controls and substantive procedures.
- Our conclusions on the appropriateness of the Group's and Parent Company's fair value methodology, models, pricing inputs and fair value adjustments.

Areas of particular auditor judgement

We identified the following as the areas of particular auditor judgement:

- The valuation of Level 3, harder-to-value level 2 financial instruments and certain XVAs, specifically with regards to the selection of market data inputs, valuation models and related assumptions.

Our results

Based on the risk identified and our procedures performed we consider the fair value of Level 3 and harder-to-value Level 2 financial instrument assets and liabilities recognised and the related disclosures for Level 3 financial instrument assets and liabilities to be acceptable (2024 result: acceptable).

Further information in the Annual Report and Accounts: See the Board Audit Committee Report on page 28 for details on how the Board Audit Committee considered Valuations as an area of significant attention, pages 296 to 297 for the accounting policy on financial assets and liabilities, and Note 16; Fair Value of financial instruments for the financial disclosures.

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4.3. VALUATION OF THE GROSS DEFINED BENEFIT PENSION OBLIGATION IN RESPECT OF THE UK RETIREMENT FUND ('UKRF') (Group and Parent Company)

Financial Statement Elements			Our assessment of risk vs FY24	Our results
	FY25	FY24		
Defined benefit obligation related to UKRF - (note 30)	£17.7bn	£18.7bn	↔ Our assessment is that the risk is similar to FY24.	FY25: Acceptable FY24: Acceptable

Description of the Key Audit Matter	Our response to the risk
Subjective valuation The valuation of the defined benefit obligation in respect of the UKRF is dependent on key actuarial assumptions, including the discount rates, retail price index ('RPI') and mortality assumptions. Small changes to these assumptions could have a significant impact on the valuation of the defined benefit pension obligation. As part of our risk assessment, we determined that the defined benefit pension obligation has a high degree of estimation uncertainty, with a potential range of reasonable outcomes greater than our materiality for the financial statements, and possibly many times that amount. Disclosure quality The disclosures regarding the Group's application of IAS 19 (including risks, assumptions, sensitivities and sources of estimation uncertainty) are key to explaining the key judgements applied in the IAS 19 Defined Benefit Obligation calculation.	Our procedures to address the risk included: <i>Risk assessment:</i> We performed granular and detailed risk assessment procedures throughout the audit period over the UKRF. As part of these procedures, we inquired with management and the Group's and Parent Company's actuaries to understand any changes to the process in the computation of the DBO along with the methodology, assumptions and source data used. We also perform end to end process walkthroughs and considered the impact of any new developments during the year on our risk assessment and our audit approach. <i>Control testing:</i> We performed end to end process walkthroughs to identify the key systems, applications and controls used in the defined benefit obligation process. We tested the design and operating effectiveness of key controls relating to the process. Key aspects of our controls testing involved evaluating the design and implementation and testing the operating effectiveness of the key controls over management's review of IAS 19 assumptions including the discount rate, RPI and mortality assumptions; <i>Evaluation of management's expert:</i> We evaluated the objectivity and competence of management's actuarial expert involved in the valuation of the defined benefit pension obligation. <i>Our actuarial expertise:</i> We involved our own actuarial specialists in the following: - evaluating the judgements made and the appropriateness of methodologies used by The Group and the Parent Company and the Group and Parent Company's actuarial expert in determining the key actuarial assumptions; and - comparing the assumptions used by the Group and the Parent Company to our independently compiled expected ranges based on market observable data and our market experience. <i>Assessing transparency:</i> We assessed the appropriateness of the Group's and Parent Company's financial statements disclosures in relation to the estimation uncertainty involved in determining the valuation of defined benefit obligations and in the context of the relevant accounting standards.

Communications with the Barclays Bank PLC Board Audit Committee

Our discussions with and reporting to the Board Audit Committee included;

- Our audit risk assessment definition of the Key Audit Matter for relating to the valuation of the defined benefit pension obligation including the rationale for not including the valuation of pension assets in the key audit matter.
- We also discussed our audit response to the key audit matter which included the use of specialists to challenge key aspects of management's actuarial valuation.

Areas of particular auditor judgement

- Subjective and complex auditor judgement was required in evaluating the key actuarial assumptions used by the Group (including the discount rate, retail price index and mortality assumptions).

Our results

Based on the risk identified and our procedures performed we consider the valuation of the defined benefit pension obligation in respect of UKRF and the related disclosures to be acceptable (2024 result: acceptable).

Further information in the Annual Report and Accounts: See the Board Audit Committee Report on page 28 for details on how the Board Audit Committee considered the valuation of gross defined benefit pension obligation in respect of the UK Retirement Fund as an area of significant attention, page 381 for the accounting policy on the valuation of gross defined benefit pension obligation in respect of the UK Retirement Fund, and Note 30 for the financial disclosures.

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4.4. USER ACCESS MANAGEMENT (Group and Parent Company)

Financial Statement Elements	Our assessment of risk vs FY24	Our results
User access management has a potential impact throughout the financial statements.	 Our assessment is that the risk is similar to FY24.	FY25: Acceptable FY24: Acceptable

Description of the Key Audit Matter	Our response to the risk
Control Performance Operations across several countries support a wide range of products and services resulting in a large and complex IT infrastructure relevant to the financial reporting processes and related internal controls. User access management controls are an integral part of the IT environment to ensure both system access and changes made to systems and data are authorised and appropriate. Our audit approach relies on the effectiveness of IT access and change management controls. Our audit procedures identified deficiencies in certain IT access controls for systems relevant to financial reporting, similar to those identified in the prior years. Management continues to remediate the identified deficiencies around monitoring activities performed by privileged users on infrastructure components. Since some of these deficiencies remained open during the year and as at year end, we performed additional procedures to respond to the risk of unauthorised changes to automated controls over financial reporting, such as an assessment of compensating controls implemented and operated by management during the period.	Our procedures to address the risk included: <i>Control testing:</i> We tested the design, implementation and operating effectiveness of automated controls that support material balances in the financial statements. We also tested the design and operating effectiveness of the relevant preventative and detective general IT controls over user access management including: - authorising access rights for new joiners; - timely removal of user access rights; - logging and monitoring of user activities; - privileged user access management and monitoring; - developer access to transaction and balance information; - segregation of duties; - re-certification of user access rights; and - restricting access to make changes to systems and data. We re-evaluated the risk associated with these controls based on previously identified control deficiencies and increased sampling where relevant. We performed procedures to assess whether additional detective compensating controls operate at the required level of precision to support our assessed risk of unauthorised activities and we tested management's detective controls.

Communications with the Barclays Bank PLC Board Audit Committee

Our discussions with and reporting to the Board Audit Committee included:

- Our procedures to address the identified risk, as well as the results of the procedures performed.

Areas of particular auditor judgement

We identified the following as the areas of particular auditor judgement:

- The Key Audit Matter relates to determining whether user access management controls were designed and implemented and operated effectively. Limited auditor judgement was required relative to the other Key Audit Matters which have been identified.

Our results

Based on the risk identified and our procedures performed, our testing did not identify weaknesses in the design and operation of user access management controls that would have required us to significantly expand the extent of our planned detailed testing

5. OUR ABILITY TO DETECT IRREGULARITIES, AND OUR RESPONSE

FRAUD - IDENTIFYING AND RESPONDING TO RISKS OF MATERIAL MISSTATEMENT DUE TO FRAUD	
FRAUD RISK ASSESSMENT	To identify risks of material misstatement due to fraud ("fraud risks") we assessed events or conditions that could indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud. In this risk assessment we considered the following: • Our meetings throughout the year with the Group Head of Legal, Group Head of Risk, and Group Head of Compliance and inspection of Barclays' internal ethics and compliance reporting summaries, including those concerning investigations and regulatory correspondence; • Enquiries of operational managers, internal audit, and the Board Audit Committee and inspection of policy documentation as to the Group's high-level policies and procedures relating to: ◦ detecting and responding to the risks of fraud as well as whether they have knowledge of any actual, suspected or alleged fraud; and ◦ the internal controls established to mitigate risks related to fraud; • The Group's remuneration policies and key drivers for remuneration and bonus levels; • The full population of all journal entries to analyse using KPMG audit tools to identify any journals with high risk of fraud using predefined high risk criteria. • Considered the impact of the pressure to meet targets set out in the strategic plan. FY25 marked the second year of execution against the three-year strategic plan announced by Barclays Bank PLC Group in their February 2024 Investor Update; and • Discussions among the engagement team regarding how and where fraud might occur in the financial statements and any potential indicators of fraud. The engagement team includes audit partners and staff who have extensive experience of working with banks, and this experience was relevant to the discussion about where fraud risks may arise. The discussions also involved our forensic specialists to assist us in identifying fraud risk factors based on discussions of the circumstances of the Group and Parent Company, including consideration of fraudulent schemes that had arisen in similar sectors and industries. The forensic specialists participated in the initial fraud risk assessment discussions and were consulted as required where further guidance was necessary.
FRAUD RISK COMMUNICATIONS	We communicated identified fraud risks throughout the audit team and we remained alert to any indications of fraud throughout the audit. This included communication from the Group to component audit teams of relevant fraud risks identified at the Group and requesting component auditors to report to the Group auditor any identified fraud risks or identified or suspected instances of fraud.
FRAUD RISKS AND OUR PROCEDURES TO ADDRESS THEM	We identified four fraud risks which were communicated to component audit teams. The nature of these fraud risks is substantially unchanged from the prior year. The fraud risks we identified are set out below: 1) IFRS 9 ECL- Judgemental qualitative adjustments made to the ECL provision 2) Valuations- risk relating to unobservable pricing inputs used to price level 3 fair value instruments 3) Existence and accuracy of unconfirmed over-the-counter bilateral derivatives 4) The risk of management override of controls, common with all audits under ISAs (UK). As required by auditing standards and taking into account our overall knowledge of the control environment, we performed procedures to address the above risks, the risk that Group and component management may be in a position to make inappropriate accounting entries and the risk of management bias in accounting estimates and judgements. In this audit, we have not identified a significant risk of fraud related to revenue recognition for the Group as a whole. This conclusion is based on the nature of the revenue streams, which suggests limited opportunities for management to manipulate revenue, considering the characteristics, volume, and judgments involved in each revenue stream. Our audit procedures included evaluating the design and implementation and operating effectiveness of relevant internal controls, assessing significant accounting estimates for bias, as well as substantive procedures to address the fraud risks. These procedures also included identifying journal entries using KPMG audit tools to test based on high risk criteria and comparing the identified entries to supporting documentation. <i>Incorporating unpredictability into our audit:</i> A requirement of the auditing standards is that we undertake procedures which are deliberately unexpected and could not have reasonably been predicted by Barclays' management. As an example, we update our criteria for selecting journals with a higher risk of management override for testing each year so that the selection criteria do not become predictable.
LINK TO KEY AUDIT MATTERS	Further details of the testing we perform over the identified fraud risks for ECL and fair value of financial instruments are included in the respective key audit matters sections 4.1 and 4.2 of this report, as some procedures relating to those estimates also address the risk of fraud.

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LAWS AND REGULATIONS - IDENTIFYING AND RESPONDING TO RISKS OF MATERIAL MISSTATEMENT DUE TO NON-COMPLIANCE WITH LAWS AND REGULATIONS

RISK ASSESSMENT	We identified areas of laws and regulations that could reasonably be expected to have a material effect on the financial statements. For this risk assessment, matters considered include the following: • our general commercial and sector experience; • inquiries with the directors and management • inspection of the Group's key regulatory and legal correspondence; • inspection of the policies and procedures regarding compliance with laws and regulations; • relevant discussions with the Group's external legal counsel; • relevant discussions with the Group's key regulatory supervisors including the Prudential Regulation Authority, Financial Conduct Authority, Federal Reserve Board, Federal Deposit Insurance Corporation and the Joint Supervisory Teams of the European Central Bank; and • the Group's own assessment of the risks of non-compliance with laws and regulations, and the internal controls established to mitigate these. This assessment was considered and approved by the Board. Our risk assessment also considered instances of non-compliance with laws and regulations and enforcement actions against the Group during the year and specifically those that could reasonably be expected to have a material effect on the financial statements. As the Group operates in a highly regulated environment, our assessment of risks of material misstatement also considered the control environment, including the Group's higher-level procedures for complying with regulatory requirements. Our assessment included inspection of key frameworks, policies and standards in place, understanding and evaluating the role of the compliance function in establishing these and monitoring compliance and testing of related controls around whistleblowing and complaints.
RISK COMMUNICATION	Our identified laws and regulations risks were communicated throughout our team and we remained alert to any indications of non-compliance throughout the audit. This included communication from the Group to component audit teams of relevant laws and regulations identified at Group level.
DIRECT LAWS CONTEXT AND LINK TO AUDIT	The potential effect of these laws and regulations on the financial statements varies considerably. Firstly, the Group is subject to laws and regulations that directly impact the financial statements including: • financial reporting legislation (including related companies' legislation); • distributable profits legislation; and • taxation legislation (direct and indirect). We assessed the extent of compliance with these laws and regulations as part of our procedures on the related financial statement items.
MOST SIGNIFICANT INDIRECT LAW/REGULATION AREAS	Secondly, the Group is subject to many other laws and regulations where the consequences of non-compliance could have a material effect on amounts or disclosures in the financial statements, for instance through the imposition of fines, remediation payments or litigation, or the loss of the Group's permission to operate in countries where the non-adherence to laws could prevent trading in such countries. We identified the following areas as those most likely to have such an effect: • Specific aspects of regulatory capital and liquidity requirements • Other banking laws and regulations including securities issuance law • Customer conduct rules • Money laundering • Sanctions list and financial crime • Market abuse regulations • Certain aspects of companies legislation recognising the financial and regulated nature of the Group's activities. Auditing standards limit the required audit procedures to identify non-compliance with these laws and regulations to enquiry of the directors and other management and inspection of regulatory and legal correspondence, if any. If a breach of operational regulations is not disclosed to us or evident from relevant correspondence, an audit will not detect that breach.

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AUDIT RESPONSE	In relation to the legal, competition and regulatory matters disclosed in note 25 we performed audit procedures which included making inquiries of Barclays' internal counsel and inspection of minutes of meetings and of regulatory correspondence. For a subset of these matters which we deemed to be more significant we also made inquiries of external counsel and obtained legal confirmations from Barclays' external counsel. In respect of regulatory matters relating to conduct risk as disclosed in note 25 our procedures included inspection of regulatory correspondence, independent inquiry of the Group's main regulators and performing audit procedures to respond to risks of material misstatement identified in recognised conduct provisions.
CONTEXT OF THE ABILITY OF THE AUDIT TO DETECT FRAUD OR BREACHES OF LAW OR REGULATION	Owing to the inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards. For example, the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely the inherently limited procedures required by auditing standards would identify it. In addition, as with any audit, there remained a higher risk of non-detection of fraud, as these may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls. Our audit procedures are designed to detect material misstatement. We are not responsible for preventing non-compliance or fraud and cannot be expected to detect non-compliance with all laws and regulations.

6. OUR DETERMINATION OF MATERIALITY

The scope of our audit was influenced by our application of materiality. We set quantitative thresholds and overlay qualitative considerations to help us determine the scope of our audit and the nature, timing and extent of our procedures, and in evaluating the effect of misstatements, both individually and in the aggregate, on the financial statements as a whole.

MATERIALITY FOR THE GROUP FINANCIAL STATEMENTS AS A WHOLE 2025: £265m 2024: £240m	What we mean A quantitative reference for the purpose of planning and performing our audit
	Basis for determining materiality and judgements applied Materiality for the Group financial statements as a whole was set at £265m (FY24: £240m). This was determined with reference to a benchmark of profit before tax (PBT). Consistent with FY24, we determined that PBT remains the main benchmark for the Group as it is the metric in the primary statements which best reflects the focus of the users of the financial statements. In FY24 we adjusted for the impact of inorganic activities, which comprised losses on portfolio sales during the year, that resulted in additional losses of £255m. Our Group materiality of £265m was determined by applying a percentage to the normalised PBT. When using a benchmark of PBT to determine overall materiality, KPMG's approach for listed entities considers a guideline range 3% - 5% of the measure. In setting overall Group materiality, we applied a percentage of 4.5% (FY24: 4.8%) to the benchmark. Materiality for the Parent Company financial statements as a whole was set at £165m (FY24: £150m), which is the component materiality for the parent company determined by the group audit engagement team. This is lower than the materiality we would otherwise have determined with reference to a benchmark of net assets, of which it represents 0.3% (FY24: 0.3%).

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PERFORMANCE MATERIALITY 2025: £172m 2024: £149m	What we mean Our procedures on individual account balances and disclosures were performed to a lower threshold, performance materiality, so as to reduce to an acceptable level the risk that individually immaterial misstatements in individual account balances add up to a material amount across the financial statements as a whole.
	Basis for determining performance materiality and judgements applied We have considered performance materiality at a level of 65% (FY24: 65%) of materiality for Barclays Bank PLC Group's financial statements as a whole to be appropriate. The Parent Company performance materiality was set at £107m (FY24: £97m), which equates to 65% (FY24: 65%) of materiality for the Parent Company financial statements as a whole. We applied this percentage in our determination of performance materiality based on the level of control deficiencies during the prior period.

AUDIT MISSTATEMENT POSTING THRESHOLD 2025: £13m 2024: £12m	What we mean Our procedures on individual account balances and disclosures were performed to a lower threshold, performance materiality, so as to reduce to an acceptable level the risk that individually immaterial misstatements in individual account balances add up to a material amount across the financial statements as a whole.
	Basis for determining the audit misstatement reporting threshold and judgements applied We set our audit misstatement posting threshold at 5% (FY24: 5%) of our materiality for the Group financial statements. We also report to the Board Audit Committee any other identified misstatements that warrant reporting on qualitative grounds.

The overall materiality for the Group financial statements of £265m (2024: £240m) compares as follows to the other main financial statement elements amounts.

	Total Revenue		Total Assets		Net Assets	
	FY25	FY24	FY25	FY24	FY25	FY24
Financial Statement Caption	£20,927	£19,037m	£1,245,473	£1,218,524m	£62,313m	£59,220m
Group Materiality as % of caption	1.27%	1.26%	0.02%	0.02%	0.43%	0.41%

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Independent Auditor's report to the members of Barclays Bank PLC

7. THE SCOPE OF OUR AUDIT

GROUP SCOPE	What we mean How the Group audit team determined the procedures to be performed across the Group. We performed risk assessment procedures to determine which of the Group's components are likely to include risks of material misstatement to the Group financial statements and which procedures to perform at these components to address those risks. In total, we identified five (FY24: five) components, having considered our evaluation of the Group's operational structure; the Group's legal structure; the existence of common information systems; the existence of common risk profile across entities/business units/ functions/ business activity; geographical locations; and other audit specific factors and our ability to perform audit procedures centrally. Of those, we identified four (FY24: four) quantitatively significant components which contained the largest percentages of either total revenue or total assets of the Group, for which we performed audit procedures. We also identified one (FY24: one component as requiring special audit consideration, owing to Group risks relating to the valuation of financial instruments held at fair value residing in that component (FY24: valuation of financial instruments held at fair value and impairment allowances on loans and advances at amortised cost residing in that component). Accordingly, we performed audit procedures on five (FY24: five components). We involved component auditors on three (FY24: three components). We performed audit procedures on the items excluded from the Group profit before tax used as the benchmark for our materiality where we assessed there to be a risk of material misstatement. We also performed an audit of the parent Company which is both a component of the Group and has separately disclosed financial statements. We set the component materialities, ranging from £55m to £165m (FY24: £40m to £150m), having regard to size and risk profile. Our audit procedures covered 98% (FY24: 98%) of Group total income. Impact of controls on our Group audit Barclays relies on the effectiveness of internal controls over financial reporting at the Group level, both in the Global Capability Centre (GCC) in India and at country level, and operates both automated and manual controls. Barclays Bank PLC is a wholly owned subsidiary of Barclays PLC, which is a Foreign Private Issuer, and is subject to the US Sarbanes-Oxley Act ('SOx') control reporting requirements as required by the SEC in the United States. We have therefore tested the design and operations of controls in all areas of our audit where we identified a risk of material misstatement. We identified 628 applications to be the main IT applications relevant to the audit. This included the ledger and the consolidation application. We used IT specialists to assist us in assessing the design and operating effectiveness of the general IT controls and business automated controls of these applications, with this testing managed from the UK. Following our testing, we relied on general IT controls and business automated controls in determining the work to be performed in the audit. The Group audit team evaluated the design and operating effectiveness of key manual process level controls operating centrally at the Group level (including those operated at the GCC). Component auditors further evaluated the design and operating effectiveness of key manual controls that operate at country level (including those operated at the GCC) to address specific local financial reporting risks that could impact the group audit opinion. Results from all testing were communicated to the group audit team. Based on the outcome of our testing of controls, including compensating controls where relevant, we were able to rely upon the Group's internal control over financial reporting in all areas of our audit and, where our controls testing supported this approach, we were able to reduce the scope of our substantive audit work.
	What we mean The extent of the Group auditor's involvement in work performed by component auditors. In working with component auditors, we: - included the component auditors' engagement partners and managers in the Group risk assessment and planning discussions at a global planning conference to incorporate inputs from component auditors in the identification of matters relevant to the Group audit. - visited all (FY24: all) component auditors in person as the audit progressed to understand and evaluate their work, and organised regular video conferences with the component auditors. At these visits and meetings and video conferences, the results of the planning procedures and further audit procedures communicated to us were discussed in more detail and any further work required by us was then performed by the component auditors. - issued Group audit instructions to component auditors on the scope and nature of their work. - inspected the work performed by the component auditors for the purpose of the Group audit and evaluated the appropriateness of conclusions drawn from the audit evidence obtained and consistencies between communicated findings and work performed, with a particular focus on impairment allowance on loans and advances at amortised cost and valuation of financial instruments held at fair value. - Stuart Crisp, the Group Lead Engagement Partner (and Senior Statutory Auditor), attended Board Audit Committee and Board Risk Committee for Barclays PLC and Barclays Bank PLC. Stuart also attended at least one Board Audit Committee for Barclays Bank Europe, and the Intermediate Holding Company (IHC) covering Barclays Capital Inc. and Barclays Bank Delaware.

Independent Auditor's report

Independent Auditor's report to the members of Barclays Bank PLC

8. OTHER INFORMATION IN THE ANNUAL REPORT

The directors are responsible for the other information presented in the Annual Report together with the financial statements. Our opinion on the financial statements does not cover the other information and, accordingly, we do not express an audit opinion or, except as explicitly stated below, any form of assurance conclusion thereon.

ALL OTHER INFORMATION

Our responsibility

Our responsibility is to read the other information and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge.

Our reporting

Based solely on that work we have not identified material misstatements or inconsistencies in the other information.

STRATEGIC REPORT AND THE DIRECTORS' REPORT

Our responsibility

Based solely on our work on the other information described above we report to you as follows:

- we have not identified material misstatements in the strategic report and the directors' report;
- in our opinion the information given in those reports for the financial year is consistent with the financial statements; and
- in our opinion those reports have been prepared in accordance with the Companies Act 2006.

DIRECTORS' REMUNERATION REPORT

Our responsibility

We are required to form an opinion as to whether the part of the Directors' Remuneration Report to be audited has been properly prepared in accordance with the Companies Act 2006.

Our reporting

In our opinion the part of the Directors' Remuneration Report to be audited has been properly prepared in accordance with the Companies Act 2006.

CORPORATE GOVERNANCE DISCLOSURES

Our responsibility

We are required to perform procedures to identify whether there is a material inconsistency between the financial statements and our audit knowledge, and:

- the directors' statement that they consider that the annual report and financial statements taken as a whole is fair, balanced and understandable, and provides the information necessary for shareholders to assess the Group's position and performance, business model and strategy;
- the section of the annual report describing the work of the Audit Committee, including the significant issues that the Audit Committee considered in relation to the financial statements, and how these issues were addressed; and
- the section of the annual report that describes the review of the effectiveness of the Group's risk management and internal control systems.

Our reporting

Based on those procedures, we have concluded that each of these disclosures is materially consistent with the financial statements and our audit knowledge.

We are also required to review the part of the Corporate Governance Statement relating to the Group's compliance with the provisions of the UK Corporate Governance Code specified by the UK Listing Rules for our review.

We have nothing to report in this respect.

OTHER MATTERS ON WHICH WE ARE REQUIRED TO REPORT BY EXCEPTION

Our responsibility

Under the Companies Act 2006, we are required to report to you if, in our opinion:

- adequate accounting records have not been kept by the Parent Company, or returns adequate for our audit have not been received from branches not visited by us; or
- the Parent Company financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Our reporting

We have nothing to report in these respects.

Independent Auditor's report

Independent Auditor's report to the members of Barclays Bank PLC

9. EUROPEAN SINGLE ELECTRONIC FORMAT (ESEF)

Barclays Bank PLC has prepared its consolidated financial statements, which comprise the consolidated income statement, consolidated statement of comprehensive income, consolidated statement of changes in equity, consolidated balance sheet, and consolidated cash flow statement and the related notes, in ESEF. The requirements for this format are set out in the Commission Delegated Regulation (EU) 2019/815 with regard to regulatory technical standards on the specification of a single electronic reporting format ("the ESEF Regulation").

The Directors are responsible for preparing the financial statements in accordance with the ESEF regulation. We were engaged by Barclays Bank PLC to report on whether the consolidated financial statements are prepared, in all material respects, in accordance with the ESEF regulation.

We have examined the consolidated financial statements in order to determine whether the consolidated financial statements of the Group as at 31 December 2025 have been prepared in compliance with the relevant requirements in the ESEF Regulation that are applicable to financial statements. This relates to financial statements prepared in a valid xHTML format, and the XBRL markup of the consolidated financial statements using the core taxonomy and the common rules on markups specified in the ESEF Regulation.

In our opinion the consolidated financial statements of Barclays Bank PLC as at 31 December 2025, identified as bbplc-2025-12-31 have been prepared, in all material respects, in compliance with the requirements of the ESEF Regulation.

10. RESPECTIVE RESPONSIBILITIES

Directors' responsibilities

As explained more fully in their statement set out on page 39, the directors are responsible for: the preparation of the financial statements including being satisfied that they give a true and fair view; such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the Group and Parent Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless they either intend to liquidate the Group or the Parent Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report. Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

A fuller description of our responsibilities is provided on the FRC's website at www.frc.org.uk/auditorsresponsibilities.

The Company is required to include these financial statements in an annual financial report prepared under Disclosure Guidance and Transparency Rule 4.1.17R and 4.1.18R. This auditor's report provides no assurance over whether the annual financial report has been prepared in accordance with those requirements

11. THE PURPOSE OF OUR AUDIT WORK AND TO WHOM WE OWE OUR RESPONSIBILITIES

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006 and the terms of our engagement by the company. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report, and the further matters we are required to state to them in accordance with the terms agreed with the company, and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.

Stuart Crisp
(Senior Statutory Auditor)
for and on behalf of KPMG LLP, Statutory Auditor

Chartered Accountants
15 Canada Square
London
E14 5GL

9 February 2026

Consolidated financial statements

Consolidated income statement

		2025	2024	2023
For the year ended 31 December	Notes	£m	£m	£m
Continuing operations				
Interest and similar income	3	23,409	25,780	24,261
Interest and similar expense	3	(16,115)	(19,035)	(17,608)
Net interest income		7,294	6,745	6,653
Fee and commission income	4	9,879	9,486	8,708
Fee and commission expense	4	(3,326)	(3,215)	(3,247)
Net fee and commission income		6,553	6,271	5,461
Net trading income	5	7,104	5,900	5,980
Net investment (expense)/income	6	(72)	69	112
Other income		48	52	62
Total income		20,927	19,037	18,268
Staff costs	28	(5,585)	(5,556)	(5,591)
Infrastructure costs	7	(816)	(795)	(1,073)
Administration and general expenses	7	(6,192)	(5,894)	(5,606)
UK regulatory levies		(228)	(242)	(149)
Litigation and conduct		(284)	(186)	(44)
Operating expenses		(13,105)	(12,673)	(12,463)
Share of post-tax results of associates and joint ventures		—	—	(4)
Loss on disposal of subsidiaries, associates and joint ventures		(13)	—	—
Profit before Impairment		7,809	6,364	5,801
Credit impairment charges	8	(1,866)	(1,617)	(1,578)
Profit before tax		5,943	4,747	4,223
Taxation	9	(1,285)	(999)	(662)
Profit after tax		4,658	3,748	3,561
Attributable to:				
Equity holders of the parent		3,875	2,956	2,753
Other equity instrument holders		783	792	808
Total equity holders of the parent		4,658	3,748	3,561
Profit after tax		4,658	3,748	3,561

As permitted by section 408 of the Companies Act 2006 an income statement for the parent company has not been presented. Included in shareholders' equity for Barclays Bank PLC is a profit after tax for the year ended 31 December 2025 of £4,490m (2024: £4,965m; 2023: £2,866m).

Consolidated financial statements

Consolidated statement of comprehensive income

	2025	2024	2023
For the year ended 31 December	£m	£m	£m
Profit after tax	4,658	3,748	3,561
Other comprehensive income/(loss) that may be recycled to profit or loss:			
Currency translation reserve			
Currency translation differences ¹	(1,107)	(143)	(1,242)
Tax	(49)	50	33
Fair value through other comprehensive income reserve movement relating to debt securities			
Net gains/(losses) from changes in fair value	695	(840)	1,142
Net losses/(gains) transferred to net profit on disposal	201	(134)	(102)
Net (gains)/losses related to (releases of) impairment	(3)	1	(2)
Net gains/(losses) due to fair value hedging	30	318	(849)
Tax	(256)	181	(54)
Cash flow hedging reserve			
Net gains/(losses) from changes in fair value	2,654	(1,349)	2,506
Net (gains)/losses transferred to net profit	(506)	1,950	1,158
Tax	(607)	(154)	(1,002)
Other comprehensive income/(loss) that may be recycled to profit or loss	1,052	(120)	1,588
Other comprehensive income/(loss) not recycled to profit or loss:			
Retirement benefit remeasurements	(13)	(419)	(1,182)
Own credit	89	(1,131)	(983)
Tax	(29)	430	609
Other comprehensive income/(loss) not recycled to profit or loss	47	(1,120)	(1,556)
Other comprehensive income/(loss) for the year	1,099	(1,240)	32
Total comprehensive income for the year	5,757	2,508	3,593
Attributable to:			
Equity holders of the parent	5,757	2,508	3,593
Total comprehensive income for the year	5,757	2,508	3,593

Note

1 Includes £34m loss (2024: £1m loss; 2023: £0m gain) on recycling of currency translation differences.

Consolidated financial statements

Consolidated balance sheet

		2025	2024
As at 31 December	Notes	£m	£m
Assets			
Cash and balances at central banks		208,544	180,365
Cash collateral and settlement balances		124,519	113,987
Debt securities at amortised cost		55,153	50,227
Loans and advances at amortised cost to banks		9,036	8,780
Loans and advances at amortised cost to customers		141,750	136,047
Reverse repurchase agreements and other similar secured lending at amortised cost		17,662	3,393
Trading portfolio assets	11	189,743	166,244
Financial assets at fair value through the income statement	12	185,002	191,845
Derivative financial instruments	13	252,192	292,356
Financial assets at fair value through other comprehensive income	14	42,818	51,010
Investments in associates and joint ventures	33	14	14
Goodwill and intangible assets	20	1,303	1,425
Property, plant and equipment	18	1,603	1,546
Current tax assets		376	785
Deferred tax assets	9	2,936	4,133
Retirement benefit assets	30	3,240	3,263
Assets included in disposal group classified as held for sale	39	5,932	9,854
Other assets		3,650	3,250
Total assets		1,245,473	1,218,524
Liabilities			
Deposits at amortised cost from banks		20,393	13,252
Deposits at amortised cost from customers		324,358	306,124
Cash collateral and settlement balances		116,811	104,627
Repurchase agreements and other similar secured borrowing at amortised cost		18,651	29,397
Debt securities in issue		57,229	35,803
Subordinated liabilities	25	45,239	41,875
Trading portfolio liabilities	11	56,829	56,182
Financial liabilities designated at fair value	15	293,527	279,777
Derivative financial instruments	13	240,757	279,331
Current tax liabilities		611	404
Deferred tax liabilities	9	1	2
Retirement benefit liabilities	30	157	164
Provisions	22	766	736
Liabilities included in disposal group classified as held for sale	39	—	3,726
Other liabilities	21	7,831	7,904
Total liabilities		1,183,160	1,159,304
Equity			
Called up share capital and share premium	26	2,346	2,348
Other equity instruments	26	10,446	9,604
Other reserves	27	(179)	(1,302)
Retained earnings		49,700	48,570
Total equity		62,313	59,220
Total liabilities and equity		1,245,473	1,218,524

The Board of Directors approved the financial statements on pages 284 to 409 on 9 February 2026.

CS Venkatakrishnan

Barclays Bank Group – Chief Executive Officer

Anna Cross

Barclays Bank Group – Interim Chief Financial Officer

Consolidated financial statements

Consolidated statement of changes in equity

Statement of changes in equity

	Called up share capital and share premium ¹	Other equity instruments ¹	Other reserves ²	Retained earnings	Total equity
	£m	£m	£m	£m	£m
Balance as at 1 January 2025	2,348	9,604	(1,302)	48,570	59,220
Profit after tax	—	783	—	3,875	4,658
Currency translation movements	—	—	(1,156)	—	(1,156)
Fair value through other comprehensive income reserve	—	—	667	—	667
Cash flow hedges	—	—	1,541	—	1,541
Retirement benefit remeasurement	—	—	—	(16)	(16)
Own credit reserve	—	—	63	—	63
Total comprehensive income for the year	—	783	1,115	3,859	5,757
Issue and redemption of other equity instruments	—	842	—	(5)	837
Other equity instruments coupons paid	—	(783)	—	—	(783)
Redemption of preference shares	(2)	—	2	(270)	(270)
Employee settled Barclays PLC share schemes	—	—	—	667	667
Vesting of Barclays PLC shares under share-based payment schemes	—	—	—	(530)	(530)
Dividends on ordinary shares	—	—	—	(2,570)	(2,570)
Dividends on preference shares and other shareholders equity	—	—	—	(32)	(32)
Other reserve movements	—	—	6	11	17
Balance as at 31 December 2025	2,346	10,446	(179)	49,700	62,313

Notes

- 1 For further details refer to Note 26.
- 2 For further details refer to Note 27.

Statement of changes in equity

	Called up share capital and share premium ¹	Other equity instruments ¹	Other reserves ²	Retained earnings	Total equity
	£m	£m	£m	£m	£m
Balance as at 1 January 2024	2,348	10,765	(363)	47,754	60,504
Profit after tax	—	792	—	2,956	3,748
Currency translation movements	—	—	(93)	—	(93)
Fair value through other comprehensive income reserve	—	—	(474)	—	(474)
Cash flow hedges	—	—	447	—	447
Retirement benefit remeasurement	—	—	—	(298)	(298)
Own credit reserve	—	—	(822)	—	(822)
Total comprehensive income for the year	—	792	(942)	2,658	2,508
Issue and redemption of other equity instruments	—	(1,161)	—	(92)	(1,253)
Other equity instruments coupons paid	—	(792)	—	—	(792)
Employee settled Barclays PLC share schemes	—	—	—	531	531
Vesting of Barclays PLC shares under share-based payment schemes	—	—	—	(448)	(448)
Dividends on ordinary shares	—	—	—	(1,782)	(1,782)
Dividends on preference shares and other shareholders equity	—	—	—	(41)	(41)
Other reserve movements	—	—	3	(10)	(7)
Balance as at 31 December 2024	2,348	9,604	(1,302)	48,570	59,220

Notes

- 1 For further details refer to Note 26.
- 2 For further details refer to Note 27.

Consolidated financial statements

Consolidated statement of changes in equity

Statement of changes in equity

	Called up share capital and share premium	Other equity instruments	Other reserves	Retained earnings	Total equity
	£m	£m	£m	£m	£m
Balance as at 1 January 2023	2,348	10,691	(1,464)	47,378	58,953
Profit after tax	—	808	—	2,753	3,561
Currency translation movements	—	—	(1,209)	—	(1,209)
Fair value through other comprehensive income reserve	—	—	135	—	135
Cash flow hedges	—	—	2,662	—	2,662
Retirement benefit remeasurement	—	—	—	(846)	(846)
Own credit reserve	—	—	(710)	—	(710)
Total comprehensive income for the year	—	808	878	1,907	3,593
Issue and redemption of other equity instruments	—	74	—	(12)	62
Other equity instruments coupons paid	—	(808)	—	—	(808)
Employee settled Barclays PLC share schemes	—	—	—	409	409
Vesting of Barclays PLC shares under share-based payment schemes	—	—	—	(442)	(442)
Dividends on ordinary shares	—	—	—	(1,348)	(1,348)
Dividends on preference shares and other shareholders equity	—	—	—	(40)	(40)
Net equity impact on inter Barclays PLC Group transfers	—	—	220	(96)	124
Other reserve movements	—	—	3	(2)	1
Balance as at 31 December 2023	2,348	10,765	(363)	47,754	60,504

Consolidated financial statements

Consolidated cash flow statement

		2025	2024	2023
For the year ended 31 December	Notes	£m	£m	£m
Reconciliation of profit before tax to net cash flows from operating activities:				
Profit before tax		5,943	4,747	4,223
Adjustment for non-cash items:				
Credit impairment charges		1,866	1,617	1,578
Depreciation, amortisation and impairment of property, plant, equipment and intangibles		362	356	489
Provisions and pension charges		268	195	63
Net loss on disposal of investments and property, plant and equipment		13	9	7
Other non-cash movements including exchange rate movements		4,863	1,835	7,567
Changes in operating assets and liabilities				
Net decrease in cash collateral and settlement balances		2,252	2,060	31
Net (increase)/decrease in loans and advances at amortised cost		(7,782)	(2,556)	8,313
Net increase in reverse repurchase agreements and other similar secured lending		(14,269)	(2,290)	(378)
Net increase in deposits at amortised cost		25,375	17,578	10,219
Net increase/(decrease) in debt securities in issue		21,426	(9,850)	(14,359)
Net (decrease)/increase in repurchase agreements and other similar secured borrowing		(10,746)	843	16,589
Net decrease/(increase) in derivative financial instruments		1,590	(6,794)	7,539
Net (increase)/decrease in trading portfolio assets		(23,499)	8,322	(40,795)
Net increase/(decrease) in trading portfolio liabilities		647	(1,579)	(14,699)
Net increase/(decrease) in financial assets and liabilities at fair value through the income statement		20,593	(6,415)	33,410
Net increase in other assets		(167)	(3,962)	(1,301)
Net decrease in other liabilities		(384)	(1,440)	(1,864)
Corporate income tax paid		(248)	(685)	(265)
Net cash from operating activities		28,103	1,991	16,367
Purchase of debt securities at amortised cost		(15,658)	(27,617)	(14,901)
Proceeds from redemption or sale of debt securities at amortised cost		9,828	16,922	2,681
Purchase of financial assets at fair value through other comprehensive income		(29,747)	(52,347)	(50,254)
Proceeds from sale or redemption of financial assets at fair value through other comprehensive income		38,246	51,803	44,126
Purchase of property, plant and equipment and investment in intangibles		(574)	(512)	(439)
Acquisition of business		—	(232)	—
Other cash flows associated with investing activities ¹		—	2,749	—
Net cash from investing activities		2,095	(9,234)	(18,787)
Dividends paid and other coupon payments on equity instruments		(3,385)	(2,615)	(2,196)
Issuance of subordinated liabilities	25	9,808	11,222	5,986
Redemption of subordinated liabilities	25	(5,665)	(5,067)	(7,431)
Issue of shares and other equity instruments	26	2,770	970	2,499
Repurchase of shares and other equity instruments	26	(2,198)	(2,131)	(2,425)
Vesting of employee share schemes		(530)	(448)	(442)
Net cash from financing activities		800	1,931	(4,009)
Effect of exchange rates on cash and cash equivalents		(1,740)	(2,405)	(5,013)
Net increase/(decrease) in cash and cash equivalents		29,258	(7,717)	(11,442)
Cash and cash equivalents at beginning of year		200,695	208,412	219,854
Cash and cash equivalents at end of year		229,953	200,695	208,412
Cash and cash equivalents comprise:				
Cash and balances at central banks		208,544	180,365	189,686
Loans and advances to banks with original maturity of three months or less		7,802	7,758	7,117
Cash collateral balances with central banks with original maturity of three months or less		11,625	11,025	10,325
Treasury and other eligible bills with original maturity of three months or less		1,982	1,547	1,284
Cash and cash equivalents at end of year		229,953	200,695	208,412

Note

1 This relates to the net proceeds from the sale of the Italian retail mortgage portfolio.

Interest received was £23,184m (2024: £25,965m; 2023: £24,347m) and interest paid was £15,736m (2024: £18,952m; 2023: £15,944m).

Consolidated financial statements

Consolidated cash flow statement

The Barclays Bank Group is required to maintain balances with central banks and other regulatory authorities and these amounted to £2,775m (2024: £2,317m; 2023: £2,973m). For the purposes of the cash flow statement, cash comprises cash on hand and demand deposits and cash equivalents comprise highly liquid investments that are convertible into cash with an insignificant risk of changes in value with original maturities of three months or less. Repurchase and reverse repurchase agreements are not considered to be part of cash equivalents.

Financial statements of Barclays Bank PLC

Parent company accounts

Balance sheet

As at 31 December	Notes	2025 £m	2024 £m
Assets			
Cash and balances at central banks		178,321	151,288
Cash collateral and settlement balances		79,212	75,284
Debt securities at amortised cost		38,790	35,519
Loans and advances at amortised cost to banks		12,795	14,834
Loans and advances at amortised cost to customers		234,757	210,218
Reverse repurchase agreements and other similar secured lending at amortised cost		24,974	5,546
Trading portfolio assets	11	110,625	102,030
Financial assets at fair value through the income statement	12	262,349	253,812
Derivative financial instruments	13	224,937	260,487
Financial assets at fair value through other comprehensive income	14	41,289	49,499
Investments in associates and joint ventures	33	12	12
Investment in subsidiaries	31	20,659	20,747
Goodwill and intangible assets	20	107	104
Property, plant and equipment	18	199	125
Current tax assets		376	757
Deferred tax assets	9	1,712	2,638
Retirement benefit assets	30	3,184	3,202
Other assets		2,151	1,915
Total assets		1,236,449	1,188,017
Liabilities			
Deposits at amortised cost from banks		18,954	12,039
Deposits at amortised cost from customers		366,532	336,054
Cash collateral and settlement balances		67,691	62,386
Repurchase agreements and other similar secured borrowing at amortised cost		33,236	46,196
Debt securities in issue		35,480	12,991
Subordinated liabilities	25	44,735	41,240
Trading portfolio liabilities	11	32,505	41,015
Financial liabilities designated at fair value	15	365,986	329,522
Derivative financial instruments	13	210,461	248,417
Current tax liabilities		425	298
Deferred tax liabilities	9	1	2
Retirement benefit liabilities	30	65	66
Provisions	22	428	435
Other liabilities	21	4,310	4,456
Total liabilities		1,180,809	1,135,117
Equity			
Called up share capital and share premium	26	2,346	2,348
Other equity instruments	26	15,153	14,311
Other reserves	27	(2,479)	(3,928)
Retained earnings		40,620	40,169
Total equity		55,640	52,900
Total liabilities and equity		1,236,449	1,188,017

Note

1 As permitted by section 408 of the Companies Act 2006 an income statement for the parent company has not been presented. Included in shareholders' equity for Barclays Bank plc is a profit after tax for the year ended 2025 of £4,490m (2024: £4,965m, 2023: £2,866m).

The Board of Directors approved the financial statements on pages 291 to 294 on 9 February 2026.

CS Venkatakrisnan

Barclays Bank Group – Chief Executive Officer

Anna Cross

Barclays Bank Group – Interim Chief Financial Officer

Financial statements of Barclays Bank PLC

Parent company accounts

Statement of changes in equity

	Called up share capital and share premium ¹	Other equity instruments ^{1,2}	Other reserves ³	Retained earnings	Total equity
	£m	£m	£m	£m	£m
Balance as at 1 January 2025	2,348	14,311	(3,928)	40,169	52,900
Profit after tax	—	1,169	—	3,321	4,490
Currency translation movements	—	—	(794)	—	(794)
Fair value through other comprehensive income reserve	—	—	657	—	657
Cash flow hedges	—	—	1,509	—	1,509
Retirement benefit remeasurement	—	—	—	(21)	(21)
Own credit reserve	—	—	70	—	70
Total comprehensive income for the year	—	1,169	1,442	3,300	5,911
Issue and redemption of other equity instruments	—	842	—	(5)	837
Other equity instruments coupons paid	—	(1,169)	—	—	(1,169)
Redemption of preference shares	(2)	—	2	(270)	(270)
Employee settled Barclays PLC share schemes	—	—	—	561	561
Vesting of Barclays PLC shares under share-based payment schemes	—	—	—	(530)	(530)
Dividends paid on ordinary shares	—	—	—	(2,570)	(2,570)
Dividends paid on preference shares and other shareholders' equity	—	—	—	(32)	(32)
Other reserve movements	—	—	5	(3)	2
Balance as at 31 December 2025	2,346	15,153	(2,479)	40,620	55,640

Statement of changes in equity

	Called up share capital and share premium ¹	Other equity instruments ^{1,2}	Other reserves ³	Retained earnings	Total equity
	£m	£m	£m	£m	£m
Balance as at 1 January 2024	2,348	15,472	(3,209)	38,617	53,228
Profit after tax	—	1,225	—	3,740	4,965
Currency translation movements	—	—	148	—	148
Fair value through other comprehensive income reserve	—	—	(463)	—	(463)
Cash flow hedges	—	—	376	—	376
Retirement benefit remeasurement	—	—	—	(295)	(295)
Own credit reserve	—	—	(781)	—	(781)
Total comprehensive income for the year	—	1,225	(720)	3,445	3,950
Issue and redemption of other equity instruments	—	(1,161)	—	(92)	(1,253)
Other equity instruments coupons paid	—	(1,225)	—	—	(1,225)
Employee settled Barclays PLC share schemes	—	—	—	475	475
Vesting of Barclays PLC shares under share-based payment schemes	—	—	—	(448)	(448)
Dividends paid on ordinary shares	—	—	—	(1,782)	(1,782)
Dividends paid on preference shares and other shareholders' equity	—	—	—	(41)	(41)
Other reserve movements	—	—	1	(5)	(4)
Balance as at 31 December 2024	2,348	14,311	(3,928)	40,169	52,900

Notes

- For further details refer to Note 26.
- Other equity instruments includes AT1 securities issued by Barclays Bank PLC and borrowings of \$6bn (2024: \$6bn) from a wholly-owned, indirect subsidiary of Barclays Bank PLC. The borrowings have been recorded as equity since, under their terms, interest payments are non cumulative and discretionary whilst repayment of principal is perpetually deferrable by Barclays Bank PLC. Should Barclays Bank PLC make a discretionary dividend payment on its ordinary shares in the six months preceding the date of an interest payment, it will be obliged to make that interest payment. In 2025, interest paid on these borrowings was £386m (2024: £433m).
- For further details refer to Note 27.

Financial statements of Barclays Bank PLC

Parent company accounts

Statement of changes in equity

	Called up share capital and share premium	Other equity instruments ¹	Other reserves	Retained earnings	Total equity
	£m	£m	£m	£m	£m
Balance as at 1 January 2023	2,348	15,398	(4,552)	39,273	52,467
Profit after tax	—	1,247	—	1,619	2,866
Currency translation movements	—	—	(572)	—	(572)
Fair value through other comprehensive income reserve	—	—	132	—	132
Cash flow hedges	—	—	2,483	—	2,483
Retirement benefit remeasurement	—	—	—	(839)	(839)
Own credit reserve	—	—	(703)	—	(703)
Total comprehensive income for the year	—	1,247	1,340	780	3,367
Issue and redemption of other equity instruments	—	74	—	(12)	62
Other equity instruments coupons paid	—	(1,247)	—	—	(1,247)
Employee settled Barclays PLC share schemes	—	—	—	406	406
Vesting of Barclays PLC shares under share-based payment schemes	—	—	—	(442)	(442)
Dividends paid on ordinary shares	—	—	—	(1,348)	(1,348)
Dividends paid on preference shares and other shareholders' equity	—	—	—	(40)	(40)
Other reserve movements	—	—	3	—	3
Balance as at 31 December 2023	2,348	15,472	(3,209)	38,617	53,228

Note

¹ Other equity instruments includes AT1 securities issued by Barclays Bank PLC and borrowings of \$6bn from a wholly-owned, indirect subsidiary of Barclays Bank PLC. The borrowings have been recorded as equity since, under their terms, interest payments are non cumulative and discretionary whilst repayment of principal is perpetually deferrable by Barclays Bank PLC. Should Barclays Bank PLC make a discretionary dividend payment on its ordinary shares in the six months preceding the date of an interest payment, it will be obliged to make that interest payment. In 2023, interest paid on these borrowings was £439m.

Financial statements of Barclays Bank PLC

Parent company accounts

Cash flow statement

		2025	2024	2023
	Notes	£m	£m	£m
For the year ended 31 December				
Reconciliation of profit before tax to net cash flows from operating activities:				
Profit before tax		4,882	5,165	2,977
Adjustment for non-cash items:				
Credit impairment charges		330	216	98
Impairment of Investments in subsidiaries		90	(811)	166
Depreciation, amortisation and impairment of property, plant, equipment and intangibles		31	30	33
Provisions and pensions charges/(credits)		105	95	(95)
Net (profit)/loss on disposal of investments and property, plant and equipment		(6)	(48)	2
Other non-cash movements including exchange rate movements		4,398	1,721	5,991
Changes in operating assets and liabilities				
Net decrease in cash collateral and settlement balances		1,977	4,781	137
Net (increase)/decrease in loans and advances at amortised cost		(18,449)	14,178	(40,968)
Net (increase)/decrease in reverse repurchase agreements and other similar secured lending		(19,428)	1,330	(968)
Net increase in deposits at amortised cost		37,393	790	33,408
Net increase/(decrease) in debt securities in issue		22,489	(11,842)	(15,333)
Net (decrease)/increase in repurchase agreements and other similar secured borrowing		(12,960)	2,245	17,644
Net (increase)/decrease in derivative financial instruments		(2,406)	(8,134)	4,205
Net (increase)/decrease in trading portfolio assets		(8,595)	10,624	(29,611)
Net decrease in trading portfolio liabilities		(8,510)	(9,980)	(1,098)
Net increase/(decrease) in financial assets and liabilities at fair value through the income statement		27,927	(12,275)	34,459
Net (increase)/decrease in other assets		(214)	1,451	(244)
Net decrease in other liabilities		(251)	(1,406)	(2,378)
Corporate income tax		287	135	249
Net cash from operating activities		29,090	(1,735)	8,674
Purchase of debt securities at amortised cost		(11,378)	(17,113)	(11,984)
Proceeds from redemption or sale of debt securities at amortised cost		8,113	15,120	2,023
Purchase of financial assets at fair value through other comprehensive income		(27,258)	(49,318)	(46,808)
Proceeds from sale or redemption of financial assets at fair value through other comprehensive income		35,767	49,258	39,852
Purchase of property, plant and equipment and investment in intangibles		(69)	(21)	(22)
Disposal/(Acquisition) of subsidiaries and associates, net of cash disposed		—	48	(1)
Net increase in investment in subsidiaries		(1)	(824)	(7)
Net cash from investing activities		5,174	(2,850)	(16,947)
Dividends paid and other coupon payments on equity instruments		(3,771)	(3,048)	(2,635)
Issuance of subordinated liabilities	25	9,808	11,143	5,643
Redemption of subordinated liabilities	25	(5,553)	(4,963)	(7,209)
Issue of shares and other equity instruments	26	2,777	970	2,499
Repurchase of shares and other equity instruments	26	(2,198)	(2,131)	(2,425)
Vesting of shares under employee share schemes		(530)	(448)	(442)
Net cash from financing activities		533	1,523	(4,569)
Effect of exchange rates on cash and cash equivalents		(2,376)	(1,380)	(3,938)
Net increase/(decrease) in cash and cash equivalents		32,421	(4,442)	(16,780)
Cash and cash equivalents at beginning of year		163,821	168,263	185,043
Cash and cash equivalents at end of year		196,242	163,821	168,263
Cash and cash equivalents comprise:				
Cash and balances at central banks		178,321	151,288	153,701
Loans and advances to banks with original maturity of three months or less		4,516	136	3,130
Cash collateral balances with central banks with original maturity of three months or less		11,625	11,025	10,325
Treasury and other eligible bills with original maturity of three months or less		1,780	1,372	1,107
Cash and cash equivalents at end of year		196,242	163,821	168,263

Interest received was £23,086m (2024: £25,935m; 2023: £24,134m) and interest paid was £20,178m (2024: £23,199m; 2023: £20,609m). Dividends received were £1,667m (2024: £1,803m; 2023: £529m).

Barclays Bank PLC was required to maintain balances with central banks and other regulatory authorities of £858m (2024: £589m; 2023: £767m). For the purposes of the cash flow statement, cash comprises cash on hand and demand deposits and cash equivalents comprise highly liquid investments that are convertible into cash with an insignificant risk of changes in value with original maturities of three months or less. Repurchase and reverse repurchase agreements are not considered to be part of cash equivalents.

Notes to the financial statements

For the year ended 31 December 2025

This section describes the Barclays Bank Group's material accounting policies and critical accounting judgements and estimates that relate to the financial statements and notes as a whole. If an accounting policy or a critical accounting judgement or estimate relates to a particular note, disclosure is contained within the relevant note.

1 Material accounting policies

1. Reporting entity

Barclays Bank PLC is a public company limited by shares registered in England under company number 1026167, having its registered office at 1 Churchill Place, London, E14 5HP.

These financial statements are prepared for Barclays Bank PLC and its subsidiaries (the Barclays Bank Group) under Section 399 of the Companies Act 2006. The Barclays Bank Group is a major global financial services provider engaged in credit cards, wholesale banking, investment banking, wealth management and investment management services. In addition, separate financial statements have been presented for the holding company.

2. Compliance with International Financial Reporting Standards

The consolidated financial statements of the Barclays Bank Group, and the separate financial statements of Barclays Bank PLC, have been prepared in accordance with UK-adopted international accounting standards.

The consolidated financial statements of the Barclays Bank Group, and the separate financial statements of Barclays Bank PLC, have also been prepared in accordance with (1) International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board (IASB), including interpretations issued by the IFRS Interpretations Committee, as there are no applicable differences from IFRS as issued by the IASB for the periods presented; and (2) IFRS adopted pursuant to Regulation (EC) No. 1606/2002 as it applies in the European Union ("IFRS as adopted by the EU").

There are currently no differences between UK-adopted international accounting standards and IFRS as adopted by the EU and therefore no reconciliation of variances is provided.

The principal accounting policies applied in the preparation of the consolidated and separate financial statements are set out below, and in the relevant notes to the financial statements. These policies have been consistently applied.

3. Basis of preparation

The consolidated and separate financial statements have been prepared under the historical cost convention modified to the extent required or permitted under IFRS as set out in the relevant accounting policies. The financial statements are stated in millions of Pounds Sterling (£m), the functional currency of Barclays Bank PLC.

The financial statements have been prepared on a going concern basis, in accordance with the Companies Act 2006 as applicable to companies using IFRS. The financial statements are prepared on a going concern basis as the Board is satisfied that the Barclays Bank Group and parent company have the resources to continue in business for a period of at least 12 months from approval of the financial statements.

In making this assessment, the Board has considered a wide range of information relating to present and future conditions and has reviewed a working capital report (WCR). The WCR is used by the Board to assess the future performance of the Barclays Bank Group and whether it has the resources in place that are required to meet its ongoing regulatory requirements. The WCR assessment is based upon business plans which contain future forecasts of profitability taken from the Barclays Bank Group's medium term plan as well as projections of regulatory capital requirements and business funding needs. The WCR also includes an assessment of the impact of internally generated stress testing scenarios on the liquidity and capital requirement forecasts. The stress tests used were based upon an assessment of reasonably possible downside economic scenarios that the Barclays Bank Group could experience.

The WCR showed that the Barclays Bank Group had sufficient capital and liquidity in place to support its future business requirements and remained above its regulatory minimum requirements in the stress scenarios. Accordingly, the Board concluded that there was a reasonable expectation that the Barclays Bank Group has adequate resources to continue as a going concern for a period of at least 12 months from the date of approval of the financial statements.

4. Accounting policies

The Barclays Bank Group prepares financial statements in accordance with IFRS. The Barclays Bank Group's material accounting policies relating to specific financial statement items, together with a description of the accounting estimates and judgements that were critical to preparing those items, are set out under the relevant notes. Accounting policies that affect the financial statements as a whole are set out below.

(i) Consolidation

The consolidated financial statements combine the financial statements of Barclays Bank PLC and all its subsidiaries. Subsidiaries are entities over which Barclays Bank PLC has control. The Barclays Bank Group has control over another entity when the Barclays Bank Group has all of the following:

- 1) power over the relevant activities of the investee, for example through voting or other rights;
- 2) exposure to, or rights to, variable returns from its involvement with the investee; and

Notes to the financial statements

For the year ended 31 December 2025

3) the ability to affect those returns through its power over the investee.

As the consolidated financial statements include partnerships where the Barclays Bank Group member is a partner, advantage has been taken of the exemption under Regulation 7 of the Partnership (Accounts) Regulations 2008 with regard to preparing and filing of individual partnership financial statements.

Details of the principal subsidiaries are given in Note 31.

(ii) Foreign currency translation

Transactions in foreign currencies are translated into Sterling at the rate ruling on the date of the transaction. Foreign currency monetary balances are translated into Sterling at the period end exchange rates. Exchange gains and losses on such balances are taken to the income statement.

The Barclays Bank Group's foreign operations (including subsidiaries, joint ventures, associates and branches) based mainly outside the UK may have different functional currencies. The functional currency of an operation is the currency of the main economy to which it is exposed.

Prior to consolidation (or equity accounting) the assets and liabilities of non-Sterling operations are translated at the period end exchange rate and items of income, expense and other comprehensive income are translated into Sterling at the rate on the date of the transactions. Exchange differences arising on the translation of foreign operations are included in currency translation reserves within equity. These are transferred to the income statement when the Barclays Bank Group disposes of the entire interest in a foreign operation, when partial disposal results in the loss of control of an interest in a subsidiary, when an investment previously accounted for using the equity method is accounted for as a financial asset, or on the disposal of a foreign operation within a branch.

(iii) Financial assets and liabilities

Recognition

The Barclays Bank Group recognises financial assets and liabilities when it becomes a party to the terms of the contract. Trade date or settlement date accounting is applied depending on the classification of the financial asset.

Classification and measurement

Financial assets are classified on the basis of two criteria:

- i) the business model within which financial assets are managed; and
- ii) their contractual cash flow characteristics (whether the cash flows represent 'solely payments of principal and interest' (SPPI)).

The Barclays Bank Group assesses the business model criteria at a portfolio level. Information that is considered in determining the applicable business model includes (i) policies and objectives for the relevant portfolio, (ii) how the performance and risks of the portfolio are managed, evaluated and reported to management, and (iii) the frequency, volume and timing of sales in prior periods, sales expectation for future periods, and the reasons for such sales.

The contractual cash flow characteristics of financial assets are assessed with reference to whether the cash flows represent SPPI. Terms that could change the contractual cash flows so that it would not meet the condition for SPPI are considered, including: (i) contingent and leverage features, (ii) non-recourse arrangements, (iii) features that could modify the time value of money, and (iv) Social, Environmental and Sustainability-linked features. Terms with de-minimis impact do not preclude cash flows from representing SPPI.

The accounting policy for each type of financial asset or liability is included within the relevant note for the item. The Barclays Bank Group's policies for determining the fair values of the assets and liabilities are set out in Note 16.

Derecognition

The Barclays Bank Group derecognises a financial asset, or a portion of a financial asset, from its balance sheet where (i) the contractual rights to cash flows from the asset have expired, or (ii) the contractual rights to the cash flows from the asset have been transferred (usually by sale) and with them either (a) substantially all the risks and rewards of the asset have been transferred, or (b) where neither substantially all the risks and rewards have been transferred or retained, where control over the asset has been lost.

It may not be obvious whether substantially all of the risks and rewards of a transferred asset, or portion of an asset, have been transferred. It is often necessary to perform a quantitative analysis that compares the Barclays Bank Group's exposure to variability in asset cash flows before the transfer with its retained exposure after the transfer. A cash flow analysis of this nature may require judgement. In particular, it is necessary to estimate the asset's expected future cash flows as well as potential variability around this expectation. The method of estimating expected future cash flows depends on the nature of the asset, with market and market-implied data used to the greatest extent possible. The potential variability around this expectation is typically determined by stressing underlying parameters to create reasonable alternative upside and downside scenarios. Probabilities are then assigned to each scenario. Stressed parameters may include default rates, loss severity, or prepayment rates.

Notes to the financial statements

For the year ended 31 December 2025

Financial liabilities are de-recognised when the liability has been settled, has expired or has been extinguished. An exchange of an existing financial liability for a new liability with the same lender on substantially different terms – generally a difference of 10% or more in the present value of the cash flows or a substantive qualitative amendment – is accounted for as an extinguishment of the original financial liability and the recognition of a new financial liability.

Accounting for reverse repurchase and repurchase agreements including other similar lending and borrowing

Reverse repurchase agreements (and stock borrowing or similar transactions) are a form of secured lending whereby the Barclays Bank Group provides a loan or cash collateral in exchange for the transfer of collateral, generally in the form of marketable securities subject to an agreement to transfer the securities back at a fixed price in the future. Repurchase agreements are where the Barclays Bank Group obtains such loans or cash collateral, in exchange for the transfer of collateral.

The Barclays Bank Group purchases (a reverse repurchase agreement) or borrows securities subject to a commitment to resell or return them. The securities are not included in the balance sheet as the Barclays Bank Group does not acquire the risks and rewards of ownership. Consideration paid (or cash collateral provided) is accounted for as a loan asset at amortised cost, unless it is designated or mandatorily at fair value through profit and loss.

The Barclays Bank Group may also sell (a repurchase agreement) or lend securities subject to a commitment to repurchase or redeem them. The securities are retained on the balance sheet as the Barclays Bank Group retains substantially all the risks and rewards of ownership. Consideration received (or cash collateral provided) is accounted for as a financial liability at amortised cost, unless it is designated at fair value through profit and loss.

(iv) Issued debt and equity instruments

Issued financial instruments or their components are classified as liabilities if the contractual arrangement results in the Barclays Bank Group having an obligation to either deliver cash or another financial asset, or a variable number of equity shares, to the holder of the instrument. If this is not the case, the instrument is generally an equity instrument and the proceeds included in equity, net of transaction costs. Dividends and other returns to equity holders are recognised when paid or declared by the members at the Annual General Meeting and treated as a deduction from equity.

Where issued financial instruments contain both liability and equity components, these are accounted for separately. The fair value of the debt is estimated first and the balance of the proceeds is included within equity.

(v) Cash flow statement

Cash comprises cash on hand and balances at central banks. Cash equivalents comprise loans and advances to banks, cash collateral balances with central banks related to payment schemes and treasury and other eligible bills, all with original maturities of three months or less.

Investments in debt securities at amortised cost are deemed to be investing activities for the purposes of the cash flow statement, except those instruments considered to be cash equivalents.

5. New and amended standards and interpretations

Future accounting developments

The following accounting standards have been issued by the IASB but are not yet effective:

Amendment to IFRS 9 and IFRS 7 - Classification and Measurement of Financial Instruments

In May 2024, the IASB issued targeted amendments to IFRS 9 to address feedback received from stakeholders following a post-implementation review. The amendments include:

- Additional guidance to clarify when certain financial assets may be compliant with SPPI requirements, including instruments with contingent features (e.g. ESG-linked financing), as well as contractually-linked instruments and non-recourse financing.
- Clarifying the derecognition requirements for financial assets and financial liabilities, including establishing a new accounting policy choice for derecognition of a financial liability when a payment is initiated by the reporting entity using an electronic payment system provided specified criteria is met.

The amendments are effective from 1 January 2026. The adoption of the derecognition amendment is expected to result in a change of policy for derecognising certain types of financial liabilities. As a result of these amendments, it is expected that the impacted liabilities will be reclassified from Cash collateral and settlement balances to Trading portfolio liabilities. No other material impacts are anticipated from the adoption of these derecognition amendments or from the other changes introduced to IFRS 9. The quantitative impact of IFRS 9 and IFRS 7 amendments will continue to be assessed in 2026.'

IFRS 18 Presentation and Disclosure in Financial Statements

In April 2024, the IASB issued IFRS 18 Presentation and Disclosure in Financial Statements, which replaces IAS 1. IFRS 18 introduces new requirements for presentation within the statement of profit or loss, including specified totals and subtotals, it requires entities to classify all income and expenses into five categories: operating, investing, financing, income tax and discontinued operations, and introduces defined subtotals, including operating profit.

IFRS 18 requires entities to assess whether they have a IFRS 18 defined specified main business activity. For those entities with a specified main business activity, certain income and expenses will be recorded in the operating category, which may have been recorded in another category if the entity did not have a specified main business activity.

The standard introduces new aggregation and disaggregation principles for financial information and narrow scope amendments to IAS 7 Statement of Cash Flows by using operating profit as the starting point for the indirect method and removing optionality in the classification of interest and dividends. The standard requires disclosure of management-defined performance measures (MPMs).

The Barclays Bank Group has commenced its IFRS 18 impact assessment. The Barclays Bank Group expects to have an IFRS 18 specified main business activity, allowing significant items from the Barclays Bank Group's operations to be reported within the operating category.

The Barclays Bank Group is also assessing the impact on management-defined performance measures (MPMs) and the enhanced disaggregation requirements introduced by IFRS 18. In 2026, the Barclays Bank Group will continue to assess the impact of IFRS 18.

The new standard is effective from 1 January 2027.

6. Critical accounting estimates and judgements

The preparation of financial statements in accordance with IFRS requires the use of estimates. It also requires management to exercise judgement in applying the accounting policies. The key areas involving a higher degree of judgement or complexity or areas where assumptions are significant to the consolidated and individual financial statements are highlighted under the relevant note. Information about estimates, and other sources of estimation uncertainty at the end of the reporting period, that are considered to have a significant risk of resulting in material adjustment to the carrying amounts of assets and liabilities within the next financial year are disclosed within the relevant note.

- Credit impairment charges on page 308
- Tax on page 311
- Fair value of financial instruments on page 334
- Pensions and post-retirement benefit obligations on page 385
- Provisions including conduct and legal, competition, and regulatory matters on page 362

7. Other disclosures

To improve transparency and ease of reference, by concentrating related information in one place, certain disclosures required under IFRS have been included within the Risk review section as follows:

- Credit risk on pages 147 to 149 and on pages 162 to 216
- Market risk on page 149 and on pages 218 to 219
- Treasury and capital risk – capital on page 150 to 152 and on page 231
- Treasury and capital risk – liquidity on pages 150 to 152 and on pages 221 to 230

These disclosures are covered by the Audit opinion (included on pages 263 to 283) where referenced as audited.

Notes to the financial statements

Financial performance and returns

The notes included in this section focus on the results and performance of the Barclays Bank Group. Information on the segmental performance, income generated, expenditure incurred, tax, and dividends are included here.

2 Segmental reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the Executive Committee, which is responsible for allocating resources and assessing performance of the operating segments, and has been identified as the chief operating decision maker. All transactions between business segments are conducted on an arm's-length basis. Income and expenses directly associated with each segment are included in determining business segment performance.

The Group presents its financial disclosures through the following segments:

- Barclays UK Corporate Bank: this division brings together lending, trade and working capital, liquidity, payments and FX solutions for UK corporate clients with an annual turnover from £6.5 million and higher, excluding those clients that form part of the FTSE 350, which are included within the IB.
- Barclays Private Bank and Wealth Management: this division serves UK and international private banking clients providing a range of investment, banking and lending products alongside expert advice. It also serves UK wealth management and UK digital investing clients offering a range of financial services.
- Barclays Investment Bank: this segment incorporates the Global Markets, Investment Banking and International Corporate Banking businesses, serving FTSE 350, multinationals and financial institution clients that are regular users of Investment Bank services.
- Barclays US Consumer Bank: is a co-branded credit card issuer and financial services partner in the United States for travel, entertainment, retail and affinity institutions. It offers co-branded, small business and private label credit cards, instalment loans, online savings accounts and certificates of deposits.

The below tables also includes Head Office, which comprises central support, central treasury operations and legacy businesses. In addition to these elements, Head Office also includes the Payment Acceptance business.

For more information about each reporting segment, refer to Strategic Report on page 1.

Analysis of results by business

	Barclays UK Corporate Bank	Barclays Private Bank and Wealth Management	Barclays Investment Bank	Barclays US Consumer Bank	Head Office	Barclays Bank Group
For the year ended 31 December 2025	£m	£m	£m	£m	£m	£m
Net interest income	1,532	834	1,653	2,849	426	7,294
Non-interest income	593	584	11,677	859	(80)	13,633
Total income	2,125	1,418	13,330	3,708	346	20,927
<i>Of which inter-segmental income/(expense)</i>	<i>1,903</i>	<i>1,864</i>	<i>(3,483)</i>	<i>(6)</i>	<i>(278)</i>	<i>—</i>
Operating costs	(1,071)	(1,040)	(8,187)	(1,666)	(629)	(12,593)
UK regulatory levies	(29)	(10)	(181)	—	(8)	(228)
Litigation and conduct	(39)	(9)	(28)	(8)	(200)	(284)
Total operating expenses	(1,139)	(1,059)	(8,396)	(1,674)	(837)	(13,105)
Other net expenses ¹	—	—	—	—	(13)	(13)
Profit/(loss) before impairment	986	359	4,934	2,034	(504)	7,809
Credit impairment (charges)/releases	(37)	8	(305)	(1,521)	(11)	(1,866)
Profit/(loss) before tax	949	367	4,629	513	(515)	5,943
Total assets (£bn)	71.4	41.9	1,082.0	34.3	15.9	1,245.5
Total liabilities (£bn)	104.3	80.4	968.1	25.4	5.0	1,183.2
Number of employees (full time equivalent)						22,300
Average number of employees (full time equivalent)						22,300
Average number of employees (headcount)						22,400

Note

- 1 Other net expenses represents the share of post-tax results of associates and joint ventures, and profit (or loss) on disposal of subsidiaries.

Notes to the financial statements

Financial performance and returns

	Barclays UK Corporate Bank	Barclays Private Bank and Wealth Management	Barclays Investment Bank	Barclays US Consumer Bank	Head Office	Barclays Bank Group
For the year ended 31 December 2024	£m	£m	£m	£m	£m	£m
Net interest income	1,266	796	1,413	2,687	583	6,745
Non-interest income	590	545	10,779	664	(286)	12,292
Total income	1,856	1,341	12,192	3,351	297	19,037
<i>Of which inter-segmental income/(expense)</i>	<i>2,410</i>	<i>2,167</i>	<i>(3,815)</i>	<i>(8)</i>	<i>(754)</i>	<i>—</i>
Operating costs	(1,008)	(953)	(7,889)	(1,637)	(758)	(12,245)
UK regulatory levies	(37)	(9)	(187)	—	(9)	(242)
Litigation and conduct	(1)	—	(55)	(13)	(117)	(186)
Total operating expenses	(1,046)	(962)	(8,131)	(1,650)	(884)	(12,673)
Other net expenses ¹	—	—	—	—	—	—
Profit/(loss) before impairment	810	379	4,061	1,701	(587)	6,364
Credit impairment (charges)/releases	(76)	(6)	(123)	(1,293)	(119)	(1,617)
Profit/(loss) before tax	734	373	3,938	408	(706)	4,747
Total assets (£bn)	61.3	34.1	1,061.8	34.9	26.4	1,218.5
Total liabilities (£bn)	94.7	75.0	955.6	24.5	9.5	1,159.3
Number of employees (full time equivalent)						23,000
Average number of employees (full time equivalent)						23,400
Average number of employees (headcount)						23,500

	Barclays UK Corporate Bank	Barclays Private Bank and Wealth Management	Barclays Investment Bank	Barclays US Consumer Bank	Head Office	Barclays Bank Group
For the year ended 31 December 2023	£m	£m	£m	£m	£m	£m
Net interest income	1,241	792	1,705	2,616	299	6,653
Non-interest income	620	443	9,717	665	170	11,615
Total income	1,861	1,235	11,422	3,281	469	18,268
<i>Of which inter-segmental income/(expense)</i>	<i>1,576</i>	<i>1,726</i>	<i>(2,650)</i>	<i>(6)</i>	<i>(646)</i>	<i>—</i>
Operating costs	(977)	(830)	(7,847)	(1,669)	(947)	(12,270)
UK regulatory levies	(8)	(4)	(123)	—	(14)	(149)
Litigation and conduct	1	2	5	(6)	(46)	(44)
Total operating expenses	(984)	(832)	(7,965)	(1,675)	(1,007)	(12,463)
Other net expenses ¹	(3)	—	1	(1)	(1)	(4)
Profit/(loss) before impairment	874	403	3,458	1,605	(539)	5,801
Credit impairment (charges)/releases	27	(4)	(102)	(1,438)	(61)	(1,578)
Profit/(loss) before tax	901	399	3,356	167	(600)	4,223
Total assets (£bn)	61.6	32.1	1,027.6	33.4	30.5	1,185.2
Total liabilities (£bn)	86.8	61.0	948.9	21.2	6.8	1,124.7
Number of employees (full time equivalent)						23,900
Average number of employees (full time equivalent)						23,800
Average number of employees (headcount)						24,000

Note

¹ Other net expenses represents the share of post-tax results of associates and joint ventures, and profit (or loss) on disposal of subsidiaries, associates and joint ventures.

Inter-segmental income/(expense) refers to the internal charging of revenues between different business segments, reflecting how resources such as funding, capital, or services are utilised across the Barclays Bank Group. Segments which operate with a net customer deposit position contribute surplus deposits as a funding source for other Barclays Bank Group segment activities.

Notes to the financial statements

Financial performance and returns

Income by geographic region¹

	2025	2024	2023
	£m	£m	£m
For the year ended 31 December			
United Kingdom	7,471	6,075	6,095
Americas	9,652	8,864	8,200
Europe	2,265	2,749	2,513
Asia	1,453	1,267	1,373
Africa and Middle East	86	82	87
Total	20,927	19,037	18,268

Income from individual countries which represent more than 5% of total income

	2025	2024	2023
	£m	£m	£m
For the year ended 31 December			
United Kingdom	7,471	6,075	6,095
United States	9,498	8,702	8,013

Note

1 The geographical analysis is based on the location of the office where the transactions are recorded.

3 Net interest income

Accounting for interest income and expenses

Interest income on loans and advances at amortised cost, financial assets at fair value through other comprehensive income and interest expense on financial liabilities held at amortised cost are calculated using the effective interest method which allocates interest, and direct and incremental fees and costs, over the expected lives of the assets and liabilities.

The effective interest method requires the Barclays Bank Group to estimate future cash flows, in some cases based on its experience of customers' behaviour, considering all contractual terms of the financial instrument, as well as the expected lives of the assets and liabilities.

The Barclays Bank Group incurs certain costs to originate credit card balances with the most significant being co-brand partner fees. To the extent these costs are attributed to customers that continuously carry an outstanding balance (revolvers) and incremental to the origination of credit card balances, they are capitalised and subsequently included within the calculation of the effective interest rate. They are amortised to interest income over the period of expected repayment of the originated balance. Costs attributed to customers that settle their outstanding balances each period (transactors) are deferred on the balance sheet as a cost of obtaining a contract and amortised to fee and commission expense over the life of the customer relationship (refer to Note 4). There are no other individual estimates involved in the calculation of effective interest rates that are material to the results or financial position.

	2025	2024	2023
	£m	£m	£m
Cash and balances at central banks	7,759	9,567	8,384
Debt securities at amortised cost	1,953	1,737	1,819
Loans and advances at amortised cost to banks and customers	9,324	9,508	7,854
Fair value through other comprehensive income	1,844	2,335	3,808
Cash collateral	1,849	2,026	1,987
Other ¹	680	607	409
Interest and similar income	23,409	25,780	24,261
Deposits at amortised cost from banks and customers	(8,723)	(10,513)	(8,741)
Debt securities in issue	(2,551)	(2,847)	(3,030)
Subordinated liabilities	(2,973)	(2,990)	(2,697)
Cash collateral	(1,453)	(2,185)	(2,206)
Other ²	(415)	(500)	(934)
Interest and similar expense	(16,115)	(19,035)	(17,608)
Net interest income	7,294	6,745	6,653

Notes

1 Includes interest income from reverse repurchase agreements and other similar secured lending at amortised cost.

2 Includes interest expense from repurchase agreement and other similar secured borrowing at amortised cost and lease expense.

Notes to the financial statements

Financial performance and returns

4 Net fee and commission income

Accounting for net fee and commission income

The Barclays Bank Group recognises fee and commission income charged for services provided by the Barclays Bank Group as and when performance obligations are satisfied, for example, on completion of the underlying transaction. Incremental costs are reported within fee and commission expense if they are directly attributable to generating identifiable fee and commission income. Where the contractual arrangements also result in the Barclays Bank Group recognising financial instruments in scope of IFRS 9, such financial instruments are initially recognised at fair value in accordance with IFRS 9 before applying the provisions of IFRS 15.

Fee and commission income is disaggregated below by fee types that reflect the nature of the services offered across the Barclays Bank Group and operating segments, in accordance with IFRS 15. The table below includes a total for fees in scope of IFRS 15. Refer to Note 2 for more detailed information about operating segments.

	2025					
	Barclays UK Corporate Bank £m	Barclays Private Bank and Wealth Management £m	Barclays Investment Bank £m	Barclays US Consumer Bank £m	Head Office £m	Barclays Bank Group £m
Fee type						
Transactional	462	30	336	2,727	254	3,809
Advisory	—	344	710	—	—	1,054
Brokerage and execution	—	158	1,820	—	—	1,978
Underwriting and syndication	102	—	2,655	—	—	2,757
Other	11	3	64	—	31	109
Total revenue from contracts with customers	575	535	5,585	2,727	285	9,707
Other non-contract fee income	26	—	146	—	—	172
Fee and commission income	601	535	5,731	2,727	285	9,879
Fee and commission expense	(96)	(40)	(1,258)	(1,858)	(74)	(3,326)
Net fee and commission income	505	495	4,473	869	211	6,553

	2024					
	Barclays UK Corporate Bank £m	Barclays Private Bank and Wealth Management £m	Barclays Investment Bank £m	Barclays US Consumer Bank £m	Head Office £m	Barclays Bank Group £m
Fee type						
Transactional	448	33	336	2,661	322	3,800
Advisory	—	319	739	—	—	1,058
Brokerage and execution	—	129	1,580	—	—	1,709
Underwriting and syndication	92	—	2,596	—	—	2,688
Other	11	3	51	—	29	94
Total revenue from contracts with customers	551	484	5,302	2,661	351	9,349
Other non-contract fee income	25	—	112	—	—	137
Fee and commission income	576	484	5,414	2,661	351	9,486
Fee and commission expense	(95)	(38)	(1,127)	(1,855)	(100)	(3,215)
Net fee and commission income	481	446	4,287	806	251	6,271

Notes to the financial statements

Financial performance and returns

	2023					
	Barclays UK Corporate Bank	Barclays Private Bank and Wealth Management	Barclays Investment Bank	Barclays US Consumer Bank	Head Office	Barclays Bank Group
	£m	£m	£m	£m	£m	£m
Fee type						
Transactional	433	32	327	2,603	297	3,692
Advisory	—	251	652	—	—	903
Brokerage and execution	—	89	1,674	—	—	1,763
Underwriting and syndication	82	—	1,997	—	—	2,079
Other	12	3	57	—	60	132
Total revenue from contracts with customers	527	375	4,707	2,603	357	8,569
Other non-contract fee income	28	1	110	—	—	139
Fee and commission income	555	376	4,817	2,603	357	8,708
Fee and commission expense	(102)	(34)	(1,253)	(1,765)	(93)	(3,247)
Net fee and commission income	453	342	3,564	838	264	5,461

Fee types

Transactional

Transactional fees are service charges on deposit accounts, cash management services fees and transactional processing fees. These include interchange and merchant fee income generated from credit and bank card usage. Transaction and processing fees are recognised at the point in time the transaction occurs or service is performed. Interchange and merchant fees are recognised upon settlement of the card transaction payment.

The Barclays Bank Group incurs certain card related costs including those related to cardholder reward programmes and payments to co-brand partners. Cardholder reward programme costs related to customers that settle their outstanding balance each period (transactors) are expensed when incurred and presented in fee and commission expense, while costs related to customers that continuously carry an outstanding balance (revolvers) are included in the effective interest rate of the receivable (refer to Note 3). Payments to partners for new cardholder account originations related to transactor accounts are deferred as costs to obtain a contract under IFRS 15, while costs related to revolver accounts are included in the effective interest rate of the receivable (refer to Note 3). Those costs deferred under IFRS 15 are capitalised and amortised over the estimated life of the customer relationship. Payments to co-brand partners based on revenue sharing to the extent the revenue share relates to 'revolvers' are included in the effective interest rate of the receivable and to the extent revenue share relates to 'transactors' it is presented in fee and commission expense. Payments based on profitability are presented in fee and commission expense.

Advisory

Advisory fees are generated from wealth management services and investment banking advisory services related to mergers, acquisitions and financial restructurings. Wealth management advisory fees are earned over the period the services are provided and are generally recognised quarterly when the market value of client assets is determined. Investment banking advisory fees are recognised at the point in time when the services related to the transaction have been completed under the terms of the engagement. Investment banking advisory costs are recognised as incurred in fee and commission expense if direct and incremental to the advisory services or are otherwise recognised in operating expenses.

Brokerage and execution

Brokerage and execution fees are earned for executing client transactions with various exchanges and over-the-counter markets and assisting clients in clearing transactions and facilitating foreign exchange transactions for spot/forward contracts. Brokerage and execution fees are recognised at the point in time the associated service has been completed which is generally the trade date of the transaction.

Underwriting and syndication

Underwriting and syndication fees are earned for the distribution of client equity or debt securities and the arrangement and administration of a loan syndication. This includes commitment fees to provide loan financing. Underwriting fees are generally recognised on trade date if there is no remaining contingency, such as the transaction being conditional on the closing of an acquisition or another transaction. Underwriting costs are deferred and recognised in fee and commission expense when the associated underwriting fees are recorded. Syndication fees are earned for arranging and administering a loan syndication; however, the associated fee may be subject to variability until the loan has been syndicated to other syndicate members or until other contingencies have been resolved and therefore the fee revenue is deferred until the uncertainty is resolved.

Notes to the financial statements

Financial performance and returns

Included in underwriting and syndication fees are loan commitment fees, when the drawdown is not probable. Such commitment fees are recognised over time through to the contractual maturity of the commitment.

Contract assets and contract liabilities

The Barclays Bank Group had no material contract assets or contract liabilities as at 31 December 2025 (2024: £nil; 2023: £nil).

Impairment of fee receivables and contract assets

During 2025, there have been no material impairments recognised in relation to fees receivable and contract assets (2024: £nil; 2023: £nil). Fees in relation to transactional business can be added to outstanding customer balances. These amounts may be subsequently impaired as part of the overall loans and advances balance.

Remaining performance obligations

The Barclays Bank Group applies the practical expedient of IFRS 15 and does not disclose information about remaining performance obligations that have original expected durations of one year or less or because the Barclays Bank Group has a right to consideration that corresponds directly with the value of the service provided to the client or customer.

Costs incurred in obtaining or fulfilling a contract

The Barclays Bank Group expects that incremental costs of obtaining a contract such as success fee and commission fees paid are recoverable and therefore capitalises such contract costs. Capitalised contract costs net of amortisation as at 31 December 2025 are £131m (2024: £103m; 2023: £203m).

Capitalised contract costs are amortised over the customer relationship period depending on the transfer of services to which the asset pertains. In 2025, the amount of amortisation was £29m (2024: £58m; 2023: £52m) and there was no impairment loss recognised in connection with the capitalised contract costs (2024: £nil; 2023: £nil).

5 Net trading income

Accounting for net trading income

Trading positions are held at fair value, and the resulting gains and losses are included in net trading income, together with interest and dividends arising from long and short positions and funding costs relating to trading activities. Incremental costs are reported within net trading income if they are directly attributable to generating identifiable trading income.

Income arises from both the sale and purchase of trading positions, margins which are achieved through market making and customer business and from changes in fair value caused by movements in interest and exchange rates, equity prices and other market variables.

Gains or losses on non-trading financial instruments designated or mandatorily at fair value, with changes in fair value recognised in the income statement, are included in net trading income where the business model is to manage assets and liabilities on a fair value basis, which includes the use of derivatives. Gains and losses are also reported in net trading income where an instrument is designated at fair value to eliminate an accounting mismatch.

	2025	2024	2023
	£m	£m	£m
Net gains on financial instruments held for trading	5,160	4,201	4,310
Net gains on financial instruments mandatorily at fair value	1,325	1,199	1,308
Net gains on financial instruments designated at fair value	619	500	362
Net trading income	7,104	5,900	5,980

Notes to the financial statements

Financial performance and returns

6 Net investment (expense)/income

Accounting for net investment (expense)/income

Dividends are recognised when the right to receive the dividend has been established. Incremental costs are reported within net investment income if they are directly attributable to generating identifiable investment income. Other accounting policies relating to net investment income are set out in Note 12 and Note 14.

	2025	2024	2023
	£m	£m	£m
Net gains from financial assets mandatorily at fair value	161	219	133
Net (losses)/gains from disposal of financial assets at fair value through other comprehensive income	(201)	134	102
Net losses from disposal of financial assets and liabilities measured at amortised cost ¹	(6)	(225)	(9)
Dividend Income	—	3	—
Net losses on other investments	(26)	(62)	(114)
Net investment (expense)/income	(72)	69	112

1 Included within the 2024 balance are losses of £220m on sale of the performing Italian retail mortgage portfolio.

7 Infrastructure, administration and general expenses

	2025	2024	2023
	£m	£m	£m
Infrastructure costs			
Property and equipment	454	440	591
Depreciation and amortisation	354	353	438
Impairment of property, equipment and intangible assets	8	2	44
Total infrastructure costs	816	795	1,073
Administration and general expenses			
Consultancy, legal and professional fees	419	458	422
Marketing and advertising	355	407	391
Other administration and general expenses	5,418	5,029	4,793
Total administration and general expenses	6,192	5,894	5,606
Total infrastructure, administration and general expenses	7,008	6,689	6,679

Notes to the financial statements

Financial performance and returns

8 Credit impairment charges/(releases)

Accounting for the impairment of financial assets

Impairment

In accordance with IFRS 9, the Barclays Bank Group is required to recognise expected credit losses (ECLs) based on unbiased forward-looking information for all financial assets at amortised cost, lease receivables, debt financial assets at fair value through other comprehensive income, loan commitments and financial guarantee contracts. Intercompany exposures in the individual financial statements, including loan commitments and financial guarantee contracts, are also in scope of IFRS 9 for ECL purposes.

At the reporting date, an allowance (or provision for loan commitments and financial guarantees) is required for the 12 month (Stage 1) ECLs. If the credit risk has significantly increased since initial recognition (Stage 2), or if the financial instrument is credit impaired (Stage 3), an allowance (or provision) should be recognised for the lifetime ECLs.

The measurement of ECL is calculated using three main components: (i) probability of default (PD) (ii) loss given default (LGD) and (iii) the exposure at default (EAD).

The 12 month and lifetime ECLs are calculated by multiplying the respective PD, LGD and the EAD. The 12 month and lifetime PDs represent the PD occurring over the next 12 months and the remaining maturity of the instrument respectively. The EAD represents the expected balance at default, taking into account the repayment of principal and interest from the balance sheet date to the default event together with any expected drawdowns of committed facilities. The LGD represents expected losses on the EAD given the event of default, taking into account, among other attributes, the mitigating effect of collateral value at the time it is expected to be realised and the time value of money.

Expected credit loss measurement is based on the ability of borrowers to make payments as they fall due. The Barclays Bank Group also considers sector specific risks and whether additional adjustments are required in the measurement of ECL. Credit risk may be impacted by climate considerations for certain sectors, such as oil and gas.

Determining a significant increase in credit risk since initial recognition:

The Barclays Bank Group assesses when a significant increase in credit risk has occurred based on quantitative and qualitative assessments. The credit risk of an exposure is considered to have significantly increased when:

i) Quantitative test

The annualised lifetime PD has increased by more than an agreed threshold relative to the equivalent at origination.

PD deterioration thresholds are defined as percentage increases, and are set at an origination score band and segment level to ensure the test appropriately captures significant increases in credit risk at all risk levels. Generally, thresholds are inversely correlated to the origination PD, i.e. as the origination PD increases, the threshold value reduces.

The assessment of the point at which a PD increase is deemed 'significant' is based upon analysis of the portfolio's risk profile against a common set of principles and performance metrics (consistent across both retail and wholesale businesses), incorporating expert credit judgement where appropriate. Application of quantitative PD floors does not represent the use of the low credit risk exemption as exposures can separately move into stage 2 via the qualitative route described below.

Wholesale assets apply a 100.0% increase in PD and 0.2% PD floor to determine a significant increase in credit risk.

Retail assets apply bespoke relative increase and absolute PD thresholds based on product type and origination PD. Thresholds are subject to maximums defined by Barclays Bank Group policy and typically apply minimum relative thresholds of 50%-100% and a maximum relative threshold of 400%

For existing/historical exposures where origination point scores or data are no longer available or do not represent a comparable estimate of lifetime PD, a proxy origination score is defined, based upon:

- back-population of the approved lifetime PD score either to origination date or, where this is not feasible, as far back as possible (subject to a data start point no later than 1 January 2015); or
- use of available historical account performance data and other customer information, to derive a comparable 'proxy' estimation of origination PD.

ii) Qualitative test

This is relevant for accounts that meet the portfolio's 'high risk' criteria and are subject to closer credit monitoring.

High risk customers may not be in arrears but either through an event or an observed behaviour exhibit credit distress. The definition and assessment of high risk includes as wide a range of information as reasonably available, such as industry and Barclays Bank Group-wide customer level data, including but not limited to bureau scores and high consumer indebtedness index, wherever possible or relevant.

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Whilst the high risk populations applied for IFRS 9 impairment purposes are aligned with risk management processes, they are also regularly reviewed and validated to ensure that they capture any incremental segments where there is evidence of credit deterioration.

iii) Backstop criteria

This is relevant for accounts that are more than 30 calendar days past due. The 30 days past due criteria is a backstop rather than a primary driver of moving exposures into Stage 2.

The criteria for determining a significant increase in credit risk for assets with bullet repayments follows the same principle as all other assets, i.e. quantitative, qualitative and backstop tests are all applied.

Exposures will move back to Stage 1 once they no longer meet the criteria for a significant increase in credit risk. This means that, at a minimum all payments must be up-to-date, the PD deterioration test is no longer met, the account is no longer classified as high risk, and the customer has evidenced an ability to maintain future payments.

Exposures are only removed from Stage 3 and re-assigned to Stage 2 once the original default trigger event no longer applies. Exposures being removed from Stage 3 must no longer qualify as credit impaired, and:

- a) the obligor will also have demonstrated consistently good payment behaviour over a 12-month period, by making all consecutive contractual payments due and, for forbore exposures, the relevant EBA defined probationary period has also been successfully completed; or
- b) for non-forborne exposures the performance conditions are defined and approved within an appropriately sanctioned restructure plan, including 12 months' payment history have been met.

Management overlays and other exceptions to model outputs are applied only if consistent with the objective of identifying significant increases in credit risk.

Forward-looking information

The measurement of ECL involves complexity and judgement, including estimation of PD, LGD, a range of unbiased future economic scenarios, estimation of expected lives (where contractual life is not appropriate), and estimation of EAD and assessing significant increases in credit risk.

Credit losses are the expected cash shortfalls from what is contractually due over the expected life of the financial instrument, discounted at the original effective interest rate (EIR). ECLs are the unbiased probability-weighted credit losses determined by evaluating a range of possible outcomes and considering future economic conditions.

Refer to the Measurement uncertainty and sensitivity analysis section on page 185 for further details.

Definition of default, credit impaired assets, write-offs, and interest income recognition

The definition of default for the purpose of determining ECLs, and for internal credit risk management purposes, has been aligned to the Regulatory Capital CRR Article 178 definition of default, to maintain a consistent approach with IFRS 9 and associated regulatory guidance. The Regulatory Capital CRR Article 178 definition of default considers indicators that the debtor is unlikely to pay, includes exposures in forbearance and is no later than when the exposure is more than 90 days past due. When exposures are identified as credit impaired at the time when they are purchased or originated, interest income is calculated on the carrying value net of the impairment allowance.

An asset is considered credit impaired when one or more events occur that have a detrimental impact on the estimated future cash flows of the financial asset. This comprises assets defined as defaulted and other individually assessed exposures where imminent default or actual loss is identified.

Uncollectible loans are written off against the related allowance for loan impairment on completion of the Barclays Bank Group's internal processes and when all reasonably expected recoverable amounts have been collected. Subsequent recoveries of amounts previously written off are credited to the income statement. The timing and extent of write-offs may involve some element of subjective judgement. Nevertheless, a write-off will often be prompted by a specific event, such as the inception of insolvency proceedings or other formal recovery action, which makes it possible to establish that some or the entire advance is beyond realistic prospect of recovery.

Accounting for purchased financial guarantee contracts

The Barclays Bank Group may enter into a financial guarantee contract which requires the issuer of such contract to reimburse the Barclays Bank Group for a loss it incurs because a specified debtor fails to make payment when due in accordance with the terms of a debt instrument. For these separate financial guarantee contracts, the Barclays Bank Group recognises a reimbursement asset aligned with the recognition of the underlying ECLs, if it is considered virtually certain that a reimbursement would be received if the specified debtor fails to make payment when due in accordance with the terms of the debt instrument.

Loan modifications and renegotiations that are not credit-impaired

When modification of a loan agreement occurs as a result of commercial restructuring activity rather than due to the credit risk of the borrower, an assessment must be performed to determine whether the terms of the new agreement are substantially different from the terms of the existing agreement. This assessment considers both the change in cash flows arising from the modified terms as well as the change in overall instrument risk profile. In respect of payment holidays

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granted to borrowers which are not due to forbearance, if the revised cash flows on a present value basis (based on the original EIR) are not substantially different from the original cash flows, the loan is not considered to be substantially modified.

Where terms are substantially different, the existing loan will be derecognised and a new loan will be recognised at fair value, with any difference in valuation recognised immediately within the income statement, subject to observability criteria.

Where terms are not substantially different, the loan carrying value will be adjusted to reflect the present value of modified cash flows discounted at the original EIR, with any resulting gain or loss recognised immediately within the income statement as a modification gain or loss.

Expected life

Lifetime ECLs must be measured over the expected life. This is restricted to the maximum contractual life and takes into account expected prepayment, extension, call and similar options. The exceptions are certain revolver financial instruments, such as credit cards and bank overdrafts, that include both a drawn and an undrawn component where the entity's contractual ability to demand repayment and cancel the undrawn commitment does not limit the entity's exposure to credit losses to the contractual notice period. For revolving facilities, expected life is analytically derived to reflect the behavioural life of the asset, i.e. the full period over which the business expects to be exposed to credit risk. Behavioural life is typically based upon historical analysis of the average time to default, closure or withdrawal of facility. Where data is insufficient or analysis inconclusive, an additional 'maturity factor' may be incorporated to reflect the full estimated life of the exposures, based upon experienced judgement and/or peer analysis. Potential future modifications of contracts are not taken into account when determining the expected life or EAD until they occur.

Discounting

ECLs are discounted at the EIR at initial recognition or an approximation thereof and consistent with income recognition. For loan commitments the EIR is the rate that is expected to apply when the loan is drawn down and a financial asset is recognised. Issued financial guarantee contracts are discounted at the risk-free rate. Lease receivables are discounted at the rate implicit in the lease. For variable/floating rate financial assets, the spot rate at the reporting date is used and projections of changes in the variable rate over the expected life are not made to estimate future interest cash flows or for discounting.

Modelling techniques

Currently, Internal Ratings-Based models are leveraged to calculate the point-in-time PD and LGD, which serve as key inputs to the IFRS 9 models. Thereafter, these inputs are extrapolated by the IFRS 9 models to create macroeconomic sensitive forecast of PDs, LGDs and in turn ECL.

Forbearance

A financial asset is subject to forbearance when it is modified due to the credit distress of the borrower. A modification made to the terms of an asset due to forbearance will typically be assessed as a non-substantial modification that does not result in derecognition of the original loan, except in circumstances where debt is exchanged for equity.

Both performing and non-performing forbearance assets are classified as Stage 3 except where it is established that the concession granted has not resulted in diminished financial obligation and that no other regulatory definitions of default criteria have been triggered, in which case the asset is classified as Stage 2. The minimum probationary period for non-performing forbearance is 12 months and for performing forbearance, 24 months. Hence, a minimum of 36 months is required for non-performing forbearance to move out of a forborne state.

No financial instrument in forbearance can transfer back to Stage 1 until all of the Stage 2 thresholds are no longer met and can only move out of Stage 3 when no longer credit impaired.

Critical accounting estimates and judgements

Key areas involving a higher degree of judgement or estimation include:

Judgements	Estimates
Identification and application of management adjustments in response to circumstances outside the scope of the model.	Estimates include modelling assumptions such as estimating forward-looking modelled parameters (PD, EAD & LGD), and a range of unbiased future economic scenarios and scenario weightings.

These estimates are considered to have a significant risk of resulting in material adjustment to the carrying amounts of financial instruments in scope of IFRS 9 impairment within the next financial year.

Notes to the financial statements

Financial performance and returns

IFRS 9 impairment involves several important areas of judgement, including estimating forward looking modelled parameters (PD, LGD and EAD), developing a range of unbiased future economic scenarios, estimating expected lives and assessing significant increases in credit risk, based on the Barclays Bank Group's experience of managing credit risk. The determination of expected life is most material for Barclays Bank Group's credit card portfolios which is obtained via behavioural life analysis to materially capture the risk of these facilities.

Within the retail and small businesses portfolios, which comprise large numbers of small homogenous assets with similar risk characteristics where credit scoring techniques are generally used, the impairment allowance is calculated using forward looking modelled parameters which are typically run at account level. There are many models in use, each tailored to a product, line of business or customer category. Judgement and knowledge is needed in selecting the statistical methods to use when the models are developed or revised. Management adjustments to impairment models, which contain an element of subjectivity, are applied in order to factor in certain conditions or changes in policy that are not fully incorporated into the impairment models, or to reflect additional facts and circumstances at the period end. Management adjustments are reviewed and incorporated into future model development where appropriate.

For individually significant assets in Stage 3, impairment allowances are calculated on an individual basis and all relevant considerations that have a bearing on the expected future cash flows across a range of economic scenarios are taken into account. These considerations can be particularly subjective and can include the business prospects for the customer, the realisable value of collateral, the Barclays Bank Group's position relative to other claimants, the reliability of customer information and the likely cost and duration of the work-out process. The level of the impairment allowance is the difference between the value of the discounted expected future cash flows (discounted at the loan's original effective interest rate), and its carrying amount. Furthermore, judgements change with time as new information becomes available or as work-out strategies evolve, resulting in frequent revisions to the impairment allowance as individual decisions are taken. Changes in these estimates would result in a change in the allowances and have a direct impact on the impairment charge.

Temporary adjustments to calculated IFRS 9 impairment allowances may be applied in limited circumstances to account for situations where known or expected risk factors or information have not been considered in the ECL assessment or modelling process. For further information please see pages 183 to 184 in credit risk performance.

Information about the potential impact of the physical and transition risks of climate change on borrowers is considered, taking into account reasonable and supportable information to make accounting judgements and estimates. Climate change is inherently of a long-term nature, with significant levels of uncertainty, and consequently requires judgement in determining the possible impact in the next financial year, if any.

Notes to the financial statements

Financial performance and returns

Credit impairment charges/(releases)

	2025			2024			2023		
	Impairment charges / (releases)	Recoveries and reimbursements ¹	Total ^{2,3}	Impairment charges / (releases)	Recoveries and reimbursements ¹	Total ²	Impairment charges / (releases)	Recoveries and reimbursements ¹	Total
	£m	£m	£m	£m	£m	£m	£m	£m	£m
Loans and advances at amortised cost ⁴	1,992	(131)	1,861	1,687	(42)	1,645	1,656	(41)	1,615
Off-balance sheet loan commitments and financial guarantee contracts	(1)	—	(1)	(34)	—	(34)	(37)	—	(37)
Total	1,991	(131)	1,860	1,653	(42)	1,611	1,619	(41)	1,578
Cash collateral and settlement balances	1	—	1	(3)	—	(3)	4	—	4
Financial instruments at fair value through other comprehensive income	(3)	—	(3)	1	—	1	(2)	—	(2)
Reverse repurchase agreements and other similar secured lending at amortised cost	5	—	5	8	—	8	—	—	—
Other financial assets measured at amortised cost	3	—	3	—	—	—	(2)	—	(2)
Credit impairment charges / (releases)	1,997	(131)	1,866	1,659	(42)	1,617	1,619	(41)	1,578

Notes

- 1 Recoveries and reimbursements include £80m (2024: £11m, 2023: £24m) for reimbursements where the Barclays Bank Group has entered into financial guarantee contracts which provide credit protection over certain assets with third parties and cash recoveries of previously written off amounts of £51m (2024: £31m, 2023: £17m).
- 2 Includes net impairment charge on co-branded card portfolio of £176m (2024: £160m) within USCB classified as held for sale.
- 3 Includes net impairment charge of £101m related to the acquisition of GM portfolio.
- 4 Includes Debt securities at amortised cost.

Write-offs that can be subjected to enforcement activity

The contractual amount outstanding on financial assets that were written off during the year and that can still be subjected to enforcement activity is £602m (2024: £500m, 2023: £395m) including £63m pertaining to co-branded card portfolio within USCB classified as held for sale in December 2024. This is lower than the write-offs presented in the movement in the gross exposures and impairment allowance table due to assets sold during the year post write-offs and post write-off recoveries.

Modification of financial assets

Financial assets of £2,001m (2024: £1,585m, 2023: £2,177m), with a loss allowance measured at an amount equal to lifetime ECL, were subject to non-substantial modification during the year, with a resulting loss of £80m (2024: £75m, 2023: £2m). The gross carrying amount at 31 December 2025 of financial assets subject to non-substantial modification for which the loss allowance has changed to a 12-month ECL during the year amounts to £221m (2024: £101m, 2023: £149m).

Notes to the financial statements

Financial performance and returns

9 Tax

Accounting for income taxes

The Barclays Bank Group applies IAS 12 Income Taxes in accounting for taxes on income. Income tax payable on taxable profits (current tax) is recognised as an expense in the periods in which the profits arise. Withholding taxes are also treated as income taxes. Income tax recoverable on tax allowable losses is recognised as a current tax asset only to the extent that it is regarded as recoverable by offsetting against taxable profits arising in the current or prior periods. Current tax is measured using tax rates and tax laws that have been enacted or substantively enacted at the balance sheet date.

Deferred tax assets are recognised to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry forward of unused tax credits and unused tax losses can be utilised. Deferred tax liabilities are recognised for all taxable temporary differences except for the initial recognition of goodwill. Deferred tax is not recognised where the temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss. Deferred tax is determined using tax rates and legislation enacted or substantively enacted by the balance sheet date which are expected to apply when the deferred tax asset is realised or the deferred tax liability is settled. Deferred tax assets and liabilities are only offset when there is both a legal right to set-off and an intention to settle on a net basis.

The Barclays Bank Group has adopted the International Tax Reform - Pillar Two Model Rules amendments to IAS 12, which were issued on 23 May 2023 and approved by the UK Endorsement Board on 19 July 2023, and has applied the exception set out in paragraph 4A in respect of recognising and disclosing information about deferred tax assets and liabilities related to Pillar Two income taxes.

The Barclays Bank Group considers an uncertain tax position to exist when it considers that ultimately, in the future, the amount of profit subject to tax may be greater than the amount initially reflected in the Barclays Bank Group's tax returns. The Barclays Bank Group accounts for provisions in respect of uncertain tax positions in two different ways.

A current tax provision is recognised when it is considered probable that the outcome of a review by a tax authority of an uncertain tax position will alter the amount of cash tax due to, or from, a tax authority in the future. From recognition, the current tax provision is then measured at the amount the Barclays Bank Group ultimately expects to pay the tax authority to resolve the position. The accrual of interest and penalty amounts in respect of uncertain income tax positions is recognised as an expense within profit before tax.

Deferred tax provisions are adjustments made to the carrying value of deferred tax assets in respect of uncertain tax positions. A deferred tax provision is recognised when it is considered probable that the outcome of a review by a tax authority of an uncertain tax position will result in a reduction in the carrying value of the deferred tax asset. From recognition of a provision, measurement of the underlying deferred tax asset is adjusted to take into account the expected impact of resolving the uncertain tax position on the loss or temporary difference giving rise to the deferred tax asset.

The approach taken to measurement takes account of whether the uncertain tax position is a discrete position that will be reviewed by the tax authority in isolation from any other position, or one of a number of issues which are expected to be reviewed together concurrently and resolved simultaneously with a tax authority. The Barclays Bank Group's measurement of provisions is based upon its best estimate of the additional profit that will become subject to tax. For a discrete position, consideration is given only to the merits of that position. Where a number of issues are expected to be reviewed and resolved together, the Barclays Bank Group will take into account not only the merits of its position in respect of each particular issue but also the overall level of provision relative to the aggregate of the uncertain tax positions across all the issues that are expected to be resolved at the same time. In addition, in assessing provision levels, it is assumed that tax authorities will review uncertain tax positions and that all facts will be fully and transparently disclosed.

Critical accounting estimates and judgements

Key areas involving a higher degree of judgement or estimation include:

Judgements	Estimates
Recognition of deferred tax assets and determination of provisions for uncertain tax positions.	Measurement of deferred tax balances and the level of provisioning for uncertain tax positions.

The Barclays Bank Group does not consider there to be a significant risk of a material adjustment to the carrying amount of current and deferred tax balances, including provisions for uncertain tax positions in the next financial year. The provisions for uncertain tax positions cover a diverse range of issues and reflect advice from external counsel where relevant. It should be noted that only a proportion of the total uncertain tax positions will be under audit at any point in time, and could therefore be subject to challenge by a tax authority over the next year.

Deferred tax assets have been recognised based on business profit forecasts which included consideration for the current view of climate impacts. Details on the recognition of deferred tax assets are provided in this note.

Notes to the financial statements

Financial performance and returns

	2025 £m	2024 £m	2023 £m
Current tax charge/(credit)			
Current year	982	680	605
Adjustments in respect of prior years	(9)	42	(96)
	973	722	509
Deferred tax charge			
Current year	219	239	43
Adjustments in respect of prior years	93	38	110
	312	277	153
Tax charge	1,285	999	662

The table below shows the reconciliation between the actual tax charge and the tax charge that would result from applying the standard UK corporation tax rate to the Barclays Bank Group's profit before tax.

	2025 £m	2025 %	2024 £m	2024 %	2023 £m	2023 %
Profit before tax from continuing operations	5,943		4,747		4,223	
Tax charge based on the applicable UK corporation tax rate of 25% (2024: 25%, 2023: 23.5%)	1,486	25.0%	1,187	25.0%	992	23.5%
Impact of profits/losses earned in territories with different statutory rates to the UK (weighted average tax rate is 23.5% (2024: 23%, 2023: 23.6%))	(88)	(1.5%)	(95)	(2.0%)	3	0.1%
Recurring items:						
Non-creditable taxes including withholding taxes	134	2.3%	95	2.0%	124	3.0%
Adjustments in respect of prior years	84	1.5%	80	1.7%	14	0.3%
Changes in recognition of deferred tax and effect of unrecognised tax losses	49	0.8%	69	1.5%	(58)	(1.4%)
Impact of UK bank levy being non-deductible	47	0.8%	47	1.0%	35	0.8%
Non-deductible expenses	35	0.6%	44	0.9%	47	1.1%
Non-taxable gains and income	(29)	(0.5%)	(74)	(1.6%)	(60)	(1.4%)
Other items including banking surcharge ¹	(110)	(2.0%)	(32)	(0.7%)	(74)	(1.8%)
Tax relief on payments made under AT1 instruments	(189)	(3.2%)	(189)	(4.0%)	(174)	(4.1%)
Tax relief on holdings of inflation-linked government bonds	(194)	(3.3%)	(157)	(3.3%)	(194)	(4.6%)
Non-recurring items:						
Non-deductible provisions for UK customer redress	47	0.8%	22	0.5%	7	0.2%
Non-deductible provisions for investigations and litigation	10	0.2%	2	0.0%	—	—
Non-deductible impairments and losses on divestments	3	0.1%	—	—	—	—
Total tax charge	1,285	21.6%	999	21.0%	662	15.7%

Note

¹ Banking surcharge includes the impact of the 3% UK banking surcharge rate on profits/losses and tax adjustments relating to UK banking entities.

Factors influencing the effective tax rate

The effective tax rate of 21.6% is lower than the UK corporation tax rate of 25% primarily due to tax relief on holdings of inflation-linked government bonds and tax relief on payments made under AT1 instruments. These factors, which have each decreased the effective tax rate, are partially offset by non-creditable taxes including withholding taxes. The tax charge for the year also includes £22m in respect of global minimum tax arising under the Pillar Two rules.

Factors that may influence the effective tax rate in future periods

The Barclays Bank Group's future tax charge will be sensitive to the geographic mix of profits earned, the tax rates in force and changes to the tax rules in the jurisdictions that the Barclays Bank Group operates in.

Tax law is, at times, complex, and it is the role of courts and tribunals to act as the final authority on the correct interpretation of tax law. In October 2023, a First-tier Tax Tribunal hearing took place between Barclays Bank PLC and HM Revenue & Customs (HMRC) in respect of the UK corporation tax treatment of an element of the finance costs associated with reserve capital instruments issued as part of the capital raising announced by Barclays in October 2008, which have since been redeemed. The judgment was handed down in March 2024 and was in HMRC's favour. In January 2025, Barclays was granted permission from the Upper Tribunal to appeal against the judgment and the Upper Tribunal will hear the case in

Notes to the financial statements

Financial performance and returns

2026. A provision is carried that is expected to be sufficient to cover the tax cost (once tax attributes that are available to partially offset a potential tax liability in respect of this issue are taken into account) in the event that the appeal is unsuccessful and the existing judgment were to stand.

Tax in the consolidated statement of comprehensive income

Tax relating to each component of other comprehensive income can be found in the consolidated statement of comprehensive income.

Tax included directly in equity

Tax included directly in equity comprises a £189m credit (2024: £94m credit) relating to share-based payments and deductible costs on issuing other equity instruments.

Deferred tax assets and liabilities

The deferred tax amounts on the balance sheet were as follows:

	Barclays Bank Group	
	2025	2024
	£m	£m
UK Tax Group	1,433	2,315
US Intermediate Holding Company Tax Group ("IHC Tax Group")	1,005	1,162
Barclays Bank PLC's US Branch Tax Group	255	270
Other (outside the UK and US tax groups)	243	386
Deferred tax asset	2,936	4,133
Deferred tax liability	(1)	(2)
Net deferred tax	2,935	4,131

	Barclays Bank PLC	
	2025	2024
	£m	£m
UK Tax Group	1,420	2,315
Barclays Bank PLC's US Branch Tax Group	255	270
Other (outside the UK and US tax groups)	37	53
Deferred tax asset	1,712	2,638
Deferred tax liability	(1)	(2)
Net deferred tax	1,711	2,636

UK Tax Group deferred tax assets and liabilities

The net deferred tax asset in the UK Tax Group of £1,433m (2024: £2,315m) includes a deferred tax asset of £846m (2024: £1,066m) relating to tax losses with the balance relating to temporary differences. There is no time limit on utilisation of UK tax losses and business profit forecasts indicate these losses will be fully recovered.

US deferred tax assets in the IHC and the US Branch Tax Groups

The deferred tax asset in the IHC Tax Group of £1,005m (2024: £1,162m) includes £12m (2024: £38m) relating to tax losses, with the balance relating to temporary differences. The deferred tax asset in Barclays Bank PLC's US Branch Tax Group of £255m (2024: £270m) relates entirely to temporary differences.

In relation to the IHC Tax Group, these temporary differences include £307m (2024: £365m) arising from New York State and City prior net operating loss conversion which can be carried forward and will expire in 2034. Business profit forecasts indicate that these amounts will be utilised prior to expiry.

Other deferred tax assets (outside the UK and US tax groups)

The deferred tax asset of £243m (2024: £386m) in other entities within the Barclays Bank Group includes £54m (2024: £111m) relating to tax losses. These deferred tax assets relate to a number of different territories and their recognition is based on profit forecasts or local country law which indicate that it is probable that those deferred tax assets will be fully recovered.

Of the deferred tax asset of £243m (2024: £386m), an amount of £12m (2024: £4m) relates to entities which have suffered a loss in either the current or prior year and for which the utilisation of the deferred tax is dependent on future taxable profits. This has been taken into account in reaching the above conclusion that these deferred tax assets will be fully recovered in the future.

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The table below shows movements on deferred tax assets and liabilities during the year. The amounts are different from those disclosed on the balance sheet and in the preceding table as they are presented before offsetting asset and liability balances where there is a legal right to set-off and an intention to settle on a net basis.

Barclays Bank Group										
	Fixed asset timing differences	Fair value through other comprehensive income	Cash flow hedges	Retirement benefit obligations	Loan impairment allowance	Own credit	Share based payments and deferred compensation	Other temporary differences	Tax losses carried forward	Total
	£m	£m	£m	£m	£m	£m	£m	£m	£m	£m
Assets	367	691	904	12	408	394	409	878	1,215	5,278
Liabilities	(109)	—	(3)	(897)	—	—	—	(138)	—	(1,147)
As at 1 January 2025	258	691	901	(885)	408	394	409	740	1,215	4,131
Income statement	42	—	—	14	(151)	—	40	25	(282)	(312)
Other comprehensive income and reserves	—	(256)	(582)	(7)	—	(28)	114	1	—	(758)
Other movements	(14)	—	—	(2)	(32)	1	(16)	(42)	(21)	(126)
	286	435	319	(880)	225	367	547	724	912	2,935
Assets	380	435	319	14	225	367	547	772	912	3,971
Liabilities	(94)	—	—	(894)	—	—	—	(48)	—	(1,036)
As at 31 December 2025	286	435	319	(880)	225	367	547	724	912	2,935
Assets	275	510	1,058	16	506	85	327	903	1,423	5,103
Liabilities	(112)	—	—	(1,014)	—	—	—	(92)	—	(1,218)
As at 1 January 2024	163	510	1,058	(998)	506	85	327	811	1,423	3,885
Income statement	90	—	—	(3)	(79)	1	(6)	(72)	(208)	(277)
Other comprehensive income and reserves	—	181	(157)	116	—	308	79	1	—	528
Other movements	5	—	—	—	(19)	—	9	—	—	(5)
	258	691	901	(885)	408	394	409	740	1,215	4,131
Assets	367	691	904	12	408	394	409	878	1,215	5,278
Liabilities	(109)	—	(3)	(897)	—	—	—	(138)	—	(1,147)
As at 31 December 2024	258	691	901	(885)	408	394	409	740	1,215	4,131

Notes to the financial statements

Financial performance and returns

Barclays Bank PLC

	Fixed asset timing differences	Fair value through other comprehensive income	Cash flow hedges	Retirement benefit obligations	Loan impairment allowance	Own credit	Share based payments and deferred compensation	Other temporary differences	Tax losses carried forward	Total
	£m	£m	£m	£m	£m	£m	£m	£m	£m	£m
Assets	62	722	902	—	135	386	162	187	1,071	3,627
Liabilities	—	—	—	(896)	—	—	—	(95)	—	(991)
As at 1 January 2025	62	722	902	(896)	135	386	162	92	1,071	2,636
Income statement	5	—	—	16	36	—	6	101	(222)	(58)
Other comprehensive income and reserves	—	(254)	(587)	(11)	—	(29)	46	—	—	(835)
Other movements	—	—	—	—	(21)	—	(1)	(7)	(3)	(32)
	67	468	315	(891)	150	357	213	186	846	1,711
Assets	67	468	315	—	150	357	213	188	846	2,604
Liabilities	—	—	—	(891)	—	—	—	(2)	—	(893)
As at 31 December 2025	67	468	315	(891)	150	357	213	186	846	1,711

Assets	43	542	1,048	—	180	82	127	305	1,244	3,571
Liabilities	—	—	—	(1,013)	—	—	—	(51)	—	(1,064)
As at 1 January 2024	43	542	1,048	(1,013)	180	82	127	254	1,244	2,507
Income statement	19	—	—	(2)	(28)	—	4	(162)	(173)	(342)
Other comprehensive income and reserves	—	180	(146)	119	—	303	31	—	—	487
Other movements	—	—	—	—	(17)	1	—	—	—	(16)
	62	722	902	(896)	135	386	162	92	1,071	2,636
Assets	62	722	902	—	135	386	162	187	1,071	3,627
Liabilities	—	—	—	(896)	—	—	—	(95)	—	(991)
As at 31 December 2024	62	722	902	(896)	135	386	162	92	1,071	2,636

Other movements include the impact of changes in foreign exchange rates as well as deferred tax amounts relating to acquisitions and disposals.

The amount of deferred tax asset expected to be recovered after more than 12 months for the Barclays Bank Group is £3,590m (2024: £4,662m) and for Barclays Bank PLC is £2,236m (2024: £3,228m). The amount of deferred tax liability expected to be settled after more than 12 months for the Barclays Bank Group is £1,023m (2024: £1,021m) and for Barclays Bank PLC is £870m (2024: £878m). These amounts are before offsetting asset and liability balances where there is a legal right to set-off and an intention to settle on a net basis.

Unrecognised deferred tax

Tax losses and temporary differences

The Barclays Bank Group has deferred tax assets not recognised in respect of gross deductible temporary differences of £288m (2024: £373m), unused tax credits of £336m (2024: £359m), and gross tax losses of £21,016m (2024: £21,021m). The tax losses include capital losses of £3,719m (2024: £3,629m). Of these tax losses, £13m (2024: £13m) expire within five years, £2,216m (2024: £6m) expire within six to ten years, £9,747m (2024: £11,789m) expire within eleven to twenty years and £9,040m (2024: £9,213m) can be carried forward indefinitely. Deferred tax assets have not been recognised in respect of these items because it is not probable that future taxable profits and gains will be available against which they can be utilised.

For Barclays Bank PLC, deferred tax assets have not been recognised in respect of gross deductible temporary differences of £4m (2024: £4m), unused tax credits of £168m (2024: £168m), and gross tax losses of £4,083m (2024: £4,055m) which can be carried forward indefinitely and includes capital losses of £2,880m (2024: £2,873m). Deferred tax assets have not been recognised in respect of these items because it is not probable that future taxable profits and gains will be available against which they can be utilised.

Barclays Bank Group investments in subsidiaries, branches and associates

Deferred tax is not recognised in respect of the value of Barclays Bank Group's investments in subsidiaries, branches and associates where the Barclays Bank Group is able to control the timing of the reversal of the temporary differences and it is probable that such differences will not reverse in the foreseeable future. The aggregate amount of these temporary differences for which deferred tax liabilities have not been recognised was £868m (2024: £873m).

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10 Dividends on ordinary shares and preference shares

The 2025 financial statements include £2,570m (2024: £1,782m, 2023: £1,348m) of dividends paid on ordinary shares. This comprises a 2024 interim dividend of £1,195m (2023: £852m, 2022: £700m) and an interim dividend in relation to 2025 of £1,375m (2024: interim dividend of £930m, 2023: interim dividend of £648m).

This results in a total dividend for the year of £1.10 (2024: £0.76, 2023: £0.58) per ordinary share.

Dividends paid on preference shares amounted to £32m (2024: £41m, 2023: £40m). Dividends paid on the Euro preference shares amounted to £145.38 per share (2024: £384.56, 2023: £333.36). Dividends paid on the US Dollar preference shares amounted to £464.77 per share (2024: £493.20, 2023: £499.58).

The Directors have approved a full year dividend in respect of 2025 of £1,175m. The financial statements for the year ended 31 December 2025 do not reflect this dividend, which will be accounted for in shareholders' equity as an appropriation of retained profits in the year ending 31 December 2026.

Notes to the financial statements

Assets and liabilities held at fair value

The notes included in this section focus on assets and liabilities the Barclays Bank Group holds and recognises at fair value. Details regarding the Barclays Bank Group's approach to managing market risk can be found on page 149.

11 Trading portfolio

Accounting for trading portfolio assets and liabilities

All assets and liabilities held for trading purposes are held at fair value with gains and losses in the changes in fair value taken to the income statement in net trading income (Note 5).

	Barclays Bank Group	
	2025	2024
	£m	£m
Debt securities and other eligible bills	94,040	77,805
Equity securities	83,243	74,859
Traded loans	12,249	13,470
Commodities	211	110
Trading Portfolio Assets	189,743	166,244
Debt securities and other eligible bills	(32,309)	(36,324)
Equity securities	(24,520)	(19,858)
Trading Portfolio Liabilities	(56,829)	(56,182)

	Barclays Bank PLC	
	2025	2024
	£m	£m
Debt securities and other eligible bills	44,957	38,658
Equity securities	53,139	50,492
Traded loans	12,513	12,880
Commodities	16	—
Trading Portfolio Assets	110,625	102,030
Debt securities and other eligible bills	(14,174)	(17,184)
Equity securities	(18,331)	(23,831)
Trading Portfolio Liabilities	(32,505)	(41,015)

12 Financial assets at fair value through the income statement

Accounting for financial assets designated at fair value

Financial assets, other than those held for trading, are classified in this category if they are so irrevocably designated at inception and the use of the designation removes or significantly reduces an accounting mismatch.

Subsequent changes in fair value for these instruments are recognised in the income statement in net investment income, except if reporting it in trading income reduces an accounting mismatch.

The details on how the fair value amounts are derived for financial assets at fair value are described in Note 16.

Accounting for financial assets mandatorily at fair value

Financial assets that are held for trading are recognised at fair value through profit or loss. In addition, financial assets are held at fair value through profit or loss if they do not contain contractual terms that give rise on specified dates to cash flows that are Solely Payments of Principal and Interest (SPPI), or if the financial asset is not held in a business model that is either (i) a business model to collect the contractual cash flows or (ii) a business model that is achieved by both collecting contractual cash flows and selling.

Notes to the financial statements

Assets and liabilities held at fair value

	Barclays Bank Group	
	2025	2024
	£m	£m
Loans and advances	785	1,039
Debt securities	303	182
Other financial assets	—	—
Financial assets designated at fair value	1,088	1,221
Loans and advances	46,100	43,143
Debt securities	2,818	2,749
Equity securities	2,336	2,856
Reverse repurchase agreements and other similar secured lending	132,600	141,791
Other financial assets	60	85
Financial assets mandatorily at fair value	183,914	190,624
Total	185,002	191,845

	Barclays Bank PLC	
	2025	2024
	£m	£m
Loans and advances	785	1,039
Other financial assets	—	—
Financial assets designated at fair value	785	1,039
Loans and advances	56,341	53,672
Debt securities	4,729	4,165
Equity securities	103	145
Reverse repurchase agreements and other similar secured lending	200,390	194,770
Other financial assets	1	21
Financial assets mandatorily at fair value	261,564	252,773
Total	262,349	253,812

Credit risk of financial assets designated at fair value and related credit derivatives

The following table shows the maximum exposure to credit risk, the changes in fair value attributable to changes in credit risk, and the cumulative changes in fair value since initial recognition for loans and advances. The table does not include debt securities as they have minimal exposure to credit risk due to limited gross exposure.

	Barclays Bank Group					
	Maximum exposure as at 31 December		Changes in fair value during the year ended		Cumulative changes in fair value from inception	
	2025	2024	2025	2024	2025	2024
	£m	£m	£m	£m	£m	£m
Loans and advances designated at fair value, attributable to credit risk	785	1,039	2	(2)	(2)	(4)
Value mitigated by related credit derivatives	193	405	(2)	—	(2)	—

	Barclays Bank PLC					
	Maximum exposure as at 31 December		Changes in fair value during the year ended		Cumulative changes in fair value from inception	
	2025	2024	2025	2024	2025	2024
	£m	£m	£m	£m	£m	£m
Loans and advances designated at fair value, attributable to credit risk	785	1,039	2	(2)	(2)	(4)
Value mitigated by related credit derivatives	193	405	(2)	—	(2)	—

Notes to the financial statements

Assets and liabilities held at fair value

13 Derivative financial instruments

Accounting for derivatives

Derivative instruments are contracts whose value is derived from one or more underlying financial instruments or indices defined in the contract. They include swaps, forward-rate agreements, futures, options and combinations of these instruments and primarily affect the Barclays Bank Group's net interest income, net trading income and derivative assets and liabilities. Notional amounts of the contracts are not recorded on the balance sheet. Derivatives are used to hedge interest rate, credit risk, inflation risk, exchange rate, commodity, equity exposures and exposures to certain indices such as house price indices and retail price indices related to non-trading positions.

All derivative instruments are held at fair value through profit or loss, except for derivatives that are in a designated cash flow or net investment hedge accounting relationship. Derivatives are classified as assets when their fair value is positive or as liabilities when their fair value is negative.

Hedge accounting

The Barclays Bank Group applies the requirements of IAS 39 *Financial Instruments: Recognition and Measurement* for hedge accounting purposes. The Barclays Bank Group applies hedge accounting to represent the economic effects of its interest rate, currency and contractually linked inflation risk management strategies. Where derivatives are held for risk management purposes, and when transactions meet the required criteria for documentation and hedge effectiveness, the Barclays Bank Group applies fair value hedge accounting, cash flow hedge accounting, or hedging of a net investment in a foreign operation, as appropriate to the risks being hedged.

Fair value hedge accounting

Changes in fair value of derivatives that qualify and are designated as fair value hedges are recorded in the income statement, together with changes in the fair value of the hedged asset or liability that are attributable to the hedged risk. The fair value changes adjust the carrying value of the hedged asset or liability held at amortised cost. For hedged items classified as fair value through other comprehensive income, fair value movements attributable to the hedged risk are transferred from other comprehensive income to the income statement.

If hedge relationships no longer meet the criteria for hedge accounting, hedge accounting is discontinued. For fair value hedges of interest rate risk, the fair value adjustment to the hedged item is amortised to the income statement over the period to maturity of the previously designated hedge relationship using the effective interest method. If the hedged item is sold or repaid, the unamortised fair value adjustment is recognised immediately in the income statement.

Cash flow hedge accounting

For qualifying cash flow hedges, the fair value gain or loss associated with the effective portion of the cash flow hedge is recognised initially in other comprehensive income, and then recycled to the income statement in the periods when the hedged item will affect profit or loss. Any ineffective portion of the gain or loss on the hedging instrument is recognised in the income statement immediately.

When a hedging instrument expires or is sold, or when a hedge no longer meets the criteria for hedge accounting, any cumulative gain or loss existing in equity at that time remains in equity and is recognised when the hedged item is ultimately recognised in the income statement. When a forecast transaction is no longer expected to occur, the cumulative gain or loss that was recognised in equity is immediately transferred to the income statement.

Hedges of net investments

The Barclays Bank Group's net investments in foreign operations, including monetary items accounted for as part of the net investment, are hedged for foreign currency risks using both derivatives and foreign currency borrowings. Hedges of net investments are accounted for similarly to cash flow hedges; the effective portion of the gain or loss on the hedging instrument is being recognised directly in other comprehensive income and the ineffective portion being recognised immediately in the income statement. The cumulative gain or loss recognised in other comprehensive income is recognised in the income statement on the disposal or partial disposal of the foreign operation, or other reductions in the Barclays Bank Group's investment in the operation.

Barclays Bank Group	2025			2024		
	Notional contract amount	Fair value		Notional contract amount	Fair value	
		Assets	Liabilities		Assets	Liabilities
	£m	£m	£m	£m	£m	£m
Total derivative assets/(liabilities) held for trading	99,839,732	250,285	(240,158)	83,571,610	291,562	(278,636)
Total derivative assets/(liabilities) held for risk management	239,559	1,907	(599)	221,158	794	(695)
Derivative assets/(liabilities)	100,079,291	252,192	(240,757)	83,792,768	292,356	(279,331)

Notes to the financial statements

Assets and liabilities held at fair value

Barclays Bank PLC	2025			2024		
	Notional contract amount £m	Fair value		Notional contract amount £m	Fair value	
		Assets	Liabilities		Assets	Liabilities
		£m	£m		£m	£m
Total derivative assets/(liabilities) held for trading	57,993,837	223,096	(210,014)	54,524,583	259,723	(247,733)
Total derivative assets/(liabilities) held for risk management	221,275	1,841	(447)	203,994	764	(684)
Derivative assets/(liabilities)	58,215,112	224,937	(210,461)	54,728,577	260,487	(248,417)

Further information on netting arrangements of derivative financial instruments can be found within Note 17.

Notes to the financial statements

Assets and liabilities held at fair value

The fair values and notional amounts of derivatives held for trading are set out in the following table:

Derivatives held for trading and risk management	2025			2024		
Barclays Bank Group	Notional contract amount £m	Fair value		Notional contract amount £m	Fair value	
		Assets	Liabilities		Assets	Liabilities
		£m	£m		£m	£m
Derivatives held for trading						
Foreign exchange derivatives						
OTC derivatives	8,229,535	73,979	(71,525)	8,242,887	123,379	(116,485)
Derivatives cleared by central counterparty	276,189	251	(221)	240,612	228	(235)
Exchange traded derivatives	20,733	1	(1)	27,441	7	(7)
Foreign exchange derivatives	8,526,457	74,231	(71,747)	8,510,940	123,614	(116,727)
Interest rate derivatives						
OTC derivatives	32,272,598	90,814	(77,199)	26,437,086	92,206	(79,936)
Derivatives cleared by central counterparty	42,100,741	1,409	(1,124)	36,249,392	1,443	(1,319)
Exchange traded derivatives	11,473,470	1,498	(1,457)	7,672,496	2,664	(2,698)
Interest rate derivatives	85,846,809	93,721	(79,780)	70,358,974	96,313	(83,953)
Credit derivatives						
OTC derivatives	671,066	4,169	(4,666)	593,702	3,474	(4,307)
Derivatives cleared by central counterparty	1,065,702	3,682	(3,713)	943,413	3,424	(3,148)
Credit derivatives	1,736,768	7,851	(8,379)	1,537,115	6,898	(7,455)
Equity and stock index derivatives						
OTC derivatives	739,153	22,180	(27,092)	598,024	21,964	(26,318)
Exchange traded derivatives	2,769,230	50,161	(51,063)	2,347,247	40,947	(42,309)
Equity and stock index derivatives	3,508,383	72,341	(78,155)	2,945,271	62,911	(68,627)
Commodity derivatives						
OTC derivatives	4,681	15	(16)	7,084	17	(32)
Exchange traded derivatives	216,634	2,126	(2,081)	212,226	1,809	(1,842)
Commodity derivatives	221,315	2,141	(2,097)	219,310	1,826	(1,874)
Derivative assets/(liabilities) held for trading	99,839,732	250,285	(240,158)	83,571,610	291,562	(278,636)
Total OTC derivatives	41,917,033	191,157	(180,498)	35,878,783	241,040	(227,078)
Total derivatives cleared by central counterparty	43,442,632	5,342	(5,058)	37,433,417	5,095	(4,702)
Total exchange traded derivatives	14,480,067	53,786	(54,602)	10,259,410	45,427	(46,856)
Derivative assets/(liabilities) held for trading	99,839,732	250,285	(240,158)	83,571,610	291,562	(278,636)
Derivatives held for risk management						
Derivatives designated as cash flow hedges						
Currency Swaps	26,048	1,677	(39)	26,564	611	(307)
Interest rate derivatives cleared by central counterparty	101,099	—	—	86,759	—	—
Derivatives designated as cash flow hedges	127,147	1,677	(39)	113,323	611	(307)
Derivatives designated as fair value hedges						
Interest rate swaps	4,900	75	(517)	7,234	147	(322)
Interest rate derivatives cleared by central counterparty	103,193	—	—	96,588	—	—
Derivatives designated as fair value hedges	108,093	75	(517)	103,822	147	(322)
Derivatives designated as hedges of net investments						
Forward foreign exchange	4,319	155	(43)	4,013	36	(66)
Derivatives designated as hedges of net investments	4,319	155	(43)	4,013	36	(66)
Derivative assets/(liabilities) held for risk management	239,559	1,907	(599)	221,158	794	(695)
Total OTC derivatives	35,267	1,907	(599)	37,811	794	(695)
Total derivatives cleared by central counterparty	204,292	—	—	183,347	—	—
Derivative assets/(liabilities) held for risk management	239,559	1,907	(599)	221,158	794	(695)

Notes to the financial statements

Assets and liabilities held at fair value

Derivatives held for trading and risk management		2025		2024			
Barclays Bank PLC		Notional contract amount £m	Fair value		Notional contract amount £m	Fair value	
			Assets £m	Liabilities £m		Assets £m	Liabilities £m
Derivatives held for trading							
Foreign exchange derivatives							
OTC derivatives	7,874,749	70,378	(68,157)	7,847,873	116,777	(111,862)	
Derivatives cleared by central counterparty	276,189	251	(221)	240,612	228	(235)	
Exchange traded derivatives	6,633	—	—	10,262	—	—	
Foreign exchange derivatives	8,157,571	70,629	(68,378)	8,098,747	117,005	(112,097)	
Interest rate derivatives							
OTC derivatives	10,726,476	68,993	(60,714)	12,301,136	72,977	(65,125)	
Derivatives cleared by central counterparty	17,891,215	859	(790)	19,690,237	796	(581)	
Exchange traded derivatives	5,265,477	136	(140)	3,017,812	178	(100)	
Interest rate derivatives	33,883,168	69,988	(61,644)	35,009,185	73,951	(65,806)	
Credit derivatives							
OTC derivatives	327,695	4,009	(4,449)	366,564	3,285	(4,080)	
Derivatives cleared by central counterparty	740,384	3,599	(3,636)	727,020	3,350	(3,051)	
Credit derivatives	1,068,079	7,608	(8,085)	1,093,584	6,635	(7,131)	
Equity and stock index derivatives							
OTC derivatives	700,417	20,681	(24,686)	561,370	20,255	(24,222)	
Exchange traded derivatives	990,890	10,067	(9,796)	802,709	7,775	(9,063)	
Equity and stock index derivatives	1,691,307	30,748	(34,482)	1,364,079	28,030	(33,285)	
Commodity derivatives							
OTC derivatives	4,343	10	(10)	6,559	14	(31)	
Exchange traded derivatives	41,071	582	(374)	35,136	367	(435)	
Commodity derivatives	45,414	592	(384)	41,695	381	(466)	
Derivatives with subsidiaries	13,148,298	43,531	(37,041)	8,917,293	33,721	(28,948)	
Derivative assets/(liabilities) held for trading	57,993,837	223,096	(210,014)	54,524,583	259,723	(247,733)	
Total OTC derivatives	19,633,680	164,071	(158,016)	21,083,502	213,308	(205,320)	
Total derivatives cleared by central counterparty	18,907,788	4,709	(4,647)	20,657,869	4,374	(3,867)	
Total exchange traded derivatives	6,304,071	10,785	(10,310)	3,865,919	8,320	(9,598)	
Derivatives with subsidiaries	13,148,298	43,531	(37,041)	8,917,293	33,721	(28,948)	
Derivative assets/(liabilities) held for trading	57,993,837	223,096	(210,014)	54,524,583	259,723	(247,733)	
Derivatives held for risk management							
Derivatives designated as cash flow hedges							
Currency Swaps	26,048	1,677	(39)	26,564	611	(307)	
Interest rate derivatives cleared by central counterparty	87,226	—	—	74,290	—	—	
Derivatives designated as cash flow hedges	113,274	1,677	(39)	100,854	611	(307)	
Derivatives designated as fair value hedges							
Interest rate swaps	2,915	73	(365)	4,833	118	(289)	
Forward foreign exchange	2,092	67	—	2,161	—	(23)	
Interest rate derivatives cleared by central counterparty	99,367	—	—	93,325	—	—	
Derivatives designated as fair value hedges	104,374	140	(365)	100,319	118	(312)	
Derivatives designated as hedges of net investments							
Forward foreign exchange	3,627	24	(43)	2,821	35	(65)	
Derivatives designated as hedges of net investments	3,627	24	(43)	2,821	35	(65)	
Derivative assets/(liabilities) held for risk management	221,275	1,841	(447)	203,994	764	(684)	
Total OTC derivatives	34,682	1,841	(447)	36,379	764	(684)	
Total derivatives cleared by central counterparty	186,593	—	—	167,615	—	—	
Derivative assets/(liabilities) held for risk management	221,275	1,841	(447)	203,994	764	(684)	

Notes to the financial statements

Assets and liabilities held at fair value

Hedge accounting

Hedge accounting is applied predominantly for the following risks:

- Interest rate risk – arises due to a mismatch between fixed interest rates and floating interest rates
- Currency risk – arises due to assets or liabilities being denominated in different currencies than the functional currency of the relevant entity. At a consolidated level, currency risk also arises when the functional currency of subsidiaries are different from the parent
- Contractually linked inflation risk – arises from financial instruments within contractually specified inflation risk. The Barclays Bank Group does not hedge inflation risk that arises from other activities

In order to hedge these risks, the Barclays Bank Group uses the following hedging instruments:

- Interest rate derivatives to swap interest rate exposure into either fixed or variable rates
- Currency derivatives to swap foreign currency exposures into the entity's functional currency, and net investment exposure to local currency
- Inflation derivatives to swap inflation exposure into either fixed or variable interest rates

In some cases, certain items which are economically hedged may be ineligible hedged items for the purposes of IAS 39, such as core deposits and equity. In these instances, a proxy hedging solution can be utilised whereby portfolios of floating rate assets are designated as eligible hedged items in cash flow hedges.

In some hedging relationships, the Barclays Bank Group designates risk components of hedged items as follows:

- Benchmark interest rate risk as a component of interest rate risk, such as the Risk Free Rate (RFR) component
- Inflation risk as a contractually specified component of a debt instrument
- Exchange rate risk for foreign currency financial assets or financial liabilities
- Components of cash flows of hedged items, for example certain interest payments for part of the life of an instrument

Using the benchmark interest rate risk results in other risks, such as credit risk and liquidity risk, being excluded from the hedge accounting relationship.

In respect of many of the Barclays Bank Group's hedge accounting relationships, the hedged item and hedging instrument change frequently due to the dynamic nature of the risk management and hedge accounting strategy. The Barclays Bank Group applies hedge accounting to dynamic scenarios, predominantly in relation to interest rate risk, with a combination of hedged items in order for its financial statements to reflect as closely as possible the economic risk management undertaken. In some cases, if the hedge accounting objective changes, the relevant hedge accounting relationship is de-designated and is replaced with a different hedge accounting relationship.

Changes in the GBP value of net investments due to foreign currency movements are captured in the currency translation reserve, resulting in a movement in CET1 capital. The Barclays Bank Group mitigates this by matching the CET1 capital movements to the revaluation of the foreign currency RWA exposures. Net investment hedges are designated where necessary to reduce the exposure to movement in a particular exchange rate to within limits mandated by Risk. As far as possible, existing external currency liabilities are designated as the hedging instruments.

The hedging instruments share the same risk exposures as the hedged items. Hedge effectiveness is determined with reference to quantitative tests, predominantly regression testing, but to the extent hedging instruments are exposed to different risks than the hedged items, this could result in hedge ineffectiveness or hedge accounting failures.

Sources of ineffectiveness include the following:

- Mismatches between the contractual terms of the hedged item and hedging instrument, including basis differences
- Changes in credit risk of the hedging instruments
- If a hedging relationship becomes over-hedged, for example in hedges of net investments if the net asset value designated at the start of the period falls below the amount of the hedging instrument
- Cash flow hedges using external swaps with non-zero fair values

Notes to the financial statements

Assets and liabilities held at fair value

Hedged items in fair value hedges					
Hedged item statement of financial position classification and risk category	Carrying amount	Accumulated fair value adjustment included in carrying amount		Change in fair value used as a basis to determine ineffectiveness	Hedge ineffectiveness recognised in the income statement ¹
		Total	Accumulated fair value adjustment on items no longer in a hedge relationship		
	£m	£m	£m	£m	£m
2025					
Assets					
Loans and advances at amortised cost					
- Interest rate risk	698	(155)	1	4	(1)
- Inflation risk	280	188	79	(9)	—
Debt securities classified as amortised cost					
- Interest rate risk	11,388	27	(1)	100	32
- Inflation risk	8,127	(1,332)	1	(9)	16
Financial assets at fair value through other comprehensive income ²					
- Interest rate risk	27,807	(1,378)	(429)	(163)	127
- Inflation risk	1,324	(62)	(20)	(5)	(13)
Total Assets	49,624	(2,712)	(369)	(82)	161
Liabilities					
Debt securities in issue					
- Interest rate risk	(1,333)	1	(31)	5	1
Subordinated liabilities					
- Interest rate risk	(38,611)	1,576	1,006	(514)	(22)
Deposits at amortised cost from banks and customers					
- Interest rate risk	(12,916)	(14)	(1)	(2)	3
Total Liabilities	(52,860)	1,563	974	(511)	(18)
Total Hedged Items	(3,236)	(1,149)	605	(593)	143

Notes to the financial statements

Assets and liabilities held at fair value

Hedged items in fair value hedges					
Barclays Bank Group					
		Accumulated fair value adjustment included in carrying amount			
	Carrying amount	Total	Accumulated fair value adjustment on items no longer in a hedge relationship	Change in fair value used as a basis to determine ineffectiveness	Hedge ineffectiveness recognised in the income statement ¹
Hedged item statement of financial position classification and risk category	£m	£m	£m	£m	£m
2024					
Assets					
Loans and advances at amortised cost					
- Interest rate risk	711	(160)	(1)	(18)	4
- Inflation risk	318	219	102	(18)	7
Debt securities classified as amortised cost					
- Interest rate risk	7,673	(44)	8	50	66
- Inflation risk	8,348	(1,342)	2	(598)	(29)
Financial assets at fair value through other comprehensive income ²					
- Interest rate risk	29,514	(1,162)	(452)	(132)	176
- Inflation risk	2,979	(96)	(31)	(59)	(22)
Total Assets	49,543	(2,585)	(372)	(775)	202
Liabilities					
Debt securities in issue					
- Interest rate risk	(1,417)	8	(24)	(18)	2
Subordinated liabilities					
- Interest rate risk	(37,531)	2,257	1,182	398	(8)
Deposits at amortised cost from banks and customers					
- Interest rate risk	(8,596)	(12)	(1)	(4)	(2)
Total Liabilities	(47,544)	2,253	1,157	376	(8)
Total Hedged Items	1,999	(332)	785	(399)	194

Notes

- Hedge ineffectiveness is recognised in net interest income.
- For items classified as fair value through other comprehensive income, the hedge accounting adjustment is not included in the carrying amount, but rather adjusts other comprehensive income.

Notes to the financial statements

Assets and liabilities held at fair value

Hedged items in fair value hedges					
Barclays Bank PLC					
Hedged item statement of financial position classification and risk category	Carrying amount	Accumulated fair value adjustment included in carrying amount		Change in fair value used as a basis to determine ineffectiveness	Hedge ineffectiveness recognised in the income statement ¹
		Total	Accumulated fair value adjustment on items no longer in a hedge relationship		
	£m	£m	£m	£m	£m
2025					
Assets					
Loans and advances at amortised cost					
- Interest rate risk	674	(155)	1	5	(1)
- Inflation risk	280	188	79	(9)	—
Debt securities classified as amortised cost					
- Interest rate risk	7,913	34	11	95	29
- Inflation risk	6,209	(1,331)	4	(42)	16
Financial assets at fair value through other comprehensive income ²					
- Interest rate risk	26,752	(1,387)	(415)	(161)	114
- Inflation risk	1,326	(62)	(20)	(5)	(13)
Investments in subsidiaries					
- Foreign exchange risk	4,716	86	89	(116)	—
Total Assets	47,870	(2,627)	(251)	(233)	145
Liabilities					
Debt securities in issue					
- Interest rate risk	(10)	(5)	(6)	—	—
Subordinated liabilities					
- Interest rate risk	(38,713)	1,588	448	(515)	(21)
Deposits at amortised cost from banks and customers					
- Interest rate risk	(13,058)	(14)	(1)	(2)	3
Repurchase agreements and other similar secured borrowing at amortised cost					
- Interest rate risk	(1,836)	(14)	(5)	(10)	—
Total Liabilities	(53,617)	1,555	436	(527)	(18)
Total Hedged items	(5,747)	(1,072)	185	(760)	127

Notes to the financial statements

Assets and liabilities held at fair value

Hedged items in fair value hedges					
Barclays Bank PLC					
Hedged item statement of financial position classification and risk category	Carrying amount	Accumulated fair value adjustment included in carrying amount		Change in fair value used as a basis to determine ineffectiveness	Hedge ineffectiveness recognised in the income statement ¹
		Total	Accumulated fair value adjustment on items no longer in a hedge relationship		
	£m	£m	£m	£m	£m
2024					
Assets					
Loans and advances at amortised cost					
- Interest rate risk	711	(160)	(1)	(18)	4
- Inflation risk	318	219	102	(18)	7
Debt securities classified as amortised cost					
- Interest rate risk	5,840	(30)	10	32	61
- Inflation risk	6,440	(1,306)	7	(580)	(30)
Financial assets at fair value through other comprehensive income ²					
- Interest rate risk	28,711	(1,177)	(452)	(145)	176
- Inflation risk	2,979	(96)	(31)	(59)	(22)
Investments in subsidiaries					
- Foreign exchange risk	5,719	94	85	(9)	—
Total Assets	50,718	(2,456)	(280)	(797)	196
Liabilities					
Debt securities in issue					
- Interest rate risk	(27)	(6)	(7)	(7)	1
Subordinated liabilities					
- Interest rate risk	(37,365)	2,269	549	395	(8)
Deposits at amortised cost from banks and customers					
- Interest rate risk	(8,346)	(11)	(1)	(4)	(2)
Repurchase agreements and other similar secured borrowing at amortised cost					
- Interest rate risk	(393)	7	5	—	—
Total Liabilities	(46,131)	2,259	546	384	(9)
Total Hedged items	4,587	(197)	266	(413)	187

Notes

- Hedge ineffectiveness is recognised in net interest income.
- For items classified as fair value through other comprehensive income, the hedge accounting adjustment is not included in the carrying amount, but rather adjusts other comprehensive income.

Amount, timing and uncertainty of future cash flows

The following table shows the fair value hedging instruments which are carried on the balance sheet:

Barclays Bank Group		Carrying value			Change in fair value used as a basis to determine ineffectiveness
Hedge type	Risk category	Derivative assets	Derivative liabilities	Loan liabilities	
		£m	£m	£m	£m
As at 31 December 2025					
Fair value	Interest rate risk	2	(3)	—	710
	Inflation risk	73	(514)	—	26
	Total	75	(517)	—	736
As at 31 December 2024					
Fair value	Interest rate risk	26	(16)	—	(38)
	Inflation risk	121	(306)	—	631
	Total	147	(322)	—	593

Notes to the financial statements

Assets and liabilities held at fair value

Barclays Bank PLC		Carrying value			Nominal amount £m	Change in fair value used as a basis to determine ineffectiveness £m
Hedge type	Risk category	Derivative assets £m	Derivative liabilities £m	Loan liabilities £m		
As at 31 December 2025						
Fair value	Interest rate risk	—	(3)	—	91,726	712
	Foreign exchange risk	67	—	(2,620)	4,712	116
	Inflation risk	73	(362)	—	10,556	59
	Total	140	(365)	(2,620)	106,994	887
As at 31 December 2024						
Fair value	Interest rate risk	—	(16)	—	85,878	(21)
	Foreign exchange risk	—	(23)	(3,565)	5,726	9
	Inflation risk	118	(273)	—	12,280	612
	Total	118	(312)	(3,565)	103,884	599

The following table profiles the expected notional values of current hedging instruments for fair value hedging in future years:

	2025 £m	2026 £m	2027 £m	2028 £m	2029 £m	2030 £m	2031 and later £m
As at 31 December 2025							
Barclays Bank Group							
Fair value hedges of:							
Interest rate risk (outstanding notional amount)	95,612	76,744	65,798	61,019	53,609	40,763	32,092
Inflation risk (outstanding notional amount)	12,481	11,728	10,965	9,494	8,850	7,821	7,076

For Barclays Bank Group, there are 1,023 (2024: 946) interest rate risk fair value hedges with an average fixed rate of 2.7% (2024: 2.6%) across the relationships and 87 (2024: 105) inflation risk fair value hedges with an average rate of 0.3% (2024: 0.2%) across the relationships.

	2025 £m	2026 £m	2027 £m	2028 £m	2029 £m	2030 £m	2031 and later £m
As at 31 December 2025							
Barclays Bank PLC							
Fair value hedges of:							
Interest rate risk (outstanding notional amount)	91,726	73,057	61,044	56,857	50,415	39,883	31,305
Inflation risk (outstanding notional amount)	10,556	10,502	9,739	8,974	8,812	7,821	7,076
Foreign exchange risk (outstanding notional amount)	4,712	2,620	2,620	2,620	2,620	2,620	2,620

Notes to the financial statements

Assets and liabilities held at fair value

Hedged items in cash flow hedges and hedges of net investments in foreign operations							
Barclays Bank Group Description of hedge relationship and hedged risk	Change in value of hedged item used as the basis for recognising ineffectiveness	Balance in cash flow hedging reserve for continuing hedges	Balance in currency translation reserve for continuing hedges	Balances remaining in cash flow hedging reserve for which hedge accounting is no longer applied	Balances remaining in currency translation reserve for which hedge accounting is no longer applied	Hedging gains or losses recognised in other comprehensive income	Hedge ineffectiveness recognised in the income statement ¹
	£m	£m	£m	£m	£m	£m	£m
2025							
Assets							
Cash flow hedge of:							
Interest rate risk							
Loans and advances at amortised cost	(336)	(92)	—	918	—	(336)	6
Cash and balances at Central Banks	(553)	(149)	—	604	—	(553)	(19)
Foreign exchange risk							
Loans and advances at amortised cost	(1,637)	120	—	—	—	(1,637)	17
Inflation risk							
Debt securities classified at amortised cost	(113)	(143)	—	(21)	—	(113)	8
Liabilities							
Cash flow hedge of:							
Foreign exchange risk							
Subordinated Liabilities	9	16	—	—	—	9	—
Total cash flow hedges	(2,630)	(248)	—	1,501	—	(2,630)	12
Hedge of net investment in foreign operations							
USD foreign operations	(484)	—	1,151	—	—	(484)	—
EUR foreign operations	146	—	100	—	—	146	—
Other foreign operations	(161)	—	(103)	—	60	(161)	—
Total foreign operations	(499)	—	1,148	—	60	(499)	—
2024							
Assets							
Cash flow hedge of:							
Interest rate risk							
Loans and advances at amortised cost	438	182	—	1,552	—	438	(8)
Cash and balances at Central Banks	495	123	—	1,495	—	495	22
Foreign exchange risk							
Loans and advances at amortised cost	300	106	—	—	—	300	5
Inflation risk							
Debt securities classified at amortised cost	118	(73)	—	25	—	118	—
Liabilities							
Cash flow hedge of:							
Foreign exchange risk							
Subordinated Liabilities	18	(9)	—	—	—	18	—
Total cash flow hedges	1,369	329	—	3,072	—	1,369	19
Hedge of net investment in foreign operations							
USD foreign operations	136	—	1,449	—	—	136	—
EUR foreign operations	(109)	—	(26)	—	—	(109)	—
Other foreign operations	(17)	—	34	—	96	(17)	—
Total foreign operations	10	—	1,457	—	96	10	—

Note

1 Hedge ineffectiveness is recognised in net interest income.

Notes to the financial statements

Assets and liabilities held at fair value

Hedged items in cash flow hedges and hedges of net investments in foreign operations

Barclays Bank PLC

Description of hedge relationship and hedged risk	Change in value of hedged item used as the basis for recognising ineffectiveness	Balance in cash flow hedging reserve for continuing hedges	Balance in currency translation reserve for continuing hedges	Balances remaining in cash flow hedging reserve for which hedge accounting is no longer applied	Balances remaining in currency translation reserve for which hedge accounting is no longer applied	Hedging gains or losses recognised in other comprehensive income	Hedge ineffectiveness recognised in the income statement
	£m	£m	£m	£m	£m	£m	£m
2025							
Assets							
Cash flow hedge of:							
Interest rate risk							
Loans and advances at amortised cost	(346)	(108)	—	730	—	(346)	—
Cash and balances at Central Banks	(522)	(162)	—	696	—	(522)	(9)
Foreign exchange risk							
Loans and advances at amortised cost	(1,638)	120	—	—	—	(1,638)	17
Inflation risk							
Debt securities classified at amortised cost	(113)	(143)	—	(21)	—	(113)	8
Liabilities							
Cash flow hedge of:							
Foreign exchange risk							
Subordinated liabilities	9	16	—	—	—	9	—
Total cash flow hedges	(2,610)	(277)	—	1,405	—	(2,610)	16
Hedge of net investment in foreign operations							
USD foreign operations	(129)	—	1,097	—	—	(129)	—
EUR foreign operations	—	—	—	—	2	—	—
Other foreign operations	(176)	—	(252)	—	(1)	(176)	—
Total foreign operations	(305)	—	845	—	1	(305)	—
2024							
Assets							
Cash flow hedge of:							
Interest rate risk							
Loans and advances at amortised cost	374	209	—	1,330	—	374	(19)
Cash and balances at Central Banks	489	200	—	1,436	—	489	17
Foreign exchange risk							
Loans and advances at amortised cost	300	106	—	—	—	300	5
Inflation risk							
Debt securities classified at amortised cost	118	(73)	—	25	—	118	—
Liabilities							
Cash flow hedge of:							
Foreign exchange risk							
Subordinated liabilities	18	(9)	—	—	—	18	—
Total cash flow hedges	1,299	433	—	2,791	—	1,299	3
Hedge of net investment in foreign operations							
USD foreign operations	46	—	1,207	—	—	46	—
EUR foreign operations	—	—	(1)	—	2	—	—
Other foreign operations	(5)	—	(76)	—	—	(5)	—
Total foreign operations	41	—	1,130	—	2	41	—

Note

Notes to the financial statements

Assets and liabilities held at fair value

1 Hedge ineffectiveness is recognised in net interest income.

The following table shows the cash flow and net investment hedging instruments which are carried on the balance sheet:

Barclays Bank Group		Carrying value			Nominal amount £m	Change in fair value used as a basis to determine ineffectiveness £m
Hedge type	Risk category	Derivative assets £m	Derivative liabilities £m	Loan liabilities £m		
As at 31 December 2025						
Cash flow	Interest rate risk	—	—	—	94,727	876
	Foreign exchange risk	1,677	(39)	—	26,048	1,645
	Inflation risk	—	—	—	6,372	121
	Total	1,677	(39)	—	127,147	2,642
Net investment	Foreign exchange risk	155	(43)	(6,109)	10,428	499
As at 31 December 2024						
Cash flow	Interest rate risk	—	—	—	80,382	(919)
	Foreign exchange risk	611	(307)	—	26,564	(313)
	Inflation risk	—	—	—	6,377	(118)
	Total	611	(307)	—	113,323	(1,350)
Net investment	Foreign exchange risk	36	(66)	(7,588)	11,601	(10)
Barclays Bank PLC						
		Carrying value			Nominal amount £m	Change in fair value used as a basis to determine ineffectiveness £m
Hedge type	Risk category	Derivative assets £m	Derivative liabilities £m	Loan liabilities £m		
As at 31 December 2025						
Cash flow	Interest rate risk	—	—	—	80,854	859
	Foreign exchange risk	1,677	(39)	—	26,048	1,646
	Inflation risk	—	—	—	6,372	121
	Total	1,677	(39)	—	113,274	2,626
Net investment	Foreign exchange risk	24	(43)	—	3,627	305
As at 31 December 2024						
Cash flow	Interest rate risk	—	—	—	67,913	(865)
	Foreign exchange risk	611	(307)	—	26,564	(313)
	Inflation risk	—	—	—	6,377	(118)
	Total	611	(307)	—	100,854	(1,296)
Net investment	Foreign exchange risk	35	(65)	—	2,821	(41)

For Barclays Bank Group and Barclays Bank PLC there is 1 (2024: 2) foreign exchange risk cash flow hedge with an average foreign exchange rate of JPY 162.56: GBP 1 (2024: JPY 149.87: GBP 1), 11 (2024: 11) with an average foreign exchange rate of USD 1.26: GBP 1 (2024: 1.27) and 12 (2024: 9) with an average foreign exchange rate of AUD 1.98: GBP 1 (2024: 1.94).

Notes to the financial statements

Assets and liabilities held at fair value

The effect on the income statement and other comprehensive income of recycling amounts in respect of cash flow hedges and net investment hedges of foreign operations is set out in the following table:

Barclays Bank Group	2025		2024	
	Amount recycled from other comprehensive income due to hedged item affecting income statement £m	Amount recycled from other comprehensive income due to sale of investment, or cash flows no longer expected to occur £m	Amount recycled from other comprehensive income due to hedged item affecting income statement £m	Amount recycled from other comprehensive income due to sale of investment, or cash flows no longer expected to occur £m
Description of hedge relationship and hedged risk				
Cash flow hedge of interest rate risk				
Recycled to net interest income	(1,162)	(1)	(1,697)	(2)
Cash flow hedge of foreign exchange risk				
Recycled to net trading income	1,669	—	(251)	—
Hedge of net investment in foreign operations				
Recycled to other income	—	(34)	—	(1)

Barclays Bank PLC	2025		2024	
	Amount recycled from other comprehensive income due to hedged item affecting income statement £m	Amount recycled from other comprehensive income due to sale of investment, or cash flows no longer expected to occur £m	Amount recycled from other comprehensive income due to hedged item affecting income statement £m	Amount recycled from other comprehensive income due to sale of investment, or cash flows no longer expected to occur £m
Description of hedge relationship and hedged risk				
Cash flow hedge of interest rate risk				
Recycled to net interest income	(1,131)	—	(1,554)	(2)
Cash flow hedge of foreign exchange risk				
Recycled to net trading income	1,668	—	(251)	—
Hedge of net investment in foreign operations				
Recycled to other income	—	—	—	—

A detailed reconciliation of the movements of the cash flow hedging reserve and the currency translation reserve is as follows:

Barclays Bank Group	2025		2024	
	Cash flow hedging reserve £m	Currency translation reserve £m	Cash flow hedging reserve £m	Currency translation reserve £m
Balance on 1 January	(2,448)	3,690	(2,895)	3,783
Currency translation movements	24	(1,640)	20	(194)
Hedging (losses)/gains for the year	2,630	499	(1,369)	50
Amounts reclassified in relation to cash flows affecting profit or loss	(506)	34	1,950	1
Tax	(607)	(49)	(154)	50
Balance on 31 December	(907)	2,534	(2,448)	3,690

Notes to the financial statements

Assets and liabilities held at fair value

Barclays Bank PLC	2025		2024	
	Cash flow hedging reserve	Currency translation reserve	Cash flow hedging reserve	Currency translation reserve
Description of hedge relationship and hedged risk	£m	£m	£m	£m
Balance on 1 January	(2,321)	993	(2,697)	845
Currency translation movements	23	(1,099)	14	175
Hedging gains/(losses) for the year	2,610	305	(1,299)	(27)
Amounts reclassified in relation to cash flows affecting profit or loss	(537)	—	1,807	—
Tax	(587)	—	(146)	—
Balance on 31 December	(812)	199	(2,321)	993

14 Financial assets at fair value through other comprehensive income

Accounting for financial assets at fair value through other comprehensive income (FVOCI)

Financial assets that are debt instruments held in a business model that is achieved by both collecting contractual cash flows and selling and that contain contractual terms that give rise on specified dates to cash flows that are SPPI are measured at FVOCI. They are subsequently re-measured at fair value and changes therein (except for those relating to impairment, interest income and foreign currency exchange gains and losses) are recognised in other comprehensive income until the assets are sold. Interest (calculated using the effective interest method) is recognised in the income statement in net interest income (Note 3). Upon disposal, the cumulative gain or loss in other comprehensive income is included in net investment income (Note 6).

In determining whether the business model is achieved by both collecting contractual cash flows and selling financial assets, it is determined that both collecting contractual cash flows and selling financial assets are integral to achieving the objective of the business model. The Barclays Bank Group will consider past sales and expectations about future sales to establish if the business model is achieved.

	Barclays Bank Group	
	2025	2024
	£m	£m
Debt securities and other eligible bills	40,451	47,727
Loans and advances	2,367	3,283
Financial assets at fair value through other comprehensive income	42,818	51,010

	Barclays Bank PLC	
	2025	2024
	£m	£m
Debt securities and other eligible bills	38,922	46,216
Loans and advances	2,367	3,283
Financial assets at fair value through other comprehensive income	41,289	49,499

Notes to the financial statements

Assets and liabilities held at fair value

15 Financial liabilities designated at fair value

Accounting for liabilities designated at fair value through profit and loss

The Barclays Bank Group has the ability to make the fair value designation when holding the instruments at fair value reduces an accounting mismatch (caused by an offsetting liability or asset being held at fair value), or is managed by the Barclays Bank Group on the basis of its fair value, or includes terms that have substantive derivative characteristics (Note 13). In accordance with IFRS 9, financial liabilities may be designated at fair value, with gains and losses taken to the income statement within net trading income (Note 5) and net investment income (Note 6). Movements in own credit are reported through other comprehensive income, unless the effects of changes in the liability's credit risk would create or enlarge an accounting mismatch in profit and loss. In these scenarios, all gains and losses on that liability (including the effects of changes in the credit risk of the liability) are presented in profit and loss. On derecognition of the financial liability no amounts relating to own credit risk are recycled to the income statement. The details on how the fair value amounts are arrived at for financial liabilities designated at fair value are described in Note 16.

	Barclays Bank Group			
	2025		2024	
	Fair value £m	Contractual amount due on maturity £m	Fair value £m	Contractual amount due on maturity £m
Debt securities	85,086	99,105	76,833	92,479
Deposits	48,997	51,262	46,383	48,201
Repurchase agreements and other similar secured borrowing	158,857	159,276	156,024	156,600
Subordinated debt	587	967	537	957
Financial liabilities designated at fair value	293,527	310,610	279,777	298,237

	Barclays Bank PLC			
	2025		2024	
	Fair value £m	Contractual amount due on maturity £m	Fair value £m	Contractual amount due on maturity £m
Debt securities	79,556	92,761	70,984	85,661
Deposits	36,271	37,503	32,039	33,038
Repurchase agreements and other similar secured borrowing	249,572	250,100	225,962	226,682
Subordinated debt	587	967	537	957
Financial liabilities designated at fair value	365,986	381,331	329,522	346,338

The cumulative own credit net loss recognised for Barclays Bank Group is £1,335m (2024: £1,434m loss) and for Barclays Bank PLC it is £1,263m (2024: £1,369m loss).

16 Fair value of financial instruments

Accounting for financial assets and liabilities – fair value

Financial instruments that are held for trading are recognised at fair value through profit or loss. In addition, financial assets are held at fair value through profit or loss if they do not contain contractual terms that give rise on specified dates to cash flows that are SPPI, or if the financial asset is not held in a business model that is either (i) a business model to collect the contractual cash flows or (ii) a business model that is achieved by both collecting contractual cash flows and selling. Subsequent changes in fair value for these instruments are recognised in the income statement in net investment income, except if reporting it in trading income reduces an accounting mismatch.

Wherever possible, fair value is determined by reference to a quoted market price for that instrument. For many of the Barclays Bank Group's financial assets and liabilities, including derivatives, quoted prices are not available and valuation models are used to estimate fair value. The models calculate the expected cash flows under the terms of each specific contract and then discount these values back to a present value. These models use as their basis independently sourced market inputs including, for example, interest rate yield curves, equities and commodities prices, option volatilities and currency rates.

For financial liabilities measured at fair value, the carrying amount also reflects the effect on fair value of changes in own credit spreads derived from observable market data such as in primary issuance and redemption activity for structured notes.

The Barclays Bank Group uses the portfolio exemption in IFRS 13 *Fair Value Measurement* to measure the fair value of groups of financial assets and liabilities. Financial instruments are measured using the price that would be received to sell a net long position (i.e. an asset) for a particular risk exposure or to transfer a net short position (i.e. a liability) for a particular

Notes to the financial statements

Assets and liabilities held at fair value

risk exposure in an orderly transaction between market participants at the balance sheet date under current market conditions. Accordingly, Barclays Bank Group measures the fair value of the group of financial assets and liabilities consistently with how market participants would price the net risk exposure at the measurement date.

On initial recognition, the transaction price often reflects the fair value of the asset or liability. However, in some circumstances, fair value may differ to the transaction price when there is information to the contrary. If the fair value of the instrument is observable from current market transactions in the same instrument, or based on a valuation technique whose inputs only include observable inputs, then the instrument is initially recognised at fair value and the difference to the transaction price is recognised in profit or loss.

For valuations that have made use of unobservable inputs, the difference between the model valuation and the initial transaction price (day one profit) is recognised in profit or loss either: on a straight-line basis over the term of the transaction; or over the period until all inputs will become observable where appropriate; or released in full when previously unobservable inputs become observable.

Various factors influence the availability of observable inputs, and these may vary from product to product and change over time. Factors include the depth of activity in the relevant market, the type of product, whether the product is new and not widely traded in the marketplace, the maturity of market modelling and the nature of the transaction (bespoke or generic). To the extent that valuation is based on models or inputs that are not observable in the market, the determination of fair value can be more subjective, dependent on the significance of the unobservable input to the overall valuation. Unobservable inputs are determined based on the best information available, for example by reference to similar assets, similar maturities, or other analytical techniques.

The sensitivity of valuations used in the financial statements to possible changes in significant unobservable inputs is shown on page 346.

Valuation Control Framework

The Barclays Group has an established valuation control framework that oversees valuation methodologies, standards and procedures.

Critical accounting estimates and judgements

Key areas involving a higher degree of judgement or estimation include:

Judgements	Estimates
Classification of financial instruments with significant unobservable inputs as Level 3.	Valuation of Level 3 assets and liabilities are typically determined by referencing observable inputs, historical data, or employing other analytical techniques.

These estimates are considered to have a significant risk of resulting in a material adjustment to the carrying amounts of financial assets and financial liabilities measured at fair value within the next financial year.

The valuation of financial instruments often involves a significant degree of judgement and complexity, in particular where valuation models make use of unobservable inputs ('Level 3' assets and liabilities). This note provides information on these instruments, including the related unrealised gains and losses recognised in the period, a description of significant valuation techniques and unobservable inputs, and a sensitivity analysis.

For assets and liabilities traded in active markets, it is determined that the market valuation includes a representation of the prevailing view of climate-related risks. Within less active markets, for counterparties and instruments identified as being more susceptible to climate change risk, an impact assessment was performed through increasing their probability of default. The change in valuation of the assets and liabilities from this assessment was sufficiently immaterial to necessitate any amendment to the reported 2025 year-end valuations.

Valuation

Assets and liabilities are classified according to a hierarchy that reflects the observability of significant market inputs. The three levels of the fair value hierarchy are defined below with judgement applied in determining the boundary between Level 2 and 3 classifications.

Valuation techniques using quoted market prices – Level 1

Assets and liabilities are classified as Level 1 if their value is observable in an active market. Such instruments are valued by reference to unadjusted quoted prices for identical assets or liabilities in active markets where the quoted price is readily available, and the price represents actual and regularly occurring market transactions. An active market is one in which transactions occur with sufficient volume and frequency to provide pricing information on an ongoing basis.

Notes to the financial statements

Assets and liabilities held at fair value

Valuation techniques using observable inputs – Level 2

Assets and liabilities classified as Level 2 have been valued using models whose inputs are observable either directly or indirectly. A valuation input is considered observable if it can be directly observed from transactions in an active market, or if there is compelling external evidence demonstrating an executable exit price. Valuations based on observable inputs include assets and liabilities such as swaps and forwards which are valued using market standard pricing techniques, and options that are commonly traded in markets where all the inputs to the market standard pricing models are observable. For certain instruments that derive a fair value using unobservable inputs that are not considered significant, then the asset or liability may be classified as Level 2.

Valuation techniques using significant unobservable inputs – Level 3

Assets and liabilities are classified as Level 3 if their valuation incorporates significant inputs that are not based on observable market data (unobservable inputs). Unobservable input levels are generally determined via reference to observable inputs, historical observations or using other analytical techniques.

The following table shows assets and liabilities that are held at fair value disaggregated by the fair value hierarchy and balance sheet classification:

Assets and liabilities held at fair value								
	2025				2024			
	Valuation techniques used				Valuation techniques used			
	Quoted market price	Observable inputs	Significant unobservable inputs	Total	Quoted market price	Observable inputs	Significant unobservable inputs	Total
Barclays Bank Group	Level 1	Level 2	Level 3		Level 1	Level 2	Level 3	
	£m	£m	£m	£m	£m	£m	£m	£m
Trading portfolio assets	110,773	68,623	10,347	189,743	77,581	78,548	10,115	166,244
Financial assets at fair value through the income statement	5,015	173,801	6,186	185,002	3,463	182,391	5,991	191,845
Derivative financial assets	108	250,374	1,710	252,192	101	290,182	2,073	292,356
Financial assets at fair value through other comprehensive income	31,640	8,110	3,068	42,818	19,021	28,315	3,674	51,010
Investment property	—	—	43	43	—	—	9	9
Total assets	147,536	500,908	21,354	669,798	100,166	579,436	21,862	701,464
Trading portfolio liabilities	(42,009)	(14,733)	(87)	(56,829)	(27,033)	(28,754)	(395)	(56,182)
Financial liabilities designated at fair value	(1,702)	(286,972)	(4,853)	(293,527)	(181)	(276,355)	(3,241)	(279,777)
Derivative financial liabilities	(93)	(237,599)	(3,065)	(240,757)	(86)	(276,064)	(3,181)	(279,331)
Total liabilities	(43,804)	(539,304)	(8,005)	(591,113)	(27,300)	(581,173)	(6,817)	(615,290)

Assets and liabilities held at fair value								
	2025				2024			
	Valuation techniques used				Valuation techniques used			
	Quoted market price	Observable inputs	Significant unobservable inputs	Total	Quoted market price	Observable inputs	Significant unobservable inputs	Total
Barclays Bank PLC	Level 1	Level 2	Level 3		Level 1	Level 2	Level 3	
	£m	£m	£m	£m	£m	£m	£m	£m
Trading portfolio assets	67,931	33,518	9,176	110,625	51,258	41,909	8,863	102,030
Financial assets at fair value through the income statement	2,672	254,864	4,813	262,349	906	247,909	4,997	253,812
Derivative financial assets	2	223,566	1,369	224,937	3	258,559	1,925	260,487
Financial assets at fair value through other comprehensive income	30,789	7,432	3,068	41,289	18,520	27,305	3,674	49,499
Investment property	—	—	34	34	—	—	—	—
Total assets	101,394	519,380	18,460	639,234	70,687	575,682	19,459	665,828
Trading portfolio liabilities	(22,590)	(9,879)	(36)	(32,505)	(26,349)	(14,284)	(382)	(41,015)
Financial liabilities designated at fair value	(1,028)	(360,301)	(4,657)	(365,986)	(71)	(326,229)	(3,222)	(329,522)
Derivative financial liabilities	—	(207,706)	(2,755)	(210,461)	—	(245,421)	(2,996)	(248,417)
Total liabilities	(23,618)	(577,886)	(7,448)	(608,952)	(26,420)	(585,934)	(6,600)	(618,954)

Notes to the financial statements

Assets and liabilities held at fair value

The following table shows Barclays Bank Group's Level 3 assets and liabilities that are held at fair value disaggregated by product type. Product type is broadly similar for Barclays Bank PLC.

As at 31 December 2025	Loans £m	Corporate debt £m	Asset backed securities £m	Government and sponsored debt £m	Private equity invest- ments £m	Issued debt £m	Reverse repurchase and agreements £m	Interest rate derivatives £m	Equity derivatives £m	Other products ¹ £m	Total £m
Trading portfolio assets	5,667	1,849	874	1,513	—	—	—	—	—	444	10,347
Financial assets at fair value through the income statement	4,620	905	188	33	268	—	97	—	—	75	6,186
Derivative financial assets	—	—	—	—	—	—	—	759	520	431	1,710
Financial assets at fair value through other comprehensive income	2,235	25	756	52	—	—	—	—	—	—	3,068
Investment property	—	—	—	—	—	—	—	—	—	43	43
Total assets	12,522	2,779	1,818	1,598	268	—	97	759	520	993	21,354
Trading portfolio liabilities	—	(36)	—	(34)	—	—	—	—	—	(17)	(87)
Financial liabilities designated at fair value	—	—	—	—	—	(3,760)	(887)	—	—	(206)	(4,853)
Derivative financial liabilities	—	—	—	—	—	—	—	(612)	(1,602)	(851)	(3,065)
Total liabilities	—	(36)	—	(34)	—	(3,760)	(887)	(612)	(1,602)	(1,074)	(8,005)

As at 31 December 2024	Loans £m	Corporate debt £m	Asset backed securities £m	Government and sponsored debt £m	Private equity invest- ments £m	Issued debt £m	Reverse repurchase and agreements £m	Interest rate derivatives £m	Equity derivatives £m	Other products ¹ £m	Total £m
Trading portfolio assets	6,146	1,590	991	1,018	—	—	—	—	—	370	10,115
Financial assets at fair value through the income statement	3,991	913	139	35	219	—	539	—	—	155	5,991
Derivative financial assets	—	—	—	—	—	—	—	1,193	477	403	2,073
Financial assets at fair value through other comprehensive income	2,858	47	757	12	—	—	—	—	—	—	3,674
Investment property	—	—	—	—	—	—	—	—	—	9	9
Total assets	12,995	2,550	1,887	1,065	219	—	539	1,193	477	937	21,862
Trading portfolio liabilities	—	(374)	(6)	—	—	—	—	—	—	(15)	(395)
Financial liabilities designated at fair value	—	—	—	—	—	(1,842)	(1,379)	—	—	(20)	(3,241)
Derivative financial liabilities	—	—	—	—	—	—	—	(1,013)	(1,219)	(949)	(3,181)
Total liabilities	—	(374)	(6)	—	—	(1,842)	(1,379)	(1,013)	(1,219)	(984)	(6,817)

Note

1 Other products include certificate of deposits, funds and fund-linked products, equity cash products, investment property, credit derivatives and foreign exchange derivatives.

Notes to the financial statements

Assets and liabilities held at fair value

Valuation techniques

The valuation techniques and observability used are described below.

Loans

Description: A drawn lending facility issued to corporate clients and customers.

Also includes Prime Brokerage Margin lending, and other similar secured lending agreements. The agreements are primarily short-term in nature.

Valuation: Loans are valued either using a price-based approach, or through models that discount expected future cash flows based on interest rates and loan spreads.

Prime Brokerage Margin Lending transactions are generally valued by discounting the expected future cash flows, using industry standard models that incorporate market interest rates and repurchase rates, based on the specific details of the transaction.

Observability: Within this loan population, the price or loan spread may be generally unobservable.

For Margin Lending inputs are deemed observable up to liquid maturities, and are determined based on the specific features of the transaction. Unobservable inputs are generally set by referencing liquid market instruments and applying extrapolation techniques, or inferred via another reasonable method.

Corporate debt

Description: Primarily corporate bonds.

Valuation: Corporate bonds are valued using observable market prices sourced from broker quotes, inter-dealer prices or other reliable pricing sources.

Observability: Prices for actively traded bonds are considered observable. Unobservable bond prices are generally determined by reference to bond yields or credit default swap (CDS) spreads for actively traded instruments issued by or referencing the same (or a similar) issuer.

Asset backed securities

Description: Securities that are linked to the cash flows of a pool of referenced assets via securitisation. The category includes residential mortgage backed securities, commercial mortgage backed securities, collateralised debt obligations (CDOs), collateralised loan obligations (CLOs) and other asset backed securities.

Valuation: Where available, valuations are based on observable market prices sourced from broker quotes and inter-dealer prices and external vendors who provide pricing. Otherwise, valuations are determined using industry standard discounted cash flow analysis that calculates the fair value based on valuation inputs such as constant default rate, conditional prepayment rate, loss given default and yield. These inputs are determined by reference to a number of sources including proxying to observed transactions, market indices or market research, and by assessing underlying collateral performance.

Proxying to observed transactions, indices or research requires an assessment and comparison of the relevant securities' underlying attributes including collateral, tranche, vintage, underlying asset composition (historical losses, borrower characteristics and loan attributes such as loan to value ratio and geographic concentration) and credit ratings (original and current).

Observability: Where an asset backed product does not have an observable market price and the valuation is determined using a discounted cash flow analysis, the instrument is considered unobservable.

Government and Government sponsored debt

Description: Government bonds, supra sovereign bonds and agency bonds.

Valuation: Liquid bonds that are actively traded through an exchange or clearing house are marked to the levels observed in these markets. Other actively traded bonds are valued using observable market prices sourced from broker quotes, inter-dealer prices or other reliable pricing sources.

Observability: Observability assessment is performed with reference to bond market trading data. Bonds are assessed at Level 1 if they are traded in active market with a quoted price in line with requirements of IFRS 13. Unobservable bonds prices are generally determined by reference to bond yields for actively traded bonds from the same (or a similar) issuer.

Private equity investments

Description: Includes investments in equity holdings in operating companies not quoted on a public exchange.

Valuation: Private equity investments are valued in accordance with the 'International Private Equity and Venture Capital Valuation Guidelines' which require the use of a number of individual pricing benchmarks such as the prices of recent transactions in the same or similar entities, discounted cash flow analysis and comparison with the earnings or revenue multiples of listed companies.

Notes to the financial statements

Assets and liabilities held at fair value

While the valuation of unquoted equity instruments is subjective by nature, the relevant methodologies are commonly applied by other market participants and have been consistently applied over time.

Observability: Inputs are considered observable if there is active trading in a liquid market of products with significant sensitivity to the inputs. Unobservable inputs include earnings or revenue estimates, multiples of comparative companies, marketability discounts and discount rates.

Issued debt

Description: Debt notes issued by Barclays.

Valuation: Issued debt is valued using discounted cash flow techniques incorporating various inputs observed for each instrument.

Observability: Barclays issued notes are generally observable. Structured notes are debt instruments containing embedded derivatives. Where either an input to the embedded derivative or the debt instrument is deemed unobservable and significant to the overall valuation of the note, the structured note is classified as Level 3.

Reverse repurchase and repurchase agreements

Description: Includes securities purchased under resale agreements, securities sold under repurchase agreements, and other similar secured lending agreements. The agreements are primarily short-term in nature.

Valuation: Repurchase and reverse repurchase agreements are generally valued by discounting the expected future cash flows using industry standard models that incorporate market interest rates and repurchase rates, based on the specific details of the transaction.

Observability: Inputs are deemed observable up to liquid maturities or for consensus pricing with low pricing-range and are determined based on the specific features of the transaction. Unobservable inputs are generally set by referencing liquid market instruments and applying extrapolation techniques or inferred via another reasonable method.

Interest rate derivatives

Description: Derivatives linked to interest rates or inflation indices. The category includes futures, interest rate and inflation swaps, swaptions, caps, floors, inflation options and other exotic interest rate derivatives.

Valuation: Interest rate and inflation derivatives are generally valued using curves of forward rates constructed from market data to project and discount the expected future cash flows of trades. Instruments with optionality are valued using volatilities implied from market inputs and use industry standard or bespoke models depending on the product type.

Observability: In general, inputs are considered observable up to liquid maturities which are determined separately for each input and underlying. Unobservable inputs are generally set by referencing liquid market instruments and applying extrapolation techniques or inferred via another reasonable method.

Equity derivatives

Description: Exchange traded or OTC derivatives linked to equity indices and single names. The category includes vanilla and exotic equity products.

Valuation: Equity derivatives are valued using industry standard models. Valuation inputs include stock prices, dividends, volatilities, interest rates, equity repurchase curves and, for multi-asset products, correlations.

Observability: In general, valuation inputs are observable up to liquid maturities which are determined separately for each input and underlying. Unobservable inputs are set by referencing liquid market instruments and applying extrapolation techniques or inferred via another reasonable method.

Foreign exchange derivatives

Description: Derivatives linked to the foreign exchange (FX) market. The category includes FX forward contracts, FX swaps and FX options. The majority are traded as over the counter (OTC) derivatives.

Valuation: FX derivatives are valued using industry standard and bespoke models depending on the product type. Valuation inputs include FX rates, interest rates, FX volatilities, interest rate volatilities, FX interest rate correlations and others as appropriate.

Observability: FX correlations, forwards and volatilities are generally observable up to liquid maturities which are determined separately for each input and underlying.

Unobservable inputs are set by referencing liquid market instruments and applying extrapolation techniques, or inferred via another reasonable method.

Notes to the financial statements

Assets and liabilities held at fair value

Credit derivatives

Description: Derivatives linked to the credit spread of a referenced entity, index or basket of referenced entities or a pool of referenced assets (e.g. a securitised product). The category includes single name and index credit default swaps (CDS) and total return swaps (TRS).

Valuation: Credit derivatives are valued on industry standard models using curves of credit spreads as the principal input. Credit spreads are observed directly from broker data, third party vendors or priced to proxies.

Observability: Credit derivative contracts referencing entities that are actively traded are generally considered observable. Other valuation inputs are considered observable if products with significant sensitivity to the inputs are actively traded in a liquid market. Unobservable valuation inputs are generally determined with reference to recent benchmark transactions or inferred from observable trades of the same issuer or similar entities.

Assets and liabilities transferred between levels

During the year ended 31 December 2025, there were £33.5bn assets and £(9.8)bn liabilities transferred from Level 2 to Level 1 for the Barclays Bank Group (year ended 31 December 2024: there were no material transfers). Additionally, there were £0.7bn assets and £(2.8)bn liabilities transferred from Level 2 to Level 3 (year ended 31 December 2024: there were no material transfers). These transfers reflect enhancement to the Bank's levelling policy, including the use of additional data in the active market assessment of Level 1 government bonds and updated assessments of unobservable market parameters for government bonds and issued debt; resulting in an increase in Level 3 balances.

For Barclays Bank PLC, the impact of enhancement were £24.9bn assets and £(1.9)bn liabilities transferred from level 2 to level 1 and £0.5bn assets and £(2.6)bn liabilities transferred from level 2 to level 3 (year ended 31 December 2024: there were no material transfers).

Level 3 movement analysis

The following table summarises the movements in the Level 3 balances during the year. Transfers have been reflected as if they had taken place at the beginning of the year.

Asset and liability transfers between Level 2 and Level 3 are primarily due to i) an increase or decrease in observable market activity related to an input or ii) a change in the significance of the unobservable input, with assets and liabilities classified as Level 3 if an unobservable input is deemed significant.

Analysis of movements in Level 3 assets and liabilities											
	As at 1 January 2025	Purchases	Sales	Issues	Settlements	Total gains and (losses) in the period recognised in the income statement		Total gains and (losses) in the period recognised in OCI	Transfers		As at 31 Dec 2025
	£m	£m	£m	£m	£m	Trading income ²	Other income	£m	In £m	Out £m	£m
Barclays Bank Group											
Trading portfolio assets	10,115	5,810	(4,157)	—	(1,554)	151	—	—	382	(400)	10,347
Financial assets at fair value through the income statement	5,991	2,705	(1,156)	—	(1,232)	14	(22)	—	59	(173)	6,186
Financial assets at fair value through other comprehensive income	3,674	895	(591)	—	(1,030)	4	(2)	—	118	—	3,068
Investment property	9	34	—	—	—	—	—	—	—	—	43
Trading portfolio liabilities	(395)	(55)	25	—	352	2	—	—	(28)	12	(87)
Financial liabilities designated at fair value	(3,241)	—	29	(503)	1,020	43	—	—	(2,954)	753	(4,853)
Net derivative financial instruments ¹	(1,108)	(447)	221	—	—	(44)	1	—	3	19	(1,355)
Total	15,045	8,942	(5,629)	(503)	(2,444)	170	(23)	—	(2,420)	211	13,349

Notes to the financial statements

Assets and liabilities held at fair value

Analysis of movements in Level 3 assets and liabilities

	As at 1 January 2024	Purchases	Sales	Issues	Settlements	Total gains and (losses) in the period recognised in the income statement		Total gains and (losses) in the period recognised in OCI	Transfers		As at 31 Dec 2024
						Trading income ²	Other income		In	Out	
Barclays Bank Group	£m	£m	£m	£m	£m	£m	£m	£m	£m	£m	£m
Trading portfolio assets	6,509	5,848	(1,817)	—	(865)	(9)	—	—	775	(326)	10,115
Financial assets at fair value through the income statement	5,368	2,540	(1,524)	—	(582)	—	56	—	206	(73)	5,991
Financial assets at fair value through other comprehensive income	776	3,116	(43)	—	—	3	22	—	—	(200)	3,674
Investment property	2	9	(2)	—	—	—	—	—	—	—	9
Trading portfolio liabilities	(368)	(26)	20	—	—	(7)	—	—	(15)	1	(395)
Financial liabilities designated at fair value	(1,212)	(409)	—	(1,147)	143	(74)	—	—	(892)	350	(3,241)
Net derivative financial instruments ¹	(1,113)	(571)	(7)	—	(15)	(66)	—	—	163	501	(1,108)
Total	9,962	10,507	(3,373)	(1,147)	(1,319)	(153)	78	—	237	253	15,045

Notes

1 The derivative financial instruments are represented on a net basis. On a gross basis, derivative financial assets are £1,710m (2024: £2,073m) and derivative financial liabilities are £(3,065)m (2024: £(3,181)m).

2 Trading income represents gains and losses on Level 3 financial instruments which in the majority are offset by losses and gains on financial instruments disclosed in Level 2.

Notes to the financial statements

Assets and liabilities held at fair value

Analysis of movements in Level 3 assets and liabilities

	As at 1 January 2025	Purchases	Sales	Issues	Settlements	Total gains and (losses) in the period recognised in the income statement		Total gains and (losses) in the period recognised in OCI	Transfers		As at 31 Dec 2025
						Trading income ²	Other income		In	Out	
Barclays Bank PLC	£m	£m	£m	£m	£m	£m	£m	£m	£m	£m	£m
Trading portfolio assets	8,863	5,047	(3,375)	—	(1,539)	185	—	—	235	(240)	9,176
Financial assets at fair value through the income statement	4,997	1,809	(879)	—	(1,053)	41	13	—	59	(174)	4,813
Fair value through other comprehensive income	3,674	895	(591)	—	(1,030)	4	(2)	—	118	—	3,068
Investment property	—	34	—	—	—	—	—	—	—	—	34
Trading portfolio liabilities	(382)	(32)	17	—	352	(1)	—	—	(1)	11	(36)
Financial liabilities designated at fair value	(3,222)	—	29	(490)	1,020	42	—	—	(2,769)	733	(4,657)
Net derivative financial instruments ¹	(1,071)	(479)	137	—	—	14	1	—	1	11	(1,386)
Total	12,859	7,274	(4,662)	(490)	(2,250)	285	12	—	(2,357)	341	11,012

Analysis of movements in Level 3 assets and liabilities

	As at 1 January 2024	Purchases	Sales	Issues	Settlements	Total gains and (losses) in the period recognised in the income statement		Total gains and (losses) in the period recognised in OCI	Transfers		As at 31 Dec 2024
						Trading income ²	Other income		In	Out	
Barclays Bank PLC	£m	£m	£m	£m	£m	£m	£m	£m	£m	£m	£m
Trading portfolio assets	5,616	4,856	(1,286)	—	(839)	(5)	—	—	669	(148)	8,863
Financial assets at fair value through the income statement	4,760	1,977	(1,379)	—	(477)	11	29	—	150	(74)	4,997
Fair value through other comprehensive income	775	3,116	(42)	—	—	3	22	—	—	(200)	3,674
Investment property	2	—	(2)	—	—	—	—	—	—	—	—
Trading portfolio liabilities	(367)	(18)	20	—	—	(12)	—	—	(5)	—	(382)
Financial liabilities designated at fair value	(1,148)	(409)	—	(1,128)	143	(74)	—	—	(891)	285	(3,222)
Net derivative financial instruments ¹	(1,277)	(567)	(9)	—	58	(52)	—	—	246	530	(1,071)
Total	8,361	8,955	(2,698)	(1,128)	(1,115)	(129)	51	—	169	393	12,859

Notes

1 The derivative financial instruments are represented on a net basis. On a gross basis, derivative financial assets are £1,369m (2024: £1,925m) and derivative financial liabilities are £(2,755)m (2024: £(2,996)m).

2 Trading income represents gains and losses on Level 3 financial instruments which in the majority are offset by losses and gains on financial instruments disclosed in Level 2.

Notes to the financial statements

Assets and liabilities held at fair value

Unrealised gains and losses on Level 3 assets and liabilities

The following tables disclose the unrealised gains and losses recognised in the year arising on Level 3 assets and liabilities held at year end.

Unrealised gains and (losses) recognised during the period on Level 3 assets and liabilities held at year end								
	2025				2024			
	Income statement		Other compre- hensive income	Total	Income statement		Other compre- hensive income	Total
	Trading income ¹	Other income			Trading income ¹	Other income		
Barclays Bank Group	£m	£m	£m	£m	£m	£m	£m	£m
Trading portfolio assets	36	—	—	36	(9)	—	—	(9)
Financial assets at fair value through the income statement	13	(23)	—	(10)	—	55	—	55
Financial assets at fair value through other comprehensive income	4	(1)	—	3	3	22	—	25
Investment property	—	—	—	—	—	—	—	—
Trading portfolio liabilities	1	—	—	1	(7)	—	—	(7)
Financial liabilities designated at fair value	43	—	—	43	(77)	—	—	(77)
Net derivative financial instruments	(44)	1	—	(43)	(58)	—	—	(58)
Total	53	(23)	—	30	(148)	77	—	(71)

Note

1 Trading income represents gains and losses on Level 3 financial instruments which in the majority are offset by losses and gains on financial instruments disclosed in Level 2.

Unrealised gains and (losses) recognised during the period on Level 3 assets and liabilities held at year end								
	2025				2024			
	Income statement		Other compre- hensive income	Total	Income statement		Other compre- hensive income	Total
	Trading income ¹	Other income			Trading income ¹	Other income		
Barclays Bank PLC	£m	£m	£m	£m	£m	£m	£m	£m
Trading portfolio assets	69	—	—	69	(5)	—	—	(5)
Financial assets at fair value through the income statement	42	13	—	55	11	28	—	39
Financial assets at fair value through other comprehensive income	4	(1)	—	3	3	22	—	25
Investment property	—	—	—	—	—	—	—	—
Trading portfolio liabilities	(2)	—	—	(2)	(12)	—	—	(12)
Financial liabilities designated at fair value	43	—	—	43	(77)	—	—	(77)
Net derivative financial instruments ¹	14	—	—	14	(45)	—	—	(45)
Total	170	12	—	182	(125)	50	—	(75)

Note

1 Trading income represents gains and losses on Level 3 financial instruments which in the majority are offset by losses and gains on financial instruments disclosed in Level 2.

Notes to the financial statements

Assets and liabilities held at fair value

Significant unobservable inputs

The following table discloses the valuation techniques and significant unobservable inputs for material products recognised at fair value and classified as Level 3 along with the range of values used for those significant unobservable inputs:

			2025 Range		2024 Range		
Valuation technique(s) ¹		Significant unobservable inputs	Min	Max	Min	Max	Units ²
Derivative financial instruments ³							
Interest rate derivatives	Discounted cash flows	Inflation forwards	n/m ⁴	n/m ⁴	3	3	%
		Credit spread	8	2,070	14	1,972	bps
		Yield	—	5	—	12	%
	Option model	Interest rate volatility	29	152	19	175	bps vol
		FX - IR correlation	(36)	30	(36)	30	%
		IR - IR correlation	35	98	33	98	%
		IR - Inflation correlation	10	10	10	10	%
		Inflation - Inflation correlation	5	5	5	5	%
Equity derivatives	Option model	Equity volatility	1	88	1	133	%
		Equity - equity correlation	15	100	40	100	%
	Discounted cash flow	Discount margin	(190)	350	(215)	351	bps
Non-derivative financial instruments							
Loans	Discounted cash flows	Loan spread	30	942	35	908	bps
		Credit spread	194	420	194	1,011	bps
		Discount margin	780	1,170	230	345	bps
		Yield	5	8	2	18	%
Private Equity investments	Comparable pricing	Comparable price	—	186	—	240	points
	EBITDA multiple	EBITDA multiple	6	17	—	—	Multiple
Asset backed securities	Comparable pricing	Comparable price	—	530	—	125	points
	Discounted cash flows	Discount margin	n/m ⁴	n/m ⁴	(137)	(25)	bps
	Option Model	Equity volatility	n/m ⁴	n/m ⁴	15	32	%
Corporate debt	Comparable pricing	Comparable price	—	239	—	2,322	points
Government and Government sponsored debt	Comparable pricing	Comparable price	—	231	—	123	points
Issued debt	Discounted cash flows	Credit spread	80	120	50	198	bps
	Option model	Equity volatility	1	95	1	111	%
		Interest rate volatility	37	178	19	211	bps vol
Reverse repurchase and repurchase agreements	Discounted cash flows	Repo spread	100	148	14	186	bps

Notes

- 1 A range has not been provided for Net Asset Value as there would be a wide range reflecting the diverse nature of the positions.
- 2 The units used to disclose ranges for significant unobservable inputs are percentages, points and basis points. Points are a percentage of par; for example, 100 points equals 100% of par. A basis point equals 1/100th of 1%; for example, 150 basis points equals 1.5%.
- 3 Certain derivative instruments are classified as Level 3 due to a significant unobservable credit spread input into the calculation of the Credit Valuation Adjustment for the instruments.
- 4 Non-material Level 3 balances for these unobservable inputs.

The following section describes the significant unobservable inputs identified in the table above, and the sensitivity of fair value measurement of the instruments categorised as Level 3 assets or liabilities to increases in significant unobservable inputs. Where sensitivities are described, the inverse relationship will also generally apply.

Where reliable interrelationships can be identified between significant unobservable inputs used in fair value measurement, a description of those interrelationships is included below.

Forwards

A price or rate that is applicable to a financial transaction that will take place in the future.

In general, a significant increase in a forward in isolation will result in a fair value increase for the contracted receiver of the underlying (currency, bond, commodity, etc.), but the sensitivity is dependent on the specific terms of the instrument.

Notes to the financial statements

Assets and liabilities held at fair value

Credit spread

Credit spreads typically represent the difference in yield between an instrument and a benchmark security or reference rate. Credit spreads reflect the additional yield that a market participant demands for taking on exposure to the credit risk of an instrument and forms part of the yield used in a discounted cash flow calculation.

In general, a significant increase in credit spread in isolation will result in a fair value decrease for a cash asset.

For a derivative instrument, a significant increase in credit spread in isolation can result in a fair value increase or decrease depending on the specific terms of the instrument.

Volatility

Volatility is a measure of the variability or uncertainty in return for a given derivative underlying. It is an estimate of how much a particular underlying instrument input or index will change in value over time. In general, volatilities are implied from observed option prices. For unobservable options the implied volatility may reflect additional assumptions about the nature of the underlying risk, and the strike/maturity profile of a specific contract.

In general, a significant increase in volatility in isolation will result in a fair value increase for the holder of a simple option, but the sensitivity is dependent on the specific terms of the instrument.

There may be interrelationships between unobservable volatilities and other unobservable inputs (e.g. when equity prices fall, implied equity volatilities generally rise) but these are generally specific to individual markets and may vary over time.

Correlation

Correlation is a measure of the relationship between the movements of two variables. Correlation can be a significant input into valuation of derivative contracts with more than one underlying instrument. Credit correlation generally refers to the correlation between default processes for the separate names that make up the reference pool of a collateralised debt obligation (CDO) structure.

A significant increase in correlation in isolation can result in a fair value increase or decrease depending on the specific terms of the instrument.

Discount Margin

Discount margin represents the additional yield over a benchmark rate that market participants require to compensate for credit risk, liquidity risk, and other factors associated with the instrument. Commonly used in discounted cash flow valuations

In general, a significant increase in discount margin in isolation will result in a fair value decrease for the instrument, as higher required returns reduce present value. The sensitivity depends on the specific terms of the instrument.

Repo Spread

Repo spread refers to the difference between the repurchase agreement rate and a benchmark funding rate. It reflects market conditions, counterparty credit risk, and liquidity premiums that influence the cost of financing through repos.

In general, a significant increase in repo spread in isolation will result in a fair value decrease for the instrument, as higher financing costs reduce its attractiveness. The sensitivity is dependent on the specific contractual terms.

Comparable price

Comparable instrument prices are used in valuation by calculating an implied yield (or spread over a liquid benchmark) from the price of a comparable observable instrument, then adjusting that yield (or spread) to account for relevant differences such as maturity or credit quality. Alternatively, a price-to-price basis can be assumed between the comparable and unobservable instruments in order to establish a value.

Loans include a portfolio of loans extended to clients within the Barclays Bank Group's leveraged finance business. Leveraged finance loans are originated where Barclays Bank Group provides financing commitments to clients to facilitate strategic transactions such as leverage buyouts and acquisitions. The sensitivity of the portfolio to unobservable inputs is judgmental reflecting their illiquid nature and the significance of unobservable price inputs to the valuation.

In general, a significant increase in comparable price in isolation will result in an increase in the price of the unobservable instrument. For derivatives, a change in the comparable price in isolation can result in a fair value increase or decrease depending on the specific terms of the instrument.

Loan spread

Loan spreads typically represent the difference in yield between an instrument and a benchmark security or reference rate. Loan spreads typically reflect credit quality, the level of comparable assets such as gilts and other factors, and form part of the yield used in a discounted cash flow calculation.

In general, a significant increase in loan spreads in isolation will result in a fair value decrease for a loan.

Notes to the financial statements

Assets and liabilities held at fair value

Sensitivity Analysis

Sensitivity analysis is performed on products with significant unobservable inputs (Level 3) to generate a range of reasonably possible alternative valuations. The sensitivity methodologies applied take account of the nature of the valuation techniques used, as well as the availability and reliability of observable proxy and historical data and the impact of using alternative models.

Sensitivities are calculated on a monthly basis. The calculation is based on range or spread data of a reliable reference source or a scenario based on relevant market analysis alongside the impact of using alternative models. Sensitivities are calculated without reflecting the impact of any diversification in the portfolio.

Sensitivity analysis of valuations using unobservable inputs (relates to Level 3 portfolios)								
	2025				2024			
	Favourable changes		Unfavourable changes		Favourable changes		Unfavourable changes	
	Income statement £m	Equity £m	Income statement £m	Equity £m	Income statement £m	Equity £m	Income statement £m	Equity £m
Barclays Bank Group								
Loans	201	21	(297)	(37)	577	43	(742)	(43)
Corporate debt	88	—	(68)	—	87	—	(56)	—
Asset backed securities	51	6	(43)	(6)	57	4	(40)	(4)
Government and Government sponsored debt	45	—	(41)	—	47	—	(56)	—
Private equity investments	37	—	(37)	—	28	—	(28)	—
Interest rate derivatives	109	—	(134)	—	98	—	(212)	—
Equity derivatives	336	—	(336)	—	199	—	(269)	—
Other products ¹	105	312	(104)	(89)	91	—	(104)	—
Total	972	339	(1,060)	(132)	1,184	47	(1,507)	(47)

Note

¹ Other products include issued debt, reverse repurchase and repurchase agreements, certificate of deposits, funds and fund-linked products, equity cash products, credit derivatives and foreign exchange derivatives.

The effect of stressing unobservable inputs to a range of reasonably possible alternatives, alongside considering the impact of using alternative models, would be to increase fair values by up to £1,311m (2024: £1,231m) or to decrease fair values by up to £1,192m (2024: £1,554m) with substantially all the potential effect impacting profit and loss. Unfavourable changes shown in the table above are partly provided for through the capital and prudential valuation adjustment framework.

Fair value adjustments

Key balance sheet valuation adjustments are quantified below:

	2025	2024
	£m	£m
Barclays Bank Group		
Exit price adjustments derived from market bid-offer spreads	(618)	(529)
Uncollateralised derivative funding	62	19
Derivative credit valuation adjustments	(155)	(184)
Derivative debit valuation adjustments	119	108

Exit price adjustments derived from market bid-offer spreads

Barclays Bank Group uses mid-market pricing where it is a market maker and has the ability to transact at, or better than, mid-price (which is the case for certain equity, bond and vanilla derivative markets). For other financial assets and liabilities, bid-offer adjustments are recorded to reflect the exit level for the expected close out strategy. The methodology for determining the bid-offer adjustment for a derivative portfolio involves calculating the net risk exposure by offsetting long and short positions by strike and term in accordance with the risk management and hedging strategy.

Bid-offer levels are generally derived from market quotes such as broker data. Less liquid instruments may not have a directly observable bid-offer level. In such instances, an exit price adjustment may be derived from an observable bid-offer level for a comparable liquid instrument, or determined by calibrating to derivative prices, or by scenario or historical analysis.

Exit price adjustments derived from market bid-offer spreads have increased by £89m.

Discounting approaches for derivative instruments

Collateralised

In line with market practice, the methodology for discounting collateralised derivatives takes into account the nature and currency of the collateral that can be posted within the relevant credit support annex (CSA). The CSA aware discounting

Notes to the financial statements

Assets and liabilities held at fair value

approach recognises the 'cheapest to deliver' option that reflects the ability of the party posting collateral to change the currency of the collateral.

Uncollateralised

A fair value adjustment of £62m is applied to account for the impact of incorporating the cost/benefit of funding into the valuation of uncollateralised and partially collateralised derivative portfolios and collateralised derivatives where the terms of the agreement do not allow the rehypothecation of collateral received. The derivative funding adjustment has moved by £43m.

Derivative credit and debit valuation adjustments

Derivative credit valuation adjustments and derivative debit valuation adjustments are incorporated into derivative valuations to reflect the impact on fair value of counterparty credit risk and Barclays Bank Group's own credit quality respectively. These adjustments are calculated for uncollateralised and partially collateralised derivatives across all asset classes. Derivative credit valuation adjustments and derivative debit valuation adjustments are calculated using estimates of exposure at default, probability of default and recovery rates, at a counterparty level. Counterparties include (but are not limited to) corporates, Sovereigns and Sovereign agencies and Supranationals.

Exposure at default is generally estimated through the simulation of underlying risk factors through approximating with a more vanilla structure, or by using current or scenario-based mark to market as an estimate of future exposure.

Probability of default and recovery rate information is generally sourced from the credit default swap (CDS) markets. Where this information is not available, or considered unreliable, alternative approaches are taken based on mapping internal counterparty ratings onto historical or market-based default and recovery information.

Derivative credit valuation adjustments decreased by £29m. Derivative debit valuation adjustments increased by £(11)m.

Correlation between counterparty credit and underlying derivative risk factors, termed 'wrong-way,' or 'right-way' risk, is not systematically incorporated into the derivative credit valuation adjustments calculation but is adjusted where the underlying exposure is directly related to the counterparty.

Barclays Bank Group continues to monitor market practices and activity to ensure the approach to uncollateralised derivative valuation remains appropriate.

Unrecognised gains as a result of the use of valuation models using unobservable inputs

The amount that is yet to be recognised in income, relating to the difference between the transaction price (the fair value at initial recognition) and the amount that would have arisen had valuation models using unobservable inputs been used on initial recognition, is £258m (2024: £267m) for financial instruments measured at fair value. There are additions and FX revaluation of £54m (2024: £177m) and amortisation and releases of £63m (2024: £104m) for these instruments. For financial instruments carried at amortised cost, the amount that is yet to be recognised in income is £16m (2024: £17m). There are additions of £nil (2024: £nil) and amortisation and releases of £1m (2024: £1m) for these instruments.

Third-party credit enhancements

Structured and brokered certificates of deposit issued by Barclays Bank Group are insured up to \$250,000 per depositor by the Federal Deposit Insurance Corporation (FDIC) in the United States. The FDIC is funded by fees that Barclays Bank Group and other banks pay for deposit insurance coverage. The carrying value of these issued certificates of deposit that are designated under the IFRS 9 fair value option includes this third-party credit enhancement. The on-balance sheet value of these brokered certificates of deposit amounted to £4,156m (2024: £4,844m).

Comparison of carrying amounts and fair values for assets and liabilities not held at fair value

The following table shows the fair value of financial assets and liabilities measured at amortised cost on Barclays Bank Group's and Barclays Bank PLC's balance sheet disaggregated by the fair value hierarchy and balance sheet classification

Notes to the financial statements

Assets and liabilities held at fair value

	2025					2024				
	Carrying amount	Fair value	Level 1	Level 2	Level 3	Carrying amount	Fair value	Level 1	Level 2	Level 3
Barclays Bank Group	£m	£m	£m	£m	£m	£m	£m	£m	£m	£m
Financial assets										
Debt securities at amortised cost	55,153	54,165	31,675	19,043	3,447	50,227	49,400	18,307	29,509	1,584
Loans and advances at amortised cost	150,786	152,780	7,365	67,077	78,338	144,827	146,369	6,791	67,601	71,977
Reverse repurchase agreements and other similar secured lending	17,662	17,662	—	17,662	—	3,393	3,393	—	3,393	—
Assets included in disposal groups classified as held for sale	5,801	6,065	—	—	6,065	9,544	9,628	—	3,520	6,108
Financial liabilities										
Deposits at amortised cost	(344,751)	(344,803)	(215,669)	(128,205)	(929)	(319,376)	(319,135)	(203,393)	(115,172)	(570)
Repurchase agreements and other similar secured borrowing	(18,651)	(18,651)	—	(18,651)	—	(29,397)	(29,397)	—	(29,397)	—
Debt securities in issue	(57,229)	(57,170)	—	(56,343)	(827)	(35,803)	(35,745)	—	(34,612)	(1,133)
Subordinated liabilities	(45,239)	(47,511)	—	(46,850)	(661)	(41,875)	(43,030)	—	(42,189)	(841)
Liabilities included in disposal groups classified as held for sale	—	—	—	—	—	(3,647)	(3,647)	—	(3,647)	—

	2025					2024				
	Carrying amount	Fair value	Level 1	Level 2	Level 3	Carrying amount	Fair value	Level 1	Level 2	Level 3
Barclays Bank PLC	£m	£m	£m	£m	£m	£m	£m	£m	£m	£m
Financial assets										
Debt securities at amortised cost	38,790	37,849	23,211	12,853	1,785	35,519	34,783	14,213	18,986	1,584
Loans and advances at amortised cost	247,552	246,875	2,955	197,389	46,531	225,052	224,768	2,469	178,458	43,841
Reverse repurchase agreements and other similar secured lending	24,974	24,974	—	24,974	—	5,546	5,546	—	5,546	—
Financial liabilities										
Deposits at amortised cost	(385,486)	(385,472)	(178,722)	(205,930)	(820)	(348,093)	(348,073)	(171,540)	(176,231)	(302)
Repurchase agreements and other similar secured borrowing	(33,236)	(33,236)	—	(33,236)	—	(46,196)	(46,196)	—	(46,196)	—
Debt securities in issue	(35,480)	(35,412)	—	(35,412)	—	(12,991)	(12,925)	—	(12,894)	(31)
Subordinated Liabilities	(44,735)	(47,019)	—	(46,850)	(169)	(41,240)	(42,419)	—	(42,201)	(218)

The fair value is an estimate of the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. As a wide range of valuation techniques are available, it may not be appropriate to directly compare this fair value information to independent market sources or other financial institutions. Different valuation methodologies and assumptions can have a significant impact on fair values which are based on unobservable inputs.

Debt Securities at amortised cost

Debt securities at amortised cost are valued using observable market prices sourced from broker quotes, inter-dealer prices or other reliable pricing sources. Observability assessment is performed with reference to bond market trading data. Bonds are assessed at Level 1 if they are traded in active market with a quoted price in line with requirements of IFRS 13. Where market data for the underlying bond is unavailable, a number of proxy/extrapolation techniques are employed to determine the appropriate fair value. The enhancements noted in levelling policy are applicable to the government bonds reported at amortised cost.

Loans and advances at amortised cost

The fair value of loans and advances, for the purpose of this disclosure, is derived from discounting expected cash flows in a way that reflects the current market price or loan spreads of the borrowers. Where market data or credit information on the underlying borrowers is unavailable, a number of proxy/extrapolation techniques are employed to determine the appropriate discount rates.

Reverse repurchase agreements and other similar secured lending

The fair value of reverse repurchase agreements approximates carrying amounts as these balances are generally short dated and fully collateralised.

Notes to the financial statements

Assets and liabilities held at fair value

Deposits at amortised cost

In many cases, the fair value disclosed approximates carrying value because the instruments are short-term in nature or have interest rates that reprice frequently, such as customer accounts and other deposits and short-term debt securities.

The fair value for deposits with longer-term maturities, mainly time deposits, are estimated using discounted cash flows applying either market rates or current rates for deposits of similar remaining maturities.

Repurchase agreements and other similar secured borrowing

The fair value of repurchase agreements approximates carrying amounts as these balances are generally short dated.

Debt securities in issue

Fair values of other debt securities in issue are based on quoted prices where available or, where the instruments are short dated, carrying amount approximates fair value.

Subordinated liabilities

Fair values for dated and undated convertible and non-convertible loan capital are based on quoted market rates for the issuer concerned or issuers with similar terms and conditions.

Assets & liabilities included in disposal groups classified as held for sale

The fair value for the purposes of this disclosure has been prepared in accordance with the products held for sale, and valuation techniques used to determine the expected sales price of these assets and liabilities that will be achieved when the disposal group is sold.

Notes to the financial statements

Assets and liabilities held at fair value

17 Offsetting financial assets and financial liabilities

The Barclays Bank Group reports financial assets and financial liabilities on a net basis on the balance sheet only if there is a legally enforceable right to set-off the recognised amounts and there is intention to settle on a net basis, or to realise the asset and settle the liability simultaneously. The following table shows the impact of netting arrangements on:

- All financial assets and liabilities that are reported net on the balance sheet.
- All derivative financial instruments and reverse repurchase and repurchase agreements and other similar secured lending and borrowing agreements that are subject to enforceable master netting arrangements or similar agreements, but do not qualify for balance sheet netting.

Barclays Bank Group	Amounts subject to enforceable netting arrangements						Amounts not subject to enforceable netting arrangements ³	Balance sheet total ⁴
	Effects of offsetting on-balance sheet			Related amounts not offset				
	Gross amounts	Amounts offset ¹	Net amounts reported on the balance sheet	Financial instruments	Financial collateral ²	Net amount		
As at 31 December 2025	£m	£m	£m	£m	£m	£m	£m	£m
Derivative financial assets	290,878	(42,571)	248,307	(194,772)	(42,576)	10,959	3,885	252,192
Reverse repurchase agreements and other similar secured lending ⁵	779,249	(629,905)	149,344	—	(148,995)	349	918	150,262
Total assets	1,070,127	(672,476)	397,651	(194,772)	(191,571)	11,308	4,803	402,454
Derivative financial liabilities	(278,710)	43,257	(235,453)	194,772	28,444	(12,237)	(5,304)	(240,757)
Repurchase agreements and other similar secured borrowing ⁵	(805,574)	629,905	(175,669)	—	175,669	—	(1,839)	(177,508)
Total liabilities	(1,084,284)	673,162	(411,122)	194,772	204,113	(12,237)	(7,143)	(418,265)
As at 31 December 2024								
Derivative financial assets	333,711	(47,207)	286,504	(230,260)	(41,586)	14,658	5,852	292,356
Reverse repurchase agreements and other similar secured lending ⁵	700,005	(556,219)	143,786	—	(143,347)	439	1,398	145,184
Total assets	1,033,716	(603,426)	430,290	(230,260)	(184,933)	15,097	7,250	437,540
Derivative financial liabilities	(318,990)	46,040	(272,950)	230,260	27,660	(15,030)	(6,381)	(279,331)
Repurchase agreements and other similar secured borrowing ⁵	(737,053)	556,219	(180,834)	—	180,834	—	(4,587)	(185,421)
Total liabilities	(1,056,043)	602,259	(453,784)	230,260	208,494	(15,030)	(10,968)	(464,752)

Notes

1. Amounts offset for derivative financial assets additionally includes cash collateral netted of £6,086m (2024: £5,126m). Amounts offset for derivative financial liabilities additionally includes cash collateral netted of £5,400m (2024: £6,293m). Settlement assets and liabilities have been offset amounting to £38,196m (2024: £25,133m).
2. Financial collateral of £42,576m (2024: £41,586m) was received in respect of derivative assets, including £29,930m (2024: £28,953m) of cash collateral and £12,646m (2024: £12,633m) of non-cash collateral. Financial collateral of £28,444m (2024: £27,660m) was placed in respect of derivative liabilities, including £23,267m (2024: £23,109m) of cash collateral and £5,177m (2024: £4,551m) of non-cash collateral. The collateral amounts are limited to net balance sheet exposure so as to not include over-collateralisation.
3. This column includes contractual rights of set-off that are subject to uncertainty under the laws of the relevant jurisdiction.
4. The balance sheet total is the sum of 'Net amounts reported on the balance sheet' that are subject to enforceable netting arrangements and 'Amounts not subject to enforceable netting arrangements'.
5. Reverse repurchase agreements and other similar secured lending of £150,262m (2024: £145,184m) is split by fair value £132,600m (2024: £141,791m) and amortised cost £17,662m (2024: £3,393m). Repurchase agreements and other similar secured borrowing of £177,508m (2024: £185,421m) is split by fair value £158,857m (2024: £156,024m) and amortised cost £18,651m (2024: £29,397m).

These offsetting collateral arrangements and other credit risk mitigation strategies used by the Barclays Bank Group are further explained in the Credit risk management section.

Notes to the financial statements

Assets and liabilities held at fair value

Barclays Bank PLC	Amounts subject to enforceable netting arrangements						Amounts not subject to enforceable netting arrangement ^{s3}	Balance sheet total ⁴
	Effects of offsetting on-balance sheet			Related amounts not offset				
	Gross amounts	Amounts offset ¹	Net amounts reported on the balance sheet	Financial instruments	Financial collateral ²	Net amount		
As at 31 December 2025	£m	£m	£m	£m	£m	£m	£m	£m
Derivative financial assets	247,798	(26,305)	221,493	(175,132)	(32,492)	13,869	3,444	224,937
Reverse repurchase agreements and other similar secured lending ⁵	831,770	(606,836)	224,934	—	(224,934)	—	430	225,364
Total assets	1,079,568	(633,141)	446,427	(175,132)	(257,426)	13,869	3,874	450,301
Derivative financial liabilities	(232,273)	26,398	(205,875)	175,132	21,182	(9,561)	(4,586)	(210,461)
Repurchase agreements and other similar secured borrowing ⁵	(889,262)	606,836	(282,426)	—	282,426	—	(382)	(282,808)
Total liabilities	(1,121,535)	633,234	(488,301)	175,132	303,608	(9,561)	(4,968)	(493,269)
As at 31 December 2024	£m	£m	£m	£m	£m	£m	£m	£m
Derivative financial assets	284,547	(29,080)	255,467	(207,100)	(31,199)	17,168	5,020	260,487
Reverse repurchase agreements and other similar secured lending ⁵	753,437	(554,064)	199,373	—	(199,373)	—	942	200,315
Total assets	1,037,984	(583,144)	454,840	(207,100)	(230,572)	17,168	5,962	460,802
Derivative financial liabilities	(271,092)	28,368	(242,724)	207,100	22,560	(13,064)	(5,693)	(248,417)
Repurchase agreements and other similar secured borrowing ⁵	(822,448)	554,064	(268,384)	—	268,384	—	(3,774)	(272,158)
Total liabilities	(1,093,540)	582,432	(511,108)	207,100	290,944	(13,064)	(9,467)	(520,575)

Notes

1. Amounts offset for derivative financial assets additionally includes cash collateral netted of £3,829m (2024: £3,685m). Amounts offset for derivative financial liabilities additionally includes cash collateral netted of £3,736m (2024: £4,397m). Settlement assets and liabilities have been offset amounting to £16,918m (2024: £15,355m).
2. Financial collateral of £32,492m (2024: £31,199m) was received in respect of derivative assets, including £21,605m (2024: £20,218m) of cash collateral and £10,887m (2024: £10,981m) of non-cash collateral. Financial collateral of £21,182m (2024: £22,560m) was placed in respect of derivative liabilities, including £17,915m (2024: £18,871m) of cash collateral and £3,267m (2024: £3,689m) of non-cash collateral. The collateral amounts are limited to net balance sheet exposure so as to not include over-collateralisation.
3. This column includes contractual rights of set-off that are subject to uncertainty under the laws of the relevant jurisdiction.
4. The balance sheet total is the sum of 'Net amounts reported on the balance sheet' that are subject to enforceable netting arrangements and 'Amounts not subject to enforceable netting arrangements'.
5. Reverse Repurchase agreements and other similar secured lending of £225,364m (2024: £200,315m) is split by fair value £200,390m (2024: £194,769m) and amortised cost £24,974m (2024: £5,546m). Repurchase agreements and other similar secured borrowing of £282,808m (2024: £272,158m) is split by fair value £249,572m (2024: £225,962m) and amortised cost £33,236m (2024: £46,196m).

Notes to the financial statements

Assets at amortised cost and other investments

18 Property, plant and equipment

Accounting for property, plant and equipment

Property, plant and equipment is stated at cost, which includes direct and incremental acquisition costs less accumulated depreciation and provisions for impairment, if required. Subsequent costs are capitalised if these result in enhancement of the asset.

Depreciation is provided on the depreciable amount of items of property, plant and equipment on a straight-line basis over their estimated useful economic lives. Depreciation rates, methods and the residual values underlying the calculation of depreciation of items of property, plant and equipment are kept under review to take account of any change in circumstances including consideration on future Climate and Sustainability investments.

The Barclays Bank Group and Barclays Bank PLC use the following annual rates in calculating depreciation:

Annual rates in calculating depreciation	Depreciation rate
Freehold land	Not depreciated
Freehold buildings	2%-3.3%
Leasehold property	Over the remaining life of the lease
Costs of adaptation of freehold and leasehold property	6%-10%
Equipment installed in freehold and leasehold property	6%-10%
Computers and similar equipment	17%-33%
Fixtures and fittings and other equipment	9%-20%

Costs of adaptation and installed equipment are depreciated over the shorter of the life of the lease or the depreciation rates noted in the table above.

Investment property

The Barclays Bank Group and Barclays Bank PLC initially recognises investment property at cost, and subsequently at fair value at each balance sheet date, reflecting market conditions at the reporting date. Gains and losses on remeasurement are included in the income statement.

Notes to the financial statements

Assets at amortised cost and other investments

	Barclays Bank Group				
	Investment property £m	Property £m	Equipment £m	Right of use assets ¹ £m	Total £m
Cost					
As at 1 January 2025	9	1,624	938	1,043	3,614
Additions	33	59	84	99	275
Disposals ²	—	(5)	(20)	(35)	(60)
Exchange and other movements ³	1	(98)	(58)	21	(134)
As at 31 December 2025	43	1,580	944	1,128	3,695
Accumulated depreciation and impairment					
As at 1 January 2025	—	(813)	(725)	(530)	(2,068)
Depreciation charge ⁴	—	(43)	(72)	(47)	(162)
Impairment charge ⁴	—	(2)	—	(6)	(8)
Disposals ²	—	5	20	29	54
Exchange and other movements ³	—	44	41	7	92
As at 31 December 2025	—	(809)	(736)	(547)	(2,092)
Net book value	43	771	208	581	1,603
Cost					
As at 1 January 2024	2	1,540	942	803	3,287
Additions	9	70	58	12	149
Disposals ²	(2)	(14)	(47)	(9)	(72)
Exchange and other movements	—	28	(15)	237	250
As at 31 December 2024	9	1,624	938	1,043	3,614
Accumulated depreciation and impairment					
As at 1 January 2024	—	(778)	(690)	(557)	(2,025)
Depreciation charge ⁴	—	(42)	(73)	(51)	(166)
Impairment charge ⁴	—	—	—	0	0
Disposals ²	—	14	40	9	63
Exchange and other movements	—	(7)	(2)	69	60
As at 31 December 2024	—	(813)	(725)	(530)	(2,068)
Net book value	9	811	213	513	1,546

Notes

- 1 Right of use (ROU) asset balances relate to Property Leases accounted in accordance with IFRS 16. Refer to Note 19 for further details
- 2 Disposals pertain to fully depreciated assets which are not in use
- 3 Exchange and other movements in Right of use (ROU) asset balances include modification related to a lease extension by ~91 years.
- 4 Depreciation and impairment charge is part of Infrastructure, administration and general expenses shown under Note 7

Notes to the financial statements

Assets at amortised cost and other investments

	Barclays Bank PLC				
	Investment property £m	Property £m	Equipment £m	Right of use assets ¹ £m	Total £m
Cost					
As at 1 January 2025	—	60	156	360	576
Additions	33	19	13	4	69
Disposals ²	—	(4)	(2)	(10)	(16)
Exchange and other movements	1	(1)	(4)	39	35
As at 31 December 2025	34	74	163	393	664
Accumulated depreciation and impairment					
As at 1 January 2025	—	(34)	(115)	(302)	(451)
Depreciation charge ⁴	—	(4)	(14)	(12)	(30)
Impairment charge ⁴	—	—	—	—	—
Disposals ²	—	3	2	8	13
Exchange and other movements	—	1	3	(1)	3
As at 31 December 2025	—	(34)	(124)	(307)	(465)
Net book value	34	40	39	86	199
Cost					
As at 1 January 2024	2	62	150	354	568
Additions	—	9	12	10	31
Disposals ²	(2)	(10)	(6)	(7)	(25)
Exchange and other movements	—	(1)	—	3	2
As at 31 December 2024	—	60	156	360	576
Accumulated depreciation and impairment					
As at 1 January 2024	—	(42)	(103)	(306)	(451)
Depreciation charge ⁴	—	(3)	(15)	(13)	(31)
Impairment charge ⁴	—	—	—	—	—
Disposals ²	—	10	6	7	23
Exchange and other movements	—	1	(3)	10	8
As at 31 December 2024	—	(34)	(115)	(302)	(451)
Net book value	—	26	41	58	125

Notes

- 1 Right of use (ROU) asset balances relate to Property Leases accounted in accordance with IFRS 16. Refer to Note 19 for further details
- 2 Disposals pertain to fully depreciated assets which are not in use
- 3 Exchange and other movements in Right of use (ROU) asset balances include modification related to a lease extension by ~91 years
- 4 Depreciation and impairment charge is part of Infrastructure, administration and general expenses shown under Note 7

Property rentals of £7m (2024: £8m) have been included in other income within the Barclays Bank Group.

The fair value of investment property is determined by reference to current market prices for similar properties, adjusted as necessary for condition and location, or by reference to recent transactions updated to reflect current economic conditions. Discounted cash flow techniques may be employed to calculate fair value where there have been no recent transactions, using current external market inputs such as market rents and interest rates. Valuations are carried out by management with the support of appropriately qualified independent valuers.

19 Leases

Accounting for leases

When the Barclays Bank Group or Barclays Bank PLC are the lessee, they are required to recognise both:

- a lease liability, measured at the present value of remaining cash flows on the lease
- a right of use (ROU) asset, measured at the amount of the initial measurement of the lease liability, plus any lease payments made prior to commencement date, initial direct costs, and estimated costs of restoring the underlying asset to the condition required by the lease, less any lease incentives received.

Subsequently the lease liability will increase for the accrual of interest, resulting in a constant rate of return throughout the life of the lease, and reduce when payments are made. The right of use asset will amortise to the income statement over the life of the lease.

On the balance sheet, the ROU assets are included within property, plant and equipment and the lease liabilities are included within other liabilities.

Notes to the financial statements

Assets at amortised cost and other investments

The Barclays Bank Group and Barclays Bank PLC apply the recognition exemption in IFRS 16 for leases with a term not exceeding 12 months. For these leases the lease payments are recognised as an expense on a straight line basis over the lease term unless another systematic basis is more appropriate.

When the Barclays Bank Group or Barclays Bank PLC are the lessor, the lease must be classified as either a finance lease or an operating lease. A finance lease is a lease which confers substantially all the risks and rewards of the leased assets on the lessee. An operating lease is a lease where substantially all of the risks and rewards of the leased asset remain with the lessor.

As lessors

The Barclays Bank Group and Barclays Bank PLC do not have any material operating and finance leases as lessors.

As lessees

The Barclays Bank Group and Barclays Bank PLC lease various offices, branches and other premises under non-cancellable lease arrangements to meet their operational business requirements. In some instances, the Barclays Bank Group or Barclays Bank PLC will sublease property to third parties when it is no longer needed to meet business requirements. Currently, the Barclays Bank Group and Barclays Bank PLC do not have any material subleasing arrangements.

ROU asset balances relate to property leases only. Refer to Note 18 for the carrying amount of ROU assets.

The Barclays Bank Group and Barclays Bank PLC have not recognised any expenses related to short term leases during the current and previous year.

Lease liabilities	Barclays Bank Group	
	2025	2024
	£m	£m
As at 1 January	542	280
Interest expense	29	29
New leases	98	11
Disposals	(8)	—
Cash payments	(69)	(73)
Exchange and other movements ¹	30	295
As at 31 December (see Note 21)	622	542

Lease liabilities	Barclays Bank PLC	
	2025	2024
	£m	£m
As at 1 January	62	51
Interest expense	3	3
New leases	4	10
Disposals	(2)	—
Cash payments	(14)	(14)
Exchange and other movements	39	12
As at 31 December (see Note 21)	92	62

Note

1 Exchange and other movements in 2024 include modification related to a lease extended by ~91 years.

Notes to the financial statements

Assets at amortised cost and other investments

The table below sets out a maturity analysis of undiscounted lease liabilities, showing the lease payments after the reporting date.

Undiscounted lease liabilities maturity analysis	Barclays Bank Group	
	2025	2024
	£m	£m
Not more than one year	70	70
One to two years	73	66
Two to three years	61	61
Three to four years	59	46
Four to five years	49	40
Five to ten years	198	130
Greater than ten years	3,315	3,550
Total undiscounted lease liabilities as at 31 December	3,825	3,963

In 2024, Barclays had a lease modification for property "New York, 745 7th Avenue" wherein there was an extension of lease term by ~91 years.

Undiscounted lease liabilities maturity analysis	Barclays Bank PLC	
	2025	2024
	£m	£m
Not more than one year	14	15
One to two years	14	13
Two to three years	13	11
Three to four years	12	7
Four to five years	11	4
Five to ten years	43	20
Greater than ten years	5	5
Total undiscounted lease liabilities as at 31 December	112	75

In addition to the cash flows identified above, the Barclays Bank Group and Barclays Bank PLC are exposed to:

- Variable lease payments: This variability will typically arise from either inflation index instruments or market-based pricing adjustments.

Currently, Barclays Bank Group has 37 (2024: 38) leases out of the total 97 (2024: 103) leases with variable payment terms. Of the gross cash flows identified above, £3,746m (2024: £3,855m) is attributable to leases with some degree of payment variability.

Currently, Barclays Bank PLC has 18 (2024: 19) leases out of the total 39 (2024: 43) leases with variable payment terms. Of the gross cash flows identified above, £103m (2024: £51m) is attributable to leases with some degree of payment variability.

- Extension and termination options: The table above represents the Barclays Bank Group's and the Barclays Bank PLC's best estimate of future cash outflows for leases, including assumptions regarding the exercising of contractual extension and termination options. The above gross cash flows include adjustments of Nil (2024: £9m) and Nil (2024: £9m) in respect of leases for which Barclays Bank Group and the Barclays Bank PLC is highly likely to exercise an early termination option. The above gross cash flows include adjustments of £1,780m (2024: £1,859m) and £49m (2024: £14m) in respect of leases for which Barclays Bank Group and the Barclays Bank PLC is highly likely to exercise a lease extension option.

The Barclays Bank Group and Barclays Bank PLC do not have any restrictions or covenants imposed by the lessor on its property leases which restrict its businesses.

Notes to the financial statements

Assets at amortised cost and other investments

20 Goodwill and intangible assets

Accounting for goodwill and intangible assets

Goodwill

Goodwill arising on the acquisition of subsidiaries represents the excess of the fair value of the purchase consideration over the fair value of the Barclays Bank Group's share of the assets acquired and the liabilities and contingent liabilities assumed on the date of the acquisition.

Goodwill is reviewed annually for impairment, or more frequently when there are indications that impairment may have occurred. The test involves comparing the carrying value of the cash generating unit (CGU) including goodwill with the present value of the pre-tax cash flows, discounted at a rate of interest that reflects the inherent risks, of the CGU to which the goodwill relates, or the CGUs fair value if this is higher.

Intangible assets

Intangible assets are initially recognised when they are separable or arise from contractual or other legal rights, the cost can be measured reliably and, in the case of intangible assets not acquired in a business combination, where it is probable that future economic benefits attributable to the assets will flow from their use.

For internally generated intangible assets, only costs incurred during the development phase are capitalised. Expenditure in the research phase is expensed when it is incurred.

Intangible assets are stated at cost (which is, in the case of assets acquired in a business combination, the acquisition date fair value) less accumulated amortisation and provisions for impairment, if any, and are amortised over their useful lives in a manner that reflects the pattern to which they contribute to future cash flows, generally using the amortisation periods set out below:

Annual rates in calculating amortisation	Amortisation period
Goodwill	Not amortised
Internally generated software ¹	12 months to 6 years
Other software	12 months to 6 years
Customer lists	12 months to 25 years
Licences and other	12 months to 25 years

Note

¹ Exceptions to the above period relate to useful lives of certain core banking platforms that are assessed individually and, if appropriate, amortised over longer periods ranging from 10 years to 15 years.

Intangible assets are reviewed for impairment when there are indications that impairment may have occurred. Intangible assets not yet available for use are reviewed annually for impairment.

	Intangible assets					Total £m
	Goodwill £m	Internally generated software £m	Other software £m	Customer lists £m	Licences and other £m	
Barclays Bank Group						
Cost						
As at 1 January 2025	607	1,339	65	1,162	197	3,370
Additions	—	398	—	—	—	398
Disposals ¹	—	(156)	(1)	—	(2)	(159)
Exchange and other movements ²	(30)	(328)	(4)	(78)	(14)	(454)
As at 31 December 2025	577	1,253	60	1,084	181	3,155
Accumulated amortisation and impairment						
As at 1 January 2025	(68)	(647)	(41)	(1,065)	(124)	(1,945)
Disposals ¹	—	156	1	—	2	159
Amortisation charge ³	—	(155)	(8)	(20)	(9)	(192)
Impairment charge ³	—	—	—	—	—	—
Exchange and other movements	—	44	1	72	9	126
As at 31 December 2025	(68)	(602)	(47)	(1,013)	(122)	(1,852)
Net book value	509	651	13	71	59	1,303

Notes

¹ Disposals pertain to fully amortised assets which are not in use

² Exchange and other movements in Internally generated software include transfer of IGS from BB Group to BX for £248m

³ Amortisation charge and impairment charge is part of Infrastructure, administration and general expenses shown in Note 7

Notes to the financial statements

Assets at amortised cost and other investments

	Goodwill £m	Internally generated software £m	Other software £m	Customer lists £m	Licences and other £m	Total £m
Barclays Bank Group						
Cost						
As at 1 January 2024	335	1,266	73	1,477	128	3,279
Additions	263	366	1	—	66	696
Disposals ¹	—	(131)	(10)	—	—	(141)
Exchange and other movements	9	(162)	1	(315)	3	(464)
As at 31 December 2024	607	1,339	65	1,162	197	3,370
Accumulated amortisation and impairment						
As at 1 January 2024	(68)	(623)	(42)	(1,345)	(117)	(2,195)
Disposals ¹	—	131	10	—	0	141
Amortisation charge ²	—	(149)	(8)	(25)	(5)	(187)
Impairment charge ²	—	(2)	—	—	—	(2)
Exchange and other movements	—	(4)	(1)	305	(2)	298
As at 31 December 2024	(68)	(647)	(41)	(1,065)	(124)	(1,945)
Net book value	539	692	24	97	73	1,425

Notes

1 Disposals pertain to fully amortised assets which are not in use

2 Amortisation charge and impairment charge is part of Infrastructure, administration and general expenses shown in Note 7

Notes to the financial statements

Assets at amortised cost and other investments

	Intangible assets					Total £m
	Goodwill £m	Internally generated software £m	Other software £m	Customer lists £m	Licences and other £m	
Barclays Bank PLC						
Cost						
As at 1 January 2025	164	26	2	12	23	227
Additions	—	4	—	—	—	4
Disposals	—	—	—	—	—	—
Exchange and other movements	—	—	—	—	(2)	(2)
As at 31 December 2025	164	30	2	12	21	229
Accumulated amortisation and impairment						
As at 1 January 2025	(69)	(26)	(1)	(11)	(16)	(123)
Disposals	—	—	—	—	—	—
Amortisation charge	—	—	—	—	—	—
Exchange and other movements	—	—	(1)	—	2	1
As at 31 December 2025	(69)	(26)	(2)	(11)	(14)	(122)
Net book value	95	4	—	1	7	107

	Intangible assets					Total £m
	Goodwill £m	Internally generated software £m	Other software £m	Customer lists £m	Licences and other £m	
Barclays Bank PLC						
Cost						
As at 1 January 2024	164	26	2	12	23	227
Additions	—	—	—	—	—	—
Disposals	—	—	—	—	—	—
Exchange and other movements	—	—	—	—	—	—
As at 31 December 2024	164	26	2	12	23	227
Accumulated amortisation and impairment						
As at 1 January 2024	(69)	(26)	(1)	(11)	(16)	(123)
Disposals	—	—	—	—	—	—
Amortisation charge	—	—	—	—	—	—
Exchange and other movements	—	—	—	—	—	—
As at 31 December 2024	(69)	(26)	(1)	(11)	(16)	(123)
As at Net book value	95	—	1	1	7	104

Goodwill

Goodwill is allocated to business operations according to business segments as follows:

	Barclays Bank Group	
	2025 £m	2024 £m
Barclays Private Bank and Wealth Management	95	95
Barclays US Consumer Bank	414	444
Total net book value of goodwill	509	539

	Barclays Bank PLC	
	2025 £m	2024 £m
Barclays Private Bank and Wealth Management	95	95
Total net book value of goodwill	95	95

Notes to the financial statements

Assets at amortised cost and other investments

2025 impairment review

The 2025 impairment review was performed during Q4 2025, with the approach and results of this analysis set out below.

Determining the carrying value of CGUs

The carrying value for each CGU is the sum of the tangible equity, goodwill and intangible asset balances associated with that CGU.

The Barclays Bank Group manages the assets and liabilities of its CGUs with reference to the tangible equity of the respective businesses. That tangible equity is derived from the level of risk weighted assets (RWAs) and capital required to be deployed in the CGU and therefore reflects its relative risk, as well as the level of capital that management considers a market participant would be required to hold and retain to support business growth.

Goodwill is initially allocated to CGUs or groups of CGUs that are expected to benefit from the synergies of the acquisition that generated it. Goodwill is only reallocated if there is a change in its use or when reporting structures are altered in a way that changes the composition of one or more cash-generating units to which goodwill has been allocated.

Cash flows

The five-year cash flows used in the calculation of value in use are based on the formally agreed medium-term plans approved by the Board. These are prepared using macroeconomic assumptions which management considers reasonable and supportable, and reflect business agreed initiatives for the forecast period.

Discount rates

IAS 36 requires that the discount rate used in a value in use calculation reflects the pre-tax rate an investor would require if they were to choose an investment that would generate similar cash flows to those that the entity expects to generate from the asset. In determining the discount rate, management identified the cost of equity associated with market participants that closely resemble the Barclays Bank Group's CGUs. The cost of equity has been used as the discount rate in the impairment assessment and applied to the post tax cash flows of the CGU. This post-tax method incorporates the impact of changing tax rates on the cash flows and is expected to produce the same VIU result as a pre-tax method adjusted for varying tax rates. Using the resultant VIU the equivalent pre-tax discount rates have been calculated. The cost of equity rate used for all CGUs in this year's calculation has been increased to reflect volatility in markets, an increase in risk free rate and a higher market risk premium rate. The range of equivalent pre-tax discount rates applicable across the CGUs range from 15.2% to 19.2% (2024: 14.5% to 18.5%).

Terminal growth rate

The terminal growth rate is used to estimate the effect of projecting cash flows to the end of an asset's useful economic life. It is management's judgement that the cash flows associated with the CGUs will grow in line with the major economies in which the Barclays Bank Group operates. The UK inflation rate is used as an approximation for the future growth rates. The terminal growth rate used is 2.0% (2024: 2.0%).

Outcome of goodwill and intangibles review

Based on management's plans and assumptions the value in use exceeds the carrying value of the CGUs and no goodwill impairment has been indicated by the 2025 impairment review.

Cash generating unit	Tangible equity	Goodwill	Intangibles	Carrying value	Value in use	Value in use exceeding carrying value 2025	Value in use exceeding carrying value 2024
	£m	£m	£m	£m	£m	£m	£m
Barclays Private Bank and Wealth Management	945	95	—	1,040	4,943	3,903	2,704
Barclays US Consumer Bank	3,055	414	734	4,203	6,879	2,676	353
Total	4,000	509	734	5,243	11,822	6,579	3,057

Sensitivity of key judgements

The headroom is sensitive to possible adverse changes in the key assumptions that support the recoverable amount:

Cash flows: The medium-term plans used to determine the cash flows used in the VIU calculation rely on macroeconomic forecasts, including interest rates, GDP and unemployment, and forecast levels of customers activity. Interest rate assumptions impact planned cash flows from both customer income and structural hedge contributions and therefore cash flow expectations are highly sensitive to movements in the yield curve. The cash flows also contain assumptions with regard to the prudential and financial conduct regulatory environment which may be subject to change. A sensitivity analysis has been provided to illustrate the impact of a 10% reduction in cash flows.

Discount rate: The discount rate should reflect the market risk-free rate adjusted for the inherent risks of the business it is applied to. Management has identified discount rates for comparable businesses and consider these to be a reasonable

Notes to the financial statements

Assets at amortised cost and other investments

estimate of a suitable market rate for the profile of the business unit being tested. The risk that these discount rates may not be appropriate is quantified below by showing the impact of a 100bps increase in the discount rate.

Terminal growth rate: The terminal growth rate is used to estimate the cash flows into perpetuity based on the expected longevity of the CGU's businesses. The terminal growth rate is sensitive to uncertainties in the macroeconomic environment. The risk that using inflation data may not be appropriate for its determination is quantified below and shows the impact of a 100bps decrease in the terminal growth rate is shown.

Allocated capital rate: Tangible equity is allocated based on the level of risk weighted assets (RWAs) and capital required to be deployed in the CGU which is dependent on the relative risk of businesses. The capital rate used in determining the level of tangible equity allocated to the CGU and its capital cash flows could move over time as a result of a change to the prudential regulatory environment or the risk profile of the business. The impact of a 50bps increase in capital rate is quantified below.

The sensitivity of the value in use to key judgements in the calculations for certain CGUs holding goodwill balances is set out below:

					Reduction in headroom				Change required to reduce headroom to zero			
Cash generating unit	Carrying value	Value in use	Value in use exceeding carrying value	Discount rate	100bps increase in the discount rate	100bps decrease in terminal growth rate	50bps increase to allocated capital rate	10% reduction in forecasted cash flows	Discount rate	Terminal growth rate	Allocated capital rate	Cash flows
					£m	£m	£m	%				
Barclays US Consumer Bank	4,203	6,879	2,676	16.8	(561)	(361)	(229)	(881)	6.6	(13.1)	5.8	(30.4)

Other intangible assets

Determining the estimated useful lives of intangible assets (such as those arising from contractual relationships) requires an analysis of circumstances. The assessment of whether an asset is exhibiting indicators of impairment as well as the calculation of impairment, which requires the estimate of future cash flows and fair values less costs to sell, also requires the preparation of cash flow forecasts and fair values for assets that may not be regularly bought and sold.

Notes to the financial statements

Accruals, provisions, contingent liabilities and legal proceedings

The notes included in this section focus on the Barclays Bank Group's accruals, provisions and contingent liabilities. Provisions are recognised for present obligations arising as consequences of past events where it is probable that a transfer of economic benefit will be necessary to settle the obligation, and it can be reliably estimated. Contingent liabilities reflect potential liabilities that are not recognised on the balance sheet.

21 Other liabilities

	Barclays Bank Group	
	2025	2024
	£m	£m
Accruals and deferred income	2,933	3,035
Other creditors	4,270	4,319
Items in the course of collection due to other banks	6	8
Lease liabilities (refer to Note 19)	622	542
Other liabilities	7,831	7,904

	Barclays Bank PLC	
	2025	2024
	£m	£m
Accruals and deferred income	1,205	1,209
Other creditors	3,007	3,177
Items in the course of collection due to other banks	6	8
Lease liabilities (refer to Note 19)	92	62
Other liabilities	4,310	4,456

22 Provisions

Accounting for provisions

Provisions are recognised for present obligations arising as consequences of past events where it is more likely than not that a transfer of economic benefit will be necessary to settle the obligation, which can be reliably estimated.

Critical accounting estimates and judgements

Key areas involving a higher degree of judgement or estimation include:

Judgements	Estimates
Determination as to whether a present obligation exists.	Estimation uncertainty in the probability, timing, nature and quantum of outflows.

These estimates are considered to have a significant risk of resulting in a material adjustment to the carrying amounts of provisions within the next financial year.

The financial reporting of provisions involves a significant degree of judgement and is complex. Identifying whether a present obligation exists and estimating the probability, timing, nature and quantum of the outflows that may arise from past events requires judgements to be made based on the specific facts and circumstances relating to individual events and often requires specialist professional advice. When matters are at an early stage, accounting judgements and estimates can be difficult because of the high degree of uncertainty involved. Management continues to monitor matters as they develop to re-evaluate on an ongoing basis whether provisions should be recognised, however there can remain a wide range of possible outcomes and uncertainties, particularly in relation to legal, competition and regulatory matters, and as a result it is often not practicable to make meaningful estimates even when matters are at a more advanced stage.

The amount that is recognised as a provision can also be very sensitive to the assumptions made in calculating it. This gives rise to a large range of potential outcomes which require judgement in determining an appropriate provision level. See Note 24 for more detail of legal, competition and regulatory matters.

Notes to the financial statements

Accruals, provisions, contingent liabilities and legal proceedings

	Redundancy and restructuring £m	Customer redress £m	Legal, competition and regulatory matters £m	Onerous contracts £m	Sundry provisions £m	Total £m
Barclays Bank Group						
As at 1 January 2025	87	13	58	—	158	316
Additions	141	9	102	16	65	333
Amounts utilised	(109)	(4)	(77)	—	(28)	(218)
Unused amounts reversed	(53)	(3)	(3)	—	(5)	(64)
Exchange and other movements	(2)	1	(1)	—	3	1
As at 31 December 2025	64	16	79	16	193	368
Undrawn contractually committed facilities and guarantees						
As at 1 January 2025						420
Net change in expected credit loss provision and other movements						(22)
As at 31 December 2025						398
Total provisions						
As at 1 January 2025						736
As at 31 December 2025						766

	Redundancy and restructuring £m	Customer redress £m	Legal, competition and regulatory matters £m	Onerous Contracts £m	Sundry provisions £m	Total £m
Barclays Bank PLC						
As at 1 January 2025	40	12	30	—	22	104
Additions	59	9	59	—	6	133
Amounts utilised	(42)	(4)	(55)	—	(2)	(103)
Unused amounts reversed	(26)	(3)	(2)	—	(1)	(32)
Exchange and other movements	(3)	1	(2)	—	(1)	(5)
As at 31 December 2025	28	15	30	—	24	97
Undrawn contractually committed facilities and guarantees						
As at 1 January 2025						331
Net change in expected credit loss provision and other movements						—
As at 31 December 2025						331
Total provisions						
As at 1 January 2025						435
As at 31 December 2025						428

Provisions expected to be recovered or settled within no more than 12 months after 31 December 2025 for Barclays Bank Group are £693m (2024: £663m) and for Barclays Bank PLC were £415m (2024: £421m).

Redundancy and restructuring

These provisions comprise the estimated cost of restructuring, including redundancy costs where an obligation exists. For example, when the Barclays Bank Group has a detailed formal plan for restructuring a business and has raised valid expectations in those affected by the restructuring by announcing its main features or starting to implement the plan.

Customer redress

Customer redress provisions comprise the estimated cost of making redress payments to customers, clients and counterparties for losses or damages associated with inappropriate judgement in the execution of the Barclays Bank Group's business activities.

Notes to the financial statements

Accruals, provisions, contingent liabilities and legal proceedings

Legal, competition and regulatory matters

The Barclays Bank Group is engaged in various legal proceedings, both in the UK and a number of other overseas jurisdictions, including the US. For further information in relation to legal proceedings and discussion of the associated uncertainties, please refer to Note 24.

Onerous contracts

Onerous contract provisions comprise an estimate of the unavoidable costs involved with fulfilling the terms and conditions of contracts net of any expected benefits to be received.

Sundry provisions

This category includes provisions that do not fit into any of the other categories, such as fraud losses and dilapidation provisions.

Undrawn contractually committed facilities and guarantees

Undrawn contractually committed facilities and guarantees provisions are accounted under IFRS9. Impairment allowance under IFRS 9 considers both the drawn and the undrawn counterparty exposure. For retail portfolios, the total impairment allowance is allocated to the drawn exposure to the extent that the allowance does not exceed the exposure as ECL is not reported separately. Any excess is reported on the liability side of the balance sheet as a provision. For wholesale portfolios the impairment allowance on the undrawn exposure is reported on the liability side of the balance sheet as a provision. Further analysis of the movement is disclosed within the 'Movement in gross exposures and impairment allowance including provisions for loan commitments and financial guarantees' in the expected credit loss provision table on pages 171 to 176.

23 Contingent liabilities and commitments

Accounting for contingent liabilities

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events and present obligations where the transfer of economic resources is uncertain or cannot be reliably measured. Contingent liabilities are not recognised on the balance sheet but are disclosed unless the likelihood of an outflow of economic resources is remote.

The following table summarises the nominal principal amount of contingent liabilities and commitments which are not recorded on-balance sheet:

	Barclays Bank Group	
	2025	2024
	£m	£m
Guarantees and letters of credit pledged as collateral security	16,890	16,814
Performance guarantees, acceptances and endorsements	9,743	9,751
Total contingent liabilities and financial guarantees	26,633	26,565
<i>Of which: Financial guarantees and letters of credit carried at fair value</i>	<i>905</i>	<i>988</i>
Documentary credits and other short-term trade related transactions	1,103	1,433
Standby facilities, credit lines and other commitments	354,285	352,344
Total commitments¹	355,388	353,777
<i>Of which: Loan commitments carried at fair value</i>	<i>21,292</i>	<i>15,350</i>

Note

¹ Includes exposures relating to financial assets classified as assets held for sale.

	Barclays Bank PLC	
	2025	2024
	£m	£m
Guarantees and letters of credit pledged as collateral security	37,660	37,375
Performance guarantees, acceptances and endorsements	10,777	11,131
Total contingent liabilities and financial guarantees	48,437	48,506
<i>Of which: Financial guarantees and letters of credit carried at fair value</i>	<i>905</i>	<i>893</i>
Documentary credits and other short-term trade related transactions	1,042	1,349
Standby facilities, credit lines and other commitments	219,236	220,833
Total commitments	220,278	222,182
<i>Of which: Loan commitments carried at fair value</i>	<i>19,807</i>	<i>15,024</i>

Notes to the financial statements

Accruals, provisions, contingent liabilities and legal proceedings

Provisions for expected credit losses held against contingent liabilities and commitments equal £398m (2024: £420m) for Barclays Bank Group and £331m (2024: £331m) for Barclays Bank PLC and are reported in Note 22.

Further details on contingent liabilities relating to legal and competition and regulatory matters can be found in Note 24.

24 Legal, competition and regulatory matters

The Barclays Bank Group faces legal, competition and regulatory challenges, many of which are beyond our control. The extent of the impact of these matters cannot always be predicted but may materially impact our operations, financial results, condition and prospects. Matters arising from a set of similar circumstances can give rise to either a contingent liability or a provision, or both, depending on the relevant facts and circumstances.

The recognition of provisions in relation to such matters involves critical accounting estimates and judgements in accordance with the relevant accounting policies applicable to Note 22, Provisions. We have not disclosed an estimate of the potential financial impact or effect on the Barclays Bank Group of contingent liabilities where it is not currently practicable to do so. Various matters detailed in this note seek damages of an unspecified amount. While certain matters specify the damages claimed, such claimed amounts do not necessarily reflect the Barclays Bank Group's potential financial exposure in respect of those matters.

Proceedings relating to certain advisory services agreements

In 2023, Barclays Bank PLC received requests for arbitration from two Jersey special purpose vehicles connected to PCP International Finance Limited asserting claims in relation to the October 2008 capital raising. This matter is now concluded, and there are no other outstanding matters relating to the advisory services agreements.

Civil actions related to LIBOR and other benchmarks

Various individuals and corporates in a range of jurisdictions have threatened or brought civil actions against the Barclays Bank Group and other banks in relation to the alleged manipulation of LIBOR and/or other benchmarks.

US civil actions related to LIBOR

Multiple civil actions have been filed in the US against the Barclays Bank Group and other banks alleging manipulation of USD LIBOR, Sterling LIBOR and the LIBOR benchmark that was administered by the Intercontinental Exchange Inc. and certain of its affiliates (ICE LIBOR).

With respect to USD LIBOR, one action alleging that Barclays Bank PLC, Barclays Capital Inc. (BCI) and other financial institutions individually and collectively violated provisions of the US Sherman Antitrust Act (Sherman Act), the US Commodity Exchange Act, the US Racketeer Influenced and Corrupt Organizations Act (RICO), the US Securities Exchange Act of 1934 and various state laws by manipulating USD LIBOR rates remains, seeking unspecified damages. In September 2025, the US federal district court in the Southern District of New York (SDNY) granted the defendants' motion for summary judgment and dismissed the remaining USD LIBOR litigations, including the action against the Barclays Bank Group. The plaintiffs are appealing the decision. A separate USD LIBOR action pending in the SDNY was previously settled. The settlement is not material to the Barclays Bank Group's operating results, cash flows or financial position.

With respect to Sterling LIBOR, consolidated class actions filed in the SDNY against Barclays Bank PLC, BCI and other Sterling LIBOR panel banks alleging, among other things, manipulation of the Sterling LIBOR rate in violation of the Sherman Act, US Commodity Exchange Act and RICO, were dismissed in 2018. The US Court of Appeals for the Second Circuit (Second Circuit) affirmed the dismissal in September 2025. This matter is concluded.

With respect to ICE LIBOR, in August 2020, a group of individual plaintiffs in the US District Court for the Northern District of California on behalf of individual borrowers and consumers of loans and credit cards with variable interest rates linked to USD ICE LIBOR brought an action against Barclays Bank PLC and other financial institutions alleging Sherman Act violations. The defendants' motion to dismiss the case was granted in 2022. The US Court of Appeals for the Ninth Circuit affirmed the dismissal in December 2024. The plaintiffs' petition for US Supreme Court review was denied in June 2025, concluding the matter.

Non-US benchmarks civil actions

The remaining UK claim, issued in 2017, against Barclays Bank PLC and other banks in connection with alleged manipulation of LIBOR has now settled. The settlement is not material to the Barclays Bank Group's operating results, cash flows or financial position. Proceedings are ongoing in Spain and Italy relating to alleged manipulation of LIBOR and EURIBOR. The proceedings in Israel have concluded.

Foreign exchange civil actions

Legal proceedings have been brought or are threatened against Barclays PLC, Barclays Bank PLC, BCI and Barclays Execution Services Limited (BX) in connection with alleged manipulation of foreign exchange in the UK, the Netherlands, Israel, Brazil and Australia. In Australia, the court has approved the settlement and the proceedings are concluded. In Israel, a settlement

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in principle has been agreed subject to court approval. The settlements are not material to the Barclays Bank Group's operating results, cash flows or financial position.

The above-mentioned proceedings include a class action filed against Barclays PLC, Barclays Bank PLC, BX, BCI and other financial institutions in the UK Competition Appeal Tribunal (CAT) in 2019. The CAT refused to certify the claim in 2022 and in 2023, the Court of Appeal overturned the CAT's decision and found that the claim should be certified on an opt-out basis. Barclays and the other financial institutions involved appealed this decision and, in December 2025, the UK Supreme Court issued a judgment in their favour, establishing that this claim should be brought as an opt-in class action.

Metals-related civil actions

A US civil complaint alleging manipulation of the price of silver in violation of the US Commodity Exchange Act, the Sherman Act and state antitrust and consumer protection laws was brought by a proposed class of plaintiffs against a number of banks, including Barclays Bank PLC, BCI and BX. The complaint, which is filed in the SDNY, was dismissed against the Barclays entities and certain other defendants in 2018, and against the remaining defendants in 2023. The plaintiffs have appealed the dismissal of the complaint against all defendants.

Civil actions have also been filed in Canadian courts against Barclays PLC, Barclays Bank PLC, Barclays Capital Canada Inc. and BCI on behalf of proposed classes of plaintiffs alleging manipulation of gold and silver prices. The Barclays entities have reached a settlement in principle, which will require court approval. The settlement is not material to the Barclays Bank Group's operating results, cash flows or financial position.

US residential mortgage-related civil action

There remains one US Residential Mortgage-Backed Securities (RMBS) related civil action arising from unresolved repurchase requests submitted by Trustees for certain RMBS, alleging breaches of various loan-level representations and warranties made by Barclays Bank PLC and/or a subsidiary acquired in 2007. Barclays' motion to dismiss the action was denied in 2023. The parties appealed the decision and in January 2025, the appellate court reversed the lower court's decision and dismissed the action. The plaintiff has requested review by the New York State Court of Appeals.

Government and agency securities civil actions

Treasury auction securities civil actions

Consolidated purported class action complaints filed in US federal court against Barclays Bank PLC, BCI and other financial institutions under the Sherman Act and state common law allege that the defendants: (i) conspired to manipulate the US Treasury securities market; and/or (ii) conspired to prevent the creation of certain platforms by boycotting or threatening to boycott such trading platforms. The court dismissed the consolidated action in 2021 and the plaintiffs filed an amended complaint. The defendants' motion to dismiss the amended complaint was granted in 2022. The plaintiffs appealed this decision, and in February 2024 the appellate court affirmed the dismissal. The plaintiffs did not seek US Supreme Court review, thereby concluding the matter.

In addition, certain plaintiffs have filed a related, direct action against BCI and certain other financial institutions, alleging that defendants conspired to fix and manipulate the US Treasury securities market in violation of the Sherman Act, the US Commodity Exchange Act and state common law. This action remains stayed.

Variable Rate Demand Obligations civil actions

Civil actions have been filed against Barclays Bank PLC and BCI and other financial institutions alleging the defendants conspired or colluded to artificially inflate interest rates set for Variable Rate Demand Obligations (VRDOs). VRDOs are municipal bonds with interest rates that reset on a periodic basis, most commonly weekly. An action in state court has been filed by private plaintiffs on behalf of the state of California. A settlement in principle has been agreed in that action, subject to court approval. This settlement is not material to the Barclays Bank Group's operating results, cash flows or financial position. In addition, three purported class action complaints have been consolidated in the SDNY. In the consolidated SDNY class action, certain of the plaintiffs' claims were dismissed in 2020 and 2022 and the plaintiffs' motion for class certification was granted in 2023, which means the case may proceed as a class action. The defendants appealed and the decision was affirmed by the Second Circuit in August 2025. The defendants have petitioned for US Supreme Court review.

Odd-lot corporate bonds antitrust class action

In 2020, BCI, together with other financial institutions, was named as a defendant in a purported class action in the US. The complaint alleges a conspiracy to boycott developing electronic trading platforms for odd-lots and price fixing. The plaintiffs demand unspecified money damages. The defendants' motion to dismiss was granted in 2021, which the plaintiffs appealed. In July 2024, the Second Circuit vacated the judgment and remanded the case to the SDNY, where the plaintiffs filed a second amended complaint in September 2024. The defendants' motion to dismiss was granted in its entirety in September 2025. The parties have stipulated to the discontinuance of the action, thereby concluding the matter.

Credit Default Swap civil action

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A purported antitrust class action is pending in New Mexico federal court against Barclays Bank PLC, BCI and various other financial institutions. The plaintiffs, the New Mexico State Investment Council and certain New Mexico pension funds, allege that the defendants conspired to manipulate the benchmark price used to value Credit Default Swap (CDS) contracts at settlement (i.e. the CDS final auction price). The plaintiffs allege violations of US antitrust laws and the US Commodity Exchange Act, and unjust enrichment under state law. The defendants' motion to dismiss was denied in 2023. In January 2024, the SDNY ruled that settlement in an earlier CDS antitrust litigation bars these plaintiffs from asserting claims based on conduct occurring before 30 June 2014. The plaintiffs appealed to the Second Circuit and the appeal was denied in May 2025. The case has returned to New Mexico federal court and the defendants have filed a motion for judgment on the pleadings.

Interest rate swap and credit default swap US civil actions

Barclays PLC, Barclays Bank PLC and BCI, together with other financial institutions that act as market makers for interest rate swaps (IRS), are named as defendants in several antitrust actions, including one purported class action and individual actions brought by certain swap execution facilities, which are consolidated in the SDNY. The complaints allege the defendants conspired to prevent the development of exchanges for IRS and demand unspecified money damages. The parties have reached a settlement of the class action, which received final court approval and was paid in 2024. The individual claims are proceeding separately in the SDNY.

BDC Finance L.L.C.

In 2008, BDC Finance L.L.C. (BDC) filed a complaint in the Supreme Court of the State of New York, demanding damages of \$298m, alleging that Barclays Bank PLC had breached a contract in connection with a portfolio of total return swaps governed by an ISDA Master Agreement. Following a trial, the court ruled in 2018 that Barclays Bank PLC was not a defaulting party, which was affirmed on appeal. Barclays Bank PLC filed a counterclaim against BDC for damages, legal fees, expenses and interest. In November 2025, the court granted Barclays' pretrial motion to exclude certain evidence. BDC is appealing. A trial on damages will be scheduled.

Civil actions in respect of the US Anti-Terrorism Act

Eight civil actions, on behalf of more than 4,000 plaintiffs, were filed in US federal courts in the US District Court in the Eastern District of New York (EDNY) and SDNY against Barclays Bank PLC and a number of other banks. The complaints generally allege that Barclays Bank PLC and those banks engaged in a conspiracy to facilitate US dollar-denominated transactions for the Iranian government and various Iranian banks, which in turn funded acts of terrorism that injured or killed the plaintiffs or the plaintiffs' family members. The plaintiffs seek to recover damages for pain, suffering and mental anguish under the US Anti-Terrorism Act, which allows for the trebling of any proven damages.

The court granted the defendants' motions to dismiss three out of the six actions in the EDNY. The plaintiffs appealed in one action and the dismissal was affirmed, and judgment was entered, in 2023. The plaintiffs' motion to vacate the judgment was denied in September 2025. The other two dismissed actions in the EDNY were consolidated into one action. The plaintiffs in that action, and in one other action in the EDNY, filed amended complaints and the defendants' motion to dismiss is fully briefed. The two other actions in the EDNY are currently stayed. Out of the two actions in the SDNY, the court granted the defendants' motion to dismiss the first action. That action is stayed, and the second SDNY action is stayed pending any appeal on the dismissal of the first.

Shareholder derivative action

In 2020, a purported Barclays shareholder filed a purported derivative action in New York state court against BCI and a number of current and former members of the Board of Directors of Barclays PLC and senior executives or employees of the Barclays Bank Group. The shareholder plaintiff filed the claim on behalf of nominal defendant Barclays PLC, alleging that the individual defendants harmed the company through breaches of their duties, including under the Companies Act 2006. The plaintiff sought damages on behalf of Barclays PLC for the losses that Barclays PLC allegedly suffered as a result of these alleged breaches. An amended complaint was filed in 2021, which BCI and certain other defendants moved to dismiss. The motion to dismiss was granted in 2022. The plaintiff appealed the decision, and the dismissal was unanimously affirmed in 2023 by the First Judicial Department in New York. The plaintiff appealed the First Judicial Department's decision to the New York Court of Appeals. The dismissal was affirmed by the New York Court of Appeals in May 2025, concluding the matter. In November 2025, the same plaintiff filed a new complaint in New York state court against the same defendants. Barclays has not yet been served.

Skilled person review in relation to historical timeshare loans and associated matters

Clydesdale Financial Services Limited (CFSL), a subsidiary of the Group which trades as Barclays Partner Finance and houses Barclays' point-of-sale finance business, was required by the FCA to undertake a skilled person review in 2020 following concerns about historical affordability assessments for certain loans to customers in connection with timeshare purchases. The skilled person review was concluded in 2021. CFSL complied fully with the skilled person review requirements, including carrying out certain remediation measures. CFSL was not required to conduct a full back book review. Instead, CFSL reviewed limited historical lending to ascertain whether its practices caused customer harm and has remediated any

Notes to the financial statements

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examples of harm. This work was substantially completed during 2023, utilising provisions booked to account for any remediations. This matter is now concluded.

Motor finance commission arrangements

From 2003 to late 2019, CFSL, a wholly-owned subsidiary of the Group, provided motor finance to customers in the UK. In 2020, CFSL was transferred from Barclays Bank PLC to Barclays Principal Investments Ltd (BPIL), another subsidiary of Barclays PLC. Barclays Bank PLC has provided an intragroup indemnity to BPIL in respect of historical litigation and conduct matters relating to CFSL.

In January 2024, the FCA appointed a skilled person to undertake a review of the historical use of discretionary commission arrangements and sales in the motor finance market across several firms. This review followed two final decisions by the UK Financial Ombudsman Service (FOS) and a number of complaints and court claims, including some against CFSL.

On 7 October 2025, the FCA began consulting on an industry-wide compensation scheme for eligible motor finance customers. Barclays has engaged with the FCA as part of its consultation process and the FCA has stated that, if it introduces a redress scheme, it expects to publish a policy statement and final rules in February or March 2026, with compensation to consumers beginning later in 2026. The FCA has indicated that it expects to lift the existing pause on the handling of certain motor finance complaints on 31 May 2026, subject to the terms of the FCA redress scheme, if adopted.

Barclays considers it more likely than not that a redress scheme will be implemented by the FCA. As a result, Barclays has recognised in CFSL a provision of £325m in respect of this matter as at 31 December 2025 (as at 31 December 2024: £90m). Recognising that the proposed terms of the FCA redress scheme are subject to consultation, in calculating potential redress costs and the amount of provision required, Barclays has applied a weighted average of multiple scenarios, each incorporating differing evaluations of the FCA's current proposals. The current provision reflects the estimated number of motor finance cases falling within the scope of the FCA redress scheme as proposed by the FCA consultation paper (which covers regulated motor finance agreements between 6 April 2007 and 1 November 2024 where a commission was payable by the lender to the broker), the anticipated level of customer redress reflecting the FCA's proposed methodology, the estimated customer response rate with reference to Barclays' previous remediation exercises and the costs associated with implementing the FCA's proposed approach to customer engagement.

The final terms of the FCA redress scheme remain uncertain pending publication of the FCA's policy statement and final scheme rules. Accordingly, the legal and regulatory outcomes and the nature, extent and timing of any remediation action, if required, remain uncertain. The ultimate financial impact on Barclays could differ from the recognised provision, which represents Barclays' best estimate of the cost of redress based on the information currently available to Barclays.

Over-issuance of securities in the US

In 2022, executive management became aware that Barclays Bank PLC had issued securities materially in excess of the set amount under its US shelf registration statements.

In 2022, a purported class action claim was filed in the US District Court in Manhattan seeking to hold Barclays PLC, Barclays Bank PLC and former and current executives responsible for declines in the price of Barclays PLC's American depository receipts, which the plaintiffs claim occurred as a result of alleged misstatements and omissions in its public disclosures. The defendants' motion to dismiss the case was granted in part and denied in part in February 2024. The parties reached a settlement in respect of such lawsuit, which has received final court approval and has been paid, concluding the matter. The financial impact of this settlement is not material to the Barclays Bank Group's operating results, cash flows or financial position.

In addition, holders of VXX ETNs have brought a purported class action in the SDNY against Barclays PLC, Barclays Bank PLC, and former and current executives and board members in the US alleging, among other things, that Barclays' failure to disclose that these ETNs were unregistered securities misled investors and that, as a result, Barclays is liable for the holders' alleged losses following the suspension of further sales and issuances of the ETNs. The plaintiffs were granted leave to amend and filed a new complaint in March 2024. Barclays' motion to dismiss was granted in March 2025. The plaintiffs' motion for reconsideration was denied in June 2025. The plaintiffs are appealing the decision.

In March 2024, a purported class action was filed in the SDNY against Barclays PLC, Barclays Bank PLC and former and current executives. The plaintiff purports to bring claims on behalf of a class of short sellers, alleging that their short positions suffered substantial losses when Barclays suspended new issuances and sales of VXX ETNs as a result of the over-issuance of securities. Barclays' motion to dismiss was granted in March 2025. The plaintiff appealed the decision granting Barclays' motion to dismiss and, in December 2025, the Second Circuit affirmed the dismissal.

HM Revenue & Customs (HMRC) assessments concerning UK Value Added Tax

In 2018, HMRC issued notices that have the effect of either removing certain Barclays overseas subsidiaries that have operations in the UK from Barclays' UK VAT group or preventing them from joining it. Supplies between members of a UK VAT group are generally free from VAT. The notices had both retrospective and prospective effect. Barclays appealed HMRC's decisions to the First-Tier Tribunal (Tax Chamber) in relation to both the retrospective VAT assessments and the

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ongoing VAT payments made since 2018. £181m of VAT (inclusive of interest) was assessed retrospectively by HMRC covering the periods 2014 to 2018, of which approximately £128m is expected to be attributed to Barclays Bank UK PLC and £53m to Barclays Bank PLC. This retrospectively assessed VAT was paid in 2018 and an asset, adjusted to reflect expected eventual recovery, is recognised. Since 2018 Barclays has paid, and recognised as an expense, VAT on intra-group supplies from the relevant subsidiaries to the members of the VAT group. In respect of the ongoing VAT payments, the court upheld HMRC's denial of the VAT grouping in August 2024. Barclays has appealed this decision to the Upper Tribunal.

FCA investigations concerning financial crime systems and controls and compliance with the Money Laundering Regulations

The FCA conducted civil enforcement investigations into Barclays Bank PLC's and Barclays Bank UK PLC's compliance with the Money Laundering Regulations and the FCA's Principles of Business and Rules relating to anti-money laundering and financial crime systems and controls. The FCA's investigation of Barclays Bank PLC focused primarily on the historical oversight and management of a customer with heightened risk. In July 2025, Barclays Bank PLC agreed a settlement with the FCA to resolve the investigation. At the same time, Barclays Bank UK PLC reached a settlement with the FCA in a separate investigation concerning the onboarding of a client money account for an FCA-regulated firm. The FCA recognised Barclays' cooperation in both matters, which are now concluded.

UK bank levy

In November 2024, HMRC updated its published guidance on the treatment of beneficiary accounts for the purposes of the exclusion of protected deposits from the UK bank levy charge. HMRC's interpretation of the UK bank levy legislation differs from Barclays' interpretation of the legislation, which has been applied in Barclays' UK bank levy returns and which Barclays continues to consider is correct. In December 2024, HMRC wrote to notify Barclays of its intention to challenge this treatment. Whilst engagement with HMRC continued during 2025, discussions remain at a relatively early stage and assessments have not yet been issued.

Potential indemnity claim relating to the sale of Barclays Consumer Bank Europe

In January 2025, Barclays Bank Ireland PLC completed the sale of certain assets and liabilities, specifically the Consumer Bank Europe, its German consumer finance business, to BAWAG P.S.K., a wholly-owned subsidiary of BAWAG Group AG (BAWAG). As part of the transaction, Barclays Bank Ireland PLC provided BAWAG with a capped indemnity in relation to transfer taxes on certain assets. Discussions with the relevant taxation authority are ongoing and are at an early stage. No formal assessment has been issued.

General

The Barclays Bank Group is engaged in various other legal, competition and regulatory matters in the UK, the US and a number of other overseas jurisdictions. It is subject to legal proceedings brought by and against the Barclays Bank Group which arise in the ordinary course of business from time to time, including (but not limited to) disputes in relation to contracts, securities, guarantees, debt collection, consumer credit, fraud, trusts, client assets, competition, data management and protection, intellectual property, money laundering, financial crime, employment, environmental and other statutory and common law issues.

The Barclays Bank Group is also subject to enquiries and examinations, requests for information, audits, investigations and legal and other proceedings by regulators, governmental and other public bodies in connection with (but not limited to) consumer protection measures, measures to combat money laundering and financial crime, compliance with legislation and regulation, wholesale trading activity and other areas of banking and business activities in which the Barclays Bank Group is or has been engaged. The Barclays Bank Group is cooperating with the relevant authorities and keeping all relevant agencies briefed as appropriate in relation to these matters and others described in this note on an ongoing basis.

At the present time, the Barclays Bank Group does not expect the ultimate resolution of any of these other matters to have a material adverse effect on its financial position. However, in light of the uncertainties involved in such matters and the matters specifically described in this note, there can be no assurance that the outcome of a particular matter or matters (including formerly active matters or those matters arising after the date of this note) will not be material to Barclays Bank PLC's results, operations or cash flows for a particular period, depending on, among other things, the amount of the loss resulting from the matter(s) and the amount of profit otherwise reported for the reporting period.

Notes to the financial statements

Capital instruments, equity and reserves

The notes included in this section focus on the Barclays Bank Group's loan capital and shareholders' equity including issued share capital, retained earnings, other equity balances and interests of minority shareholders in our subsidiary entities (non-controlling interests). For more information on capital management and how the Barclays Bank Group maintains sufficient capital to meet our regulatory requirements refer to pages 150 to 151.

25 Subordinated liabilities

Accounting for subordinated liabilities

Subordinated liabilities are measured at amortised cost using the effective interest method under IFRS 9, unless they are irrevocably designated at fair value through profit or loss at initial recognition because such designation eliminates or significantly reduces an accounting mismatch. Refer to Note 15 for details about accounting for liabilities designated at fair value through profit or loss.

	Barclays Bank Group	
	2025	2024
	£m	£m
At amortised cost		
As at 1 January	41,875	35,903
Issuances	9,808	11,222
Redemptions	(5,665)	(5,067)
Other	(779)	(183)
As at 31 December	45,239	41,875
Designated at fair value (Note 15)	587	537
Total subordinated liabilities	45,826	42,412

	Barclays Bank PLC	
	2025	2024
	£m	£m
At amortised cost		
As at 1 January	41,240	35,237
Issuances	9,808	11,143
Redemptions	(5,553)	(4,963)
Other	(760)	(177)
As at 31 December	44,735	41,240
Designated at fair value (Note 15)	587	537
Total subordinated liabilities	45,322	41,777

Issuances of £9,808m comprise £9,139m intra-group loans from Barclays PLC, £669m EUR 4.616% Fixed Rate Resetting Subordinated Callable Notes issued to Barclays PLC.

Redemptions of £5,665m comprise £5,438m intra-group loans from Barclays PLC, £115m SGD 3.750% Fixed Rate Resetting Subordinated Callable Notes issued to Barclays PLC and £112m USD Floating Rate Notes issued externally by a Barclays Bank PLC subsidiary.

Other movements predominantly comprise foreign exchange movements and fair value hedge adjustments.

Subordinated liabilities include accrued interest and comprise undated and dated subordinated liabilities as follows:

	Barclays Bank Group	
	2025	2024
	£m	£m
Undated subordinated liabilities	127	134
Dated subordinated liabilities	45,699	42,278
Total subordinated liabilities	45,826	42,412

Notes to the financial statements

Capital instruments, equity and reserves

	Barclays Bank PLC	
	2025	2024
	£m	£m
Undated subordinated liabilities	127	134
Dated subordinated liabilities	45,195	41,643
Total subordinated liabilities	45,322	41,777

None of the Barclays Bank Group's or Barclays Bank PLC's subordinated liabilities are secured.

Undated subordinated liabilities ¹		Barclays Bank Group	
	Initial call date	2025 £m	2024 £m
Barclays Bank PLC externally issued subordinated liabilities			
Undated Notes			
6.125% Undated Subordinated Notes	2027	35	35
Undated Loans			
5.03% Reverse Dual Currency Undated Subordinated Loan (JPY 8,000m)	2028	37	40
5% Reverse Dual Currency Undated Subordinated Loan (JPY 12,000m)	2028	55	59
Total undated subordinated liabilities		127	134

Undated subordinated liabilities ¹		Barclays Bank PLC	
	Initial call date	2025 £m	2024 £m
Barclays Bank PLC externally issued subordinated liabilities			
Undated Notes			
6.125% Undated Subordinated Notes	2027	35	35
Undated Loans			
5.03% Reverse Dual Currency Undated Subordinated Loan (JPY 8,000m)	2028	37	40
5% Reverse Dual Currency Undated Subordinated Loan (JPY 12,000m)	2028	55	59
Total undated subordinated liabilities		127	134

Note

¹ Instrument values are disclosed to the nearest million.

Undated subordinated liabilities

Undated subordinated liabilities are issued by Barclays Bank PLC for the development and expansion of their businesses and to strengthen their capital bases. The principal terms of the undated subordinated liabilities are described below:

Subordination

All undated subordinated liabilities rank behind the claims against the bank of depositors and other unsecured unsubordinated creditors and holders of dated subordinated liabilities.

Interest

All undated subordinated liabilities bear a fixed rate of interest until the initial call date.

After the initial call date, in the event that they are not redeemed, the 6.125% Undated Notes will bear interest at rates fixed periodically in advance for five-year periods based on market rates. After the initial call date, in the event that they are not redeemed, all other undated loans will bear interest at rates fixed periodically in advance based on market rates.

Payment of interest

Barclays Bank PLC is not obliged to make a payment of interest on its Undated Notes and Loans if, in the preceding six months, a dividend has not been declared or paid on any class of shares of Barclays PLC or, in certain cases, any class of preference shares of Barclays Bank PLC. Interest not paid becomes payable in each case if such a dividend is subsequently paid or in certain other circumstances. During the year, Barclays Bank PLC paid interest on each of its Undated Notes and Loans.

No payment of principal or any interest may be made unless Barclays Bank PLC satisfies a specified solvency test.

Repayment

All undated subordinated liabilities are repayable at the option of Barclays Bank PLC in whole at the initial call date and on any fifth anniversary after the initial call date. In addition, each issue of undated subordinated liabilities is repayable, at the option of Barclays Bank PLC, in whole for certain tax reasons, either at any time, or on an interest payment date. There are no events of default except non-payment of principal or mandatory interest. Any repayments require the prior consent of the PRA.

Notes to the financial statements

Capital instruments, equity and reserves

Other

All issues of undated subordinated liabilities are non-convertible.

Dated subordinated liabilities ¹			Barclays Bank Group	
	Initial call date	Maturity date	2025 £m	2024 £m
Barclays Bank PLC externally issued subordinated liabilities				
5.75% Fixed Rate Subordinated Notes		2026	279	279
5.4% Reverse Dual Currency Subordinated Loan (JPY 15,000m)		2027	71	76
6.33% Subordinated Notes (GBP 50m)		2032	46	45
Subordinated Floating Rate Notes (EUR 68m)		2040	59	56
External issuances by other subsidiaries			492	623
Barclays Bank PLC notes issued intra-group to Barclays PLC				
3.75% Fixed Rate Resetting Subordinated Callable Notes (SGD 200m)	2025	2030	—	117
5.20% Fixed Rate Subordinated Notes (USD 1,367m)		2026	1,015	1,051
1.125% Fixed Rate Resetting Subordinated Callable Notes (EUR 1,000m)	2026	2031	876	810
4.836% Fixed Rate Subordinated Notes (USD 1,200m)	2027	2028	883	920
8.407% Fixed Rate Resetting Subordinated Callable Loan (GBP 1,000m)	2027	2032	1,022	1,008
5.088% Fixed-to-Floating Rate Subordinated Callable Notes (USD 1,300m)	2029	2030	920	941
4.973% Fixed Rate Resetting Subordinated Callable Notes (EUR 1,500m)	2031	2036	1,367	1,320
7.437% Fixed Rate Resetting Subordinated Callable Notes (USD 2,000m)	2032	2033	1,514	1,573
4.616% Fixed Rate Resetting Subordinated Callable Notes (EUR 800m)	2032	2037	719	—
5.262% Fixed Rate Resetting Subordinated Callable Notes (EUR 1,250m)	2033	2034	1,162	1,130
7.119% Fixed-to-Floating Rate Subordinated Callable Notes (USD 860m)	2033	2034	632	655
3.811% Fixed Rate Resetting Subordinated Callable Notes (USD 1,000m)	2041	2042	558	586
5.25% Fixed Rate Subordinated Notes (USD 827m)		2045	382	408
4.95% Fixed Rate Subordinated Notes (USD 1,250m)		2047	510	556
Floating Rate Subordinated Notes (USD 456m)		2047	345	370
Barclays Bank PLC intra-group loans from Barclays PLC				
Various Fixed Rate Subordinated Loans			2,557	3,457
Various Subordinated Floating Rate Loans			—	334
Various Fixed Rate Subordinated Callable Loans			27,121	24,401
Various Subordinated Floating Rate Callable Loans			2,663	1,025
Various Zero Coupon Callable Loans			506	537
Total dated subordinated liabilities			45,699	42,278

Note

1 Instrument values are disclosed to the nearest million.

Notes to the financial statements

Capital instruments, equity and reserves

Dated subordinated liabilities ¹			Barclays Bank PLC	
	Initial call date	Maturity date	2025 £m	2024 £m
Barclays Bank PLC externally issued subordinated liabilities				
5.75% Fixed Rate Subordinated Notes		2026	279	279
5.4% Reverse Dual Currency Subordinated Loan (JPY 15,000m)		2027	71	76
6.33% Subordinated Notes (GBP 50m)		2032	46	45
Subordinated Floating Rate Notes (EUR 68m)		2040	59	56
Barclays Bank PLC notes issued intra-group to Barclays PLC				
3.75% Fixed Rate Resetting Subordinated Callable Notes (SGD 200m)	2025	2030	—	117
5.20% Fixed Rate Subordinated Notes (USD 1,367m)		2026	1,015	1,051
1.125% Fixed Rate Resetting Subordinated Callable Notes (EUR 1,000m)	2026	2031	876	810
4.836% Fixed Rate Subordinated Notes (USD 1,200m)	2027	2028	883	920
8.407% Fixed Rate Resetting Subordinated Callable Loan (GBP 1,000m)	2027	2032	1,022	1,008
5.088% Fixed-to-Floating Rate Subordinated Callable Notes (USD 1,300m)	2029	2030	920	941
4.973% Fixed Rate Resetting Subordinated Callable Notes (EUR 1,500m)	2031	2036	1,367	1,320
7.437% Fixed Rate Resetting Subordinated Callable Notes (USD 2,000m)	2032	2033	1,514	1,573
4.616% Fixed Rate Resetting Subordinated Callable Notes (EUR 800m)	2032	2037	719	—
5.262% Fixed Rate Resetting Subordinated Callable Notes (EUR 1,250m)	2033	2034	1,162	1,130
7.119% Fixed-to-Floating Rate Subordinated Callable Notes (USD 860m)	2033	2034	632	655
3.811% Fixed Rate Resetting Subordinated Callable Notes (USD 1,000m)	2041	2042	558	586
5.25% Fixed Rate Subordinated Notes (USD 827m)		2045	382	408
4.95% Fixed Rate Subordinated Notes (USD1,250m)		2047	510	556
Floating Rate Subordinated Notes (USD 456m)		2047	345	370
Barclays Bank PLC intra-group loans from Barclays PLC				
Various Subordinated Fixed Rate Loans			2,544	3,443
Various Subordinated Floating Rate Loans			—	334
Various Fixed Rate Subordinated Callable Loans			27,122	24,403
Various Subordinated Floating Rate Callable Loans			2,663	1,025
Various Zero Coupon Callable Notes			506	537
Total dated subordinated liabilities			45,195	41,643

Note

1 Instrument values are disclosed to the nearest million.

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Capital instruments, equity and reserves

Dated subordinated liabilities

Dated subordinated liabilities are issued by Barclays Bank PLC and its subsidiaries for the development and expansion of their businesses and to strengthen their respective capital bases. The principal terms of the dated subordinated liabilities are described below:

Currency and maturity

In addition to the individual dated subordinated liabilities listed in the Barclays Bank Group table, the £32,847m (2024: £29,754m) of intra-group loans is made up of various fixed, floating and zero coupon loans from Barclays PLC with notional amounts denominated in USD 29,323m, EUR 9,180m, GBP 1,206m, JPY 159,700m, AUD 2,390m, NOK 220m, CAD 450m, CNH 700m and CHF 260m, with maturities ranging from 2026 to 2055. Certain intra-group loans have a call date one year prior to their maturity. Dated floating rate subordinated liabilities externally issued by Barclays Bank PLC subsidiaries £492m (2024: £623m) with maturities ranging from 2026 to 2032.

Subordination

All dated subordinated liabilities, both externally issued and issued intra-group to Barclays PLC, rank behind the claims against Barclays Bank PLC of depositors and other unsecured unsubordinated creditors but before the claims of the undated subordinated liabilities and the holders of Barclays Bank PLC equity. The Barclays Bank PLC intra-group loans from Barclays PLC rank pari passu amongst themselves but ahead of the Barclays Bank PLC notes issued intra-group to Barclays PLC and the Barclays Bank PLC externally issued subordinated liabilities. The external dated subordinated liabilities issued by subsidiaries are similarly subordinated as the external subordinated liabilities issued by Barclays Bank PLC.

Interest

Interest on floating rate notes and loans is set by reference to market rates at the time of issuance and fixed periodically in advance, based on the related market rates.

Interest on fixed rate notes and loans is set by reference to market rates at the time of issuance and fixed until maturity.

Interest on fixed rate callable notes and loans is set by reference to market rates at the time of issuance and fixed until the call date or maturity as applicable. After the call date (where relevant), in the event that the notes or loans are not redeemed, the interest rate will be reset to either a fixed or floating rate until maturity based on market rates.

No interest is paid on zero coupon loans.

Repayment

Those subordinated liabilities with a call date are repayable at the option of Barclays Bank PLC on such call date in accordance with the conditions governing the respective debt obligations, some in whole or in part, and some only in whole, or otherwise on maturity. The remaining dated subordinated liabilities outstanding at 31 December 2025 are redeemable only on maturity, subject, in particular cases, to provisions allowing an early redemption in the event of certain changes in tax law or to certain changes in legislation or regulations.

Any repayments prior to maturity may require, in the case of Barclays Bank PLC, the prior consent of the PRA or BoE or, in the case of the overseas issues, the consent of the local regulator for that jurisdiction and of the PRA in certain circumstances.

There are no committed facilities in existence at the balance sheet date which permit the refinancing of debt beyond the date of maturity.

Notes to the financial statements

Capital instruments, equity and reserves

26 Ordinary shares, preference shares and other equity

Called up share capital, allotted and fully paid and other equity instruments					
	Barclays Bank Group and Barclays Bank PLC			Barclays Bank Group	Barclays Bank PLC
	Ordinary share capital	Preference share capital	Total share capital	Other equity instruments	Other equity instruments
	£m	£m	£m	£m	£m
As at 1 January 2025	2,342	6	2,348	9,604	14,311
AT1 securities issuance	—	—	—	2,770	2,770
AT1 securities redemption	—	—	—	(1,928)	(1,928)
Repurchase of shares	—	(2)	(2)	—	—
As at 31 December 2025	2,342	4	2,346	10,446	15,153
As at 1 January 2024	2,342	6	2,348	10,765	15,472
AT1 securities issuance	—	—	—	970	970
AT1 securities redemption	—	—	—	(2,131)	(2,131)
As at 31 December 2024	2,342	6	2,348	9,604	14,311

Ordinary shares

The issued ordinary share capital of Barclays Bank PLC, as at 31 December 2025, comprised 2,342m (2024: 2,342m) ordinary shares of £1 each.

Preference shares

The issued preference share capital of Barclays Bank PLC, as at 31 December 2025, comprised 58,133 US Dollar Preference Shares of \$100 each (2024: 58,133).

Ordinary share capital and preference share capital constitutes 100% (2024: 100%) of total share capital issued.

Euro Preference Shares

140,000 Euro non-cumulative callable preference shares of €100 each (the Euro Preference Shares) were issued on 15 March 2005 for a consideration of €1,383.3m (£966.7m), of which the nominal value was €14m and the balance was share premium. The Euro Preference Shares entitled the holders thereof to receive Euro non-cumulative cash dividends out of distributable profits of Barclays Bank PLC, annually at a fixed rate of 4.75% per annum on the amount of €10,000 per preference share until 15 March 2020, and since 15 March 2020 quarterly at a rate reset quarterly equal to 0.71% per annum above the Euro interbank offered rate for three-month Euro deposits. The board of directors of Barclays Bank PLC were able to resolve, in its absolute discretion, not to pay in full, or at all, the dividend on the Euro Preference Shares in respect of a particular dividend period.

The Euro Preference Shares were redeemable at the option of Barclays Bank PLC, in whole but not in part only, on each dividend payment date at €10,000 per share plus any dividends accrued for the then current dividend period to the date fixed for redemption.

On 16 of June 2025, Barclays Bank PLC redeemed and cancelled the outstanding 4.75% Euro non-cumulative callable preference shares, the principal outstanding was EUR 319m.

US Dollar Preference Shares

100,000 US Dollar non-cumulative callable preference shares of \$100 each (the US Dollar Preference Shares), represented by 100,000 American Depositary Shares, Series 1, were issued on 8 June 2005 for a consideration of \$995.4m (£548.1m), of which the nominal value was \$10m and the balance was share premium. The US Dollar Preference Shares entitle the holders thereof to receive US Dollar non-cumulative cash dividends out of distributable profits of Barclays Bank PLC, semi-annually at a fixed rate of 6.278% per annum on the amount of \$10,000 per preference share until 15 December 2034, and thereafter quarterly at a rate reset quarterly equal to 1.55% per annum above the London interbank offered rate for three-month US Dollar deposits. The board of directors of Barclays Bank PLC may resolve, for any reason and in its absolute discretion, not to declare or pay in full or in part any dividends on the US Dollar Preference Shares in respect of a particular dividend period.

The US Dollar Preference Shares are redeemable at the option of Barclays Bank PLC, in whole but not in part only, on 15 December 2034, and on each dividend payment date thereafter at \$10,000 per share plus any dividends accrued for the then current dividend period to the date fixed for redemption.

No redemption or purchase of any US Dollar Preference Shares may be made by Barclays Bank PLC without the prior consent of the PRA and any such redemption will be subject to the Companies Act 2006 and the Articles of Barclays Bank PLC.

Notes to the financial statements

Capital instruments, equity and reserves

On a winding-up of Barclays Bank PLC or other return of capital (other than a redemption or purchase of shares of Barclays Bank PLC, or a reduction of share capital), a holder of US Dollar Preference Shares will rank in the application of assets of Barclays Bank PLC available to shareholders: (1) junior to the holder of any shares of Barclays Bank PLC in issue ranking in priority to the US Dollar Preference Shares; (2) equally in all respects with holders of other preference shares and any other shares of Barclays Bank PLC in issue ranking *pari passu* with the US Dollar Preference Shares; and (3) in priority to the holders of ordinary shares and any other shares of Barclays Bank PLC in issue ranking junior to the US Dollar Preference Shares.

Subject to such ranking, in such event, holders of the US Dollar Preference Shares will be entitled to receive out of assets of Barclays Bank PLC available for distributions to shareholders, liquidating distributions in the amount of \$10,000 per US Dollar Preference Share, plus, in each case, an amount equal to the accrued dividend for the then current dividend period to the date of the commencement of the winding-up or other such return of capital.

If a dividend is not paid in full on any preference shares on any dividend payment date, then a dividend restriction shall apply. This dividend restriction will mean that neither Barclays Bank PLC nor Barclays PLC may (a) declare or pay a dividend (other than payment by Barclays PLC of a final dividend declared by its shareholders prior to the relevant dividend payment date, or a dividend paid by Barclays Bank PLC to Barclays PLC) on any of their respective ordinary shares, other preference shares or other share capital or (b) redeem, purchase, reduce or otherwise acquire any of their respective share capital, other than shares of Barclays Bank PLC held by Barclays PLC or a wholly owned subsidiary, until the earlier of: (1) the date on which Barclays Bank PLC next declares and pays in full a preference share dividend; and (2) the date on or by which all the preference shares are redeemed in full or purchased by Barclays Bank PLC.

Holders of the US Dollar Preference Shares are not entitled to receive notice of, or to attend, or vote at, any general meeting of Barclays Bank PLC. Barclays Bank PLC is not permitted to create a class of shares ranking as regards participation in the profits or assets of Barclays Bank PLC in priority to the preference shares, save with the sanction of a special resolution of a separate general meeting of the holders of the US Dollar Preference Shares (requiring a majority of not less than three-fourths of the holders of the US Dollar Preference Shares voting at the separate general meeting) or with the consent in writing of the holders of three-fourths of the US Dollar Preference Shares.

Except as described above, the holders of the US Dollar Preference Shares have no right to participate in the surplus assets of Barclays Bank PLC.

Other equity instruments

Other equity instruments issued by Barclays Bank PLC of £15,153m (2024: £14,311m) include AT1 securities issued to Barclays PLC and borrowings of \$6bn from a wholly-owned, indirect subsidiary of Barclays Bank PLC. As a result, the other equity instruments balance recorded by Barclays Bank Group is £10,446m (2024: £9,604m).

The borrowings of \$6bn from a wholly-owned, indirect subsidiary of Barclays Bank PLC have been recorded as equity since, under their terms, interest payments are non cumulative and discretionary whilst repayment of principal is perpetually deferrable by Barclays Bank PLC. Should Barclays Bank PLC make a discretionary dividend payment on its ordinary shares in the six months preceding the date of an interest payment, it will be obliged to make that interest payment. In 2025, interest paid on these borrowings was £386m (2024: £433m).

Barclays PLC uses funds from its own market issuance of AT1 securities to purchase AT1 securities from the Barclays Bank Group. The AT1 securities are perpetual securities with no fixed maturity and are structured to qualify as AT1 instruments under prevailing capital rules applicable as at the relevant issue date.

In 2025, there were three issuances of AT1 instruments, in the form of Fixed Rate Resetting Perpetual Subordinated Contingent Convertible Securities, for £2,770m (2024: two issuances for £970m) which includes issuance costs of £28m (2024: £10m). There were three redemptions in 2025 totalling £1,928m (2024: two redemptions totalling £2,131m).

Notes to the financial statements

Capital instruments, equity and reserves

AT1 equity instruments

	Initial call date	2025 £m	2024 £m
AT1 equity instruments - Barclays Bank Group			
7.125% Perpetual Subordinated Contingent Convertible Securities	2025	—	299
6.375% Perpetual Subordinated Contingent Convertible Securities	2025	—	495
6.125% Perpetual Subordinated Contingent Convertible Securities (USD1,500m)	2025	—	1,134
8.875% Perpetual Subordinated Contingent Convertible Securities	2027	1,237	1,237
8.300% Perpetual Subordinated Contingent Convertible Securities (SGD450m)	2027	263	263
4.375% Perpetual Subordinated Contingent Convertible Securities (USD1,500m)	2028	1,072	1,072
7.300% Perpetual Subordinated Contingent Convertible Securities (SGD400m)	2028	247	247
9.250% Perpetual Subordinated Contingent Convertible Securities	2028	866	866
8.000% Perpetual Subordinated Contingent Convertible Securities (USD2,000m)	2029	1,634	1,634
9.625% Perpetual Subordinated Contingent Convertible Securities (USD1,750m)	2029	1,386	1,386
5.400% Perpetual Subordinated Contingent Convertible Securities (SGD600m)	2030	352	352
8.500% Perpetual Subordinated Contingent Convertible Securities	2030	619	619
4.650% Perpetual Subordinated Contingent Convertible Securities (SGD500m)	2031	288	—
7.625% Perpetual Subordinated Contingent Convertible Securities (USD1,500m)	2035	1,174	—
6.125% Perpetual Subordinated Contingent Convertible Securities (EUR1,500m)	2035	1,308	—
		10,446	9,604

The principal terms of the AT1 securities are described below:

- AT1 securities rank behind the claims against Barclays Bank PLC i) of all creditors of Barclays Bank PLC; ii) such claims of holders of any preference shares issued by Barclays Bank PLC; in the case of each of i) and ii) above, other than claims which rank, or are expressed to rank, pari passu with, or junior to, the claims of holders of the AT1 securities of Barclays Bank PLC; and iii) of holders of instruments which count towards Tier 2 capital of Barclays Bank PLC.
- AT1 securities are undated and are redeemable, at the option of Barclays Bank PLC, in whole on either (i) the initial reset date, or on any fifth anniversary after the initial reset date or (ii) any day falling in a named period ending on the initial reset date, or on any fifth anniversary after the initial reset date. In addition, the AT1 securities are redeemable, at the option of Barclays Bank PLC, in whole in the event of certain changes in the tax or regulatory treatment of the securities and, in certain cases, on a clean-up call. Any redemptions require the prior permission of the PRA.
- Interest on the AT1 securities is due and payable only at the sole discretion of Barclays Bank PLC, and Barclays Bank PLC has sole and absolute discretion at all times and for any reason to cancel (in whole or in part) any interest payment that would otherwise be payable on any interest payment date.
- The Additional Tier 1 securities shall convert into ordinary shares of Barclays Bank PLC, at a predetermined price, should the fully loaded CET1 Ratio of Barclays Bank PLC at the solo-consolidated level or the sub-consolidated level fall below 7%.

Notes to the financial statements

Capital instruments, equity and reserves

27 Reserves

Currency translation reserve

The currency translation reserve represents the cumulative gains and losses on the retranslation of net investments in foreign operations, net of the effects of hedging.

Fair value through other comprehensive income reserve

The fair value through other comprehensive income reserve represents the changes in the fair value of financial instruments accounted for at fair value through other comprehensive income investments since initial recognition.

Cash flow hedging reserve

The cash flow hedging reserve represents the cumulative gains and losses on effective cash flow hedging instruments that will be recycled to the income statement when the hedged transactions affect profit or loss.

Own credit reserve

The own credit reserve reflects the cumulative own credit gains and losses on financial liabilities at fair value. Amounts in the own credit reserve are not recycled to profit or loss in future periods.

Other reserves

Other reserves includes a merger reserve relating to inter-Barclays Group entity transfers, and redeemed ordinary and preference shares issued by the Barclays Bank Group.

	Barclays Bank Group	
	2025	2024
	£m	£m
Currency translation reserve	2,534	3,690
Fair value through other comprehensive income reserve	(1,014)	(1,681)
Cash flow hedging reserve	(907)	(2,448)
Own credit reserve	(990)	(1,059)
Other reserves	198	196
Total	(179)	(1,302)

	Barclays Bank PLC	
	2025	2024
	£m	£m
Currency translation reserve	199	993
Fair value through other comprehensive income reserve	(1,021)	(1,678)
Cash flow hedging reserve	(812)	(2,321)
Own credit reserve	(919)	(994)
Other reserves	74	72
Total	(2,479)	(3,928)

Notes to the financial statements

Employee benefits

The notes included in this section focus on the costs and commitments associated with employing our staff.

28 Staff costs

Accounting for staff costs

Deferred cash and share awards are made to employees to incentivise performance over the period employees provide services. To receive an award, an individual must have provided service over the vesting period and been employed on the scheduled vesting date or be considered an eligible leaver. The expense for deferred cash and share awards is recognised over the period employees' services contribute to the awards. The Barclays Bank Group considers it appropriate to recognise the expense over the vesting period including the financial year prior to the grant date.

The accounting policies for share-based payments and retirement benefits are included in Note 29 and Note 30 respectively.

	2025	2024	2023
	£m	£m	£m
Performance costs	1,555	1,436	1,308
Salaries	2,667	2,766	2,921
Social security costs	414	381	374
Retirement benefits ¹	348	329	298
Other compensation costs	228	237	221
Total compensation costs²	5,212	5,149	5,122
Other resourcing costs			
Outsourcing	203	198	206
Redundancy and restructuring	90	137	176
Temporary staff costs	17	16	22
Other	63	56	65
Total other resourcing costs	373	407	469
Total staff costs	5,585	5,556	5,591

Notes

- 1 Retirement benefits charge includes £172m (2024: £178m; 2023: £180m) with respect to defined contribution schemes and £176m (2024: £151m; 2023: £118m) with respect to defined benefit schemes.
- 2 £328m (2024: £324m; 2023: £259m) of compensation cost was capitalised as internally generated software.

29 Share-based payments

Accounting for share-based payments

Employee incentives include awards in the form of shares and share options, as well as offering employees the opportunity to purchase shares on favourable terms. The cost of the employee services received in respect of the shares or share options granted is recognised in the income statement over the period that employees provide services. The overall cost of the award is calculated using the number of shares and options expected to vest and the fair value of the shares or options at the date of grant.

The number of shares and options expected to vest takes into account the likelihood that applicable performance and service conditions included in the terms of the awards will be met. For other share-based payment schemes such as Sharesave and Sharepurchase, there are non-vesting conditions which must be met. Failure to meet the non-vesting condition is treated as a cancellation, resulting in an acceleration of recognition of the cost of the employee services.

The fair value of shares is the market price ruling on the grant date, in some cases adjusted to reflect restrictions on transferability. The fair value of options granted is determined using the Black-Scholes model to estimate the numbers of shares likely to vest. The model takes into account the exercise price of the option, the current share price, the risk-free interest rate, the expected volatility of the share price over the life of the option and other relevant factors. Market conditions that must be met in order for the award to vest are also reflected in the fair value of the award, as are any other non-vesting conditions – such as continuing to make payments into a share-based savings scheme.

Notes to the financial statements

Employee benefits

The charge for the year arising from share-based payment schemes was as follows:

	Charge for the year		
	2025	2024	2023
	£m	£m	£m
Share Value Plan and Deferred Share Value Plan	315	287	254
Others	177	133	144
Total equity settled	492	420	398
Cash settled	13	9	3
Total Share-based payments	505	429	401

The terms of the main current plans are as follows:

Share Value Plan (SVP)

SVP awards have been granted to participants in the form of a conditional right to receive Barclays PLC shares or provisional allocations of Barclays PLC shares which vest or are considered for release over a period of three, four, five or seven years. Participants do not pay to receive an award or to receive a release of shares. SVP awards are also made to eligible employees for recruitment purposes. All awards are subject to potential forfeiture in certain leaver scenarios.

Deferred Share Value Plan (DSVP)

The terms of the DSVP are materially the same as the terms of the SVP as described above, save that Executive Directors are not eligible to participate in the DSVP and the DSVP operates over market purchase shares only.

Other schemes

In addition to the SVP and DSVP, the Barclays PLC Group operates a number of other schemes settled in Barclays PLC Shares including Sharesave (both UK and Ireland), Sharepurchase (both UK and Overseas), and Barclays PLC Group Long Term Incentive Plan. A delivery of upfront shares to 'Material Risk Takers' can be made as a Share Incentive Award (Holding Period) under the SVP. A free share award was delivered under the SVP to all eligible employees in 2025, with this award being subject to a two-year holding period.

Share option and award plans

The weighted average fair value per award granted, weighted average share price at the date of exercise/release of shares during the year, weighted average contractual remaining life, and number of options and awards outstanding (including those exercisable) at the balance sheet date were as follows:

	2025				2024			
	Weighted average fair value per award granted in year	Weighted average share price at exercise/release during year	Weighted average remaining contractual life	Number of options/awards outstanding	Weighted average fair value per award granted in year	Weighted average share price at exercise/release during year	Weighted average remaining contractual life	Number of options/awards outstanding
	£	£	in years	(000s)	£	£	in years	(000s)
SVP and DSVP ^{1,2}	2.87	3.09	1	381,279	1.52	1.74	1	441,713
Others ^{1,3}	1.49-3.57	3.03-4.01	0-2	35,395	0.81-2.1	1.72-2.13	0-2	43,901

SVP and DSVP are nil cost awards on which the performance conditions are substantially completed at the date of grant. Consequently, the fair value of these awards is based on the market value at that date.

Sharesave has a contractual life of 3 years and 5 years, the expected volatility is 29.04% for 3 years and 26.48% for 5 years. The risk free interest rates used for valuations are 3.47% and 3.56% for 3 years and 5 years respectively. The pure dividend yield rates used for valuations are 1.99% and 2.14% for 3 years and 5 years respectively. The repo rates used for valuations are (0.60)% and (0.69)% for 3 years and 5 years respectively. The inputs into the model such as risk free interest rate, expected volatility, pure dividend yield rates and repo rates are derived from market data.

Notes to the financial statements

Employee benefits

Movements in options and awards

The movement in the number of options and awards for the major schemes and the weighted average exercise price of options was:

	SVP and DSVP ^{1,2}		Others ^{1,3}			
	Number (000s)		Number (000s)		Weighted average exercise price (£)	
	2025	2024	2025	2024	2025	2024
Outstanding at beginning of year/acquisition date	441,713	435,820	43,901	51,363	1.17	1.05
Transfers within the year ⁴	(1,095)	(2,528)	391	1,780		
Granted in the year	129,006	202,420	53,384	84,383	3.01	1.79
Exercised/released in the year	(169,166)	(171,810)	(60,633)	(90,721)	0.99	0.95
Less: forfeited in the year	(19,179)	(22,189)	(1,461)	(2,611)	1.36	1.20
Less: expired in the year	—	—	(187)	(293)	1.18	1.25
Outstanding at end of year	381,279	441,713	35,395	43,901	1.52	1.17
Of which exercisable:	—	—	8,013	4,956	0.94	1.23

Notes:

1 Options/award granted over Barclays PLC shares.

2 Weighted average exercise price is not applicable for SVP and DSVP awards as these are not share option schemes.

3 The number of awards within Others at the end of the year principally relates to Sharesave (number of awards exercisable at end of year was 4,323,541 (2024: 828,340)). The weighted average exercise price relates to Sharesave.

4 Awards of employees transferred between the Barclays Bank Group and the rest of the Barclays PLC Group.

Awards and options granted to employees and former employees of the Barclays Bank Group under the Barclays PLC Group share plans may be satisfied using new issue shares, treasury shares and market purchase shares of Barclays PLC. Awards granted to employees and former employees of the Barclays Bank Group under DSVP may only be satisfied using market purchase shares of Barclays PLC.

There were no significant modifications to the share-based payments arrangements in 2025 and 2024.

As at 31 December 2025, the total liability arising from cash-settled employee share-based payments transactions was £15m (2024: £10m).

30 Retirement benefits

Accounting for retirement benefits

The Barclays Bank Group operates a number of pension schemes and post-employment benefit schemes.

Defined contribution – the Barclays Bank Group recognises contributions due in respect of the accounting period in the income statement. Any contributions unpaid at the balance sheet date are included as a liability.

Defined benefit – the Barclays Bank Group recognises its obligations to members of each scheme at the period end, less the fair value of the scheme assets after applying the asset ceiling test.

Each scheme's obligations are calculated using the projected unit credit method. Scheme assets are stated at fair value as at the period end.

Changes in pension scheme liabilities or assets (remeasurements) that do not arise from regular pension cost, net interest on net defined benefit liabilities or assets, past service costs, settlements or contributions to the scheme are recognised in other comprehensive income. Remeasurements comprise experience adjustments (differences between previous actuarial assumptions and what has actually occurred), the effects of changes in actuarial assumptions, return on scheme assets (excluding amounts included in the interest on the assets) and any changes in the effect of the asset ceiling restriction (excluding amounts included in the interest on the restriction).

The cost of providing healthcare benefits to retired employees is accrued as a liability in the financial statements over the period that the employees provide services to the Barclays Bank Group, using a methodology similar to that for defined benefit pension schemes.

Pension schemes

UK Retirement Fund (UKRF)

The UKRF is the Barclays Bank Group's main scheme, representing 96% (2024: 96%) of the Barclays Bank Group's total retirement benefit obligations.

Between 1 January 2025 and 30 June 2025, Barclays Bank PLC was the principal employer of the UKRF, with Barclays Bank UK PLC and Barclays Execution Services Limited as the participating employers.

Notes to the financial statements

Employee benefits

From 1 July 2025 the UKRF was amended to become a sectionalised scheme to meet the requirements of the Financial Services and Markets Act 2000 (Banking Reform) (Pensions) Regulations 2015, creating two separate sections - the Barclays Bank Section and the Barclays UK Section. From 1 July 2025, Barclays Bank PLC participates in the Barclays Bank Section only (as principal employer). As a result of sectionalisation, £750m of UKRF assets were allocated to the Barclays UK Section, along with £697m of benefit obligation relating to Barclays Bank UK PLC active employees. This resulted in a settlement loss of £53m impacting profit before tax for the Barclays Bank Group. The sectionalisation means that Barclays Bank PLC is separated from any exposure to the Barclays UK Section of the UKRF.

The UKRF was closed to new entrants on 1 October 2012, and comprises a number of different benefit categories, the two most significant of which are:

- Afterwork, which comprises a contributory cash balance defined benefit element, and a voluntary defined contribution element. The cash balance element is accrued each year and revalued until Normal Retirement Age in line with the increase in Retail Price Index (RPI) (up to a maximum of 5% p.a.). The risks that the Barclays Bank Group is exposed to in relation to Afterwork are limited although additional contributions are required if pre-retirement investment returns are not sufficient to provide for the benefits.
- The 1964 Pension Scheme. Most UK employees recruited before July 1997 built up benefits in this non-contributory defined benefit scheme in respect of service up to 31 March 2010. Pensions were calculated by reference to service and pensionable salary. From 1 April 2010, members became eligible to accrue future service benefits in either Afterwork or the Pension Investment Plan, a historic defined contribution section which is now closed to future contributions. The risks that the Barclays Bank Group is exposed to in relation to the 1964 Pension Scheme are typical of final salary pension schemes, principally that investment returns fall short of expectations, that inflation exceeds expectations, and that retirees live longer than expected.

Barclays Pension Savings Plan (BPSP)

The BPSP is a defined contribution scheme providing benefits for all new UK hires from 1 October 2012. BPSP is not subject to the same investment return, inflation or life expectancy risks for the Barclays Bank Group that defined benefit schemes are. Members' benefits reflect contributions paid and the level of investment returns achieved.

Other

Apart from the UKRF and the BPSP, the Barclays Bank Group operates a number of smaller pension and long-term employee benefits and post-retirement healthcare plans globally, the largest of which are the US defined benefit and defined contribution schemes. Many of the schemes are funded, with assets backing the obligations held in separate legal vehicles such as trusts. Others are operated on an unfunded basis. The benefits provided, the approach to funding, and the legal basis of the schemes, reflect local environments.

Governance

The UKRF operates under trust law and is managed and administered on behalf of the members in accordance with the terms of the Trust Deed and Rules and all relevant legislation. The Trustee is Barclays Pension Funds Trustees Limited, a private limited company and a wholly owned subsidiary of Barclays Bank PLC. The Trustee is the legal owner of the assets of the UKRF which are held separately from the assets of the Barclays Bank Group.

The Trustee of the UKRF comprises six Management Directors selected by Barclays Bank PLC, of whom three are independent Directors with no relationship with the Barclays Bank Group (and who are not members of the UKRF), plus three Member Nominated Directors selected from eligible active, deferred or pensioner members of the UKRF, who apply for the role.

The BPSP is a group personal pension arrangement which operates as a collection of personal pension plans. Each personal pension plan is a direct contract between the employee and the BPSP provider (Legal & General Assurance Society Limited), and is regulated by the FCA.

Similar principles of pension governance apply to the Barclays Bank Group's other pension schemes, depending on local legislation.

Amounts recognised

The following tables include amounts recognised in the income statement and an analysis of benefit obligations and scheme assets for all Barclays Bank Group defined benefit schemes. The net position is reconciled to the assets and liabilities recognised on the balance sheet. The tables include funded and unfunded post-retirement benefits. The income statement charge with respect to defined contribution schemes is disclosed as part of footnotes to Note 28 Staff costs.

Notes to the financial statements

Employee benefits

Income statement charge/(credit)

	2025	2024	2023
	£m	£m	£m
Current service cost	122	150	119
Net finance income	(163)	(157)	(222)
Curtailments or Settlements ¹	53	—	—
Other movements	1	1	(1)
Total	13	(6)	(104)

Note

1 Settlement loss arising from allocation of a portion of the UKRF assets and liabilities to the Barclays UK Section of the UKRF on account of sectionalisation effective from 1 July 2025, for which Barclays Bank UK PLC are now responsible for.

Barclays Bank PLC is the principal employer of the Barclays Bank Section of the UKRF (and the Whole of the UKRF until H1'2025) and hence Scheme Assets and Defined Benefit Obligations relating to the Barclays Bank Section of the UKRF are recognised within the Barclays Bank Group. Where Barclays Bank PLC is the principal employer, participating employers Barclays Bank UK PLC (until H1'2025) and Barclays Execution Services Limited bear their share of the service cost. Of the £135m current service cost in the table below, £9m relates to Barclays Bank UK PLC and £4m relates to Barclays Execution Services Limited. While the entire current service cost obligation is accounted for in the Barclays Bank Group, the income statement charge is accounted for across all the participating employers.

From 1 July 2025, current service cost and obligation attributable to Barclays Bank UK PLC are not included within the results of Barclays Bank Group.

Balance sheet reconciliation

	2025		2024	
	Barclays Bank Group Total	Of which relates to Barclays Bank Section of the UKRF	Barclays Bank Group Total	Of which relates to UKRF
	£m	£m	£m	£m
Benefit obligation at beginning of the year	(19,524)	(18,729)	(21,420)	(20,618)
Current service cost	(135)	(120)	(168)	(155)
Interest costs on scheme liabilities	(1,005)	(975)	(930)	(901)
Curtailments or settlements ¹	697	697	—	—
Remeasurement gain - financial	541	546	1,804	1,797
Remeasurement (loss)/gain - demographic	(59)	(47)	12	13
Remeasurement loss - experience	(197)	(203)	(55)	(54)
Employee contributions	(5)	—	(6)	—
Benefits paid	1,197	1,158	1,226	1,189
Exchange and other movements	15	(1)	13	—
Benefit obligation at end of the year	(18,475)	(17,674)	(19,524)	(18,729)
Fair value of scheme assets at beginning of the year	22,623	21,928	24,914	24,234
Interest income on scheme assets	1,168	1,143	1,087	1,062
Employer contribution	29	16	37	22
Settlements ¹	(750)	(750)	—	—
Remeasurement - return on scheme assets less than discount rate	(299)	(310)	(2,192)	(2,184)
Employee contributions	5	—	6	—
Benefits paid	(1,189)	(1,158)	(1,221)	(1,189)
Exchange and other movements	(29)	(14)	(8)	(17)
Fair value of scheme assets at end of the year	21,558	20,855	22,623	21,928
Net surplus	3,083	3,181	3,099	3,199
Retirement benefit assets	3,240	3,181	3,263	3,199
Retirement benefit liabilities	(157)	—	(164)	—
Net retirement benefit assets	3,083	3,181	3,099	3,199

Note

1 Settlement loss arising from allocation of a portion of the UKRF assets and liabilities to the Barclays UK Section of the UKRF on account of sectionalisation effective from 1 July 2025, for which Barclays Bank UK PLC are now responsible for.

Notes to the financial statements

Employee benefits

Included within the Barclays Bank Group's benefit obligation is £703m (2024: £695m) relating to overseas pensions and £98m (2024: £99m) relating to other post-employment benefits.

Balance sheet reconciliation				
	2025		2024	
	Barclays Bank PLC Total	Of which relates to Barclays Bank Section of the UKRF	Barclays Bank PLC Total	Of which relates to UKRF
	£m	£m	£m	£m
Benefit obligation at beginning of the year	(18,842)	(18,729)	(20,732)	(20,618)
Current service cost	(122)	(120)	(157)	(155)
Interest costs on scheme liabilities	(980)	(975)	(905)	(901)
Curtailments or settlements ¹	697	697	—	—
Remeasurement gain - financial	543	546	1,796	1,797
Remeasurement (loss)/gain - demographic	(47)	(47)	13	13
Remeasurement loss - experience	(193)	(203)	(51)	(54)
Employee contributions	—	—	(1)	—
Benefits paid	1,156	1,158	1,194	1,189
Exchange and other movements	—	(1)	1	—
Benefit obligation at end of the year	(17,788)	(17,674)	(18,842)	(18,729)
Fair value of scheme assets at beginning of the year	21,978	21,928	24,282	24,234
Interest income on scheme assets	1,144	1,143	1,063	1,062
Employer contribution	19	16	26	22
Settlements ¹	(750)	(750)	—	—
Remeasurement - return on scheme assets less than discount rate	(318)	(310)	(2,181)	(2,184)
Employee contributions	—	—	1	—
Benefits paid	(1,153)	(1,158)	(1,194)	(1,189)
Exchange and other movements	(13)	(14)	(19)	(17)
Fair value of scheme assets at end of the year	20,907	20,855	21,978	21,928
Net surplus	3,119	3,181	3,136	3,199
Retirement benefit assets	3,184	3,181	3,202	3,199
Retirement benefit liabilities	(65)	—	(66)	—
Net retirement benefit assets	3,119	3,181	3,136	3,199

Note

1 Settlement loss arising from allocation of a portion of the UKRF assets and liabilities to the Barclays UK Section of the UKRF on account of sectionalisation effective from 1 July 2025, for which Barclays Bank UK PLC are now responsible for.

Included within the Barclays Bank PLC's benefit obligation is £61m (2024: £59m) relating to overseas pensions and £53m (2024: £54m) relating to other post-employment benefits.

Barclays previously considered the potential implications for the UKRF of the ruling and appeal in Virgin Media v NTL Pension Trustees II Ltd. This activity did not identify any relevant amendments to the UKRF (of the nature of that found to have been void in the Virgin Media case) that were not subject to actuarial confirmation. Since this activity was completed the Pension Schemes Bill 2025 (the Bill) has been published, which once in force will enable trustees to obtain retrospective actuarial confirmation in certain circumstances. Progress of the Bill continues to be tracked by Barclays. The position remains that no material additional benefit obligation is expected.

Breakdown of the Barclays Bank Section of the UKRF benefit obligation		
	2025	2024
	Barclays Bank Section	UKRF Total
	£m	£m
Active members	981	1,699
Deferred members (Afterwork)	1,828	1,716
Deferred members (Non-Afterwork)	3,786	4,269
Pensioners and Dependents	11,079	11,045
Total Barclays Bank Section of the UKRF benefit obligation at end of the year	17,674	18,729

As at 31 December 2025, the Barclays Bank Section of the UKRF's scheme assets were in surplus versus IAS 19 obligations by £3,181m (2024 whole UKRF: £3,199m).

Notes to the financial statements

Employee benefits

The weighted average duration of the benefit payments reflected in the defined benefit obligation for the Barclays Bank Section of the UKRF is 11 years (2024: 11 years). The Barclays Bank Section's expected benefits promised to date are projected to be paid out for in excess of 50 years, although 35% of the benefits are expected to be paid in the next 10 years; 34% in years 11 to 20 and 20% in years 21 to 30. The remainder of the benefits are expected to be paid beyond 30 years.

Of the £1,158m (2024: £1,189m) benefits paid out, £145m (2024: £165m) related to transfers out.

Where a scheme's assets exceed its obligation, an asset is recognised to the extent that it does not exceed the present value of future contribution holidays or if the Group has an unconditional right to a refund of this asset at the end of the life of the plan (the asset ceiling). In the case of the Barclays Bank Section of the UKRF the asset ceiling is not applied as, in certain specified circumstances such as wind-up, the Barclays Bank Group expects to be able to recover any surplus or reduce contributions. Similarly, a liability in respect of future minimum funding requirements is not recognised. The Trustee does not have a substantive right to augment benefits, nor do they have the right to wind-up the plan except in the dissolution of Barclays Bank PLC or termination of contributions by Barclays Bank PLC. The application of the asset ceiling to other plans and recognition of additional liabilities in respect of future minimum funding requirements are considered on an individual plan basis.

Critical accounting estimates and judgements

Key areas involving a higher degree of judgement or estimation include:

Estimates

Valuation of defined benefit scheme obligations are dependent on a number of assumptions, the most critical being discount rates, price inflation, and life expectancy.

These estimates are considered to have a significant risk of resulting in a material adjustment to the carrying amount of defined benefit obligations within the next financial year.

Below is a summary of the main financial and demographic assumptions adopted for the Barclays Bank Section of the UKRF.

Key financial assumptions	2025	2024
	Barclays Bank Section % p.a.	Total UKRF % p.a.
Discount rate	5.46	5.44
Inflation rate (RPI)	2.92	3.32

The Barclays Bank Section of the UKRF discount rate assumption for 2025 was based on a standard WTW RATE Link model. The RPI inflation assumption for 2025 was set by reference to the Bank of England's implied inflation curve. The inflation assumption incorporates a deduction of 20 basis points as an allowance for an inflation risk premium. The methodology used to derive the discount rate and inflation assumptions is consistent with that used at the prior year end.

The Barclays Bank Section of the UKRF post-retirement mortality assumptions are based on best estimates derived from an analysis in 2022 of the UKRF's own post-retirement mortality experience and taking account of recent evidence from published mortality surveys. An allowance has been made for future mortality improvements based on the 2024 core projection model published by the Continuous Mortality Investigation Bureau subject to a long-term trend of 1.10% per annum in future improvements (2024: 1.25% per annum). The table below shows how the assumed life expectancy, for members of the Barclays Bank Section of the UKRF (2024: whole UKRF), has changed since last year:

Assumed life expectancy ¹	2025	2024
Life expectancy at 60 for current pensioners (years)		
– Males	26.6	26.5
– Females	29.3	29.4
Life expectancy at 60 for future pensioners currently aged 40 (years)		
– Males	28.0	28.0
– Females	30.6	30.8

Note:

- The life expectancies disclosed are in respect of a population of the membership that represents c60% of the Defined Benefit Obligation of the Barclays Bank Section of the UKRF (excluding the Afterwork section which has no post-retirement mortality risk) with the remaining members having life expectancy at age 60 of between 26.4 years and 29.3 years.

Approximately, 70% of the longevity risk for current pensioners has been reinsured and the transactions will provide income to the Barclays Bank Section of the UKRF if pensions are paid out for longer than expected. The contracts form part of the investment portfolio.

Notes to the financial statements

Employee benefits

Sensitivity analysis on actuarial assumptions

The sensitivity analysis has been calculated by valuing the Barclays Bank Section of the UKRF liabilities using the amended assumptions shown in the table below and keeping the remaining assumptions the same as disclosed in the table above, except in the case of the inflation sensitivity where other assumptions that depend on assumed inflation have also been amended correspondingly. The difference between the recalculated liability figure and that stated in the balance sheet reconciliation table above is the figure shown. The selection of these movements to illustrate the sensitivity of the defined benefit obligation to key assumptions should not be interpreted as the Barclays Bank Group expressing any specific view of the probability of such movements happening.

Change in key assumptions for the Barclays Bank Section of the UKRF (2024: whole UKRF)			
	2025	2024	
	(Decrease)/Increase in defined benefit obligation	(Decrease)/Increase in defined benefit obligation	
	£bn	£bn	
Discount rate			
0.5% p.a. increase	(0.9)		(1.0)
0.25% p.a. increase	(0.4)		(0.5)
0.25% p.a. decrease	0.5		0.5
0.5% p.a. decrease	1.0		1.1
Assumed RPI			
0.5% p.a. increase	0.7		0.7
0.25% p.a. increase	0.3		0.3
0.25% p.a. decrease	(0.3)		(0.4)
0.5% p.a. decrease	(0.6)		(0.7)
Life expectancy at 60			
One year increase	0.5		0.5
1 Year decrease	(0.5)		(0.5)

Assets

A long-term investment strategy has been set for both the Section of the UKRF, with its asset allocation comprising a mixture of gilts, bonds, property and other appropriate assets. This strategy recognises that different asset classes are likely to produce different long-term returns and some asset classes may be more volatile than others. The long-term investment strategy ensures, among other aims, that investments are adequately diversified.

The value of the assets of the schemes and their percentage in relation to total scheme assets were as follows:

Notes to the financial statements

Employee benefits

Analysis of scheme assets

	Barclays Bank Group Total				Of which relates to Barclays Bank Section of the UKRF			
	Quoted ¹	Unquoted ^{1,2}	Value	% of total fair value of scheme assets	Quoted ¹	Unquoted ^{1,2}	Value	% of total fair value of scheme assets
	£m	£m	£m	%	£m	£m	£m	%
As at 31 December 2025								
Bonds - fixed government	1,926	4	1,930	9.0	1,721	4	1,725	8.3
Bonds - index-linked government	7,765	—	7,765	36.0	7,751	—	7,751	37.2
Bonds - corporate and other ³	1,676	4,729	6,405	29.7	1,471	4,729	6,200	29.7
Equities	128	—	128	0.6	—	—	—	—
Private equities	—	1,859	1,859	8.6	—	1,859	1,859	8.9
Property	22	1,392	1,414	6.6	—	1,392	1,392	6.7
Infrastructure	—	414	414	1.9	—	413	413	2.0
Hedge funds	13	1,635	1,648	7.6	—	1,635	1,635	7.8
Derivatives	1	(1,478)	(1,477)	(6.9)	—	(1,478)	(1,478)	(7.1)
Longevity reinsurance contracts	—	(103)	(103)	(0.5)	—	(103)	(103)	(0.5)
Cash and liquid assets ⁴	2,292	(830)	1,462	6.8	2,288	(830)	1,458	7.0
Mixed investment funds	—	—	—	—	—	—	—	—
Other	15	98	113	0.6	—	3	3	—
Fair value of scheme assets⁵	13,838	7,720	21,558	100.0	13,231	7,624	20,855	100.0
As at 31 December 2024								
Bonds - fixed government	1,546	—	1,546	6.8	1,306	—	1,306	6.0
Bonds - index-linked government	8,234	—	8,234	36.4	8,214	—	8,214	37.5
Bonds - corporate and other	5,604	717	6,321	27.9	5,395	717	6,112	27.9
Equities	121	—	121	0.5	—	—	—	—
Private equities	—	2,134	2,134	9.4	—	2,134	2,134	9.7
Property	19	1,238	1,257	5.6	—	1,238	1,238	5.6
Infrastructure	—	1,388	1,388	6.1	—	1,388	1,388	6.3
Hedge funds	9	1,390	1,399	6.2	—	1,390	1,390	6.3
Derivatives	(7)	(1,799)	(1,806)	(8.0)	(7)	(1,799)	(1,806)	(8.2)
Longevity reinsurance contracts	—	(117)	(117)	(0.5)	—	(117)	(117)	(0.5)
Cash and liquid assets ⁴	(454)	2,529	2,075	9.2	(464)	2,529	2,065	9.4
Mixed Investment funds	8	—	8	—	—	—	—	—
Other	7	56	63	0.4	—	4	4	—
Fair value of scheme assets⁵	15,087	7,536	22,623	100.0	14,444	7,484	21,928	100.0

Notes:

- During the year ended 31 December 2025, there were c£3bn assets re-classified from unquoted to quoted under cash and liquid assets and c£4bn assets reclassified from quoted to unquoted for Bonds - corporate and other (year ended 31 December 2024: there were no material re-classifications). These re-classifications reflect enhancement to the Bank's levelling policy, including the use of additional data in the active market assessment of issued debt.
- Valuation of unquoted assets is provided by the underlying managers or qualified independent valuers. The valuation for some of the unquoted assets, in particular private equities, is based on valuations as at 30 September 2025 adjusted by cash flows, these being the latest available valuations as at the point of publication. All valuations are determined in accordance with relevant industry guidance. Barclays Bank Group does not believe these valuations will differ materially from the fair value, in the context of the overall Barclays Bank Section asset size.
- During the year ended 31 December 2025, there were c£740m of infrastructure loan assets reclassified to Bonds - corporate and other (2024 classification : Infrastructure).
- Cash and liquid assets for the Barclays Bank Section of the UKRF consist of £186m (2024: £484m) of cash including receivables/payables, £2,102m (2024: £2,529m) of pooled cash funds and £(830)m (2024: £(948)m) of repurchase agreements.
- Included within the fair value of the Barclays Bank Section of the UKRF scheme assets was nil (2024: nil) relating to shares in Barclays PLC and nil (2024: nil) relating to bonds issued by Barclays PLC or Barclays Bank PLC. The UKRF also invests in pooled investment vehicles which may hold shares or debt issued by Barclays PLC.

Notes to the financial statements

Employee benefits

Analysis of scheme assets

	Barclays Bank PLC Total				Of which relates to Barclays Bank Section of the UKRF			
	Quoted ¹	Unquoted ^{1,2}	Value	% of total fair value of scheme assets	Quoted ¹	Unquoted ^{1,2}	Value	% of total fair value of scheme assets
	£m	£m	£m	%	£m	£m	£m	%
As at 31 December 2025								
Bonds - fixed government	1,721	4	1,725	8.3	1,721	4	1,725	8.3
Bonds - index-linked government	7,751	—	7,751	37.1	7,751	—	7,751	37.2
Bonds - corporate and other ³	1,471	4,729	6,200	29.7	1,471	4,729	6,200	29.7
Equities	—	—	—	—	—	—	—	—
Private equities	—	1,859	1,859	8.9	—	1,859	1,859	8.9
Property	—	1,392	1,392	6.7	—	1,392	1,392	6.7
Infrastructure	—	414	414	2.0	—	413	413	2.0
Hedge funds	—	1,635	1,635	7.8	—	1,635	1,635	7.8
Derivatives	—	(1,478)	(1,478)	(7.1)	—	(1,478)	(1,478)	(7.1)
Longevity reinsurance contracts	—	(103)	(103)	(0.5)	—	(103)	(103)	(0.5)
Cash and liquid assets ⁴	2,288	(830)	1,458	7.0	2,288	(830)	1,458	7.0
Other	—	54	54	0.1	—	3	3	—
Fair value of scheme assets⁵	13,231	7,676	20,907	100.0	13,231	7,624	20,855	100.0
As at 31 December 2024								
Bonds - fixed government	1,316	—	1,316	6.0	1,306	—	1,306	6.0
Bonds - index-linked government	8,225	—	8,225	37.4	8,214	—	8,214	37.5
Bonds - corporate and other	5,406	717	6,123	27.9	5,395	717	6,112	27.9
Equities	6	—	6	—	—	—	—	—
Private equities	—	2,134	2,134	9.7	—	2,134	2,134	9.7
Property	—	1,238	1,238	5.6	—	1,238	1,238	5.6
Infrastructure	—	1,388	1,388	6.3	—	1,338	1,338	6.3
Hedge funds	—	1,390	1,390	6.3	—	1,390	1,390	6.3
Derivatives	(7)	(1,799)	(1,806)	(8.2)	(7)	(1,799)	(1,806)	(8.2)
Longevity reinsurance contracts	—	(117)	(117)	(0.5)	—	(117)	(117)	(0.5)
Cash and liquid assets ⁴	(464)	2,529	2,065	9.4	(464)	2,529	2,065	9.4
Other	—	16	16	0.1	—	4	4	—
Fair value of scheme assets⁵	14,482	7,496	21,978	100.0	14,444	7,434	21,878	100.0

Notes:

- During the year ended 31 December 2025, there were c£3bn assets re-classified from unquoted to quoted under cash and liquid assets and c£4bn assets reclassified from quoted to unquoted for Bonds - corporate and other (year ended 31 December 2024: there were no material re-classifications). These re-classifications reflect enhancement to the Bank's levelling policy, including the use of additional data in the active market assessment of issued debt.
- Valuation of unquoted assets is provided by the underlying managers or qualified independent valuers. The valuation for some of the unquoted assets, in particular private equities, is based on valuations as at 30 September 2025 adjusted by cash flows, these being the latest available valuations as at the point of publication. All valuations are determined in accordance with relevant industry guidance. Barclays Bank Group does not believe these valuations will differ materially from the fair value, in the context of the overall Barclays Bank Section asset size.
- During the year ended 31 December 2025, there were c£740m of infrastructure loan assets reclassified to Bonds - corporate and other (2024 classification : Infrastructure).
- Cash and liquid assets for the Barclays Bank Section of the UKRF consists of £186m (2024: £484m) of cash including receivables/payables, £2,102m (2024: £2,529m) of pooled cash funds and £(830)m (2024: £(948)m) of repurchase agreements.
- Included within the fair value of the Barclays Bank Section of the UKRF scheme assets was nil (2024: nil) relating to shares in Barclays PLC and nil (2024: nil) relating to bonds issued by Barclays PLC or Barclays Bank PLC. The UKRF also invests in pooled investment vehicles which may hold shares or debt issued by Barclays PLC.

At 31 December 2025, 39% of the Barclays Bank Section of the UKRF assets were invested in liability-driven investment strategies; primarily UK gilts as well as interest rate and inflation swaps. These swaps are used to better match the assets to its liabilities. The swaps are used to reduce the scheme's inflation and duration risks against its liabilities.

The Barclays Bank Section of the UKRF employs derivative instruments, where appropriate, to match assets more closely to liabilities, or to achieve a desired exposure or return. The value of assets shown reflects the assets held by the Barclays Bank

Notes to the financial statements

Employee benefits

Section, with any derivative holdings reflected on a fair value basis. The Trustee also uses repurchase agreements and reverse repurchase agreements to achieve the liability hedging objective.

The Barclays Bank Section of the UKRF has a comprehensive and robust liquidity framework in place. The aim of the liquidity framework is to ensure that benefit payments and other liquidity outflows are paid in due course, sufficient liquidity and collateral is maintained to achieve strategic allocation targets and that all liquidity outflows/collateral needs are covered without forced sale or strategic asset allocation changes.

The Barclays Bank Section of the UKRF holds two longevity reinsurance contracts covering 70% of the current pensioner liabilities. The contracts provide income to the Barclays Bank Section if pensions are paid out for longer than expected. At 31 December 2025, the combined value of the contracts was £(103)m (2024: £(117)m). The negative value reflects the estimated impact of changes in the reinsurance market, demographic assumptions and risk premia since the contracts were entered into.

For information on the UKRF Trustee's approach to Responsible Investment and Climate Risk, in the context of managing the UKRF, please refer to the UKRF Trustee website at <https://epa.towerswatson.com/accounts/barclays/public/barclays-bank-responsible-investment-policy/>.

Funding valuation

The UKRF annual funding update as at 30 September 2024 showed a funding surplus of £1.75bn. The 30 September 2025 funding update is not available at the date of this report, as the triennial funding valuation for the Barclays Bank Section of the UKRF is due to be completed in 2026 with an effective date of 30 September 2025.

The main differences between the funding and accounting assumptions are a different approach to setting the discount rate and a more conservative life expectancy assumption for funding.

As part of the 2022 triennial funding valuation, the Trustee and Barclays Bank PLC agreed an annual adequacy test on a basis more prudent than the IAS 19 or funding bases. Should the Barclays Bank Section of the UKRF be sufficiently funded on this basis, the regular employer contributions to the Barclays Bank Section to fund future Afterwork accrual will not be required in the following calendar year. The test will be reviewed at the 2025 triennial valuation. The test was passed in September, so no regular employer contributions are required for 2026.

Other support measure agreed

Collateral – Barclays Bank PLC has entered into an agreement with the Trustee of the UKRF to provide collateral to cover at least 100% of any funding deficit with an overall cap of £8.4bn. The collateral pool is currently zero reflecting the surplus funding position. The arrangement provides the Barclays Bank Section of the UKRF with dedicated access to the pool of assets in the event of Barclays Bank PLC not paying any required deficit reduction contribution or in the event of Barclays Bank PLC's insolvency.

Contributions

There were nil (2024: nil) Section 75 contributions included within the Barclays Bank Group's contributions paid.

The Barclays Bank Group's expected contribution to the Barclays Bank Section in respect of defined benefits in 2026 is £11m.

Notes to the financial statements

Scope of consolidation

The section presents information on the Barclays Bank Group's investments in subsidiaries, joint ventures and associates and its interests in structured entities. Detail is also given on securitisation transactions the Barclays Bank Group has entered into and arrangements that are held off-balance sheet.

31 Principal subsidiaries

The significant judgements used in applying this policy are set out below.

Accounting for investment in subsidiaries

In the individual financial statements of Barclays Bank PLC, investments in subsidiaries are stated at cost less impairment. Investments in subsidiaries, the majority of which are engaged in banking related activities, are recorded on the balance sheet at historical cost less any impairment. At 31 December 2025 the historical cost of investments in subsidiaries was £22,996m (2024: £23,009m), and impairment allowances recognised against these investments totalled £2,338m (2024: £2,262m). The decrease in the balance sheet value of £89m in the year was driven by an increase in impairment of £90m, principally due to a £65m impairment in Barclays Investment Solutions Ltd. The Cost of Investment in subsidiaries increased by £1m as a result of capital injections into subsidiaries being offset by the transfer of Barclays Capital Asia Limited to

Barclays International Holdings Limited. Further details can be found in Note 37.

At the end of each reporting period an impairment review is undertaken in respect of investments in the ordinary shares of subsidiaries. Impairment is indicated where the investment exceeds the recoverable amount. The recoverable amount is calculated as a value in use (VIU) which is derived from the present value of future cash flows expected to be received from the investment. The VIU calculations use forecast profits based on financial budgets approved by management, covering a five-year period as an approximation of future cash flows discounted using a discount rate appropriate to the subsidiary being tested. A terminal growth rate is then applied to the cash flows thereafter, which is based upon expectations of future inflation rates.

The 2025 review did not result in any impairment or reversal of impairment. The 2024 review resulted in the reversal of £1bn of impairment for Barclays Bank Ireland PLC due to an improved performance expectation, the impairment had originally been identified as part of the 2022 review.

Principal subsidiaries of the Barclays Bank Group are set out below. This includes those subsidiaries that are most significant in the context of the Barclays Bank Group's business, results or financial position. The principal subsidiaries are held directly or indirectly via intermediate holding companies within the Barclays Bank Group. There were no significant changes in ownership interests in these subsidiaries during the year, and the Barclays Bank Group did not lose control of any of these subsidiaries. There has been no material percentage change in the Barclays Bank Group's shareholding for its main subsidiaries since 2024.

Company Name	Principal place of business or incorporation	Nature of business	Percentage of voting rights held	Non-controlling interests - proportion of ownership interests	Non-controlling interests - proportion of voting interests
				%	%
Barclays Bank Delaware	United States	Credit card issuer	100	—	—
Barclays Bank Ireland PLC	Ireland	Banking	100	—	—
Barclays Capital Inc.	United States	Securities dealing	100	—	—
Barclays Capital Securities Limited	United Kingdom	Securities dealing	100	—	—
Barclays Securities Japan Limited	Japan	Securities dealing	100	—	—
Barclays US LLC	United States	Holding company	100	—	—

The country of registration or incorporation is also the principal area of operation of each of the above subsidiaries.

Ownership interests are in some cases different to voting interests due to the existence of non-voting equity interests, such as preference shares.

Significant judgements and assumptions used to determine the scope of the consolidation

Determining whether the Barclays Bank Group has control of an entity is generally straightforward based on ownership of the majority of the voting capital. However, in certain instances, this determination will involve significant judgement, particularly in the case of structured entities where voting rights are often not the determining factor in decisions over the relevant activities. This judgement will involve assessing the purpose and design of the entity. It will also often be necessary to consider whether the Barclays Bank Group, or another involved party with power over the relevant activities, is acting as a principal in its own right or as an agent on behalf of others.

There is also often considerable judgement involved in the ongoing assessment of control over structured entities. In this regard, where market conditions have deteriorated such that the other investors' exposures to the structure's variable

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returns have been substantively eliminated, the Barclays Bank Group may conclude that the managers of the structured entity are acting as its agent and therefore will consolidate the structured entity.

An interest in equity voting rights exceeding 50% would typically indicate that the Barclays Bank Group has control of an entity. Until 25th October 2024 Palomino Limited was excluded from consolidation despite the Group holding 100% of the voting rights as it was managed by an external counter-party and the Group was not exposed to its variable returns. Following the termination of the management agreement, as from 26th October 2024 the entity is now fully consolidated.

Significant restrictions

As is typical for a group of its size and international scope, there are restrictions on the ability of the Barclays Bank Group to obtain distributions of capital, access the assets or repay the liabilities of certain members of the Barclays Bank Group due to the statutory, regulatory and contractual requirements of its subsidiaries and due to the protective rights of non-controlling interests. These are considered below.

Regulatory requirements

The Barclays Bank Group's principal subsidiary companies have assets and liabilities before intercompany eliminations of £582bn (2024: £515bn) and £559bn (2024: £490bn) respectively. Certain classes of these assets and liabilities are subject to prudential regulation and regulatory capital requirements in the countries in which the subsidiaries are regulated. These prudential and regulatory capital requirements require entities to maintain minimum capital levels which cannot be returned to the parent company, Barclays Bank PLC, on a going concern basis.

In order to meet capital requirements, subsidiaries may issue certain equity accounted and debt accounted financial instruments such as Tier 1 and Tier 2 capital instruments and other forms of subordinated liabilities. Refer to Note 25 and Note 26 for particulars of these instruments. These instruments may be subject to cancellation clauses or preference share restrictions that would limit the ability of the entity to repatriate the capital on a timely basis.

Liquidity requirements

Regulated subsidiaries of the Barclays Bank Group are required to meet PRA or local regulatory requirements pertaining to liquidity. These regulated subsidiaries include Barclays Capital Securities Limited (which is regulated for liquidity matters on a combined basis with Barclays Bank PLC under a Domestic Liquidity Sub-Group (DoLSub) arrangement), Barclays Bank Ireland PLC, Barclays Capital Inc. and Barclays Bank Delaware Inc. See page 221 for further details of liquidity requirements.

Statutory requirements

The Barclays Bank Group's subsidiaries are subject to statutory requirements not to make distributions of capital and unrealised profits and generally to maintain solvency. These requirements restrict the ability of subsidiaries to make remittances of dividends to Barclays Bank PLC, the parent, except in the event of a legal capital reduction or liquidation. In most cases the regulatory restrictions referred to above exceed the statutory restrictions.

Asset encumbrance

The Barclays Bank Group uses its financial assets to raise finance in the form of securitisations and through the liquidity schemes of central banks, as well as to provide security to the UK Retirement Fund. Once encumbered, the assets are not available for transfer around the Barclays Bank Group. The assets typically affected are disclosed in Note 35.

Other restrictions

The Barclays Bank Group is required to maintain cash balances with central banks and other regulatory authorities and these amounted to £2,775m (2024: £2,317m).

32 Structured entities

A structured entity is an entity in which voting or similar rights are not the dominant factor in deciding who controls the entity. An example is when voting rights may relate to administrative tasks only, with the relevant activities of the entity being directed by means of contractual arrangements. Structured entities are generally created to achieve a narrow and well-defined objective with restrictions around their ongoing activities.

Depending on the Barclays Bank Group's power over the activities of the entity and its exposure to and ability to influence its own returns, it may consolidate the entity. In other cases, it may sponsor or have exposure to such an entity but not consolidate it.

Consolidated structured entities

The Barclays Bank Group has contractual arrangements which may require it to provide financial support to the following types of consolidated structured entities:

- **Securitisation vehicles:** The Barclays Bank Group uses securitisation as a source of financing and a means of risk transfer. Where entities are controlled by the Barclays Bank Group, they are consolidated. Refer to Note 34 for further detail.

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- Commercial paper (CP) conduits: These entities issue CP and use the proceeds to lend to clients as part of the Barclays Bank Group's multi-seller conduit programme. The Barclays Bank Group has provided £21.0bn (2024: £23.9bn) in contractual liquidity facilities to the CP conduits that the Barclays Bank Group consolidates. These amounts represent the maximum the conduits can lend externally. The amounts of CP conduit lending (drawn and undrawn) to unconsolidated structured entities can be seen in 'Other interests in unconsolidated structured entities' under multi-seller conduit programme in the 'Nature of interest' table.
- Tender Option Bond (TOB) trusts: During 2025, the Barclays Bank Group provided undrawn liquidity facilities of £4.0bn (2024: £4.0bn) to consolidated TOB trusts. These trusts invest in fixed income instruments issued by state, local or other municipalities in the United States, funded by long-term senior floating-rate notes and junior residual securities.

Unconsolidated structured entities

The term 'unconsolidated structured entities' refers to structured entities not controlled by the Barclays Bank Group, and are established either by Barclays Bank Group or a third party. An interest in a structured entity is any form of contractual or non-contractual involvement which creates variability in returns arising from the performance of the entity for the Barclays Bank Group. Such interests include holdings of debt or equity securities, derivatives that transfer financial risks from the entity to the Barclays Bank Group, lending, loan commitments, financial guarantees and investment management agreements.

The Barclays Bank Group enters into transactions with unconsolidated structured entities in the normal course of business to facilitate customer transactions, to provide risk management services and for specific investment opportunities. This is predominantly within the Barclays Investment Bank business. Structured entities may take the form of funds, trusts, securitisation vehicles, and private investment companies. The largest transactions for Barclays Bank Group include loans and derivatives with hedge fund structures and special purpose entities, multi-seller conduit lending, holding notes issued by securitisation vehicles and facilitating customer requirements through funds.

The nature and extent of the Barclays Bank Group's interests in structured entities is summarised below:

Summary of interests in unconsolidated structured entities

	Secured financing £m	Short-term traded interests £m	Traded derivatives £m	Other interests £m	Total £m
As at 31 December 2025					
Assets					
Trading portfolio assets	—	31,386	—	—	31,386
Financial assets at fair value through the income statement	79,052	—	—	629	79,681
Derivative financial instruments	—	—	6,257	—	6,257
Financial assets at fair value through other comprehensive income	—	—	—	3,655	3,655
Loans and advances at amortised cost	—	—	—	46,705	46,705
Debt securities at amortised cost	—	—	—	14,069	14,069
Reverse repurchase agreements and other similar secured lending	7,049	—	—	—	7,049
Other assets	—	—	—	—	—
Total assets	86,101	31,386	6,257	65,058	188,802
Liabilities					
Derivative financial instruments	—	—	6,451	—	6,451
As at 31 December 2024					
Assets					
Trading portfolio assets	—	23,941	—	—	23,941
Financial assets at fair value through the income statement	87,546	—	—	1,268	88,814
Derivative financial instruments	—	—	6,540	—	6,540
Financial assets at fair value through other comprehensive income	—	—	—	4,852	4,852
Loans and advances at amortised cost	—	—	—	46,554	46,554
Debt securities at amortised cost	—	—	—	15,438	15,438
Reverse repurchase agreements and other similar secured lending	3,145	—	—	—	3,145
Other assets	—	—	—	—	—
Total assets	90,691	23,941	6,540	68,112	189,284
Liabilities					
Derivative financial instruments	—	—	6,978	—	6,978

Secured financing arrangements, short-term traded interests and traded derivatives are typically managed under Market risk management policies described in the Market risk management section which includes an indication of the change of risk

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measures compared to last year. For this reason, the total assets of these entities are not considered meaningful for the purposes of understanding the related risks and so have not been presented. Other interests include conduits and lending where the interest is driven by normal customer demand. As at 31 December 2025, the Barclays Bank Group entered into transactions with approximately 8,000 (2024: 5,000) structured entities.

Secured financing

The Barclays Bank Group routinely enters into reverse repurchase contracts, margin lending, stock borrowing and similar arrangements on normal commercial terms where the counterparty to the arrangement is a structured entity. Due to the nature of these arrangements, especially the transfer of collateral and ongoing margining, the Barclays Bank Group is able to manage its variable exposure to the performance of the structured entity counterparty. The counterparties included in secured financing mainly include hedge fund limited structures, investment companies and special purpose entities.

Short-term traded interests

As part of its market making activities, the Barclays Bank Group buys and sells interests in structured vehicles, which are predominantly debt securities issued by asset securitisation vehicles. Such interests are typically held individually or as part of a larger portfolio for no more than 90 days. In such cases, the Barclays Bank Group typically has no other involvement with the structured entity other than the securities it holds as part of trading activities and its maximum exposure to loss is restricted to the carrying value of the asset.

Traded derivatives

The Barclays Bank Group enters into a variety of derivative contracts with structured entities which reference market risk variables such as interest rates, equities, foreign exchange rates and credit indices among other things. The main derivative types that are considered interests in structured entities include equity options, index-based and entity specific credit default swaps, and total return swaps. Interest rate swaps and foreign exchange derivatives that are not complex and which expose the Barclays Bank Group to insignificant credit risk by being senior in the payment waterfall of a securitisation and derivatives that are determined to introduce risk or variability to a structured entity are not considered to be an interest in an entity and have been excluded from the disclosures.

A description of the types of derivatives and the risk management practices are detailed in Note 13. The risk of loss may be mitigated through ongoing margining requirements as well as a right to cash flows from the structured entity which are senior in the payment waterfall. Such margining requirements are consistent with market practice for many derivative arrangements and in line with the Barclays Bank Group's normal credit policies.

Derivative transactions require the counterparty to provide cash or other collateral under margining agreements to mitigate counterparty credit risk. The Barclays Bank Group is mainly exposed to settlement risk on these derivatives which is mitigated through daily margining. Total notional contract amounts were £641,837m (2024: £712,793m).

Except for credit default swaps where the maximum exposure to loss is the swap notional amount, it is not possible to estimate the maximum exposure to loss in respect of derivative positions as the fair value of derivatives is subject to changes in market rates of interest, exchange rates and credit indices which by their nature are uncertain. In addition, the Barclays Bank Group's losses would be subject to mitigating action under its traded market risk and credit risk policies that require the counterparty to provide collateral in cash or other assets in most cases.

Other interests in unconsolidated structured entities

The Barclays Bank Group's interests in structured entities not held for the purposes of short-term trading activities are set out below, summarised by the nature of the interest and limited to significant categories, based on maximum exposure to loss.

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Nature of interest					
	Multi-seller conduit programme £m	Lending £m	Other £m	Total £m	Of which: Barclays Bank Group owned, not consolidated entities ¹ £m
As at 31 December 2025					
Financial assets at fair value through the income statement	—	—	629	629	—
Financial assets at fair value through other comprehensive income	—	2,367	1,288	3,655	—
Loans and advances at amortised cost	9,697	37,008	—	46,705	—
Debt securities at amortised cost	—	—	14,069	14,069	—
Other assets	—	—	—	—	—
Total on-balance sheet exposures	9,697	39,375	15,986	65,058	—
Total off-balance sheet notional amounts	11,326	24,866	—	36,192	—
Maximum exposure to loss	21,023	64,241	15,986	101,250	—
Total assets of the entity	32,527	193,873	65,897	292,297	—
As at 31 December 2024					
Financial assets at fair value through the income statement	—	—	1,268	1,268	—
Financial assets at fair value through other comprehensive income	—	3,206	1,646	4,852	—
Loans and advances at amortised cost	11,103	35,451	—	46,554	—
Debt securities at amortised cost	—	—	15,438	15,438	—
Other assets	—	—	—	—	—
Total on-balance sheet exposures	11,103	38,657	18,352	68,112	—
Total off-balance sheet notional amounts	11,530	25,733	—	37,263	—
Maximum exposure to loss	22,633	64,390	18,352	105,375	—
Total assets of the entity	41,431	199,000	52,369	292,800	—

Note

¹ Comprises of Barclays Bank Group owned, not consolidated structured entities per IFRS 10 Consolidated Financial Statements. Refer to Note 31 Principal subsidiaries for more details on consolidation.

Maximum exposure to loss

Unless specified otherwise below, the Barclays Bank Group's maximum exposure to loss is the total of its on-balance sheet positions and its off-balance sheet arrangements, being loan commitments and financial guarantees. Exposure to loss is mitigated through collateral, financial guarantees, the availability of netting and credit protection held.

Multi-seller conduit programme

The Barclays Bank Group's multi-seller conduit programme engages in providing financing to various clients and holds whole or partial interests in pools of receivables or similar obligations. These instruments are protected from loss through over-collateralisation, seller guarantees, or other credit enhancements provided to the conduit entity. The Barclays Bank Group's off-balance sheet exposure included in the table above represents liquidity facilities that are provided to the conduit for the benefit of the holders of the commercial paper issued by the conduit and will only be drawn where the conduit is unable to access the commercial paper market. If these liquidity facilities are drawn, the Barclays Bank Group is protected from loss through over-collateralisation, seller guarantees, or other credit enhancements provided to the conduit.

Lending

The portfolio includes lending provided by the Barclays Bank Group to unconsolidated structured entities in the normal course of its lending business to earn income in the form of interest and lending fees and includes loans to structured entities that are generally collateralised by property, equipment or other assets. All loans are subject to the Barclays Bank Group's credit sanctioning process. Collateral arrangements are specific to the circumstances of each loan with additional guarantees and collateral sought from the sponsor of the structured entity for certain arrangements. During the year, the Barclays Bank Group incurred immaterial impairment against such facilities.

Other

This includes fair value loans with structured entities where the market risk is materially hedged with corresponding derivative contracts, interests in debt securities issued by securitisation vehicles and drawn and undrawn loan facilities to these entities. In addition, 'Other' includes investment funds with interests restricted to management fees based on the performance of the fund and trusts held on behalf of beneficiaries with interests restricted to unpaid fees.

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Assets transferred to sponsored unconsolidated structured entities

The Barclays Bank Group is considered to sponsor another entity if; it had a key role in establishing that entity, it transferred assets to the entity, the Barclays name appears in the name of the entity or it provides guarantees on the entity's performance. As at 31 December 2025, assets transferred to sponsored unconsolidated structured entities were £1,060m (2024: £890m).

33 Investments in associates and joint ventures

There are no individually significant investments in joint ventures or associates held by Barclays Bank Group.

	2025			2024		
	Associates	Joint ventures	Total	Associates	Joint ventures	Total
	£m	£m	£m	£m	£m	£m
Equity accounted (Group)	14	—	14	14	—	14

	2025			2024		
	Associates	Joint ventures	Total	Associates	Joint ventures	Total
	£m	£m	£m	£m	£m	£m
Equity accounted (Parent)	12	—	12	12	—	12

Summarised financial information for the Barclays Bank Group's equity accounted associates and joint ventures is set out below. The amounts shown are the Barclays Bank Group's share of the net income of the investees for the year ended 31 December 2025, with the exception of certain undertakings for which the amounts are based on accounts made up to dates not earlier than three months before the balance sheet date.

	Associates			Joint ventures		
	2025	2024	2023	2025	2024	2023
	£m	£m	£m	£m	£m	£m
(Loss)/Profit from continuing operations	—	—	(4)	—	—	—
Other comprehensive income	—	—	—	—	—	—
Total comprehensive (loss)/income from continuing operations	—	—	(4)	—	—	—

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34 Securitisations

Accounting for securitisations

The Barclays Bank Group uses securitisations as a source of finance and a means of risk transfer. Such transactions generally result in the transfer of contractual cash flows from portfolios of financial assets to holders of issued debt securities.

Securitisations may, depending on the individual arrangement, result in continued recognition of the securitised assets and the recognition of the debt securities issued in the transaction; lead to partial continued recognition of the assets to the extent of the Barclays Bank Group's continuing involvement in those assets or lead to derecognition of the assets and the separate recognition, as assets or liabilities, of any rights and obligations created or retained in the transfer. Full derecognition only occurs when the Barclays Bank Group transfers both its contractual right to receive cash flows from the financial assets, or retains the contractual rights to receive the cash flows, but assumes a contractual obligation to pay the cash flows to another party without material delay or reinvestment, and also transfers substantially all the risks and rewards of ownership, including credit risk, prepayment risk and interest rate risk.

In the course of its normal banking activities, the Barclays Bank Group transfers financial assets, either where legal rights to the cash flows from the asset are passed to the counterparty or beneficially, where the Barclays Bank Group retains the rights to the cash flows but assumes a responsibility to transfer them to the counterparty. Depending on the nature of the transaction, this may result in derecognition of the assets in their entirety, partial derecognition or no derecognition of the assets subject to the transfer.

A summary of the main transactions, and the assets and liabilities and the financial risks arising from these transactions, is set out below:

Transfers of financial assets that do not result in derecognition

Securitisations

The Barclays Bank Group was party to securitisation transactions involving its credit card balances, consumer and mortgage loans.

In these transactions, the assets, interests in the assets, or beneficial interests in the cash flows arising from the assets, are transferred to a special purpose entity, which then issues interest bearing debt securities to third party investors.

Securitisations may, depending on the individual arrangement, result in continued recognition of the securitised assets and the recognition of the debt securities issued in the transaction. Partial continued recognition of the assets to the extent of the Barclays Bank Group's continuing involvement in those assets can also occur or derecognition of the assets and the separate recognition, as assets or liabilities, of any rights and obligations created or retained in the transfer.

The following table shows the carrying amount of securitised assets that have not resulted in full derecognition, together with the associated liabilities, for each category of asset on the balance sheet:

	2025				2024			
	Assets		Liabilities		Assets		Liabilities	
	Carrying amount	Fair value	Carrying amount	Fair value	Carrying amount	Fair value	Carrying amount	Fair value
	£m	£m	£m	£m	£m	£m	£m	£m
Barclays Bank Group								
Loans and advances at amortised cost								
Credit cards, unsecured loans and other retail lending	5,879	5,935	(929)	(933)	6,575	7,158	(1,575)	(1,579)
Financial assets at FVTPL								
Mortgage Loans	1,523	1,523	—	—	576	576	—	—
Assets included in disposal groups classified as held for sale								
Personal Loans	—	—	—	—	846	826	—	—
Total	7,402	7,458	(929)	(933)	7,997	8,560	(1,575)	(1,579)

Balances included within loans and advances at amortised cost represent securitisations where substantially all the risks and rewards of the assets have been retained by the Barclays Bank Group and balances included within Financial assets at FVTPL and Assets included in disposal groups classified as held for sale represent securitisations where the risks and rewards are neither substantially transferred nor retained.

The relationship between the transferred assets and the associated liabilities is that holders of notes may only look to cash flows from the securitised assets for payments of principal and interest due to them under the terms of their notes, although the contractual terms of their notes may be different to the maturity and interest of the transferred assets.

If the Barclays Bank Group transfers a financial asset but does not transfer or retain substantially all the risk and rewards of the asset and retains control over it, the transferred assets are recognised to the extent of the Barclays Bank Group's

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continuing involvement. Total Financial assets of £21,932m (2024: £11,951m) were originally transferred in this manner and the carrying value of the assets representing continued involvement is included in the table above.

For transfers of assets in relation to repurchase agreements, see Note 35.

Continuing involvement in financial assets that have been derecognised

In some cases, the Barclays Bank Group may have transferred a financial asset in its entirety but may have continuing involvement in it. This arises in asset securitisations where loans and asset backed securities were derecognised as a result of the Barclays Bank Group's involvement with asset backed securities, residential mortgage backed securities and commercial mortgage backed securities. Continuing involvement largely arises from providing financing into these structures in the form of retained notes, which do not bear first losses.

The table below shows the potential financial implications of such continuing involvement:

Type of transfer	Continuing involvement ¹		Gain from continuing involvement		
	Carrying amount	Fair value	Maximum exposure to loss ²	For the year ended	Cumulative to 31 December
	£m	£m	£m	£m	£m
2025					
Asset backed securities	67	67	141	3	5
Residential mortgage backed securities	2,454	2,454	2,454	99	331
Commercial mortgage backed securities	360	328	360	5	26
Total	2,881	2,849	2,955	107	362
2024					
Asset backed securities	53	53	130	1	1
Residential mortgage backed securities	3,439	3,437	3,439	155	231
Commercial mortgage backed securities	377	334	377	3	21
Total	3,869	3,824	3,946	159	253

Notes

1 Assets which represent the Barclays Bank Group's continuing involvement in derecognised assets are recorded in Loans and advances at amortised cost and Debt securities at FVTPL.

2 Maximum exposure to loss includes notional value of undrawn loan commitment, if any.

35 Assets pledged, collateral received and assets transferred

Assets are pledged or transferred as collateral to secure liabilities under repurchase agreements, securitisations and stock lending agreements or as security deposits relating to derivatives. Assets transferred are non-cash assets transferred to a third party that do not qualify for derecognition from the Barclays Bank Group's balance sheet, for example because the Barclays Bank Group retains substantially all the exposure to those assets under an agreement to repurchase them in the future for a fixed price.

Where non-cash assets are pledged or transferred as collateral for cash received, the asset continues to be recognised in full, and a related liability is also recognised on the balance sheet. Where non-cash assets are pledged or transferred as collateral in an exchange for non-cash assets, the transferred asset continues to be recognised in full, and there is no associated liability as the non-cash collateral received is not recognised on the balance sheet. The Barclays Bank Group is unable to use, sell or pledge the transferred assets for the duration of the transaction and remains exposed to interest rate risk and credit risk on these pledged assets. Unless stated, the counterparty's recourse is not limited to the transferred assets.

Collateralised transactions, such as securities lending and borrowing, repurchase and derivative transactions are conducted in accordance with standard terms which are customary in the market.

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The following table summarises the nature and carrying amount of the assets pledged as security:

	Barclays Bank Group	
	2025	2024
	£m	£m
Cash collateral	75,695	72,415
Loans and advances at amortised cost	22,398	41,205
Trading portfolio assets	114,852	107,249
Financial assets at fair value through the income statement	5,653	5,729
Financial assets at fair value through other comprehensive income	15,019	20,420
Assets pledged	233,617	247,018

	Barclays Bank PLC	
	2025	2024
	£m	£m
Cash collateral	60,965	57,151
Loans and advances at amortised cost	25,342	44,797
Trading portfolio assets	59,024	60,727
Financial assets at fair value through the income statement	4,304	3,056
Financial assets at fair value through other comprehensive income	17,403	27,294
Assets pledged	167,038	193,025

The following table summarises the transferred financial assets and the associated liabilities. The transferred assets represent the gross carrying value of the assets pledged and the associated liabilities represent the liability recorded on the balance sheet.

	Barclays Bank Group	
	Transferred assets	Associated liabilities
	£m	£m
At 31 December 2025		
Derivatives	79,223	(79,223)
Repurchase agreements	51,922	(33,891)
Securities lending arrangements	96,638	—
Other	5,834	(5,583)
	233,617	(118,697)
At 31 December 2024		
Derivatives	74,307	(74,307)
Repurchase agreements	60,564	(40,173)
Securities lending arrangements	104,450	—
Other	7,697	(7,271)
	247,018	(121,751)

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	Barclays Bank PLC	
	Transferred assets	Associated liabilities
	£m	£m
At 31 December 2025		
Derivatives	62,832	(62,832)
Repurchase agreements	39,213	(26,551)
Securities lending arrangements	60,505	—
Other	4,488	(4,488)
	167,038	(93,871)
At 31 December 2024		
Derivatives	58,121	(58,121)
Repurchase agreements	50,013	(32,103)
Securities lending arrangements	79,473	—
Other	5,418	(5,418)
	193,025	(95,642)

For repurchase agreements the difference between transferred assets and associated liabilities is predominantly due to IFRS netting. Included within Other are agreements where a counterparty's recourse is limited to the transferred assets. The relationship between the gross transferred assets and the associated liabilities is that holders of notes may only look to cash flows from the securitised assets for payments of principal and interest due to them under the terms of their notes.

	Carrying value		Fair value		Net position
	Transferred assets	Associated liabilities	Transferred assets	Associated liabilities	
	£m	£m	£m	£m	£m
Barclays Bank Group					
2025					
Recourse to transferred assets only	5,879	(929)	5,935	(933)	5,002
2024					
Recourse to transferred assets only	6,575	(1,575)	7,158	(1,579)	5,579

The Barclays Bank Group has an additional £4,213m (2024: £3,770m) of loans and advances within its asset backed funding programmes that can readily be used to raise additional secured funding and are available to support future issuances.

Collateral held as security for assets

Under certain transactions, including reverse repurchase agreements and stock borrowing transactions, the Barclays Bank Group is allowed to resell or re-pledge the collateral held. Collateralised transactions, such as securities lending and borrowing, repurchase and derivative transactions are conducted in accordance with standard terms which are customary in the market.

The fair value at the balance sheet date of collateral accepted and re-pledged to others was as follows:

	Barclays Bank Group	
	2025	2024
	£m	£m
Fair value of securities accepted as collateral	1,511,839	1,317,237
Of which fair value of securities re-pledged/transferred to others	1,389,012	1,193,809

	Barclays Bank PLC	
	2025	2024
	£m	£m
Fair value of securities accepted as collateral	1,511,705	1,304,632
Of which fair value of securities re-pledged/transferred to others	1,397,007	1,213,541

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Other disclosure matters

The notes included in this section focus on related party transactions, Auditors' remuneration, Barclays Bank PLC (the Parent company) disclosure and Directors' remuneration disclosure. Related parties include any subsidiaries, associates, joint ventures and Key Management Personnel.

36 Related party transactions and Directors' remuneration

Related party transactions

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operational decisions, or one other party controls both.

Parent company

The parent company, which is also the ultimate parent company, is Barclays PLC, which holds 100% of the issued ordinary shares of Barclays Bank PLC. The largest group in which the results of Barclays Bank PLC are consolidated is headed by Barclays PLC, 1 Churchill Place London E14 5HP. The consolidated financial statements of Barclays PLC Group are available to the public and may be obtained from Barclays Corporate Secretariat, 1 Churchill Place London E14 5HP.

Subsidiaries

Transactions between Barclays Bank PLC and its subsidiaries also meet the definition of related party transactions. Where these are eliminated on consolidation, they are not disclosed in the Barclays Bank Group's financial statements. A list of the Barclays Bank Group's principal subsidiaries is shown in Note 31.

Fellow subsidiaries

Transactions between the Barclays Bank Group and other subsidiaries of the parent company also meet the definition of related party transactions.

Other entities

The Barclays Bank Group provides banking services to Barclays Bank Group pension funds (principally the UK Retirement Fund) and other entities, providing loans, overdrafts, interest and non-interest bearing deposits and current accounts to these entities as well as other services. Barclays Bank Group companies also provide investment management and custodian services to the Barclays Bank Group pension schemes. All of these transactions are conducted on the same terms as third party transactions. Summarised financial information for the Barclays Bank Group's investments in associates and joint ventures is set out in Note 33.

Amounts included in the Barclays Bank Group's financial statements, in aggregate, by category of related party entity are as follows:

	Parent £m	Fellow subsidiaries £m	Pension funds £m	Other related parties £m
For the year ended and as at 31 December 2025				
Total income	(2,276)	75	4	42
Operating expenses	(105)	(4,794)	—	—
Total assets	1,136	8,497	—	—
Total liabilities	46,360	8,438	140	126
For the year ended and as at 31 December 2024				
Total income	(1,994)	172	(1)	54
Operating expenses	(92)	(4,361)	—	—
Total assets	1,338	6,753	—	1,104
Total liabilities	44,678	8,588	176	64
For the year ended and as at 31 December 2023				
Total income	(1,712)	164	1	52
Operating expenses	(89)	(4,157)	(1)	—

Total liabilities include derivatives transacted on behalf of the pensions funds of £89m (2024: £100m).

Notes to the financial statements

Other disclosure matters

Amounts included in Barclays Bank PLC's financial statements, in aggregate, by category of related party entity are as follows:

	Parent £m	Subsidiaries £m	Fellow subsidiaries £m	Pension funds £m	Other related parties £m
As at 31 December 2025					
Total assets	1,134	358,439	7,665	—	—
Total liabilities	45,498	274,184	8,082	138	126
As at 31 December 2024					
Total assets	1,337	315,379	5,764	—	1,104
Total liabilities	43,948	228,081	8,221	175	64

It is the normal practice of Barclays Bank PLC to provide its subsidiaries with support and assistance by way of guarantees, indemnities, letters of comfort and commitments, as may be appropriate, with a view to enabling them to meet their obligations and to maintain their good standing, including commitment of capital and facilities. For dividends paid to Barclays PLC see Note 10.

Key Management Personnel

Key Management Personnel are defined as those persons having authority and responsibility for planning, directing and controlling the activities of Barclays Bank PLC (directly or indirectly) and comprise the Directors and Officers of Barclays Bank PLC, certain direct reports of the Chief Executive Officer and the heads of major business units and functions.

The Barclays Bank Group provides banking services to Key Management Personnel and persons connected to them. Transactions during the year and the balances outstanding were as follows:

Banking Services provided	2025 £m	2024 £m
Loans outstanding as at 31 December	12.9	10.8
Deposits outstanding as at 31 December	14.8	9.5

Total commitments outstanding

Total commitments outstanding refer to the total of any undrawn amounts on credit card and/or overdraft facilities provided to Key Management Personnel. Total commitments outstanding as at 31 December 2025 were £0.1m (2024: £0.1m).

All loans to Key Management Personnel (and persons connected to them) were made in the ordinary course of business; were made on substantially the same terms, including interest rates and collateral, as those prevailing at the same time for comparable transactions with other persons; and did not involve more than a normal risk of collectability or present other unfavourable features.

Remuneration of Key Management Personnel

Total remuneration awarded to Key Management Personnel below represents salaries, short term benefits and pensions contributions received during the year and awards made as part of the latest remuneration decisions in relation to the year. Costs recognised in the income statement reflect the accounting charge for the year included within operating expenses. The difference between the values awarded and the recognised income statement charge principally relates to the recognition of costs for deferred awards. Figures are provided for the period that individuals met the definition of Key Management Personnel.

Notes to the financial statements

Other disclosure matters

	2025	2024	2023
	£m	£m	£m
Salaries and other short-term benefits	42.3	42.9	46.1
Pension costs	0.2	0.2	0.2
Other long-term benefits	10.8	10.8	10.8
Share-based payments	26.5	21.9	16.3
Employer social security charges on emoluments	7.9	7.2	8.2
Costs recognised for accounting purposes	87.7	83.0	81.6
Employer social security charges on emoluments	(7.9)	(7.2)	(8.2)
Other long-term benefits – difference between awards granted and costs recognised	7.6	5.3	2.1
Share-based payments – difference between awards granted and costs recognised	6.8	2.6	4.5
Total remuneration awarded	94.2	83.7	80.0

Disclosure required by the Companies Act 2006

The following information regarding the Barclays Bank PLC Board of Directors is presented in accordance with the Companies Act 2006:

	2025	2024	2023
	£m	£m	£m
Aggregate emoluments ¹	9.1	8.3	7.2
Amounts paid under LTIPs ²	1.2	—	—
	10.3	8.3	7.2

Notes

1 The aggregate emoluments include amounts paid for the 2025 year. In addition, deferred share awards for 2025 with a total value at grant of £1.3m (2024: £1.8m, 2023: £1.5m) will be made to Directors which will only vest subject to meeting certain conditions.

2 The figure above for "Amounts paid under LTIPs" for 2025 relates to tranches of prior year LTIP awards that were released to Directors during the year.

There were no pension contributions paid to defined contribution schemes on behalf of Directors (2024: £nil, 2023: £nil). There were no notional pension contributions to defined contribution schemes.

As at 31 December 2025, there were no Directors accruing benefits under a defined benefit scheme (2024: nil, 2023: nil).

The aggregate amount of compensation payable to departing officers in respect of loss of office was £15,300 (2024: £7,398, 2023: £30,519).

Of the figures in the table above, the amounts attributable to the highest paid Director in respect of qualifying services are as follows:

	2025	2024	2023
	£m	£m	£m
Aggregate emoluments ¹	4.8	4.3	3.6
Amounts paid under LTIPs	1.2	—	—
	6.0	4.3	3.6

Note

1 The aggregate emoluments include amounts paid for the 2025 year. In addition, a deferred share award for 2025 with a value at grant of £0.8m (2024: £1.1m, 2023: £1m) will be made to the highest paid Director which will only vest subject to meeting certain conditions.

There were no actual pension contributions paid to defined contribution schemes on behalf of the highest paid Director (2024: £nil, 2023: £nil). There were no notional pension contributions to defined contribution schemes (2024: £nil, 2023: £nil).

Advances and credit to Directors and guarantees on behalf of Directors

In accordance with Section 413 of the Companies Act 2006, the total amount of advances and credits made available in 2025 to persons who served as Directors during the year was £nil (2024: £nil). The total value of guarantees entered into on behalf of Directors during 2025 was £nil (2024: £nil).

Notes to the financial statements

Other disclosure matters

37 Acquisition and Disposals of subsidiaries

During the year ending 31 December 2025, significant transactions included Barclays Capital Asia Limited (BCAL) being sold by Barclays Bank PLC to its subsidiary Barclays International Holdings Limited for a consideration of £227m. The sale of the BCAL shares was at fair value resulting in a £5m gain on sale as well as a derecognition of the cost of investment in Barclays Bank PLC.

There were no disposals of subsidiaries in 2024.

38 Auditor's remuneration

Auditor's remuneration is included within consultancy, legal and professional fees in administration and general expenses and comprises:

	2025	2024	2023
	£m	£m	£m
Audit of the Barclays Bank Group's annual accounts	22	23	22
Other services:			
Audit of the Barclays Bank PLC subsidiaries ¹	19	19	18
Other audit related fees ²	12	10	8
Other services	4	5	1
Total Auditor's remuneration	57	57	49

Notes

- 1 Comprises the fees for the statutory audit of the subsidiaries both inside and outside UK and fees for the work performed by associates of KPMG in respect of the consolidated financial statements of Barclays Bank PLC.
- 2 Comprises services in relation to statutory and regulatory filings. These include audit services for the review of the interim financial information under the Listing Rules of the UK listing authority.

Audit scope changes are finalised following the completion of the audit and recognised when agreed. The 2025 audit fee includes £nil (2024: £nil, 2023: £1m) relating to the previous year's audit.

39 Assets and liabilities included in disposal group classified as held for sale

Accounting for non-current assets held for sale and associated liabilities

The Barclays Bank Group applies IFRS 5 Non-current Assets Held for Sale and Discontinued Operations. Non-current assets (or disposal groups) are classified as held for sale when their carrying amount is to be recovered principally through a sale transaction rather than continuing use. In order to be classified as held for sale, the asset must be available for immediate sale in its present condition subject only to terms that are usual and customary, and the sale must be highly probable. Non-current assets (or disposal groups) held for sale are measured at the lower of carrying amount and fair value less cost to sell. Assets and liabilities classified as held for sale are presented separately in the consolidated balance sheet.

Management judgement is required in determining whether the IFRS 5 held for sale classification criteria are met, in particular whether the sale is highly probable and expected to qualify for recognition as a completed sale within 12 months of classification. This assessment requires consideration of how committed management is to the sales plan, the likelihood of obtaining regulatory or other external approvals which is often required for sales of banking operations and how committed the buyer is to complete the sales transaction within the agreed timelines.

The perimeter of the disposal group has been accounted for in line with the requirements of IFRS 5 as at 31 December 2025. A detailed analysis of the disposal group is presented below.

The 2025 disposal group includes a US Cards portfolio within USCB. Barclays has decided not to compete to become the sole issuer for a co-branded card portfolio leading to its transfer in H1 2026. The portfolio is expected to be sold at a premium. The extension to the 1 year sale period is aligned to the signed contractual arrangements in place to allow the transition of the portfolio in a controlled and effective manner. The 2024 disposal group includes the US Cards portfolio and the German Consumer Finance Business within Head Office.

The fair value level of the financial instruments included in held for sale along with corresponding fair value hierarchy under IFRS13 is disclosed on page 348.

Notes to the financial statements

Other disclosure matters

Barclays Bank Group	2025	2024
Assets included in disposal groups classified as held for sale	£m	£m
As at 31 December		
Loans and advances to customers	5,801	9,544
Intangible assets	11	25
Property, plant and equipment	—	24
Other assets	120	261
Total assets classified as held for sale	5,932	9,854
Liabilities included in disposal groups classified as held for sale		
As at 31 December		
Deposits from customers	—	3,647
Other liabilities	—	77
Provisions	—	2
Total liabilities classified as held for sale	—	3,726
Net assets classified as held for sale	5,932	6,128

Notes to the financial statements

Other disclosure matters

40 Related Undertakings

The Barclays Bank PLC's corporate structure consists of a number of related undertakings, comprising subsidiary undertakings, joint ventures, associated undertakings and significant holdings. A full list of these related undertakings is set out below, together with the country of incorporation, registered office (or principal place of business) and the identity and percentage of each share class held by Barclays Bank PLC. The information is provided as at 31 December 2025.

The entities are grouped by the countries in which they are incorporated. The profits earned by the activities of these entities are in some cases taxed in countries other than the country of incorporation for example where the entity carries on business through a branch in a territory outside of its country of incorporation. Barclays PLC Country Snapshot provides details of where Barclays Bank PLC carries on its business, where its profits are subject to tax and the taxes it pays in each country it operates in.

Notes

A	Directly held by Barclays Bank PLC
B	Partnership Interest
C	Membership Interest
D	Preference Shares
E	A Preference Shares
F	B Preference Shares
G	Ordinary/Common Shares in addition to other shares
H	A Ordinary Shares
I	B Ordinary Shares
J	C Ordinary Shares
K	F Ordinary Shares
L	First Preference Shares, Second Preference Shares
M	Registered Address not in country of incorporation
N	USD Linked Ordinary Shares
O	Capital Contribution Shares
P	Redeemable Class B Shares
Q	Non-Redeemable Ordinary Shares
R	Class A Shares
S	Class B Shares
T	Class C Shares
U	Class D Shares
V	Class E Shares
W	First Class Common Shares, Second Class Common Shares
X	Redeemable Class A Shares
Y	Not Consolidated
Z	LLC Share
AA	B Shares

Notes to the financial statements

Other disclosure matters

Wholly owned subsidiaries Note

Unless otherwise stated, the undertakings below are wholly owned and included in the consolidation and the share capital held by the Group comprises ordinary and/or common shares, which are held by subsidiaries of the Group. Unless otherwise stated, the Group holds 100% of the nominal value of each share class.

United Kingdom

1 Churchill Place, London, E14 5HP

Aequor Investments Limited	
Ardencroft Investments Limited	A
B D & B Investments Limited	
B.P.B. (Holdings) Limited	A
Barclays Aldersgate Investments Limited	A
Barclays Asset Management Limited	A
Barclays Capital Asia Holdings Limited	
Barclays Capital Nominees (No.2) Limited	
Barclays Capital Nominees (No.3) Limited	A
Barclays Capital Nominees Limited	A
Barclays Capital Securities Client Nominee Limited	A
Barclays Capital Securities Limited	A
Barclays CCP Funding LLP	B
Barclays Direct Investing Nominees Limited	
Barclays Directors Limited	A
Barclays Executive Schemes Trustees Limited	A
Barclays Financial Planning Nominee Company Limited	
Barclays Gaia Holdings Limited	
Barclays Group Holdings Limited	A
Barclays International Holdings Limited	A
Barclays Investment Management Limited	A
Barclays Investment Solutions Limited	A
Barclays Long Island Limited	A
Barclays Nominees (George Yard) Limited	A, Y
Barclays OCIO Services Limited	A
Barclaycard Payments Limited	
Barclays Pension Funds Trustees Limited	A
Barclays Private Bank	
Barclays Services (Japan) Limited	A
Barclays Shea Limited	A
Barclays Term Funding Limited Liability Partnership	B
Barclays Wealth Nominees Limited	A
Barclayshare Nominees Limited	

Wholly owned subsidiaries Note

Barcosec Limited	A
Barsec Nominees Limited	A
BB Client Nominees Limited	A
Chapelcrest Investments Limited	
Cornwall Home Loans Limited	A
Dorset Home Loans Limited	A
Durlacher Nominees Limited	A
Eagle Financial and Leasing Services (UK) Limited	A
Finpart Nominees Limited	A
Foltus Investments Limited	A
Hawkins Funding Limited	
Heraldglen Limited	G, L
Isle of Wight Home Loans Limited	A
J.V. Estates Limited	A
Kirsche Investments Limited	A
Long Island Assets Limited	
Maloney Investments Limited	
Menlo Investments Limited	A
Mercantile Credit Company Limited	A
Mercantile Leasing Company (No.132) Limited	A
MK Opportunities LP	B
Naxos Investments Limited (In Liquidation 14 January 2026)	A
Northwharf Nominees Limited	A
Oak Pension Asset Management Limited	Y
Real Estate Participation Management Limited	
Real Estate Participation Services Limited	
Relative Value Investments UK Limited Liability Partnership	B
Relative Value Trading Limited	
Roder Investments No. 1 Limited	A, G
Roder Investments No. 2 Limited	A, G
RVT CLO Investments LLP	B
Surety Trust Limited	A
Swan Lane Investments Limited	
US Real Estate Holdings No.1 Limited	
US Real Estate Holdings No.2 Limited	
US Real Estate Holdings No.3 Limited	
US Real Estate Holdings No.4 Limited	A
US Real Estate Holdings No.5 Limited	A
US Real Estate Holdings No.6 Limited	A
Water Street Investments Limited	Y
Wedd Jefferson (Nominees) Limited	A
Westferry Investments Limited	A
Woolwich Qualifying Employee Share Ownership Trustee Limited	A
Zeban Nominees Limited	A

Wholly owned subsidiaries Note

C/O Teneo Financial Advisory Limited, 3rd Floor, The Colmore Building, 20 Colmore Circus Queensway, Birmingham, West Midlands, B4 6AT	
Barclays Nominees (Branches) Limited (In Liquidation)	A
Leonis Investments LLP (In Liquidation)	B
1-4 , Clyde Place Lane, Glasgow, G5 8DP	
R.C. Greig Nominees Limited	
9, allée Scheffer, Luxembourg, L-2520	
Barclays Blossom Finance Limited Partnership	B, M
Barclays Claudas Investments Partnership	B, M
Barclays Pelleas Investments Limited Partnership	B, M
Argentina	
Marval, O'Farrell & Mairal, Av. Leandro N. Alem 882, Buenos Aires, C1001AAQ, Argentina	
Compañía Regional del Sur S.A. (In Liquidation)	A
Brazil	
Av. Brigadeiro Faria Lima, No.4.440, 12th Floor, Bairro Itaim Bibi, Sao Paulo, CEP, 04538-132, Brazil	
Barclays Brasil Assessoria Financeira Ltda	A
Canada	
Bay Wellington Tower, Brookfield Place, 47th floor, 181 Bay Street, Toronto, Ontario, M5J 2T3	
Barclays Capital Canada Inc.	
Barclays Corporation Limited	A
Cayman Islands	
PO Box 309, Ugland House, George Town, Grand Cayman, KY1-1104	
Alymere Investments Limited	E, F, G
Analytical Trade UK Limited	A
Barclays Capital (Cayman) Limited	A
Barclays Securities Financing Limited	E, F, G
Barclays US Holdings Limited	A, D, G
Braven Investments No.1 Limited	
Capton Investments Limited	
Claudas Investments Limited	A, G, P, X
Claudas Investments Two Limited	

Notes to the financial statements

Other disclosure matters

Wholly owned subsidiaries	Note	Wholly owned subsidiaries	Note	Wholly owned subsidiaries	Note
Gallen Investments Limited				Barclays International Luxembourg Dollar Holdings S.à r.l.	
Hornbeam Limited	Y	Isle of Man		Barclays Lamorak Investments S.à r.l.	Q
Mintaka Investments No. 4 Limited		Eagle Court, Circular Road, Douglas, IM1 1AD, Isle of Man		Barclays Luxembourg GBP Holdings S.à r.l.	Q
Palomino Limited	A	Barclays Nominees (Manx) Limited (In Liquidation)	A	Barclays Luxembourg Global Funding S.à r.l.	
Pelleas Investments Limited	A	Barclays Private Clients International Limited	A, H, I, Y	Barclays Luxembourg Holdings S.à r.l.	
Pippin Island Investments Limited	A	c/o Zedra Trust Company (Isle of Man) Limited, 2nd Floor, St Georges Court, Upper Church Street, Douglas, IM1 1EE		Barclays Luxembourg Holdings SSC	B
Razzoli Investments Limited	A	Barclays Holdings (Isle of Man) Limited (In Liquidation)	A	68-70 Boulevard de la Petrusse, Luxembourg, L-2320, Luxembourg	
RVH Limited	A, D, G			Adler Toy Holding S.à r.l.	
France		Japan		10 rue du Château d'Eau, Leudelange, Grand Duchy of Luxembourg L-3364	
34-36 avenue de Friedland, 75008, Paris		10-1, Roppongi 6-chome, Minato-ku, Tokyo, 106-6131, Japan		BPM Management GP S.à r.l.	A
Barclays ADF SA	A	Barclays Funds and Advisory Japan Limited			
Guernsey		Barclays Securities Japan Limited	G, E		
P.O. Box 33, Dorey Court, Admiral Park, St. Peter Port, GY1 4AT					
Barclays UKRF ICC Limited	Y	Jersey		Mauritius	
Barclays UKRF No.1 IC Limited	Y	28 Esplanade, St Helier, JE2 3QA, Jersey		c/o Rogers Capital Corporate Services Limited, Level 3, Rogers Capital House, 5 President John Kennedy Street, Port Louis, 11302, Mauritius	
Barclays UKRF No.2 IC Ltd	Y	Barclays Services Jersey Limited (In Liquidation)	A	Barclays Capital Mauritius Limited (In Liquidation)	A
Hong Kong		13 Library Place, St Helier, JE4 8NE		Barclays Capital Securities Mauritius Limited	A
Level 41, Cheung Kong Center, 2 Queen's Road, Central, N/A, Hong Kong		Barclays Nominees (Jersey) Limited	A	Fifth Floor, Ebene Esplanade, 24 Bank Street, Cybercity, Ebene, 72201, Mauritius	
Barclays Capital Asia Limited	A	Barclaytrust Channel Islands Limited	A	Barclays Mauritius Overseas Holdings Limited	A
India		Esteria Trust (Jersey) Limited, 13-14 Esplanade, St Helier, JE1 1EE, Jersey			
Nirlon Knowledge Park, Level 9, Block B-6, Off Western Express Highway, Goregaon (East), Mumbai, 400063		MK Opportunities GP Ltd	A		
Barclays Securities (India) Private Limited					
Barclays Wealth Trustees (India) Private Limited		3rd Floor, 44 Esplanade, St. Helier, JE4 9WG, Jersey			
Barclays Investments & Loans (India) Private Limited	G	Barclaycard Payment Holdings Limited			
Ireland		Barclaycard Payments Midco Limited		Mexico	
One Molesworth Street, Dublin 2, D02 RF29				Paseo de la Reforma 505, Torre Mayor Floor 41, Colona Cuauhtémoc, 06500, Mexico City, Mexico	
Barclays Bank Ireland Public Limited Company	A	Luxembourg		Barclays Bank Mexico, S.A.	I, K
Barclays Europe Client Nominees Designated Activity Company		9, allée Scheffer, Luxembourg, L-2520, Luxembourg		Barclays Capital Casa de Bolsa, S.A. de C.V.	I, K
Barclays Europe Firm Nominees Designated Activity Company		Barclays Bedivere Investments S.à r.l.	G	Grupo Financiero Barclays Mexico, S.A. de C.V.	A, I, K
Barclays Europe Nominees Designated Activity Company		Barclays Cantal Investments S.à r.l.	R, S		
25-28 North Wall Quay, Dublin 1, D01 H104		Barclays Capital Luxembourg S.à r.l.		Monaco	
Erimon Home Loans Ireland Limited	A	Barclays Treasury Luxembourg S.à r.l.		31 Avenue de la Costa, Monte Carlo, 98000, Monaco	
70 Sir John Rogerson's Quay, Dublin 2, D02 R296, Ireland		Barclays Claudas Investments S.à r.l.		Barclays Private Asset Management (Monaco) S.A.M	
Barclays Finance Ireland Limited					

Other disclosure matters

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Notes to the financial statements

Other disclosure matters

Wholly owned subsidiaries Note

Unless otherwise stated, the undertakings below are included in the consolidation and the share capital held by Barclays Bank PLC comprises ordinary and/or common shares, which are held by subsidiaries of Barclays Bank PLC. The percentage of the nominal value of each share class held by Barclays Bank PLC is provided below.

Other Related Undertakings % Note

United Kingdom

1 Churchill Place, London, E14
5HP

Barclays Secured Funding (LM) Limited	20.00	A
Barclays Secured Notes Finance LLP	20.00	A

50 Lothian Road, Festival
Square, Edinburgh, EH3 9WJ

Equistone Founder Partner III L.P.	20.00	A,B, Y
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Enigma, Wavendon Business
Park Milton Keynes,
MK178LX

Intelligent Processing Solutions Limited	19.50	Y
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Korea, Republic of

18th Floor, Daishin Finance
Center, 343, Samil-daero,
Jung-gu, Seoul, 04538,
South Korea

Woori BC Pegasus Securitization Specialty Co. Ltd	70.00	W
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Luxembourg

9, allée Scheffer,
Luxembourg, L-2520,

Barclays Alzin Investments S.à r.l.	100.00	R,S, U
Barclays Bordang Investments S.à r.l.	100.00	R, S

Netherlands

Winschoterdiep, 70,
Groningen, 9723AB,
Groningen,

Cube Solidus B.V.	68.83	AA
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Notes

The term Barclays Bank Group refers to Barclays Bank PLC together with its subsidiaries. Unless otherwise stated, the income statement analysis compares the year ended 31 December 2025 to the corresponding twelve months of 2024 and balance sheet analysis as at 31 December 2025 with comparatives relating to 31 December 2024. The abbreviations '£m' and '£bn' represent millions and thousands of millions of Pounds Sterling respectively; the abbreviations '\$m' and '\$bn' represent millions and thousands of millions of US Dollars respectively; and the abbreviations '€m' and '€bn' represent millions and thousands of millions of Euros respectively.

There are a number of key judgement areas, for example impairment calculations, which are based on models and which are subject to ongoing adjustment and modifications. Reported numbers reflect best estimates and judgements at the given point in time.

Relevant terms that are used in this document but are not defined under applicable regulatory guidance or International Financial Reporting Standards (IFRS) are explained in the results glossary that can be accessed at home.barclays/investor-relations/reports-and-events.

These results will be filed on a Form 20-F with the US Securities and Exchange Commission (SEC) as soon as practicable following their publication. Once filed with the SEC, a copy of the Form 20-F will be available from the Barclays Investor Relations website at home.barclays/annualreport and from the SEC's website at www.sec.gov.

The Barclays Bank Group is a frequent issuer in the debt capital markets and regularly meets with investors via formal roadshows and other ad hoc meetings. Consistent with its usual practice, the Barclays Bank Group expects that from time to time over the coming half year it will meet with investors globally to discuss these results and other matters relating to the Barclays Bank Group.

Forward-looking statements

This document contains certain forward-looking statements within the meaning of Section 21E of the US Securities Exchange Act of 1934, as amended, and Section 27A of the US Securities Act of 1933, as amended, with respect to the Barclays Bank Group. Barclays cautions readers that no forward-looking statement is a guarantee of future performance and that actual results or other financial condition or performance measures could differ materially from those contained in the forward-looking statements. Forward-looking statements can be identified by the fact that they do not relate only to historical or current facts. Forward-looking statements sometimes use words such as 'may', 'will', 'seek', 'continue', 'aim', 'anticipate', 'target', 'projected', 'expect', 'estimate', 'intend', 'plan', 'goal', 'believe', 'achieve' or other words of similar meaning. Forward-looking statements can be made in writing but also may be made verbally by Directors, officers and employees of the Barclays Bank Group (including during management presentations) in connection with this document. Examples of forward-looking statements include, among others, statements or guidance regarding or relating to the Barclays Bank Group's future financial position, business strategy, income levels, costs, assets and liabilities, impairment charges, provisions, capital leverage and other regulatory ratios, capital distributions (including policy on dividends and share buybacks), return on tangible equity, projected levels of growth in banking and financial markets, industry trends, any commitments and targets (including sustainability-related commitments and targets), plans and objectives for future operations, International Financial Reporting Standards (IFRS) and other statements that are not historical or current facts. By their nature, forward-looking statements involve risk and uncertainty because they relate to future events and circumstances. Forward-looking statements speak only as at the date on which they are made. Forward-looking statements may be affected by a number of factors, including, without limitation: changes in legislation, regulations, governmental and regulatory policies, expectations and actions, voluntary codes of practices and the interpretation thereof, changes in IFRS and other accounting standards, including practices with regard to the interpretation and application thereof and emerging and developing sustainability reporting standards (including emissions accounting methodologies); changes in tax laws and practice; the outcome of current and future legal proceedings and regulatory investigations; the Barclays Bank Group's ability along with governments and other stakeholders to measure, manage and mitigate the impacts of climate change effectively or navigate inconsistencies and conflicts in the manner in which climate policy is implemented in the regions where the Barclays Bank Group operates, including as a result of the adoption of rules and regulations taking a different or opposing position on sustainability matters, or other forms of governmental and regulatory action against sustainability policies; environmental, social and geopolitical risks and incidents and similar events beyond the Barclays Bank Group's control; financial crime; the impact of competition in the banking and financial services industry; capital, liquidity, leverage and other regulatory rules and requirements applicable to past, current and future periods; UK, US, Eurozone and global macroeconomic and business conditions, including inflation; volatility in credit and capital markets; market related risks such as changes in interest rates and foreign exchange rates; reforms to benchmark interest rates and indices; higher or lower asset valuations; changes in credit ratings of any entity within the Barclays Bank Group or any securities issued by it; changes in counterparty risk; changes in consumer behaviour; changes in trade policy, including the imposition of tariffs or other protectionist measures; the direct and indirect consequences of the conflicts in Ukraine and the Middle East on European and global macroeconomic conditions, political stability and financial markets; changes in US legislation and policy; developments in the UK's relationship with the European Union; the risk of cyber attacks, information or security breaches, technology failures or operational disruptions and any subsequent impact on the Barclays Bank Group's reputation, business or operations; the use of new technology, including artificial intelligence; the Barclays Bank Group's ability to access funding; and the success of acquisitions, disposals, joint ventures and other strategic transactions. A number of these factors are beyond the Barclays Bank Group's control. As a result, the Barclays Bank Group's actual financial

position, results, financial and non-financial metrics or performance measures or its ability to meet commitments and targets may differ materially from the statements or guidance set forth in the Barclays Bank Group's forward-looking statements. Additional risks and factors which may impact the Barclays Bank Group's future financial condition and performance are identified in the description of material existing and emerging risks beginning on page 123 of this Annual Report.

Subject to the Barclays Bank Group's obligations under the applicable laws and regulations of any relevant jurisdiction (including, without limitation, the UK and the US), in relation to disclosure and ongoing information, we undertake no obligation to update publicly or revise any forward-looking statements, whether as a result of new information, future events or otherwise.

Schedule to the Sustainability Statement

Schedule A: List of datapoints in cross-cutting and topical standards that derive from other EU legislation

These disclosures are incorporated by reference into the Sustainability Statement.

List of datapoints in cross-cutting and topical standards that derive from other EU legislation:

Disclosure Requirement and related datapoint	SFDR Reference	Pillar 3 Reference	Benchmark Regulation Reference	EU Climate Law Reference	Comments and location
• ESRS 2 GOV-1 Board's gender diversity paragraph 21 (d)	Indicator number 13 of Table #1 of Annex 1		Commission Delegated Regulation (EU) 2020/1816, Annex II		See page 27
• ESRS 2 GOV-1 Percentage of board members who are independent paragraph 21 (e)			Delegated Regulation (EU) 2020/1816, Annex II		See page 24
• ESRS 2 GOV-4 Statement on due diligence paragraph 30	Indicator number 10 Table #3 of Annex 1				See page 44
• ESRS 2 SBM-1 Involvement in activities related to fossil fuel activities paragraph 40 (d) i	Indicators number 4 Table #1 of Annex 1	Article 449a Regulation (EU) No 575/2013; Commission Implementing Regulation (EU) 2022/2453. Table 1: Qualitative information on Environmental risk and Table 2: Qualitative information on Social risk	Delegated Regulation (EU) 2020/1816, Annex II		Not Material
• ESRS 2 SBM-1 Involvement in activities related to chemical production paragraph 40 (d) ii	Indicator number 9 Table #2 of Annex 1		Delegated Regulation (EU) 2020/1816, Annex II		Not Material
• ESRS 2 SBM-1 Involvement in activities related to controversial weapons paragraph 40 (d) iii	Indicator number 14 Table #1 of Annex 1		Delegated Regulation (EU) 2020/181829, Article 12(1) Delegated Regulation (EU) 2020/1816, Annex II		Not Material
• ESRS 2 SBM-1 Involvement in activities related to cultivation and production of tobacco paragraph 40 (d) iv			Delegated Regulation (EU) 2020/1818, Article 12(1) Delegated Regulation (EU) 2020/1816, Annex II		Not Material
• ESRS E1-1 Transition plan to reach climate neutrality by 2050 paragraph 14				Regulation (EU) 2021/1119, Article 2(1)	See page 55

Schedule to the Sustainability Statement

Schedule A: List of datapoints in cross-cutting and topical standards that derive from other EU legislation

Disclosure Requirement and related datapoint	SFDR Reference	Pillar 3 Reference	Benchmark Regulation Reference	EU Climate Law Reference	Comments and location
• ESRS E1-1 Undertakings excluded from Paris-aligned Benchmarks paragraph 16 (g)		Article 449a Regulation (EU) No 575/2013; Commission Implementing Regulation (EU) 2022/2453 Template 1: Banking book- Climate Change transition risk: Credit quality of exposures by sector, emissions and residual maturity	Delegated Regulation (EU) 2020/1818, Article 12.1 (d) to (g), and Article 12.2		No adopted Transition Plan, please see page 55 for further detail
• ESRS E1-4 GHG emission reduction targets paragraph 34	Indicator number 4 Table #2 of Annex 1	Article 449a Regulation (EU) No 575/2013; Commission Implementing Regulation (EU) 2022/2453 Template 3: Banking book – Climate change transition risk: alignment metrics	Delegated Regulation (EU) 2020/1818, Article 6		No targets set, please see page 65 for further detail
• ESRS E1-5 Energy consumption from fossil sources disaggregated by sources (only high climate impact sectors) paragraph 38	Indicator number 5 Table #1 and Indicator n. 5 Table #2 of Annex 1				Not Material
• ESRS E1-5 Energy consumption and mix paragraph 37	Indicator number 5 Table #1 of Annex 1				Not Material
• ESRS E1-5 Energy intensity associated with activities in high climate impact sectors paragraphs 40 to 43	Indicator number 6 Table #1 of Annex 1				Not Material
• ESRS E1-6 Gross Scope 1, 2, 3 and Total GHG emissions paragraph 44	Indicators number 1 and 2 Table #1 of Annex 1	Article 449a; Regulation (EU) No 575/2013; Commission Implementing Regulation (EU) 2022/2453 Template 1: Banking book – Climate change transition risk: Credit quality of exposures by sector, emissions and residual maturity	Delegated Regulation (EU) 2020/1818, Article 8(1)		See page 66
• ESRS E1-6 Gross GHG emissions intensity paragraphs 53 to 55	Indicators number 3 Table #1 of Annex 1	Article 449a Regulation (EU) No 575/2013; Commission Implementing Regulation (EU) 2022/2453 Template 3: Banking book – Climate change transition risk: alignment metrics	Delegated Regulation (EU) 2020/1818, Article 8(1)		See page 66

Schedule to the Sustainability Statement

Schedule A: List of datapoints in cross-cutting and topical standards that derive from other EU legislation

Disclosure Requirement and related datapoint	SFDR Reference	Pillar 3 Reference	Benchmark Regulation Reference	EU Climate Law Reference	Comments and location
• ESRS E1-7 GHG removals and carbon credits paragraph 56				Regulation (EU) 2021/1119, Article 2(1)	Not Material
• ESRS E1-9 Exposure of the benchmark portfolio to climate-related physical risks paragraph 66			Delegated Regulation (EU) 2020/1818, Annex II Delegated Regulation (EU) 2020/1816, Annex II		Phase In
• ESRS E1-9 Disaggregation of monetary amounts by acute and chronic physical risk paragraph 66 (a) ESRS E1-9 Location of significant assets at material physical risk paragraph 66 (c).		Article 449a Regulation (EU) No 575/2013; Commission Implementing Regulation (EU) 2022/2453 paragraphs 46 and 47; Template 5: Banking book - Climate change physical risk: Exposures subject to physical risk.			Phase In
• ESRS E1-9 Breakdown of the carrying value of its real estate assets by energy-efficiency classes paragraph 67 (c).		Article 449a Regulation (EU) No 575/2013; Commission Implementing Regulation (EU) 2022/2453 paragraph 34; Template 2: Banking book - Climate change transition risk: Loans collateralised by immovable property - Energy efficiency of the collateral			Phase In
• ESRS E1-9 Degree of exposure of the portfolio to climate-related opportunities paragraph 69			Delegated Regulation (EU) 2020/1818, Annex II		Phase In
• ESRS E2-4 Amount of each pollutant listed in Annex II of the E-PRTR Regulation (European Pollutant Release and Transfer Register) emitted to air, water and soil, paragraph 28	Indicator number 8 Table #1 of Annex 1 Indicator number 2 Table #2 of Annex 1 Indicator number 1 Table #2 of Annex 1 Indicator number 3 Table #2 of Annex 1				Not Material
• ESRS E3-1 Water and marine resources paragraph 9	Indicator number 7 Table #2 of Annex 1				Not Material
• ESRS E3-1 Dedicated policy paragraph 13	Indicator number 8 Table 2 of Annex 1				Not Material
• ESRS E3-1 Sustainable oceans and seas paragraph 14	Indicator number 12 Table #2 of Annex 1				Not Material

Schedule to the Sustainability Statement

Schedule A: List of datapoints in cross-cutting and topical standards that derive from other EU legislation

Disclosure Requirement and related datapoint	SFDR Reference	Pillar 3 Reference	Benchmark Regulation Reference	EU Climate Law Reference	Comments and location
• ESRS E3-4 Total water recycled and reused paragraph 28 (c)	Indicator number 6.2 Table #2 of Annex 1				Not Material
• ESRS E3-4 Total water consumption in m3 per net revenue on own operations paragraph 29	Indicator number 6.1 Table #2 of Annex 1				Not Material
• ESRS 2- SBM 3 - E4 paragraph 16 (a) i	Indicator number 7 Table #1 of Annex 1				Phase In
• ESRS 2- SBM 3 - E4 paragraph 16 (b)	Indicator number 10 Table #2 of Annex 1				Phase In
• ESRS 2- SBM 3 - E4 paragraph 16(c)	Indicator number 14 Table #2 of Annex 1				Phase In
• ESRS E4-2 Sustainable land / agriculture practices or policies paragraph 24 (b)	Indicator number 11 Table #2 of Annex 1				Phase In
• ESRS E4-2 Sustainable oceans / seas practices or policies paragraph 24 (c)	Indicator number 12 Table #2 of Annex 1				Phase In
• ESRS E4-2 Policies to address deforestation paragraph 24 (d)	Indicator number 15 Table #2 of Annex 1				Phase In
• ESRS E5-5 Non-recycled waste paragraph 37 (d)	Indicator number 13 Table #2 of Annex 1				Not Material
• ESRS E5-5 Hazardous waste and radioactive waste paragraph 39	Indicator number 9 Table #1 of Annex 1				Not Material
• ESRS 2- SBM3 - S1 Risk of incidents of forced labour paragraph 14 (f)	Indicator number 13 Table #3 of Annex I				Not Material
• ESRS 2- SBM3 - S1 Risk of incidents of child labour paragraph 14 (g)	Indicator number 12 Table #3 of Annex I				Not Material
• ESRS S1-1 Human rights policy commitments paragraph 20	Indicator number 9 Table #3 and Indicator number 11 Table #1 of Annex I				See page 74

Schedule to the Sustainability Statement

Schedule A: List of datapoints in cross-cutting and topical standards that derive from other EU legislation

Disclosure Requirement and related datapoint	SFDR Reference	Pillar 3 Reference	Benchmark Regulation Reference	EU Climate Law Reference	Comments and location
• ESRS S1-1 Due diligence policies on issues addressed by the fundamental International Labor Organisation Conventions 1 to 8, paragraph 21			Delegated Regulation (EU) 2020/1816, Annex II		See page 74
• ESRS S1-1 processes and measures for preventing trafficking in human beings paragraph 22	Indicator number 11 Table #3 of Annex I				Not Material
• ESRS S1-1 workplace accident prevention policy or management system paragraph 23	Indicator number 1 Table #3 of Annex I				Not Material
• ESRS S1-3 grievance/ complaints handling mechanisms paragraph 32(c)	Indicator number 5 Table #3 of Annex I				See page 74
• ESRS S1-14 Number of fatalities and number and rate of work-related accidents paragraph 88 (b) and (c)	Indicator number 2 Table #3 of Annex I		Delegated Regulation (EU) 2020/1816, Annex II		Not Material
• ESRS S1-14 Number of days lost to injuries, accidents, fatalities or illness paragraph 88 (e)	Indicator number 3 Table #3 of Annex I				Not Material
• ESRS S1-16 Unadjusted gender pay gap paragraph 97 (a)	Indicator number 12 Table #1 of Annex I		Delegated Regulation (EU) 2020/1816, Annex II		See page 83
• ESRS S1-16 Excessive CEO pay ratio paragraph 97 (b)	Indicator number 8 Table #3 of Annex I				Not Material
• ESRS S1-17 Incidents of discrimination paragraph 103 (a)	Indicator number 7 Table #3 of Annex I				Not Material
• ESRS S1-17 Non-respect of UNGPs on Business and Human Rights and OECD Guidelines paragraph 104 (a)	Indicator number 10 Table #1 and Indicator n. 14 Table #3 of Annex I		Delegated Regulation (EU) 2020/1816, Annex II Delegated Regulation (EU) 2020/1818 Art 12 (1)		Not Material
• ESRS 2- SBM3 – S2 Significant risk of child labour or forced labour in the value chain paragraph 11 (b)	Indicators number 12 and n. 13 Table #3 of Annex I				Phase In

Schedule to the Sustainability Statement

Schedule A: List of datapoints in cross-cutting and topical standards that derive from other EU legislation

Disclosure Requirement and related datapoint	SFDR Reference	Pillar 3 Reference	Benchmark Regulation Reference	EU Climate Law Reference	Comments and location
• ESRS S2-1 Human rights policy commitments paragraph 17	Indicator number 9 Table #3 and Indicator n. 11 Table #1 of Annex 1				Phase In
• ESRS S2-1 Policies related to value chain workers paragraph 18	Indicator number 11 and n. 4 Table #3 of Annex 1				Phase In
• ESRS S2-1 Non-respect of UNGPs on Business and Human Rights principles and OECD guidelines paragraph 19	Indicator number 10 Table #1 of Annex 1		Delegated Regulation (EU) 2020/1816, Annex II Delegated Regulation (EU) 2020/1818, Art 12(1)		Phase In
• ESRS S2-1 Due diligence policies on issues addressed by the fundamental International Labor Organisation Conventions 1 to 8, paragraph 19			Delegated Regulation (EU) 2020/1816, Annex II		Phase In
• ESRS S2-4 Human rights issues and incidents connected to its upstream and downstream value chain paragraph 36	Indicator number 14 Table #3 of Annex 1				Phase In
• ESRS S3-1 Human rights policy commitments paragraph 16	Indicator number 9 Table #3 of Annex 1 and Indicator number 11 Table #1 of Annex 1				Phase In
• ESRS S3-1 non-respect of UNGPs on Business and Human Rights, ILO principles or OECD guidelines paragraph 17	Indicator number 10 Table #1 Annex 1		Delegated Regulation (EU) 2020/1816, Annex II Delegated Regulation (EU) 2020/1818, Art 12 (1)		Phase In
• ESRS S3-4 Human rights issues and incidents paragraph 36	Indicator number 14 Table #3 of Annex 1				Phase In
• ESRS S4-1 Policies related to consumers and end-users paragraph 16	Indicator number 9 Table #3 and Indicator number 11 Table #1 of Annex 1				Phase In
• ESRS S4-1 Non-respect of UNGPs on Business and Human Rights and OECD guidelines paragraph 17	Indicator number 10 Table #1 of Annex 1		Delegated Regulation (EU) 2020/1816, Annex II Delegated Regulation (EU) 2020/1818, Art 12 (1)		Phase In
• ESRS S4-4 Human rights issues and incidents paragraph 35	Indicator number 14 Table #3 of Annex 1				Phase In

Schedule to the Sustainability Statement

Schedule A: List of datapoints in cross-cutting and topical standards that derive from other EU legislation

Disclosure Requirement and related datapoint	SFDR Reference	Pillar 3 Reference	Benchmark Regulation Reference	EU Climate Law Reference	Comments and location
• ESRS G1-1 United Nations Convention against Corruption paragraph 10 (b)	Indicator number 15 Table #3 of Annex 1				Not Material
• ESRS G1-1 Protection of whistle-blowers paragraph 10 (d)	Indicator number 6 Table #3 of Annex 1				Not Material
• ESRS G1-4 Fines for violation of anti-corruption and anti-bribery laws paragraph 24 (a)	Indicator number 17 Table #3 of Annex 1		Delegated Regulation (EU) 2020/1816, Annex II)		Not Material
• ESRS G1-4 Standards of anti-corruption and anti-bribery paragraph 24 (b)	Indicator number 16 Table #3 of Annex 1				Not Material

Schedule to the Sustainability Statement

Schedule B: EU Taxonomy

These disclosures are incorporated by reference into the 'Environment section' of our Sustainability Statement and form part of our disclosures under the Taxonomy Regulation.

Further to Regulation 5 of the Transparency (Directive 2004/109/EC) Regulations 2007 (Ireland), the disclosures for the financial year ended 31 December 2025 on pages 419 to 449 below have been subject to limited assurance.

1. Assets for the calculation of GAR stock - Turnover based (2025)

1	Stock (Million GBP) ^{1,2}	a	b	c	d	e	f	g	h	i	j	k	l	m	n	o	p
		Total [gross] carrying amount	Of which Taxonomy eligible	Of which Taxonomy aligned	Breakdown per environmental objective						Of which Use of Proceeds	Of which transitional	Of which enabling	Non- assessed exposures ⁶	Of which financing non- material activities of counter- parties	Of which exposures financing counter- parties reporting in accordance with Article 7(9)	Of which not assessed non- material by the credit institution
					Climate Change Mitigation (CCM) ³	Climate Change Adaptation (CCA)	Water and marine resources (WTR)	Circular economy (CE)	Pollution (PPC)	Biodiversity and Ecosystems (BIO)							
1	GAR - Covered assets in both numerator and denominator	22,754	8,490	384	375	8	—	1	—	—	13	22	215	—	—	—	—
2	Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	22,754	8,490	384	375	8	—	1	—	—	13	22	215	—	—	—	—
3	Financial undertakings	15,535	2,705	163	163	—	—	—	—	—	—	14	45	—	—	—	—
4	Loans and advances	12,370	2,403	136	136	—	—	—	—	—	—	13	30	—	—	—	—
5	Debt securities, including UoP	3,165	302	27	27	—	—	—	—	—	—	1	15	—	—	—	—
6	Equity instruments	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
7	Non-financial undertakings	2,102	668	221	212	8	—	1	—	—	13	8	170	—	—	—	—
8	Loans and advances	2,007	663	221	212	8	—	1	—	—	13	8	170	—	—	—	—
9	Debt securities, including UoP	69	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
10	Equity instruments	26	5	—	—	—	—	—	—	—	—	—	—	—	—	—	—
11	Households	5,117	5,117	—	—	—	—	—	—	—	—	—	—	—	—	—	—
12	of which loans collateralised by residential immovable property ⁴	5,117	5,117	—	—	—	—	—	—	—	—	—	—	—	—	—	—
13	of which building renovation loans	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
14	of which motor vehicle loans	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
15	Local governments financing	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
16	Housing financing	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
17	Other local government financing	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
18	Collateral obtained by taking possession: residential and commercial immovable properties	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
19	Exposures included on a voluntary basis	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
20	Total GAR assets	22,754	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—

Schedule to the Sustainability Statement

Schedule B: EU Taxonomy

1. Assets for the calculation of GAR stock - Turnover based (2025) (Continued)

		a	b	c	d	e	f	g	h	i	j	k	l	m	n	o	p
21	Assets not covered for GAR calculation	1,226,395															
22	Central governments and Supranational issuers	69,764															
23	Central banks exposure	221,615															
24	Trading book	662,284															
25	Undertakings and entities not subject to CSRD	237,905															
26	SMEs and undertakings (other than SMEs) not subject to CSRD disclosure obligations	24,216															
27	Loans and advances	16,040															
28	of which loans collateralised by commercial immovable property	—															
29	of which building renovation loans	—															
30	Debt securities	8,176															
31	Equity instruments	—															
32	Non-EU country counterparties not subject to CSRD disclosure obligations	213,689															
33	Loans and advances	196,374															
34	Debt securities	17,159															
35	Equity instruments	156															
36	Derivatives	4,465															
37	On demand interbank loans	4,923															
38	Cash and cash-related assets	747															
39	Other categories of assets (e.g. Goodwill, commodities etc.)	24,692															
40	Total assets	1,249,149															
Off-balance sheet exposures (stock) to Undertakings subject to CSRD disclosure obligations and local governments																	
41	Financial guarantees	923	145	64	63	—	1	—	—	—	—	2	38	—	—	—	—
42	Assets under management ⁵	2,328	1,609	339	339	—	—	—	—	—	—	—	—	—	—	—	—
43	of which debt securities	510	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
44	of which equity instruments	1,818	1,609	339	339	—	—	—	—	—	—	—	—	—	—	—	—

Schedule to the Sustainability Statement

Schedule B: EU Taxonomy

1. Assets for the calculation of GAR stock - Turnover based (2024)

Stock (Million GBP) ^{1,2,7}		a	b	c	d	e	f	g	h	i	j	k	l	m	n	o	p
		Total [gross] carrying amount	Of which Taxonomy eligible	Of which Taxonomy aligned	Breakdown per environmental objective						Of which Use of Proceeds	Of which transitional	Of which enabling	Non- assessed exposures ⁶	Of which financing non- material activities of counter- parties	Of which exposures financing counter- parties reporting in accordance with Article 7(9)	Of which not assessed considered non- material by the credit institution
					Climate Change Mitigation (CCM) ³	Climate Change Adaptation (CCA)	Water and marine resources (WTR)	Circular economy (CE)	Pollution (PPC)	Biodiversity and Ecosystems (BIO)							
1	GAR - Covered assets in both numerator and denominator	12,599	2,450	339	337	2	—	—	—	—	—	11	200	—	—	—	—
2	Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	12,599	2,450	339	337	2	—	—	—	—	—	11	200	—	—	—	—
3	Financial undertakings	10,144	1,340	117	116	1	—	—	—	—	—	3	29	—	—	—	—
4	Loans and advances	8,567	1,073	86	85	1	—	—	—	—	—	2	6	—	—	—	—
5	Debt securities, including UoP	1,577	267	31	31	—	—	—	—	—	—	1	23	—	—	—	—
6	Equity instruments	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
7	Non-financial undertakings	1,897	552	222	221	1	—	—	—	—	—	8	171	—	—	—	—
8	Loans and advances	1,805	551	222	221	1	—	—	—	—	—	8	171	—	—	—	—
9	Debt securities, including UoP	79	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
10	Equity instruments	13	1	—	—	—	—	—	—	—	—	—	—	—	—	—	—
11	Households	558	558	—	—	—	—	—	—	—	—	—	—	—	—	—	—
12	of which loans collateralised by residential immovable property ⁴	558	558	—	—	—	—	—	—	—	—	—	—	—	—	—	—
13	of which building renovation loans	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
14	of which motor vehicle loans	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
15	Local governments financing	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
16	Housing financing	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
17	Other local government financing	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
18	Collateral obtained by taking possession: residential and commercial immovable properties	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
19	Exposures included on a voluntary basis	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
20	Total GAR assets ⁷	279,592	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
21	Assets not covered for GAR calculation	1,209,390	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—

Schedule to the Sustainability Statement

Schedule B: EU Taxonomy

1. Assets for the calculation of GAR stock Turnover based (2024) (Continued)																	
		a	b	c	d	e	f	g	h	i	j	k	l	m	n	o	p
22	Central governments and Supranational issuers	70,958															
23	Central banks exposure	192,588															
24	Trading book	678,851															
25	Undertakings and entities not subject to CSRD	219,160															
26	SMEs and undertakings (other than SMEs) not subject to CSRD disclosure obligations	30,067															
27	Loans and advances	23,314															
28	of which loans collateralised by commercial immovable property	—															
29	of which building renovation loans	—															
30	Debt securities	6,749															
31	Equity instruments	4															
32	Non-EU country counterparties not subject to CSRD disclosure obligations	189,093															
33	Loans and advances	167,386															
34	Debt securities	21,699															
35	Equity instruments	8															
36	Derivatives	7,583															
37	On demand interbank loans	5,124															
38	Cash and cash-related assets	1,004															
39	Other categories of assets (e.g. Goodwill, commodities etc.)	34,122															
40	Total assets	1,221,989															
Off-balance sheet exposures (stock) to Undertakings subject to CSRD disclosure obligations and local governments																	
41	Financial guarantees	885	134	106	106	—	—	—	—	—	—	—	50	—	—	—	—
42	Assets under management ⁵	3,437	1,286	269	269	—	—	—	—	—	—	—	—	—	—	—	—
43	of which debt securities	1,998	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
44	of which equity instruments	1,439	1,286	269	269	—	—	—	—	—	—	—	—	—	—	—	—

Schedule to the Sustainability Statement

Schedule B: EU Taxonomy

1. Assets for the calculation of GAR stock - CapEx based (2025)

	Stock (Million GBP) ^{1,2}	a	b	c	d	e	f	g	h	i	j	k	l	m	n	o	p
		Total [gross] carrying amount	Of which Taxonomy eligible	Of which Taxonomy aligned	Breakdown per environmental objective						Of which Use of Proceeds	Of which transitional	Of which enabling	Non- assessed exposures ⁶	Of which financing non material activities of counter- parties	Of which exposures financing counter- parties reporting in accordance with Article 7(9)	Of which not assessed considered non- material by the credit institution
					Climate Change Mitigation (CCM) ³	Climate Change Adaptation (CCA)	Water and marine resources (WTR)	Circular economy (CE)	Pollution (PPC)	Biodiversity and Ecosystems (BIO)							
1	GAR - Covered assets in both numerator and denominator	22,754	8,744	634	617	10	—	7	—	—	50	24	403	—	—	—	—
2	Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	22,754	8,744	634	617	10	—	7	—	—	50	24	403	—	—	—	—
3	Financial undertakings	15,535	2,807	268	266	2	—	—	—	—	—	15	139	—	—	—	—
4	Loans and advances	12,370	2,488	200	198	2	—	—	—	—	—	14	83	—	—	—	—
5	Debt securities, including UoP	3,165	319	68	68	—	—	—	—	—	—	1	56	—	—	—	—
6	Equity instruments	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
7	Non-financial undertakings	2,102	820	366	351	8	—	7	—	—	50	9	264	—	—	—	—
8	Loans and advances	2,007	809	366	351	8	—	7	—	—	50	9	264	—	—	—	—
9	Debt securities, including UoP	69	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
10	Equity instruments	26	11	—	—	—	—	—	—	—	—	—	—	—	—	—	—
11	Households	5,117	5,117	—	—	—	—	—	—	—	—	—	—	—	—	—	—
12	of which loans collateralised by residential immovable property ⁴	5,117	5,117	—	—	—	—	—	—	—	—	—	—	—	—	—	—
13	of which building renovation loans	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
14	of which motor vehicle loans	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
15	Local governments financing	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
16	Housing financing	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
17	Other local government financing	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
18	Collateral obtained by taking possession: residential and commercial immovable properties	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
19	Exposures included on a voluntary basis	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
20	Total GAR assets	22,754	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
21	Assets not covered for GAR calculation	1,226,395	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—

Schedule to the Sustainability Statement

Schedule B: EU Taxonomy

1. Assets for the calculation of GAR stock- CapEx based (2025) (Continued)																	
		a	b	c	d	e	f	g	h	i	j	k	l	m	n	o	p
22	Central governments and Supranational issuers	69,764															
23	Central banks exposure	221,615															
24	Trading book	662,284															
25	Undertakings and entities not subject to CSRD	237,905															
26	SMEs and undertakings (other than SMEs) not subject to CSRD disclosure obligations	24,216															
27	Loans and advances	16,040															
28	of which loans collateralised by commercial immovable property	—															
29	of which building renovation loans	—															
30	Debt securities	8,176															
31	Equity instruments	—															
32	Non-EU country counterparties not subject to CSRD disclosure obligations	213,689															
33	Loans and advances	196,374															
34	Debt securities	17,159															
35	Equity instruments	156															
36	Derivatives	4,465															
37	On demand interbank loans	4,923															
38	Cash and cash-related assets	747															
39	Other categories of assets (e.g. Goodwill, commodities etc.)	24,692															
40	Total assets	1,249,149															
Off-balance sheet exposures (stock) to Undertakings subject to CSRD disclosure obligations and local governments																	
41	Financial guarantees	923	308	164	160	—	4	—	—	—	—	4	101	—	—	—	—
42	Assets under management ⁵	2,328	1,591	78	78	—	—	—	—	—	—	—	—	—	—	—	—
43	of which debt securities	510	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
44	of which equity instruments	1,818	1,591	78	78	—	—	—	—	—	—	—	—	—	—	—	—

Schedule to the Sustainability Statement

Schedule B: EU Taxonomy

1. Assets for the calculation of GAR stock- CapEx based (2024)

Stock (Million GBP) ^{1,2,7}		a	b	c	d	e	f	g	h	i	j	k	l	m	n	o	p
		Total [gross] carrying amount	Of which Taxonomy eligible	Of which Taxonomy aligned	Breakdown per environmental objective						Of which Use of Proceeds	Of which transitional	Of which enabling	Non- assessed exposures ⁶	Of which financin g non material activities of counter- parties	Of which exposures financing counter- parties reporting in accordance with Article 7(9)	Of which not assessed considered non- material by the credit institution
					Climate Change Mitigation (CCM) ³	Climate Change Adaptation (CCA)	Water and marine resources (WTR)	Circular economy (CE)	Pollution (PPC)	Biodiversity and Ecosystems (BIO)							
1	GAR - Covered assets in both numerator and denominator	12,599	2,828	456	450	6	—	—	—	—	—	15	294	—	—	—	—
2	Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	12,599	2,828	456	450	6	—	—	—	—	—	15	294	—	—	—	—
3	Financial undertakings	10,144	1,558	186	186	—	—	—	—	—	—	3	80	—	—	—	—
4	Loans and advances	8,567	1,277	112	112	—	—	—	—	—	—	3	14	—	—	—	—
5	Debt securities, including UoP	1,577	281	74	74	—	—	—	—	—	—	—	66	—	—	—	—
6	Equity instruments	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
7	Non-financial undertakings	1,897	712	270	264	6	—	—	—	—	—	12	214	—	—	—	—
8	Loans and advances	1,805	706	270	264	6	—	—	—	—	—	12	214	—	—	—	—
9	Debt securities, including UoP	79	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
10	Equity instruments	13	6	—	—	—	—	—	—	—	—	—	—	—	—	—	—
11	Households	558	558	—	—	—	—	—	—	—	—	—	—	—	—	—	—
12	of which loans collateralised by residential immovable property ⁴	558	558	—	—	—	—	—	—	—	—	—	—	—	—	—	—
13	of which building renovation loans	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
14	of which motor vehicle loans	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
15	Local governments financing	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
16	Housing financing	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
17	Other local government financing	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
18	Collateral obtained by taking possession: residential and commercial immovable properties	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
19	Exposures included on a voluntary basis	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
20	Total GAR assets ⁷	279,592	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
21	Assets not covered for GAR calculation	1,209,390	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
22	Central governments and Supranational issuers	70,958	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
23	Central banks exposure	192,588	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
24	Trading book	678,851	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—

Schedule to the Sustainability Statement

Schedule B: EU Taxonomy

1. Assets for the calculation of GAR stock- CapEx based (2024) (Continued)

		a	b	c	d	e	f	g	h	i	j	k	l	m	n	o	p
25	Undertakings and entities not subject to CSRD	219,160															
26	SMEs and undertakings (other than SMEs) not subject to CSRD disclosure obligations	30,067															
27	Loans and advances	23,314															
28	of which loans collateralised by commercial immovable property	—															
29	of which building renovation loans	—															
30	Debt securities	6,749															
31	Equity instruments	4															
32	Non-EU country counterparties not subject to CSRD disclosure obligations	189,093															
33	Loans and advances	167,386															
34	Debt securities	21,699															
35	Equity instruments	8															
36	Derivatives	7,583															
37	On demand interbank loans	5,124															
38	Cash and cash-related assets	1,004															
39	Other categories of assets (e.g. Goodwill, commodities etc.)	34,122															
40	Total assets	1,221,989															
Off-balance sheet exposures (stock) to Undertakings subject to CSRD disclosure obligations and local governments																	
41	Financial guarantees	885	300	242	242	—	—	—	—	—	—	7	124	—	—	—	—
42	Assets under management ⁵	3,437	1,279	524	524	—	—	—	—	—	—	—	—	—	—	—	—
43	of which debt securities	1,998	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
44	of which equity instruments	1,439	1,279	524	524	—	—	—	—	—	—	—	—	—	—	—	—

Notes:

- Gross carrying amount excludes impairment allowances for all banking book exposures. As a result, total assets reported in this template differs to that reported on the Bank's balance sheet by the extent of impairment allowances.
- Cash collateral and settlement balances have been included under loans and advances.
- In cases where a breakdown of taxonomy eligibility and alignment is not available for the six EU Taxonomy environment objectives, taxonomy eligibility and alignment are reported under the objective of CCM in the above template.
- Our reporting in relation to household loans collateralised by residential immovable property now includes exposures to non-EU customers of £4,742m. Our FY24 reporting in relation to household loans collateralised by residential immovable property excluded exposures to non-EU customers of £4,618m. Household loans collateralised by residential immovable properties £5,117m (2024: £558m) were considered 100% taxonomy eligible but not taxonomy aligned.
- For AUMs of financial institutions that are subject to CSRD disclosure obligations, no eligibility or alignment assessment was performed to avoid double counting, in line with the Third Commission Notice published on 8 November 2024. Taxonomy eligibility and alignment is reported for non-financial corporates.
- Non-assessed exposures refer to counterparty exposures subject to CSRD and included within total GAR assets, for which Taxonomy eligibility and alignment were not assessed. As all such exposures have been assessed, these are reported as Nil under both the Turnover-based and CapEx-based KPIs.
- In line with FAQ 4 of the draft commission notice dated 17 December 2025, we are reporting prior year comparatives for 31 December 2024 using the numbers as reported last year, but using the new simplified templates. We have therefore reported total GAR assets above of £279,592m at 31 December 2024. This includes £219,160m for exposures to undertakings not subject to CSRD disclosure obligations, £7,583m for derivatives, £5,124m for On demand interbank loans, £1,004m for Cash and cash-related assets, and £34,122m for Other categories of assets (e.g. Goodwill, commodities etc.). These numbers are shown in the table above, below the Total GAR assets, in accordance with the format of the new simplified template.

Schedule to the Sustainability Statement

Schedule B: EU Taxonomy

1. Assets for the calculation of GAR Flow- Turnover based (2025)

	Flow (Million GBP) ^{1,2}	a	b	c	d	e	f	g	h	i	j	k	l	m	n	o	p
		Total [gross] carrying amount	Of which Taxonomy eligible	Of which Taxonomy aligned	Breakdown per environmental objective						Of which Use of Proceeds	Of which transitional	Of which enabling	Non- assessed exposures ⁴	Of which financing non- material activities of counter- parties	Of which exposures financing counter- parties reporting in accordance with Article 7(9)	Of which not assessed considered non- material by the credit institution
					Climate Change Mitigation (CCM) ³	Climate Change Adaptation (CCA)	Water and marine resources (WTR)	Circular economy (CE)	Pollution (PPC)	Biodiversity and Ecosystems (BIO)							
1	GAR - Covered assets in both numerator and denominator	2,915	894	45	37	8	—	—	—	—	—	1	41	—	—	—	—
2	Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	2,915	894	45	37	8	—	—	—	—	—	1	41	—	—	—	—
3	Financial undertakings	1,841	198	16	16	—	—	—	—	—	—	—	15	—	—	—	—
4	Loans and advances	583	195	16	16	—	—	—	—	—	—	—	15	—	—	—	—
5	Debt securities, including UoP	1,258	3	—	—	—	—	—	—	—	—	—	—	—	—	—	—
6	Equity instruments	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
7	Non-financial undertakings	439	61	29	21	8	—	—	—	—	—	1	26	—	—	—	—
8	Loans and advances	425	58	29	21	8	—	—	—	—	—	1	26	—	—	—	—
9	Debt securities, including UoP	1	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
10	Equity instruments	13	3	—	—	—	—	—	—	—	—	—	—	—	—	—	—
11	Households	635	635	—	—	—	—	—	—	—	—	—	—	—	—	—	—
12	of which loans collateralised by residential immovable property	635	635	—	—	—	—	—	—	—	—	—	—	—	—	—	—
13	of which building renovation loans	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
14	of which motor vehicle loans	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
15	Local governments financing	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
16	Housing financing	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
17	Other local government financing	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
18	Collateral obtained by taking possession: residential and commercial immovable properties	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
19	Exposures included on a voluntary basis	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
20	Total GAR assets	2,915	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—

Schedule to the Sustainability Statement

Schedule B: EU Taxonomy

1. Assets for the calculation of GAR flow- Turnover based (2025) (Continued)																	
		a	b	c	d	e	f	g	h	i	j	k	l	m	n	o	p
21	Assets not covered for GAR calculation	77,530															
22	Central governments and Supranational issuers	17,297															
23	Central banks exposure	1,756															
24	Trading book	1,553															
25	Undertakings and entities not subject to CSRD	52,666															
26	SMEs and undertakings (other than SMEs) not subject to CSRD disclosure obligations	7,820															
27	Loans and advances	5,228															
28	of which loans collateralised by commercial immovable property	—															
29	of which building renovation loans	—															
30	Debt securities	2,592															
31	Equity instruments	—															
32	Non-EU country counterparties not subject to CSRD disclosure obligations	44,846															
33	Loans and advances	39,676															
34	Debt securities	5,167															
35	Equity instruments	3															
36	Derivatives	—															
37	On demand interbank loans	2,284															
38	Cash and cash-related assets	—															
39	Other categories of assets (e.g. Goodwill, commodities etc.)	1,974															
40	Total assets	80,445															
Off-balance sheet exposures (flow) to Undertakings subject to CSRD disclosure obligations and local governments																	
41	Financial guarantees	585	23	8	7	—	1	—	—	—	—	—	3	—	—	—	—
42	Assets under management ¹	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
43	of which debt securities	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
44	of which equity instruments	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—

Schedule to the Sustainability Statement

Schedule B: EU Taxonomy

1. Assets for the calculation of GAR Flow- Turnover based (2024)

	Flow (Million GBP) ^{1,2,5}	a	b	c	d	e	f	g	h	i	j	k	l	m	n	o	p
		Total [gross] carrying amount	Of which Taxonomy eligible	Of which Taxonomy aligned	Breakdown per environmental objective						Of which Use of Proceeds	Of which transitional	Of which enabling	Non- assessed exposures ⁴	Of which financing non material activities of counter- parties	Of which exposures financing counter- parties reporting in accordance with Article 7(9)	Of which not assessed considered non- material by the credit institution
					Climate Change Mitigati on (CCM) ³	Climate Change Adaptation (CCA)	Water and marine resources (WTR)	Circular economy (CE)	Pollution (PPC)	Biodiversity and Ecosystems (BIO)							
1	GAR - Covered assets in both numerator and denominator	1,413	243	42	42	—	—	—	—	—	—	1	6	—	—	—	—
2	Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	1,413	243	42	42	—	—	—	—	—	—	1	6	—	—	—	—
3	Financial undertakings	1,163	134	10	10	—	—	—	—	—	—	—	1	—	—	—	—
4	Loans and advances	740	84	3	3	—	—	—	—	—	—	—	1	—	—	—	—
5	Debt securities, including UoP	423	50	7	7	—	—	—	—	—	—	—	—	—	—	—	—
6	Equity instruments	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
7	Non-financial undertakings	250	109	32	32	—	—	—	—	—	—	1	5	—	—	—	—
8	Loans and advances	237	108	32	32	—	—	—	—	—	—	1	5	—	—	—	—
9	Debt securities, including UoP	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
10	Equity instruments	13	1	—	—	—	—	—	—	—	—	—	—	—	—	—	—
11	Households	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
12	of which loans collateralised by residential immovable property	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
13	of which building renovation loans	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
14	of which motor vehicle loans	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
15	Local governments financing	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
16	Housing financing	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
17	Other local government financing	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
18	Collateral obtained by taking possession: residential and commercial immovable properties	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
19	Exposures included on a voluntary basis	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
20	Total GAR assets ⁵	59,823												—	—	—	—
21	Assets not covered for GAR calculation	109,452															
22	Central governments and Supranational issuers	25,560															

Schedule to the Sustainability Statement

Schedule B: EU Taxonomy

1.Assets for the calculation of GAR Flow- Turnover based (2024) (Continued)

		a	b	c	d	e	f	g	h	i	j	k	l	m	n	o	p
23	Central banks exposure	1,774															
24	Trading book	23,708															
25	Undertakings and entities not subject to CSRD	46,384															
26	SMEs and undertakings (other than SMEs) not subject to CSRD disclosure obligations	8,756															
27	Loans and advances	5,020															
28	of which loans collateralised by commercial immovable property	—															
29	of which building renovation loans	—															
30	Debt securities	3,736															
31	Equity instruments	—															
32	Non-EU country counterparties not subject to CSRD disclosure obligations	37,628															
33	Loans and advances	27,855															
34	Debt securities	9,773															
35	Equity instruments	—															
36	Derivatives	2,386															
37	On demand interbank loans	805															
38	Cash and cash-related assets	—															
39	Other categories of assets (e.g. Goodwill, commodities etc.)	8,835															
40	Total assets	110,865															
Off-balance sheet exposures (flow) to Undertakings subject to CSRD disclosure obligations and local governments																	
41	Financial guarantees	74	11	9	9	—	—	—	—	—	—	—	5	—	—	—	—
42	Assets under management ¹	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
43	of which debt securities	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
44	of which equity instruments	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—

Schedule to the Sustainability Statement

Schedule B: EU Taxonomy

1. Assets for the calculation of GAR flow - CapEx based (2025)

	Flow (Million GBP) ^{1,2}	a	b	c	d	e	f	g	h	i	j	k	l	m	n	o	p
		Total [gross] carrying amount	Of which Taxonomy eligible	Of which Taxonomy aligned	Breakdown per environmental objective						Of which Use of Proceeds	Of which transitional	Of which enabling	Non- assessed exposures ⁴	Of which financing non material activities of counter- parties	Of which exposures financing counter- parties reporting in accordance with Article 7(9)	Of which not assessed considered non- material by the credit institution
					Climate Change Mitigation (CCM) ³	Climate Change Adaptation (CCA)	Water and marine resources (WTR)	Circular economy (CE)	Pollution (PPC)	Biodiversity and Ecosystems (BIO)							
1	GAR - Covered assets in both numerator and denominator	2,915	957	141	135	3	—	3	—	—	—	—	119	—	—	—	—
2	Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	2,915	957	141	135	3	—	3	—	—	—	—	119	—	—	—	—
3	Financial undertakings	1,841	214	56	56	—	—	—	—	—	—	—	55	—	—	—	—
4	Loans and advances	583	211	56	56	—	—	—	—	—	—	—	55	—	—	—	—
5	Debt securities, including UoP	1,258	3	—	—	—	—	—	—	—	—	—	—	—	—	—	—
6	Equity instruments	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
7	Non-financial undertakings	439	108	85	79	3	—	3	—	—	—	—	64	—	—	—	—
8	Loans and advances	425	103	85	79	3	—	3	—	—	—	—	64	—	—	—	—
9	Debt securities, including UoP	1	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
10	Equity instruments	13	5	—	—	—	—	—	—	—	—	—	—	—	—	—	—
11	Households	635	635	—	—	—	—	—	—	—	—	—	—	—	—	—	—
12	of which loans collateralised by residential immovable property	635	635	—	—	—	—	—	—	—	—	—	—	—	—	—	—
13	of which building renovation loans	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
14	of which motor vehicle loans	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
15	Local governments financing	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
16	Housing financing	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
17	Other local government financing	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
18	Collateral obtained by taking possession: residential and commercial immovable properties	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
19	Exposures included on a voluntary basis	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
20	Total GAR assets	2,915	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
21	Assets not covered for GAR calculation	77,530	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
22	Central governments and Supranational issuers	17,297	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
23	Central banks exposure	1,756	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
24	Trading book	1,553	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—

Schedule to the Sustainability Statement

Schedule B: EU Taxonomy

1. Assets for the calculation of GAR flow- CapEx based (2025) (Continued)																	
		a	b	c	d	e	f	g	h	i	j	k	l	m	n	o	p
25	Undertakings and entities not subject to CSRD	52,666															
26	SMEs and undertakings (other than SMEs) not subject to CSRD disclosure obligations	7,820															
27	Loans and advances	5,228															
28	of which loans collateralised by commercial immovable property	—															
29	of which building renovation loans	—															
30	Debt securities	2,592															
31	Equity instruments	—															
32	Non-EU country counterparties not subject to CSRD disclosure obligations	44,846															
33	Loans and advances	39,676															
34	Debt securities	5,167															
35	Equity instruments	3															
36	Derivatives	—															
37	On demand interbank loans	2,284															
38	Cash and cash-related assets	—															
39	Other categories of assets (e.g. Goodwill, commodities etc.)	1,974															
40	Total assets	80,445															
Off-balance sheet exposures (flow) to Undertakings subject to CSRD disclosure obligations and local governments																	
41	Financial guarantees	585	116	28	25	—	3	—	—	—	—	—	10	—	—	—	—
42	Assets under management ¹	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
43	of which debt securities	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
44	of which equity instruments	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—

Schedule to the Sustainability Statement

Schedule B: EU Taxonomy

1. Assets for the calculation of GAR flow- CapEx based (2024)

	Flow (Million GBP) ^{1,2,5}	a	b	c	d	e	f	g	h	i	j	k	l	m	n	o	p
		Total [gross] carrying amount	Of which Taxonomy eligible	Of which Taxonomy aligned	Breakdown per environmental objective						Of which Use of Proceeds	Of which transitional	Of which enabling	Non- assessed exposures ⁴	Of which financing non material activities of counter- parties	Of which exposures financing counter- parties reporting in accordance with Article 7(9)	Of which not assessed considered non- material by the credit institution
					Climate Change Mitigation (CCM) ³	Climate Change Adaptation (CCA)	Water and marine resources (WTR)	Circular economy (CE)	Pollution (PPC)	Biodiversity and Ecosystems (BIO)							
1	GAR - Covered assets in both numerator and denominator	1,413	439	70	68	2	—	—	—	—	—	2	35	—	—	—	—
2	Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	1,413	439	70	68	2	—	—	—	—	—	2	35	—	—	—	—
3	Financial undertakings	1,163	307	26	26	—	—	—	—	—	—	—	6	—	—	—	—
4	Loans and advances	740	257	19	19	—	—	—	—	—	—	—	6	—	—	—	—
5	Debt securities, including UoP	423	50	7	7	—	—	—	—	—	—	—	—	—	—	—	—
6	Equity instruments	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
7	Non-financial undertakings	250	132	44	42	2	—	—	—	—	—	2	29	—	—	—	—
8	Loans and advances	237	126	44	42	2	—	—	—	—	—	2	29	—	—	—	—
9	Debt securities, including UoP	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
10	Equity instruments	13	6	—	—	—	—	—	—	—	—	—	—	—	—	—	—
11	Households	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
12	of which loans collateralised by residential immovable property ⁵	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
13	of which building renovation loans	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
14	of which motor vehicle loans	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
15	Local governments financing	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
16	Housing financing	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
17	Other local government financing	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
18	Collateral obtained by taking possession: residential and commercial immovable properties	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
19	Exposures included on a voluntary basis	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
20	Total GAR assets ⁵	59,823	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
21	Assets not covered for GAR calculation	109,452	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
22	Central governments and Supranational issuers	25,560	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—

Schedule to the Sustainability Statement

Schedule B: EU Taxonomy

1. Assets for the calculation of GAR Flow- CapEx based (2024) (Continued)

		a	b	c	d	e	f	g	h	i	j	k	l	m	n	o	p
23	Central banks exposure	1,774															
24	Trading book	23,708															
25	Undertakings and entities not subject to CSRD	46,384															
26	SMEs and undertakings (other than SMEs) not subject to CSRD disclosure obligations	8,756															
27	Loans and advances	5,020															
28	of which loans collateralised by commercial immovable property	—															
29	of which building renovation loans	—															
30	Debt securities	3,736															
31	Equity instruments	—															
32	Non-EU country counterparties not subject to CSRD disclosure obligations	37,628															
33	Loans and advances	27,855															
34	Debt securities	9,773															
35	Equity instruments	—															
36	Derivatives	2,386															
37	On demand interbank loans	805															
38	Cash and cash-related assets	—															
39	Other categories of assets (e.g. Goodwill, commodities etc.)	8,835															
40	Total assets	110,865															
Off-balance sheet exposures (flow) to Undertakings subject to CSRD disclosure obligations and local governments																	
41	Financial guarantees	74	39	33	33	—	—	—	—	—	—	2	19	—	—	—	—
42	Assets under management ¹	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
43	of which debt securities	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
44	of which equity instruments	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—

Notes:

- Flow for on-balance sheet exposures represents new assets originated/acquired during the year that remained on the balance sheet as of the reporting date. For AUMs, flow represents funds received during the year from clients from whom we had no AUM at the prior year end, and excludes new funds received from clients from whom we had AUM at the prior year end.
- Cash collateral and settlement balances have been excluded from loans and advances for flow calculation.
- In cases where a breakdown of taxonomy alignment is not available for the six EU Taxonomy environment objectives, taxonomy alignment is reported under the objective of CCM in the above template.
- Non-assessed exposures refer to counterparty exposures subject to CSRD and included within Total GAR Assets, for which Taxonomy eligibility and alignment were not assessed. As all such exposures have been assessed, these are reported Nil under both the Turnover-based and CapEx-based KPIs.
- In line with the requirement outlined FAQ 4 of the draft commission notice dated 17 December 2025, we are reporting prior year comparatives for 31 December 2024 using the numbers used to calculate the flow percentages for template 4 reported last year, but using the new simplified templates. We have therefore reported total flow for GAR assets above of £59,823m at 31 December 2024. This includes £46,384m for exposures to undertakings not subject to CSRD disclosure obligations, £2,386m for derivatives, £805m for On demand interbank loans, and £8,835m for Other categories of assets (e.g. Goodwill, commodities etc.). These numbers are shown in the table above, below the total flow for GAR assets, in accordance with the format of the new simplified template.

Schedule to the Sustainability Statement

Schedule B: EU Taxonomy

2. GAR sector information - Turnover based (2025)

	a	b	c	d	e	f	g	h	i	j
	Breakdown by sector - NACE 4 digits level (code and label) (Million GBP) ^{1,2,3,8}	Total [Gross] carrying amount	Of which Taxonomy eligible	Of which Taxonomy aligned	Climate Change Mitigation (CCM) ⁴	Climate Change Adaptation (CCA)	Water and marine resources (WTR)	Circular economy (CE)	Pollution (PPC)	Biodiversity and Ecosystems (BIO)
1	D 35.11 Production of electricity	258	89	48	48	—	—	—	—	—
2	C 29.10 Manufacture of motor vehicles	249	240	—	—	—	—	—	—	—
3	C 20.59 Manufacture of other chemical products n.e.c.	138	—	—	—	—	—	—	—	—
4	J 62.20 Computer consultancy and computer facilities management activities	136	28	—	—	—	—	—	—	—
5	J 61.90 Other telecommunications activities	91	6	3	2	—	—	1	—	—
6	D 35.12 Transmission of electricity	85	78	78	78	—	—	—	—	—
7	L 68.20 Renting and operating of own or leased real estate	79	5	—	—	—	—	—	—	—
8	G 46.71 Wholesale of solid, liquid and gaseous fuels and related products	75	—	—	—	—	—	—	—	—
9	P 84.11 - General public administration activities	69	—	—	—	—	—	—	—	—
10	C 20.14 Manufacture of other organic basic	68	9	1	1	—	—	—	—	—
11	Nuclear activities ^{5,7}	11	9	3						
12	Fossil gas activities ^{6,7}	535	32	—						
13	of which non-assessed exposures	—								

2. GAR sector information - Turnover based (2024)

	a	b	c	d	e	f	g	h	i	j
	Breakdown by sector - NACE 4 digits level (code and label) (Million GBP) ^{1,2,3,8}	Total [Gross] carrying amount	Of which Taxonomy eligible	Of which Taxonomy aligned	Climate Change Mitigation (CCM) ⁴	Climate Change Adaptation (CCA)	Water and marine resources (WTR)	Circular economy (CE)	Pollution (PPC)	Biodiversity and Ecosystems (BIO)
1	D 35.11 Production of electricity	25	14	12	12	—	—	—	—	—
2	C 29.10 Manufacture of motor vehicles	34	29	—	—	—	—	—	—	—
3	C 20.59 Manufacture of other chemical products n.e.c.	40	8	—	—	—	—	—	—	—
4	J 62.20 Computer consultancy and computer facilities management activities	144	10	—	—	—	—	—	—	—
5	J 61.90 Other telecommunications activities	262	15	4	4	—	—	—	—	—
6	D 35.12 Transmission of electricity	92	92	92	92	—	—	—	—	—
7	L 68.20 Renting and operating of own or leased real estate	63	7	—	—	—	—	—	—	—
8	G 46.71 Wholesale of solid, liquid and gaseous fuels and related products	—	—	—	—	—	—	—	—	—
9	P 84.11 - General public administration activities	—	—	—	—	—	—	—	—	—
10	C 20.14 Manufacture of other organic basic	112	14	2	2	—	—	—	—	—
11	Nuclear activities ^{5,7}	10	3	3						
12	Fossil gas activities ^{6,7}	140	2	—						
13	of which non-assessed exposures	—								

Schedule to the Sustainability Statement

Schedule B: EU Taxonomy

2. GAR sector information - CapEx based (2025)

	a	b	c	d	e	f	g	h	i	j
	Breakdown by sector - NACE 4 digits level (code and label) (Million GBP) ^{1,2,3,8}	Total [Gross] carrying amount	Of which Taxonomy eligible	Of which Taxonomy aligned	Climate Change Mitigation (CCM) ⁴	Climate Change Adaptation (CCA)	Water and marine resources (WTR)	Circular economy (CE)	Pollution (PPC)	Biodiversity and Ecosystems (BIO)
1	D 35.11 Production of electricity	258	168	153	153	—	—	—	—	—
2	C 29.10 Manufacture of motor vehicles	249	238	—	—	—	—	—	—	—
3	C 20.59 Manufacture of other chemical products n.e.c.	138	—	—	—	—	—	—	—	—
4	J 62.20 Computer consultancy and computer facilities management activities	136	56	1	1	—	—	—	—	—
5	J 61.90 Other telecommunications activities	91	9	6	—	—	—	6	—	—
6	D 35.12 Transmission of electricity	85	78	78	78	—	—	—	—	—
7	L 68.20 Renting and operating of own or leased real estate	79	5	—	—	—	—	—	—	—
8	G 46.71 Wholesale of solid, liquid and gaseous fuels and related products	75	—	—	—	—	—	—	—	—
9	P 84.11 - General public administration activities	69	—	—	—	—	—	—	—	—
10	C 20.14 Manufacture of other organic basic	68	17	3	3	—	—	—	—	—
11	Nuclear activities ^{5,7}	11	3	3						
12	Fossil gas activities ^{6,7}	535	12	—						
13	of which non-assessed exposures	—								

2. GAR sector information - CapEx based (2024)

	a	b	c	d	e	f	g	h	i	j
	Breakdown by sector - NACE 4 digits level (code and label) (Million GBP) ^{1,2,3,8}	Total [Gross] carrying amount	Of which Taxonomy eligible	Of which Taxonomy aligned	Climate Change Mitigation (CCM) ⁴	Climate Change Adaptation (CCA)	Water and marine resources (WTR)	Circular economy (CE)	Pollution (PPC)	Biodiversity and Ecosystems (BIO)
1	D 35.11 Production of electricity	25	24	22	22	—	—	—	—	—
2	C 29.10 Manufacture of motor vehicles	34	33	—	—	—	—	—	—	—
3	C 20.59 Manufacture of other chemical products n.e.c.	40	7	—	—	—	—	—	—	—
4	J 62.20 Computer consultancy and computer facilities management activities	144	75	1	1	—	—	—	—	—
5	J 61.90 Other telecommunications activities	262	25	1	1	—	—	—	—	—
6	D 35.12 Transmission of electricity	92	92	92	92	—	—	—	—	—
7	L 68.20 Renting and operating of own or leased real estate	63	7	—	—	—	—	—	—	—
8	G 46.71 Wholesale of solid, liquid and gaseous fuels and related products	—	—	—	—	—	—	—	—	—
9	P 84.11 - General public administration activities	—	—	—	—	—	—	—	—	—
10	C 20.14 Manufacture of other organic basic	112	26	6	6	—	—	—	—	—
11	Nuclear activities ^{5,7}	10	3	3						
12	Fossil gas activities ^{6,7}	140	2	—						
13	of which non-assessed exposures	—								

Schedule to the Sustainability Statement

Schedule B: EU Taxonomy

Notes:

1. This template includes banking book exposures to non-financial counterparties that are in scope of CSRD. Exposure to financial corporates, non-CSRD counterparties, sovereign and households are excluded, as they do not directly engage in Taxonomy-covered economic activities.
2. Counterparty exposures are aggregated by NACE 4 level sectors and these sectors are then ranked by total gross carrying amount, with the top 10 sectors reported, as required by Commission Delegated Regulation (EU) 2026/73..
3. This template does not include exposure to Mining & Quarrying as the sector is not considered as eligible under the EU Taxonomy Regulation.
4. In cases where a breakdown of Taxonomy alignment is not available for the six environmental objectives, taxonomy alignment is reported under the objective of CCM in the above template.
5. The taxonomy eligibility and alignment of the counterparties in nuclear activities are based on their reported taxonomy eligibility and alignment of the nuclear activities as referred to in Sections 4.26, 4.27 and 4.28 of Annexes I and II to Delegated Regulation (EU) 2021/2139.
6. The taxonomy eligibility and alignment of the counterparties in fossil gas activities are based on their reported taxonomy eligibility and alignment of the fossil gas activities as referred to in Sections 4.29, 4.30 and 4.31 of Annexes I and II to Delegated Regulation (EU) 2021/2139.
7. Exposures to counterparties engaged in both nuclear and fossil fuel activities are allocated to the most relevant activity of the two, as disclosed by counterparties in their annual report, ensuring no double counting.
8. Manufacture of electricity distribution and control apparatus, Construction of other civil engineering projects, Wireless telecommunications activities, Renting and leasing of cars and light motor vehicles, Computing infrastructure, data processing, hosting and related activities were in the top 10 sectors at Dec 24 but not at Dec 25, and our exposure to those sectors at Dec'24 were £101m, £70m, £67m, £51m, £46m respectively.

Schedule to the Sustainability Statement

Schedule B: EU Taxonomy

3. GAR KPI stock - Turnover based (2025)

% (compared to corresponding total covered assets in the denominator)		a	b	c	d	e	f	g	h	i	j	k	l	m
		Taxonomy eligible ¹	Taxonomy aligned ²	Breakdown per environmental objective ²						Of which Use of Proceeds ²	Of which transitional ²	Of which enabling ²	Proportion of Taxonomy aligned in Taxonomy eligible ³	Non-assessed exposures
				Climate Change Mitigation (CCM)	Climate Change Adaptation (CCA)	Water and marine resources (WTR)	Circular economy (CE)	Pollution (PPC)	Biodiversity and Ecosystems (BIO)					
1	GAR - Covered assets in both numerator and denominator	37.31 %	1.69 %	1.65 %	0.04 %	— %	— %	— %	— %	0.06 %	0.10 %	0.94 %	4.52 %	— %
2	Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	37.31 %	1.69 %	1.65 %	0.04 %	— %	— %	— %	— %	0.06 %	0.10 %	0.94 %	4.52 %	— %
3	Financial undertakings	17.41 %	1.05 %	1.05 %	— %	— %	— %	— %	— %	— %	0.09 %	0.29 %	6.03 %	— %
4	Loans and advances	19.43 %	1.10 %	1.10 %	— %	— %	— %	— %	— %	— %	0.11 %	0.24 %	5.66 %	— %
5	Debt securities, including UoP	9.54 %	0.85 %	0.85 %	— %	— %	— %	— %	— %	— %	0.03 %	0.47 %	8.94 %	— %
6	Equity instruments	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
7	Non-financial undertakings	31.78 %	10.51 %	10.09 %	0.38 %	— %	0.05 %	— %	— %	0.62 %	0.38 %	8.09 %	33.08 %	— %
8	Loans and advances	33.03 %	11.01 %	10.56 %	0.40 %	— %	0.05 %	— %	— %	0.65 %	0.40 %	8.47 %	33.33 %	— %
9	Debt securities, including UoP	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
10	Equity instruments	19.23 %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
11	Households	100.00 %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
12	of which loans collateralised by residential immovable property	100.00 %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
13	of which building renovation loans	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
14	of which motor vehicle loans	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
15	Local governments financing	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
16	Housing financing	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
17	Other local government financing	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
18	Collateral obtained by taking possession: residential and commercial immovable properties	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
19	Exposures included on a voluntary basis	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
20	GAR-Total GAR assets	37.31 %	1.69 %	1.65 %	0.04 %	— %	— %	— %	— %	0.06 %	0.10 %	0.94 %	4.52 %	— %

Schedule to the Sustainability Statement

Schedule B: EU Taxonomy

3. GAR KPI stock - Turnover based (2024)

% (compared to corresponding total covered assets in the denominator)		a	b	c	d	e	f	g	h	i	j	k	l	m
		Taxonomy eligible ¹	Taxonomy aligned ²	Breakdown per environmental objective ²						Of which Use of Proceeds ²	Of which transitional ²	Of which enabling ²	Proportion of Taxonomy aligned in Taxonomy eligible ³	Non-assessed exposures
				Climate Change Mitigation (CCM)	Climate Change Adaptation (CCA)	Water and marine resources (WTR)	Circular economy (CE)	Pollution (PPC)	Biodiversity and Ecosystems (BIO)					
1	GAR - Covered assets in both numerator and denominator	19.45 %	2.69 %	2.67 %	0.02 %	— %	— %	— %	— %	— %	0.09 %	1.59 %	13.84 %	— %
2	Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	19.45 %	2.69 %	2.67 %	0.02 %	— %	— %	— %	— %	— %	0.09 %	1.59 %	13.84 %	— %
3	Financial undertakings	13.21 %	1.15 %	1.14 %	0.01 %	— %	— %	— %	— %	— %	0.03 %	0.29 %	8.73 %	— %
4	Loans and advances	12.52 %	1.00 %	0.99 %	0.01 %	— %	— %	— %	— %	— %	0.02 %	0.07 %	8.01 %	— %
5	Debt securities, including UoP	16.93 %	1.97 %	1.97 %	— %	— %	— %	— %	— %	— %	0.06 %	1.46 %	11.61 %	— %
6	Equity instruments	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
7	Non-financial undertakings	29.10 %	11.70 %	11.65 %	0.05 %	— %	— %	— %	— %	— %	0.42 %	9.01 %	40.22 %	— %
8	Loans and advances	30.53 %	12.30 %	12.24 %	0.06 %	— %	— %	— %	— %	— %	0.44 %	9.47 %	40.29 %	— %
9	Debt securities, including UoP	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
10	Equity instruments	7.69 %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
11	Households	100.00 %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
12	of which loans collateralised by residential immovable property	100.00 %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
13	of which building renovation loans	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
14	of which motor vehicle loans	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
15	Local governments financing	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
16	Housing financing	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
17	Other local government financing	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
18	Collateral obtained by taking possession: residential and commercial immovable properties	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
19	Exposures included on a voluntary basis	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
20	GAR-Total GAR assets	0.88 %	0.12 %	0.12 %	— %	— %	— %	— %	— %	— %	— %	0.07 %	13.84 %	— %

Schedule to the Sustainability Statement

Schedule B: EU Taxonomy

3. GAR KPI stock - Capex based (2025)

% (compared to corresponding total covered assets in the denominator)		a	b	c	d	e	f	g	h	i	j	k	l	m
		Taxonomy eligible ¹	Taxonomy aligned ²	Breakdown per environmental objective ²						Of which Use of Proceeds ²	Of which transitional ²	Of which enabling ²	Proportion of Taxonomy aligned in Taxonomy eligible ³	Non-assessed exposures
				Climate Change Mitigation (CCM)	Climate Change Adaptation (CCA)	Water and marine resources (WTR)	Circular economy (CE)	Pollution (PPC)	Biodiversity and Ecosystems (BIO)					
1	GAR - Covered assets in both numerator and denominator	38.43 %	2.79 %	2.71 %	0.04 %	— %	0.03 %	— %	— %	0.22 %	0.11 %	1.77 %	7.25 %	— %
2	Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	38.43 %	2.79 %	2.71 %	0.04 %	— %	0.03 %	— %	— %	0.22 %	0.11 %	1.77 %	7.25 %	— %
3	Financial undertakings	18.07 %	1.73 %	1.71 %	0.01 %	— %	— %	— %	— %	— %	0.10 %	0.89 %	9.55 %	— %
4	Loans and advances	20.11 %	1.62 %	1.60 %	0.02 %	— %	— %	— %	— %	— %	0.11 %	0.67 %	8.04 %	— %
5	Debt securities, including UoP	10.08 %	2.15 %	2.15 %	— %	— %	— %	— %	— %	— %	0.03 %	1.77 %	21.32 %	— %
6	Equity instruments	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
7	Non-financial undertakings	39.01 %	17.41 %	16.70 %	0.38 %	— %	0.33 %	— %	— %	2.38 %	0.43 %	12.56 %	44.63 %	— %
8	Loans and advances	40.31 %	18.24 %	17.49 %	0.40 %	— %	0.35 %	— %	— %	2.49 %	0.45 %	13.15 %	45.24 %	— %
9	Debt securities, including UoP	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
10	Equity instruments	42.31 %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
11	Households	100.00 %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
12	of which loans collateralised by residential immovable property	100.00 %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
13	of which building renovation loans	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
14	of which motor vehicle loans	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
15	Local governments financing	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
16	Housing financing	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
17	Other local government financing	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
18	Collateral obtained by taking possession: residential and commercial immovable properties	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
19	Exposures included on a voluntary basis	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
20	GAR-Total GAR assets	38.43 %	2.79 %	2.71 %	0.04 %	— %	0.03 %	— %	— %	0.22 %	0.11 %	1.77 %	7.25 %	— %

Schedule to the Sustainability Statement

Schedule B: EU Taxonomy

3. GAR KPI stock - CapEx based (2024)

% (compared to corresponding total covered assets in the denominator)		a	b	c	d	e	f	g	h	i	j	k	l	m
		Taxonomy eligible ¹	Taxonomy aligned ²	Breakdown per environmental objective ²						Of which Use of Proceeds ²	Of which transitional ²	Of which enabling ²	Proportion of Taxonomy aligned in Taxonomy eligible ³	Non-assessed exposures
				Climate Change Mitigation (CCM)	Climate Change Adaptation (CCA)	Water and marine resources (WTR)	Circular economy (CE)	Pollution (PPC)	Biodiversity and Ecosystems (BIO)					
1	GAR - Covered assets in both numerator and denominator	22.45 %	3.62 %	3.57 %	0.05 %	— %	— %	— %	— %	— %	0.12 %	2.33 %	16.12 %	— %
2	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	22.45 %	3.62 %	3.57 %	0.05 %	— %	— %	— %	— %	— %	0.12 %	2.33 %	16.12 %	— %
3	Financial undertakings	15.36 %	1.83 %	1.83 %	— %	— %	— %	— %	— %	— %	0.03 %	0.79 %	11.94 %	— %
4	Loans and advances	14.91 %	1.31 %	1.31 %	— %	— %	— %	— %	— %	— %	0.03 %	0.16 %	8.77 %	— %
5	Debt securities, including UoP	17.82 %	4.69 %	4.69 %	— %	— %	— %	— %	— %	— %	— %	4.19 %	26.33 %	— %
6	Equity instruments	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
7	Non-financial undertakings	37.53 %	14.23 %	13.92 %	0.32 %	— %	— %	— %	— %	— %	0.63 %	11.28 %	37.92 %	— %
8	Loans and advances	39.11 %	14.96 %	14.63 %	0.33 %	— %	— %	— %	— %	— %	0.66 %	11.86 %	38.24 %	— %
9	Debt securities, including UoP	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
10	Equity instruments	46.15 %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
11	Households	100.00 %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
12	of which loans collateralised by residential immovable property	100.00 %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
13	of which building renovation loans	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
14	of which motor vehicle loans	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
15	Local governments financing	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
16	Housing financing	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
17	Other local government financing	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
18	Collateral obtained by taking possession: residential and commercial immovable properties	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
19	Exposures included on a voluntary basis	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
20	GAR-Total GAR assets	1.01 %	0.16 %	0.16 %	— %	— %	— %	— %	— %	— %	0.01 %	0.11 %	16.12 %	— %

Notes:

1. Taxonomy eligible is calculated as total gross carrying amount eligible for the respective EU Taxonomy environmental objective over the total gross carrying amount reported in Template 1 for the respective row.
2. Taxonomy aligned is calculated as total gross carrying amount aligned for the respective EU Taxonomy environmental objective over the total gross carrying amount reported in Template 1 for the respective row.
3. Proportion of Taxonomy aligned in Taxonomy eligible is calculated as taxonomy aligned exposures over taxonomy eligible exposures reported in Template 1 for the respective row.

Schedule to the Sustainability Statement

Schedule B: EU Taxonomy

4. GAR KPI flow - Turnover based (2025)

% (compared to corresponding total covered assets in the denominator) ^{1,2,3}		a	b	c	d	e	f	g	h	i	j	k	l	m
		Taxonomy eligible ⁴	Taxonomy aligned ⁵	Breakdown per environmental objective ⁵						Of which Use of Proceeds ⁵	Of which transitional ⁵	Of which enabling ⁵	Proportion of Taxonomy aligned in Taxonomy eligible ⁶	Non-assessed exposures ⁷
				Climate Change Mitigation (CCM)	Climate Change Adaptation (CCA)	Water and marine resources (WTR)	Circular economy (CE)	Pollution (PPC)	Biodiversity and Ecosystems (BIO)					
1	GAR - Covered assets in both numerator and denominator	30.67 %	1.54 %	1.27 %	0.27 %	— %	— %	— %	— %	— %	0.03 %	1.41 %	5.03 %	— %
2	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	30.67 %	1.54 %	1.27 %	0.27 %	— %	— %	— %	— %	— %	0.03 %	1.41 %	5.03 %	— %
3	Financial undertakings	10.76 %	0.87 %	0.87 %	— %	— %	— %	— %	— %	— %	— %	0.81 %	8.08 %	— %
4	Loans and advances	33.45 %	2.74 %	2.74 %	— %	— %	— %	— %	— %	— %	— %	2.57 %	8.21 %	— %
5	Debt securities, including UoP	0.24 %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
6	Equity instruments	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
7	Non-financial undertakings	13.90 %	6.61 %	4.78 %	1.82 %	— %	— %	— %	— %	— %	0.23 %	5.92 %	47.54 %	— %
8	Loans and advances	13.65 %	6.82 %	4.94 %	1.88 %	— %	— %	— %	— %	— %	0.24 %	6.12 %	50.00 %	— %
9	Debt securities, including UoP	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
10	Equity instruments	23.08 %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
11	Households	100.00 %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
12	of which loans collateralised by residential immovable property	100.00 %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
13	of which building renovation loans	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
14	of which motor vehicle loans	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
15	Local governments financing	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
16	Housing financing	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
17	Other local government financing	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
18	Collateral obtained by taking possession: residential and commercial immovable properties	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
19	Exposures included on a voluntary basis	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
20	GAR-Total GAR assets	30.67 %	1.54 %	1.27 %	0.27 %	— %	— %	— %	— %	— %	0.03 %	1.41 %	5.03 %	— %

Schedule to the Sustainability Statement

Schedule B: EU Taxonomy

4. GAR KPI flow - Turnover based (2024)

% (compared to corresponding total covered assets in the denominator) ^{1,2,3}		a	b	c	d	e	f	g	h	i	j	k	l	m
		Taxonomy eligible ⁴	Taxonomy aligned ⁵	Breakdown per environmental objective ⁵						Of which Use of Proceeds ⁵	Of which transitional ⁵	Of which enabling ⁵	Proportion of Taxonomy aligned in Taxonomy eligible ⁶	Non-assessed exposures ⁷
				Climate Change Mitigation (CCM)	Climate Change Adaptation (CCA)	Water and marine resources (WTR)	Circular economy (CE)	Pollution (PPC)	Biodiversity and Ecosystems (BIO)					
1	GAR - Covered assets in both numerator and denominator	17.20 %	2.97 %	2.97 %	— %	— %	— %	— %	— %	— %	0.07 %	0.42 %	17.28 %	— %
2	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	17.20 %	2.97 %	2.97 %	— %	— %	— %	— %	— %	— %	0.07 %	0.42 %	17.28 %	— %
3	Financial undertakings	11.52 %	0.86 %	0.86 %	— %	— %	— %	— %	— %	— %	— %	0.09 %	7.46 %	— %
4	Loans and advances	11.35 %	0.41 %	0.41 %	— %	— %	— %	— %	— %	— %	— %	0.14 %	3.57 %	— %
5	Debt securities, including UoP	11.82 %	1.65 %	1.65 %	— %	— %	— %	— %	— %	— %	— %	— %	14.00 %	— %
6	Equity instruments	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
7	Non-financial undertakings	43.60 %	12.80 %	12.80 %	— %	— %	— %	— %	— %	— %	0.40 %	2.00 %	29.36 %	— %
8	Loans and advances	45.57 %	13.50 %	13.50 %	— %	— %	— %	— %	— %	— %	0.42 %	2.11 %	29.63 %	— %
9	Debt securities, including UoP	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
10	Equity instruments	7.69 %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
11	Households	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
12	of which loans collateralised by residential immovable property	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
13	of which building renovation loans	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
14	of which motor vehicle loans	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
15	Local governments financing	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
16	Housing financing	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
17	Other local government financing	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
18	Collateral obtained by taking possession: residential and commercial immovable properties	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
19	Exposures included on a voluntary basis	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
20	GAR-Total GAR assets	0.41 %	0.07 %	0.07 %	— %	— %	— %	— %	— %	— %	— %	0.01 %	17.28 %	— %

Schedule to the Sustainability Statement

Schedule B: EU Taxonomy

4. GAR KPI flow - CapEx based (2025)

% (compared to corresponding total covered assets in the denominator) ^{1,2,3}		a	b	c	d	e	f	g	h	i	j	k	l	m
		Taxonomy eligible ⁴	Taxonomy aligned ⁵	Breakdown per environmental objective ⁵						Of which Use of Proceeds ⁵	Of which transitional ⁵	Of which enabling ⁵	Proportion of Taxonomy aligned in Taxonomy eligible ⁶	Non-assessed exposures ⁷
				Climate Change Mitigation (CCM)	Climate Change Adaptation (CCA)	Water and marine resources (WTR)	Circular economy (CE)	Pollution (PPC)	Biodiversity and Ecosystems (BIO)					
1	GAR - Covered assets in both numerator and denominator	32.83 %	4.84 %	4.63 %	0.10 %	— %	0.10 %	— %	— %	— %	— %	4.08 %	14.73 %	— %
2	Loans and advances, debt securities and equity instruments not HFT eligible for GAR calculation	32.83 %	4.84 %	4.63 %	0.10 %	— %	0.10 %	— %	— %	— %	— %	4.08 %	14.73 %	— %
3	Financial undertakings	11.62 %	3.04 %	3.04 %	— %	— %	— %	— %	— %	— %	— %	2.99 %	26.17 %	— %
4	Loans and advances	36.19 %	9.61 %	9.61 %	— %	— %	— %	— %	— %	— %	— %	9.43 %	26.54 %	— %
5	Debt securities, including UoP	0.24 %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
6	Equity instruments	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
7	Non-financial undertakings	24.60 %	19.36 %	18.00 %	0.68 %	— %	0.68 %	— %	— %	— %	— %	14.58 %	78.70 %	— %
8	Loans and advances	24.24 %	20.00 %	18.59 %	0.71 %	— %	0.71 %	— %	— %	— %	— %	15.06 %	82.52 %	— %
9	Debt securities, including UoP	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
10	Equity instruments	38.46 %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
11	Households	100.00 %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
12	of which loans collateralised by residential immovable property	100.00 %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
13	of which building renovation loans	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
14	of which motor vehicle loans	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
15	Local governments financing	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
16	Housing financing	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
17	Other local government financing	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
18	Collateral obtained by taking possession: residential and commercial immovable properties	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
19	Exposures included on a voluntary basis	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
20	GAR-Total GAR assets	32.83 %	4.84 %	4.63 %	0.10 %	— %	0.10 %	— %	— %	— %	— %	4.08 %	14.73 %	— %

Schedule to the Sustainability Statement

Schedule B: EU Taxonomy

4. GAR KPI flow - CapEx based (2024)

% (compared to corresponding total covered assets in the denominator) ^{1,2,3}		a	b	c	d	e	f	g	h	i	j	k	l	m
		Taxonomy eligible ⁴	Taxonomy aligned ⁵	Breakdown per environmental objective ⁵						Of which Use of Proceeds ⁵	Of which transitional ⁵	Of which enabling ⁵	Proportion of Taxonomy aligned in Taxonomy eligible ⁶	Non-assessed exposures ⁷
				Climate Change Mitigation (CCM)	Climate Change Adaptation (CCA)	Water and marine resources (WTR)	Circular economy (CE)	Pollution (PPC)	Biodiversity and Ecosystems (BIO)					
1	GAR - Covered assets in both numerator and denominator	31.07 %	4.95 %	4.81 %	0.14 %	— %	— %	— %	— %	— %	0.14 %	2.48 %	15.95 %	— %
2	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	31.07 %	4.95 %	4.81 %	0.14 %	— %	— %	— %	— %	— %	0.14 %	2.48 %	15.95 %	— %
3	Financial undertakings	26.40 %	2.24 %	2.24 %	— %	— %	— %	— %	— %	— %	— %	0.52 %	8.47 %	— %
4	Loans and advances	34.73 %	2.57 %	2.57 %	— %	— %	— %	— %	— %	— %	— %	0.81 %	7.39 %	— %
5	Debt securities, including UoP	11.82 %	1.65 %	1.65 %	— %	— %	— %	— %	— %	— %	— %	— %	14.00 %	— %
6	Equity instruments	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
7	Non-financial undertakings	52.80 %	17.60 %	16.80 %	0.80 %	— %	— %	— %	— %	— %	0.80 %	11.60 %	33.33 %	— %
8	Loans and advances	53.16 %	18.57 %	17.72 %	0.84 %	— %	— %	— %	— %	— %	0.84 %	12.24 %	34.92 %	— %
9	Debt securities, including UoP	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
10	Equity instruments	46.15 %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
11	Households	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
12	of which loans collateralised by residential immovable property	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
13	of which building renovation loans	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
14	of which motor vehicle loans	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
15	Local governments financing	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
16	Housing financing	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
17	Other local government financing	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
18	Collateral obtained by taking possession: residential and commercial immovable properties	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
19	Exposures included on a voluntary basis	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %	— %
20	GAR-Total GAR assets	0.73 %	0.12 %	0.11 %	— %	— %	— %	— %	— %	— %	— %	0.06 %	15.95 %	— %

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Schedule B: EU Taxonomy

Notes:

1. Flow for on-balance sheet exposures represents new assets originated/acquired during the year that remained on the balance sheet as of the reporting date.
2. Cash collateral and settlement balances have been excluded from Loans and advances for flow calculation.
3. In cases where a breakdown of taxonomy alignment is not available for the six EU Taxonomy environment objectives, taxonomy alignment is reported under the objective of CCM in the above template.
4. Taxonomy eligible is calculated as total gross carrying amount of flow eligible for the respective EU Taxonomy environmental objective over the total gross carrying amount of flow in Template 1 for the respective row.
5. Taxonomy aligned is calculated as total gross carrying amount of flow aligned for the respective EU Taxonomy environmental objective over the total gross carrying amount of flow in Template 1 for the respective row.
6. Proportion of Taxonomy aligned in Taxonomy eligible is calculated as taxonomy aligned exposures over taxonomy eligible exposures reported in Template 1 for the respective row.
7. Non-assessed exposures refer to counterparty exposures subject to CSRD and included within Total GAR Assets, for which Taxonomy eligibility and alignment were not assessed. As all such exposures have been assessed, these are reported Nil under both the Turnover-based and CapEx-based KPIs.

Schedule to the Sustainability Statement

Schedule B: EU Taxonomy

5. KPI off-balance sheet stock exposures - Turnover based (2025)

% (compared to corresponding total off-balance sheet assets)		a	b	c	d	e	f	g	h	i	j	k	l
		Taxonomy eligible ¹	Taxonomy aligned ²	Breakdown per environmental objective ²						Of which Use of Proceeds ²	Of which transitional ²	Of which enabling ²	Non-assessed exposures
				Climate Change Mitigation (CCM)	Climate Change Adaptation (CCA)	Water and marine resources (WTR)	Circular economy (CE)	Pollution (PPC)	Biodiversity and Ecosystems (BIO)				
1	Financial guarantees (FinGuar KPI)	15.71%	6.93%	6.83%	—%	0.11%	—%	—%	—%	—%	0.22%	4.12%	—%
2	Assets under management (AuM KPI)	69.12%	14.56%	14.56%	—%	—%	—%	—%	—%	—%	—%	—%	—%

5. KPI off-balance sheet stock exposures - Turnover based (2024)

% (compared to corresponding total off-balance sheet assets)		a	b	c	d	e	f	g	h	i	j	k	l
		Taxonomy eligible ¹	Taxonomy aligned ²	Breakdown per environmental objective ²						Of which Use of Proceeds ²	Of which transitional ²	Of which enabling ²	Non-assessed exposures
				Climate Change Mitigation (CCM)	Climate Change Adaptation (CCA)	Water and marine resources (WTR)	Circular economy (CE)	Pollution (PPC)	Biodiversity and Ecosystems (BIO)				
1	Financial guarantees (FinGuar KPI)	15.14%	11.98%	11.98%	—%	—%	—%	—%	—%	—%	—%	5.65%	—%
2	Assets under management (AuM KPI)	37.42%	7.83%	7.83%	—%	—%	—%	—%	—%	—%	—%	—%	—%

5. KPI off-balance sheet stock exposures - CapEx based (2025)

% (compared to corresponding total off-balance sheet assets)		a	b	c	d	e	f	g	h	i	j	k	l
		Taxonomy eligible ¹	Taxonomy aligned ²	Breakdown per environmental objective ²						Of which Use of Proceeds ²	Of which transitional ²	Of which enabling ²	Non-assessed exposures
				Climate Change Mitigation (CCM)	Climate Change Adaptation (CCA)	Water and marine resources (WTR)	Circular economy (CE)	Pollution (PPC)	Biodiversity and Ecosystems (BIO)				
1	Financial guarantees (FinGuar KPI)	33.37%	17.77%	17.33%	—%	0.43%	—%	—%	—%	—%	0.43%	10.94%	—%
2	Assets under management (AuM KPI)	68.34%	3.35%	3.35%	—%	—%	—%	—%	—%	—%	—%	—%	—%

Schedule to the Sustainability Statement

Schedule B: EU Taxonomy

5. KPI off-balance sheet stock exposures - CapEx based (2024)

% (compared to corresponding total off-balance sheet assets)		a	b	c	d	e	f	g	h	i	j	k	l
		Taxonomy eligible ¹	Taxonomy aligned ²	Breakdown per environmental objective ²						Of which Use of Proceeds ²	Of which transitional ²	Of which enabling ²	Non-assessed exposures
				Climate Change Mitigation (CCM)	Climate Change Adaptation (CCA)	Water and marine resources (WTR)	Circular economy (CE)	Pollution (PPC)	Biodiversity and Ecosystems (BIO)				
1	Financial guarantees (FinGuar KPI)	33.90%	27.34%	27.34%	—%	—%	—%	—%	—%	—%	0.79%	14.01%	—%
2	Assets under management (AuM KPI)	37.21%	15.25%	15.25%	—%	—%	—%	—%	—%	—%	—%	—%	—%

Notes:

1. Taxonomy eligible is calculated as total gross carrying amount eligible for the respective EU Taxonomy environmental objective over the total gross carrying amount appearing in Template 1 for the respective row.
2. Taxonomy aligned is calculated as total gross carrying amount aligned for the respective EU Taxonomy environmental objective over the total gross carrying amount appearing in Template 1 for the respective row.

5. KPI off-balance sheet flow exposures - Turnover based (2025)

% (compared to corresponding total off-balance sheet assets)		a	b	c	d	e	f	g	h	i	j	k	l
		Taxonomy eligible ¹	Taxonomy aligned ²	Breakdown per environmental objective ²						Of which Use of Proceeds ²	Of which transitional ²	Of which enabling ²	Non-assessed exposures
				Climate Change Mitigation (CCM)	Climate Change Adaptation (CCA)	Water and marine resources (WTR)	Circular economy (CE)	Pollution (PPC)	Biodiversity and Ecosystems (BIO)				
1	Financial guarantees (FinGuar KPI)	3.93%	1.37%	1.20%	—%	0.17%	—%	—%	—%	—%	—%	0.51%	—%
2	Assets under management (AuM KPI)	—%	—%	—%	—%	—%	—%	—%	—%	—%	—%	—%	—%

5. KPI off-balance sheet flow exposures - Turnover based (2024)

% (compared to corresponding total off-balance sheet assets)		a	b	c	d	e	f	g	h	i	j	k	l
		Taxonomy eligible ¹	Taxonomy aligned ²	Breakdown per environmental objective ²						Of which Use of Proceeds ²	Of which transitional ²	Of which enabling ²	Non-assessed exposures
				Climate Change Mitigation (CCM)	Climate Change Adaptation (CCA)	Water and marine resources (WTR)	Circular economy (CE)	Pollution (PPC)	Biodiversity and Ecosystems (BIO)				
1	Financial guarantees (FinGuar KPI)	14.86%	12.16%	12.16%	—%	—%	—%	—%	—%	—%	—%	6.76%	—%
2	Assets under management (AuM KPI)	—%	—%	—%	—%	—%	—%	—%	—%	—%	—%	—%	—%

Schedule to the Sustainability Statement

Schedule B: EU Taxonomy

5. KPI off-balance sheet flow exposures - CapEx based (2025)

% (compared to corresponding total off-balance sheet assets)		a	b	c	d	e	f	g	h	i	j	k	l	
		Taxonomy eligible ¹	Taxonomy aligned ²	Breakdown per environmental objective ²							Of which Use of Proceeds ²	Of which transitional ²	Of which enabling ²	Non-assessed exposures
				Climate Change Mitigation (CCM)	Climate Change Adaptation (CCA)	Water and marine resources (WTR)	Circular economy (CE)	Pollution (PPC)	Biodiversity and Ecosystems (BIO)					
1	Financial guarantees (FinGuar KPI)	19.83%	4.79%	4.27%	—%	0.51%	—%	—%	—%	—%	—%	1.71%	—%	
2	Assets under management (AuM KPI)	—%	—%	—%	—%	—%	—%	—%	—%	—%	—%	—%	—%	

5. KPI off-balance sheet flow exposures - CapEx based (2024)

% (compared to corresponding total off-balance sheet assets)		a	b	c	d	e	f	g	h	i	j	k	l	
		Taxonomy eligible ¹	Taxonomy aligned ²	Breakdown per environmental objective ²							Of which Use of Proceeds ²	Of which transitional ²	Of which enabling ²	Non-assessed exposures
				Climate Change Mitigation (CCM)	Climate Change Adaptation (CCA)	Water and marine resources (WTR)	Circular economy (CE)	Pollution (PPC)	Biodiversity and Ecosystems (BIO)					
1	Financial guarantees (FinGuar KPI)	52.70%	44.59%	44.59%	—%	—%	—%	—%	—%	—%	2.70%	25.68%	—%	
2	Assets under management (AuM KPI)	—%	—%	—%	—%	—%	—%	—%	—%	—%	—%	—%	—%	

Notes:

1. Taxonomy eligible is calculated as total gross carrying amount of flow eligible for the respective EU Taxonomy environmental objective over the total gross carrying amount of flow appearing in Template 1 for the respective row.
2. Taxonomy aligned is calculated as total gross carrying amount of flow aligned for the respective EU Taxonomy environmental objective over the total gross carrying amount of flow appearing in Template 1 for the respective row.